Multi Comm. Exc. (MCX)

Conference call transcripts, oldest-first. 35 call(s). Generated 2026-06-08.

Call: May 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2223 May 30, 2023
The Dy. General Manager
Corporate Relations & Service Dept.
BSE Limited,
P.J. Towers, Dalal Street,
Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX
Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.
No Investor/Analysts Date Time Annexure
1. WF Asian Smaller Companies
Fund Limited May 23, 2023 12:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,
For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl: As above

Meeting with
Ward Ferry (WF Asian Smaller Companies Fund Limited)
May 23 , 202 3
Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there ma y be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward -looking statements " – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates, "intends", "plans", "believe s", "seeks", "should" or "will". Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different that those expressed in our forward -looking s tatements. We do not undertake to update our forward -looking statements.
Annexure - A
Multi Commodity Exchange
May 23 , 2023

MANAGEMENT : MR. P.S. REDDY – MD & CEO
MR. SATYAJEET BOLAR – CFO
MR. DG PRAVEEN – CRIO

P. S. Reddy: Good morning or good afternoon, Mr. Aman and Mr. Nicholas, welcome to this Investor Call. And please go ahead and fire all the questions that you have and as well as I will share with you.
Aman: Thank you, Mr. Reddy, thank you, Mr. Bolar, thank you Mr. Pra veen for giving us the time. I'm very glad I'm ready. We could speak to you this time last time. I think we missed the window of opportunity to speak to you in the time frame post the analyst calls, but I think enough has been discussed about the software in the list call yesterday. I want to first talk about the business and then maybe spend some time on this software per se. On the business side, how do you think about a few clarifications that I had, the UCCs has started becoming more flattish. The you k now, I think in the last 3 to 4 quarters. And I know that we had at some time discussed that not all UCCs are active UCCs. So, essentially this number really doesn't matter. Active UCCs are what is really driving the actual volumes, but if you look at last 4 to 5 quarters, the number is kind of more or less constant. I'm just wondering, should we read into this as active/non -active UCCs and hence there is no real change or is that the fact that the larger guys are becoming larger and larger from a concentra tion perspective and hence number of UCCs doesn't matter.
P. S. Reddy: Okay. I think the way that we have been tracking the UCCs numbers are the ones who are actually trading on the exchange that matters to us, and that is what we are tracking, while is sc intillating at sometimes and maybe very stimulating. But once the equity markets, even the growth is also less. Here also will be less the ones which are getting uploaded simply that one single application and unified members, they are ticking all the boxe s and say that we are uploading in on MCX also so that doesn't give us actually so much of revenues. But if you see actual number of UCCs that have traded, as I said, as against last year 4 lakh the number is there in the press release.
Satyajeet Bolar: 6.21.
P. S. Reddy: Yes, we had UCCs about 6.21 lakhs traded at against last year’s 4.71 lakhs. Okay Yes. So, that's a good number growth of 32% that's what we have seen. And we would like this number to grow. But again, unlike in equities, as I have

already discussed it also equity markets are primarily investment markets and this market partly investment, but more than that, it is a hedging market for I

mean for hedging tool opportunities is what it provides for and this market.
Also, unlike again e quities, you can have SIP kind of situation but we don't have here. I agree you can buy one lot. That's the way it is. There's no in between for us. So, one lot means almost a few lakhs of rupees. That's the way. So, coming back to that, to that extent it limits the participation of the investors as wide as the retail that is happening in, in equity markets.
Aman: Got it, got it. Mr. Reddy when you look at the top clients that we had, top 10 clients, concentration, they used to be about, you know close to 6 0%, is it still a similar number I think I didn’t see that number in the presentation.
P. S. Reddy: Yes, I think yesterday's call also we said they account for 63% top 10 clients’ accounts. And FY21 -22 is also 62.6%. Now it is just 63%.
Aman: Got it and is this number very similar in options versus futures or is it a lot more dominance comes in the side of options.
P. S. Reddy: We don't have that kind of breakup price right now, but then I think we will get. But then same I can tell you.
Aman: Got it. Okay. Do you think Mr. Reddy from if you do a bit of blue sky thinking from here to let's say 5 years out? Currently, our revenue mix, as Mr. Bolar pointed out yesterday in options which has become close to 50:50 i

n revenue
terms. If you say that say take this 5 years out and I think you briefly mentioned on the call yesterday, you know evolution of equity markets and in that you know equities versus futures and options of equities. How do you think about the evolution of commodity markets? Do you think bases th e work that you do on the ground with participants and your own assessment of the market, will India see a lot more of options, I mean, heavy suit towards options or will India be a both market and the reason I say that is if you look at even NSE, I think options are a very large portion. Is that right, my understanding is right, options is the large portion of the equity market also? So, how do you in your 5 years out, how do you think about basis the response that you're getting on the

ground, where do yo u think this will settle like from a mix perspective between futures and options, either in ADT terms or in terms of revenue.
P. S. Reddy: Okay, let me first come to the participation side. A lot of retail investors and member brokers also prefer, I mean t hose who are entertaining retail participants prefer options to futures because in the case of options, when it comes to, if if it is an option buyer, I mean either a put or call option, just the premium and then there's no more headache in terms of margin s etc., etc. But if it is futures and I think you have to mark -to-market and then margin has to be collected every time, I mean 5 times in a day even if the open interest is kept, I think many are dissuaded in that sense to move away from futures to option s. That's for point number one. But at the same time, the option writers who are the option writers we found most of them, are the physical market players that whoever stock with them kind of thing, so who have an exposure or I mean if I have a gold worth maybe 1 tonne or so, even if it is a jewelry etc, I can still be an option writer and then get premium. That's the way I look at it and they earn a lot of premium in that sense. So, they're not worried about that part of it. So, we see that kind of concen tration happening so more towards this, the number of writers are less, but they are willing to take this particular responsibility of option writing. And on the retail side is the most of the buyers, I mean, Yes, so this is one part of it. So, going by th at, our options turnover will definitely increase. That's what my expectation given this kind of trend that is happening. While this trend is on, I also see options are going to contribute increasingly more to the exchange revenue, while the, while the while more and more trading may take place little away from the… from the… from the what you call the money at the money obviously your premium will be higher and then you will get a higher income. But it may move away from that so to that extent our option r evenue, the realization may slightly come down, but definitely after going to.. to drive our business more than the futures is why my view. But at the same time, a new product introduction is also is happening. I think they can contribute for futures to be gin with, while the option volumes so may increase on the products which have deepened in terms of futures.

Aman: Mr. Reddy if you look at again, I know it's hard to predict, but do you think from here on? Is there any way to predict, I mean when you look at global markets, other countries and the depth of commodity markets there, is there any way to benchmark how deep, let's say or how large the futures ADV should be in India or options ADV should be in India. It says any kind of benchmarking you guys have done basis let's say GDP or basis any other metric you think?
Praveen DG : Generally, there are some metrics which are generally used, but it based on the futures to physical mark

et multi plier.
Aman: Okay.
Praveen DG : But again, the numbers are different for different commodities depending upon volatility nature of commodity. It is like for example, in case of silver which is more volatile as compared to the gold. So, the multiplier is higher than the gold that physical market to so alternatively you can look at GDP, but it is.
Aman: Okay.
Satyajeet Bolar: Difficult to say that how we can directly correlate, but as a pie it is increasing market as a pie to the GDP rate is definitely increasing with the options started doing more and more. I think definitely as the percentage …
Aman: Or, you know, I think. From a realization perspective study, you talked about option realization may reduce slightly as we look at out of money options. I think the results talk about 2.10. You know rupees per lakh as t he realization from the future side. Can you just remind me what is the turnover, I mean effective realization from options if you just…
Satyajeet Bolar: For the quarter, for the year, it was 41.63 as compared to 42.84 last year, 41.63.
Aman: This is so. S o, you're saying Rs. 41.63 per lakh is rupees on the premium?
P. S. Reddy: Lakh rupees per lakh premium. Yes see we have 2 slabs. One is Rs. 50 per lakh and then Rs. 40 that is what. So, if it is coming much closer to this also, it also

indicates that ther e is also a concentration major players are trading. That's why they are able to get this Rs. 40 I am mean ADV.
Aman: Sorry if you just how does this work? We are saying that let's see if the EDV today is 675 crores, let's say or 675 crores. I mean, I know there are multiplier of 40% to 50% that we typically use. To calculate the effective ADV. Because the premium. We make money on, on the premium, right?
P. S. Reddy: We have 2 slabs up to what about 100 crores or….how many…one minute…what are those 2 slabs ? Okay, up to Rs. 5 crores is Rs. 50 above Rs. 5 crores if a broker contributes more than Rs. 5 crores of premium and he gets 50 rupees and if it is more than Rs. 5 crores then he will get a Rs. 40. It's like income tax of slab. Okay, so many of them are f alling under the Rs. 40 slab.
Aman: Okay, got it. Got it. Okay. Okay. Nicholas, do you have any question on this specific area?
Nicholas: Maybe something to do with the participation? Yes. If you look at participation year-on-year, generally we're seeing h igher contribution from Algo trading and possibly mobile trading especially in options. So, just wondering if there's any like should we read into this further, is there any implications from the higher portion of trading comes from those areas.
P. S. Redd y: Sorry, I'm sorry I didn't get that, sorry. Please , could you please repeat?
Nicholas: So, I think year -on-year we're seeing higher participation from Algo and mobile trading as a percentage of volumes. Firstly, looking at options right so I'm just wonde ring if there any implications of this that we have to look into any further down the line or…..
P. S. Reddy: Mobile trading accounts for about 22% of the total trading. That's what it is , client accounts for about 53% and proprietary is 46% and client is 53 or 46.7 and 53.3 and algo non algo 50 -50 kind of.
Nicholas: Right.
P. S. Reddy: Have I made myself clear?

Nicholas: Hello. Yes. So, I'm just wondering if there's any is it, is it different economically to us if we have a higher portion of Algo traders or mobile traders?
Praveen DG : These numbers, I think we have given in our investor presentation also wherein if you look at the Quarter 4 22 -23 like in future algo contributed about 50% and in options it is about 54% Okay, Yes and compared to corresponding period, it was about 53% in f utures and 48% in options. Definitely there has been an increase in the algo trading both in,

especially in options.
P. S. Reddy: In fact, as I think in one of the calls I've mentioned, maybe one of the calls, one of we are getting a lot of interest from s ome of the top algo players who have yet to join. And I think they are all waiting for our platform to be ready new platform and then to be launched. Some have already come through, some of the member brokers and some are in the waiting. So, obviously algo trading will increase as we go along, no doubt about it. Now, the FII participation permitted by SEBI and I mean I would say to our pleasant surprise, FIIs have taken to the market to the commodities market as fish takes to the water unlike other institut ional trades like mutual funds and others who took a lot of time. To come into the market and participate. That's a that's a good development for me. In that sense.
Aman: Sorry, Mr. Reddy can you talk a bit more about the deepening of the market, you know in terms of the Mini contract that you guys launched, you know, how is that progressing? And I know that you had mentioned that when the new software is ready, you will also launch options on shorter duration, which will probably deepen the options market also further. This FII participation that you spoke can you use some more color of you know how is that progressing? You know, what are we doing to deepen the market so that, you know, the growth can continue for the next 3 -5 years?
P. S. Reddy: The lot of interest, as I said earlier, maybe wins thanks to the…the war situation and divide in the international community, I think. Some countries or some institutions which are based out of those countries, are keen to participate in Indian markets. So, we have that kind of liquidity, of course it's progressing

gradually, but they should be happy to have this participation in this market. So, that interest has come and we are seeing their enquiries. Coming closer and they will fructify is our hope. Having said th is, FII participation or FPI participation, has picked up and it's a good number that we have got so far and it's increasing. I've seen, I've seen almost….almost all about you know about 1000 crores plus maybe coming by the FII participation. Then many registrations are happening. We are also planning to introduce category 2 and 3 gradually I think depending on the system, fine tuning our changes are needed because for some category of investors. There is a limit as exists the full limit that is available f or FDI, so that means once that those limits are put in place, we will permit more of them. One is this part of it, but then I am more keen… keen and keener rather on bringing more and more domestic players into this fold. I think our…our metal contracts, if you have noticed it while volumes are low, but the open interest has been increasing and that is that is a sign of you know degree of participation from the from the…from the hedges? Now, once that increases and as we are seeing it, I'm sure liquidity w ill also further increase. We've also introduced the mini contracts that also has seen some of the clients who earlier were participating. They have now come back. So, that is another good development that has happened. And we have approached SEBI also per mitted us to introduce mini contracts in copper and nickel, and if that also happens, probably we will be able to bring in more participants into this, but yes. It's a long way to go in terms of bringing a lot of interim lot of institutional participants a nd a lot of corporates to come into this fold and we will be able to. Achieve our objective, as you said, in the long run, maybe 5 years down line, we should….. we should be able to transform this market. It is our responsibility to increase the pie and in crease the market deep in the market because we have only one case obviously.
Aman: Got it from one last question on the bu

siness side, there are competition, I think
you alluded yesterday also around the fact that NSE has launched, has tied up with CME fo r the same data. And it is launching futures on the crude site or if they already launched I not check their volumes, but do you think from a competition perspective anything that has changed in the last 2 -3 quarters as you think is worth noticing for now?

P. S. Reddy: Okay. One is that WT I has been launched contract on NSE both in NG Natural Gas as well as WT I contracts were launched 15th of May and we are watching and obviously the first day, some euphoria and then that gradually petered out. So, the aver age may be about 50 -100 crores that's the way we have seen the volumes. But having said that I mean, I think we are too old to understand what's happening in this market. When about 3 -4 years ago, when it was introduced that, you know, the equity exchanges also can compete with the…. with the….with the exchanges, with the commodity exchanges, there is a huge what you call concern or Okay. You may take away the liquidity. Again, the same existing contracts, gold, silver, all that nothing happened after. Ther e are lots of options, optional goods. Nothing happened thereafter and despite having deep pockets despite having introduced what we call liquidity enhancement schemes, etc., etc. So, this being a liquidity, what we call a cash contract, of course we are w atching it. But at this point in time, they are not successful in taking away our liquidity and we hope to continue to, I mean to remain alert. And then see whether anybody is participating and what is that we are not able to offer that other exchange is o ffering is what always we question and we. Want I mean there is on our part at least we will only try to give our best so that the customer is attracted on a professional basis rather than any kind of any other methods of getting the clients to our platfor m.

Aman: But Mr. Reddy if let's say I know liquidity in this market and if they start off fleeing you know no transaction fee which I think we have done in the past. These futures are based on, you know, an index which is global. Do you think they can get liquidity or that that is the harder part? Transaction fee is less material than actually getting liquidity like how does liquidity get generated in this market for you when you start a new contract, how does it come to you as liquidity?

P. S. Reddy: I think a variety of issues influence one is the I would call it, as networking barriers are there and the people who have already developed their ecosystem attuned to MCX, they do not have that on going and then encourage additional compliance costs additional what we call making the systems… what…. for what is that that we are missing opportunity in MCX, Yes, that is the a new exchange that is something obviously based on everybody's mind probably

they may apprise you one day, 2 -day, 3 day but not you know for ever that's one important. Second thing is obviously these transaction costs do matter, but they do matter only when there is liquidity, you know, and it's not a comprehensive thing. Even if liquidity is less, but still since you are offering a less of tra nsaction fee, I should run. No, that will not happen because without them they may get stuck in with positions that may cause huge, you know, risk when there is volatility in these contracts, there's a lot of volatility. So, it's not easy to get out of it unless there is liquidity. This is second, you know primary this one and LES liquidity enhancement scheme is not permitted in liquidity contracts if it is traded on any other exchange, that's what the SEBI rule is at this point in time so they can't introd uce officially any liquidity enhancement scheme in these contracts and….and Yes, these ar

e the important things to be
born in mind and as I'm speaking, they are…they don't charge any transactional fee even in this contract.

Aman: Got it. Very helpful. Actu ally, moving on to just a few clarifications on the financial numbers, sorry, first on the business, one more clarification. Our commodity index futures have actually we're doing okay till few quarters ago and they have come down and flatlined at that leve l. Is there any way to again rejuvenize them? Is there any specific issue with our index futures?

P. S. Reddy: I think currently we have one liquid contract which is the B ulldex , okay. It's getting traded about 80 crore to 90 crore or 100 crores. So, it's like that but we wanted to activate it thanks to the nickel contract debacle. So, the index metal contract has which was otherwise trading very good and was for 200 -250 crores that got, you know, collapsed. So, we had to reorganize the indices, remove the nickel from that, and then recalculated that index. Now we will…we will start, you know, launch the revised contract maybe with some help from the market participants so that is one. Crude and Ng not being, you know, actively traded. I think that is anothe r area which we should work on it. We will do that also. We have been approaching the market participants but one. I would say suggestion or sincere guidance from the market participants. Don't actually increase too many contracts and we also find struggle to promote each one of them. It takes time for the contracts to mature it takes time for the participants to understand and so ask of the members.

Praveen DG : Shorter duration contract in index is…. also is another want from the market. Even i n the equity market, the we ekly contracts which are doing better, as compared to the monthly contracts and other things. So, as we come out with this CDP project and say, after the post implementation of this, definitely we can look at shorter duration contracts in In dex products.
Aman: Got it, Okay. Okay. So, on nickel, I think this has been discussed a few times. The last few calls. Can the nickel what really happened on the nickel front end…can it come back in terms of you know trading. What's the issue on the Nicke l? I think this has been mentioned a few times in the calls last …
P. S. Reddy: Okay, what happened was when the nickel contract was trading and there are some open interests. And then people got stuck and every 15 minutes the circuit filter is going up and up and up and got stuck but no tra ding is taking place, so there are lot of margin calls have come and investors because it's a market to market and at each and every point in time we have to call for additional margins. So, that the bad experience tha t people have faced. And it's all because of the LME. Whatever has happened in LME and so the contract subsequently people have come out of it, but then the open interest. I mean completely dried up because nobody want to take… keep position in that while that was the case we have approached. We know because at that time it was also one and half metric ton contract because of the trading and delivery unit test to be identical. So, the value of itself was about 3 9-40 lakhs of rupees. Okay, that has one of substantially high. So, you can imagine what kind of margin calls would have gone to the investors on that. Now we are saying please give us a smaller code denomination contract maybe 250 kgs which was existing earlier. So, then we will be able to, you know, launch something which market can take it. So, that's where we are. I think once SEBI permits we will be able to do something on that.
Aman: And how much? Was this as a portion of ADV before it was discontinued?
P. S. Reddy: About the 3000 crores it used to contribute to the metals.
Aman: 3000 crores.

Praveen DG : In FY 20 -21 it was about 2254 crores at an average.
Aman: For the year.
Satyajeet Bolar: For the year 20 -21 average AD T.
Aman: 20-21 how much?
Praveen DG : 2254 crore.
Aman: Any specific other laun ches ready that we will get on the business side in the new product that you think can meaningfully change …
P. S. Reddy: You've got it. We got approval for the steel rebar contract of almost only a year or so. And as I said, the electricity contract is a j inx contract that is, we are still waiting and this particular thing we will launch sometime in July, this particular steel rebar. That's what our expectation is and after the platform goes live.
Aman: Got it. Couple of clarifying questions financial and then we'll just discuss

software for a minute. Mr. Bolar, on the cash, how much is the net worth cash?
How much is the margin money right now?
Satyajeet Bolar: Our own cash is around 900 crores and the margin that CC L had as on 31st March is around 600 crores.
Aman: And just lower than what we had , both... or actually, so cash network cash is similar on 30th, 31st December and marginally is lower margin was actually I think 900 crores. At that time.
Satyajeet Bolar: 900 crores which is because the Members have got an option of giving other collaterals like bank guarantees and fixed deposits. So, some of them would have….
Aman: Okay. So, but if our money….money goes down this. The.. the… income that we have, the interest income that basically is part of our operating income also goes down, right.

Satyajeet Bolar: See for example, in December we had 9500 crores total margin out of which 934 was in cash, while when we came to March it was 9800 crores out of which 600 was in …balance was in other collateral.
Aman: Got it. And Mr. Bolar, how much are we making in terms of yield in terms of… on our network cash and margin money approximately?
Satyajeet Bolar: We earned last year at around 5.93.
Aman: Okay. And last quarter?
Saty ajeet Bolar: Last quarter 7% +.
Aman: Got it. One clarifying question on the expenses, if I take the total expenses in the P&L and delete or sorry take -out software cost and take out the people cost. Let's call the remaining figure as other expenses as this other expenses. I was just doing some calculation and it seems those other expenses in quarter 2 are close to about 240 million which has become between 280 to 275 million in the last 2 quarters, quarter 3 and quarter 4. I'm just wondering, is this the ri ght way to look at this…is there….is there anything specific happen?
Satyajeet Bolar: We collected in last in the last quarter we had, you know we had marketing event s because we you know because of the COVID we didn't have any…we didn't do anything substa ntial in 2021. Yes, so with a lot of engagements with Members that we carried out, which in Q3 , largely in Q3.
P. S. Reddy: Engaging with members.
Satyajeet Bolar: Another expenses also have gone up. Travelling has gone up, while earlier you know there's a ll online travelling has gone up as well as the administrative cost of maintaining the building as compared to March 21 , because of the pandemic, you know it was work from home while now it is work from office so corresponds , other expenses have also incre ased.
Aman: So, Mr. Bolar if we look at employee costs and let's say other expenses , I'm taking so the only item that I'm not considering is software expenses , are we at the number where it is actually the run rate expense or do you think there

will be big variations in these 2 categories employee and non -software expenses like non -software, non -employee expenses?
Satyajeet Bolar: There wouldn't be major variation. Again, it depends on what we intend to, you know how do we intend to engage memb

ers once the new platform goes live.
Aman: Got it. Super, very helpful. Super.
P. S. Reddy: One more dimension to it is of course, other than software, there's also a CME expen se we pay, you know, it's based on the turnover and so for crude oil contracts and NG contract do well then obviously that also will go up. I think that you need to account for that has gone up for essentially.
Aman: Got it. I'll do that. I think Mr. Reddy if you can give some update on the software, I think which is the hottest discussion on the business and I think we honest, any clarification in light of you have mentioned 2 or 3 different kind of work streams which are going on in parallel and in series in the call yesterday. If you can help me understand if all goes to plan and everything is working perfectly. Are we…is it a 4 -week requirement from here or is it 3 weeks so I you know because there's so many technical terms in the call yesterday I maybe

I missed out. It's like a 3 -week thing 4 -week thing if all goes to plan and again, I'm not saying where are you on the plan, but what happens from here onwards?
P. S. Reddy: Yes, I think , if all goes well as planned, it should be like a 4 -week , this one , because we want to give enough opportunity to the members in terms of participating in a mock. Okay, then members are able to participate…. maximum number of on a Saturday mock or on other holidays because , their lease lines are mostly connected to the DC t hat some of them have here and on all other days we are doing the this one on DR and they do participate , members , but maximum comes on Saturday because without any changes connectivity they straight away participate and in the normal course also it is 99 times that DC they work so obviously the latency, speed or whatever you call it, all that is examined on the on the DC connectivity rather than the DR. So, that's what it is, and otherwise we have given a long number of mocks on Saturdays and many have participated, and major members have , no doubt , have participated , there's no problem about that. And as is, as somebody has

asked in the call also there are 600 Members and you said about 178 participated. Then what I said is 600 is the registered number, but some have surrendered their application. They are all pending with SEBI , so unless SEBI approves it, we can't knock off from our what should I say list , so to that extent, some have admitted, but then they have not started operations. On any gi ven day about 350 to 400 are active, in-between people , members participate so that is what our target has always been.
Aman: And Mr. Reddy, again in this 4 -week plan so far, there is no seemingly thing which is a deal breaker, at least so far in the visib ility. It is just a process that we have to follow or are there any big red flags that are still being addressed?
P. S. Reddy: I am not foreseeing anything, I mean, God willing, I'm sure we should be able to make it is what my desire is. We are taking care of every this one. There are a few slippages on certain activities, but I think we can make it.
Aman: And Mr. Reddy think last thing, even if we are not 100% there, I think as you mentioned the call yesterday, can we be 98% there and still implement still move on the new -new software I mean because there are things always in software implementation which keep happening over time. So, do you think that is also a possibility?
P. S. Reddy: No. Whatever al l you know , must have , go-live kind of things, they're all getting in place and that's what demonstrate to the regulators or otherwise all out to our board and our own, you know, we have to satisfy ourselves, yes, we are good to go kind of thing. So, like various audits are underway and that parallel runs and are enough of test all of them are happening simultaneously, so we should be able to

complete it. As I said, that is what our desire is. That is what our endeavor is to make throw all our weight behind time and effort everything is only going into this, no thing else.
Aman: Yes, I think 2 clarifications just on this. The regulatory time is included whatever you have to seek approval from SEBI or intimation required is always in this 4 -week time frame.

P. S. Reddy: Yes, we, I mean, SEBI is watching very close ly the development in exchange, yes.
Aman: Got it, got it. Last question is again, let's say 4 weeks down the line, say 21st of April, you guys are ready you know, is there a requirement to run both systems parallelly for all participants for some time or that is on something we're doing right?
P. S. Reddy: No, no, there's no such and it is not feasible also. Members can't have two backends and you know maintain what report they get. The whole mock… purpose of mock runs is to give them all the reports and then understand whether what tra ding they have done, whether they got obligations right. All that kind of things.
Aman: And lastly, there is no training requirement to the end members. I would assume they will not notice a change in their softw are, or would they?

P. S. Reddy: They will not notice it. See there are 2 -3 dimensions to it. One is that CTCL, you know players so they have already vendors are there, we give API and vendors customize it them. So, we are not changing the API structure an d all that kind of thing. So, they will continue to see the same thing. What is happening there , okay. Now is only the trade TWS (Trader Workstation) which we are developing separately for them but then the business that comes from the Trader Workstation i s hardly anything. So, there we may have some functionality, may not have given some functionality. But that is for the, you know, members can always go to a CTCL vender and then take their software to run this that's not an issue at all.

Aman: Got it, got it. It i s super helpful. It's ready. Thank you so much for making the time all. The best to you and your team for successful implementation software. You know, in the timelines that you think are right. Kudos to the entire team to for keeping up the good work.

P. S. Reddy: Thank you. Thank you, Mr. Aman. Thank you, Mr. Nicholas. Anything from you, Nicholas …

Nicholas: Thank you. I think Aman uncovered all my questions actually. Thank you so much as always.

P. S. Reddy: Thank you. All the best. Good day.

Aman: Good to yourself. Take care. Bye.

Call: May 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com
MCX/SEC/2219 May 26, 2023
BSE Limited
Department of Corporate Services
PJ Towers, Dalal Street,
Mumbai - 400 001.
Ref: Scrip code: 534091 Scrip ID: MCX
Subject: Transcript of the "Earnings Conference Call" with investor(s)/analyst(s) on Q4 FY-2023 results.
Dear Sir,
Please find enclosed herewith transcript of the "Earnings Conference Call" with investor(s)/analyst(s) held on Monday, May 22, 2023 at 16.00 p.m. (IST) on Q4 FY-2023 results.

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,
For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl.: As above

Multi Commodity Exchange India Limited
Q4 FY '23 Earnings Conference Call

May 22, 202 3

transcription, there may be material erro rs, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain “forward -looking statements” – that is, state ments related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as “expects”, “anticipates, “intends”, “plans”, “believes”, “seeks”, “shou ld” or “will”. Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different that those expressed in our forward -looking statements. We do n ot undertake to update our forward -looking statements.

MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. MANOJ JAIN – CHIEF OPERATING OFFICER
MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER
MR. PRAVEEN D G – CHIEF RISK OFFICER

Moderator : Ladies and gentlemen, good day, and welcome to the MCX Q4 FY '23 Earnings Conference Call. We have with us today on the call , from the management, Mr. P.S. Reddy, MD and CEO , Mr. Manoj Jain, Chief Operating Officer , Mr. Satyajeet Bolar, Chief Financial Officer , and Mr. Praveen DG, Chief Risk Officer.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note, this conference is being recorded.

I now hand the conference over to Mr. P.S. Reddy, MD and CEO, MCX. Thank you, and over to you, sir.

P.S. Reddy: Thank you. Welcome to all of you fo r this Q4 call and as well as annual accounts call. And we will go ahead and explain what has brought down the bottom line, okay?

You are aware that we have got very good results in the form of top line. And maybe after 2012 -2013, it is the highest ever th at we have achieved. And I'm sure all of you would be very happy to know that. But the technology solution not being implemented in time has proved to be a drag . And I'm sure those numbers, you all knew when we announced in January our results , there, we have already upfront spelt out how many crores of expense will be incurred for the Q4 as well as , for the current quarter as well, we have mentioned it. And

we hope that we will put an end to this, and we are all working towards making this platform live b efore 30th of June. That's what has been , day in and day out, we are working to make it happen .
I think , considering that the number that we have, the profit number, and I think the Board has considered the maximum dividend pay-out is 25%, accordingly they have paid out, I think, has been kept as far as the policy is concerned.
I think , I will keep the session open for question and answer other than taking more time on this. Thank you.

Moderator: Thank you very much, sir. We'll take our first question from the line of Devansh Nigotia from SiMPL. Please go ahead.
Devansh Nigotia : Thanks for the opportunity. I just wanted to understand, we mentioned earlier the problem between integration of the clearing system in the exchange transaction. So, what is the progress over there? Because that's to be highlighted as a key constraint for the implementation of the ch ange in vendor. So, if you can update us on that ?
P.S. Reddy: Yes. I think, as I said last time also, the T7 and the Bancs integration is one which faced the problems. I think we …. almost all of them are being ironed out. And many mocks, we have run. And w hat we , in terms of test cases also, it is maybe more than 90%, 96%, 97% has been already clear, all of them. So that's the way we have worked, so maybe some extreme test cases are there, but we will be handling any way. But otherwise, we have done a good amount of testing. And we already started , I mean we have started today , the regulation testing as well. So hopefully, we should be able to go live before 30th of June.
Devansh Nigotia : Okay. And then you mentioned this 96% to 97% is clear. So, what is the -- I mean is it based on the coverage of vendors , or is it 96%, 97% ba sed on -- I mean...
P.S. Reddy: Test cases are the...
Devansh Nigotia : So, test cases is the check list in terms of the software is running properly or regarding the coverage of the members?
P.S. Reddy: That's right. I mean now for each scenario , we have m ade various test cases. It runs into a few thousands, okay? So those are the ones which have already been out clear. That's what it is.
Devansh Nigotia : And which is still not clear? Is it still the integrat

ion problem...
P.S. Reddy: Not that. Not those is sues. The extreme cases, some maybe, what should I say, a contract having multiple expiries in the same month, okay? So there are some of the hypothetical scenarios, okay? So those are the ones kind of.

Devansh Nigotia : Okay. And sir, in the middle of the transition, the exit of the Chief Technology Officer, so -- which is also slightly discomforting. So if you can help us understand why that exit happened, that would be really helpful.
P.S. Reddy: Sure, sir. See, I mean he wanted to pursue his personal -- I mean, whatever the better prospects. But he did express in the past also his desire to leave, but we have persuaded him to stay on. And maybe the stress levels are very high. That may be one reason. That's what my pers onal understanding of it. And that may be the reason why he has left.
Devansh Nigotia : And sir, if in the case beyond June, let's say, if the software is not yet implemented in a hypothetical situation, how do you see the software expenses planning out when they be at a such higher run rate or even higher than that because I think -- I wanted to...
P.S. Reddy: Honestly, I have no clue about it. But we are committed, having seen also what kind of damage it is causing to the financials of the company. We are in no mood to what we call both for a kind of -- I mean, miss the deadline. That is the way it is. We are all making our efforts day in and day out. We are working on to it. So I think , I do not want to answer any hypothetical questions on that part.
Moder ator: Thank you. We take the next question from the line of Devesh Agarwal from IIFL Securities. Please go ahead.
Devesh Agarwal : Sir, carrying on with the same questions on technology. Basically, one wanted

to understand in these 15 mocks that you have done, so how has been the traders experience? And what are the challenges that are being faced by them? And also in terms of partici pation, how many members have participated? And in terms of volume, what would that number be? Particularly, what percentage of volumes this number represent?

P.S. Reddy: See, we have been -- I don't know, whether 15 mocks is maybe the recent count you may have picked up maybe in the last one month or two months. But otherwise, it is much, much more if you actually see from the last October onwards. But having said that, in the latest recent round of mocks that we had, about 170 members or 180 members have participated and unique members.

But the closer we move, the larger number of the members will participate. Of course, we also ensure that all our big numbers were contrib uting major -- this one, are all participating. We ensure that, okay? And that's happening as much I can say to that.

Devesh Agarwal : Okay, sir. And sir, in terms of time lines, if you can share , last time you had told us that once the mocks are done, you also have to do an audit of the system, and thereafter, the transition can happen. So in terms of any milestone time lines that you can share?

P.S. Reddy: While mocks are on, we have already started conducting the cyber audits, okay? Some patch upgrades, w hatever observations VAPT related , they're all undertaken, okay? So in that sense, it's already started, including the system, or it also has started. So these are all parallel activities. We don't need to wait for the mocks to start.

Devesh Agarwal : Okay. And sir, finally on technology. So this 96%, 97% of test cases, so would our transition depend upon achieving this number 100%, or these are numbers probably one can do the transition and then also can work around with some of these extremities that you are talking about?

P.S. Reddy: Yes. As we go along, we will -- and we still have the time, we are doing it. But it's no

t all -- not dependent, obviously. That's the way we take a reasonable call on that, not to -- I mean these are all -- for us, they are all -- incidents may not take any at all.

Devesh Agarwal : Okay. And a couple of business questions, sir. One, this NSE has recently commenced trading on th e CME -backed crude oil and natural gas contracts, same as MCX. So how do you see this -- do you see this as a risk for the business , or how do you see this development?

P.S. Reddy: Okay. As far as MCX is concerned, I think we should not take anything at a low risk. We will keep our words up and then constantly see what is happening on the ground. But what are the forward base of ADT or the kind of open interest that has built the participation that is h appening? I think it is for everybody to judge what is happening on the ground. But as far as we are concerned, we are constantly on watch . We would like to protect out of any… .

Devesh Agarwal : And sir, lastly, this premium to notional turnover in option s egment and that has come out from 2.6% to 2.2%. And I think this has further slided to 1.9% in April. So , is there any change which is leading to such sharper fall in this ratio?

P.S. Reddy: See, it all depends on, as I said, whether the contracts are trad ing when you closed -- I mean near the money or in the money or out of the money, that's the way it is. And if the contracts traded are away from that, obviously, the premium will come down. But if it's something closer to it, then it will start paying more premium. That's the way it is. As far as the tariff slab is concerned, it remains the same. There's no change in it.

Moderator: Thank you. We'll take our next question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh J ain: Just further a bit on the software thing. Do we need any regulatory approval for kind of transitioning this?

P.S. Reddy: There's no formal approval that is needed, but we need to follow the process. That's the way I look at it. As I said, the cybers ecurity audit, system audit, etcetera, all this to be completed. So all that is in place. And of course, we are

constantly in touch with SEBI and keeping them informed of the progress of the project.
Prayesh Jain : Okay. And with respect to the procedure furt her -- for further steps, after the mocks and the audits, do we have to run a pilot again , or how does that go?
P.S. Reddy: No. There's no pilot, as such. There's no pilot.
Prayesh Jain : So, from here on, only -- the only in tent is mocks being successful, and you getting clearance on all the audits.
P.S. Reddy: That's right. And then -- so this is -- we keep what we call doing the mocks every day, going maybe from this coming Saturday onwards . Every day, we will be running the mocks. Even tomorrow, on day after tomorrow kind of thing, we also will be running. And the only constraint to some of the numbers is that , DC currently the , that is that the Data Current location, obviously, their lease lines are occupied with the regular business, 9 :00 to 11:30.

So, they can do the test. They can test their DC connectivity only on Saturdays or on other holidays. That's where the maximum participation we see. But on regular days, weekdays , it happens via DR, but the participation is less. That's the way it is.
Prayesh Jain : Okay. And by when do you think you will have to start thinking about extending or negotiating further with 63 Moons, say, like what are the things that you will look at befo re going to -- or taking a call that now, we'll have to go back to 63 Moons for an extension ?
P.S. Reddy: See, these are all -- as I said, the management is fully committed to get it done. That's what our desire is. Our Board is also seized of the matter. Yesterday, a day

-- I mean, day before yesterday when we had a meeting, they are fully aware of it. And the Board will also meet maybe before we go live or maybe sometime next month early or so. And they will also take a view on this. Definitely, everybody is seized of this matter. That's all I can say.
Prayesh Jain : To further business opportunities, how do you see the -- what has been the UCC count? And how has that been trending?
P.S. Reddy: So I think this year, I think we have got a good number , UCC, 6 lakhs, 21 -- 6.21 lakh UCC is about 32% year -on-year. We brought them.
Moderator: Thank you. We take our next question from the line of Deepan Shankar from Trustline PMS. Please go ahead.
Deepan Shankar : So firstly, so what was the contribution of options and futures in the total revenues for Q4 FY '23?
Satyajeet Bolar : Please give me minute. Option, future s and 49% from option s.
Deepan Shankar : Okay. Got it. And what are the steps we are taking to scale up the contribution of bullion and base metal parity in the option segment?
P.S. Reddy: See, I think in the case of bullion, it is increasing. Again, it is the volatility, which is going to bring all these people back to the counters. The more important is the -- I mean, in the recent past, what we had seen in the silver has substantially done one. We have seen a lot of inflows into our vault . In fact, in

the clearing corporation, the vault income has also done better. It happened in 2021. Also, silver was having a boom there. So similar things we have seen it also.
So while we are d oing our awareness programs, et cetera, I think the trigger will come only when there is a volatility, but when the volatility comes, then obviously, everybody will remember how to secur e themselves from such volatile exposures.
Deepan Shankar : So even base metals, sir, are we planning to launch more such contracts in option?
P.S. Reddy: See, base metals, we had what we call the contract in zinc as well as in the copper. And of course, ni ckel is not doing well to whatever has happened in LME. We have requested SEBI for a, what we call mini contracts in those our two products as well. Probably that can give a fillip to those contracts. Options will take some time to come of age in this part icular segment. But what -- if you noticed it, the open interest has been increasing in these contracts as you're

going to see the previous few years. I mean it's a marginal increase, but then it does -- it did increase.

Moderator: Thank you. We take the next question from the line of Swechha Jain from ANS Wealth. Please go ahead.

Swechha Jain: Sir, I wanted to understand regarding the software charges. So the new software that we are developing from TCS, what is the total cost of it? And once they go live, how much cost will it be capitalized? And how much will be taken into the P&L? And quarterly, what would be the AMC that would be charged to the profit and loss making, sir?

P.S. Reddy: Madam, I think we have never disclosed the total cost of this one, because of the confidentials in the agreement. But whatever you will experience and should the -- working progress is there, that you can obviously find out. Then maybe something more will come into that capital work in progress, or it will be stopped capitalizing if we go live in the month of June. It will happen in the June quarter, and so we will start seeing that.

But having said that, having AMC is a single digit in the first one year. Anyway, there's no AMC in terms of warranty. And thereaf ter, AMC will kick in. And as long as we keep on paying AMC, then the perpetual license kind of thing for us. So there's nothing a big number that's coming to the P&L.

Swechha Jain : Okay. So basically, the entire cost will be capita

lized, right?

P.S. Reddy : That's right. substantially. But then you must also look at the AMCs on the software licenses, not license of the PCM or the bank. I'm talking about the application like maybe D B2 or license, the database licenses, Linux license s. These are annual. So they will also come in. That's … but they cannot be capitalized. That's the way it is.

Swechha Jain : So sir, can you repeat on that, AMC on what cannot be capitalized? It could not get it ...

P.S. Reddy: These are all operating license s. That is the data bases, and maybe Linux is one, and maybe some Microsoft licenses may be there in some other segments.

Swechha Jain : So which will come in the P&L, but the major cost of the software is going to be capitalized, right?

P.S. Reddy: That's right.

Swechha Jain : And we'll start capitalizing when we go live, right? Once we go live from that quarter...

P.S. Reddy: That's right.

Swechha Jain : Okay. And is that for AMC single digit, right? It's not a major cost.

P.S. Reddy: That’s TCS. Software…

Satyajeet Bolar : After one-year warranty.

Moderator: Thank you. We'll take the next question from the line of Lavanya Tottala from UBS Investment Banking. Please go ahead.

Lavanya Tottala : I just wanted to check on technology again. So how much t ime usually the audits that we have currently started, how much time that usually that takes? And we were planning parallel run after the mock. So how is -- I mean did we do parallel run , or is it yet to happen?

P.S. Reddy: See, let me explain what you mean by parallel run, okay? Parallel on mean essentially, you take the trade data and their orders and then see, pump into the trading platform and whether the output, which comes in the form of trades, so pump in orders, you g et the trades, of the faster data and whether it is coming out correctly. And if there is any deviation whether there are valid reasons which explain s such a deviation, that's one.

Then you pump in the 63 Moons data of trades and then again, see whether al l calculations are coming out correct or not in terms of margins, obligations, etcetera. So that is a parallel activity. We don't need to wait. We can do it on the whole -- I mean it's a whole data. Whenever the trades have taken place in the past, that da ta, you pick up and do it. And that's what we have been doing it. So that is already there in place.

Lavanya Tottala : Okay. The success rate of our current platform based on the historic, what is

that, just like how you have given for 96%, 97% on test case s. So , if you look at that way on historic data, so what is the success rate of current platform?
P.S. Reddy: I didn't get you. I'm sorry.
Lavanya Tottala : No, I'm asking like if we have put in the test cases into our -- the software, the success is 96%, 97% now, right? So , if I put -- just like how you have explained now, if you are taking my historic data and trying to see your calculation...
P.S. Reddy: Yes, it is explainable in -- I mean the deviation in terms of trades is maybe decimals, okay? An d the reasons, we know it. And when it comes to the margins and other things, they have to be to the 'T'. There cannot be any deviation s, okay, obligation and other things.
Lavanya Tottala : Yes. So, the current platform, the deviation is minimal for most of the...

P.S. Reddy: I didn't understand. Current platform means what? I mean you -- what the current platform generates everyday obligations, members pay, and everything happens pay in and payout.
Lavanya Tottala : If I compare my current platform to the one which we are testing now, the deviation is minimal in terms of marginal expression .
P.S. Reddy: That's right. That's it.
Lavanya Tottala : That means that is it -- high probability that we'

ll be able to shift because the historical...
P.S. Reddy: And it's not minimal . As I told you, it is exactly the same should happen as far as the parallel run is concerned. It cannot be a deviation, okay? So when it comes to trade, there can be a deviation because orders and trades, there will be certain functionalities which we have it in T7. Some kind of function alities, they are not there, et cetera. For which reason, there may be deviation. That deviation happened to be in a few decimals. That's what I'm saying.
Lavanya Tottala : Got it. Okay. So is it right to assume that there's high probability that we'll be shifting to the new platform within the time line?
P.S. Reddy: Otherwise, also, we have to shift it, and we are -- that's what we are making all of these efforts .
Lavanya Tottala : Okay. So , for the audits, how much timeline that we are looking at to finish the audit that started now?
P.S. Reddy: Audit supposed to take -- I mean it's already started, I mean, so it cannot be more than maybe two weeks, maximum three, that's it .
Lavanya Tottala : Okay. Got it. Just on the tax part. So, we had higher tax in this quarter. So, anything specific reason?
Satyajeet Bolar : Ma'am, see , as for the accounting standards, when we prepare the company's budget, so the budget is prepared at the beginning of the year, right? So , when we had prepared the budget, there are certain expectations, and so when we come to the last quarter, it is prepared as per the actual s. So obviously, there is

a difference because we had anticipated when we prepared the budget that we would go live, so the depreciation charge would be high. And the budget will not revise, and therefore, until December, we have to go by the budget and not by the actual. When you come to the last quarter, we have to go by the actual s. That's why there's a difference. But if you look at the budget and the income tax rate for the whole year, it is at around 23%, which is in line with what we had said at the beginning of the year earl ier.
Lavanya Tottala : So, that will be the same for the upcoming year also?
Satyajeet Bolar : And see, this year also -- yes, more or less, yes.
Moderator: Thank you. We'll take the next question from the line of Vivek Sethia from HDFC Securities. Please go ahead.
Vivek Sethia : So the two questions I have are relating to the expense side on the financials. One is pertaining to the software service expense. So just a tec hnicality on that, like you just explained about live trading, right, sir? I want to rephrase it and ask it to you again. So say, for example, in the current live environment, have you tested the TCS software along with the 63 Moons software on a live basi s in a live environment? Is that testing still going on? And if not, when do you expect to start doing that?

P.S. Reddy: No, it doesn't happen anywhere like that anywhere in the world, okay? What they do is actually, they take the data of the existing system are pumped in there and then see whether the trades are coming out properly or not. And so is the margins, et cetera. That's what the parallel run is all about.
Vivek Sethia : But does that happen on that immediate basis when the orders come in, or does that happen at a later time?
Moderator: Thank you for patiently holding. Ladies and gentlemen, we have the management line back in the call. Please repeat your question, Mr. Sethia.
P.S. Reddy: No, I understand. Yes, you tell -- I said that's h ow parallel run is done. That's what I said to Mr. Sethia.

Vivek Sethia : So, I want to ask, that is does, say, for example, if the trade happen now, is the testing happening like now on that platform , or is happening here after some time?
P.S. Reddy: No. It's not done that way. So , what's

essentially asking is every order going into 63 Moons, is it parallelly going into the T7 is what you're put, understand. No, no, it doesn't happen like that. It is not happening like that. We have taking old data . Yes, it won't happen. We are taking the old data, old trades, old orders, okay? We're trying and pumping the identical orders in the same sequence in each orders have been generated and then see the output of it.
Vivek Sethia : Okay. And for Q1 because this e xtension goes into Q1, what ex the software expense should we estimate for Q1? Will it be the same as Q4 or high or low?
Satyajeet Bolar : We have already given the figures in December.
P.S. Reddy: January. And INR81 crores is what we have signed up for in the current quarter is what we have explained.
Vivek Sethia : Yes. So , we can see the expense to be INR87 crores. So , what is this incremental INR6 crores about? And will that be there in Q1 again?
Satyajeet Bolar : No, I didn't get you. We did INR87 cror es. On a consolidated basis, it's INR81 crores, plus the GST and all that. So , I mean INR87 crores is I didn't get the INR87 crores part.
Vivek Sethia : 874 million ?
Satyajeet Bolar : I beg your pardon?
Vivek Sethia : Is it INR 81 crores plus GST, that's the total software expense, right?
P.S. Reddy: I mean they are asking where is this INR 87 crores ?... Where did you see tha t...
Vivek Sethia : It's in the financials, right?
P.S. Reddy: INR 87.94 crores , that is Q3.

Vivek Sethia : No. If you look at Page 2 of your results PDF within expenses, the second part, software support charges and product license fees, INR8,738 lakhs.
Satyajeet Bolar : I'm sorry, that includes product license fees. That includes the fees that we pay to CME.
Vivek Sethia : Okay. So INR81 crores, it's for 63 Moons and balance is to CM E other license. Okay. And just one more question on the other expense side, like I have been seeing for the past three years or the fourth quarter, the other expense is always on the higher side if you look at it sequentially. So , is there any specific type of expense that happened in Q4? Like why is the expense higher in Q4, the other operating expense? And based on that, like how should we estimate the other operating expenses for each quarter, if you could give us a rough idea?
Satyajeet Bolar : See, if you look at the other expenses, I'm looking at it from the stand -alone, it's INR11.63 crores. And for December, it was INR10.63 crores .
Vivek Sethia : On a consolidated basis, it's INR14 crores and INR12.8 crores?
Satyajeet Bolar : Just give me a minute. So consolidated basis, what the clearing corporation does is there any expenses towards CSR, which they take at the last quarter. So, there are CSR expenses in the last quarter.
Vivek Se thia: Okay. Fair enough. So , this is just the CSR expenses because of which the other operating expenses are higher in Q4, right?
Satyajeet Bolar : Yes. That's one item. That's a maybe item. I got it INR14.33 crores as against INR12.84 crores, that's right? In figures. Yes, it's basically because of -- the one major chunk is the CSR expense.

Vivek Sethia : Sure. Okay. And if you could just repeat the breakup of options and futures revenue for Q4 and FY '23.
Satyajeet Bolar : The Q4 is 51% for futures. And obvi ously, the balance is options. And if you come for the full year. Full year, it's -- yes, full year is the same. 59% and 41%. Futures is 59%. 41% is option.
Vivek Sethia : Future is 59%, and option is 41% for FY '23.

Satyajeet Bolar : For the quarter, it is 51% for futures and 49% for option s.
Vivek Sethia : Understood. And just one more thing on -- okay, yes, you've answered that.
Moderator: Thank you. We take the next question from the line of Karthik V from Invest

ec.
Please go ahead.
Karthik V: So when I look at our options volume in crude, is the fact that there's a cash settled a primary driver for higher options activity in the crude segment? That is question one.
P.S. Reddy: Yes, go ahead. Question one .
Karthik V: The second one is we see some huge seasonality in terms of how the futures have been behaving. And when we take a step back and look at the overall evolution of our options, it looks like a lot of our futures volumes is now getting cannibalized by options. We've not seen any reviv al there despite reasonable volatility in underlying commodity. So , is it right to say that the futures are now getting cannibalized by options and futures and hence may continue to decline as a proportion? That is one.
Is there an upward feeling with respect to the options -to-futures ratio that we usually see because eve n in NFC, there is a, let's say, 15x or 20x of an upper limit to where options trade versus the underlying. Those are the three questions on the product segment. I have one more on the tech transition, which will come 1Q and to these times.
P.S. Reddy: Okay. First of all, there is no such limit. The last question first. That's point number one. The second issue is that whether futures is getting cannibalized.
My answer is , without futures, there will be no option because these are options on futures. And it may be a temporary phenomenon as the options has picked up very recently in the last 1.5 years. I think it is yet to settle down in terms of realization from the members that futures is , as much important as the options is.
And whether it is a cash-settled product that is going up, no doubt, cash -settled products are the darling of the market. And there's no doubt about that part of it. That's all I can say.

Karthik V: And sir, globally, do you see any other markets where commodity options are a large component of trading activities?
P.S. Reddy: Usually, options are 20% of the futures, but it is on the reverse side. That's the way it is in India. And that is true in the equity markets also. You must have seen that.
Karthik V: Okay. And I want a few clarifications on the tech transition. It looks like you are essentially embarking on changing the entire matching algorithm. Is that the right way to categorize the transition that you're currently doing?
And secondly, if in future, if there is any is sue with respect to matching and effectively price discovery, would the exchange be liable for it?
P.S. Reddy: First of all, it is wrong to presume that we are changing the matching algorithm. The reason being is , that this T7 platform is already built in the other exchange, and they are running all that. So , price, time, priority remains the same, and that is the cardinal, our holy grail of the matching medium. It is just that certain types of orders are not permitted. So , the match -- that orders don't ge t matched here. And obviously, upfront, we don't permit such orders. So that is the only difference. Otherwise, there is no change in that. So, what we have here is T7 is there in the -- in BSE. They are running it, the same matching logic.
Karthik V: I see. So , what we are trying to grapple with, and excuse me if my understanding is poor here, is if you're using the same matching algorithm and, in fact, if you own the rights for the underlying technology from 63 Moons,

except that their support is not there for you to really take advantage of. What
is the role of TCS here in terms of the entire overhaul that is happening? If you
could maybe explain it in that regard.
And lastly, from a regulatory approval perspective, when do you approach
SEBI to approve for this transition? Those are the last questions. Thank you.
P.S. Reddy: Yes. And see that -- as we have a license from 63 Moons, we have also license
from T7

-- not from T7, TCS to use the application. Not that we have any other
kind of source code or access to the source code. So obviously, the -- only they
can fix it, or they can only enhance it. So , in that sense, it remained the same.

And in terms of TCS services, yes, they will continue to -- at least for 6 years,
it is already there. And going forward also, as we keep paying the AMC, we
have a perpetual license to use it. That's the way it is.
Moderator: We take the next question from the line of Subramanian Iyer: from Morgan
Stanley. Please go ahead.
Subramanian Iyer: I just wanted to confirm a few numbers . So on the tax rate, for the next year,
should we be assuming something like 21% or 22%?
Satyajeet Bolar: Yes, I won't be able to tell you upfront what, but I'd just like to tell you 2 things.
One is that we are now from a -- once we go live, depreciation would kick in,
right? So the depreciation part would be a major part of that. So that will
obviously impact our tax working.
Second thing is that we do not -- earlier last year, we had investments in tax -
free bonds, which we do not have. And we do not have now presently any long -
term capital loss, which we have fully adjusted. So going forward, it would be
at the same range at which we are presently at -- had for financial year March
'23.
Subramanian Iyer: Got it. And you gave the breakup of futures and options in terms of percentages
given that we don't have that transaction fee number, I'm just confirming what
I get by doing some calculations based on your numbers. So futures is INR55
crores. Options is INR53 crores, and the operating revenue is INR25 crores.
Does that make sense?
Satyajeet Bolar: I've got future at INR55 crores, and options is INR52 crores.
Subramanian Iyer: INR52 crores, okay. That helps. And lastly, the loss from associates' number
was s lightly higher this quarter. I mean what's that number exactly?
Satyajeet Bolar: That is because we hold -- see, last year, while we had invested in IIBX, IIBX
was not an associate. Our investments as on 31st of March was below 20%.
But this year, our inve stments in IIBX, the international exchange in Gift City,
it's an associate. So since they just started operations, they've undergone --
they're making some losses. And our share of the loss has been reflected in our
consolidated financials.

Moderator: Thank you. We take next question from the line of Sanjay Kumar from ithought
PMS. Please go ahead.
Sanjay Kumar: Just a clarification on a previous question. So breakup of the revenue of
INR133 crores, futures is INR55 crores, options is INR52 crores, right? And
transaction income was -- other income was?
Satyajeet Bolar: The other income is a balance of 133 minus 108.
Sanjay Kumar: Okay INR25 crores. Okay. So my question was on the many contracts that we
had applied for. So have we launched anything in pipel ine? And lastly, we said
that we need certain minimum volumes in futures before launching the options
for the same mini contracts. So any time line for that?
P.S. Reddy: Yes, we have already launched 3 mini contracts, the moment we got this 1 in
metals. An d we also launched in crude oil as well as NG minimum -- the mini
contract. Just we have asked them for nickel and copper, and that's one. And
we have also got approval of the steel TMT bus, and once we go live in the
new platform, we will be launching tha t also.
Sanjay Kumar: But these are all the futures, right? And we are launching options also for these
mini contracts.
P.S. Reddy: No. Then you have to have a minimum volume of INR1,000 crores to launch...

Sanjay Kumar: INR1,000 crores, is it?
P.S. Reddy: That's right. Average.
Sanjay Kumar: And any update on the coal ministry on the coal exchange, sir? Is it that

or the
electricity derivatives?
P.S. Reddy: I think they have put up a statement. The coal minister has put up a statement of plan or whatever it is in the current financial year, what they're going to do it. One such important and relevant for us is the permitting the coal trading and spot exchange. And they said, we will put it in place by the end of this year. During this current year , that's what they said. It's there on their website.
Sanjay Kumar: And the electricity derivatives?

P.S. Reddy: Well, that is a jinxed contract, I would say, because we have not got anything so far, although we have been pursuing. And hopefully, we will g et something out of -- let's see. We are pursuing it.
Sanjay Kumar: So final one, if you look at the broker concentration, it seems to be very high, like Angel alone has 55% market share in commodities. So what is driving this? Are we putting in efforts to make it broad -based? Are you comfortable with the kind of concentration that we see?
P.S. Reddy: I think that is wrong. That's not correct. It is not that -- we are seeing top 10 accounts for so much, so much, so much. Top 5 accounts for so much. I don't think we have taken out any name from anybody.
Sanjay Kumar: Okay. This is the data from what Angel gives. The claimed that they have 55% market share in commodities.
P.S. Reddy: No, maybe a specific commodity, that probably -- that's where they may given. But top 10 members account for Q4, 63% is the concentration, top 10 members.
Moderator: We take the next question from the line of Anand Ladha from HDFC Mutual Fund. Please go ahead.
Anand Ladha: Sir, my question might be repetitive, but if you can answe r it, that would be helpful. So , if I had to look at our balance sheet, the capital work in progress and intangible and progress taken together is INR170-odd crores. This is the amount which we are spending for the -- on the technology side? And also, if we were to amortize or depreciate this amount, it will be depreciated over what period of time?
Satyajeet Bolar: Yes. So , this would be over a period of 6 to 8 years, and the figure doesn't include what we will additionally spen d. What we have made, either we have paid up or we have made provision for capital expenditures in 31st March. So , there will be some amounts which w ill still come in one thing before we go live. This is a substantial amount, and this will be spread over 6 to 8 years.
Anand Ladha: Okay. For the tech sector, we would only have AMC fees in our P&L going forward.

Satyajeet Bolar: That is for the new syste m. So , we have -- one is for the first year, we won't be paying anything to TCS because it is under warranty. The second year onwards, AMC will start. But for the operating licenses and application licenses, we'll have to pay the license fee. So that would come -- that would be there. And in addition, they would be at the back end. So , the back -office view, I mean, for nontrading, we would need -- we'll have our own IT system, isn't it? So , you have to maintain that also.
Moderator: We'll take your next que stion from the line of D Anand from White Oak Capital. Please go ahead.
Moderator: I'm sorry to interrupt. So , we are still not able to hear you. You may come in a little close to our network area and then ask your question again.
D Anand: Well, speaking o f that, I'll come back in the queue.
Moderator: We'll take a next question from the line of Devansh Nigotia from SiMPL. Please go ahead.
Devansh Nigotia: Just wanted to understand the test cases are 96% to 97%, but why is the coverage of members participat ing in the mock trials is180 out of 600? That is one. And another is that can you -- I mean are we seeing any reluctant from smaller members who partici

pated in mocks? Can they show -- can you not
participate actively? Is that a possibility? And can that a lso delay our timeline?
P.S. Reddy: Okay. See, actually, on any given day, about 380 members to 400 members only participate. That's point number one.
Second, on the exchange. All those 600 numbers are there , they are all many - - some have surrendered, som e have, what we call, remaining active, etcetera, etcetera. So going by the registered numbers, maybe that's misleading, that number. So -- but the active is about 360, 380, sometimes 400 , maximum , like that. So that's on e part of it . And now we are actively engaging them. And whose ever is contributing maybe, I would say, 95% of the business, they are all ther e, kind of things.

So, we are very focused on it, no doubt. But we tell them to come over. We handhold smaller players actually. We want all of them to be on the platform. And I think as we come closer, they will come. That's one point.
Second thing, we have not changed anything, but the APIs remain the same. As a result of which, they are confident that it will happen. That is the way it is. The APIs remain the same for many.
Devansh Nigotia: Okay. And sir, just a re -clarification on the capex amount that you mentioned, so it has been increased up by INR50 crores in intangible and INR10 crores in savings , and directionally -- indirectly look like the INR300 crores, INR350 crores capex that you are expecting to do with in TCS. So , can you help us understand that this INR60 crores, which is already capitalize d… for additional expenses to TCS , will be over a nd above this or it includes these already?
P.S. Reddy: As far as TCS expense still balance is there. But we can't tell you, quantify it , and then this much will be there. But yes, whatever we have shown is so much we can disclose.
Satyajeet Bolar: The sub stantial amount of the... That's what is substantial amount of the entire project cost.
Devansh Nigotia: And the maintenance capex , how will it -- going forward, how much will be the maintenance capex ? And also then you mentioned that there is a system refresh, which happens within 5, 6 years. And you also highlighted that the quantum of capex is significant. So , can you directionally help us understand what is generally the quantum? Let's say, we have been with 63 Moons for such a long period of time. If I consider a similar situation, how much this refresh of capex that happens after any -- what kind of quantum look like?
Satyajeet Bolar: The capex , it would be a continuous process, isn't it, of -- there's a continuous process of refreshing the technology, hardware and soft -- hardware that would be continued. So , we won't wait for 3 to -- I mean at the end of 5 years or 6 years. So that will keep happening. And the TCS part, again, after we have presently 6 years, 1 is under warranty and then another 5 years. So , then we'll -- and understand , for the 5 years, it's still single digits in crores but all single

digits. Now obviously, it is linked to the consumer price index. So , it would be accordin gly factored.
Devansh Nigotia: So historically, that maintenance capex has been around INR20 crores. Going forward, how do we see that number shaping up?
Satyajeet Bolar: It would be difficult for me to give you a point of view and figure at this point of time.
Moderator: We take the next question from the line of Mitali Shingla from Jagani Investments. Please go ahead.
Mitali Shingla: So, my question is apart from performing an audit, what are the other factors that can prevent you from launching the new system?
P.S. Reddy: We -- I mean, at this point in time, all processes are in place, and all the works are happening. And at least, I, myself, don't see shows

topper. That's the way it is at this point in time.
Mitali Shingla: Okay. So , like after this audit, it's kind of like you can go live, right?
P.S. Reddy: That's right.
Moderator: We take next question from the line of Meet Jagade from Jagade Investments. Please go ahead.

Meet Jagade: Yes. So , my first question, if the TCS model, the software, which we have given the TCS, is the same order, which order of FT, right, financial capability. Like, the source code will remain with the TCS, and we will be paying this license fee. Then why we have -- why there was a need for changing the vendor? What was the reason in taking on this risk?
P.S. Reddy: See, we have floated a tender. Obviously, we are a public institution. I think in the past also, we have said , and it is open , even 63 Moons also would ha ve been evaluated, and they would have also been scored a few higher points. I can tell you that. But then they chose not to participate. And tomorrow, maybe in the analyst call, somebody would have asked why I have not gone through

RFP route. I think we a re a public institution where it is important that we go through the RFP route, and they didn't participate in RFP.
Meet Jagade: So, what I understand is the capex , which we will incur will be over and above the license fee, which we would have paid, right ? I mean that would have been avoided if you -- we continued to this FT platform. Just want to get an idea.
P.S. Reddy: I'm sorry I didn't get you.
Meet Jagade: The capex , which we will be paying to this TCS, which we have already shown as capital work in progress and which will be capitalized once we go live, will have been totally avoided if we continued with financial technologies. Is that true?
P.S. Reddy: Well, there will be another different terms of conditions. We do not foresee what would have been those terms and conditions now.
Moderator: We take next question from the line of Rajesh Mehta, an investor. Please go ahead.
Rajesh Mehta: Sir, just a very simple question. We've been doing the software transition for at least overdue for 3 quarters now. And I understand that you don't foresee any showstopper. So , is it fair for investors to assume that come July 1, you will have the TCS live and running and that, therefore, we should not expect any -- or there is no thought, no process, no system right n ow to go back to 63 Moons for any contract extension?
P.S. Reddy: Look, all our endeavour is to make it happen, okay? That's what the interim management, the team and TCS , every one of us are committed. Day in and day out, we have been working to make it happen. Now I can't foresee any black swan events or some kind of nasty surprises coming. At this point in time, my -- with my understanding of the work that is going on, I don't for esee any showstoppers. But we wanted to make it happen. I understand the time is a constraint, and we are racing ahead of time -- I mean, in this time. And we should do what is the best possible under these circumstances. And we are doing it. We are not wa iting for any kind of push or anything like that. We are just doing it. We want to go ahead. That's the way it is.

Rajesh Mehta: I appreciate that. Just a couple of things on this. From an investor perspective, when will we get the clarity? Would it be the last week of June when we will know whether there is an extension or whether we are sure to go live? Because it's cutting the edge too close at least as far as investor is concerned. So , I was wondering when will we, as investors, know exactly what the si tuation is?
P.S. Reddy: So, we will be issuing the market, what we call a circular, when things are done kind of thing. And we are constantly engaging also. So almost all whenever we hold, I mean, wee

kly price are 4 times in a week. We are conducting mock sessions. So , we're issuing it. And we are engaging with active member brokers, and we'll communicate.
Rajesh Mehta: Sir, on the last one on the TCS contract, sir, now that the contract rollout has been delayed by 3 quarters. On a hypothetical basis, every quarter of delay, does it add to your overall cost of the project and, therefore, the P&L debits keep on increasing whenever it goes live?
P.S. Reddy: I see there is nothing to do with -- it is impacting in our, what we call P&L because of the payment tha t we have to make to the current vendor, but nothing beyond.

Rajesh Mehta: Sir, the last question is purely to understand the logic of the transition. From a P&L debit perspective, we don't get any additional benefit to visibility, earlier 63 Moons contrac t. I am trying to understand whether on a functionality and features basis, the new software will provide any additional benefit to either the exchange or to the members.

P.S. Reddy: Look, the -- I mean the assessment when they made our technology, obvious ly, it is scalable and etcetera, etcetera. And obviously, T7 platform is proven platform. And Bancs independently has also a proven technology platform. And that's what the whole effort is to get a better platform for a good experience of the members, inve stors, etcetera. And then once this platform implementation is behind us, I think there's no looking back.

Moderator: Ladies and gentlemen, we have reached the end of the question -and-answer session. And I'd now like to hand the conference back over to Mr. Reddy for closing comments. Over to you, sir.

P.S. Reddy: Thank you very much, and I understand that the technology platform is the one which is causing a lot of anxiety among the investors. And as management, as the management team, with all it might, we will throw behind it and make sure -- we are making all efforts, all our endeavour to make it happen and make it live before 30th of June. And we need all your support and that's what we are looking for all our stakeholders also to understand. Thank you so much.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of MCX, that con cludes this conference. Thank you for joining with us. Y ou may now disconnect your lines.

Call: Jun 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2233 June 12, 2023
The Dy. General Manager
Corporate Relations & Service Dept.
BSE Limited,
P.J. Towers, Dalal Street,
Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX
Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr. No	Investor/Analysts	Date	Time	Annexure
1.	Group Investor Call hosted by UBS Securities India	June 05, 2023	04:00 PM	Annexure - A

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,
For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl: As above
 Multi Commodity Exchange of India Limited
Meeting with
Group Investor call hosted by UBS Securities India
June 05 , 2023
Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there ma y be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward -looking statements " – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates, "intends", "plans", "believe s", "seeks", "should" or "will". Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different that those expressed in our forward -looking s tatements. We do not undertake to update our forward -looking statements.
Annexure - A
Multi Commodity Exchange of India Limited
June 05,2023

MANAGEMENT : MR. P.S. REDDY – MD & CEO
MR. SATYAJEET BOLAR – CFO
MR. DG PRAVEEN – CRIO

Lavanya Tottala: I have got the … yes, so the recording for the meeting has started. So, I would request this is a small group meeting . I would request participants to keep it as interactive as possible. So, you could raise your hands if you have any questions so that I can moderate or you can just unmute yourself and go ahead with the question. So, maybe sir to start with I would ask on the question on how do you see on the software shift and what's the what's the timeline and the progress as of now, any comments there would be really helpful?

P.S. Reddy: Sure. On the technology shift or the migration, we are all working towards that. I think we have taken time , in fact the shareholders were very patient , and I think we were to go live in the month of September I think we got a 6-month extension from Jan to June, but this time we are determined to go with all the functionalities which are needed for going live. Having said this, I also said in the meeting that we had a very good success rate in terms of number of test cases which we hav e passed through , and all that has happened. We have also already alerted the member brokers that we are going to go live this month , exact date maybe, you know, it could be only on a weekend , we can , or the week beginning of the week. So, obviously weeken d we will be transferring all the online trading data and then the transactions data, then we will go live. So, say mocks are available and many members are participating in these mocks that are happening especially on Saturdays they are happening , because that is from the DC. On other days it takes place from DR and full data is being transferred. Of course, the OLTP data will be late, late in the sense a little older , maybe 15 days to one month data, but otherwise we are we are gave we are exposing full d ata set to the member brokers, and we are very keen to go live that's what all our endeavor is , unless some last-minute glitches come, and which holds us back from going forward.

Lavanya Tottala: Got it sir , so this is really helpful. So, maybe just taking , add with the last part which you have mentioned like if we have or if we face any glitches, so what is the like this next option or how are we planning to handle it , maybe I would put it that way like if there are any glitches how much grace period do we have to handle those glitches at this point of time?

P.S. Reddy: You see that is the reason why we are we are currently doing the mocks throughout this month , I mean up to maybe last week or before the last week we will be doing it and maybe we will be, we will be planning , or we may be releasing circular in the middle of the month when we will be going live. So, that by that time we will get a complete hands -on in the sense of the term that we will, we would have run glitch free systems and we will say now we are going ahead on such and such date this month only , that's the way it is. What is plan B ? I think Plan B will be nothing but going back to the 63 MMoons that's the way the Plan B is. There is no other way that we can manage it, which again is been eroding the shareholders' wealth or whatever the reserves that we have. So, that is what we are least interested in doing it, but God forbid if that is the only way to happen , there is no other way. We are making all our effort s; we are leaving no stone unturned to make this go live this month.

Lavanya Tottala: Got it. So, if we are going to 63 Moons we don't have any price or negotiation yet, like would it be continuing with the current rate which you are paying now?

P.S. Reddy: I will not be able to disclose anything on that...

Lavanya Tottala: Okay got it . Thank you and I would request participants to please go ahead if you hav

e any questions or you can raise your hand in case of any questions .

Shalin please go ahead.

Shaleen: Hi sir, can you hear me?

Lavanya Tottala: We can hear you.

Shaleen: So, sir what may determine that we are ready.

P.S. Reddy: Please introduce yourself.

Shaleen: Sir, Shaleen this side from UBS . I work with Lavanya . Sir the question is that what could be the recommended factors here that we can go ahead, or we have to go back to 63 Moons , it's just a n audit report we are waiting for or is there some test results right, so what is the detrimental factor like because we are in

the June, right? So, maybe in next one, two weeks we are thinking of going, so is there any decision maker , board , who will deter mine this , if it's going to be our decision?

P.S. Reddy: Well, definitely we will take into confidence the board and the SCT into account and see what will be the determining obviously when we are running these, these mock runs and members participate and they should get whatever transaction they do their output right and the members have to actively participate in and confirm to us yes we are all there. So, that is what we are looking forward to and we did give the files to the members and they have to verify and confirm that yes this is all happening correct , that's what the issue is and we are we are, we are working on it and these are all parallel that's happening including the mock runs , the audits etcetera , etc., they are all parallelly happening.

Shaleen: So, the mock runs are happening parallel and audits are happening, but you do you need to go back to the board for that again , and then get updated or is it?

P.S. Reddy: We will take them into confidence , if there are any risks we will clarify. We will definitely place before the board.

Shaleen: And sir , is there any, there is no regulatory hurdle here right , that in terms of the qualification of the software or the error etcetera that we need to witness that?

P.S. Reddy: Our regulator expects us to run the systems glitch free and make sure that investors are not inconvenienced etcetera , etc., and that's what their ask would be.

Shaleen: Yes obviously , that's obvious, but in terms of pre there's no pre -requirement right that that's just led there's certain parameters that is that are required , that is nothing like?

P.S. Reddy: I have not seen any pre -requireme nt or anything like that yes, that's right to my knowledge.

Shaleen: Sure, sure, sure that's it from my …

Lavanya Tottala: Yes, thank you Shal een. So, we have a question from Bhavesh, Bhavesh please go ahead just introduce yourself before going ahead.

Bhave sh: Sure, thank you. Sir, this is Bhavesh from Mosaic. Mr. Reddy thank you very much for doing this meeting. So, once we transition, you know to the new platform of course the software cost that we are paying to 63 Moons right now will go away. And what will come is a component of amortization costs as well as some annual maintenance costs that we'll be paying to TCS. Now again, you know, from all the comments etcetera that I have attended your calls in the past, the numb er that I am getting and again even looking at the CAPEX that you have done which is visible in your annual account and getting an approximate number of 6% to 7% of your topline as AMC plus amortization costs. Now, I am aware that AMC will not be applicabl e on year 2, but from year 2 when AMC cost kicks in and assuming amortization cost of whatever you amortize over 6 -7 years and getting a number of approximately 7% of topline. So, my first question is that , is this understanding, correct?
P.S. Reddy: Well, you see the topline keeps changing and if we are doing better than that , that will come down also. So, these are mo

re or less kind of a fixed cost in that sense for me year -on-year recurring, but then they are all fixed , it will not vary. So, it all depen ds on how better we perform , that is why incrementally there won't be any additional costs if we do better, but maybe you are right, whatever the numbers you got, but I am not done that , back of the envelope calculations , maybe CFO may clarify.
Satyajeet B olar: So, I mean just remember that there also be some operating cost that we will be incurring for our application software okay , so that would be an additional , not consider ed.
Bhavesh: Okay, okay, but in general there will be a kind of claiming that cle arly if you look at, I mean FY23 was clearly a very exceptional year where we are paying excess payments to 63 Moons , but if we see a little more, you know, in the history what we get is approximately 13% to 14% to 15% kind of topline spend s on technology c osts this should directionally come down as we

successfully transition to new platform. So, this understanding is broadly correct.
P.S. Reddy: Yes, this should directionally come down. Yes, that is understanding is correct.
Bhavesh : Okay , okay sir , secondly on the mini contracts, you know which SEBI, you know, had banned in FY19 -20, they have now allowed back in Jan, Feb, so what is the status now and to start with , how big of, you know, this mini contracts work for us in terms of overall trading vo lume then and how do you expect, you know, traders and participants to come back and what is the initial feedback , if you can share some thoughts?
P.S. Reddy: On the mini contracts we have introduced Crude and NG as well as aluminum , lead and zinc , and at one time they were contributing , depending on the kind of product that we had , in the range of 20% to 27%, 30% kind of thing , and although we have introduced them , they are slow to pick -up and as of now you know it's not as much as much as we expected beca use we're just , it's about 7 - 8 months old , all these contracts have been introduced still there are two other big contracts which we have not introduced that is the copper and nickel because it's not only the mini contract , even the trading and delivery un its will be different if we have to go for these two contracts. In fact, the volumes in those two contracts were also very large in the past. So, we could not, you know, do that , because of the regulatory requirements. We have made an application , hopefull y we should be able to get that, but if once the whole set of players who were there earlier , the mini participants come back again , we should see about 20% to 25% contribution by these mini contracts to the respective total contract , total product contrac t, product size.
Bhavesh : And so , what was the reason of regulator banning these contracts in the past , first I mean what's the reason for that and why they have allowed again today?
P.S. Reddy: There was a perception that liquidity was getting fragmented because mini contracts were introduced, but then our view was no, it was not getting fragmented. The smaller players stayed in these mini contracts because unlike in equities where you buy one lot means one share kind of thing. Here one lot mean s it is as good as one ton of aluminum or whatever that is , and that itself

is a big one. Now in the main contract one lot means 5 tons, 5 tons is very big maybe 5,00,000 of rupees on which Rs. 50,000 even if you take 10% margin it is a Rs. 50,000 margin. So, it's expensive for them to participate that was the reason why they have quit, but the kind of suspicion that they had was unfounded. So, we went back to the CDAC and made a presentation , what is what , then I think it is restored now.
Bhavesh : So, so t he earlier perception was

that these mini contracts are fragmenting the liquidity or it is not , it is basically , it is not helping the liquidity and hence it was being banned?
P.S. Reddy: That is right.
Bhavesh : So, my third question is around FII partici pation. Now, I am aware that SEBI has allowed the FII participation, but I'm just really curious to know that why would a typical FII would like to hedge through MCX when they already have options and they already pretty well registered in most of the glob al exchanges, so why would you know an FII would be interested to take an exposure through you know , through MCX or just or any other new exchange , to put it in that context?
P.S. Reddy: See, the spread benefits are unique or to the to the exchange where they are getting traded , okay the interest gap between the near month and then for month will not be the same in every exchange , is identical, isn't it? So, if they want to play in that in tha t particular region then they will play there , so that means they buy the near month and then sell the for month and then if that benefit is about 12%, 13% or even 15% they take advantage of it that is one, you know, one major this one and that's happening by the way. So, that is one part of it. The second part of it is maybe some of them have got an international exposure and then at the same time they will take the opposite leg , maybe position in this market and that's another reason why they maybe , they want to participate in this. So, it's not necessarily they are all speculators and then , there is one , vibrant markets are there elsewhere for speculation, so why should they come to India and speculate , okay , that could , that may hold good if they are all speculators, but that's not the case.

Bhavesh : Sir, and on the domestic mutual fund and AIF, what is the kind of response you are seeing , are they coming . I believe there were some issues around the GST registration etcetera which was , which you , which so mething had to be , and also where are we in that journey?
P.S. Reddy: Yes, I think by and large they are all there , in mostly they are active in the gold contract and maybe some of them have participated in some agree contract especially the cotton, but yes , there are issues centered around the GST and there is a there is a big challenge out there, but if they don't wa nt to take delivery then definitely they will be able to trade and that's not an issue, not necessarily they should take delivery by the way , that is the way it is, but if they want to go for a spread margin benefit , then they have to necessarily take delivery in the near -month and then sell it in the far-month , so for which they have to take delivery.
Bhavesh : Okay, but do you expect all these operational hurdles to smoothen out as the volume picks up , maybe your you know engagement with the regulator, so where does it require , I mean, how do we smoothen out these operational hurdles that the participants are facing?
P.S. Reddy: Yes, on the GST front, I think we have engaged quite long enough with the Government . I think in this present structure of GST , where there is a GST , CGST , there are IGST, there are three separate laws, maybe the challenge to make it , if it happens there is nothing like it, but pending that we have also given an alternative proposal where the warehouses for some of these products could be kept in a free trade warehousing zones where certain laws are not applicable, certain things are not applicable unless you move the material into a domestic tariff area and I think that is under active examination of the Government and other regulato ry authorities. If that happens , also again , our problems to a great extent are mitigated.
Bhavesh : Okay sir , sir my last question from my side, you know, some of the other new

business segments that,

you know historically we have spoken about you
know, so I had have gone through some of the past, you know, recordings as
well as all the transcripts , I have seen currency exc hange being talked about or

coal spot exchange talked about , even electricity derivatives is something
which you have…in the last concall, but in general what are the more avenues
that MCX can explore over say in medium -to-long term which can add more
growth drivers to the business?
P.S. Reddy: I think , to put thin gs in perspective what we said currency when somebody
asked me what is the next logical progression for exchange then I said , that
after our trading platform stabilizes maybe step in that direction is not any
equities or anything, but then the step in righ t direction is toward the currency
because we are trading in international commodities probably the people who
are currently doing two leg hedging one on currency, one on the metal price , I
think they don't need to go to two different exchanges probably th ey can do it
on the same exchange that's the logical progression is what I have hinte d if I
am not mistaken , I think that is the way it holds good. So, let us know let us
migrate to a new platform then we will think of all those things. On the
electricity derivatives contract , yes, it's still pending with the government
regulators, we have been as I said it is a jinx ed contract and we have been
waiting for their approval for a long time. We have not got as yet. On the issue
of coal spot exchange. Coal spot exchange , Government has put up the Coal
Ministry has put up what is their roadmap for the next the current financial year
for 23 -24. One of the things is, to put in place the regulatory framework for
launching coal spot exchange so that's the way it is. S o, we are also very keen
to pursue that matter with metal junction , MJunction, which we have, you
know, an agreement or MOU with them. Then another product which we have
got already in April , is Steel TMT Bar s and I think , a month or two ago we got
the app roval , and we propose to launch , once our platform is inaugurated , that's
the way it is.
Bhavesh : Okay sir and sir what are we doing in the coal spot ? I believe we have some
international we have a JV in Gujarat GIFT City, so I mean if you can just
share some thoughts there's something which we are doing in gold spot where
through GIFT City, Gujarat GIFT City?
P.S. Reddy: Yes, you see, there is a spot e xchange setup . International Bullion Exchange in
the GIFT City where five of the , I mean three leading exchanges , mean MCX

and NCX, NSE, BSE, NSE and MCX and CDSL NSDL have taken equal
stakes and then set up that exchange and that exchange is yet to start full-
fledged operations . While the regulatory framework is falling in place, maybe
slower than we expected it to and some of the , what you call , expectations are
met slowly, but that is something there is no competition out there and the
management of thos e respective exchanges are the Exchange , and depositor ies
are working to make it profitable. So, hopefully we should be able to see some
light in the next financial year. They just they started in the month of July last
year and I think we should give them some time to, you know, come out with
flying colors.
Bhavesh : Okay and MCX has 20% share.
P.S. Reddy: That is right , all are , everybody has got 20% equal share.
Bhavesh : Thank you. Thank you sir , thank you very much.
Lavanya Tottala: Thank you. Thank you so much. We have a question from Sanjay Singh from
Pine Bridge. Please go ahead.
Sanjay Singh : Hi sir , thank you for taking my question . Just one understanding regarding the
testing for the new software , have we reached out to all brokers or it's only a
select set of la

rger brokers which … which is doing this testing , mock testing?
P.S. Reddy: Well, there is no select to reach out , we issue d a circular and everybody ’s data
is uploaded , so anybody can participate, but obviously those who are active

and then who have their skin-in-the-game , they always want to be testing their
software , working. So, that's how it. So, it is open to everybody.
Sanjay Singh : But do you have anything , how ma ny percentage of the active members are
spreading with you in mock testing?
P.S. Reddy: More than 90% have already , you know those who have , who are trading they
all have tested it . I mean who have already traded in mock , participated in
mock.

Sanjay Singh : And any kind of hardware etcetera whatever needs to be installed has already
been done with all the active members?
P.S. Reddy: Everything , it is a full -fledged system in place , full-fledged system.
Sanjay Singh : And on the, if I look at your Q4 number , annual number you know there is a
CWIP now , intangibles for around 117 crores , which is I assume will be largely
because of the new software . Now is it a large portion or 80%, 90% of the cost
is there in CWIP or there is a much more needs to come in the CWIP once the
software gets installed?
P.S. Reddy: Well, I think any number of percentage will reveal what the full amount is, so
it is not fair to tell anything about that part of it, but it's a good amount of
hardware com ponent has already been put in place.
Sanjay Singh : Okay fine. Thank you , thank you sir this is all from my side, I appreciate your
time.
Lavanya Tottala: Thank you. I request participants to raise hands in case if you have any
questions. So, in the meanwhile sir , I just wanted to go back on the question
earlier and try to understand if , did you get any feedback from your consumers
or the ones who have used , traders , in terms of the new platform versus the
earlier one any feedback how they're the ease of use or the UI or any sense
there?
P.S. Reddy: Well, you see we have already informed the member brokers we are not
changing the APIs, file formats etcetera. So, those members who are using their
own front -end software which are serviced by the various vendors or who have
their own thing , for them there is no problem for them the experience is going
to be as usual in that sense , okay. Now, incidentally, you know, that this is
already there in BSE , this T7 platform which is the front end. So, ther e is no
problem about at all. So, all that is , only that who members who are using TWS
- Trader Workstations , which is a very minuscule part of our volume, and they
may be having some differences they will see so that’s fine, but you know,
there are some e xchanges who have completely done away with the Trader
Workstation concept. They say that we will give you only APIs and you please

customize your own front end, so that's fine. We can , we have to, we have to
go with what we can offer at this point in time given the time constraints.
Lavanya Tottala: Got it. So, in terms of even the latency or the speed at which the thing happens
in the mock test, is it in terms of the , their feedback , is it similar to the existing
platform any?
P.S. Reddy: Latency there is no problem .
Lavanya Tottala: Okay , got it. So, we have a question from Manish Gupta. Please go ahead.
Manish Gupta : Hi sir , this is Manish from PAG . Sir my question was regarding the mock test
that you are running , what is the rate of bugs or incidence th at you are
experiencing there, you know, what kind of failures and so on , if you could
give any color on that?
P.S. Reddy: See, when the members, you know, most of them in fact 90% related to initial
login okay, So, many have now we have a two-factor authenti

cation etcetera ,
etc., so they find it difficult to log in into the system and some of them are
using the , although we have clarified substantially what they should do and we
have sent to them what kind of their login is, what is the password first time
etcetera, but still find it difficult. Similarly, some members get locked out or
go into the square -off mode because we have u ploaded the data related to the
members collaterals who have a , sometime in the month of May middle of May
or earlier than that. Now some of those instruments may have expired so if they

have expired then collateral will automatically brought down. So, the exposure that they have and the collateral that they have , system will put them in a square -off mode. So, these are the issues . Maybe current collateral if I take it , they may not have been out of the system, but because I can't expose the latest data at this point in time, that's why we are working with the old data, and these are the issues that are faced . And some members who are participating using their DR connection , which is a one MB connection. So, they will say that my what you call broadcast is s low, but somebody who is using lease l ine, they say your broadcast is very good, you know, when we go live , that the trading takes place from the DC that is the data center , primary data center where everybody has got a lease l ine, that is why Saturdays we are conducting to give a good

experience - primary data center. So, there I don’t think anybody says that my broadcast is slow that is slow all that kind of. Thank you.

Manish Gupta : Sir, do you think that by the time we go live on the new system these issues will be resolved and maybe say 95 or some, some percentage around that kind of, traders will be on board and ready to trade?

P.S. Reddy: We should be we should be otherwise what is th e purpose of migrating it I think we should be able to that's why all our efforts are that's why our BD team is only doing this approaching member brokers, asking them to test the system join and giving them , hand holding them all that is happening.

Manish Gupta : Okay and is there any quantifiable metrics that you're tracking that you know if we achieve that number in the mock test, we are good to go?

P.S. Reddy: There is there is no number, you know, we are using the trade generator also to give an experien ce of high volume for the member brokers there , algos to run, depending on the speed at which orders are getting pumped. So, I think , all that is happening, you know we are in touch with the main , I mean the member brokers the BD team is in touch with the … all their representatives and getting them the feedback. The day mock is over then immediately on the end of the day we take a review of what these observations are , whether specific to members are generic in nature. Accordingly, we keep addressing them.

Manish Gupta : Got it sir , and during migration from the old system to the new one , do you expect everything to go smooth?

P.S. Reddy: We have already migrated the legacy data , I think it is more than 20 years data or 10 years data . Definitely more than 10 years data we already migrated , and it is only that OLTP data is to be migrated which we will be doing it , that is online transaction processing data which can only happen on the last day.

Manish Gupta : Okay.

P.S. Reddy: Which is a small set of data.

Mani sh Gupta : Okay got it, thank you sir.

P.S. Reddy: Thank you.

Lavanya Tottala: Thank you. Bhavesh , you have a question ?

Bhavesh : Yes sure, thank you Sir , this is Bhavesh again from Mosaic. Sir, on settlement Guarantee Fund, I believe management was under discussion with the regulator to allow withdrawal of excess SGF or maybe you know , ma

ybe
fungibility of SGF so that you can you can help to , you can reduce a portion of your margin and have you know excess filter s, and you c an take out the excess filter and it is not only required, so where are we in this discussion, was this discussion move forward, was is allowed or where we are we in this journey?

P.S. Reddy: See, the ask was , once that we should be able to contribute additional and we should be able to withdraw whenever we don't need it , is the customers kind of thing and that has not been decided as yet, it is still with the risk management committee of JV of the SEBI and I think that's one ask that we have . All Exchanges put together also submitted a proposal and that is being examined. So, once that comes through then only, we will be able to comment on it.

Bhavesh : But just the current understanding , perspective , if the regulator permits you to withdraw excess SGF, you will be in a position to reduce the margin that you

are charging to the participants right now in various contracts and that will in
a way even create the volumes and then of course when you need to, y ou know,
I mean you don't, I mean don't take back SGF , you can take it back and then
accordingly increase the margin. So, this will help you to you know get more
trading volumes , is this understanding correct?
P.S. Reddy: That is right.
Bhavesh : And sir as we transition from old to new software there are very clear tangible
benefits that MCX will get. During your engagement with the regulators at any
point of time, have you got any sense that what should be the ROEs or the
margin thresholds that you know re gulator would be comfortable that MCX
should be getting or is it something that you know you would like to pass on

some of the pricing, some of the margin benefits that you will get in terms of
lower you know, rates exceeded any charged with the participan ts, so any
thoughts around this , that do you think that there could be relook at the pricing
that we charge to participants?
P.S. Reddy: See the regulators don't get into the commercials of the Exchanges , and as far
as possible they will stay away from tha t. They want a robust trading system.
They want a systems to run 24 by 7 and resilient and then meet the expectations
of the stakeholders. Now , whether it will save some money or increase puts
more money whatever it is, cost you more, it's up to us. Now wh atever the
benefit that we get, it is not immediate . I think we have to wait for some time
and recover the cost that we have incurred in the development of this project.
It's only thereafter we can look at what is the tangible benefit that comes to us.
Of course , pending at this point in time, we have in fact , in 2-3 calls also I have
made , at this point of the time, it is a kind of a no gain, no loss kind of thing .
Volumes increase , obviously there is no incremental expense out here and you
will only gain , that's what I said.
Bhavesh : And sir when we look at your revenue breakup components, you know from , I
mean , research services is very small , I believe even co -location. I couldn't
really see a very large component, so do you think these other forms of, you
know, revenue streams will start kicking in over a period of time or this is
something you would expect to remain very small?
P.S. Reddy: Sorry I didn't get your question; sorry I didn't hear.
Bhavesh : Sure. When we look at your revenue breakup, bulk of the revenue is driven by
transaction, transaction revenue, you know, other components like research
services or you know like maybe co -location services all these components are
very small for MCX today, so do you expect these revenue streams to grow
faster as we move ahead, or you expect these to remain small?
P.S. Reddy: Okay , currently there is no co -location facility. So, there is no questio

n of
collocation revenue coming into it because the regulators don't permit anything
of that kind. As regards to the research, there's hardly any research, but there

is a data services . We give what you call , shared data with the vendors. So that
income is about 8 crores, 7 crores, something like that.
Satyajeet Bolar : It has increase d substantially over the year s and also during this year, we also
have provided consultancy to … it is a onetime …
Bhavesh : Okay s o just to clarify SEBI doesn't allow co -location for MCX, but I believe
they do allow for equity exchanges like NSE, BSE right? So, this is maybe it's
just a matter of time that they will allow MCX as well?
P.S. Reddy: In commodity markets it's not permitt ed. In equity markets , yes, it is permitted.
Bhavesh : Okay …okay and are you in discussion with the regulator to permit this at some
point of time or you don’t expect this to come?
P.S. Reddy: No, I mean that discussion will take place, but let me first cro ss this bridge of
migration of platform.
Lavanya Tottala: Thank you. We have a question from Sanjay Singh again. Please go ahead.
Sanjay Singh : Hi sir just wanted to understand, you know, on the index options index trading
the product, you know I understand the base metals didn't do well because of
the nickel issue, but even the energy and the, you know, bullion stuff the

volumes are very minuscul e. I think energy is almost topped and bullion is
mainly bullion. So, I mean why is it so an equity and because here there is a
major issue because I think in your other products the expiry technically
happens two days before the actual expiry because of l ogical reasons, but in
index it can be carried till last date if I am not wrong, so why are the index
here, the product is not working despite, you know, almost 95%, 90% of
volumes of NIFTY is just Bank NIFTY and NIFTY ?
Praveen DG : See, currently if you lo ok at equity markets , index options are the most popular
ones and like options are most popular, but out of options again if you look at
it, it is the index options. And index options are also mostly the ones which are
more liquid is the shorter duration c ontracts , like a weekly options. Coming to
the commodities market , the time when we have launched it , that time it was

almost like that time coincided with the peak margin reporting. So, that time it
is for the futures, but subsequently the volumes all hav e shifted to the options.
Today, we don't have the index options because there also we are looking at
once this technology migration happens post that we wanted to introduce some
of the shorter duration index options because there has been consistently a
demand for shorter duration index product s. So, that is the reason we've been
waiting. Once we get so that means we make this tech migration definitely we
will be in a position to introduce some of the contracts in the index also.
Sanjay Singh : No, but currently it's a one-month option, right?
Praveen DG : It is currently a one -month option.
Sanjay Singh : But even in the one month there is hardly any volumes?
Praveen DG : Sorry options are not allowed , what we have is only monthly futures right now .
So, we are waiting for first to introduce the option s, subsequently we can look
for some shorter duration contracts also , so that it will increase the market
interest.
Sanjay Singh : Okay got it. Thank you very best and all the best.
Lavanya Tottala: Thank you. I request participants to raise their hand if there are any questions.
Maybe sir, just going ahead with the earlier question, as you were mentioning
that you plan to introduce index options, do we have that kind of enough
volumes to introduce optio ns because we have the criteria to , the underlying
fu

tures to have certain amount of volume before we launch options, right?
Praveen DG : Yes, currently there is no criteria for index options , that kind of criteria is only
applicable to commodity options , that too , if it is commodity options on
futures , not on options in goods. So, there is no criteria .
Lavanya Tottala: So, there is no criteria, but the underlying will still be the index future s, right,
which is not liquid?
P.S. Reddy: No, no it won't be. It won't be option on future s. It will get settled directly .

Lavanya Tottala: Okay got it. And just going back to on the mini contracts part, so earlier we
have , I mean as compared to whatever products we had earlier in 2019 and
now, the key products are not yet launched because of operational issues. So,
what is the contribution of those two to one or two mini contracts yet to be
launched and what are the main operational concerns that we are s eeing to
launch those products?
Praveen DG : See currently we have introduced the mini contracts in all the commodities
except all , in the sense , where we were having earlier, we were having the mini
contracts. The exception is copper and nickel contracts b ecause in both the
cases we had to increase the trading unit itself to match with the delivery units.
So, earlier they were having smaller trading units but subsequently we had to
increase it in case of copper . We have increased from 1 metric ton to 2.5 metric
ton and there was also some 250 kg mini version was also there at that time,
but we had to discontinue, and we had to come out with only one single
contract. So, we had to introduce the 2.5 metric ton contract . In case of nickel
also we were having two contracts that time one was of 250 kg the other was
100 kg nickel contract was there, but now we have introduced 1.5 metric ton
nickel contract becaus e of that kind of constraint . But now we have requested

SEBI to consider differential trading unit and the delivery unit considering the
kind of deliveries that happens in the domestic physical market . Nickel is
completely imported from global markets. So, if that is the case the lot size and
everything is different, but if you want to trade in that kind of big lot size , like
even if today you consider our 1.5 metric ton contract , it comes very high. It is
close to 30 lakh to 40 lakh worth of contracts whic h is not that much enticing,
interesting for the market participant. So, there has been a demand for reducing
the trading size, but for that one I think some amount of concession has to be
given by the regulator , like differential trading unit .
Lavanya Tot tala: So, now our delivery as a percentage of overall trading volume is lower, but
even for that part of delivery, we will need that differential thing so to introduce
the mini contract?

Praveen DG: Whether it is mini or main deliveries always happen to be a fraction of total
traded volume in any markets , internationally also . Because these platforms
are meant for price discovery and you can say that it is hedging purpose.
Lavanya Tottala: Got it, got it. So, we have a question from Bhavesh again , Bhavesh go ahead
we have last 10 minutes you can go ahead.
Bhavesh : Sure. Thank you ma'am. Sir this is Bhavesh again from Mosaic , sir any
thoughts on resignation of CTO who is handling that role no w within the
organization or if you have had somebody then or are we looking for somebody
for any thoughts around that?
P.S. Reddy: I think the previous CTO resigned for personal reasons and we are looking out
for a new one although we have one more as a C hief Digital Officer who has
been given an additional charge. And yes , if he himself, you know, is good to
have , then we will designate him, but we have to go by a competitive search
p

rocess that's why we are doing this.
Bhavesh : Okay so currently we have somebody internally who is who has taken up the
role?
P.S. Reddy: We have already issued that communication to BSE . Mr. R. Rajendran , he has
been given additional charge of CTO , who was former CTO of NPCI.
Bhavesh : Okay, okay got it sir thank you very much sir . And in future how do we manage
such critical risk because I was just going through the LinkedIn profile of the
earlier CTO and I did see, you know, he had jumped quite a few jobs before
getting into MCX. So, I mean two years, three years, what we typically see.
So, frankly, looking at his history in the past and then having an exit within
two years was not very surprising. So, how do we fix this thing and how do we
retain the right talent, how do we identify the right talent s, if you can share
some thoughts around that , it's a very critical point that the CTO has quit , so
do know what exactly happened.
P.S. Reddy: That is right , especially when the project was on I think , we had three CTOs ,
that put it that way . And, but then because the markets , especially t he

technology markets are volatile and irrespective of the age of the technician
whether he is a fresh graduate or a seasoned one I think even they are preferring
to or moving to greener postures. So, how do we retain , I think it's a challenge
for us and I do not have a definite answer on this, but I think as the time goes
by, I think they will also see that what is MCX kind -of platforms , more stable
platforms , and maybe it is better to stick around , that is the way I t hink some
sense some sense will prevail , that is the only thing I can say, but then how
much ever salary we offer that doesn't, you know, that doesn't meet the , doesn't
satisfy the people.
Bhavesh : Okay sir , and do we plan I mean is there anything in discu ssion phase also that
we might think of having an ESOP plan at some point of time or is this
something which is not on the cards at all right now?
P.S. Reddy: I think KMP 's and you know CEOs and others , I mean all KMPs are excluded
from getting any ESOPs. Maybe at all if we have to introduce, we have to
introduce for other people, that is the way it is.
Bhavesh : Ok. And is there any regulation around this , or this is something which …

P.S. Reddy: That's right. It is a regulation.
Lavanya Tottala: Thank you. So , we have the last 5 minutes , so any of the participants, if you have any other questions. Maybe we can take the last one or two questions. Ok.
Maybe I will take this. Sir, I just wanted to understand , on our internal tech capabilities. So, post thi s transition, do we have or already built up our internal tech capabilities in terms of handling the whole tech transition and even after…TCS will be the re to support, but how have we built our tech capabilities , I would like to understand.
P.S. Reddy: Well, the TCS platform being a new platform and then we have entered into a new contract including a 5-year AMC and 1 year warranty period, so I think there is enough time for us to replace the TCS services with our own services.
But in the transiti on period also we have built a good amount of in -house talent .
I think they should be able to manage the operations and as we go along also,

we will be taking on additional people to meet the requirement. It's not one fine morning I can say - yes, it's there.
Lavanya Tottala: Got it. So , is the understanding right that over the next 5 years as TCS gave us support, we will also be building our internal tech capabilities to support everything by ourselves , right?
P.S. Reddy: Yes, that's right.
Lavanya Tottala: Got it. Thank you so much Sir. So, if we don't have any questions from the participants

maybe, I think we can take it as the last question. Thank you so much sir for your time.
P.S. Reddy: Thank you madam. All the best.

Call: Jun 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2232 June 09, 2023
The Dy. General Manager
Corporate Relations & Service Dept.
BSE Limited,
P.J. Towers, Dalal Street,
Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX
Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr. No	Investor/Analysts	Date	Time	Annexure
1.	ICICI Prudential MF	June 02, 2023	12:00 PM	Annexure - A

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,
For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl: As above
 Multi Commodity Exchange of India Limited
Meeting with
ICICI Prudential Mutual Fund
June 02, 2023

Annexure - A
Multi Commodity Exchange of India Limited
June 02, 2023

MANAGEMENT :
MR. SATYAJEET BOLAR – CFO
MR. DG PRAVEEN – CRIO

Sanket Gaidhani : We are starting the meeting, right? Hope we are audible now. Just to get the elephant out of the room first, we will discuss the business part, but on the repeatedly asked question on the tech transition. I remember when we met last year around August, we were in the phase of completing it for September last year. There have been delays, there have been some procedural issues. Where are we in that phase today? Would it be fair to assume we are in the last leg of completion? And maybe June deadline which we have , which is the last deadline. Are there some of the trials and tests and procedures and audits pending? What should be the right estimate in terms of timelines , incremental to look at?
Praveen DG: We have said in the call also, I think yo u would have been a part of the call – the exchange is very much determined to go live, mock s have started, there have been many more such activity and most of our actively trading members already have taken part in th is. And for others, their CTCL provider, they have participated. Then it is like , they will also get the complete training because most of them use the CTCL . That way, it is like I can say, our desire, endeavor, and we are dete rmined to go live… It is always , you know that, fine, you can all say that an element of black swan risk isn't always …. Given that one, we are otherwise wanted to go ahead . When we will be informing the market while we will be doing the migration because they also have to prepare themselves.
Sanket Gaidhani : I understand this piece better. You mentioned that CTCL members, some of the members have already started the mock trading. What percentage would have already gone through the mock? Because, we have a large base of customers in terms of…. What percentage would have already tested the mock? And what percentage is completely new to the mock?
Praveen DG: Recently probably more than 200 members have participated in the mock. That means most of them are, you can say that they are among st our top members. That way it is like , some of the people again our …but these people are covered, and it is like majority of t he key members have been covered , if you look at even the concentration -wise and other things, top ten itself is about 63%. Even

though we have members of about 600. The active happen to be around 400. They are going to be active. I think in that case, if you look at it, a decent number has already participated.
Satyajeet Bo lar: There is a mock even on Sunday. Not only tomorrow, even they have …
Sanket Gaidhani : Coming to that part, we have mocks on Sunday. Have we tested the mocks during active market hours for all the participants or is it….?
Praveen DG: We are doing on a daily basis as well as Saturday and Sunday. Some we do it from DR, some we do it from primary site. But primary site it is like we do it on Saturdays and Sundays when trading is not there because both the things

you can't do at the same time. So, other days we do it from DR.
Sanket Gaidhani : Have you tested it similar to the existing platform, full-fledged , completely available?
Praveen DG: The mock in the sense it is like all the data is going to get feeded into that one and you will have some simulators also so they can get the real feel about what kind of products are trade d, automatically it will get matched in some other order. But like an active trading platform, you cannot expect that all the people will come and trade on this one. Those are similar to parallel runs where whatever trade happens, you run it on the new platform, and you will see whether the results are coming very much closer to the old one or not. That is how you look at it. But mock is like more of like who are the clients and everything.

This will get uploaded in the mock and then it will be looked at like, okay, whenever you want to trade, it is like exactly a replica of what trading system is all about but because not everybody will be participating…. We cannot expect a member to participate throughout the day like in case of actual trading. That is not there.
Sanket Gaidhani : Assuming that the transition happens from 1st July, would there be parallel runs of the existing software as well or transition would mean the existing will cease to exist and we will completely move to the new software.
Satyajeet Bolar: The second part.

Praveen DG: Migration happened means we are done with the old one and we have moved to the new one. Once we have moved to the new one, there is no looking back . That is not possible.
Sanket Gaidhani : The status we are today in, in terms of transition, do you think one month is the appropriate time for shifting to the new platform or should….?
Praveen DG: It is not one month, right? It is happening for many months. Many mock s have happened. The last month and…. is happening. That way it is not something which is just in May. It has happened. Like I said earlier also, we a re very much determined to go ahead with migration unless some last moment anything problem happens.
Gaur av Jain: What was the addition in this mock as compared to what was being done?
Praveen DG: There won't be any major additions in this one. There have been a few elements if at all anybody , any member has given any feedback, those things would have been added to that one , if some any feedback if there is anything. You cannot change the entire system if somebody has given something. It is like more or less the same. I f at all any tweaks, minor tweaks are required then that would have been taken up …
Gaurav Jain: And in terms of going through the circulars …whereas the earlier one used to have some 21 points … back-end testing. This has some 32 points. Were there some real changes that we were….?
Praveen DG: Earlier one means which one you are talking about?
Gaurav Jain: The mocks conducted before this mock.
Praveen DG: You are talking about September or November?
Gaurav Jain: No,…day, but it was not much difference …
Praveen DG: I don't know exactly. Maybe the numbers you are talking about , the pages. I didn't really go into that much of detail. But I don't think in one day a lot of

change can happen between the older one and the new one. That is not possible. Minor tweaks can be done, that's all.
Sanket Gaidhani : With this pilot, with this mock which we have done so far, what has been the experience? Is it more on the settlement side? There have been….
Praveen DG: Mostly it is on the settlement one which we have been focusing also …
Gaurav Jain: On the interface, in terms of execution, there have been no challenges? It has been seamless?
Praveen DG: Seamless means, like I said, trading -wise, there are not major issues coming. Mainly it has come on customization kind of issues where there is some generation of some reports and certain things which may not be getting in the right way.

Satyajeet Bolar: In the call also, MD had mentioned that there are one or two levels of bugs. Now we are getting low-end bugs, which could be handled.
Sanket Gaidhani : Before this transition, suppose we are ready for the transition from 1st July. Are there any particular approvals that we need to have from SEBI? Or is there an audit procedure internally who in fact will give a go -ahead? Would it take subsequent time?
Praveen DG: SEBI has given a testing framework.
Sanket Gaidhani : Adherence to that framework would be parallel with the mocks and testing phase or would it start once we are ready with the software?
Praveen DG:

Parallel.
Sanket Gaidhani : So, other than the completion of the software, we should not expect any other delay? That the audit is pending or anything else is still pending which would take 3 -4 more months? We should not expect that sort of delay?
Praveen DG: As of now, we are not seeing anything major . Like I said, anything comes, it' s very difficult to say ... Other things we are closely looking into the various

aspects , but we will have to meet all the compliance requiremen ts when we go live.
Gaurav Jain: The number of people who are participating , is 200 who have participated in our this thing out of the 400 active members ? From 1st Jul y…use the software. Is it fair to expect that some percentage of people will drop out …
Praveen DG: Not necessary. I don't see that that is major … because most of your top brokers are participating.
Gaurav Jain: And the 60% to 70% ...
Praveen DG: Top ten only I am saying it is about 63% like that. If you are taking top 40 or top 50 means significant p ortion . I am saying more than 200 people have participated means majority of the people have already participated. That means volume -wise if you look at, but it's an insignificant por tion of the people who have not participated. We don't see that one as a major, you can say, impact can come because of…
Sanket Gaidhani : We were expecting some cost saving post this inte gration post moving to TCS platform annually because it has been a separate platform. There will be some cost savings. Now, already we have seen a significant delay. Are there any clauses , part of this transition we would be able to recover whatever excess software cost we have paid during the last financial year.?
Satyajeet Bolar: There is a penalty clause. But obviously when we bargain and gave the contract to TCS, there was hard bargaining. We won't be able to recover these additional expenses that are there, but there are penalty clauses.
Sanket Gaidhani : But there would be some hard penalty clauses, I think, if there is….
Satyajeet Bolar: But it would be linke d to your contract value. Can't be more than the contract value.
Sanket Gaidhani : So, up to contract value we would be able to.

Satyajeet Bolar: No, it is obviously not up to the contract value. There is a percentage that we can kick in, but it won't be substantial to recover the additional amount that we have paid.
Sanket Gaidhani : If there has been a delay and we have paid excess which would be at the shareholders' cost because there has been a great impact on the profitability of the company in FY23 , in completion of FY24 as well. Is there no clause that we would be able to recover this?
Satyajeet Bolar: Entire amount?
Sanket Gaidhani : Entire amount or whatever excess we have paid in the last year. It should be considered as…cost or one -off expense in the last financial year or maybe ...
Satyajeet Bolar: We have shown it as …
Sanket Gaidhani : Does the regulator intervene into such issues as in delays because of implementation of the software? Because, at the end of the day, there are one set of stakeholders, i.e., shareholders; at the other end, there are stakeholders like the customers that will trade. Would the regulator intervene in such del ays at a point of time when it's anyway happened like one year delay, now let us

intervene into this?
Praveen DG: Ultimately, it is the primary responsibility of Exchange to ensure business continuity . SEBI has been informed of the development s whatever is happening. SEBI, first they will not get into because they will have to understand what kind of challenges are there while we keep inform ing them.
Sanket Gaidhani : There have been instances in the past whenever we have moved to some other software or we

have done some addition to the software, what has bee n the experience during those transition phases as well?
Praveen DG: Yes, additions happened. It was 63 Moons only that time. So, the current vendor happened to be the... Even these developments and the incremental developments done will have to they only….

Sanket Gaidhani : They only did it. But there would be some transition phases during that period as well.
Praveen DG: You cannot compare this one with any other phase. It is completely differen t...
Satyajeet Bolar: … a platform itself. I don't think this has happened anywhere in India.
Sanket Gaidhani : Could this issue have been avoided if we had done it ourselves instead of appointing a third -party for….?
Praveen DG: We don't have that kind of development team . That kind of team should have been... Even the contract also asked the permission to….
Satyajeet Bolar: I think we should also remember that t here is one TCS. We have not gone with anyone else. We have gone with a marquee Indian tech company. Isn't it?
Sanket Gaidhani : Correct. It could be getting too much into detail, but going by the experience we had for the last one year, what were the real challenges which led to this delay? Was it on the service provider's part? Was it all the changes which we made to that initial software led to such delay?
Praveen DG: T7 have been deployed in many countries also. As well, BSE also uses the T7. You require an integrated platform, both trading as well as you will be requir ing the clearing and settlements also. This kind of marriage not happened anywhere. It's more like happening here. That is one challenge, the integration has happened ... Other part is customization. While global markets, the requirement hap pen to be different. Indian markets, there are many things which were automated . It is not just a platform. You also require various people if you are all automated. Now, it is like all which have been done over the period of many years. Even when we have started using, we have not reached that stage . It all happened over a period of time. That means it took you can say that 15 to 16 years of time , which took all these years of dev elopment. .. But now you have a limited time within which you hav e to develo p. You can say that indicated one product that reall y… Second part is customization, which is another part of it.

Sanket Gaidhani : It was largely dealing with customization and a unique nature of this contract which has led to the delay?
Praveen DG: Yes, because we could not start much earlier. That is another thing. Otherwise, because of the contract, we could not able to….
Satyajeet Bolar: Contract with the existing vendor says that we cannot even float an RFP 2 years before the maturity of the contract. So, your window was only 2 years. We floated RFP sometime in October -November 2020. Then we went through the RFP process and appointed TCS. TCS was awarded the contract in February. We did our part of it, but the window was only that much.
Sanket Gaidhani : Just one last question from my side on the tech platform. In the worst scenario, if there is a delay and if we need to renew this contract with the existing vendor for 3 more months, that would be a possibility, right? The way we have extended the contract for 3 and 6 months , would we be able to extend it for 3 months or maybe 6 months? That liberty we have? Or wou ld it be 3-year, 1-year contract?
Praveen DG: At this hour at least, I can say it is more of a hypothetical question because it's too early to really look at it. Because, while we are focused on doing that kind of thing …

Sanket Gaidhani : Are we in a position to negotiate with the existing vendor for shorter period, or no?
Praveen DG: There c

annot be a give or take kind of thing right now.
Satyajeet Bolar: Earlier also they have said…. Last time when we went, they said minimum 2 quarters. That's why we entered in for 2 quarters. They are not in a position….
You are aware of it, isn't it?
Gaurav Jain: Where are we exactly in terms of timelines tha t… at least from today? Do you have an in ternal …provide you with a … How is …because this is the progress path that is necessarily is a 28 -day affair, very critical thing that we have to grow …but you have an internal audit ... How is that …?

Praveen DG: Currently it is like target is around the third or fourth week of the June. But we will inform to the market. A circular will be issued to the market. We have to inform the members so that they will also be prepared …
Satyajeet Bolar: I think b y around 15th or so, we will inform the market.
Praveen DG: That means if at all really migrating, we will issue a circular informing the market.
Sanket Gaidhani : But that much time we will have to give to the participants also to hear of that okay, this has finally something which has progressed …
Satyajeet Bolar: In the second or third week, we will inform the market.
Gaurav Jain: In the event of any contingency arising out o f…software for the initia l…do we have any kind of insurance or any kind of payment place which will protect us from any kind of legal downside which can arise from ou r...
Satyajeet Bolar: We will have in surance. The main thing is that our partner should be able to set it up, up and running. Isn't it?
Gaurav Jain: That is obviously the ideal aspiration that we all are going for, but we can't rule out 1% or 2% ...That is what is our protection we wanted from …
Satyajeet Bolar: We have the right to take whatever protection we can. But the main effort is when we decide to go live, these are all the factors that we will consider. In the next 10 days, these wo uld be the factors that we would consider. Because, obviously, we would not want to go live and then flutter and have some issues.
Sanket Gaidhani : Sir, moving to the business side, if I look at the options, the options volumes have been doing phenomenally good. Even if I look at the current month of volumes, month on month, there has been good jump and it is largely coming from one commodity. What has been the….
Satyajeet Bolar: Last month it was also from Bullion.

Sanket Gaidhani : Bullion, it was there. But crude it has been consistent. Consistently crude has been supporting the overall options volumes. What has been our experience in terms of the current options volumes which we see on the crude side and on the o ther commodities?
Praveen DG: Even if you look at equit y markets , this is dominated by basically one or two index products . You should not be really bothered about concentration because these are cash-settled products. Obviously, natural choice for many of them will be the cash -settled products . Beyond that one, what we have been doing is we are diversifying that particular asset … Once I think migration happens, I think we can also look for shorter duration products. That can really add more value to the participants. Today, one of the major challenges are bullion options, especially Gold 1kg options. That is a bimonthly one that we wanted to go, but because we are in this transition, we could not able to move ahead and that is definitely ou r desire . Apart from that one, all the silver options are all bimonthly options . That also we wanted to make it monthly or shorter duration contracts . Then you have the index. The index is actually cash-settled product . Now the transition is after the peak margin , everybody is now looking at options. I think weekly options, fortnightly options, a

nd other things
definitely will see interest.
Sanket Gaidhani : On the options, currently we have option on futures. Wo uld it be fair to assume

that there could be extension to this options portfolio as well? Because, unless and until we have some futures on any particular commodity, we could not have options on those. So, could there be an extension of these options?
Praveen DG: Index we can do it. There is no challenge there. Without even having an underlying futures, you can able t o. That means there is no threshold which has been stipulated by the regulator. In case of other products, a minimum of thousand crores should be th ere. If you have it, then you can come out with an option on futures. But in case of index, we don't have that.
Sanket Gaidhani : Even on a smaller….
Praveen DG: It is not going to be an option on futures . Directly, it can be settled based on the index like in the case of equity indices.

Sanket Gaidhani : Just one thing on crude options. We earlier had very high margins on the futures contracts. During FY20 and FY21, the margins were very high and subsequently it reduced. And that time, the volume had also come down on the crude side , on the futures. Now if you look at the crude volume, it is phenomenally well ahead of what we used to do on the futures as well. What percentage would be a shift from futures to options, purely? The traders who used to trade on futures have moved to options. What would be the new custom ers which we are now able to recruit because of the low margin on the options?
Praveen DG: That you would have seen. I think the numbers also we have given in our investor presentation. The number definitely there has been a drop in the case of number of UCC s who have traded in the futures contract compared to the options contract. But given the drop and given the increase that if you compare both of them, there is a substantial increase happening in the case of options products. That means ne t on net, there is an increase in the overall UCC traded on the derivative products, but definitely there is some amount of drop that has happened in futures . It's not like totally you can say that all have migrated to the option s. These are all opt ions on futures. That means you definitely would be requiring that kind of liquid futures contacts. So, Algo trader s, whoever is writin g options one side , provides liquid ity to futures contract because they will not be able to give in isolation. It is not possible. They have to trade that, especially the writers, because they have to protect themselves from that kind of risk that can arise by just selling , by writing that kind of options. So, they miss that. I'm saying while ret ail and other people, some of the people, especially those who are not interested to part of their money margins getting into this kind of margins, they are preferring the options because after the peak margin reporting introduction , in case of options, you have to just pay the premium once. After that one, you will not have to repeatedly look at what is the margin and all. That is going to give some comfort to some of the market participants. They are preferring this kind of options, but naturally algo and some of the h edge rs are looking at future s continuously.

Sanket Gaidhani : What would be the composition of institutional clients in the options side – proportion between institutional and retail from the overall ADT? A ballpark figure.
Praveen DG: While algos can give you some indicative numbers because algos in options it is 54% to 55% and futures it is 50%. And client trading, again it is about 50% in options; futures it is 53%.
Sanket Gaidhani : What was the peak number in futures in terms of algo trade rs during the hist

ory
of the company? Was algo at….?
Praveen DG: It has been increasing. I can say that recent numbers could have been higher than the earlier ones because algos of late have been increased. Not only in the commodity but it is also across products . But that way, we don't see it as any threat because of that one because we see that that also will provide liquidity . In fact, if somebody wanted to take, you require a counterpart, and commo dities are traded too late in the night. So, you require kind of algo presence. There is a decent algo compared to what is happening in the equity

markets.
Sanket Gaidhani : I was just trying to understand how has been the participation of the algo traders and institutional clients on the options side and should we consider that sustainably this number would continue to move up? Would it provide additional ADT or…
Praveen DG: Percentage -wise if you look at it, it may go up also, but overall pie may itself grow.
Sanket Gaidhani : That has been the case so far – the pie has been increasing?
Praveen DG: I think it has been increasing definitely because 66 is something which at least it all happened within a very short duration of time. We were somewhere around only 25 to 30 . Now , we have moved to 60…
Satyajeet Bolar: And in cases futures is between 21,000 and 23,000, not that it has dropped, but it has been in that range.

Sanket Gaidhani : Do you think that futures volume would go up from here or it would be range bound in…
Praveen DG: Always I look at both should complement each other, but definitely given the taxation structure and other things, definitely various aspects will favor options compared to the futures. But when overall options is growing, definitely it will complement futures or like if you compare even in the equity mark ets, options have grown. You compare NSE , both options as well as futures contracts have grown . That is how we can simplify. That's grown along with the cash market also, where they can complement each other.
Sanket Gaidhani : This could be just a data point, but this is to have a flavor of how the option market is growing. If you look at the new customers which have come to the platform and dealing in options, has that been largely on the tier 2, tier 3, and beyond mark ets because MCX has been very strong in tier 2 and tier 3 earlier as well. In terms of traders on the futures side, what has been the trade? Is it largely at the client level? We are just curious. Where is these traders are coming from? Is it largely from the tier 2, tier 3 beyond, or is there a new….?
Praveen DG: I feel that that can be one story, but I look at those people who are comfortable in options trading. They are the first ones who could b e... I don't think the one who is totally unaware will really will... Then you have a delivery, you hav e… kind of which is a little bit complicated compared to th e... And you know that in India we have many option traders ... It's not like…. In fact, compared to the global market, our markets are totally different because globally it is only around 20% of futures is options, but here it is already where it is completely….
Sanket Gaidhani : Same is the case with the equity market.
Praveen DG: Plus that, you have the slab -wise transaction based on th e...
Sanket Gaidhani : During this transition phase of software, we did see some of the launches like mini we have done …

Praveen DG: I think this February and March, we have launched 4 contract s... And at least a decent amount of liquidity they already have gained.
Sanket Gaidhani : We have addressed some of the issues on the mini part or some of the commodities we launched last year. Any low -hanging fruit over this transition?
Praveen DG: One is imm

ediately we wanted to come out with t he steel , TMT rebar, that which we got the approval, but we are waiting for tech migration …
Sanket Gaidhani : It would have mini as well or it would be similar to….
Praveen DG: In only one and also maybe in what I can say is we have regular follow -up with the regulator for giving permissions for mini copper and nickel contracts because we lost liquidity in nickel. We wanted to revive that contract. One way is to if we can able to make it a smaller one. Then I t hink we can able to revive that contract. That contract has substantially been increased. Earlier, it was a 250 kg contract which has gone up to 1.5 metric ton contract. So, the trading value has substantially increased …
Sanket Gaidhani : TMT approval we got, I guess, 1 to 1 -1/2s years back.
Praveen DG: No, recently we got it.

Sanket Gaidhani : We applied a year back?
Praveen DG: Applied long time back, but we got the approval now…
Sanket Gaidhani : But this is typically the time frame we should consider whenever we have….
Praveen DG: It's not like that. D epending upo n case to case. Like mini, we got it very quickly. The reason is it is a decision that is taken by the regulator that okay, let's go, now you can allow minis also to be traded . The moment that decision is being taken, we have applied, and we got the approval. But in this case, sometimes if they have any doubts, they write us. When we respond to that one, if it is a new contract which is totally different. It is not regular in nature. In that c ase, even the regulator wanted to understand it before giving the approval. So, depending upon the product to product, the timelines will change.

Sanket Gaidhani : Any other products that you think could be a right addition to our portfolio in the near term?
Praveen DG: Electricity has been in our mind, but because of the regulatory challenges , we couldn't get the approval. Otherwise, we would have launch ed. Second is, just launching too many products also will not serve any purpose. Maybe you will have to launch in a progressive way….
Sanket Gaidhani : Comparing to the globally available commodities available for trading on the options and futures platform, there would be some use cases in India as well, like the customers are currently doing on some other exchange, which could easily move to MCX. It could be very small in the overall scheme of things, but any such commodities which you think could be an easy addition to our portfolio?
Praveen DG: Linked products are very limited as of now because most of the major products like crude oil and natural gas which can be linked are listed . We wanted to make our people also look for products there and then they can take that reference price from there and they can able to put quotes . That kind of products are today you can say that it is very limited. We don't have any user base and also the regulator is looking for compulsory delivery -based contracts. Considering this one, I think indigenous products have to be developed. But potential could be there for many products. But our focus is now on technology. Becaus e that is the critical element for all of them. Once this happens, our focus can all be shifted to the business .
ICICI Participant: Would it be fair to assume that entire top management bandwidth is currently suffering. Entire top including MD, you?
Praveen DG: Especially you can see MD, technology , ... Everybody's mind is towards that one. Whenever we wanted to some of the product …all once we get … Once this happens, I think then we can able to shift our energy on business .
Sanket Gaidhani : On the bullion side, we currently only have that index kind of options.
Praveen DG: Index options. ?

Sanket Gaidhani : Silver

was, I guess, only available via index. There was something which we used to do only via index or able to get it. Maybe I will check tha t out. But on the bullion side, there were some limitations in terms of trading. We had to trade via index only in the futures side.
Praveen DG: Apart from bullion, the gold and silver, we also have Bulldex. It is a combination of gold and silver prices based index.
Sanket Gaidhani : Separate index we were trying to do. Only Bulldex which is a combination of both silver and gold, we were trying to launch something like gold index and a silver index, I guess.
Praveen DG: Single commodity index currently is not permitted by the regulator. That is why, whatever we launch these are all sectorial indices. Composite can be launched, but we currently do not foresee any great merit in launching that kind of composite index with a combination of energy, metals, bullion ... But sectorial still there is a great demand for Metldex . Because of the nicke l which played the spoilsport , it has taken away the liquidity from the Metldex. Otherwise, we get a lot of requests for renewal of Metldex. And anyway, today from the Metldex , nickel has been removed. So, index -wise, now it has only 4

commodities . But yes, maybe we will have to look for ways and means again
to revive. Focus would have been shifted to some other product. But now,
almost everything has been shifted to options. When index products were
launched, w e are on index but now the focus has been shifted to options. Now,
to revive the Metldex, I feel that the index options can be looked at.
Sanket Gaidhani : Internally, are there separate teams who take care of the futures in terms of….?
Praveen DG: No, it is like…. We have bullion like…. We call them as product management
teams. We have different teams for different commodities. We have a separate
bullion segment , then we have energy segment, meta l and agri segments.
Sanket Gaidhani : But it would be bifurcated on the basis of the commodities so that the entire
focused bandwidth is involved into options. Because that is giving you….

Praveen DG: For a broker or I say algo trader or you take any general investor, for them it
doesn't matter whether you are trading in bullion or you are trading in ... The
moment you see the liquidity, you can use your strategy for gold or silver,
anything . But our priority why we have c onstituted this is to focus on hedge rs.
Because, while other set of participants will come, you require the focus to
bring the hedge rs onto the pl atform. ..
Sanket Gaidhani : Just one last question from my side. On the FPI participation, recently that has
been allowed.
Praveen DG: Because the response has been very good and I think around 25 p eople have
registered . Turnover -wise, it is not a great number but responses have been , I
can see that it is encouraging. As of now, we are allowing them only in the
cash-settled contracts.
Sanket Gaidhani : Which commodities they are largely into?
Praveen DG: Now natural gas and crude oil. They are allowed only in two.
Sanket Gaidhani : But it is largely coming from crude?
Praveen DG: Mostly it should have been from crude oil only.
Sanket Gaidhani : And this could be a big volume driver for us incrementally the FPI
participation? Where do you see in terms of the percentage of overall turnover
contribution from the FPI?
Praveen DG: It is very difficult to compare. Like in the equity market, we cannot compare
here because here the product is also there in global markets. Reliance is not
traded anywhere in the world but in India only. But crude is traded everywhere
in the world. So, what is that that makes them to look at it is, one is if they are
not able to participate in that market. Some people for some reason may not be
able to participate. Those people wil

l come. The second kind of people who
can able to look at it is you can say that some algo kind of people who are
maybe trading because for them it is a market -neutral kind of thing because

they can able to deploy their strategies. Second, if they wanted to balance their
act in different markets for inter-market arbitrages, they can also look at it.
Satyajeet Bolar: We should be an enabler, isn't it? That we are providing . Like how 2 years back
getting mutual funds in was a big thing. Only around four or five have actually
started seeing for commodity . Their contribution has not been so good. But at
least the facility is there. Maybe once GST as pect is also taken care of, that
GST pain -point , then I think some ...
Sanket Gaidhani : Where are we in terms of GST?
Satyajeet Bolar: It's been escalated at the highest level, but those pain points are still there.
Sanke t Gaidhani : That would be the only pain point for more mutual funds to come in? That is
the core reason they are staying away from this platform, right? Couldn't we
fast… do something on that?
Praveen DG: You know that GST is not completely in centra l Governments hand ….
Satyajeet Bolar: It is a sensitive subject, isn't it? But we have to provide the enabler s.
Sanket Gaidhani : When the mutual fund started participating and the hedgers , and algo traders ,
there was a participation build up? We are very hopeful that this could be a big
piece, and this would overall increase the liquidity. Similar thing can happen
from FPIs as well, right?
Praveen DG: FPIs, for them anyway, as of now that is not an issue because they are allowed

only cash -settled products. Options should be attractive to the FPI s…
Gaurav Jain: Just one query , premium as a percentage turnover …understand one reason was this more people trading near the high price option. What would be the other reason why we understand that you are not going to reduce the hike of 20%. Are there other s oftware which are leading to say more trading …lesser premium or something of that sort?

Praveen DG: There could be a possibility when more people are trading, the liquidity will spread not only from at-the-money, it will also spread to out-of-the-money. In fact, you can say that it will contribute to further growt h...
Gaurav Jain: Even in the premium to turnover … but because more….
Praveen DG: If it is more out of the money is there because some of the people prefer to trade only in the out-of-the-money because they have to pay lesser. It is like a one-time kind of thing they want to look at to take given about positioning and other thing, they wanted to go for out of the money. So, we have to take it as a positive sign, because it is like as the volumes are growing, your liquidity is spreading beyond your near -the-money and other things to out of the money . As long as the overall pie is increasing, it is good .
Gaurav Jain: As a trend, should we see more of this?
Praveen DG: Only I can say is you can look at the equity market, but I don't know how really that will get reflected in the Indian market, but we have a history there how the things have shaped up in the equity market, but again equity index could be maybe giving you a different picture. You also look at the curren cy and also you look at the single stock options. This all can give you a fair idea how t he market can perform. But every product is different in nature that way because given the volatility, given the fundamentals and other things, you cannot strictly compare these, but you can get some trends whatever is there.
Sanket Gaidhani : One last question - is there a case that we can increase tariffs on the options?
Praveen DG: Case is always there. It is like you want to do it, you can do anything,

but it is
like at this hour, like I said, the primary focus is not on any of these things. Our focus is primarily on technology because once it is done, we are through with this one, then we can think of more of all these things.
Satyajeet Bolar: You shouldn't forget that we started charging only in Octo ber '21.
Sanket Gaidhani : One and a half year now. We launched it 6 months prior but I think six months we gave it for….

Satyajeet Bolar: You noticed that because we were not charging. We started charging only from October 21.
Sanket Gaidhani : Now with the response….
Praveen DG: In the meantime, anyway, markets are growing. Let it grow. As long as your pie is growing….
Satyajeet Bolar: Because we had it in place, we were able to manage the margin issues in the futures market, isn't it? If we didn't have options, then….
Praveen DG: We didn't cha nge for many years. Then, we had taken a call a t the right time and w e could able to take the right opportunit y…
Satyajeet Bolar: So, let it stabilize, grow a bit. With confidence, we will get comfortable with the product. Then we can take a call. And now we have only 2 slabs. Maybe then the number of slabs also may increase. We could tweak it that way.
Sanket Gaidhani : That's all from our side. Thank you.

Call: Jun 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2231 June 08, 2023
The Dy. General Manager
Corporate Relations & Service Dept.
BSE Limited,
P.J. Towers, Dalal Street,
Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX
Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr. No	Investor/Analysts	Date	Time	Annexure
1.	Franklin India Mutual Fund	June 01, 2023	12:00 PM	Annexure - A

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,
For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl: As above
 Multi Commodity Exchange Conference Call
with
Franklin India Mutual Fund
June 1 , 202 3
Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or ina ccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward -looking statements" – that is, statements related to futu re, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates, "intends", "plans", "believes", "seeks", "should" or "will". Forwar d-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different that those expressed in our forward -looking statements. We do not undertake to updat e our forward -looking statements.
Annexure - A

MANAGEMENT : MR. P.S. REDDY – MD & CEO
MR. SATYAJEET BOLAR – CFO
MR. DG PRAVEEN – CRIO

R Janakiraman: To kick start the conversation, let us straight away take on the main topic of Interest. I think we last spoke to you about six months back and at that point of time, the tentative timeline was about November '22 for implementing the new software, and I thi nk you've had some challenges in meeting that timeline. Generally , we would like to get your view on that, not only the expected timeline, but also what are the key challenges that are holding you back? Just if you ask me this execution on the softwa re has been quite unlike you , so far.

P. S. Reddy: Yes. I think the only thing that we are all engaged at this point in time or for the last maybe one year , is about making the TCS platform work for us, and it didn't happen , so, we had an extension last time in December . And of course, in September, we had one. And in December when we had a take-it-or-leave - it kind of offer of two quarters, so that is coming to an end in the month of June. So, I think now we are determined to make it happen before the end of June. So, we have also spread around, I mean, spreading to the member brokers to actually test the system. If there are severity of bugs , it's okay. We can live with it, but there sho uld not be any sever ity 1, severity 2 kind of situation. And so let us see. Members are participating. The interest has increased. Although, in the phase two of this kind of mock, it has happened for the last many, many months, maybe the l ast three months it has been happening, and hopefully this month that intensity will increase among the members, and we should be able to go live is what my desire is. And that's how we are planning to go live. But the challenges that we face are pri marily related to the functionality being developed by the team , because the kind of complexity that we have in our trading engine, you won't find anywhere in the world. Okay? Because I mean the Regulators or the investors or anybody, they expect the trading engine , and being an IT Tech Valley country or we have so many people who can handle everything in the systems, so many, many complexities are built into the system. Many validatio ns, many, what not? I mean, you check online. How many times , once during the day , hit the high, what you call, position has accumulated? They may not be breaching, but still , we need to find out and collect the margin depending on the highest position tha t a client has.

And similarly, the margining we do maybe 10 times or 8, 7 times a day. So, that's how we are securing the systems also in terms of risk management, but there's so much complexity in the systems. That's why it took a lot of time. I think now we are there to go live. I think we should be able to go live. That's

what our desire and our endeavor is. I mean, that's what we are working towards this month end.
R Janakiraman : So, you mentioned last time, sir, that the trading software is from Deutsche and the backend, the settlement software is from TCS. So, from what you are saying, the real problem is in developing the functionalities on the TCS side, is it?
P. S. Reddy: Customization, yes, that's right. That's right. Custom ization.
R Janakiraman: Right.
P. S. Reddy: But then it's not plug and play, you know, not that just you bring the T7 platform and take the bancs and then just put them together , and then talk to each other. No, they don't , because this kind of thing TCS has not tried. There is a standalone T 7, working in many countries, standalone banks is working, but this marriage is not working anywhere as of now. It's the first time that w e have, I mean, the TCS is delivering.
R Janakiraman: Okay. Is TCS also involved with the trading software NSE especially on the commodities side?
P. S. Reddy: Not to my knowledge. They have some

role. I don't know what is that role they are p laying at NSE, but then I'm not too sure. But they had a T7 deployed in BSE and T7 alone is deployed, not the other one, not the clearing settlement part.
R Janakiraman: Right. And in the case of delays in developing that functionalities, to what extent is TCS also responsible, in the sense, are there any performance commitment from them? Like if you are unable to meet those commitments, then what happens?

P. S. Reddy: Yes. I mean, there are penalty clauses. They will kick in obviously, but then, again, every penalty has a cap, you know. Obviously, they will not let go the complete development fee. It is that way. There are penalties, of course, not doubt .
Nikhil Walecha: Sir, in terms of migration to the new software, especially if I look at the basic needs of the trading software which is the order matching, report generation , including the margin calculation, open interest calculation, member limit calculation, how are we on the basic need s? Is there any bugs in these four, five applications or they are running perfectly?
P. S. Reddy: So, that's what we have perfected s o far. It's not just merely a plain vanilla , the way that you have explained. There are a variety of clients are there. You have , hedge rs are there. Hedge rs get a different limit and the traders will get a different limit. And similarly, the margin calculations for somebody who traded today, but he is different from who had an open interest yesterday, and only open interest is there, but they're not traded, and they have to be margined differently. And well, no, a variety of complexities there in the system, and that is where now we have been able to get a complete handle on it.
And similarly, the options are there, and again, options get exercised. And when it is exercised, it goes, devolves into the underlying f uture s. And again, you know, various types of exercises also happen, and accordingly the margin calculations will also undergo change. If it is exercised, what it is? If it is not exercised, what i t is? Option writer will have a different margining. And option buyer will have a different margining system.
Nikhil Walecha So, in terms of the key requirement, are we ready to…
P. S. Reddy: That's what I am saying. We are ready. That's what we are telling the member brokers to please download the reports. I mean, we are downloading it. Let them participate, test the entire spectrum of functionality, and then we are giving the reports also.
Nikhil Walecha : And in terms of the audit and the other approvals, I think you mentioned in the call that they are going parallel.

P. S. Reddy: Yes.
Nikhil Walecha : But are there any guidelines or do we need any regulatory go ahead before going to the new platform?

P. S. Reddy: I mean as long as these reports are okay, then I don't think there will be any problem, but then reports are also, we got reports. I mean, obviously, their remediation measures are taking place, and then, again, they will do once again check post re mediations, and then especially VAPT most important is... And so that's being done. That's being addressed.
R Janakiraman: And when you say, you ask the members to download the software and trade, so is it on a real -time basis? I mean, o r is it just mock trading that you right now want to experiment with?
P. S. Reddy: Yes. But mock trading is nothing but the live trading , because they have got full data, full client lists. They have full, what you call, what's a hierarchy of responsibility that they have given, who should do what in their offices. With all its, I mean .... as if it is a live system whatever they have the assignments, roles and responsibilities assignments, with all its, you know, maker checkers and all that kind of thin

g we have deployed it. So, that's how we are asking them to verify it.
Nikhil Walecha : And will the mock still continue? And when are we expected to get the audit and other approvals?
P. S. Reddy: No, see mock is different and then audit thing is different. These two are parallel as I said, and mocks are happening. Mocks will continue before we go live maybe a week before or so. And the mock system that we have currently is going to be the live system. It is just that data will be erased, cleaned up, and all the latest data will be populated. I mean, whatever the live system data will be migrated. That's the only thing .
Nikhil Walecha : So, sir, what is the re luctance or the concerns of the trading members for not downloading this new software?

P. S. Reddy: No, no. There's no download needed. They are all participating in it. As I said, you know, just day before yesterday we had a mock trading. Usually, there were 30, 40 used to do it or maybe 40, 45, and day before yesterday we had 90 plus. And so far, 210 members, unit members have traded. And we assess our members back to our about 400 only, and so that's the way it is going on, and our top 100 are already tested.
R Janakiraman: So, how do we decide that we will shift as Nikhil was asking, i s there any regulatory approval required?
P. S. Reddy: No, not required. There is nothing on the court and no stipulation that we have to go to them and ask them, but there are due diligence aspects that SEBI issued for testing etc. We a re complying with that.
Nikhil Walecha : So, one day you will just inform all the brokers like we are…
P. S. Reddy: Not one day. We will give it; we will make it by the middle of this June we will communicate.
Nikhil Walecha : Okay. Sir, in case there is still any glitches after we go live to the TCS platform, do you think there will be need to go back to 63 Moons and ask for a renewal?
P. S. Reddy: No. You see, th ere is, Nikhil, there is no going back we have to make it work. That's the way it is. There's no going back.
Nikhil Walecha : No sir. I understand the optimism, but I am just saying that it's a technology and there could be glitches that can happen.
P. S. Reddy: No, members can't go back. The reason being is , if once it is downloaded and the reports are all there, you work for one week or 10 days, and again, if there is a glitch, then the TCS has to fix it and then move forward, because they can't keep again reverse engineering and then trying to retrofit to the 63 Moons system.
Nikhil Walecha : Sir, what I am asking is if there are any glitches for any chance, if someone say lose money on the trading platform and because there could be some short - term disruption because of this. In that case, is there any Plan B? Because I

understand we'll go to TCS and ask them to get the new, but there could be a possibility that there would be a short -term disruption if there is a delay. What are our Plan B in that situation?
P. S. Reddy: As I said, there will be no Plan B, once you launch, go live, these systems

cannot be, what to call, retrace.
Nikhil Walecha : And do w e expect, I understand you have said 300, 400 members out of 600 have migrated, would be migrated to the new platform. So, do you think there could be the remaining members which will not be migrating, there could be some revenue loss because of that?
P. S. Reddy: There's absolutely zero revenue loss because all those 600 are there, they are called registered members, and some of them have even surrendered also, but they are not canceled because they are pending with SEBI for cancellation or various other r easons for which they are pending, but otherwise, they are not active members. Registration is different. Active members is different. Active, I said, about 400 are the

active members.
R Janakiraman: On the basis of the mock trades that you have done so far, you mentioned that glitches you classify on severity 1, 2 and 3. So, what has been the experience , are you confident based on the mock trades data?
P. S. Reddy: Yes. There are hardly any severity 1 and 2, hardly any , this one. There could be some data migration related issues. And that data migration sometimes, you know, a client is, let us say we are, what should I say , we have active, we have uploaded the data , in sometime middle of May or early or end of April , kind of thing , and some contracts may have expired , because the contract master has got a certain , contact they may have expired. So, they try to trade. It may not go through it because we don't, you know, give latest masters on a daily basis obviously, and so that kind of issues are there. So, it's more to do with the data migration, but otherwise, no, we have not found any major severity 1 and severity 2 issues.
R Janakiraman: And while you mentioned that about 90 brokers participated in the last mock trading, how does the mock trading volume compare with your actual volume?

P. S. Reddy: Mock trading, in terms of volume, because it is, I mean, members don't put too many trades in the regular days because they have other work to do in the week . So, on Saturdays they participate maximum. So, we find Saturdays maximum trades comi ng, but at the same time, on other days also, as well as Saturday, we use a trade generator. So, some dummy numbers or clients are created in the numbers and then using the trade generator, we create the depth in the market so that the Algo players will have enough to react to this , because Algos are automated systems. So, we will get enough of, you know, depth or enough of trading happening. So, that's the way it is.
Nihkil Walecha: Sir, is it fair to say post the migration, th e new software, the new trading platform will run on the full functionali ties that it was prior to migration or there would be some functionalities which would come over the period of time? I think you had mentioned on the call that there are some issues in the multiple contracts or multiple expiry etc. So, that kind of functi onalities will not be there in the initial phase.
P. S. Reddy: Even now also it is not there, okay, that kind of functionality. But some functionalities which are there will be released post go -live. So, for example, negative pricing. What happened in March? Crude oil went negative sometime in, you know, in March 2020 and that functionality is not being released, you know, as of now, and post go live, we will do it.
We will be informing the members also very clearly, these 5, 6 functionalities of 10 functionalities are not available, and many of them are related to while the negative pricing is a part of the trading and related, not even trading clearing and s ettlement related issue, but the functionalities which we are not releasing are mostly related to TWS (Trader Workstation), and those Trader Workstation, our revenue contribution is less than 1% that is com ing from, but then it has been there historically and traditionally. That is why we are giving it. If you see NSE, NSE has stopped giving a trader workstation. Earlier they had what we call, NEAT or whatever is a system. They stopped it, and they say that you take it from vendors. Their front office ve ndors are there. Please take it from them. That's the way it is.

Nikhil Walecha: I think on the business side…
R Janakiraman: One minute.
Nikhil Walecha: Yes, sir.
R Janakiraman: Sir, so once we shift to this new software and in the first one month because of the operational glitches in this transition, because of these glitches, is there any scope for any liability falling on the exchan

ge from the trading member side?
P. S. Reddy: Yes. See, the way that liability, yes, it can be, but at the same time, the liability part of it also , as legally , in terms of bylaws and other things, we are protected. And if there are any technical glitches, which is a, what you call, under force majeure, and we are not, you know, so much liable legally speaking. But at the same time, we do not want to give any such kind of take easy shelter . So, that's why we have done so much work in this area and we want to make experience from members, I mean, i t should be glitch free. But if you, God forbid, if some reason, if the system is down, probably we will, what should I say, we have to make it up -and-running, which happens in many exchanges. You know, if the system is down, then it's down, and the RCA will be there. The Circular is already there in place. Some penalties are there on the exchanges if you are not able to make it run. All that will, there are more penal penalty structu res are there. So, yes, there is a framework which we will be subjected to.
R Janakiraman: Right. And the exchanges migrating to the new software, it is a relatively rare phenomenon in India, but I'm sure it must be happening elsewhere in the world on a regular basis. When you look at the track record of these migrations, how smooth are they? In the sense, how long does it require the exchange to actually reach the business -as-usual condition after the migration?
P. S. Reddy: Yes. You know, unfortunately, the kind of situation we were in or the kind of agreement we have with the vendor had led us to this kind of situation where we were under pressure to do deliver. Okay. But otherwi se, when migration s takes place, maybe they take place maybe first trade engine, next may be clearing and settlement, or a part of it, you know. So, it will happen, what you call, a module wise or as a few modules are shifted each time and then see that.

But that's not what is happening in this case. Okay. It's a big -bang approach is what we have, and again, because of the kind of agreement that we had. One sided agreement we had.
Nikhil Walecha: Sir, just one more question on this. What do you think has led to such a delay? Is it because we were not having source code of the platform? Or I mean, there was an integration issue, or it was an adaptability or maybe the change in the CTO also happen ed at the same time? So, what are the main reasons why this delay had happened?
P. S. Reddy: Delay for the…
Nikhil Walecha: Transition.
P. S. Reddy: The current development? Development itself took time for TCS to give us. Ther e is nothing to do with the code. Code is their own code bancs . A T7 code is again, T7 is also managed by them in those countries wherever it is being run because the T7 is also managed by TCS. Okay. And so , they got it immediately. That's not an issue. Customization took time.
R Janakiraman: But I appreciate your approach, sir. Now that you are fully committed, anyway, there is no comfort in a fallback option. So, you have to go ahead.
P. S. Re ddy: Yes. You have to go back, you know, I think. Only yesterday I learnt, of course, I am not so good in Hindi. I learnt what is there beyond , darr kea age kya hai ? It is jeet. Somebody said that. So, it is that way.
R Janakiraman: I just have a question from TCS perspective. What is their view on this?
P. S. Reddy: I mean, they want it to go live.
R Janakiraman: I know.
P. S. Reddy: Yes.
R Janakiraman: What is their commitment? Are they keen to make it go live?

P. S. Reddy: Yes. That's right. See, I mean at the highest level, highest level in TCS and Tata Sons, it has been engaged, I mean, this issue, and they are constantly

monitoring, and that's the way it is happening, highest l evel.
R Janak

iraman: And give us an idea from TCS how many people will be engaged in this project?
P. S. Reddy: See, there is about 200 people at one time maybe. Okay. And maybe 150 maybe there currently. So, a lot of development has already happened, everything, and it's only testing and few bug fixation s. That's what it is.
Nikhil Walecha: And this ti me source code will belong to us or?
P. S. Reddy: No. Nobody gives their … nobody is willing to give a source code. Okay. It's you keep paying AMC and you get a perpetual license. That is the way it is.
Nikhil Walecha: Sir, moving to business side, from this Q4 result perspective, the key observation was the optional premium to notional turnove r ratio is used to be around 2.6%. There was a sharp drop in this particular quarter, I think. So, can you highlight what led to the change in behavior of the trader which is leading to such a change and whether that can be worse?
P. S. Reddy: See, when the volatility is more, then people on options also they tend to trade far away from in-the-money or at -the-money. So, the premiums will be lower. Okay. Hoping that whatever contract that they are trading which are far away at that p oint in time may become, you know, thanks to volatility, it may come in-the-money, and then they may make good money. But then it is our income is dependent on the premium that is getting collected. So, we currently have only two slabs, 40 rupees and 50 rupees. So, the entire trading almost , is now at 40 rupees. It cannot go down. That's the way it is. 40 rupees per lakh. It will not go down.
Nikhil Walecha: So, basically, what you are saying and a 40 rupees realization optional premium to notional turnover whic h was at 2% , that was at the bottom .
P. S. Reddy: That's it.

Nikhil Walecha: It should not go up.
P. S. Reddy: It should not go down.
Nikhil Walecha: So, at what stage does the realization, average realization, what was the max average trader's realization in the options?
P. S. Reddy: That will be 50 rupees maybe initially when it was…
Nikhil Walecha: No, again, see, lender realization that you are seeing .
P. S. Reddy: See, as the volumes grow now, I don't think, you know, the 50 rupees you will get realized because this 50, 40 is based on the volume , each member does it. So, if members are already get ting this kind of benefit of Rs. 40, then it only depends on the amount of premium that is getting collected or traded other than our tariff. Our tariff remains at 40 only.
Nikhil Walecha: Any plans to change that?
P. S. Reddy: No, not in the immediate future.
Nikhil Walecha: And the other observation for me is , if I look at the number of members, the number of terminals, number of UCC , they all are on the declining trend. So, why is this happening? I understand you highlight that we should look at active UCC , but even other things, other variables also like the number of cities reduced from 1200 to 700, number of members reduced from 600 to 550. So, what is happening? So, can you highlight?
P. S. Reddy: As I told you, the members, most of them are inactive members. So, on the list will look 600, but then actually they are only 400 are active. So, once the SEBI gives the permission for closure, they all get closed. Recently SEBI has taken a decision on this NSEL matter, some brokers who are not in the National Spot Exchange issues. So, they kept it on hold. Now they are cleaning all those files. So, as a result we are getting permission to shut them down. So, we have closed many of them. That's why the number has come down, but it will have no impact as I told you. It has no impact.

So, in terms of UCC ’s, actually the active UCC count has incre ased, not come down. I do not know where you have got that figure as against last year, and I think the UCC traded is something big. Now, again, I don't want anybody to be let down by what you call, rosy path of number of UCCs being registered. Members hav e a tendency, especially when the members have become unified members, they tend to admit equity, and they also put a tick mark for commodity and maybe currency , what not. So, they will upload it because it's one time exercise for them. They don't want to repeat that. That itself does not mean that we get so much. They are potential, but they may not trade, so many investors. So, that's why I don't harp on that number at all in any of my calls and I only say how many are actively trading and that matters t o me.

Nikhil Walecha: And on the competition, I think it's been a while since NSE has tied up with CMI and they have also launched Crude options. So, just wanted to know , for a trader is there any operational concern that you cannot switch from one exchange to the other? Because I think margin money is fungible in the same exchange. Just wanted to know because in the equities they have been allowed, but in the commodities, margin money , fungibility is still not allowed, but operationally, is there any challenge for the trader to move from one exchange to another?

P. S. Reddy: Operationally there is no challenge except that, you know, he should have adequate margin with us. Okay. And what is important for a trader is the liquidity . Unless there is liquidity, they will not trade and you have, it is 15th May they launched, now 31st, May 15 days or 16 days. Now the average turnover of WTI in NSE was 60 crores and on natural gas it is 19 crores average turnover. The open interest is 80 lots and 87 lots in the case of natural gas. So, this is the statistics, and they can't introduce a liquidity enhancement scheme or anything of that kin d because already a liquid contract is there in some other exchange. So, these are all the constraints. And we have seen it also. I mean, this is, this all the time , maybe since 2017 or this constantly is on the, or '18, when equity exchanges were permitte d, there is a fear that they may take away the commodity exchange liquidity. That didn't happen. They started gold or options on gold etc ., or options on commodities. So, they tried all the,

you know, methods of getting the business. Nothing happened. Liquidity is not easy. It's sticky in nature.

Nikhil Walecha: And is the regulator looking to allow interoperability of the Trading Corporation in the commodity?

P. S. Reddy: I'm not too sure I get. I don't think they will so soon they will permit. I mean, that discussion is not there at least at this point in time. And as I said, it is not just the liquid -- it is the collateral or money which is there. That is, that alone doesn't help. Liquidity is the first requirement. Then only any amount of margin money can help.

R Janakiraman: Looking beyond this software implementation, assum ing that this challenge you successfully manage, what next? Do you have a pipeline of new products that are quite ready to be launched given the flexibility that you'll have with the new software?

P. S. Reddy: No. Well, it is not so much of the softwa re as to the products that we have applied, and they are not getting approved by the regulator. That is the important thing. And another important dimension is the GST, which is an issue, which is restraining or participation of major players in thi s ecosystem. So, I think we are trying to address this GST issue as a different one and we have actively engaged with SEBI and the Ministries concerned. And let us see. If we are able to overcome the GST issue, then I am sure the participation would substantially increase.

Nikhil Walecha: Can you elaborate on this GST issue? What is the issue?

P. S. Reddy: See, you know, when the deliveries are taken, the people should,

I mean, we have delivery centers across the country, and the people who have taken delivery are not sure where they will get the delivery. So, they end up registering in all the states where it is not required. And even if there is no delivery, they have to actually file returns , all that kind of thing. That is for the ones who are actually hedger s. Let us say somebody is in right up North and then somebody in down South delivers and then he gets an allotment in North.

He will not be able to take delivery of it , and it makes no commercial sense. This is for hedge rs, one part of it.
The other part of it is somebody , kind of fina ncial players . There is arbitrage opportunities between near month contract and far month contract. So, what do they do? They buy it in this near month, and they immediately sell it, and the material comes , it resides in the warehouse, but this is a constructive delivery , is taken in the name of the person who took the delivery whosoever has done that contract. So, they too have to have a registration and, you know, GST registration. And so , it is dissuadi ng a lot of mutual funds , a lot of AIFs and others. This is causing a major concern for them. And we told them, of course, currently, F PIs are allowed only in the cash -settled contracts. Going forward, if they are allowed in this, then they may not come. So, this has to be addressed at one place , at one go.
R Janakiraman: And other solution ensuring that delivery happens at a more predictable location.
P. S. Reddy: No, currently also we have a, what you call, a preference. Okay. The seller has a choice where he wants to deliver. That is what the contract specification says. So, to the extent the buyer gives his preference, and if the seller als o is available, then allotment takes place, but once that is ruled out, then the rest is that wherever the seller wants, they will deliver them. The buyer has no choice but to take the delivery. So, we can't always match that part of it. That's the whole i ssue.
R Janakiraman: Is this what holding back , like you mentioned , institutions like MFs or AIFs or even the FPIs to participate more actively in?
P. S. Reddy: Yes. FPIs just joined recently, you know, maybe a month ago we have started and almost all 25 registrations have come, and a good number of people are already participating. FPIs have started participation, but they are permitted only in cash-settled cont racts. So, they are active in maybe the crude and energy contracts but not other contracts, but they will be interested in other contracts as well. But AIFs, PMS etc., they are not able to do that because of this reason. And not only that. Even the high-net-worth individuals, HNIs

okay, even why should they take delivery and then go through the GST registration et cetera, et cetera? I don't think the y will get any benefit out of it, but that's the law at this point in time. So, we're trying to overcome it. Let us see.
R Janakiraman: Is this a fiscal '24 issue Sir, which can be solved by the end of this year?
P. S. Reddy: Well, it is some regulations have to be , Government has to amend certain regulation s under ease of doing business and some kind of revenue department etc., etc. We are actually targeting for the Free Trade Warehousing Zones which are located in SEZs to be the delivery center so that, I mean, some economy we are trying to work out , whether they can be made, facilities can be made available with the necessary regulatory framework in place so that this kind of GST conundrums are addressed.
R Janakiraman: Is the FPI volume, is it meaningful as a percentage of the overall volumes?
P. S. Reddy: Is it meaningful? No. But it is increasing. That's all I can say. It's going on.
Nikhil Walecha: Sir, just wanted to know your vi

ews on the mini contracts? At one point of time, it used to be one -fifth of the growth used to come from the mini contract s. And now incrementally how are we seeing the growth in the mini contract s which we have introduced like zinc, crude et cetera? And who are the participants? Is it the Algos or the small -time traders?
P. S. Reddy: See, the huge retail client phase we had earlier, not all of them have come back , okay . Still to come. And in fact, it took almost three years for this contract to revive. So, obviously, all of them have gone away. So, at this point in time, it is a small percentage. I think we are looking at having it back to the 20% kind of contribution. And yes, there may be arbitrage opportunities between small contracts and bigger contracts. Wherever there is an opportunity, obviously, Algo players and others wi ll definitely participate.
I have not seen that, I mean, I have not probed into it as yet, and just recently we have launched these contracts about two, three months ago, but it is not

come, it is not firing at all cylinders at this point in time. We also want to

introduce again mini, I mean, trading unit, delivery unit differently for the case of copper and the nickel. I think we have requested SEBI to look at that also. In fact, their contribution was more earl ier in the total overall volume also. So, those contracts also come, probably we will be able to do better.

Nikhil Walecha: Sir, can you refresh on which product do we have a mini contract and where we don't have a mini contract?

P. S. Reddy: We have in zinc, lead, aluminum, WT I, and N G. These are the ones, and we had earlier nickel and copper also. Those two have gone because the smaller lot, trading unit and delivery unit cannot be made identical there, whereas in the case of other three metal contracts, 1 ton is available. That's why we made it. So, those contacts are 1 ton and 5 ton. Mini is 1 ton and major contract is 5 ton. In this case i t is…

Praveen DG: Yes. In all other cases, it is the 5 and 1 metric ton, but in case of nickel, it's, but of course since the main contact itself has been now changed to 1.5 metric ton. Now we have to look for a mini which is smaller , maybe one fourth and one sixth like that, but earlier the main contract of nickel itself was 250 Kg was the contract then, and the mini was 10 0 Kg.

Nikhil Walecha: So, we don't have for gold, silver group , natural gas ?

Praveen DG: We have. Gold they are permitted because SEBI permitted.

P. S. Reddy: They are there from day one. They are not called as mini or anything like that. We have gold 100 grams, 1 Kg, 100 grams. We have 8 grams (Ginni), 1 gram gold (Petal). So, all of them, they are there. From day one they were permitted.

Nikhil Walecha: Sir, in terms of the future volumes which are being sluggish for the last two years, especially after the launch of options, I understand the options is a much, much better proposition for the customer, but what are the other reasons which has imp acted the futures volume s? Is it the peak margin norms which are al so after 5 PM or just … I wanted to know your views what has impacted futures volume s?

P. S. Reddy: See, the tendency of the investors is to move towards the, what you call, the option c ontracts because options somehow define what is happening elsewhere in the world, and that's how the people have got fad for it.

Secondly, the margin requirement, after the peak margin circular has come, people have moved towards this because the margins requirements are much smaller as compared to the futures contract. That is the reason why it is attracting.

Praveen DG : The advantage is , in case of option the buyer only pays margins as one time , like he pays a premium. After that one , there is no question of margin. Th

at

comes into the picture in options, but in case of futures, it is like depending upon the volatility and other thing , your margins will keep changing. So, the buyers will have to keep track . So, that is what making them to look at the options which is more convenient for them.

Nikhil Walecha: And just wanted to clarify this peak margin rule, is it applicable across the time period or even after 5 PM?

Praveen DG: Yes. It is applicable across time.

Nikhil Walecha: Okay. And how do you see the revenue mix? So, now it's equally divided between the future s and option. How do you see it going ahead?

Praveen DG: Bolar Sir, I think you can give the numbers.

Going forward, see, it is like, currently, the way it is happening, definitely we see very great participation is being witnessed in the options contract. Also , you can look at our equity markets where I think again maybe you have, in fact, options that are more popular in equity market, especially in weekly ind ex products. And again, maybe you can also look at even the stock options. They are also I think quite popular, but still, I think there is a long way to go for us compared to the equity markets that way.

Nikhil Walecha: Sir, how are we trying to address the concentration risk in the options , both from the product side as well as the participation side? Because on the product

side, clearly crude and natural gas are dominating, and in the participation side also, Algos I think probably con tribute around 50%, 55% to the options. So, how are we trying to address the concentration risk?
P. S. Reddy: See, we cannot call it Algo as a one-person kind of thing. Algo is a classification that is under one bucket, but how many Algos are there, wheth er there are 10 members or 20 members or one member, that disclosure is not there. So, it's not this Algo means it is necessarily one or two. No. So, there also we have a good number of players there. Point number one.
And point number two, that on the c oncentration of crude, I think we are promoting others also. Now off late you may have seen the gold is doing better. And in fact, yesterday, I mean, two days ago, 10,000 crore s…
Praveen DG: 20,000 crores.
P. S. Reddy: 20,000, options. So, it is picking up. So, as it picks up, obviously, we will get , the distribution gets wider. Yes.
Nikhil Walecha: And on the regulatory side, is there any discussion to, I mean, they have looked at the option trading, and th ere was one report also on the same that most of the retail participants are making losses, especially, but is there something that regulator is contemplating to bring the norms to even the options trading and any other regulation that they are discussing with you?
P. S. Reddy: We have no knowledge on that whether there is any such, you know, idea on the part of regulator, but yes, investors must be aware of the risks involved in trading in these products. These are not meant for one and all, and they should be aware of, you know, the pitfalls of the risks involved in this, and they may lose the entire money that they have put in this. That's the way it is. So, at the client onboarding itself, a lot of education is planned.
Nikhil Walecha: And in terms of the new launches that we are planning in the option and future, I think gold monthly, coal, steel bars , electricity derivative gold exchange etc. So, how do you think going to the future s, so which of these do you think can

be a meaningful contribution to the revenue line and any timelines for the launch and also a reason for the delay in this?
P. S. Reddy: See, the steel contract we got the approval from SEBI only the last month or in the month of April , toward s the end of April or early May we got it. So, we will be launching , now that we have to prepare the gr

ound for it and sensitize the member brokers as to … and share with them the data how these, you know, the prices have moved in the last two years, three years and some R&D is happening. So, anyway we will be launching sometime, you know, in July, August , the steel.
The second part of it is electricity. We have not received any approval. So, that is being awaited. And the opti ons, the gold what we got it, I think that will take some time. At times now we introduce too many products also. The members don't pay proper attention to promote them. I think we need to give little time for them to, you know, look at and study how the product behaves. Again, I mean, there is, I have been telling from time to time to various other investors also, it's not like just equity markets , you just put 500 rupees, buy some few shares. It's not an investment market . It is investment -cum-hedging, and we are looking at more important is hedging. And if you buy one lot means , it could be a few lakhs of rupees and to that extent, margin is also so much, and there is nothing called one share of Reliance bu ying or one share of Infosys buying kind-of-thing. So, investors cannot try in this market as frequently or with as much risk-taking ability as they can do in equities. Okay. That's a big challenge.
Nikhil Walecha: Is there a way to bring down the lot size possibly, I think you are evaluating , the option contract as well? Anything on that front?
P. S. Reddy: No, I don't th ink we can bring down the lot size because SEBI is also keen that the derivatives contracts are reasonably high. I mean the contract lots are such that not everybody and anybody will come in and then, you know, complain about loss of money. That's what it is. We don't want to hurt retail small

investors. It should not be…
Nikhil Walecha: Any plan to introduce fortnightly option contracts for any other products?

Praveen DG: Shorter duration contracts we are looking at post to go live because our priority is again on the CDP go-live, and if you look at even the new introductions, I think this February and March only we have introduced all the mini contracts. So, that way it is like , the six products have been released into the market. So, we have to, again, it is like take a breath a nd then we have to come out with the new product, especially, we definitely we are looking at shorter duration contract. It is in our mind. We will introduce it at the right time. That is how we are looking at it.
And coming to the contract size, here it is not like equity where one share can get traded. It is like always it should be like a deliverable. Like when I am coming out with any commodity contract, I also have to look from the point of view of delivery , whether that particular unit can be deliverable or not. So, suddenly I cannot have a contract as gold 800 Kg or 800, what do say, grams or 750 grams. Similarly, copper. So, I need to also look at what are the physical market practices, how the deliveries are happening in the physical mark et. Considering that one , I need to go for an appropriate trading unit. So, I need to look at delivery units as well as trading unit. Then I need to , depend ing upon the market , I can able to do all the products.
Nikhil Walecha: Is there any way that we can increase retail participation? I think one of them is the smaller contracts. Other than that, how can we increase retail participation?
Praveen DG: See, currently options itself is playing a big role, right now . In fact, shorter duration contracts can also help in a big way because the premium quantity will come down, because the moment you are reducing the time to maturity , automatically the premiums will come down. That can help the market participants.
Nikhil Walecha: Sir, can you tell us the transaction fees in the domestic market, if you compa

re
it with the international Market, how that differs? I understand, I think the other fees component is very high in India, but overall, as a percentage, is the domestic market fee s higher than international market?

Praveen DG: Yes. It is , slightly , definitely it is on a higher side, but not significantly I can say, but more importantly, the trading, other trading costs that are in many folds it is the higher. That is what increases the trading cost for the market participants.
P. S. Reddy: Like CTT .
Praveen DG: CTT . We have multiple things. Stamp duty, GST. All put together, the trading cost is substantially getting increased.
Nikhil Walecha: And in the domestic, I think RBI had not allowed hedging in the gold outside India, and the similar thing happened?
P. S. Reddy: Oh, that is all hypothetical questions. I don't think we should be looking at it. And we have been asking for it, but I don't think RBI will do anything like that, and they say that that in domestic exchange s also complete. Maybe gold didn't do it because of maybe the currency or whatever that they have in their mind, but yes, they will not.
Nikhil Walecha: And sir, just can you breakdown your other income into the in vestment income that has come from the income from the float and the income from the shareholder investment? Can you just give a broader break -up because it's very volatile? So, how should I look it going forward?
Satyajeet Bolar: The money, the income that we earn from our margin money, that is part of our revenue from operation s, right? So, because that is collected by our wholly owned subsidiary MCX CCL because the revenue that we earn on that is part of our income from operation s, but we have around 900 crores in our, that is a shareholders investments, cash. So, that is invested in these, in government bonds and all. So, we earn around 7%, 7.5% on that. It is mostly locked in long term in SDL and such instrumen ts. I hope I have clarified it.

Nikhil Wal echa: No, no, I just wanted to understand the breakup of the other income?
Satyajeet Bolar: Other income would mainly constitute of the treasury income and a small part would be consultancy fees and rental income and all that.

Nikhil Walecha: So, this 900 crore investment shareholders money, that's the largest component .
Satyajeet Bolar: Yes.
Nikhil Walecha: So, why this is volatile then?
Satyajeet Bolar: For the quarter or for the whole year?
Nikhil Walecha: Yes. Quarterly, yes.
Satyajeet Bolar: No, quarter is almost seen. Isn't it? If you see for the quarter on a consolidated basis, it's almost flat because we had a problem in June quarter because that's when the rates, RBI had increased rates in May, and we hardly earned anything in the June quarter, but after that , we hav e been, as in we moved our investments from mutual funds to debt to SGF. The June quarter we had; it was volatile.
R Janakiraman: Lastly, just one question on this plan to invest some money in the SGF and try to increase the volumes through that route. Has there been any development?
P. S. Reddy: There was a minor development, but that is not substantial for us. So, still the SEBI s RMRC has to decide on this. This is a minor development which they say that the interest income arising out of , can be taken out if you want to take out or you can keep it and then give that, but then that itself is not going to give a substantial leeway for us to reduce the margins. If 1% is reduced on an active contract, i t will be few hundred crores of, you know, contribution has to come. So, unless that clarity comes, we can't contribute to SGF.
R Janakiraman: Okay. Nikhil, anything else?
Nikhil Walecha: I think I'm broadly done.
P. S. Reddy: Okay.
Nikhil Walecha: Just, sorry, one thing. On the oth

er expense type, can you also give the breakup of that?

Satyajeet Bolar: The other expense for the quarter, it has gone up a bit because our subsid iary company, they account for CSR expenses only at the end of the quarter. So, that's why the entire jump came in the quarter. Other than that , it’s just a normal expense.
Nikhil Walecha: No, going ahead also, it will continue in same manner ?
Satyajeet B olar: Yes. Because that is the practice they follow , the CSR contribution while we account it every quarter, they account it at the end of the year.
Nikhil Walecha: No, other than CSR, what are the major components in the other expense?
Satyajeet Bolar: I mean, the expenses that we need to maintain the building, the administrative cost, the oth er cost related to the building.
P. S. Reddy: Licenses.
Satyajeet Bolar: And licenses, legal expenses. All those expenses. Okay. Fine.
Nikhil Walecha: Thanks, sir.
P. S. Reddy: Thank you so much. Thank you. All the best.
R Janakiraman: Thank you.
P. S. Reddy: Bye.
R Janakiraman: Best wishes for the next month.
P. S. Reddy: Thank you so much. Very kind of you.

Call: Jun 2023

(no extractable text — likely a scanned image PDF)

Call: Aug 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2268 August 18, 2023
The Dy. General Manager
Corporate Relations & Service Dept.
BSE Limited,
P.J. Towers, Dalal Street,
Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX
Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.
No Investor/Analysts Date Time Annexure
1. Ward Ferry (WF Asian Smaller
Companies Fund Ltd.) August 11, 2023 12:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl: As above
 Multi Commodity Exchange of India Limited
Meeting with
Ward Ferry (WF Asian Smaller Companies Fund Ltd.)
August 1 1, 2023

Annexure - A
Multi Commodity Exchange of India
August 11 , 2023

MANAGEMENT : MR. P.S. REDDY – MD & CEO
MR. SATYAJEET BOLAR – CFO
MR. DG PRAVEEN – CRIO

P. S. Reddy : Welcome Mr. Aman and Mr. Nicholas , for this Investor Call. Since you have been familiar with the topography of the business, so please go ahead and start firing the questions.

Aman : Thank you so much, Mr. Reddy, Mr. Praveen, Mr. Bolar , for taking time to speak with us. We have been , as you guys know long -term shareholders of the business , and we hope to be long -term shareholders. We had a few questions on operational front, on financial front and a bit on software , which will run through. I think even software has generally been discussed in the historical calls a lot. We will keep that in the end, but maybe, we can just talk a bit about the eff ects of software implementation on business. I think, the first that I want to may be ask is , are there series of futures or options that we are not able to offer to our customers , post January options , that basically could , because of the software implementation t hat is part one of the question. And if that is the case, will it start reflecting in revenues of our business in let us say , quarter two or quarter three ? Or does it reflect only in that quarter, which is quarter four in January when the opti ons series kind of becomes live. Maybe that will be very helpful for us to understand.

P. S. Reddy : Ok. Look , I mean , we have so far wherever there are approvals are req uired, we have issued contracts till December . You are aware that only the first two months contracts are active and then third one maybe some way inactive . And anyway fourth month onwards , they are all inactive contracts in that sense. So , once we finish our implementation, maybe by September end, we sh ould be able to launch other contracts as well. But then there were also contracts launched as per the requirement , maybe for one year or so also. So, there are some contracts till July, till April. I think it is falling under that contract specification r equirement. In some contracts , we said we will launch for only three contr acts, some contracts we launch six contracts like that. So, they are all in place at this point in time. So, there is no additional contracts we can launch unless the one contract expi res. So, in the month of August, some contracts will expire. Then we have to launch the new contracts. These are all

illiquid contracts anyway. Even the existing contracts are illiquid. If you see some of that. so, they are all illiquid , so it does not impact the revenue anyway.
Aman : So, Mr. Reddy just for my clarification , at what point of time , in let us say, August till December , and for the sake of assumption, I am making an assumption, the software gets implemented in December. That is the assumpti on, just for the conversation. When does that s tart showing up in revenue or A DTO of futures or options ? Are you saying that three months in advance? So let us say, if we do not have new software till September, then October volumes may have an impact or that is not the right understanding.
P. S. Reddy : No. See the active contracts will continue to be active. New contracts are what we are talking about. New contracts are o f January, February. They will, anyway, will remain illiquid anyway. That is what the point I am making it. So, October will not be illiquid , they will be active.
Aman : Sir, one last clarification. Even if on 31st December , if just switch the software to the TCS software, in January 1st you can start having the same ADTO that the market required. There is no ramp up required because those contracts were not being offered a month in advance. I am just sorry, I do not understand this very well and also tryin g to understand that if it goes to the fag end , then what happens to revenue kind of thought

process ?
P. S. Reddy : See, in my personal view that we have to offer contracts at least two months before , the third month contract we have to offer at least two months before . So, January contract has to be offered nece ssarily maybe by end of October, so that we will be able to create liquidity . Because in the month of November itself in some contract , the third month contract , that is January contract liquidity comes . In the month of December anyway, January contract has to be there for them to roll over. So, the question does not arise in that kind , we can afford to so delay . And again, it is the SEBI , who is regulator , we will be applying , anyway well in time to get their approvals to continue offering the contracts.

Aman : Got it, very helpful. Mr. Reddy, second question is around growth. You guys have been doing an amazing job in underlying volumes both in terms of option volumes and that is compensating more t han sufficiently for future volumes. Anythin g else from a new contract type and we had started certain contracts last year and early this year. Anything more that we are doing to deepen the market for both futures and options or any new contract type that we are looking at which can help these things, and which can be seen in this year or next year from a financial year perspective ?
P. S. Reddy : See, once we launch our new platform only , we would like to launch all the new contracts . So, one such thing is the steel TMT bar is one and also the shorter duration contract s we would like to launch. We had a G old options contract of a monthly. Again , we have not launched it and of course this kind of tech transition delay also has delayed that kind of new launches. In that sense , it is impacting, but we would like to overcome that. That is why we are keen to move over to the new platform at the earliest. So, once we launch it, we will be able to apply also for new type of contracts after success ful transition.
Aman : Any of these that you feel could be large in te rms of potential , like potential , no one knows how will they finally turn up, but when you see today , basis the history of similar commodity either in MCX history or in the history of other Exchanges or versus the demand that you have got, which one are most high potential?
P. S. Reddy: See, the liquid contracts will continue to be liquid even if the variant is issued . So, if a short period contract is issued in Gold and in what you call, Crude, NG, obviously it will be successful, I mean , the trajectory will be on the success side. So that is the way I look at it.
Aman : I think we also spoke about competition last time, at that point of time, I think NSE was about to re -launch crude at that time. Anything that you have seen change in competition, in the last 3 -4-5 months or any steps that you have seen that will change, anything in the future?

P. S. Reddy : My colleague will give . You please mention month wise, ADT, OI and what else you have , I do not know , you please mention.
DG Praveen : Currently , the statistics that we have is in the month of July . For example, in case of WTI Crude oil, around Rs. 37 crores have been traded and there are about 138 lots are for open int erest is there .
Aman : This is for NSE , you are saying?
DG Praveen : Yes, talking about NSE . Then , Natural Gas, it is about Rs. 7 crores for the month of July and open interest is around 127 lots. This is what we could able to find on their website.
Aman : That is pretty low , as compared to what you guys do daily. That is very interesting , good. I think on business , we do not have any specific oth er questions given we have been generally well-entrenched in the workings of the business so far wi th yo u. I think, w

e had certain finance …maybe Nicholas can start with the first option that he has for Mr. Bolar , and then maybe, we c an come back towards the end on the software side.
Nicholas: Sure, I mean then we can start with options. I think you have touched on a similar question before, but on options premium, we know that it is hard to say or how hard to determine how much options premium to notional value we can expect , but maybe looking at a long term , in long term basis when options market has reserve d relative stage of m aturity for us? I mean , is there perhaps a certain way of gauging , what our options premium to notional turnover would look like? Is there a certain band or range we can see we settle towar ds?
DG Praveen : So generally, what happens means, the option s premium to notional turnover depends upon several factors like volatili ty and the growth of the market and how the markets are deepening, okay. The way we can look at it is , as the market is growing faster and going bigger, we can say that liquidity is building up in the out-of-the-money contracts also. So that is a very healthy sign, and we can say that as they are getting deepening, the liquidity is building up , people are even able to trade in the out -of-the-money contracts. So, because of

that one overall the option premium to turnover ratio ma y come down. But as long as the growth is happening in the premium turnover that is a very healthy sign. Th at is how we can look at it. Even if you take other markets, that is how they have grown over the period of time, but each market has a different phenomenon . Like you cannot fix any particular ratio or a particular percentage that it can be for a , that mean s it is going to be there for option to notional turnover , depends on several factors and we have a different ratio. We were somewhere around 3% earlier. Now it is around 1.9%. It is very trick y to say right now what could be the percentage , but as long as l ike I said, it is premium turnover is going up, it is good , healthy sign for the market.
P. S. Reddy : See, we expect the ramp up in our futures , subje ct to two conditions or the pre - conditions to be met. One is that margins in the futures contract have to be substantially reduced. Because of our SGF constraints, we are imposing the additional margin. And the healthy sign of these contracts, open interest is growing. So that means people are staying put in these contracts. They are not just day traders and fly -by-night operators' kind of. As a result, the SGF cover is increasing because SGF cover is based on primarily the overnight risk and then risk to liquidator posi tion over a perio d of three days, four days kind of thing. And so that is th e reason why this is not g rowing, the underlying futures . The second is, even for options to grow is, there is something called a short option minimum margin, where if s omebody is taking a position in options and as well as futures , a contra -position especia lly in the short , in options it is just short and then in futures it is long , obviously , they need to cover their hedge , then the margin re quirement has to be substantial ly lower. But that is not the case. Whosever are taking exposure in futures to cover their risk in the optio ns, they are being charged fully , whatever that is requ ired. And I think that is the ask which we have represented to the regulato rs and the brokers associations also represented . There is CPA I, and if we able to get a favorable dispensation, probably the whole scenario is expected to change . How much it will change, I cannot say but then there is a ask chorus, I would say among broker

community please have this one resolved , is what they are asking. Thank you.

Am

an : And Mr. Reddy, is there a timeline on which the regulator has to decide on these two request s that, or representation that you have made?
P. S. Reddy : No timeline , they have again they go through a kind of a standing committee on the risk management systems, they have a committee on that. They have to take their consent and then only it will come. I do not know when it will meet , that committee , and that committee includes representa tives from the market participants as well. I think this is something which they are asking for, thank you.
Aman: But from a stage perspective , would you say it is in the early stages of discussion or in the more advanced stages?
P. S. Reddy : While we keep representing after time and again sending reminder - kindly help us to get this resolved , and it is a plain Ask, there is nothing much to be discussed or debated , they know that. Because it is there in equity markets and so that is what we are asking for. Maybe, these are commodity markets, they are less receptive to major changes in this and because put it in equity markets is much higher than what it is here . But then definitely it is not an agricultural commodity where it is locally determined and , Crude and thin gs are International products, G old, etc.
Nicholas : Maybe just to close off the options part . In terms of the slabs we charge, I am just curious , from my understanding , how those , like Rs. 40 and Rs. 50 were determined and is there any possibility for these to change overtime?
P. S. Reddy : Well, there is a po ssibility of change over time. But is it in the near future ? My answer is no , because it was just introduced a year ago, if I am not mistaken. So, I think it is too early an d at least for three years we should see that we do not change it . Otherwise, somebody will go and complain to the regulators and here and there and then, you are changing freque ntly. Or somebody can accuse us misusing the … position . So, we need to benchmark it, maybe against the inflation that is happ ening , or something of that kind we should do it. Cannot we just increase it to 40 to 50 or 50 to 60, something like that.

Aman : Go ahead , Nicholas. You had more questions there on financials, right?
Nicholas: Sure. Okay, so maybe just on, some financials if you can touch on the product license fee line. Would you be able to tell us what that number was for Q1?
Aman : What also is this, Mr . Bolar , what exactly does this product license fee go to?
Satyajeet Bolar: We pay to CME.
Aman: To CME? Ok.
Nicholas: Only CME ? It is a percent of transaction, right?
Satyajeet Bolar: It is in the transaction. In energy, in our energy.
Aman : It is in the energy side, a pe rcentage of transaction , revenue?
Satyajeet Bolar: That is right.
Aman: And how much was it in quarter one? Could you disclose ? Is it possible?
Satyajeet Bolar: One we have mentioned it, I mean , you are talking of the June quarter?
Aman: Yes.
Satyajeet Bolar: Yes, around 7 crores. In our presentation , it has been merged . It is around 7.77 to be precise.
Aman: 7.77. Ok, got it. Thank you.
Nicholas: And just quickly on that, is it the same fee is charged for options and futures , that license fee to CME , is charged both on options and futures . Ok. And in terms of computer technology expenses, I just have two questions on this line. One is , it has been relatively flat for the past couple of years leading up to 2023. So, and then I think in 2023 , it increased to almost 40% , what’s the reason for that jump and also secondly, on this expense, will it be impacted by the new software change or is there any link to 63 Moons ?

Satyajeet Bolar : I think we are looking at line software and the product license whic

h include
the payment that we made to 63 Moons . So, the increase is mainly on account
of the payments that we are making to 63 Moons .
Nicholas: Got it . Right, ok.
Satyajeet Bolar : I have been able to explain because the payments in June '22, we did not have
any extraordinary payments to 63 Moons . We were paying as per the ear lier
term, even in September '22. But from October onwards , we have been paying
that extra amount which is reflected in that account. Our normal technology
expenses, oth er one for a back end and all, it is about 2% to 3% increase. So,
there is no major increase in our normal technology expense, th e major
incre ases on account of what we paid, we have been paying to 63 Moo ns in the
past few quarters and in this particular quarter as compared even in March
quarter, we have been paying Rs. 81 crores on a consolidated basis . In
December , we paid Rs. 60 crores on consolidated basis to 63 Moons . And
going forward, as we mentioned in the previous calls , earlier call , that for the
first year once we go live, we will no t be paying any AMC to TCS, it will be
under warranty . The first year is under warranty and from second year onwards
we will be paying them AMC. But we will be incurring some expenses like we
will be renewing certain operating and licenses which presently is under CWIP,
but once we go live , those would be , we will have to charge it to our P&L. So,
it will become revenue expenses .
Aman : Mr. Bolar , have you ever disclose d how much will be the quantum ? You talked
about single di git number in terms of AMC cost and single digit number in
terms of other expenses which includes , even the infrastructure that you guys
are h iring. Is there a more firmer view that you guys are presenting or not yet ,
on the cost?
Satyajeet Bolar : We have not disclosed it so far.
Aman: Ok, g ot it. Not even the CAPEX part? Because I think , in the last quarter call
there is a request, I am assuming that you are not disclosed it so far.

Satyajeet Bolar : I mean, September we will give those figure s.
Aman: Ok, got it. If I may, so, Nicholas , do you have any other question on financials?
Otherwise, I have a slightly conceptual question o n SGF that I want to ask Mr.
Reddy . Mr. Reddy , how does the SGF work ? And how does it grow with the
business growth. So, when we look at the way we project the business, how
should we think about SGF as a n item in the balance sheet?
P. S. Reddy : See SGF contribution goes to Clearing Corporation and Clearing Corporation
keeps it as a se parate fund, and it is only a one-way street . You can contribute
and then you cannot claim any benefit out of it. And it gro ws based even
interest income that it gets. Otherwise , there is no requirement of permanent
contribution from the Exchanges. But all penalties that are being levied by the
Clearing Corporation go to the SG F. So that is to put together , about our
contribution is about Rs. 460 crores is our own contribution. That is our means
75% is from CCL and Exchange is 25% and the balance that is about Rs. 140
crores is the penalties , maybe since inception , and all that . That is the way it is.
Aman : So, is it related to volumes or not at all? You are saying that from now on, if
the exchange grows at X percent, does this SGF need to grow? Or unless there
is no penalty / interest of course accrues to this account. But if your volumes
go up 20% does this grow in any way?
P. S. Reddy : If the volumes go up and then say volumes, it is the open interest. I would like
to insist specifically open i nterest but not the turnover, okay . If the open interest
keeps going up, average open interest, then the contribution has to be made by
the exchanges on a month -on-month basis, okay . And so, you take the average
of the open interest o f this month and

then arrive at whatever that is, and then
next month you calculate it and a month after from the first of the subsequent
month, you have to make sure that so much is available whatever has been
arrived at as per the month of July. So, month of July will be reflected from 1st
of September , put it that way.
Ama n: So, this is linked to volumes. Is it linked to futures or options or both?

P. S. Reddy : It is, open interest is of everything , across options and futures .
Aman : And this interest that comes here, Mr. Reddy, it does not come to us in our P&L account , right? It is simply gets accrued and compounded in that same account.
P. S. Reddy : That is right .
Aman : So, Nicholas, do you have any other questions on the financials, or should we move to software implementation?
Nicholas: Nothing on financials .
Aman : Mr. Reddy, I think , you talked about software implementation in the quarterly analyst call. If you could just give us a sense of where the comfort is right now and I think the mocks which have been happening, any color that you can provide since the quarterly call , will be very helpful for our understanding and building our thoughts ?
P. S. Reddy : I mean , while we were very enthusias tic to go live in the end , quarter ending June, we could not make it for a variety of reasons including the EOD -BOD is taking long time and some stakeholders have some reservations on that kind of situation. So, we said let us fix all of them and I think no w they are falling in place. EOD -BOD is coming under control and the code freeze has already happened. Regression testing is started and now we will be able to open up for members mock sometime, I mean , this month itself. And anyway, we have been given a target to complete it and go live before end of September. I think we are pursuing that target assiduously and we should be able to make it. That is what our commitment is.
Aman : And Mr. Reddy , the new , for the two quarters fee that we are paying to 63 Moons , is it purely a negotiation between them and you, is there an arrival process on why this number should be , the number that will now reflects into P&L?

P. S. Reddy : Unfortunately, the negotiation is something you give and take and there is nothin g called give. There is only one thing, take whateve r I have given it that is what it is, that is it. It is an options choice that is on situation we were in and that is how it happened.
Aman : In terms of regulator, what i s their stance? Because I think they have dual responsibility. They oversee you, but they also have to ensure the exchange keeps running . So, is their insistence on to make sure that there is always 100% perfection on your TCS software and then only you can move out or how are they kind of thinking about this ?
P. S. Reddy : See, the larger concern that the regulator has, and we too have on the board has is that you are a dominant ma rket infrastructure institution . Several investors, stakeholders have their stakes in your sustainabili ty and system going just as usual kind of thing . So, you are also a nationally important project in that sense. And so, they are very closely monitoring and helping us whenever we ask for any help, and they have been very supportive, and I do not think they could have done anything more to make. I think that is something . Having said that, yes, they have to ensure that non e of the stakeholders are impacted due to the system going down and other thing s. So, if at all there is a hi gh degree of precision , if they are looking for, they are looking only in the interest of the markets and stakeholders and not otherwise. So , that is the way it is at this point in time.
Aman : I am assuming Mr. Reddy , I thin k the

re is no, this entire process of delays which have happened , there is no regulatory penalty that can come on to you guys because of this. I am assuming this is purely a third-party implementation process and there is no voice of regulator y on that part that there is penalty required because you guys delayed it. I am just wondering; I hope there is no new charge coming from the regulatory side on this ?
P. S. Reddy : Well, regulator is definitely concerned whether they will, whether there is a charge on the exchange or not , but individually obviously we are all accountable for the good and bad project implementation.

Aman : Last thing , TCS. How have they been , supportiv e, given they have been involved very deeply on this and this is getting a bit pushe d out. Have they been generally support ive to you guys?
P. S. Reddy : At the highest leve l, yes, it is being monitored , this project . Again, for them is also it is a high reputational risk. Th ey too want to make it a success and neither we would like to take no for an answer, nor they would like to take no for an answer in this case. We want to make it a success. That is it, nothing else.
Aman : This is heartening to hear. Mr. Reddy, I think both Nicholas and I wish you all our very best for the implementation of this software. And we hope to see you guys soon and hopefully by the time we see the software wi ll be implemented so that will be a reason to celebrate. So, I really , best wishes to all of you.
P. S. Reddy : Thank you, thank you so much. Thank you, Mr. Aman . As ever , you have been a well-wisher and supportive, so is Mr. Nicholas and stay invested and we will do our best to enhance the stakeholder value in this company. Thank you so much.

Call: Aug 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2266 August 17, 2023
The Dy. General Manager
Corporate Relations & Service Dept.
BSE Limited,
P.J. Towers, Dalal Street,
Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX
Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr. No	Investor/Analysts	Date	Time	Annexure
1.	Ashmore Investment Management	August 10, 2023	2:30 PM	Annexure - A

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl: As above

Multi Commodity Exchange of India Limited
Meeting with
Ashmore Investment Management
August 10, 2023

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the acco mpanying mate rials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there ma y be material errors, omissions, or inaccur acies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward -looking statements " – that is, statements related to future, not past, eve nts. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates, "intends", "plans", "believe s", "seeks", "should" or "will". Forward -looking stateme nts by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different that those expressed in our forward -looking s tatements. We do not undertake to update ou r forward -looking statements. Annexure - A

MANAGEMENT : MR. P.S. REDDY – MD & CEO
MR. SATYAJEET BOLAR – CFO
MR. DG PRAVEEN – CRIO

 P.S. Reddy : Thank you Madam. Welcome for this meeting on the Q1 results. Please go ahead and file the queries , whatever you would like to have.

Rashi Talwar : Thank yo u so much for the meeting, Sir. Sir just wanted to get an idea , what are you all seeing with volume growth , where is the… with volatility in various commodities that we are seeing globally , are you se eing some correlation between where volatility is higher and volume growth tends to be highe r, it has clearly been a good quarter for volumes and we are just trying to analyze it, because of higher volatility , is it because of just general higher participa tion, what do you attribute the underlying improvement in demand to?

P.S. Reddy : In this market definitely, volatility is the key to drive the volumes , no doubt about it , and incidentally this quarter happened to be o

ne of the highest quarters in which we made revenue since 2013 -2014. Of course , unfortunately for various , the operations expenses on IT have taken away a lot of cream of it, but otherwise , one of the best quarters that we have ever had in this company and that is in the past . Now having said t hat, yes, volatility drives the volumes and while volatility drives, we are seeing it in Crude, NG and even in the Gold it has picked up , and Silver also the options volumes ... Because of addit ional margins that are imposed in the f utures, the underlying f utures are not as vibrant as the options contract. I think we need to have as muc h, what you call , vibrancy in the f utures contract as we are seeing it in options. This is coming in the way of it, these additional margins . The additional margins are requir ed to be addressed sooner than later and we have imposed these additional margins only because we have a SGF cover of only so much , and if you do not impose additional margins the SGF requirements goes up and then we have to take out of our own fund and th en put it in this SGF, and since it is only a one way street you cannot take it back when the requirements go down . We are temporarily managing it with these higher margins . But otherwise also the margins are generally high as compared to what is ther e in International Commodities , and as far as options are concerned , I think India is one of the topmost in option contracts and we as Commodity Exchange, we are the number one in Crude Oil option contracts , number two in Gold and Silver. We are seeing number o ne in the world , that is what we are seeing and ... I think we are there , kind of , but as

Page 4 of 7 options as a whole may not be number one , but yes, we are , for these individual product s, we are .
Arpit Kapoor : So, just carrying on , let us say when before is the cus tomer base the same , so people who are let us say, initially trading in futures because of the cost have now moved onto opt ions and that is probably the trend we have seen in the equity market as well , so is that is one part and , or also seeing new users coming in so the overall user -base is increasing which is also leading to the increase in volume activity ?
P.S. Reddy : Yes, some people do drop out , no doubt about it, but some do shift and new are joining. So , that is how we have 625000 unique customer bas e, we have got it. And these are the ones who have traded in the last one year or one -and-a-half years. We do not consider any body who has traded only even in one quarter will c onsider them the unique traded, o therwise we do not t rade. If somebody has trad ed in the last financial year and not traded this financial year , we drop out and with the mini contracts are also slowly bring ing in those ones who have dropped out in 2019 -2020 , they are again coming back , but it is slow, and we bring them back into the market. One thing as I said I keep repeating, we may not be able to get as big as the equity markets are , because here a contract s ize, a single lot itself runs into a few lakhs and the margin on it will be few thousand rupees , so obviously , it is not an equity share , you buy share or two share kind of , and so that is why you won't see droves of p eople coming to this market and trading in. But what is impo rtant again we are seeing it , the open interest is increasing in some of the contracts and the volatili ty may be low or the, what you call , in terms of participation may be low , but the open interest is increasing , means the hedge rs are coming and then staying in th e market . And we have seen a lot of increase in the number of hedge rs on the Exchange platfor m. We keep disclosing on the Exchange website, but that is something which is heartening and helping us to look forward to , because it is

a stable
platform . It is able to help you to hedge your risk, provide adequate liquidity to meet your hedging requirem ents, so that is where it is .
Multi Commodity Exchan ge of India
August 10, 20 23

Page 5 of 7 Arpit Kapoor : Sir, in terms of new contracts is there , post the technology migration that we are undergoing , there is no limitation right now for us in introducing new contracts, right ?
P.S. Reddy : Yes, there should not be any limit. Once we get the platform going and I think we will introduce , wherever new contract approvals we have received , we should be able to introduce.
Arpit Kapoor : That will continue because we introduce d a couple of mini contracts as well?
P.S. Reddy : In the month of March, we introduce d three mini contracts. Two of them we are yet to get approvals , that is related to Copper and Nickel. There we c ould not get it because the trading unit and then delivery unit has to be s ame, that is the one rule at this point in time is currently in place , and in the case of Nickel it is 1.5 tonnes and then Copper it is 2.5 metric tonnes. You w ould not get any smalle r delivery lot in the market , so that is why we have to have the same thing. Otherwise , we propose to go to 250kg Nickel and 500 kg Copper contract , so that smaller investors, smaller players can be attract ed to this market .
C Govindaraju : Suppose if you launch a contract of let us say, next ye ar January expiry date , in 63 Moons software , so how easy is it to sh ift to the new software ? Is it happens whenever you launch?
P.S. Reddy : There are contracts already till 2024, June o r May 2024 contract, but the y are all inac tive. Inactive means there is hardly any liquidity, hardly any open interest. Whatever contract that are active of the near mo nth that is, current month , and next month , may be at best one more month , not beyond that.
Rashi Talwar : That transition should not be..?
P. S. Reddy : Should not be a problem. That is part of the data migration anyway .
C Govin daraju : You d o not need to launch again a new product or a contract to the same ?
Multi Commodity Exchan ge of India
August 10, 20 23

Page 6 of 7 P. S. Red dy: It is like transferring from existing is to porting the data , that is all. It is a mor e porting of data than anything else .
Arpit Kapoor : Post you port it, and once you stabilize the system , do you expect to launch a

lot more product s which probably , because of the fact that the last six to nine
months we have been again with the transition , or some of the new prod uct
launches would have been on the backburner ?
P. S. Reddy : Well , as we have announced , we got a Steel contract, Steel log, rods, and that is
kept on the ba ckburner because of the transition . Once we are there , then we
will launch.
Arpit Kapoor : So, then y ou have better flexibility and more management ban dwidth also.
Once yo u are a ble to stabilize , once you are able to migrate … Just last bit on
the software expenses , post the transition there would be , I guess if I remember
right there was one year service contract ?
P. S. Reddy : Warrant y one yea r, thereaft er AMC will kick in.
Arpit Kapoor : For the first year you will not have any delta incremental cost , it could just be
the amortization of the software that you will start doing ?
Satyajeet Bo lar: Some operating software ...
P.S. Reddy : So what you are saying is TCS no AMC for first year, but there are kind of like
DB2 database, SQL and these are all licenses on which you have pay the AMC .
Arpit Kapoor : Anyways you would be paying ...
Satyajeet B olar: It is now under TWL. When we go live it is under TWL . Once we go live, that
part will come .
Arpit Kapoor : Okay s o part of it will come in the AMC , but then most of the others would
come let us say after one most, the TCS -related expenses would come ?
Satyajeet Bolar

: TCS part will come after one year.
 Arpit Kapoor : What would be the duration for you , that you would take to amortize the
software cost?
Satyajeet Bolar : Within six to eight years.
Arpit Kapoor : Is there any benchmarking that you guys have done vis-à-vis let us say what
other Global exchanges us e?
Satyajee t Bolar : It is around eight years is, most of them ...
Arpit Kapoor : Most of them use …
P.S. Reddy : Right. Ok. Thank you . Thank you, madam .
Rashi Talwar: Thank you so much Sir. Thank you for taking the meeting .

Call: Aug 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2267 August 17, 2023
The Dy. General Manager
Corporate Relations & Service Dept.
BSE Limited,
P.J. Towers, Dalal Street,
Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX
Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.
No Investor/Analysts Date Time Annexure
1. Canara Robeco MF August 10, 2023 04:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl: As above

Multi Commodity Exchange of India Limited
Meeting with
Canara Robeco MF
August 10, 2023
 Annexure - A

P.S. R eddy : Good evening Mr. Ajay and Ms. Jain. W elcome to this investor call. Go ahead.
Ajay Khandelwal: Good evening Si r and team. Thanks for meeting us. So Sir, we will start with the recent challenges that we have faced in terms of implementation. So we understand that these are difficult things and some of these processes are taking more t ime than what we anticipated , so maybe if you can give more insights where are we in that journey and how confident are we to resolve these kind of issues?
P.S. R eddy : As we explained in the la st investor call , we have mobilized the whole ecosystem a nd good amoun t of members have partic ipated and those who matter and then in terms of participation and day in and day out we have gone ahead and handheld them, conducted an awareness programme … technolog y familiarization and almost all 30 plus mocks were condu cted in th

at two
months time , but unfortunately because of some EoD BoD t aking more time since system crashes that have happened , we could not restore the next day trading by 9 o'clock because in the normal course you supposed to start trading by 9 and you r trading ends by 11:30 to 12:00 and unfortunately we do not have as much luxury of equity markets as we have in commodities because they are closed by 3:3 0, the whole day is there for them to start next day trading a nd so being , that window being very small , we have to ensure that the transition is very sm ooth and we should be damn sure about starting the next day by 9 o'clock . To have the trading by 9 o'clock we need to get the system by 6 o'clock , 6:30 in the morning , and that did not happen. On some occasions it happened, and, on some occasions, it did not happen and we had to cancel some mock sessions also. So, it did not go well with some of the stakeholders obviously , so that is how we had to defer in the last minute and while having deferred this now we have been able to get contro l of the situation , and now the EoD BoD timings have come down. May be there are some blips , but even blips should not be there . In the last two weeks , if we take it , we are reasonable in control and so we need to now condu ct the regression testing and the n regression testing is process ed. Probably once that is also over some of its activities have to be parallelly done some of them seque ntially done , so then we

 will throw it open to the market me mbers for mock once again. Maybe this time mock may not be fo r months on end and we are determined to go li ve before the end of September and keeping that in view we would like to complete all the processes before back itself , that includes even audits also and those audits have to be sequentially done and so now th at once we st art the mocks and then also feedback of the mocks . Anyway , even as I was speaking , also systems on mock is done, but it is not just exposed to the external world , usually that is being done. We are also using , as I said trade generator to pump in as much live data, live kind -of load as we are currently experiencing so that is the way we are handling at this poi nt in time .
Ajay Khandelwal: Volume is not a challenge; the number of tr ades, because options volume s have increased so much , that is no t somewhere impacted the systems ?
P.S. R eddy : They are not challenges and once in a while maybe the databases crash , DB2, and then it is supposed to be in a failover mode, so the other system did not pick up because in a sleep mode or whatever th e configur ations and the configuration IDMU , certain configuration maybe , there are a lot of configuration s setup. Some issues of this kind , I am just giv ing an example and, but they are all done kind of .
Silky Jain: In this particular month we have not done any mocks, like in the month of July?
P.S. Reddy: External mock we have not done but otherwise we have been running the system.
Silky Jain: So there we have seen that progress versus what it was like few months back whatever issues were there?
P.S. Reddy: That is right. They are all getting address ed. Now only we need to get is control of the EoD BoD timelines , that is important.
Silky Jain: Sir what exactly are we doing in terms of managing the EoD BoD timelines , like what changes?

 P.S. Reddy: What happens in EoD BoD, l et us say we had to ensure that all our numbers come right, obligations and everything. There are some pre -validation che cks. Now how does the system work , in T7 trading engine when trades happen , they are pushed to RMS - risk management system . Risk management System margins, so from available collater

al some of the margins are block ed then the trade goes into the banks where the obligations are being done. Now, at the end of the day in between some activities also take place in the form of let us s ay, give-up data , that is , I have done a trade , I transferred to the custodi an so the margin will be imposed on the custodian but not on mine, it will not be blocking the number . So that is a give -up take-up it is called , so I communicate the intention , then the moment the opposite side accepts the margin gets reduced here and it is billed there, s o all these accounting steps happen, it will happen while online happens , at the end of the day it accounts for all th ese things … for back office. So, there are pre-validation che cks, before you go ahead and generate the brokers' obligations you need to see whether all give -up take up instructions are properly accounted for . All the trades have gone or anything is stuck in some error pocket or something they call i t, some of the system issues then you need to move it , why it is stuck in an error for any reaso n or some configurations, some mapping is the re, so all these kind of things are tak en into consideration and once the pre-EoD checks are all clear then you tak e the next step of EoD BoD, that is where you will generate obligations and all . Then thereafter BoD , that is beginning of the day or start of the day … Then some processes can be parallel there , by genera tions, some process es have to be necessar ily sequent ial. One is that, if the re is a BoD check that has failed halt there, check why it has failed, correct that, read on that process then get the process passed , so it takes time for diagnosing that why it has failed and correct it and then put it, so t hese a re the ones which , this EoD BoD process is taking time . As I said , now it is coming under control essen tially and on many occasions, we b rought the system between 06:30 to 07:00… Backups also take time ... Now sometimes it takes more time. Similarly, there is active …is there , and we need to shift in the event of a disaster , you need to shi ft to the DR side. On t he DR side SEBI imposes a restriction that we must do it within 45 minutes , less than that that is fine and we have been achiev ing it , but in th is new system it was taking some time and it was not within 45 minutes , a little more. T hat we have to again , the quality scripts have to be written to automate this process , so that end-to-end time is 45 minutes, so once the script is done , that will be f urther reduced. We do not need to build those ma nual instructions or sequence s, so they make a schedule r, and they keep running , job one done , that kind of.. . So, this is another thing we need to bring it under control.

Ajay Khandelwal: So once these thing s are up and running , we will not have any challenge in terms of coming up with new products , that also is well calibrated and some of the products which are not seeing any traction or less traction , any ramp up , so in terms of product we will not have any challenge whether increasing the volumes or introducing it ?

P.S. Reddy: Well, there is no attempt to restrict the volume growth or anything like that . At this point in time our focus has always been on the CDP going live . Once the tech migration is done, we do not need to look back into this and we can keep on introducing new products. We already got a n approval for the Steel bars and maybe the Gold cont ract also options, monthly options. We will keep on introducing one by one like that , we will do that.

Silky Jain: You had m entioned that we are planning to go live by September right , our contrac ts is still there by December 31, 2023 as of now , so how will it work , meanwhile when we shi ft to our own this thing software, so what happe

ns like we will still ha ve that backup in the form of 63 Moons software or how does it work ?

Ajay Khandelwal: Sir, paralle l systems will be run?

P.S. Reddy: Here you cannot run a parallel system , the problem is that , because the brokers have to work on both systems . I do not thin k they will work on it. Let us say you are doing trading okay , one can always say that the orders can be routed through this and there is something called a parallel runs which we are doing using the 63 Moons , what ever the data is there we are pumping in a nd trying to see, but the tim ing will not synchronize . When you s tart pumping in then it will just pump it maybe seven to eight hours , whether you are taking morning till

 night, and it should come in that time span itself to see the real -life situation. Let us say, you are exhausting the margin, but the day you will update all the colla terals , so, there is no question of you going into a risk reduction mo de or of that kind of in the parallel run the way we are doing it . Running parallel run of that kind is a challenge , that means you have to pump in orders as if that many members are trading on the Exchange, u pdating the collaterals of all the people at that relevant point in tim e, then only you will be able to … because it is a real time system . If it is a banking kind of system , it is a different m atter.

Ajay Khandelwal: Sir, moving on to next set of questions , because of this increase in margins for certain products the future volumes are going down and considering our math of almost 40% options price we ge t vis-à-vis one future , so do you think this margin equation som ewhere is restricting the investors to be more efficient in terms of trading?

P.S. Reddy: Yes, as I just said , one is the system driven margins , because of volatility , what you call v olatility margins increasing , I have no problem , but we ourselves have to increas e the margins because our SGF cover is about Rs.460 Crores a nd we are not having fortunately a trading which is not substantial with open interest , nowadays open interest is including , we have almost Rs.30000 Crores of open interest , that shows the strength of the market. People are not just day traders. Now t he moment you r open interest increase s, your SGF requirement increases. Now SGF is primarily based on what is the overnight risk that you are taking. The overnight risk you are taking on the op en interest only and not the day trading . So, with the increase in open interest, we need to provide more of SGF cover and because we have to contribute from our corpus to the SGF, we thought let the members contribute in the form of higher margin s or … that is where it is hitting us b elow the belt. We had asked the dispensation from SEBI , I think in the past also we have requested. We have informed that we may be given a choice to contribut e and whenever the SGF requirement goes down , allow us to withdraw. If that kind of dispensation is given , maybe it is worthwhile to invest in SGF rather than invest in any of these treasury , because the return net-net will be better in the volume space, and it will go on, definitely.

 Ajay Khandelwal: So this increas e in open interes t is do you think is a structural phenomena because somewhere the out-of-money options their volumes have also increased our premiums have dropped so putting these two things to gether do you think that this is something structural or because markets are trending that is why I think this is happening ?
P.S. Reddy : When there is volatility and then there is a directional mo vement , obviously it will tend to go out -of-the-money also b ecause one day it will become in-the-money, so for which reason , these co

ntracts start h olding some position then building that , but it is not just that the open interest i n Crude, although options are maximum in Crude, the open interest is in Gold, almost Rs.10000 Crores, Rs.10000 - Rs.11000 Crores of open interest we have in Gold and maybe in NG about 7000 , 6000 .
Ajay Khandelwal: Margin requirement s is higher in Crude, that is why 10% higher margin requirement , is that the reason ?
P.S. Reddy: Not 10% higher. I think 10% is external margin being imposed , as such it is about 30% to 40% margins currently .
Ajay Khandelwal: That additional is l esser in Gold, only 2% odd?
P.S. Reddy: Only 2% that is all, 12%, but that is not the only reason. The g old could never be at 30% of margin … we do not experience anywhere, b ut then , internationally Gold prices are going down in that sense , and I think the dynamics sug gest that people want to hedge in gold that is why more and more hedging is taking place . Open interest is more majorly from the hedge rs.
Ajay Khandelwal: So, in summation Sir, d o you think that future volumes will continue to trend down, and options volumes will continue to grow ?
P.S. Reddy: Option volumes going up , I would say I can expect that kind of trend , which is going down is something which is not that I expect , that is what my own assessment . I think once we get the margins right, I think future s will also increase , in my view , because if the op tion writers have to hedge the only way that they can hedge is in cash -settle d markets , only the underlying in futures . In

 the case of others, they may have physical asset s. In the case of Gold, they do not need to take position in the underl ying futures, but then they still have Gold, they may still do without hedging , not cash-settled .
Silky Jain: Are you also expec ting some traction in the mini fu ture volume s?
P.S. Reddy: Yes, we are seeing that, but then it will take time. We just introduced in the month of Ma rch, if I am not mistaken . It will take some more time.
Silky Jain: But what could be the reason why there is not that kind of pickup , even though we were quite excited about this product ?
P.S. Reddy: Madam, when minis were trading , it took time to gather m oss.
DG Praveen : One more point what we have to lo ok at is, then they were all cash -settled contracts , now today, they are all delivery -based contracts, as per the new … trading unit as well as the delivery unit both should be the same.
P.S. Reddy: That is why we could introduce only three mini contracts i n the metals , whereas in the case of Copper and Nickel , we could not introduce because the deli very unit is very big , almost Rs. 30 lakhs.
Silky Jain: So, like meanwhile , do we feel that because of this focus on technology obviously we have lost out on cer tain focus in terms of marketing or something which would have resulted in more volumes in our other category , has this been also a reason why l ike index derivatives or these mini contracts – all these thing s have not picked up ?
P.S. Reddy: Well, we have a separate team which is concentrating on, focusing on the business development. They continue to do what they suppose to do. Personally, I am not able to spend time in business development , no doubt about it.
Silky Jain : But you do not feel that is a reaso n why , we could have done little better ?

Page 10 of 13 P.S. Reddy: Maybe we could have done a little better . Whatever little i ncrement al built up we can add , but otherwis e sitting here and at times I will pick up the phone and then speak to the clients.
Ajay Khandelwal: Coming back to the premium part of it , if this thing continues , again I am just trying to understand because this option premium goes down and then

our take rate also comes down , normally is there something like for example … for illiquid stocks , they i ncrease the ir commission , or some of these stocks which are thinly traded , so when your premium is lower can it come down to , because it, I think it is 1.89 now ca n it further go down or you think that there is a floor at least?
P.S. Reddy: The way the ide a goes is that we must not increase more piece in the liquid contract. You should encourage them to get activated. The issue is one of whether it is near -the-money or in-the-money or far away from the money is what we are talking about. If the people trade in far away from the money then obviously surveillance actions will also follow, so people do not trade in those option contracts otherwise also , because there is a fear of misusing such illiquid contract s. Generally , it happens and then people do , conscio us of that so, we cannot say that we will charge more for these illiquid contracts or some of them at the far away from the money contract s we will charge higher premium, I do not think t hat is correct .
Ajay Khandelwal: Sir, just trying to understand then there could be any floor for this premium because it increased also to 2 .5% plus?
P.S. Reddy: No, but we have currently , how much it is 1.5% or so ?
DG Pra veen : 1.9%.
P.S. Reddy: So that is not a s mall one, i n fact in cash markets that is the way it is happ ening , okay. Deliver y-based stock s, the options on goods , that is where the stocks are getting , I have seen that the other day . Whereas i ndex option , it is just how much it is 0.20% . The stock o ptions are high. Index options and it is just th at the volume is more so come to the point , to address your concern if this is less

Page 11 of 13 at least the volume should increase so that we get compensated , that is a good point , I understand that.
Ajay Khandelwal: Sir, as you said some of these funds are blo cked so there is possibility of lower other operating income also , so are there any other changes that we need to pay attention to , because these funds by regulation , our requirements have gone high and some of the float money also that you were getting those regulations again because of certain changes that float is going down , because in terms of our other income also has started coming down , so can you just give some perspective what is happening there?
P.S. Redd y: Obviously that float money is basically taken , or coming in the books of the Clearing Corporation. While float money is important but many of the members and the clients are also becoming prudent and they wa nt to reduce cost, and they give more and more bank guarantees , rather than cash. The cash will come in only if that volatilit y is of a shorter duration and they want to trade and pending up in the new bank guarantee they give the cash, so nobody would like to deposit permanent ly the cash . Nowadays th e rates have gone up so they would like to earn more interest on that , why they would give away.. .
Ajay Khandelwal: So, this is kind of becoming a more efficient structure ?
P.S. Reddy: That is right .
Ajay Khandelwal: How about Sir, on boarding new me mbers , I think this quarter we have added 556, the number of members ?
P.S. Reddy: Please do not go by that number. My suggestion is you see how many are active . That way we have almost 550 to 580 members lined up, but actually almost 400 are active. Now some of them may be having multiple memberships for a variety of other reasons, but whosoever active ly trading is what is important for us .
Ajay Khandelwal: So that activation rate is increasing, improving or remains the same only ?

Page 12 of 13 P.S. Reddy: The way that I look at is, while number of members is important , n

umber of
members are also closing down , because u nified membership applications have come down , so we do not need to have one in MCX Commodities and other financ ial services which is a member, so they are mergi ng it and then making it one single unit . So, the numbers will come down , it is a consolidation process that is happen ing but otherwise they are all trading , that is the way it is . It is not worrying us .

Ajay Khandelwal: Also, the authorized person there i s decline again there so that also are we pruning some of these?

P.S. Reddy: Well , while the number of authorized person s has come down because we introduced a fee, about two years ago , every authorized person Rs.1000 you have to give annually, so there were so many people lying authorized and they all have shutdown , clean up , that is good for me anyway it does not matter but at least whosoever is active , I am getting Rs.1000 more and that is adding a few may be not big, but a few crores to our bottomline.

Ajay Khandelwal: Sir, recently one brokerage had an i ssue with KYCs, and they are asked not to onboard new d istributors , these kinds of exercises also help us to have better checks and balances with our members?

P.S. Reddy : Well , I knew that order what SEBI had passed it , but I do not know the antecedents of it, where all it has happen ed, but the KRAs have come into prominence ever since they are the ones who are doing it , we do not find any breach in it . There could be some data entry mistakes, etc., like instead of operating from Mumbai you have said that maybe some other Mangaluru or something like that these kinds of things will happen . Linking of Aadhaar has become mandatory now and all the records are Aadhaar number ceded.

Ajay Khandelwal : Right, Sir, there is dip in the trading volumes in July , so anythi ng concerning, or it is a short -term phenomenon ?

P.S. Reddy : The problem is your benchmark ing us on our own success , which is fairly nothing wrong with what you are doing it , but on a month -on-month bas is if you look at it , yes there may be some months which are bad and some months

 which are good and yes , I would not be able to say why in a particular month it was less, understand that.

Ajay Khandelwal : In terms of electricity contract s?

P.S. Reddy: No f urther development. We are continuing our engagement with the regulators, with stakeholders, and all that is happening.

Ajay Khandelwal : Also, just one last thing this Clearing Corporation is a separate entity, so we need to prepare that it is not part of the responsibilities given to TCS?

P.S. Reddy: I did not understand.

Ajay Khandelwal : Clearing Corporation , Sir…

P.S. Reddy: The trading platform that is being developed is both – clearing and trading .

Ajay Khandelwal : So, risk management and clearing?

P.S. Reddy: They are all part of the trading region . Probably it is flowing from your questio n that they floated an RFP for some risk management solution, so that may be the reason why this is coming. Look , currently a c ertain kind of latency number is... If a trade is executed how fast it is going to the risk management system and coming back margin. So that is a few microseconds , milliseconds and maybe they benchmarked w ith some of the other exchanges , we should have still lower. Well , my personal view is g ood to have it, but how much incrementally we want to improve that it all depends on the competition between machines and all that … If some fine tuning can improve that, it is fine, but if not improve also , it is not risk , milliseconds t hat itself is a gre at achievement and we are doing online. I do not think in most of the exchanges is not online , it is a batch mode , risk management .

Ajay Khandelwal : Sir, you have answered all our questions. Thanks for you

r time.

P.S. Reddy: Thank you so much.

Call: Aug 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2265 August 14, 2023
The Dy. General Manager
Corporate Relations & Service Dept.
BSE Limited,
P.J. Towers, Dalal Street,
Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX
Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr. No	Investor/Analysts	Date	Time	Annexure
1.	Nippon India Mutual Fund	August 07, 2023	04:00 PM	Annexure - A

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,
For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl: As above

Meeting with
Nippon India Mutual Fund
August 7, 2023

Annexure - A
Multi Commodity Exchange of India Limited
August 7, 2023

MANAGEMENT : M R. P.S. REDDY – MD & CEO
MR. SATYAJEET BOLAR – CFO
MR. DG PRAVEEN – CRIO

Vrishit: Hi, good evening. First of all, thanks for taking your time. We have the entire team; Sailesh sir is on call. Sir.
PS Reddy: Good evening, Mr. Sailesh.
Sailesh: Hi, good evening. Thank you so much for your time and you know, obviously all of us have been through a fairly challenging journey, i am sure for you as well in the last few quarters and large events like you know, transitions like this are definitely not easy and challenging. We wanted to really get a sense on the comfort of your team and your processes, which are built around enabling this transition and what according to you, like you have mentioned on the call and all that by October you should be around to comfortable around that. But could you give us some granular understanding as to what are the things which are in your control which you are executing and we are very confident about by getting it done and are there some elements which are not totally in your control which you know which has been creating the problem in the last couple of times when you have attempted this. So, we just wanted to understand the technology piece behind this and get a sense from you. I thought I would start off with the most important question and I think this must be the thing which will be taking most of your time as well. So, happy to hear your response.
PS Reddy: Thank you, Mr. Sailesh. More than anybody else, I am the most disappointed for not being able to do the transition because I had been what you call, I have been positive about this transition happening and the last time I was there almost for 99.99% kind of thing. Yes, there were challenges, I know that, not that we are not aware of those challenges, but then we wanted to manage those challenges while trading is on but then certain things have not gone well with some of the stakeholders of the system like cancellation of some mocks on account of some technology issues, especially some databases crash for which it took time for us to restore. So, well we have the vendor support yet it took some time. So, that is that is one reason kind of thing. Secondly, we had to fine tune the EOD BOD processes, the window that is available for us is unlike equity market its just 6 hours. Yes, because our markets are open till 11:30-12 midnight and then again morning by 6:00 if you give it then obviously you will be there at 9:00 to start the trading. So, we couldn't do that number of days because the some of the batches were failing and they were fixing and then running it and then you know at the end it was going through, but then that is where the time is being consumed, so we could not obviously thought the trading by nine, but probably you could have started trading late if that was the choice that we were to make. So, these are the issues that had disturbed us, of course, some more functional issues were there. We were also saying that, Yes, we will see whether there is any work around and we can work with that. We are not in a mood to go for an extension. As I said again, such compliance was also in terms of audits etc. could not have been completed with a clean report in that sense. So, unless we get a clean report, obviously we will not be able to go forward. Yes, the kind of business tick sense is different from some few technology taking an approach to this kind of project. So, we couldn't move forward. So, now that we have more than a month into it, yes, many issues we have got control of it and that those are all got fixed now the EOD, BOD

reasonably good in the sense we have almost all able to do on most of the days by 6:30, 7, 7:30 maximum. So, the point I am making is that is this 7:30 is also good enough, no, we are still refining it. Some of the processes and some of the batch processing Wherever some are failin

g
some of the checks are failing, they need to be found a permanent solution, TCS team is working on that. So, that the time lost in the EOD BOD will be reduced substantially, so that refinement is going on, although we have not declared mock to the members for participation but on a daily basis we are running the trading with full capacity. When I say full capacity, whatever is the

current volumes that we have. We use a trade generator and then generate that much of trading volume so that you know system is withstanding the kind of load that is expected to. That includes variety of contracts and variety of instruments that we have. So, and again, even the mock system where we are running, it's nothing but the live trading system going to be till we go live we call it as mock trading system, but then once we go live then that itself it is the system so that the members need not find the data being inconsistent or the last minute we migrate data then they will find my UCC's are not there are some users are not there. So, in fact we have already done on maybe 4 or 5 occasions in the past also when we ran the mock session almost 30 plus but some of them sessions were with a almost all live data. Because we had Friday trading is done, then we copied that data OLTP they call it online trade processing data. That data we have migrated into the mock system because when we go live, actually that is what is going to happen the Friday evening or Thursday evening whatever is the time that the live position you have to transfer it to this new system and then start trading. So, we have given that members in the past. On Sundays we have started trading also and members were trading on Sunday so that they will also be able to verify whether all the online data has been properly transferred or not, whether all what you call the rights and whatever the privileges that are given to various users are properly populated or not and open interest is properly transferred to the respective client accounts etc. So, we will continue to do that. So, far we have done almost all 6-7 data migrations. We have created golden copies of that and we will continue to do that before we go live. We plan to do as many times as we can. While Saturday data may be while Friday data we may not be able to do it, may not be able to do it every time, at least somewhere in the middle of the week we can take that data and then this is as close as to the live data. We will give it to members for verification. So, we are working towards this one objective to go live at the earliest not withstanding the time that we have it, but we don't want to look at that time frame and it is important we store the confidence of all our stakeholders having what we call having not been able to achieve twice I would say.
Sailesh: If feels all the controllables are now working in the sense if you had some challenges like you know selectively some vendor support problems like you mentioned or cancellation of mock, that is all behind us, those kinds of things are behind us. And there is good support and cooperation of all the vendors you require to make this happen.
PS Reddy: There is no problem on that part of it. There is no problem. But obviously the most important vendor or a partner in this technology is TCS and they have to fix it when there are any problems online in a jiffy and that's the way at this point.

Rishit: Sir just one thing, right. When in terms of tech transitioning, is there a blessing or is there anything to do with 63Moons, so they could get involved and unless and until we get a go ahead, or unless and until you know some credible pieces they were to provide that is required in this transition or this is something that we can manage independently with TCS without 63Moons being entirely in the picture.
PS Reddy: Yes, it is an independent exercise. So, in

that sense, data migration has been done for almost all 15-20 years of the old data into the data warehousing system and all that, without any involvement. We engaged an audit firm also to verify whether the data migrated is all in place or not and KPMG we engaged and they are verifying it so that we have done it successfully. So, it is between the MCX, TCS and the systems team. That's the way it is..
Rishit: Okay. Incrementally you talked about EOD BOD, is that sort of largely behind us now or that's still happening with some improved efficiency now? I mean so from here so as we speak right now, what are the issues that are still pending before you start pushing mocks to the member brokers?
PS Reddy: See the EOD-BOD as I said the batch failure happened, or some kind of what you call some updates not take place maybe so they have to be corrected and then move forward and yes, they are getting fixed. That is why we have put a tight scheduler and the scheduler runs it and we fix in sections, if something fails don't bypass that and then move forward. Make sure that is an important process that we have to run through, or it can be bypassed because it may not happen every day in situation certain activities happen only on certain days, so that kind of thing has to happen. That is the way that sections are, and similarly, certain processes need not be done sequentially and like some files generation can happen much, what are to be given to the members can be given much earlier than what they may have planned currently. So, they are being removed from the scheduler and then put as a separate process. I mean when I say loosely speaking scheduler what I mean is that can be run independent of the other EOD-BOD processes. So, that Members will have the files by 3:00 AM in the morning. So, some obligations have to come only after it has to be done sequentially, but trade and order files can go well soon after the closure of the market hours. So, like that, they have identified those things that are being

done now and I think those that will further give some more time for us to you know, reduce the timeline. We would like to have complete these things as early as possible. So that, God forbid, if there is for any reason, one day we miss it, then we will have more time for us to fix it and then move forward. That's the way it is.
Rishit: So, essentially because these were the issues that were even at the end of the last month, right at the end of June, right now, we spent about a month already. I think it does not look like most of these issues were also there in the last month's itself as well, right. I mean, what has changed in this one month because all I am trying to understand is progress. Is there visible progress that we can see which gives us some guiding part towards September, October where we managed to get the transition or we still struggling in some form of shape.

PS Reddy: As I said today, as we are speaking, we are able to get the system by 6:30, 7:00 kind of thing. So, that was not the step here. We had about 9:00, 9:30. Sometimes to tell the members system is available from 11:00 onwards where we used to declare mock itself at 11:00, so that is not there.
Rishit: OK. So, that’s one of the progress that we would have done in the past month.
PS Reddy: It is very important, very important for us, because for us to start the market at 9 o’clock that’s very important.
Rishit: Okay, now incrementally from here on like you, I think you mentioned on the call that September, October could be one of the deadlines. Again, it is I think it is a non-committed deadline, but I am just trying to understand is there a view that this thing were to run the way they are that looks realistic or that still looks like a little bit of a fetch, believe you have not started mocks with member brokers as yet?
PS Reddy: No,

I mean we are planning definitely this month only, the mocks for the member broker. We have not announced the date. But we will be announcing.
Rishit: And on September, October deadline, does that sort of sound realistic now or do you think?
PS Reddy: We should, as I said that last time itself we plan to go live then why not this time? That's the way it is.
Rishit: Let me just check if my colleague has a question on this one.
Amar: Good afternoon, Sir. Thank you. Thank you for this interaction. Am I audible?
PS Reddy: Hey, good afternoon, Mr Amar. You're audible.
Amar: Thank you, Sir. Thank you for some of these points that you have shared with us. Sir I have just one question and please pardon us for sort of asking this, but this was sort of a key point. Rishit and Sailesh briefly touched this, but I still wanted to get some clarity. For the transition to complete or successfully conclude do you need cooperation of 63Moons in any way for any part of it?
PS Reddy: The answer is No.
Amar: Thank you sir. Got it, Sir. Thank you.
Rishit: The other thing is on the transition right. For that, I think sir we have seen in the past two, at least one or two instances you had to you know your CTO’s had to sort of leave because some of the other reasons, right. Is the new hire you talked about obviously that the new hire is done

and you are waiting is there a timeline and that is from a process perspective, is that timeline new CTO and when would the new CRO be sort of inducted into the organization? Is there a clarity on the timeline? Because I think that will be the key events from the transition perspective for us to monitor as well.
PS Reddy: Okay on the CTO. I must say that the board way back in maybe 2021 itself taken when we were hiring or 2022 maybe I don't remember but when we were hiring new one they said that you please hire two. So, that one will remain as a backup to the other. That is how the current interim CTO, who is acting as CTO, Mr. Rajendran, was hired also at that point in. So, the project should not suffer that is the whole spirit behind it. Similarly for the current session also all the interviews and short listing all that been done. We will soon close that also which is already done kind of. Technology Committee has also finalized. On the CRO, I think once the CRO joins then only we can announce to the market. Obviously, he/ she is currently working somewhere. So, we can’t harm that's the way it is.
Rishit: Sir is there a timeline because the way I understand or the way we understand this is that look CTO would be critical from the tech perspective or CRO would be critical from an audit perspective, right in terms of checks and balances with respect to what SEBI requirements are, etc, right. So, for us those two important events which helps us track their induction into the

organization and they will obviously take their own time to get things sorted out, right? So, is their timeline where they will get sort of inducted or if you are not looking to disclose the name, I am just trying to understand the timelines on when they will be with us.
PS Reddy: I think both of them will be requiring about a three months' time to give a notice and all that kind of thing. So, that is the way it is. I am sure we should be able to on board the CRO by then by October, not by October, by November should be able to and also say this current CRO is also there. It is not that they themselves were heads of departments for a long time in this organization. So, they are very much aware of compliance requirements etc, not that they are not aware of. So, Yes, I think that is the requirement which we have to fulfill. That is why we are fulfilling it.
Rishit: Because is there a risk there coming by November, you could just also end up I mean December is coming to close so is there a risk or you guys can

manage it and this is not a concern?
PS Reddy: Managing it and. I don't see any risk out there for me. It is not a risk.
Rishit: Okay then maybe would it not be best to just elevate the existing guys to become CTOs and CROs when I mean they can take care of the transition themselves.
PS Reddy: well I know that attempt was made, but there are certain issues, so I cannot speak up now and that is why we couldn't do that.

Rishit: Okay. I think that is all I had on the tech. I will just check if anyone has anything on tech transition. Otherwise, we just have a couple of very basic questions from a business perspective and I think that is pretty much it. So, I will go in terms of the business now in terms of from a business perspective, right? I think there have been 2-3 orders where SEBI has said that look post Jan 2024 some contracts would not been allowed just if you could help us elaborate on what, what did they sort of indicate and is there any risk that you would see because of this?
PS Reddy: See the contracts that are required for, whatever contracts that are needed and which are active in the market, they have already been launched and they are already there and we should be able to implement it anyway much earlier and we should be able to launch other contracts also as we move forward, even if we launch them, they are all illiquid only you have seen that only first two contracts are active. So, there is no impending danger for me at this point in time.
Rishit: Okay the other thing on gold options, right, because that's I think one of the contracts that we were expected to launch after the tech transition, right, is that correct gold Mini. So, just on that from a view and this is just primarily your view on how you think about it? When I look at futures, obviously gold is like a 50-60% of the volume, right. How optimistic would you be on that particular contract from a growth volume perspective? Would you be equally optimistic as the way you see in crude options are picking up or is there a different angle to it that we should know from a business product perspective that you can highlight us.
PS Reddy: See in the case of crude, the options are much more actively traded than the underlying because the margins on the underlying are very high and almost all of 40% of the margins. So, that's a very, that is not a small sum. Although the contract size is not very big, in the case of crude, okay. Now when it comes to the gold, that's why in crude the options are very, very actively getting traded when it comes to the gold. At this point in time monthly options are not available. Options are on bimonthly, the underlying contract futures itself is also a bimonthly although the margins are about 12%, the contract value is almost 55 lakhs, one lot is 1 kg of gold so 55 lakhs or 60 lakhs whatever it is depending on the value. So, that is a pretty big and bi-monthly options means the premium will be to that extent tenure being longer, longer it will be expensive. So, my view is although the margins are not high because the contract value itself is very high, the options may pick up is my understanding monthly options may pick up.
Rishit: So, you know that make sense. So, then to that extent, I think this will be one of the kickers once the tech transition starts, I think there is a fair way to think of it. The other thing that I wanted to understand is of the index derivatives, right Index options possibility. Index derivatives from a future perspective have not picked up. Because that was one of the more promising contracts for us as well, right? Is there a reason why from a product perspective that has not picked up anything else that you can highlight what can change, or options is the key piece there and which ones you launch is where things can pick up from that perspective.

PS Reddy: Yes, currently we have only index Futures and we launched all the three and then they were doing well, thanks to the nickel contract debacle. So, the entire metal index has gone, almost 200 crores to 300 crores ADT we were clocking in that METLDEX and collectively, what you call BULLDEX is, what is doing again, about 40 to 50 crores maybe sometimes 70-80 crores of ADT seeing it. Yes, it is a disappointment for us also at this point we have not focused much on it. I think whenever there is a what you call a dampener that came in the form of nickel and other thing people have withdrawn from almost all those contracts. I think we will -relaunch these things once we, index is reconstructed. We have already done that METLDEX we were to remove nickel. We have done that has already been removed.

Praveen DG: Nickel has been already been removed and but more than that it is like we are awaiting for this transition to take place.

PS Reddy: Transition to take place then thereafter we will relaunch the contract.

Praveen DG: Index options also can be considered.

PS Reddy: But we need 1000 crores turnover. So, turnover that's not the requirement, Okay for index it is not. Okay. We can look at that at that time but let me migrate safely to a new technology platform then all these things will come to our mind and at this point in time, our focus is only this technology, technology, technology, nothing else.

Rishit: Yes I think that has been the case I think for a fairly long time. I know you have been struggling through that, I think, but hopefully we will get there sooner. Just couple of last questions. Premium to notional turnover in general, right that come down in the last I think two or three odd quarters, right? Can you just help us understand this? I mean, what sort of impacts this ratio because it obviously helps us swing revenues in a fair bit of pace, right? Can you just help us understand what typically impacts and I mean what is the key factor to sort of remember here?

PS Reddy: Yes, please go ahead.

Praveen DG: So, generally multiple factors impact this premium to turnover ratio. Okay. You can look at like if market is growing larger and larger, then you can expect that, liquidity also will spread over multiple strikes and even into the deeper into the deeper out of the money kind of contracts. So, you can see that as the markets go bigger and other thing somewhere it can stabilize. OK, initially because the contract stated could have been only limited to in the money and deep in the money some kind of contract. So, during that time, naturally you will be getting a better premium to turnover ratio. But as the markets progress, you can see that there could be but again it is too premature to come out or arrive at any given number as because the market just it started emerging the options just last 2-3 years, I think we have to wait and we have to see it.

PS Reddy: Currently I think it is about around 1.5% - 1.9% is the premium to the turnover. That's right and 1.9 it may keep going down also, but then as far as our market, our turnover is concerned, it cannot go down below Rs 40 per 1 lakh that's the way our tariff is. So, when we are not intended to create any more.

Rishit: Sir ideally 1.9 then in that case 1.96 should have been in the bottom know or you think?

PS Reddy: As he said, it all depends on where the volume is coming from. If it is out of the money option contracts then it will still go down. If it is in the money, it will be more. It's like that.

Rishit: Okay. The other thing is from just one last question from a product perspective, is it a thought on weekly options because that is something in equity and there is volumes for equities. Is there a thought on or something that you will have to wait after the tech transition and

then you want to launch something in that category or you can't really do it for the product categories that we work with.

PS Reddy: Wait for the tech transition to happen thereafter only all these things will happen and our job is to protect the existing products and make sure that they grow and I think we will look at new ones as we go along, once this is behind us, but weekly options are a possibility, no doubt about it.

Rishit: Just one last question from a participation perspective typically, let's say what portion of the volume will be from the top 10 out of 20 members. Is there a number because what I am trying to understand is that how increasing participation is coming from retail because that's one of the sort of opportunities that we can play with, right, because for us, the participation is really small. UCC, like you mentioned, is really small. All right and let them grow multifold over the next 3 to 5 years, right? From a participation perspective, any data that you can share will be useful for us to ensure depth.

PS Reddy: Well, in terms of revenues, I do not think I will be able to contribute because when you look at the top 10 members, how much they are contributing to the turnover, I can say out of which some will be of retail brokers also, not all of them are algo players. So, top 10 accounts for about 60% of how much it is, 54-56.

Praveen DG: I don't have the right number right now, but that is what we have been telling earlier.

PS Reddy: How much?

Praveeb DG: Around 60.

PS Reddy: It is there in the public domain, also. So, top ten accounts for 63%.
Rishit: OK, 63% of the volume is it.

PS Reddy And this is obviously some of them include your members who are catering to the retail investors.
Rishit: Perfect and in general, from a UCC perspective, at least the numbers seen a decent amount of uptick in the last year and year and half right it is essentially because retail participation has increased well and you think this is broadly as a trend that can continue and just your views on what are we doing incrementally so, right.
PS Reddy: So my expectation in this retail participation should continue and will continue. I think smaller contracts is key for their greater degree of participation after they introduce some of these mini contracts, some of them did come back but then it will take time for us to bring back all of them and there are, like your nickel and copper still there are no smaller contracts introduced. In fact Copper was doing well at that point in time so was the nickel and our request for smaller contracts in this is also pending with the regulator for their consideration.
Rishit: Okay, perfect. I think let me just check if any of my team members have a question, otherwise I am good. Perfect. Thank you so much for your time. I think that is all we had but absolutely, we hope. We hope this transition gets behind us and at least we get to focus on the business because I know there are couple of good things that you can do around the contracts that you have mentioned about, but all of the energy is sort of getting wasted in doing where we are spending right now. So, let us hope we get there soon, Yes. Thank you.
PS Reddy: Thank you.

Call: Aug 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2263 August 11, 2023
The Dy. General Manager
Corporate Relations & Service Dept.
BSE Limited,
P.J. Towers, Dalal Street,
Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX
Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.
No Investor/Analysts Date Time Annexure
1. Tata AIA Life August 04, 2023 12:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,
For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl: As above

Meeting with
Tata AIA Life
August 04, 2023
Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates, "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different that those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.
Annexure - A
Multi Commodity Exchange of India Limited
August 04, 2023

MANAGEMENT : M R. P.S. REDDY – MD & CEO
MR. SATYAJEET BOLAR – CFO
MR. DG PRAVEEN – CRIO

P. S. Reddy: As I have explained in the earnings call also, as well as yesterday we have another call, I don't know whether that is in public domain or not?

Participant: Not yet, but recording got uploaded.

P. S. Reddy: So, it's a big disappointment for me that we couldn't do the migration as I have been emphatically telling and you know the whole eco system has been poised to do that and certain things acted as show stopper for us. So the one is the EOD and BOD not within the control time. Unlike equity is shut at 3.30 whole day is available for them to fix anything. For us market runs till 12 midnight and window available is may be for another 6 hours by 6 am have the system ready so that we will be able to start trading by 9 am. While it was happening on somedays but on many days it didn't happen again because of certain processes getting delayed taking lot of time EOD and BOD processes. May be certain pre EOD processes build in the system and some of the checks were failing so obviously they fail and they step in and then fix them and then move forward, and so those things took lot of time. And other one is of course on few days may be 3-4 days, we had cancelled mock sessions or started very late in the evening 5'o clock or something like that. so that also dampened confidence level of some of the stake holders and obviously the auditor certification to that extent will not be forthcoming if they don't get that kind of resilience of the system. So these are the thing which had taken us aback and so obviously the board is also not comfortable going with this. And that is the reason we had to extend the contract. We again, I don't want to get into the specifications of that because it is not in the public domain, it's not proper. And so we had only a minimum two quarters given, take it or leave it again. so that is the reason why we have to do it. Now our desire is to, wind up as early as possible and we will inform the market participants when we will be starting a mock, should be definitely in this month only and then we will be going live. Since we have already done good number of mocks in the last so many months, like 30-35 and almost 380 - 390 members who all on a day-to-day basis, they have all participated tested the systems. So may be, we will give mocks this month, may be early September and then we should plan to roll out the systems subject to other compliances being in place. So that's the way we are looking at it.

Participant: So, Sir the problem of EOD and BOD, now since one month has passed in that exercise so how do we see it now?

P. S. Reddy: It is coming under control, EOD and BOD, we are getting the system, although we are not doing mock for the external world, internally every day the systems are up and running and we are starting by 6:30-7:00 we are getting systems.

Participant: So, isn't it dependent on when we have to run a mock and then the data that we get and then we run the EOD-BOD or we can do it on the live which is going on just parallel system to what we run?

P. S. Reddy: Mock is a separate system altogether; the mock system is nothing but the infrastructure the full-scale infrastructure that will be just converted into a trading system. So there we are using what is called as trade generator and we are pumping as many trades as currently we are having volumes, so there is no question of whether the system can take volumes and other things, so that is also being practiced at and parallelly done. So that is the way it is. We are pumping all that and those trades will be EOD-BOD done processed.
Participant: And do you require any enhancement from TCS or something internal?
P. S. Reddy: It is the job of the TCS, all those fine tunings those processes and why certain job steps are failing and fix tho

se job steps.
Participant: Okay, can you quantify in the past one month, what is the improvement in the processing time we have seen in the EOD-BOD process?
P. S. Reddy: Like I said, nowadays we are getting the system by doing 6 to 7 most of the time, in most of the cases.
Participant: And the current 63 Moons system, by what time does the process get completed?
P. S. Reddy: Maybe by 5 O'clock or so we get it. By 6 is also good enough because trading starts at 9 O'clock. So it is not an issue for me. But the lesser the time, the system is ready in lesser the time, the more what is called free time available for us in the event of any problem that you encounter you can fix that.
Participant: So how much more optimizations would be envisaged before starting the mock sessions again?
P. S. Reddy: For the mock session there is no problem, we are testing internally some of the functionalies and some of the areas which are some of the regulatory compliances related also and once those are in place we will do that. As I said in the month of August itself we will be starting the mocks.
Participant: Sir, what are the related compliances that we are talking about that is not tested before?
P. S. Reddy: No, no, It is not that, it is not tested before, some of the reports and DWH reports and some of the penalties imposed for violations and other things, those are the ones which were earlier tested also. And see, the code, if you keep touching and tinkering with the code, then obviously it misbehaves, that's the problem. That's what the issue is.
Participant: How much time would be required to complete the regulatory audit process and data clearance from the SEBI?

P. S. Reddy: No, see, we need to carry out certain activities what you call sequentially that is another important thing. So once our internal regression is completed, regression testing is completed, then we will give it to the external mock, then we can simultaneously start our audits also.
Participant: But audits are subject to we starting mock?
P. S. Reddy: Not necessary because they can always do the background what you call, background preparations in terms of verifying, what are all the due diligence we have done and what are the processes we have done. In what is called the software lifecycle development of something that is there. So what are these one-two-three-four kind of things, whether you followed it or not, how many test cases you have done, where is the test results. All that they can verify it. So not necessary that they will not, means it will start only later. They can do this work, which we have already completed.
Participant: Is this done by the regulator, sir?
P. S. Reddy: No, we have to appoint an external auditor, who is CERT-IN certified and all that.
Participant: Where does the role of regulator comes in this whole tech transition, when does the auditor or regulator sort of monitors that?
P. S. Reddy: We have to submit the reports to the regulator after our board or SCT approval are taken. Look here is the report.
Participant: And given that there are delays in things, is there anything coming from regulator at the moment?
P. S. Reddy: So, as far as delay is concerned, regulator is very upset obviously on these things and the board is upset and so we have escalated these matters with the vendor at the highest level, all that is happening and yes we have to work together to make it happen that's the way it is at this point. Regulator is also very supportive of us to go live at the earliest.
Participant: Okay, for getting the regulatory clearance, we need to fill the positions of CTO and CRO beforehand or that was ….. thing.
P. S. Reddy: There is anyways CTO interviews are going on, already done and then shortlisting is done, all that is the process. But the point is even when we have taken an earlier sometime when

we have
taken the CTO and simultaneously taken a CDO also, so that it is a fallback for the CTO, both are technology guys only and so we have taken them as fallback to each other, we don't want to leave a wide hope there. So we are conscious of it that's how it has happen.
Participant: Is it a regulatory requirement that the positions needs to be filled before the transition happens?

P. S. Reddy: That is not a regulatory requirement but even if somebody is there, we have designated the current one as the interim CTO designate.
Participant: Moving to business, so currently, futures volumes have been declining and what we understand is that the current options contract are on futures. So the earlier understanding was that if the options value go up and since the options contracts gets devolved into futures that should also lead to improvement in futures volumes, so why is the mismatch currently. So we just want to understand.
P. S. Reddy: If you see that is the way the business framework should work and I am of that view only, continue to hold that view, but the margins happen to be very high in the underlying futures. And what is that majorly accounts for, it's the energy contracts and the gold, and gold we have 10%, we have a 2% initial margin. So 12% is the margin. So is in silver also, is that correct?
Praveen DG: Number precisely I may not confirm, but yes approx.
P. S. Reddy: But in the case of NG we have imposed, not NG, what Crude Oil we have imposed 10% initial margin almost 40% overall approx. margin. So these are all taking positions into underlying future contract expense. Probably if we reduce those margins, we should be able to build that also equally well, is my understanding.
Participant: Deciding the margin is in our hand or …?
P. S. Reddy: It is in our hand. What the regulator decides is the minimum margin.
Participant: What could be the regulatory defined margins?
P. S. Reddy: There is something called as minimum margin, the second level is the VAR based margin. This two where minimum is minimum and then VAR based margin is day based on the price volatility that kicks in, it is system determined. The third one is additional margin. We impose additional margin because the SGF cover will increase if we don't have additional margin. So this is the problem that we have at this point in time facing, like I said. It is important for us to balance between this SGF v/s margin. If you have more SGF cover, probably less margin we can levy. We don't need to impose, less margin means, definitely not less than what the initial margin and the VAR margin that anyway, so you don't need to impose margin. And at this point in time, if we don't impose this 10% margin because the volumes are increasing in this NG products, so is in gold the open interest is basically important, we end up contributing from our balance sheet to SGF and we can't take that from SGF, that is the rule. So we have asked for a dynamic contribution point of view, which I earlier also mentioned on various calls, whenever there is a reduction in the requirement I should be able to take it back, whenever there is increase I should be able to contribute, because what I earn interest is x%, but if I earn in the for form of transaction fees more, probably that makes sense to us.

Participant: you requested the regulator to?
P. S. Reddy: Obviously, everybody has to, there is regulatory committee is there, within SEBI risk management committee they have to decide.
Participant: Do you see MCX contribution going up, in annual basis going forward because of options volume?
P. S. Reddy: If it has to go, it will go, that is the way it is. We have contributed some, we are yet to, this July month was very good, you must have seen our volumes and the open inter

est. So if it is required for us, then 25% we have to contribute. 75% MCX-CCL contributes, to meet the minimum required corpus and we already how much, 460-470 crores other than the penalties which is another 120-130 crores.
Participant: So coming back to the tech transition, the current code or the current software that TCS is building for us, is the understand correct that the code is not owned by us and it would be owned by TCS.
P. S. Reddy: That's right ! because T7 belongs to the Deutsche Bourse and Bancs belongs to TCS. But we will have a continuous perpetual license. So you keep paying the AMCs and then you go ahead and AMC charges is also upfront fixed. So you don't have any problem.
Participant: So this current agreement is for say 5 or 10 years, how does it work?
P. S. Reddy: The agreement signed is for 6 years. Then thereafter every two years you renew it, pay them, fees which are decided now. AMC fees that are decided now.
Participant: That AMC fees are not contingent to our vision that time. Say after six month.
P. S. Reddy: No, it is already embedded now.
Participant: But there is an option, hypothetical, that if TCS cannot continue after six years. Its just a hypothetical question.

P. S. Reddy: The way that it is what it is, that we keep paying it, then you can continue to use it. You may not take their services, only for patching a code, you need to take the services, otherwise not required. You can take the feed out using the APIs which they have given several APIs and then you build your, whatever enhancement that you want to do it. But for me it is an institution in that sense, it is not a problem for me, the way we are facing.
Participant: Do other Exchanges own the source code or they have separate agreement with the vendor?
P. S. Reddy: Other exchange's means?

Participant: NSE.
P. S. Reddy: NSE, its own software. IEX bought at that time itself. At that time, our Board entered a 10-year contract and that's the whole problem.
Participant: So what is the advantage of current system versus owning the source code? Why do we go for the second option?
P. S. Reddy: Of course, we have asked for it. TCS, NASDAQ, whosoever bided at that time, Everybody said, I am sorry, I will not give you source code.
Participant: The licensed agreement is for 6 years and …?
P. S. Reddy: No, Not licensed.
Participant: It's AMC, so Licensed validity is for?
P. S. Reddy: Keep paying the AMC fees, whatever that has been fixed, then it will keep on going.
Participant: And what is the license component?
P. S. Reddy: That we can't disclose it because total cost itself is not disclosed it.
Participant: Is it dependent on volume or something?
P. S. Reddy: It is not dependent on transaction or anything, it is just fixed, that is it.
Participant: Sometime back NSE has done analysis on Equity derivatives market and they quoted that 10% of the investors lose money, in commodity segment have we done any analysis of such kind?
P. S. Reddy: We must keep in mind what are the barriers to entry into the commodity derivatives markets, First and foremost thing is the entry barrier is the value of the contract itself as against Rs. 1000-2000 whatever it is, the small contract value that are there in equity market. In this market, if you take gold option, how much, 50 lakh for 1 kg contract value.
P. S. Reddy: On that you pay the margin, some of this one, so the guy who is buying it they will pay the premium, premium happen to be 2%, 1.5% or something, that itself is not a small amount. Okay, and if they pay premium then it is gone kind of thing. But many would like to write the option, writer of the option has to pay full margin amount. That is 12%. Take crude oil, again writer has to pay 40%. So the entry barriers are high, so not everybody will come, that point no.1. That is what 6.5 lakhs, 2 lakhs

is what is unique traded against few crores, that is point no.1. Point no.2, the penetration is not as much as it is there in the other one. And our honest desire is, you should bring in more and more hedgers to come to the platform whether it is MSME or Processors of

the value chain participants, is more we are looking at it. One dimension you must look at for the growth of the market, security of the market is open interest. If you see the option interest is increasing consistently that means they are staying put. Who will take open interest, either they are financial hedgers or financial players or somebody actually who have a stake in the physical market. So these are the players, so it has been increasing consistently. So that is something which makes us feel that we are on a firm footing, and without open interest you may have a huge turnover, but then they are fly by night kind of investors and I don't see that kind of activity.
Participant: Currently FII volumes have strong surge in the last few months, so just wanted to understand, what is the motive of an FII doing a commodity derivatives transaction? Is there an arbitrage between NYMEX and MCX?
P. S. Reddy: Well, there are two aspects of it. One is that, near month and far month there will be arbitrage opportunity, so they can put the money, take the benefit of it. So that is one reason why they can come. The second thing is, if at all they are doing any arbitrage, that they can do it, and the books can be made fungible. And they are not allowed in delivery based contracts as yet. But if they are allowed in delivery based contracts also probably those contracts will also, will deepen in terms of the participation. And those contracts, in delivery based contracts, where the price determination happens in India because they are delivery based contracts, it's not elsewhere. Whereas in the case of energy contracts, it is based on the CME, WTI prices, but not in the case of gold, gold is the domestic demand-supply and import/export whatever that is happening is determining it. So they have an interest in it.
Participant: And is the participation getting widened, with the FIIs volume, because it is disclosed that

participation is less than 10, over the past few months.
P. S. Reddy: Registrations are increasing, and one ask that they have and which we have not at addressed as yet, is the DMA, the Direct Market Access. I think we will take some time, let us handle tech transition. Once it is done, everything is behind us, as there is no looking back, we will do all this.
Participant: You also mentioned that, target entry is the large value trade, so there is no option that we can reduce the value of trade as and when we can, post tech transition.
P. S. Reddy: No, see, usually, again it is also the desire, I don't know whether there is any written rule or anything, but the desire of the regulator is also and so are we. We don't want a small players to come and then lose money. So there must be somebody who is in the range of Rs. 3 to 5 lakh of contract is what we are. So some of the mini contracts that we have introduced are in this range. And the second reason why some of the contracts are very big is, the trading lot and delivery unit should be identical, that's another business rule. So for example, cotton, we have earlier used to be at 25 units bales as trading unit and 100 bales as the delivery unit. So 100 bales for a truck is ok for those who wants to take the delivery, but for a trading purposes it is a smaller

unit. But because of these the contract size has become 100 bales and it is almost of Rs. 30 lakhs, 10% margin on it.
Participant: As a market deepens further, do we intend to launch weekly contracts as well.
P. S. Reddy: In fact to deepen the market, we w

ould like to launch it and so that's the way it is. So it will take some time as I said that, let the tech transition be over, that is the foremost on my mind.
Participant: Is there any regulatory requirement to launch the weekly contract based on certain volume?
P. S. Reddy: For the new contracts you don't need to, but you must, even weekly option have to be on underlying futures only. So maybe you will have concurrently 4 options contracts, monthly option. We issue one month before, but then each week one-one contract will devolve into the underlying futures contract.
Participant: Why is that the options contract structured in this way, that they are written on futures contract or could be directly on spot price?
P. S. Reddy: Options on goods is also available but that was not successful. On expiry of options if there is an open interest that should result in delivery of the goods. So BSE, NSE tried that in gold and it didn't happen much. But we have been consistently following this, that's why it is.
Participant: And within the options segment, crude oil contract has done well, what is the reason for it?
P. S. Reddy: For any contract to be vibrant, volatility is the key driver and you see energy contracts are more volatile than any other contracts. If volatility comes, they used to be in 2021-2022, silver was volatile. You found lot of silver trades happening.
Participant: Within energy as well, natural gas has been very volatile, but we haven't seen that much pick up of volumes as compared to crude oil.
P. S. Reddy: I can't map one to one like that because crude oil has been there for a long time and maybe the understanding of the crude oil contract is much deeper.
Praveen DG: Globally crude oil is much popular as compared to natural gas., there is no comparison. That is why India also is very much looked into the crude oil price.
P. S. Reddy: But again if you see the natural gas pricing, there is a huge divergence in terms of domestic natural gas v/s international, whatever we are trading. Whereas if you look at crude oil, although it is WTI, somebody brent, somebody Dubai crude all that, they generally follow some trend, which is if things are going up, everything is also going up, it is going down. But it doesn't happen in the case of natural gas.

Participant: So this Rs. 40 & 50 pricing is in our hand, if we can reduce the price to increase the volume in the market or you think?
P. S. Reddy: We have not seen that kind of price elasticity? If you keep experimenting, once you reduce it will be challenge to increase it. So we have to do very careful about that and I am wary of that kind of experiment. We have seen what others are charging in equity market. That's how we have arrived at Rs. 50 and Rs. 40. We have not kept too many slabs also and that is it.
Participant: You don't have to go to regulator for asking to reduce or increase the price?
P. S. Reddy: It is not required, board has to approve.
Participant: Currently, we see there is a surge in option volume post evening hours. Just wanted to understand is it arbitrage that people are playing between NYMEX and MCX?
P. S. Reddy: obviously, those markets are open in the evening. That's why the people have a greater visibility as to what is happening in those market.

Praveen DG: Generally also, evening hours are more active as it is aligned with global market. That is a very reason or essence of having the evening hours for trading in commodity.
Participant: Do you have any estimate on how much our earnings will be from arbitrage fees?
P. S. Reddy: We will not know.
Participant: Coming to Revenue side, …., what are the total members that have participated ?
P. S. Reddy: Registered are about 500 odd members, but there is no, many of them are inactive. So usually on the day-to-day basis 360 – 370 are participating.
Participa

nt: And all of them have participated in the mock conducted.
P. S. Reddy: Yes, that we have ensured and we will see to it that they participate in the coming mocks too.
Participant: Was there any constructive feedback we received from participating members, that wanted to incorporate in the current system?
P. S. Reddy: See, there are, the problem is, sometimes, I am used to a particular way of working, watching particular screen, they would like to have the same screen, nothing more. But this is slightly different and some of them have given a positive feedback also that certain things have come in this, which is good, it is very fast and some people want, TWS, and the TWS (Trader Work Station) should have as many features as others have it but NSE has discontinued Trader Work Station. I am sorry, there are vendors who take TWS whichever way you want to customize it

and take it and using the API's. So we are giving the API's also. So many vendors are there who are using that, many brokers are using, connecting themselves through using API's. But trader work station is what should say when the initial markets were to be developed and the eco system require to be developed, so exchange itself started offering TWS. And as the vendors have come into this field and other things then exchanges have to move out and ask competition to grow and give variety to the user. Exchange cannot keep on servicing that. So anyway because it is a legacy system some people are using this particular TWS also, we have given it and we will see going forward what we should do.
Participant: So, Members of MCX will also be members of NSE?
P. S. Reddy: There are many.
Participant: Overlap would be many?
P. S. Reddy: I mean many big brokers have got either in the same name or commodity brokerage name, they are.
Participant: Now, NSE is also started commodity segment, so how do we ….?
Management They have started and they have an identical energy contract also. Identical because they signed up with CME and their volumes are also in the public domain and so they are only of course what you call, they don't have an option, they only futures because for option you need a minimum average turnover of 1000 crores over a period of one year, so that has not happened as yet, it will take time. But yes, it is.
Participant: So, for a mock test, user testing agency is TCS or we have empaneled independent software testing agency?
P. S. Reddy: They also have a testing team and then they deploy it. And we have our own testing team. Other than the internal and we have taken vendors, testers and we are testing it under our supervision.
Participant: Regulatory requires us to have, only independent auditor, not a testing agency.
P. S. Reddy: Not for testing agency, but they have issued a circular on testing framework, what all test and that kind of things. There is a testing framework circular that has to be complied with.
Participant: You mentioned in the con call that this time you probably you will transition before December, so first step is to start the mock and …
P. S. Reddy: That is what I said, we should.

Participant: And then again one month is the minimum timeline for mock we conducted. During June also we conducted every day mock?
P. S. Reddy: We will conduct everyday but not necessarily one month. As I said we have already, there is no change for them as far as numbers are concerned. Their API structure have been given long time before, file format remain the same. You just have to download it and then test it in your back office. That is the only thing and which they have been doing it over the last many months. So we have not got any problems or information on that, I mean from Member brokers.
Participant: Anything other than EOD-BOD issues that y

ou faced, that is prolonging.
P. S. Reddy: As I said there are certain pre validation checks, okay, that some of them were failing. Those

one’s have to be physically corrected and then move forward. And data migration is one of course major issue and data migration also we have practiced so many times. Live data we take it and put it and then we put it in the new system, it should go into the respective pocket and then do the sanity check, verify whether you have 1000 clients and all 1000 clients are gone into the respective ….. or not. All that kind of thing.

Participant: Are we comfortable that data migration passes other validation checks.

P. S. Reddy: I think we have reasonable comfort on that part of it, we have seen so many times, and done that. So many mocks we have done it by taking a Friday live data, migrated in Saturday and then we have done mock test on Sunday just to make sure that everybody got their own this.

Participant: So finally can we say that there will be no requirement for another extension.

P. S. Reddy: Should not be. As I said that I myself was what you call disappointed for not going live but can’t afford to delay any further on that.

Participant: Thank you, sir.

Management Thank you so much. All the best.

Call: Aug 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2260 August 09, 2023
The Dy. General Manager
Corporate Relations & Service Dept.
BSE Limited,
P.J. Towers, Dalal Street,
Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX
Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.
No Investor/Analysts Date Time Annexure
1. Group Investor Call hosted by
IIFL Group August 03, 2023 04:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,
For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl: As above

Meeting with
Group Investor Call hosted by IIFL Securities
August 03, 2023
Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates, "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different that those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.
Annexure - A
Multi Commodity Exchange of India Limited
August 03, 2023

MANAGEMENT : M R. P.S. REDDY – MD & CEO
MR. SATYAJEET BOLAR – CFO
MR. DG PRAVEEN – CRIO

PS Reddy: Welcome to the Call with the Investors. I think we have ASK Investments, Ocean Dial and White Oak, is that correct? And yes, go ahead and raise the questions and but let me -- as I mentioned in the analyst call, I'm personally very disappointed for not being able to migrate to a new platform.

A large disappointment for me because we have galvanized the entire industry and then whatever stakeholders to go. Every day, in out, day and night we spent here in the office to make sure that things work. But still, there were certain issues which we couldn't address. Obviously, for which reason, we couldn't go.

And I think we should be able to galvanize the same bring in as much force as we have brought in and then fix whatever the issues that were there and then propose to go live this time around. Let's see.

Bhavesh Kanani: Wonderful. Thank you for the time and we wish you the best in…

PS Reddy: I think we should record the names. Your good name, please?

Bhavesh Kanani: Yes. Bhavesh Kanani from ASK Investments.

PS Reddy: ASK Investments. Yes. Please introduce.

Darshak Lodhiya: Darshak Lodhiya from White Oak Capital.

PS Reddy: Yes.

Sadeev Singh: Sadeev Singh White Oak Capital.

PS Reddy: Sadeev?

Sadeev Singh: Yes.

PS Reddy: Okay. Yes, madam.

Ritika Dua: Ritika Dua from Ocean Dial Asset Management.

PS Reddy: Thank you. Yes.

Bhavesh Kanani: So thank you for your time, sir. Now, we'll actually we'll take up from what you were mentioning about the transition itself. In the last call, you gave a little bit of additional clarity as to the activity where the transition seems to be facing challenges which has to do with the end of day activity. Is that the right understanding that the transaction matching and order management system that is in place, that is functioning well, it's only the transaction posting part which happens at end of every day and has to be done before next day's trading starts. That is the only portion where we are facing challenges or that is an incomplete understanding?

PS Reddy: No, you see, we have two modules. One is T7, which talks about the trading, which is the Deutsche Bourse engine, which is customized for us. The other one is the Bancs, which is the clearing and settlement. The Bancs has also a component called risk management system. These are the broadly speaking.

So, the T7 part, I think it is by and large stable and it is the Banks again it is processing it but sometimes the maybe the component DB2, database may be crashing or you know it requires some fixing or sometimes EOD, BOD is taking more time because certain processes are delayed, slow in processing, files are getting late, okay, or some kind of corrections were required to be made to the files etcetera. So that's why they by the time you complete all of them and make sure that the next day system is available that's why it was taking time. And so obviously you have to be up and running by 9 o'clock and usually what happens is by 3 o'clock or so in the morning, we give the files to the member brokers for their backup system to consume. By 6 o'clock or so, the system is ready and released to the members and they will start logging in,

whoever wants to log in, maybe 7 o'clock, 8 o'clock, whatever it is.
So obviously, we have to be there at that and at times, it didn't happen. So that has weakened our confidence of going live. Also on three, four occasions we had cancelled the mock sessions. Sometimes some data migration has taken place wrongly or sometimes maybe the system has crashed and then to bring it up it took time, this kind of things we did face that's why it is.
Bhavesh Kanani: And sir, has it to do anything with like, let's say in case of equity, the market closes at 3.30. Typically we as individual investors get messages

of the effect of those transactions from
exchanges at 9, 10 in the evening. But in our case, the trading itself ends at 11.30 and we have a smaller window to do the EOD activities. Is that one of the challenges, in terms of time?
PS Reddy: So, understanding by what you are saying, that if you had a bigger window for next day to start the session, or from the last trading session till the next day morning opening, probably we could have had luxury of time to fix some of them in the overnight and then give the system but that luxury is not there that's -- yes, that's one important…
Bhavesh Kanani: And compared to earlier time or let's say, when we are using 63 moons that has both these modules in one system, is it right?
PS Reddy: That's a monolithic system.
Bhavesh Kanani: Monolithic system. And now that we have a separate module for clearing and settlement naturally that bit of module is interacting with external entities, custodian, banks and all. Is the delay caused even partly by delays from external entities who have to be part of this exercise or it is mostly at our end?
PS Reddy: I'm sorry, I didn't get your question.

Bhavesh Kanani: So like, for clearing and settlement, we need to post whatever transactions have happened in members account, whatever quantities they have bought, amount to be taken. So that settlement bit involves…
PS Reddy: Like this, the T7 does the trading and passes it on directly to the bancs. And the bancs process it and then uploads the files to the members, put it in an SFTP folder, members download it and whenever whatever member wanted to submit there is another window to submit it. All that happens.
Bhavesh Kanani: Okay.
PS Reddy: So it's not that there is a member intervention for which reason it is got delayed, nothing of that.
Bhavesh Kanani: No, I was meaning the entities, not necessarily the members. Entities, let's say, banks or custodian, whoever are involved, external entities other than MCX. Are there delays from their end?
PS Reddy: No, they just participate in the mock session and it is for us to give them the back to the files and then for them to test it and all that. Whether they have tested it or not, we keep asking randomly some members to please give the your inputs but not all of them were testing. Some were testing definitely. You have got something to ask?
Darshak Lodhiya: So on the similar lines, is this delay more because of the new vendor that we have? Is it delay from their end or…
PS Reddy: Their end means?
Darshak Lodhiya: Like, in terms of developing this new platform, are they, if the delay is coming from the new vendor that is developing this platform, or maybe the existing vendor is not able to like, the system integration is not happening with the existing system or is it like, where is this delay coming from? There are three parties in here right, one is the existing vendor that we have…
PS Reddy: But existing vendor has nothing to do with this system. Okay, existing vendor that is a separate system, existing system and they are supporting and ensure that the things are have to happen as per the agreed terms whatever it is. And whatever is happening in the existing system, there is no impact on the new system.
Darshak Lodhiya: Like when, let's say, TCS is developing this new system, are there some integrations that needs to be taken?
PS Reddy: There are integration between the bancs and T7. That is where the challenges they did face. That is no doubt one of the important reasons for more time taken. Because the banks is of the TCS system, T7 is the Deutsche Bourse. These two put together have not been deployed anywhere. That's what we have said in some previous calls also. So that integration they have done now.

Darshak Lodhiya: Okay. And the contract th

at we have with TCS, are there some clauses, let us say if the delay is
beyond certain level, there will be some penalty or something like that?
PS Reddy: Yes, I did clarify that in my one of the calls also. There are clauses, all such penalty clauses and other things. I mean, they are all such penalty clauses and other things. I mean, they are all definitely standard clauses. And yes, there are clauses.
Darshak Lodhiya: So we will be invoking those clauses?
PS Reddy: Yes, I mean, it is too premature for me to say today, because our focus is to make this system go live. And then the board will take a call on it. Provisions are there. That is all I can confirm to you.
Darshak Lodhiya: Also like the renewal that we have done, in the press release it mentioned that this minimum for two quarters was asked by the vendor. Is there a chance that before this two quarter ends, we are able to transition to the new platform?
PS Reddy: That's what we should? We should. That's why I just said I feel disappointed because last time itself I had said that I mean, we do not want any more extension, we wanted to go live with this and since that didn't happen I was very much disappointed. There is no reason why we shouldn't go live this time. That's the way I look at it.
Darshak Lodhiya: What kind of extension did you ask for? Like, two quarters they said it is minimum that we will have to go for.
PS Reddy: So as we said, we asked for one quarter. So we asked for one quarter and then if you want to give me any more quarters, that's up to you. But we ask for one quarter.
Darshak Lodhiya: Okay.
Bhavesh Kanani: They forced two quarters minimum in this situation. You know, given that there was ambiguity on the transition bid, there were a lot of different talks of speculation. One of it was that any IT vendor serving any client, first they clear-cut requirements of the software has to come from client and only then the tech service provider will work on it and build the software. There are just rumors, I just want to check.
The final requirement submission from our end and itself got significantly delayed and hence, so far we have not seen TCS getting penalized for the delay. It was probably, I mean this is a speculation so I just wanted to put it the way.
PS Reddy: As you rightly worded it is a speculation, and I will endorse to be a speculation.
Bhavesh Kanani: Okay.

PS Reddy : And we have worked out ever since we have given the contract from day 1. The teams have been working hard with jointly with the TCS team making presentations, starts with preparing a functional specifications requirements and the specific exactly the flow, how it happens and all that.
So -- there are several of those documents, several, not one or two or 10, 20, no, there are many.
Okay? And for Phase 1, this is what it is Phase 2, Phase 3, it was prepared.
Bhavesh Kanani : Okay.
PS Reddy : Why? With an intention that while Phase 2, Phase 3 is happening for is, they can start work based on the documentation that is given. So that's how we had structured, and it happened. Yes, there are delays, no doubt about it. But not that requirements have not given. No, that's not the case.
Ritika Dua: Sir, if I may request you, where you just ended to what Bhavesh had asked you earlier. On the question that you know earlier. So you were saying that T7 is operating fine there are some integration issues with the other software. And then you made a comment that now that the integration has resolved or the integration has happened. So firstly, did I get that correct? And what is the flow after this? Do you have to conduct more-and-more mocks to get some understanding that this is happening, or so what is the way forward from here?
PS Reddy : Well, see, more-and-more -- I mean, mocks have to be conducted, no doubt about it. And fine-tuning is also happening. A

s we said that EOD, BOD is taking more time that has been brought under control, but still some more fixes are being given. So that we are sure that every day by 3 o’clock, the brokers get the files at 4 o’clock at best. And by 6 o’clock, we will get the system up and running for the next day trading. So that's what is happening at this point in time.
And in the mocks, basically, we get, obviously, there are any issues from the member brokers, they will raise it. And then if there are any specific team member, obviously, there will be addressed specific to the member. And members will also test the files that we have generated.
As we said, it's not the first time we are giving the mocks. We have already done about 30, 30-plus mocks in the last three months, four months, we have done that. And we did get a lot of feedback, so many issues got ironed out. And at this time also, we should have a smooth run, that's the way it is.
Ritika Dua: Sorry, I'm -- just one last on this. So sir, by the way you put it, and obviously, just my apologies for lack of the technical expertise here, it seems that you are actually very confident because this

is from where you started in the first quarter call, the concerns were to now what you're explaining to us? And then somewhere in the call when you know somebody said that, would we be ready by October, you said we could be ready by September as well. And we are already there in August. So then, sir, why aren't we saying it is September? I mean, what is so crucial in these two months is what I just want to understand to maybe I know we can't track these things

because these are internal to you, but whatever best we can understand from you is where I just want to maybe end this question.
PS Reddy : See, as I said, we want to make sure that all systems are in place and we would like to run internally maybe for some days mock. We are running even now as I'm speaking also, mock is being run. It's just not exposed to the member focus. We are also using a trade generators so that the volumes are as much as in the daily life of the exchange. So we are testing with full volumes and, but it's only exposed to only to the internal -- testing teams are doing that.
So once that is completed, and then we get the EOD, BOD clean runs, okay? Then we will expose it to the member brokers. That's we will start the -- we will issue a circular to the market saying that from certain such date the mock run will start.
Bhavesh Kanani: So in this simulated environment where orders are generated by machine, there EOD, BOD are not an issue.
PS Reddy : No, no, no. They are also issue. That's what I'm taking. That is the reason why we are fixing it.
Bhavesh Kanani: Okay. It has not been rolled out.
PS Reddy : If it is address here, then it will be added for everybody else anyway.
Bhavesh Kanani: Okay. And this EOD activity running slow. And again, just like with Ritika, we are not technical people. So I just want to check whether it is about server capacity which is not able to process so many transactions or the system itself is not able to handle those volumes and its crashing?
PS Reddy : No, no. I think EOD processes not just one job step. There are several jobs steps that have to be done. Those job steps also have to happen in sequential manner. So there is a scheduler for it. So you run this file first and then you are have certain numbers, you run this number, this file, then obligations will be arrived. Then you do this, then market statistic data will be updated. So there are various job steps. These step past see whether all results are coming correct or not, and then move to the next step. So that's how the EOD, BOD processes will start.
Similarly, a new member, a new UCCs are uploaded during the trading day, which are activated next day morning. So in the start of the day processors are, beginnin

g of the day processes, we
need to make sure that all the ones which you have uploaded, which have been PAN verified another thing should be available for trading next day morning. So there is something and files will be there, which says in the records of the exchange for the day, we are the UCCs, which are eligible for trading.
So if the incremental 1,000 are uploaded out of 1,000 only 700 are qualified. Because PAN verification, they failed or whatever it is from the sites then all 700 should be there. So this is what the consistency verifications that process is taking. We have put a lot of pre-EOD checks in the system. So that the systems don't go wrong. So for all this, as we go along once we attain a greater degree of confidence, obviously, the first time system is being implemented. So it is

important that we implement so many steps. Then the EOD, BOD period will come down as we go along.
Bhavesh Kanani: Okay well, we wish the best, but let's say, we are in October or let's say, we are in November, and we have still not rolled out this system. January contracts, SEBI has not allowed us to come up with Jan contracts. I as a trader, when I want to, let's say, go for next month's contract, I want to buy or sell. If the system is not ready, if the contract is not available, how do you see that scenario panning out? Do you see people moving to other exchanges with the volume since Jan contract is not available?
PS Reddy : I think, you're essentially asking that whether we will allow such a situation to crop up. Okay.
Bhavesh Kanani: No, sir, unfortunately, if that is the case?
PS Reddy : No, no. That's what I'm saying it. I think that is the worst-case scenario that you are looking at -- but I don't -- for me, it is a hypothetical question, and I would not like to -- I mean, we are all committed to make it happen. That's why you said that somebody asked the question that whether it will happen October, I said we should do it prior to end of September. So that is what our target is. So we are -- that's where we are. That's what it is.
Ritika Dua: Sir, just one last and my apologies to again press on that question. So what I understand that sir, obviously, because it's a -- you're running such a big exchange, so you obviously need to be very

confident when you really roll it out. So -- and when I hear you out on the last bit on that you're trying to increase more-and-more volumes, trying to do more-and-more processes, and then you mentioned one example where 1,000 files are updated 700. And so it's coming out to be that you want a particular accuracy level. So am I getting it right and where are we today? Is that kind of a question is right to ask you. And so -- and when and -- getting back to the previous discussion, whether you were saying that T7 is running fine, but the issue was in the bancs bid, whether MCX fall in this, what is the role of MCX here, when it comes to your sending member files, etcetera. What is our back-end role in this whole integration process?
PS Reddy : Well, as far as MCX is concerned, we have been monitoring the systems, okay, that the systems should not go down. The infrastructure uptime is our responsibility, application uptime is the -- is the TCS, which is looking into it. But monitoring is what we are doing it.
And in terms of the accuracy and other thing is what we are verifying it even INR 1 cannot go wrong is obviously that there's a financial integrated part of it, we can't afford any kind of such kind of deviations. Similarly, any kind, no loss of transactions also in transit, okay.
At times, the data packets may be lost. So we have to ensure that nothing is lost. And whatever the members pump in, it reaches the T7, it reaches the bancs and it reaches the data warehouse.
It reaches the surveillance system, okay, every data packets has to reach trades and orders with

all its characteristics , whatever the type of order, the other things. So yes, it is a -- jointly we are working on this, madam. And as I said, the application ensuring the uptime and making sure that, all these computations come right is the responsibility of the TCS.

We verify it, we ensure that adequate testing has to be done and monitor all the services are running.
Darshak Lodhiya: Sir, recently there was an RFQ floated regarding the Span calculation application. So like is it a separate application which is TCS cannot do or is it the part of the main tele system that we have?
PS Reddy : Well, when we had given the request for them, then obviously the risk management system is part of it. And it continues to be part of it. And we are going ahead with the TCS module only. It's not that we are doing that. But as the latency numbers, okay, the latency numbers are very important for us. The lower the latency, the better it is from the risk management point of view.
It is somewhere, in some microseconds out there, but some other exchanges are having even still lower microseconds kind of response. So no not micro, I'm sorry, milliseconds. And so they wanted to, as a developmental activity, they have done this.
So maybe six months down the line, they may implement it. Okay.
The primary purpose of it is, once the trade is done, it will go to RM, risk management system, it margins it and then sends the trade back to bancs. That's it. Nothing else.
And then informs the member out of your INR 10 crores, INR 1 crore, whatever is the collateral, so much is directed, and then this is what the outstanding collateral is your margin.
So how fast you do that margining is what the risk management is all about. So that's where they wanted to improve that response time, to more a development like activity.
Bhavesh Kanani: Compared to other exchanges, I don't know, how you'll express this, but how many times is our latency worse off, compared to let's say, what other exchanges are reporting?
PS Reddy : See, we don't have the number directly from them, but some vendors whom we spoke to, they have said so and so has got, because they work with them, so and so has got that number, kind of thing. So, we wanted to achieve that. I mean, it's not, okay, today, even today, we have the margins, okay. You will not do anything if it is, there is what you call an alert mechanism, 60%, 70%, 80%, 90% and after 90%, they go into the risk reduction mode and then after 100%, they will go into the square off mode. So all those mechanisms are there. It is just that, whether that risk reduction mode or a square off mode will trigger at 1 o'clock or at 12:55 is what the difference, it will make, nothing this one.

For me incrementally, it's good to have but maybe internationally, I don't think, so much of risk management online is being done elsewhere. To the best of my knowledge. Good to have. Maybe they will do it batch mode, but not online. Every transaction you send it, to get back.
Bhavesh Kanani: Taking a step back from the technical bit, one question has been bugging me and since

you have background of other exchanges as well. Lot of data proves that, very few option traders tends to make money, very small fraction of total base. Whether it is equity, commodities, but still people are glued to this. If you look at the volumes, we are generating, what keeps them going? I'm baffled, honestly.
So, if you can help us understand this bit. From where I'm looking at it, if less than 1% of them are able to make positive returns practically for 99 of them, it is like coming, doing loss, everyday, in and out, monthly basis they lost consistently. At some point, one would assume, it's not making, leave it. This has not happened in equity till now.
PS Reddy : No

. The results are substantially about the equity markets, what I mean is that the research is blowing from that. So I think, these macro perspectives come from research only. Probably individually we keep thinking that, everybody is making money, that's why they are still blowing to the screens. But obviously, it's a zero sum game. If one is gaining, the other one loses. That's the way it is. Not that, that everybody can make money.
And so, why they are still doing it? Some of them, the difference between the equity exchanges and then commodities is there is some bit of hedging that is taking place on the exchange platform. In the risk management, they are doing it. So they are not interested, they neither make money nor they lose it.
Because the contraposition is what they take it, if they take the physical book as well as the financial book, for them it is a nil situation and that is the reason, why they continue to participate. Maybe some speculators are needed definitely in every market, who provide liquidity for these hedges. If you only say only hedges should come to the market then there will not be any match of preferences all the time.
Today you want to hedge it but there may be no opposite side to hedge it. So your requirements are not met. So these are the ones, who are filling that gap. And I'm sure, there must be some way to make money for which reason they are sticking onto it. Maybe there is also a churning that people keep thinking that they will be make money, whosoever has done it, he may be moving out, the new guy is coming thinking that it is an El Dorado. So, I know that's the way it is.

Bhavesh Kanani : Okay.
Darshak Lodhiya: One reason why equity options are like, the volumes are the way they are currently, it may be because the retail traders know about this company, they know what let's say, Reliance or like, all the companies do. So there is quite a bit of education that they currently have. So why don't we go all out on this retail traders educating them about this options contract that we also have.
Maybe introduce various new contracts on weekly or all those expiries, smaller contracts and there are these platforms like, all the brokers do educate the customers about options trading and all. Why don't we push them to educate the customers about commodity options as well, just like they do for equity.
That will create a lot of volume. And once the volumes come into options market, of course, there'll be some institutional desks, which will be hedging it in the futures market as well on the opposite side. That will increase the volume on futures as well. So, is there any thought process behind that?
PS Reddy : Well, investor education has been continuously taking place. There is no doubt about it. Almost all, maybe 1,000-plus or 1,500 are investor education programs we have conducted across the country with various stakeholders. It's not just put up a shop and then say that, come on, here is investor education. No. The specified education institutions we go, and we also go with the industry associations, so industry bodies. Some of the like, lead association or aluminum. So those stakeholders also will get educated as to what happened. Or MSME Associations were having the programs.
Now, while this is all fine, but there is an inherent, I would say, barrier, entry barrier into the commodities vis-a-vis the equities. That is, the contract size itself is bigger for people to get in as easily as into equities, okay. Now for example, you want to trade in cotton, now, the cotton is 100 bales. Now, 100 bales is almost all, how much, INR30 lakhs on which you pay 10 % of margin, which is about INR3 lakhs, okay.
Now, is the INR3 lakhs of investment is there on the other side, no. That is precisely the reason why our number of investors, UCCs is all near to 6 lakh UCC that have tr

aded during the entire year as against UCC how much is the file -- futures and options is 6,21,000 UCCs.

Bhavesh Kanani : Correct.

PS Reddy : Just 6,21,000 UCCs, that's all, in the entire year. So, as against few crores, which trade in equities. So, because there is a barrier to enter in the form of higher contract size, greater margin requirements, etcetera.
Bhavesh Kanani : But sir, then all this smaller value contracts, they are still failing to attract volume, if that was indeed the impediment?
PS Reddy : No, the smaller contract size still not as small as the equities.
Bhavesh Kanani : Let us say, in bullion and energy, what is the minimum one would have to come with, in terms of value?
PS Reddy : 100 gram is the mini contract gold mini, okay, 100 grams is INR5 lakhs or INR6 lakhs contract size. And INR6 lakhs is about almost, how much, 12% or 10% is the margin.
Darshak Lodhiya: Can we go lower than that as well? Less than a milligram?
PS Reddy : Yes, ma'am.
Ritika Dua: No, no, sir, I was saying gold petal is there, I was saying, yes.
PS Reddy : Options are not there in that.
Bhavesh Kanani: What stops us from launching that?
PS Reddy : Let these contracts deepen because it gets fragmented also. The more you keep the slicing the same product into so many things the liquidity will get fragmented that's another thing. We should also have some kind of a bandwidth we can wish how we should be playing it. Yes, ma'am, you are saying something?
Ritika Dua: One question on the premium to notional turnovers, if we are done with this one.
PS Reddy : Yes.
Ritika Dua: So, sir, obviously you always shared with us that how it is depending on how the options are, whether they are like obviously, in the money, out of the money, closer, and then, that's one of the factors. But if I just historically see, I mean as per the history we have available, the premium to notional turnover for bullion has always been Sub 1, whereas obviously the one the same for energy has been varying from maybe a high of 2.9 to now a 2.1.
Sir, what that explains the differential? Is it largely volatility? Is it the size or so that's what the question I have. And is there a way we can -- because what has happened for this particular quarter, the share of your bullion improves from, I think, 5% to some 11% on a quarter-on-quarter basis in terms of the share. And that probably is also a reason that your premium to

notional turnover came off. So I just want to understand that then is it a good thing to actually have an increasing share of bullion in the options or and also is there a way to even maybe increase the premium to notional turnover and earn more out of bullions?
PS Reddy : See, we have been explaining all along that revenue from options will not go below the INR40 that we are charging because we have only two slabs. But what is important is, it is the premium to the turnover usually the premiums happen to be 2% of the turnover, option premium, if it goes down, yes. It will be -- it may be about 1.5 is what we have seen it, can't be more less than that is what we have noticed, is that correct?
Bhavesh Kanani: Yes, when you begin it was 1.5 then 2.2 and then closer to 2 now.
PS Reddy : It remained in that.
Praveen DG: Several factors in…
Ritika Dua What I meant was more not the blended numbers, but the breakup which you give in your PPT of you the notional and the premium number for the various segments. So, when I try to calculate exactly what is the premium to notional turnover for bullion it comes less than 1. So, maybe I can check that. Blended I am sure, I know it's available 1.5 to 2 and everything but maybe I saw maybe bullion was less than 1. So I check my number if that's wrong.
Bhavesh Kanani: Yes but this relation has go

t more to do with volatility and in the money and out of the money then which commodity is the underlying?
Praveen DG: Like, what I'm saying is several factors impact this premium to notional turnover. One could be volatility, other is like what participants are looking, whether they are looking for in the money or out of the money kind of contracts.
Third is even if the markets are growing bigger-and-bigger like, that means certain amount of maturity is coming in, automatically people find even out of the money also more liquid. That means they find the force coming there. Start participating there also. As the market go bigger-and-bigger, certain kind deeper and other thing, you can find certain amount of like, people like -- now today it is like you are looking at only near the money.

Secondly it is like suppose even a far month started building up the liquidity, automatically the premium to notional turnover again can go for a change. It's all depends upon several factors, but I feel that as the premium turnover itself is growing, you can look at it in a positive manner because it is how you can look at it. That means even the deep out of the money is getting relatively liquid enough that an amount of liquidity is building up in these contract. That is how you have to look at it.
Bhavesh Kanani: So is it safe to go with a middle number of something like 1.9 or something?

Praveen DG : There is nothing called safe or something it is like, it's all about like for example, if you take currency derivatives, the number is different. If you take equity market, again it is different. Index derivatives, equity again it is different. Each market has a different number to it. So, we cannot attach with any fixed number to it. But like I said, there are factors, different factors that can have a barring on this percentage.
Darshak Lodhiya: Sir if we increase the number of out of money contracts that can…
Praveen DG : So, other things keeping constant, if you look are the only out of the money contracts are building the liquidity and other thing, naturally, the percentage should come down. Because the premium amount that you get it from the out of the money contracts is going to be lesser compared to the in the money contract.
Darshak Lodhiya: The differential number of contract is there one at the money maybe 10 in money and…
PS Reddy : Strikes are issued -- strike prices are based on that only.
Praveen DG: Strikes are issued, but it all depends upon what people are looking at it, whether I would like to trade in the money contract, generally, as the contract is coming to a nearer to their expiry. Automatically people equally trade in the money and because out of the chances of out of the money coming into the money is relatively difficult. That is how, so there are various factors that is how we have to look at it. And I think our markets are still maturing. I can say that just two years, three years, that is when actually our markets and our market options started picking up. I think we should wait and watch.
Bhavesh Kanani: In terms of strikes, let's say, the commodity is at 100. How many strikes on each side would you start the month with?
Praveen DG : We have depending upon like crude, I think we have maybe a little bit more, 15 number may not be right, but we are giving for different commodity, different one depending upon the market interest.
PS Reddy: Volatility also we look at it. In a day, how much can you go up, accordingly you provide for greater number of strikes.
Bhavesh Kanani: So we haven't had a situation where we had to, I mean if let's say, you have a band of 120 and 80 in terms of strike price for a commodity trading at 100. And let's say, price moves to 120.
Praveen DG : That’s what I’m saying. See, irrespective of the price movement, you have a contract to trade in. Tha

t means even if it is deep in the money or at the money also, people can continue to trade that one. But the only thing is you cannot be able to introduce a contract in the middle of the day.
Bhavesh Kanani: Mid-way, correct. That's what I was inquiring.

Praveen DG : You won’t be able to do. At the same time, if I come out with too many strikes, then automatically liquidity also will get diluted.
Bhavesh Kanani: True, true.
PS Reddy: And there is also risk. At times, illiquid option contracts are used for some transactions which are not strictly for the purpose of trading on the exchange. So, that becomes a surveillance headache for us also. So, we have to be careful about where they trade, what they trade.
Bhavesh Kanani: Sir, on oil imports, which are now happening in INR terms, does it have any spin-off benefits for us? Let's say, corporates who were earlier would probably be hedging their oil exposure, energy exposure, externally out of India and other exchanges. But now since those transactions are happening in INR, is there a possibility of us getting more volumes because of that particular development?
PS Reddy: Well, from the consumer point of view, we have been getting good amount of -- we are seeing traction of hedges participating, consumer side. But in terms of supplier side, refineries, they don't come on to the exchange. So yes, definitely consumers are participating. But more important is that I must say is that ours is a WTI, it all depends on how much is the WTI imported into the country and how much is the price that the government determines within the domestic market based on the component of the WTI at what price they got it etcetera, etcetera.

So, in that in that sense is not a free market, it's a regulated market. And I think, these prices are definitely a benchmark and these prices are definitely a representative price for somebody to look at how the other products are moving in the market and then hedge it, some ratio of it, they will always. In terms of correlation, yes, high correlation is there, but in terms of our oil pricing, I do not think the domestic oils are liberally priced in that sense.
There is all the controlled pricing is in place and we cannot compare a free market price with the controlled price, whether they are moving together or in tandem or there's a high correlation or not. There will be definitely correlation will be there because nobody can subsidize forever. If the prices are moving up or going down, you need to adjust those prices as well.
Bhavesh Kanani: And you made a statement such that consumers are using the derivatives to hedge.
PS Reddy : Some of them, yes.
Bhavesh Kanani: So how do we -- at aggregate level, do we get a sense that out of total participation with confidence that these volumes you do a disclose the table, but what is the logic behind that because…
PS Reddy : But disclosures are based on the declarations made by the investors at the time of trading whatever that is, whether they call -- they would like to call themselves as a hedger or there is some value chain participants on that, how they would like to be defined, accordingly we will aggregate it and then verify it.

Now, so there are certain, what should I say, some the market related issues are there in terms for their participation and I think we need to address it. And, for example, we had approached in the past one private sector refiner. They said that, look, I do not want to participate and then take daily mark-to-market, loss, profit and all that. I don't want to deal with it or you go ask, call me, give me margin, all that.
I don't mind giving you a bank guarantee. It means to the maybe exchange or to the member broker, arrange the credit lines and let them deal with it. And at

the end of the month, I know
that I have this any lakhs of barrels inventory on a daily basis, I will hedge it, maybe a part of it I will hedge it, but you please iron out these participation related issues. But we couldn't solve them that there are much bigger issues in the regulatory jurisdiction. So it's a challenge for us.
Bhavesh Kanani: Anyways, there could be more member brokers kind of prerogative to take care of this kind of needs of a customers?
PS Reddy : No. But members also can't fund no, as per the regulatory -- the members can’t fund.
Bhavesh Kanani: Peak margin and all…
PS Reddy : No, they don't mind giving you bank guarantee, but arrange for the funds on a day-to-day basis, there's a M2M loss, let the bank give it, my -- whatever guarantees that I give it. So it is a third party will come in. And the bank will say that I need a tri-party agreement with the broker. If there's a default, then I need to seize the account and then adjust and all that. But tri-party agreement relationships may not be permitted.
Ritika Dua: Sir, on the opex, if I may check one -- two things, actually. So when we first heard from you on the TCS contract, after, so there was a maintenance, which was to maybe happen once you transition. Could you just reiterate where does that stand today? And we were to, I think, disclose the more about like, the cost of the software and everything. Maybe I think we have said that we would do it maybe -- if I'm wrong, not wrong, maybe April or May, so when are we looking to maybe share more details around that?
And just related to it, I understand, I heard the call and why the depreciation was lower this quarter because of, you know, it was higher last quarter for some aggressive depreciation that you did accelerated, sorry. But how does depreciation maybe look like going maybe -- from here, maybe. That's the three-part question. One is, what is the maintenance bit on TCS is the same, which you have first mentioned? Second, when are we looking to disclose the cost on the software and thirdly, on the depreciation.
PS Reddy : First two, I will answer, yes, it remains the same. There is no change in that. The second part of it is the cost of software and other things. I don't think we can disclose it because it's a commercial transaction. Imagine, if I disclose it and then they want to sell the software elsewhere, then it becomes a benchmark for them and then it's not proper.

But in our accounts, we will keep depreciating it whatever is the hardware. Once we go live, obviously, everything will move from capital work-in-progress to the book in the depreciation assets and everything -- I mean, you may not get exact number, but then definitely, you will have the aggregate number. And on the...

Satyajeet Bolar: On the depreciation, ma'am, once we go live, so I mean it would be as per the useful life of the asset, so the hardware part would have a useful life as well as intangibles. That is the platform would also have a useful life. And according -- as per the Indian -- Ind-AS will depreciate as per the useful life, which would range from six years to eight years.
Ritika Dua: So far, sir, if I see this FY '23 cash flow statement, I think some -- the number that we have disclosed in terms of like, purchase. So that would be the hardware bit is what you're referring to. So that's a good way to understand?
Satyajeet Bolar: Yes. Mainly, I mean, most of the hardware has been acquired -- has been purchased and its stay in the books and a small part of the TCS.
Bhavesh Kanani: From a long-term perspective, sir, how would you size the opportunity of a commodity exchange, in the sense that user base is one angle, relevance for corporate clients is another, speculators is another, UCC, you mentioned barely a little about 6 lakhs, whereas the total base is far higher for us, active traders are

less. So if you were to look at a five-year kind of scenario, how would you pin the scenario in terms of the volumes, revenues?
PS Reddy: Well, I would not like to what you call, give any projections or any kind of estimates or how it looks like? But there is a huge scope for the growth of this market, no doubt about, okay. Now one is that -- I mean, we just -- just suppose, with the international markets, be that China, be that LME for metals and ICE and CME, some of the products, they are far ahead of us, no doubt about it, okay?
Now we have an ambition to grow. But there are certain constraints that have to be overcome. And we are working on it. As we said, the important thing is one, GST is one issue. And because the members are -- the whosoever is trading on the exchange, they end up taking deliveries, they have to have multiple registration across all states where we have warehouses, etcetera, that will be a challenge, okay.
Now today, FPIs are permitted. They have just started trading, and it's a very small percentage, but they have to grow, and they should be allowed to -- they are allowed to trade in other commodities. Then again, GST challenges will come. So we need to address this major, what you call, a road block and we are not seeking any concessions. No, we don't want any concession in terms of reaction of GST rate. Facilitate in terms of clean-up of a process, in this process of navigating through this is what we are looking for. And so this is one major thing that we want.
The second part of it is, will it be as big as equities? My answer maybe no, in terms of number of participants, okay? As I said, the contract size is going to be -- continue to be high. And -- but

has the Indian industry has fully hedged? My answer is, miniscule is hedged and mini -- a lot have not hedged.
Still, they have preferred to speculate in the commodity markets, in a sense, not in the organized market, but otherwise on commodity prices, they are speculating, and they are not focusing on the core business or core competency. So that is something which we have to be mindful of it. If they also start hedging, there's nothing like it.
And yes, we are focusing more on MSMEs because our liquidity provides support definitely for their participation because all the time, its an egg chicken situation for me, when we go and approach big large corporate, they say, your volumes are not enough to support my requirement and other things.
Of course, we plead with them at least 1%, 2%, 10% of your business can be diverted and they may are done on the exchange platform. They say, yes, but there is nothing happened. But MSMEs are showing interest. I'm sure we should be able to -- with a greater penetration and then handholding, we should be able to bring in. So that's a road way forward for us. And introduction of a lot of more number of commodities is another what you call, another way that we need to progress and more-and-more products, which are required for the catering to various industries out of the industry. This is…
Bhavesh Kanani: Pardon my ignorance, but if you can help me understand the GST impediment, how is that coming in a way?
PS Reddy: Look, let's just see, that kind of participant that we have on the exchange platform, are one some of them, as I said, hedges, there are some of them are financial players. What is the financial player does it? They takes delivery in this month, next month, he delivers, he is not interested in metal. He will keep it in the same warehouse. But that financial player has taken a delivery construct to deliver. So he has to register with the government and pay GST and get that GST back when he sells that metal.
Now, you happen to be a Bombay, you are a financial player, wholly registered in Bombay, but my warehouse is in Delhi. And you may get delivery in Delhi. So you have to neces

sarily register
in Delhi also because you may get likely to get delivery in Delhi also. So these kind of issues
are the ones which are bothering us.
And our PMS, for example, now PMS, if the rule says that every investor should be having
holding that asset in -- but investors don't have GST registrations to hold those assets. And they
are not interested, obviously. They are interested in the return of near month and spread benefit
only, they are interested, not in taking delivery of the contract. But then that's the way it is.
Bhavesh Kanani: So this matter is already on table with…
PS Reddy: You can flag up with the regulators and the government, they are looking into particularly. And
I don't think, but it's taking time, obviously, these are required a long discussions and
deliberations and concerns of various stakeholders.

Bhavesh Kanani: Just last one. You said that the large corporates always complain about lack of volumes. So they
are hedging, but they are doing it in international exchanges?
PS Reddy: Some of them definitely doing in international exchanges, or OTC platforms. But yes, they do
cite as exchange trading. I mean, it's not sufficient. The liquidity is not sufficiency is what they
are complaining. Yes, ma'am, anything? Otherwise, we are done.
Ritika Dua: No, sir. I'm good. Thank you so much.
PS Reddy : What about you?
Bhavesh Kanani: Satisfied.
PS Reddy: Good.

Call: Aug 2023

(no extractable text — likely a scanned image PDF)

Call: Nov 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91 -22-6731 8888, FAX: +91 -22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.comMCX/SEC /2319 November 30, 2023
The Dy. General Manager
Corporate Relations & Service Dept.
BSE Limited,
P.J. Towers, Dalal Street,
Mumbai - 400001
Scrip code: 534091, Scrip ID: MCX
Subject: Transcript of calls with Investor/Analysts
Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the following transcript of the call with investor /analysts:

Sr. No	Investor /Analysts	Date	Time	Annexure
1.	IIFL Securities	November 22 , 2023	3:00 PM	Annexure - A

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor -relations/ir -meetings
Further, we hereby confirm that no unpublished price sensitive information was s hared/discussed during the said meeting .
Kindly take the same on record and acknowledge receipt.
Thanking you,
Yours faithfully,
For Multi Commodity Exchange of India Limited
Manisha Thakur
Company Secretary
Encl: As above
 “Multi Commodity Exchange of India Limited
Meeting with IIFL Securities ”
November 22, 2023
Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company’s event and while efforts are made to provide an accurate transcription, there ma y be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain “forward -looking statements ” – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as “expects”, “anticipates, “intends”, “plans”, “believe s”, “seeks”, “should” or “will”. Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different that those expressed in our forward -looking s tatements. We do not undertake to update our forward -looking statements.
Annexure - A

MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – MULTI COMMODITY EXCHANGE OF INDIA LIMITED
MR. PRAVEEN D G – CHIEF RISK OFFICER – MULTI COMMODITY EXCHANGE OF INDIA LIMITED

Analyst: Thank you, sir, firstly for your time, giving me your time and many congratulations on successfully completing the migration. Thank you. I think this will be the one-of-a-kind migration where the entire platform or tech has been globally also ...
P.S. Reddy: That's right. That's what my understanding is. And we are fighting our back to the wall, that's the reason why we have to do this kind of thing. But otherwise, if a choice is given, if the atmosphere is conducive with the vendor, probably we could have done transition in phases, but then any additional time would come with an erosion of net worth, not as operations, support kind of cost, as of supporting operation.
Analyst: It had to be done in one go.
P.S. Reddy: Yes, that’s right. So that's why we tell some of the people, it's a dare devil act, but you don't attempt it if you have an option to do it, that's the way it is.
Analyst: At least a precedent has been set now.
P.S. Reddy: Yes, that's right. So , nothing is impossible. That's the way it is.
Analyst: But any, sir, we had heard some teething issues initially, but now are things in place, everything?
P.S. Reddy: I think every day we are getting stability. On the first day and second day, we had good number of teething issues, but they all have fallen in place now. That is, even the latency numbers have improved, we are displaying on the website also our latency number, is far better than what it was earlier in the old system, and we expect it to be further improving it after completing some more changes, which we plan to do, in the next one or two months.
Analyst: And in terms of the backend, initially we were having some problem in terms of generating all these end -of-the-day reports at a particular timeline, so are those all in place now?
P.S. Reddy: Well, see, while those reports are all getting done, all the members are getting it, the only thing is, time is still an important element out here. Whatever is required for trading is happening, some of them are related to the CMR, Client Margin Reporting , where some penalties are levied, so that's not nothing impacting the members trading

part of it. So there, at times, for a member it gets delayed, or for one or two instances it may be delayed.
That is also getting streamlined, we are working on that also, reports. But back -office files and other things, by five, six o'clock, everything is given. They get generated at various stages of EOD, BOD processes, so whatever is due at that point in time, it is happening, and members are lo gging in by seven o'clock, so we see the members log in at seven, and trading starts by nine.
Analyst: That is the arrangement you can say? Initial hiccup is not there?
P.S. Reddy: No, there is no. I mean, by the grace of God, so far we never had any instance of not having the trading. Maybe on that day t wo, we had, maybe about half an hour or so, there was some issue because of some memory leakage. I think that's also behind us.
Analyst: And so this gold price , we again heard in between, there was some up -move in gold price . Was that a glitch?
P.S. Reddy: No, there's no glitch on that. It was a trade. No, this was a trade. Okay, no doubt about it. Maybe the client or a member must have placed a market order. That's how the entire book, or maybe to the extent that his order is placed, the order book got swept. And subsequently also, when it came up also, it traded at a substantially higher price, maybe INR61,600 and odd rupees. It traded. Good number of lots were traded. So I think INR61,980 plus is the trade that has taken place. Again, there's a good number of lots, not one or two lots. So we have submitted our reports to the authorities.

Analyst: And so in terms

of overall participation, what we used to see, pre -migration?
P.S. Reddy: Everything is the same. In fact, I mean, I'm wondering whether we have increased, number of users are increasing slightly. Number of users have more.
Analyst: Active users have gone up. Are you saying that?
P.S. Reddy: No, not users. Users are essentially th at ones who are using the CTCL terminals or TWS terminals. These are registered as users. So that number is good, increasing. Even if it is marginal, it is increasing. So that shows that everybody is there in place.

Analyst: Right. In terms of the numbers, if you could share in terms of members who are u sing it, are all like you said?
P.S. Reddy: All of them are there.
Analyst: 330, I think is the numb er that you shared on the call?
P.S. Reddy: All of them are … today also , all of them are there.
Analyst: In terms of UCC also, there is no gap?
P.S. Reddy: No, no, no, no gap.
Analyst: Basically, we have the full participation. What we used to have?
P.S. Reddy: Yes, yes, no doubt.
Analyst: And sir coming to the operational part of the software, would there be any change the way things were done before when we had a contract with 63 Moons and now with TCS? Would we be more in control or is it exactly the same? Just the vendor has changed?
P.S. Reddy: No, I think in terms of control, I think the kind of clauses that they were there earlier, those clauses are not there with the TCS. Even if you want to develop a new platform parallelly , even now you can do it. There are no such restrictions. And the contract is one year, what you call, one year is in warranty and the next five years is again AMC has been fixed. Thereafter also, AMC has been fixed. In the sense, every year 4%, some percentage of the increment, you have to pay them.
So that's how the AMC, on the price which we paid at the last year, kind of. I think there is nothing kind of a ransom being asked after the sixth year or something like that. There is a cap on the…
Analyst: Basically, a long -term trajectory has been already plann ed and done?
P.S. Reddy: That's right.
Analyst: If the plan is, because we have this six -year contract , my understanding is you run the day-to-day operation and TCS will come only if there is a bigger problem with the

application or if there is a development work. Is there any thought process in this six years we try to develop a team so that we can take up even those kind of work?
P.S. Reddy: I think it is too early for us to say that because the source code is not, we do not have, we have only right to use the source code, I mean right to use the software. So IPR is still with them only. So , the license is, we are having it. So, I think it is too early for us to undertake another exercise at this point in time. Maybe as we go along, we can think of all those things.
Analyst: But till the time we are with this same platform, it has to be TCS who can do the development work because they have access to the source code?
P.S. Reddy: That's right.
Analyst: And I think that is more or less on the technology part. Now again, you also said on the call that focus will now be on the business. After two years of this tech problem that we had. Just to, first to start with broad understanding, generally investors do kind of equate the volumes in the commodity market to the equity market.
We understand the participant base is much bigger on the equity side. Even the products are more, you have equity products which are exclusive to India, which is not the case in commodities. But what could be basically, if I were to say, do you think one, in terms of parallel, can we assume that even in commodities, volumes could be driven to options rather than futu

re s as we have seen in the equities?
And secondly, do you think the growth in the commodities market, if not the absolute

number, can be as big as what we ha ve seen in the equities market?
P.S. Reddy: I think in the call also I have clarified people to, or rather I caution not to compare with equities. The reason being is equity markets are investment markets. These are for risk management. Okay.
Now being a risk management product and the contract sizes are also very huge. In equity you can buy one share of Reliance or one share of Infosys or anything it is here, but not here. One lot means , it is a few lakhs of rupees. Okay. So keeping that in view, the margin requirements will be high. So, by nature, it does not allow all and sundr y to come and then trade in the exchange. That is one important thing that we have to keep

in mind. Okay. So minimum margin in crude oil on a INR7 lakh, I mean that is a contract size of INR6 lakhs to INR7 lakhs of rupees, the main contract, and how much it comes to, almost all INR2.8 lakhs, INR2.5 lakhs of margin. And it is not a small sum. Okay. And similarly, even in NG, you have 30 % margin.
That is also big. So I do not think so much of a retail investors coming in drones to this market is ruled out. Having said this, either roadmap is more towards options but not futures, and at this point in time, the drivers which led to options is the hig her margins in futures.
Now, we have not tested as yet, having got used to the options, who knows, even if you reduce the futures volume, still people may go in that way only, that is in the options way only. Okay. And the , you know, the tendency of retail investors is to, you know, participate in options. That is what also , we have seen it. And that is where, you know, that is where they think that, especially in the week of option expiry period, they will see huge volumes. And these are all cash settled. That is another important reason why they are active. So maybe the way that things are happening internationally, maybe options are not the big ones. And, but we happen to be the largest in crude oil, you know, options in the world, isn't it? Largest in the world.
Praveen DG : Yes, it is because we have the mini contracts.
P.S. Reddy: I am asking you, we are the number one in the crude oil contract. So, in the silver, I think, number two. Maybe in the options as a whole, it is the fifth largest in the world, and in futures, it is the sixth largest in the world. But then, ranking apart, I think we have scratched only on the surface of this market. There is a lot of growth potential. And with the enablement of regulatory regime, I am sure we should be able to do a far better and a deeper market. When I say deeper market, a market which, where people will resonate with the market, what is happening in the MCX platform. And that will happen only when greater degree of participation comes from the hedge rs and the value chain participants. We see value chain participants, a good number in silver, gold, and to some extent, maybe metals, but then it is not deep enough. And that is what our effort is going to be, more and more.
Analyst: Sir, can we say that, when you say hedging, basically it is, what we are targeting is increasing the open interest, possibly, right? In a way, not exactly all open interest

would be hedging, but I am just saying. So, can we say that there is a ratio between trading volumes and open interest, and as the open interest goes, the trading volumes will keep increasing in a multiplier?
Are there some numbers that we have seen, like the numbers that you shared in terms of open interest? It implies that on futures, we have a 1:1 ratio, while on options, we have 4x, 5x times the trading vo

lume compared to open interest. So, are there any
comparisons internationally, what are these ratios? And based on that, can we do some sizing of the market?
P.S. Reddy: Well, I do not have that ratios. I do not know whether that is the -- right , whether that is an approximation or that will work as a tool for assessing the market size. I am not too sure about it. I think we must definitely look at the physical market size and how much of the physical market is hedging on the exchange. Whether th ey are hedging in India or abroad is secondary. But as such, they are not hedging. That is the major worry. You have seen the balance sheets of many of these companies which are listed. Some say maybe doing it or not doing it. They are very vague, and they are not hedging at

all. That is for sure, many of them. And I think that is the wo rrisome part of it.
I think we should start our education or cultural change from there. Unfortunately, which again I said on many calls also, if they lose money here , whenever hedge rs, they look at only this book, not their other book, physical market book. And financial book and then that book, both they look at it. One side if there is a loss, the other side there will be a profit. So hedging means no loss, no gain kind of thing. But many of the CFOs or the financial controllers in these companies, or maybe even promoter driven, they don't realize that.
They think that we should have made profit here also and then still, physical market anyway will gain it if the prices go up. What is the big deal about it? That is the mentality, and I think that is where we need to really look at it. Coming back to your main question, yes, I don't have those numbers as such, internationally. I think you need to work on that.
Praveen DG : No, generally you cannot. Globally, it is not a right comparison because it also depends upon the volatility. So , volatility is there. The open interest remains the same, but the volumes significantly can go up. So , there are other factors which really can influence.

So comparison between open interest and other things cannot be a right, of course. That is how I look at it.
Analyst: And another factor of liquidity, hedging you said one thing, volatilities are mentioned. But even the size of the contract, I think, is something that drives volume. So basically, miniaturization of the contract. We have already launched mini contracts. We are talking about launching weekly option contracts. The whole idea is to improve the liquidity by doing all of this.
But given what has happened in the equity market and we have been hearing SEBI, they have been very worried about the kind of options that is happening, option trading that is happening in the equities market. Do you think there would be concern, regulator y concern, in terms of allowing us either the mini contracts or the shorter duration contract that could have some challenges from the regulator, especially in the commodities where they feel that it is more for hedging than speculative activity?
P.S. Reddy: Well, see, again, we are very clear. You need speculators. Without speculators, no market, whether it is LME or CME or ICE or any, will survive. Speculators are needed to provide continuous liquidity. So it is needed. Now the hedgers come as and when there is a need for them to hedge, and at that time there is no liquidity, then they will not look at this market at all.
And both legs of the hedgers will not be coming at the same time. So , then it could have been purely hedgers market also. That doesn't happen. And that is the reason why these speculators are needed. Now how much speculation is good and how much speculation is bad, I am not the one to comment on that. I think we need to take adequate risk management measures.
We need to educate the investors as to what ar

e the pitfalls of the kind of trading that
they may be doing it. And they should be able to take that risk. The event things go wrong, they should be able to take the risk. So, SEBI has put up on the report, you know, research report, 90% of the investors are losing their money. Yes, may be true. But still trading is not stopped. Cigarette smoking is injurious to health. Correct. Okay. But those who got used to it and who have s een maybe gains at different points in time, may continue to get lured .

But I think it is for the member brokers also to equally educate at the time of entry, at the time of what you call -- client coming for trading, that look, this is what the risk is all involved. I think they should not be tempted by the investor coming to give them business. I think they should educate well at the time of entry itself. That's very important.
Analyst: I completely am with you on that, sir. The thing is that when SEBI gave approvals to NSE for weekly options, they never imagined the volumes will go to this extent. And even after what they're doing everything, introducing peak margin regulation, gross margins, everythin g, still the volumes are only going up. Do you think now they have

become more, what do you say, they want to stall any product which can increase the speculative volume rather than hedging volume, although speculative volume is important. But have they gr own any kind of this thing that they don't want to do this now?
P.S. Reddy: You see, again, I will not be able to comment about the equity markets, what restrictions they will put up, they will not put up, what works, what does not work.
Analyst: From a commodity perspective.
P.S. Reddy: From a commodity perspective, I think we have not reached anywhere closer to that. There's a lot of room for us to grow. And instead of stopping at this stage itself, probably we will be, what do you call, we will be doing injustice for the growth of this market, I would say. I think we should allow innovation.
Of course, safety first, no doubt about it. Then everything else will come. With that safety keeping in mind, we should allow the innovation. And new products should be allowed to be launched. That's all I can say that.
Analyst: In your experience, has that been the case with the regulator that they don't see everything with one eye and they do understand this is an Asian market and it needs some help to grow. So probably the rules, not exactly the rules, but the approach could be different for different segments.
P.S. Reddy: Yes, but it is for us, the onus is on us to convince them , that this works , and this does not work. So if they are convinced, probably we have failed, not they have said no.

Because they have a greater responsibility than allowing us to just launch a new product. That's the way it is.
Analyst: And secondly, we saw that NSE kind of launched this option contracts without having this INR1,000 crores liquidity in the futures. So is it like that rule has been done away with or it was an exception made for NSE?
P.S. Reddy: Well, I would not be able to comment on that, what happened…
Analyst: But the rule is still in place.
P.S. Reddy: At least there is no new circular issued as of now. There is no new circular as of now. That rule is in place is our understanding. We have not seen any new circular.
Analyst: So we will not apply for any product wherein we don't have INR1,000 crores of underlying liquidity?
P.S. Reddy: Not necessary, you know, whether INR1,000 crores or no INR1,000 crores. If we give a justification, probably they will encourage us to launch it. Relaxation of rule is their discretion. We can ask them. Asking is our right. We can always ask them. Discreti on is their right to give

or not to give. So I think we can try all that.
Analyst: Have we applied for any of the products which doesn't meet this criteria?
P.S. Reddy: No, no. We will make an attempt to, especially options on some of the mini contracts, we will ask for.
Analyst: And so for options to succeed, how important is the liquidity in the underlying futures contract? Is it very important or without even liquidity also option volumes can come through?
P.S. Reddy: My personal view is liquidity is important. Otherwise, we are seeing a big, what we call, exposure, risk exposure to the option writers. Because option writer, when he is selling an option contract, then he must be from a physical market player. Or he must be, if it is a cash settled contract, he must have deep pockets. Otherwise, if he hedge s in the underlying futures, then there is no problem. So, to that extent, what we call, the depth in the futures contracts will increase. So that is what we are expecting. But that is not happening. And we are also equally concerned as to why the option writers are

not taking exposure in the underlying futures. Some of them, not all of them. And I think it should be taken. That is the reason. Then only it will protect them also. Anyway, the option buyer is protected. He doesn't have any, except for the premium that he or she pays, then there is no other risk. Only option writers are exposed.
Analyst: You think sellers who are ideally supposed to take some hedging against their open exposure, that is not happening.

P.S. Reddy: Some of them are not doing it. Maybe the higher margins again, the cost of trading in options and futures is high.
Analyst: Right. But they are incentivized in terms of cross -margining. If they took an offsetting position, then the margin requirements will come down. Can they do it through options only?
Praveen DG : Ours is a span -based mechanism. That is how the margins are elevated. So one, if they take futures, on the other side, if they take an option, automatically the span will come to the portfolio level kind of margining. So, automatically it will be considered …
P.S. Reddy: But to some extent only, not fully. 100% they don't get it …
Praveen DG : Because there will be always, you will have certain things like minimum short margins and other things still will be there. But that benefit of portfolio margining will be, that testing will be benefited.
Analyst: Okay. And that is between futures and options only? With two option contracts of different cycles? That also.
Praveen DG : Yes.
Analyst: But there is a possibility that people may be taking far off, out of the money as a hedging tool. Is that a possibility, sir? Instead of futures market, they are kind of hedging themselves in the option s market itself?
Praveen DG : Somebody can even, able to develop a synthetic future s, right, using an option. So, they have different ways or strategies to which somebody can able to replicate a futures

contract also. But at the same time, ultimately these are all option on futures. So, if you have an underlying futures contract, it is meritorious to take a position in futures also.
Analyst: Okay. Understood. And in terms of newer products, you did mention about Steel TMT rebar side, in the futures side. Are there any more products that we are targeting in the futures? As of now, it is only Steel TMT rebar?
P.S. Reddy: We have applied for this aluminum alloy, in the past also I said that. Again, the approval is another thing is pending. So, are the some of the mini contracts also. And some of them are again related to electricity futures is another one. So, we are waiting for these things to come.
Analyst: And mini is copper and nickel?
P.S. Reddy: Copper and nickel …
Anal

yst: Only those two are left. Rest everything we have mini contracts?
P.S. Reddy: Yes.
Analyst: And in terms of this gold futures, the main contract, which is a bi -monthly contract, is there any plan to make that monthly or it is the other contracts which are already monthly? We don't intend to make that as a monthly contract.
P.S. Reddy: We don't want to change the gold, bi -monthly contract into a monthly contract. And I think the market got used to it. If we have to introduce, we may introduce another product. But it should not cannibalize the volume here. We will look at that. But option s on the gold, monthly options on bi -monthly futures is what we are looking at it.
Analyst: At least in the future s, I think we will keep the specification here.
P.S. Reddy: Yes. We don't want to change.
Analyst: And any time you have gold mini, which are monthly?
P.S. Reddy: Gold mini is monthly. Gold 10 grams, I mean, applied 10 grams is one. And we already have a gold mini, 8 grams and 1 gram is also there …
Analyst: On silver, the main contract and the mini contract are both bi -monthly contracts?

Praveen DG : All are bi -monthly contracts.
Analyst: Silver. Why is that so? Isn't it wise to introduce a monthly contract in silver also on futures?
Praveen DG : No. See, when we started that time, it was like initially, that means prior to this kind of delivery -based contract, the mini and micro contracts are also linked to the main contract. So, they happen to be a bi -monthly contract. But in case of gold, from the beginning, it was like a separate contract. Because silver, there is an issue with regard to the delivery then, that time. Because you may not be easily able to get that kind of 5 kilo bar or something.

P.S. Reddy: Micro is 1 kg.
Praveen DG : People use it to import mainly in the 30 kgs. Even that also, you won't get it exactly in 30 kgs, but you get it in a range. So, because of that scenario, then it was decided to come out with a contract, which are linked to the main contract. But subseque ntly, SEBI has come out with rule. And we also have gone to the market and we have, after extensive discussion with the market, we could able to come out with the delivery - based contract, even in mini. So, all are separate.
But since the precedence was set that time, it was like we had, but definitely like Sir said, we can look at options whenever we wanted to come out with the options. Definitely there, we can look at shorter duration contracts.
Analyst: At least for futures, we will not tinker around…
Praveen DG : There is no merit in doing that one. Because sometimes it is like some market participants prefer to have a longer duration contract because you will be able to cover a greater duration. That means, like suppose if you have three contracts, that itself wi ll be covering some six months.
Analyst: Basically, the shorter tenure will be done through options. The one that you mentioned, weekly options on the monthly future contracts?
P.S. Reddy: Weekly, when I say weekly, it should not be understood that the contract itself is weekly. Because under SEC C regulations, at least the derivatives should be more than

11 days completely. We will issue monthly contracts, but every week, one -one monthly contracts will expire.
Analyst: It is a weekly expiration. Weekly...
P.S. Reddy: No. You see, 7th of the month. Previous month 7 th we issue one contract. And this…month 7 th, we expire. Previous month 15 th, we issue contract on 15 th. So, in a month, there will be four expiries of different contracts.
Analyst: Of different contracts?
Praveen DG : Technically, you will have one expiry each week. That's it. But the contract.
P.S. Reddy: Serial contract.
Analyst: But they are

different contracts?
P.S. Reddy: They are different contracts.
Analyst: Sir, I thought you mentioned that on crude itself, you will have four different weekly expiries?
P.S. Reddy: Weekly means, these four monthly contracts are starting with different dates. So, there will be four weekly expiries.
Praveen DG : Even today, if you look...
P.S. Reddy: Underlying is the same. Underlying option contract is the same WTI. Same 100 barrels or 1,200 barrels.
Praveen DG : No. In case of crude, it is 100 barrels. But even if you look at it today, while we are calling it as a monthly contract, it is not technically a monthly contract. It is like, I launch a contract which is of a duration of four months. Okay. But you have, every month you have an expiry. So, similar to that one, whenever you are saying a weekly or it is a fortnightly, it means that every week you will have an expiry. But that contract, expiry contract, tha t would have been launched from one month back or two months back.
Analyst: But unlike equities, where the contracts are launched on…

Praveen DG : No.
Analyst: Even an equity. These are launched on Monday, right? Or for Friday expiry, like a Sensex contract?
Praveen DG : No. May be, I may not be knowing that.
Analyst: That is what I am saying.
P.S. Reddy: That is the equity, I mean, I don't think there also, it is like that. They are also monthly contracts or fortnightly, at least a longer duration, but then it is expiring every week.
Analyst: My understanding is that this was weekly contract and now I think they are seeing volume only on the expiry day. It is becoming even more shorter. And every day there is one expiry that is happening on the equity market. So, between NSE and BSE. So,

these are effectively becoming your zero date options. And volumes are happening only on Monday.
For BSE, if you see, volumes happen only on Friday, expiry day. So, I thought we are planning in options something similar which when we call it weekly, we are saying this will effectively have different, every week there will be one expiry. It is not the one contract of say, December ending contract will have 7, December, 14, December, 21, December, 28, December as an expiry date?
P.S. Reddy: …No, it is not like that ….
Analyst: Because I thought the series, I think serial contract is what you mentioned. So, that was done, I think the genesis was because you have this two month contract. There was a month in between which never used to have a contract…
P.S. Reddy: Because 11 days is the minimum required , …a tenure , for derivatives contract.
Analyst: Minimum 11 days?
P.S. Reddy: At least. Anything less than 11 days is spot. That is what the legal definition is.
Analyst: Then, even the equities has to be more than…

P.S. Reddy: So, equities also, somebody has told -- explain to me, it is monthly only. Expiring every week.
Analyst: Expiring. We are doing something similar?
P.S. Reddy: Yes. Expiring every week. We are yet to try that.
Analyst: You have already gone to the regulator?
P.S. Reddy: We have, what to call, ideated. Nothing else.
Analyst: I want to understand this little better. I think this is very important. If this comes true, I think this will add to the volumes.
P.S. Reddy: We are hopeful of it.
Analyst: At least based on the experience what we saw on the equity side, probably this will add to our liquidity here as well. But just to be more clear, on a crude oil contract, monthly contract, there are option expiry which will happen. When you say different, different weeks …
P.S. Reddy: Let us say, you have a crude oil month of December. On a December contract, today you have only one option contract. We will have four option contracts. On the Decembe

r one only. That is what the way it was. These four option contracts are monthly contrac ts. So, each one will be expiring. Instead of expiring just two days before or three days before the underlying future s expiry, it will expire every week.
Analyst: In effect, they are becoming weekly. If somebody wants to trade in near month contract, they will trade in the contract which will expire in that week?
P.S. Reddy: Whatever expires on that day and if there is anything to be devolved, it will devolve on futures. And then next week if something is there, then it will devolve on futures.
Analyst: Understood. And this can be done for both cash settle d as well as physical delivery contracts only for cash settle d?
P.S. Reddy: It can be done for both.

Analyst: Understood. Perfect. And sir, one of the thing is that index when we launched it, index product, we thought it will drive volumes. Metal index, we understand because of nickel debacle, that did not see volume. But energy, in fact, I think the margin requi rement are not as high as what you saw on the individual commodities like crude you said 40%, natural gas you said 30%. Energy index, as of now I don't see any trading happening but should not have that much margin requirement. Still we don't see any volume in those contracts?
P.S. Reddy: If I am not mistaken, there also the pre -expiry margin has kicked in.. .
Praveen DG : Pre-expiry margin is one major challenge because irrespective of whether underlying margins are there or not, it is like , as and when it comes closer to the expiry, then you have a, it is a cash settle d contract, right.
Analyst: Yes.
Praveen DG : So, because it is a cash settle d contract, then you have an energy, it is linked to the energy where pre -expiry margin is applicable. So, here also it is applicable. So, you have one pre -expiry margin for…

P.S. Reddy : How much is the pre -expiry? 5%. ..
Praveen DG : 5% incremental basis.
P.S. Reddy: So, it will come to…
Analyst: Day by day 5%?
Praveen DG : So, 25% by the day of expiry.
Analyst: Okay.
Praveen DG : And immediately followed by your underlying having the pre -expiry margin. That is your double whammy , right? It is like you have a pre -expiry margin here, then again you have. So, that is what has created the problem for the…
Analyst: When a new contract is launched, what would be the margin requirements sir for an energy index?

Praveen DG : It depends upon purely based on that volatility. I don't know that's what -- No, currently we don't have it. We have discontinued it.
Analyst: Discontinued it. Okay. Any plans to reintroduce that or no?
Praveen DG : See, currently we wanted to first focus should be on index options have been allowed by SEBI. Okay. So, we have to explore the products in index options.
Analyst: But again you need the underlying for index options.
Praveen DG : No, we have…
P.S. Reddy: We have BULLDEX.
Analyst: Okay, only BULLDEX you have.
P.S. Reddy: Only BULLDEX and METLDEX also probably we will try to relaunch it after the -- I mean we removed the nickel.
Analyst: Correct.
P.S. Reddy: And then reconstituted the METLDEX. With four of them, we will try to relaunch.
Analyst: So, the timelines for both these options on index and those weekly, is there any timelines that you have thought to?
P.S. Reddy: It's only regulatory approvals. These are all…
Analyst: No, no, but at least we have approached?
P.S. Reddy: No, no. No, no. As I said, we have not approached it. So, we will approach.
Analyst: At least weekly is still an ideation. It will take some time.
P.S. Reddy: Yes, it will take some time.
Analyst: And this option on index, because again underlying doesn’t have the volumes?
P.S. Reddy: That's w

hat I am saying. I mean although it does not have the volume, if they choose to give it, they will give it. But at least…

Praveen DG : No, but there won't be any threshold as such is applicable.
Analyst: Okay.
Praveen DG : It is because it is going to be independent to the future s. It is going to be settled on the -- almost on the same day of the futures. So, that way it is , both are independent to each other.
Analyst: Okay.
Praveen DG : So, it is an index option compared to any other option what you are looking at like crude oil, which are all option on futures. But here it is different.
Analyst: I understand. And sir, in participation, you did mention that there are some algo traders who are not comfortable coming on to the old platform. Now that we have migrated to the new platform, they should come in. Any indication that you can give how many numbers are we talking about here? What are the number of algo traders which are currently trading and are we talking about 10%, 20% addition to those numbers?
P.S. Reddy: Yes, there will be. Because, I mean, you look at our, what you call, website, maybe you have the members who are admitted. Okay. There are some members who have not as yet, some of them are inequities who are there, they have not taken membership. They are al ready participating, but then they are testing the waters kind of. And some members have already become like citadel. They have taken membership of the exchange, but they have not started as yet.
Analyst: Okay.
P.S. Reddy: So, all those people should be able to do that.

Analyst: So, you think over the next two, three months you will start seeing higher participation from them?
P.S. Reddy: Well, I mean, I will not be able to give any plan of what they are ...
Analyst: Based on your engagement with them?
P.S. Reddy: Based on my engagement, I think they should be able to at the ear liest. That's the way ...

Analyst: Okay. At least that's a tailwind for us?
P.S. Reddy: Yes...
Analyst: in terms of volume at least And on FPI again, sir, you mentioned that one of their requirements is this DMA facility?
P.S. Reddy: Yes, with that we will start.
Analyst: Can that be a significant volume driver or it's again, don't…
P.S. Reddy: It's like, I mean, whether it will drive or it will not drive, the feedback that I receive from my team is ground foot soldiers is that, no, no, today I met so and so FPI or so and so member. He said, boss, you bring DMA, then they will start participatin g. And somebody says that Category II FPIs, they all want to participate. So, you should activate it. So, this is the feedback that I get from them. So, since that is already available in our new system, we should be launching it at the earliest, releasing it for use.
How much volume it will bring, how much it will not, I will not be able to comment on it. That's not correct. But, whosoever is suggesting, look, this is the hurdle for which reason I am not able to participate, I will work on that to, I will work on that to clear it. That's the way it is.
Analyst: Overall, sir, your understanding, how big can institutions become or it will take some more time before they become big?
P.S. Reddy: No, you see, before they become big, will they be, will they take time? My assessment is, if commodity prices are going to remain volatile in the next two years, as the reports indicate, be that World Bank, IMF or even RBI, etcetera., and I think they do come earlier than anticipated, is my view.
Analyst: Okay. But any number that you want to put? Probably 10% of the market at all? Some, some work that you would have done?
P.S. Reddy: No, no. I have no numbers.

Analyst: Okay. And, sir, a couple of questions on the regulation part. On the interoperability we have seen on the equity market that is being implemented, do we have something similar for commodities as well, between exchanges?
P.S. Reddy: I, when I say interoperability, it is essentially a full -fledged interoperability, something which may not happen. Okay. There are other challenges out there. It's not just cash settlement or share settlement via depositories. There are physical market co mmodities out there. So interoperability is not easy.
But at least to the extent that members deposit collaterals or other margins, etcetera., whether we can ask, the margins can be interoperable in the sense, you keep the margin, a physical cash or, FD, BG and all that, you keep it. But at the end of the tr ading, 3 o'clock, equity market on 3.30 is shut and there is excess capital line for efficiently use of it if member decides that it should be given to MCX. Currently, it is not feasible. Unless it is, he withdraws from that and then again deposits here. We are looking at a fungibility where, there he will say that he transfers INR50 crores to MCX. They will mark a lien on that as a name of MCX. And then we will give, once the confirmation comes from the other exchange, then we will release that to member. And it is for him to distribute as per the regulations and other things. If there it is lying in your name, then he will give you here also in your name, some amount, whatever that is.
Analyst: You will have that margin money here to trade?
P.S. Reddy: Yes, margin money here to trade, although it is not physically available.
Analyst: And you think there is a good overlap between people who are trading in equities and commodities?
P.S. Reddy: There are, no doubt. There are. Especially these proprietary and algo or even some of

the clients also. There are. Yes.
Analyst: In that context, we keep hearing that NSE wants to extend the time for equity derivatives in the second shift. Now, half of our volume or slightly more than half comes in the second session , after five …
P.S. Reddy: But it is nothing to do with the margin coming from NSE to MCX.

Analyst: No, no. But people's capital will again get deployed in equities because they will have opportunity on the equity. Will that have an impact on the volumes?
P.S. Reddy: No. It is other way. As of today also, the capital which is lying idle after 3.30, is lying idle only.
Analyst: Right.
P.S. Reddy: Okay? We are thinking that that will come. But if they increase their equity timings, then to that extent it will not come to us. It is okay. So it will not be worse off.
Analyst: Okay. It will not negatively impact.
P.S. Reddy: It will not be worse off. It can only be positive.
Analyst: Understood. Thank you. Okay. SGF contribution. We have seen that in the month of September you made some contribution. This will be the last one. And in October, you again had to make some contribution. So now can we say that we have already exhausted our SGF fund because last contribution then came in some three, four years back that we made. Now for the last few months or years, we have not been making any contribution. But last few months we have been. So is it fair to say that incrementally as volume goes up, you will be making regular c ontribution to SGF?
P.S. Reddy: If the open interest keeps on increasing, obviously we have to make contribution. But the contribution is determined based on some calculations, etcetera. And if that is getting revised, then the contribution may come down. Okay. So, it is both regulatory issues, some issues are there. And, but, factors for others. This will increase if the open interest increases.
Analyst: Understood. Okay. Perfect, sir. Thank you so much. Those were my questions. Thank yo

u so much for your time.
P.S. Reddy: Welcome. Thank you.

Call: Nov 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91 -22-6731 8888, FAX: +91 -22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.comMCX/SEC /2320 November 30, 2023
The Dy. General Manager
Corporate Relations & Service Dept.
BSE Limited,
P.J. Towers, Dalal Street,
Mumbai - 400001
Scrip code: 534091, Scrip ID: MCX
Subject: Transcript of calls with Investor/Analysts
Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed the following transcript of the call with investor /analysts:
Sr.
No Investor /Analysts Date Time Annexure
1. Unifi Capital November 22 , 2023 04:00 PM Annexure - A
The said transcript is also uploaded on the website of the Company at
https://www.mcxindia.com/investor -relations/ir -meetings
Further, we hereby confirm that no unpublished price sensitive information was s hared/discussed
during the said meeting .
Kindly take the same on record and acknowledge receipt.
Thanking you,
Yours faithfully,
For Multi Commodity Exchange of India Limited
Manisha Thakur
Company Secretary
Encl: As above
Page 1 of 9 Multi Commodity Exchange of India Limited
Meeting with
Unifi Capital facilitated by Share India Securities Ltd.
November 22, 2023
Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there ma y be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward -looking statements " – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates, "intends", "plans", "believe s", "seeks", "should" or "will". Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different that those expressed in our forward -looking s tatements. We do not undertake to update our forward -looking statements.
Annexure - A
Multi Commodity Exchange of India Limited
Novem ber 22, 202 3

Page 2 of 9

MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – MULTI COMMODITY EXCHANGE OF

INDIA LIMITED
MR. PRAVEEN D G – CHIEF RISK OFFICER – MULTI COMMODITY
EXCHANGE OF INDIA LIMITED

Nagendra : ...And we have their F ounder, Mr. Sharath Reddy and his team, and I will let Sharath's team talk more on what they do, but if I have to put it in simple terms, they are one of the largest PMS entities in India. As we speak, I think, you know, their AUM is close to INR21,000 or INR22,000 crores.
So, we have just started working with Mr. Sharath's team, and I personally know Mr. Sharath from 1995. So, we thought it would be a great opportunity if we try to have a discussion with you and understand what is the story behind MCX at this point of time and, you know, how these things will span out in the next couple of years. I think, you know, this is the context, but I will let Mr. Sharath and his team to take this discussion forward.
Thanks, Mr. Reddy, once again, for your time, really appreciate it. Yes, Mr. Sharath, all yours .
Sharath Reddy : Thank you, Nagendra. Good to meet you, Mr. Reddy. As Nagendra said, we are a portfolio manager, we have been in business since 2001. We manage mostly domestic capital. We have a small offer activity as well, and we have just received permission to work on mutual fund, I mean, principal option.
We invest in basically looking for growth businesses and today the highest growth seems to be happening in capital markets, the optimism in India has never been so high and we wanted to understand after having gone through the changes in your own journey o ver the last couple of years, MCX seems well positioned, and so we wanted to understand from you, how does the prospects for growth look organically, as well as from introduction of new products or segments, which can attract the large trading community th at seems to be gaining scale in India ?
P.S. Reddy : Okay, should I start, or you have anything else to ask...
Sharath Reddy: Could you kindly start, we may have one or two questions after.
P.S. Reddy : Sure… No, as you understand, the Indian commodity markets, in fact, do not have organized spot exchanges, maybe for electricity you have for some time, but otherwise we don't see organized spot exchanges, and without having that spot exchanges, which

is supposed to be the bedrock of these futures , we have built the derivatives markets, organized derivative markets.
Now, having done that, I think we find maybe a lot of spot markets are opaque, a lot of spot markets are, what you call, influenced, or controlled by few, be that consumer side or be that producer side, and maybe it's a natural monopoly, only few producers are there, although only few consumers are there, etc etera . So, I think, in this space, we have not as yet grown big, we have not as yet scratched the surface of the commodity markets in India.
That's what our perception is, and that's the reason why we are making a multi -product attempt to penetrate into this market and bring some kind of a sense of transparency into this market. When I say that a sense of transparency , because there are still lobbies which do not want the success of commodity markets, because they lose the opacity, and which they are thriving on.
Having said this, this market, at this point in time, we have the derivatives contracts, maybe about 11 -12 products that we are dealing in.
The NCDEX has gotten most of the Agri-commodities, and we are not there, except for the cotton and menth a oil. And, but our primary market, our primary drivers, growth drivers are the crude, natural gas, bullion, that gold and silver, and the metal contracts, the five base metal contracts. And thanks to the problems that happened in the nickel contract, the nick el contract is almost all died. There is no trading, but we are trying to revive it, subject to some regulatory approvals.
And the second set of participation we are expec

ting, or rather the second ground rule
that we want these markets to drive, is the participation of hedgers . Now, why I am saying hedgers , because we have not seen, many are treating the commodity markets not as the risk management tools. Unlike in equities, which is an investment market, commodity markets are primarily the risk management places, where hedgers will come in, and maybe speculators are needed to provide liquidity, but otherwise it is substantial ly for the hedgers to manage the risk.
And thanks to the RBI, which does not permit hedging of gold in international markets, and for other products, it is a by -choice, they have to come, if they want to come, and then trade. But otherwise, in the case of gold, it is happening in India, and a g ood amount of, maybe almost 75% of our open interest is hedged by the industry. And you name it, all, most of the top players are in it.

In other products also happening, but as I said, it is by choice. This is another dimension to this market. And one more thing I want to tell is, when I said it is a hedgers market, but not for any retail investors will come in, because the lot size, unlike in equities, you buy one share of reliance, one share of Infosys, but then if here you buy one lot, the one lot happens to be INR7 lakhs, INR10 lakhs, or in the case of co pper, it may be as high as INR30 lakhs. And the margins, even if it is at least 10% , that is that many lakhs or thousand, it comes. Maybe in the case of copper, it is INR3 lakhs, and less. In the case of crude oil, it is 2.5 lakhs, although the contract size is around INR6 to INR7 lakhs of rupees. And why margins are high? This is a different reason; different historical movement of the prices and various stress -test scenarios are taken into consideration when we provide for the margins and SGF covers.
The third dimension which is equally important is that the regulatory enablement for some of the success of some of these contracts is equally needed. And what is that regulatory enablement means? For example, the GST is coming in the way of rapid growth of our market. When I said GST is coming in the way, it is not the percentage or anything. In fact, we have no problem about whether it is 10%, 15%, 18%, or 28%. We are not asking for that. But because we are spread pan India, our delivery centres are acro ss India, and the buyers do not know where they get delivery. If somebody wants to participate on the exchange platform, they have to register at all the locations or in all the states where the GST is, where the delivery centres are located. So , this is causing a big concern for the participants, and that is where some of the people who want to take delivery, they shun the market. They say, I'm sorry, although I'm interested to take delivery on your market, but I'm not able to take it because I'm not too s ure where I will get the delivery. And that is because it is a seller's choice market, where seller has an option to deliver wherever they want to deliver. So , if we make it buyer, then seller will not have an option. So , no metal will come , or no material will come. This is another dimension to this.
In the case of our only the NG and crude oil, we have a tie -up with WTI, that is CME. And the closing prices of WTI are used for settlement of these contracts. So , in that sense, there's no room for any kind of cash -settle d contract being manipulated or any kind of room for doubting the genuineness of that. But in the case of other contracts, SEBI, thoughtfully and rightly so, has pegged it to the spot prices, so that when the contract is coming to closure or expiry, the spo t prices as well as the future prices will converge. And accordingly, the markets remain pegged to the ground. So as a result, some of these, the lack of what you call transparency in the spot mar

kets at times causes

concerns for us also. And maybe getting the spot prices from, spot polling prices from different physical market players is a challenge. And we are trying to overcome that by empanelling as the new spot polling players as we can to get maximum reach before we arrive at the spot prices.
I think I'll stop here. Probably you can ask me some more clarificatory questions or anything more that you want to know about it.
Sharath Reddy: For example, on the equity markets, the derivatives segment has settlements which are shorter. And that seems to be helping them grow, as we have seen in the BSE also recently. Is that possible in the derivative on commodities?

P.S. Reddy : Well, the people often cite that weekly settlements is one option to do that. I think in the case of weekly settlements, the contract cannot be weekly because the SECC regulations or act itself says that anything which is more than 11 days only can be a derivative contract, but anything less than that is a spot contract. So it can be that multiple monthly contracts expiring every week can lead to a weekly option expiry contract.
That means you launch from 7th of last month to 7th of next month or this month to next month, and 15th of this month to again expiring in the 15th of next month. Overlapping contracts are called serial contracts. You introduce them and that will lead to a weekly expiry, but the underlying remains the same. The underlying happens to be only one futures contract. So, which may expire at the end of the month. So that is how these weekly expiries -- but we have not approached SEBI as yet, but then this is unde r discussion and if something happens there, maybe we can try that. It may work for the good of the market.
Nagendra: Sir, this innovation and expiry, are you discussing across all commodities or is it only on cash settle commodities, sir?
P.S. Reddy : Well, this can only happen in cash settle d contracts, but then even other, so we can try, but then to begin with, it is better to have a cash settle d contract.
Nagendra: Cash settle contract. Perfect, sir. Thank you.
Sharath Reddy: That would mean only crude and natural gas, right?
P.S. Reddy : Crude and natural gas.

Sharath Reddy: Okay. Crude and natural gas. And, Mr. Reddy, the growth that we have seen in NSE and BSE, the community of new traders seems to be expanding quite significantly. Do you see the age and the maturity of, maybe , since I am an old man, I believe that youngsters are less mature, may or may not be the case. But one can't help but wonder if the rapid growth in the number of young traders poses a risk to themselves and to some extent to the system, given just the ratio of trades outstanding and posit ions outstanding to the underlying. And there doesn't seem to be anything to stop this from expanding even further. Do you see any challenges to this growth?
P.S. Reddy : There are two things or rather three things. One is that, well , we consider that youngsters are maybe more immature and as we grow older, we become mature. Maybe…. that may be true. But nowadays youngsters are more tech savvy. So, to that extent that becomes a strength for them. And maybe that may give them a lead over our hair, which is turning grey. So, that may not be the case all the time.
And being that as it may be, the other part of it is the risk management system across the exchanges has been strengthened substantially. Now, yes, as far as the industry is concerned, as far as the trader is concerned, he may go bust, he or she. No doubt about it. That is not in our control. But as an exchange, are they bring ing risk to the system? Probably we have much better secure d than what it was , maybe a few years ago. That is something whic

h I think I can acknowledge that. The third element is, even SEBI has put up a research paper saying that 90% of the investors are l osing money in the derivatives , and but still, cigarette smoking is injurious, but still 90% still smoke or maybe 10% may drop out. So, it's like that. Although they are losing money, they still keep trying. Maybe sometime s they made money. That's the reason, why they keep retaining that hope of making money. But yes, you're right. It may not sustain in the long run.
Sharath Reddy: And in terms of other than crude, natural gas and bullion, do you see any other category or commodity emerging as a significant number three?
P.S. Reddy : We have the silver is another one which is trading very actively. And so is NG, Natural Gas. And I think those two products are also doing very well. They are picking up , rather galloping.
Sharath Reddy: In terms of any infrastructure requirements that are required for efficient settlement on the back -end, is there anything that you see as requirements which are under

development which will come and support this system efficiency? Or is the system

already adequately provided for?
P.S. Reddy : Well, if you ask me, in the name of efficiency, many activities which brokers does it, they are all pushed on to the exchange platform. So, now we are doubling up ourselves as the back -office members. Even if one client, even if the brokers trading system fails, then still investors can go to some other place and then square off. There is one IRR they have inaugurated yesterday or day before yesterday where investors can square off their position. And we have what we call a real time, what is , the margin that a client has deposited. So, many times allocation, deallocation is taking place. So, a lot of activity is taking place. Maybe it is overkill as far as the systems are concerned. But that is the way it is , at this point in time.
I don't think any more changes to the exchange systems are needed at this point in time. I think we should, even brokers also have to change. Every time when exchanges change the system, brokers also invest. And that is also causing a lot of concern. So, I think it should stabilize now.
Sharath Reddy: Is there any statistics that MCX releases that establishes the share of business between hedgers and traders on the MCX?
P.S. Reddy : I think it is there, what are the value chain participants are. We disclose it on the website.
Praveen DG: Yes, we disclose it on a daily basis. What is the open interest, against the open interest, what kind of participants have taken the positions. So, that category -wise we publish it on a daily basis. But not on the volume side. It will be against the open interest.
Sharath Reddy: Okay. In this context, is there any logical case for foreign hedgers to come and hedge in India? Or it will be only foreign HFT traders who come and trade in India?
P.S. Reddy : The FPIs are allowed and there are some international brokerage houses who have taken membership on the exchange also. So, they have local offices like they are already members on NSE, BSE. And I am sure they have taken membership of us. And they were waiting to start --tech migration to complete. Now it is done. So, we expect them to trade on the exchange platform.
Nagendra: Mr. Reddy, Nagendra here, just one question. So, first I think we should congratulate you and your team for the successful upgrade. I think it is a fabulous job and everything went seamless. At least everything is well if it ends well. And I think it has actually

ended well. Sir, my question is, will exchange at any point of time consider coming up with its own co -location infrastructure? Or is it anything linked with the regulatory framework?
P.S.

Reddy : See, it is the regulatory framework which has to be enabled. And of course, we need lead time to enable it. And that has been the ask and then regulators considered. As and when they decide to permit co -location in commodities, they will give a lead time. So, then we will provide for where that co -location will be.
Nagendra: And sir, another point is with respect to on -boarding of FPIs, you rightly said that your team was waiting for the upgrade of systems to happen , which is now complete. And our understanding, I think, we will also s tand correct ed. So, both the categories of FPIs will be on -boarded, right? Because earlier it was only Category I FPIs that MCX was allowing and not Category II vis -a-vis the other exchanges where both categories of FPIs were on -boarded. Any thoughts on this, sir or, is that the stand?
P.S. Reddy : FPI II will be launched. And also, DMA facility also we will be giving them. It will be there in place.
Nagendra: Perfect. Thank you, sir.
Sharath Reddy: Nagendra, we have got a good understanding. Thank you very much, Mr. Reddy. Thank you very much.
P.S. Reddy : Thank you. Thank you, Mr. Sharath ji. And your colleague, what is his name?
Aejas: Sir, my name is Aejas. Thank you so much for your time. We look forward to future interactions. Thank you.
P.S. Reddy : Welcome, Mr. Aejas. Okay, Mr. Nagendra. Thank you so much.
Nagendra: Thank you so much. Kind of you, sir. Thank you, Mr. Praveen. Thank you all.

Call: Nov 2023

(no extractable text — likely a scanned image PDF)

Call: Nov 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2316 November 24, 2023
The Dy. General Manager
Corporate Relations & Service Dept.
BSE Limited,
P.J. Towers, Dalal Street,
Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX
Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr. No	Investor/Analysts	Date	Time	Annexure
1.	Group investor call hosted by Kotak Securities with the participants including Sundaram MF, Invesco MF, Motilal Oswal AMC, 360 One (IIFL AMC)	August 17, 2023	12:00 PM	Annexure - A

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl: As above

 Multi Commodity Exchange of India Limited
Investor Group meeting facilitated by Kotak Securities
November 17, 2023

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates, "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different that those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure A

Multi Commodity Exchange of India Limited
November 17, 2023

Moderator: Okay. Let me welcome you all from Sundaram Mutual Fund, Invesco Mutual Fund, Motilal Oswal Asset Management and 360 ONE Asset and Max Life Insurance. Anybody else? Yes, that's done. Kotak Equities, of course, who has organized this meeting. Thank you. Thanks to all of you for reposing faith in the company. I think now it's behind us. We need to focus more on the growth of the company and it's new products, new set of investors or, I mean, new types of contracts, okay, is something that we are looking at.

I'll open the discussion, I mean you can raise any question, that I will answer, please go ahead. Anyone of you, start from there.

Participant: So on the new products, like you said, if you can give some layerings where we are in each products. How long will it take for us to launch the product? What is the market size of [inaudible 0:01:36]?

P.S. Reddy: Okay. See -- one is that there's a new set of products, the products which are existing and then deepening those products. These are two types we are looking at it. The new set of products, yes, steel re-bars, we already got an approval and because of this transition, we kept it on hold.

So probably the permission may be about to expire or whatever it is, but it gets renewed. That is only a matter of time. And so, we have also written to the regulators, expressing them that we will now go ahead and launch it. This steel re-bars is why we have chosen. There is a steel ingots also earlier you had, maybe it is in the other exchanges. And there are -- if you look at the steel industry, there are so many value chain products, okay? But we have chosen only steel re-bars because there is a wider participation. The more you go up the value chain there may be very few and few participants, maybe liquidity is difficult to build that kind of products. And as you go downstream, probably more and more participants will be there. That's one approach that we have had for this. So, keeping that in view, the steel re-bars is what we've chosen. And again, steel re-bars what is that we are choosing is the one, which is being used for the construction industry, be that infrastructure or other buildings, a big builder, they will choose it. This is one part of it.

Second, there are also many small- and medium-scale industries are there. So, from the supply side also, there will be a good number of players just not SAIL or maybe the SAIL Group of Companies or some Jindal Steel, not only those companies, there are many other medium and small-scale industries who produce this, subject to the compliance with the ISO standard. The re-bar is supposed to be compliant with the ISO standard, which is -- I mean, I don't exactly know the number, but then ISO standard. Why we chose this, because when we want to admit them, we should be sure of the quality that they are manufacturing and the kind of material, because we are giving a platform, we are assuring the buyer that this is the quality it gets generated. So, we propose to go with what you call the military engineering or railways. They have an empaneled list of producers from whom they buy it.
So to that extent, our credibility of the platform will increase. Gradually, we will start the empanelment process as we did in the case of lead, okay. So, we want to support these small-scale industries as small and medium, but at the same time, we need to have a phased approach. That is the reason why we have chosen this, and this is how we will be penetrating into the market.
Second most important or rather third most important, the spot markets are very -- I mean, I would say opaque, and they are not organized. Maybe I would say they are organizing a different sense of the term that they don't permit any new entrants to

come
in and maybe break that monopoly or lobbying that is happening, etcetera, etcetera. I remember when some other exchange launched this steel re-bar, not re-bar -- the steel, what you call -- yes, I'm sorry, ingots contract, okay? And there is a resistance and some of these local associations written to the regulator and the other thing complaining that there's no price discovery, whatnot, all kinds of allegations.
For me, as an exchange, probably we may be playing a spoilsport, where we are destroying monopolies or we are restabilizing, what we call, people who control the prices. Why I'm saying this is it happened in other metals where people want to charge brand premium, because they are so and so. Why brand premium has become important, because everybody don't trust whoever is manufacturing.
Because of this brand, because of that name, reputation, they're buying. By doing it on the empanelment on the exchange platform, if -- even if he is a small vendor, if he is able to deliver the quality of the product that we are guaranteeing it, then he should

command the same price as anybody bigger ones of commanding it, okay? That is the purpose with which this entire exercise we are doing it.
So, my personal view is it's a great growth potential for the steel rebar contract. In addition to that, we're looking at again elective future contract, although it is tantalizing in the sense we get every day, okay, we should get this quarter, we should get this in this year, but it's not happening. And hopefully, this time we expect it to happen. Let us see, because as the climate -- I mean, climate change is very uncertain, and it's happening rapidly. I'm sure demand for more and more electricity will come, okay.
Participant: But we already have an IEX...
P.S. Reddy: IEX is for a spot, not for futures, okay. So, you can't lock your price on IEX. And that is day ahead market mostly. month ahead, 15 days or something, nothing more.
Participant: So, you will be doing 1 month, 2 months, 3 contract?
P.S. Reddy: That's right. That's right.
Participant: Why was it getting delayed because of your tech transition or something else?
P.S. Reddy: No. There are other exchanges also may have applied it, but as such decision has to be taken jointly by SEBI and CERC and that has not come as yet and nothing else. So, this is another area of new products that we are looking at it.
Participant: Sorry to interrupt, but on the steel bar side, can we be as large as copper or...
P.S. Reddy: See, I can't give any numbers and other things. But the point is we are making an effort. Our intention, our effort will be to sensitize the ecosystem, build the ecosystem so that

they will take an opportunity to trade on the exchange platform. Volatility has to come in the prices, then only the things will start moving -- picking up, okay?
And even if I keep everything ready, but if there is no volatility or if there are some, what you call, long-term contracts kind of things, so things may not go, okay? Like in electricity, some of them are PPE. Purchase agreement, long term agreements, sir.
But how much is the long-term agreement? Can they also notwithstanding the long-term agreement still they can hedge their costs, because that long-term agreements are also pegged to some pricing, okay? So that is not hedged, that pricing. They can still hedge on the exchange platform and then secure -- their -- this one, interest. So this is...

Participant: But on electricity, typically, if you see a 3 month, 6 months that market is bilateral for you, if you see today. We have PTC India, who have a lot of those bilateral contracts for the DISCOM. And essentially, the demand is very short-term oriented. And your vagaries of the climate also make the ma

rket short-term, which is why IEX is very,
very active in today, tomorrow, and 11-day contracts.
Are you -- so the visibility on how much business that you can get in 1 month, 2 month, 3 months is something it is very uncertain there. So, while you may launch the contract, but I'm not sure how much business momentum we will be able to get over there. That practically difficulties of operating as a market simple...
P.S. Reddy: We are not -- it's not going to be a delivery-based contract. It's a cash-settled contract.
Now -- if you look at the -- how the prices have moved over the months, then somebody who has -- even if he -- they have a, what to call, an agreement with somebody, but that agreement is also linked to the spot prices or maybe 6 months spot prices or something of the kind.
And we have seen that some of them are linked with the coal prices. Some of them are linked with the, what you call, I'm not able to recall that term, okay.
Now what I want to tell you is there are many private parties, who want to sell their coal -- I mean, the power also on the exchange, okay? They are also not able to sell it.
So, keeping these things in view, my personal view is it should work. It should work.
Participant: Sir, on your call you talked about the existing products which you have. There are issues in terms of margin being more than for the -- or you take offsetting contracts, then also the margin is full. When you have smaller basically duration contracts, which are not there.
You talked about in your call that we will talk about that also. You basically would try to talk with the regulator about that also in terms of after the transition. What is the status over therein, sir? Because that's -- suppose you take off-setting contract 80% margin is there.
So, is there a levy over there or something of that sort on the existing contracts, I'm talking about crude oil or gold or natural gas whatever?
P.S. Reddy: Okay. Currently, in crude oil, about 40-plus percentage is the margin. You have it on natural gas about 30% plus. Internationally, it's much less, okay, less than 10% or 10%

or so. Now the problem is, if we reduce the margin, okay, to increase this one – stress test results will show that minimum required capital, which is called SGF, goes up. So that deficit in that SGF has to be funded by me, CCL and MCX. Now that means we have to dip into our reserves and put that money.
Participant: I'm not talking about that actually. I'm talking about suppose...
P.S. Reddy: SOM, you are talking about. That is a Short Option...
Participant: I take two opposite side contracts on the same side -- then also the margin is full.
P.S. Reddy: So that is with regard to the SOM. That is in the options contract, it is happening. They are asking for that part of it. So we have already represented to SEBI. In equities, given, I think, 25% is the margin they charge whereas in the case of here, 75% is charged.
That is the...
Participant: Here we are charging full, I suppose.
P.S. Reddy: 75% is what I understand, not full. How much? We want to bring it on par with the

equities. Appreciate one point. The approach that SEBI is taking here, you don't pick up on and choose what is less, what you call -- I mean, less premium in equities and then same you implement here. There is our margin. There is another measure, which is about six -- as against three here, okay.
What was that? The Z score or some other score, I don't exactly remember that. It is more there and less here. Then let us make that equal also. Then is that okay with you, then our people say, no, it's not. But we represented to them.
If you go by the risk that is brought by the members to the exchange, or the product is bringing it to the exchange. These -- you're talking about the SOM, but other than that, we have many other suggestions which you have g

iven.
For example, for calculating the stress test results, you take a 10-year window in equities, whereas in commodities, we take 15 years, okay? That means, I mean, the high and low prices are also impacting that. So that we wanted it to be less. And the other part of it is members don't contribute anything here.
The SEBI regulation says, you may collect 25% more also from members, who are bringing risk to the exchange. Currently, we are not doing it because SEBI said, you may. That means there will be a regulatory arbitrage, we take it and others don't take

it, we will have a problem. If they make it mandatory, every member has to contribute, I know 25% of the SGF requirement. So whoever has got a higher open interest on the exchange, they will bring it more and they will take it back also when it is reduced.
So that is not dispensation which we are asking, definitely not happening. So that is another one. So -- but this SOM alone is not the reason for doing it. My view is if you have a short tenure options contract, okay, or serial contract, then it will also address -
- I mean volume will...
Participant: Is that short option also is -- short tenure also is in regulatory purview, right?
P.S. Reddy: It is the regulators have to approve it. When I say weekly or fortnightly, it is not a contract itself is for a week. It will be for a month. It will be serial. That is 5th of the previous month to 5th of this month and 15th of previous month to -- like that. But if you have four contracts overlapping each other, then every contract will expire once in a week, then you will have a lot of sense.
Participant: It's basically more number of contracts actually that also is not approved, right?
P.S. Reddy: No, no. But now we have to -- now we will approve -- we'll approach them.
Participant: But this is slightly innovative, what you're trying to do, having more number of expiry days by not having weekly, but monthly.
P.S. Reddy: Serial contracts are there in other markets.
Participant: No, in India.
P.S. Reddy: In India, we don't have that. Yes.
Participant: So sir, have you consulted the regulator like -- and do you think it is possible.
P.S. Reddy: No, we have already discussed internally and with the product advisory companies also. This is something which they have been recommending, we must do this, I'm sure it will help us.
Participant: One of question was on this gold. So now crude, we have a playbook, where the options have done well and perhaps the reason has been that the margin went up in the future, which has been a placing in disguise. It help your options and options is where the large

part of the liquidity is there. And the other advantage that you have is cash settle in crude.
When it comes to gold, do you think can you replicate this playbook there? Is there a possibility for you to increase margin in futures or it's a set rule an increased margin.
So I'm just trying to understand the playbook is...
P.S. Reddy: You were saying to push the people to go to the options because it is more. I don't think it will happen that way. The play -- we can't play the same conversion ruling here. The reason being is the contract of gold, 1 kg contract is costing you about INR60 lakhs, okay? On INR60 lakhs, the bimonthly contract, the premium on options will be wide.

Participant: You also have mini or launching petals also...
P.S. Reddy: No. We have it. But then on that for us to launch the option contract, you need underlying futures turnover to be certain limit, I mean, certain level, then all you can launch options, okay? So we will be launching -- we will be applying for this. That's what I said, deepening in the existing product line also.
Participant: You don't have options on Gold Mini.
P.S. Reddy:

We don't have, no. We have options to...
Participant: Options on Gold Mini.
P.S. Reddy: Mini is 100 grams.
Participant: Yes. So there also -- and now we are launching petal also.
P.S. Reddy: No, no, that is 10 grams is what we propose. So that will be further lower. So the market size can be kind of reduced.
Participant: Option on Gold Mini, I'm not aware, is it there?
P.S. Reddy: I'm not sure what -- I have -- by the way, you can download our app is their MCX, a mobile app where you will get...
Participant: This is a Gold Mini product, sir.
P.S. Reddy: Futures is there, but he's is asking about options.

Participant: Sir, what you are saying is that the Gold Mini futures volume is less, and that's why you're not...
P.S. Reddy: You need INR500 crores or INR1,000 crores, something of that kind in the rule, then you can introduce only this -- just recently, I mean, recently means last year. But not fully. Yes, it is increasing. Gold Mini, the turnover for -- in the month of options is INR800 crores. So INR400 crores is the -- INR4,000 crores is in the main one in October.
Participant: In October, what was the total volume in the Gold Mini, sir, options?
P.S. Reddy: INR808 crores, average.
Participant: Average INR800 crores?
P.S. Reddy: INR808 crores. Daily. ADT. This is ADT. So last month, it is INR412 crores, okay? And in fact, it is INR419 crores in August. September, it is INR412 crores, but October, it is doubled.
Participant: That is fine, the number it may be improving or whatever it exists. So the bigger point is that your ticket size gets...
P.S. Reddy: Ticket size as well as tenure.
Participant: So it's a bimonthly as of now.
P.S. Reddy: No, no. Mini is monthly. That's what.
Participant: So sir, then, can you have that playbook in terms of making futures less attractive, making options more attractive…
P.S. Reddy: No. Our turnover fee -- our -- I mean, margins cannot be -- it's for a product -- it's for the underlying product, not for contract-by-contract.
Participant: Underlying gold itself…
P.S. Reddy: Underlying is gold, but then in Gold Mini, you can't impose also. If you impose Gold Mini, just to have that kind of crude oil effect on this gold, but in Gold Mini will -- gold main contract will also die.
Participant: No, but that itself is not moving much. So for that -- crude impact is not doing well.

P.S. Reddy: No, no, no, gold -- futures will die. We'll have a problem.
Participant: But even your crude futures is not doing great. It's only your crude options, which is the largest part of – largest driver...
P.S. Reddy: What I'm saying, in gold main, you're saying futures is not doing or options are not doing. But I'm seeing futures is doing better. In fact, most of the OI comes from the gold and the internationally, I mean, our Indian domestic jewellers are not allowed to hedge in international market. As a result, the substantial part of our hedging is from the industry, okay, substantial, more than 75% or something like that. Now, to start increasing the margin, then complaints will go, because we're supposed to link it to

something.
Participant: So the point is that a set formula in...
P.S. Reddy: It's not a formula, but rational should be there.
Participant: Sir, so that's what -- so while it is doing whatever it is doing, but I'm sure the potential is very big. And while in world and India is different, here the options is the main driver. That is not the case. Even if you let go some of your futures. It can be technically a...
P.S. Reddy: It's like bird in hand is worth two in the bush. I will try that and then I lose here and then I lose there, then I will have a problem, because there is a competition also out waiting.
Participant: With this logic, you wou

ld not have got crude options?
P.S. Reddy: No, crude options the way we -- because it's not the others were not there anyway when the crude options came in. Others were not there…
Participant: Different margin for options and the future, because suppose I'm selling an option contract.
P.S. Reddy: Option on futures is okay. But I'm saying Gold Mini will have a different price and Gold Main will have a different futures contract, because you cannot do that. That will not, because if going by the thought that is propagated, then Gold Main will have only 10%. Gold Mini can have a 20% margin so that the people will move, but that cannot.
Participant: Sir, hedgers are mostly in the futures market anyway?

P.S. Reddy: Hedgers are mostly in futures. That's right.
Participant: So introducing an option, does that really cannibalize the hedgers? I mean that part of the industry.
P.S. Reddy: It will impact if I raise the margins in the futures.
Participant: So you're saying that demand will shift to options even from the hedgers?
P.S. Reddy: No, no. I don't think that -- I don't say that, but it's not correct. I don't think we have to balance everybody's interest. But to balance everybody's interest.
Participant: And the second thing, what the possibility of cash settlement contracts in gold?
P.S. Reddy: That may not come, that may not come. Wherever it is feasible, the regulator would like to have contracts in this what we call, delivery based.
Participant: What are you mean as per your own opinion, this means after this, you have said in the call that you're going to focus on business more from after this transition. So, whatever your existing contracts are, which is the product you are most bullish on, means most positive on that this will do well, you want to tinker most or want to introduce movements, which are the things on the existing ones. I'm not talking about the new ones because nobody...
P.S. Reddy: I know, see, copper, we have applied copper for Mini -- and that is something which we are looking at it, Copper Mini. And nickel also is completely died down. We were doing about INR4,000 crores ADT. And now we have asked them Nickel Mini, okay, almost INR40 lakhs is the contract size.
Participant: What is the current pool size of copper?
P.S. Reddy: 2.5 tons. One lot. That is the way it comes delivery. So it can't be lower than that.
Participant: That you're applying for Mini. Mini will be what size, sir?
P.S. Reddy: Mini will be earlier with 500 grams -- no, 500 kgs, 0.5 ton.
Participant: So that you are -- basically, you are saying that will do well?
P.S. Reddy: That is one and then nickel is another one. Nickel also smaller one, not -- we had every 250 kgs.

Participant: And no amount of innovation in say, gold is possible apart from the serial contracts?
P.S. Reddy: We are also planning to introduce our -- I mean, we have applied also to 10 grams also. We have a Gold Guinea 8 grams. 10 grams…
Participant: Petal?
P.S. Reddy: Petal is 1 gram. Gold Guinea 8 grams.
Participant: Petal also you're launching, right?

P.S. Reddy: Petal is already there. Petal, we have…
Participant: But I think on the call you said Petal also. Some new launches ready to Petal...
P.S. Reddy: No, no. Petal is already there. 10 grams is what -- Gold 10 grams.
Participant: That you call Guinea.
P.S. Reddy: Gold Guinea is 8 grams.
Participant: 10 grams is Mini, that is also there.
P.S. Reddy: No, no. Mini is 100 grams. Gold Mini is 100 grams.
Participant: So there will be again suppose volumes take off in that 10-gram option, then there will be option contract on that also because you will require...
P.S. Reddy: If underlying futures increase, then we will launch. We'll launch our everywhere. Wherever there is

a feasibility, wherever we are meeting a regulatory compliance requirement, we will launch.
Participant: And sir, where are the journey of spot exchange and index products?
P.S. Reddy: Spot exchange for gold? You are talking about what for?
Participant: Yes. Gold.
P.S. Reddy: Gold spot exchange that is again stuck in the GST, okay, those issues until they are sorted out, it will not take up because the first guy who is depositing gold, he needs credit back. And he will not get it until -- once it is converted into EDR, and EDRs are

not subject to GST. So nobody will pay. The last guy who is converting the EDR will only pay.
Participant: So 3% will become the cost for the person, first person?
P.S. Reddy: For the first person, but if it is paid back, then there is no problem.
Participant: It would never be paid back because...
P.S. Reddy: No, no. Only at the end, when it is taken out, it will be paid. But he cannot wait till then. It may take two years, one year, how will it be? So we have to address it.
Participant: Possibility of some relaxation there?
P.S. Reddy: Some discussions have taken place. Nothing happened. That's why both exchanges have launched the big brothers, but then nothing happened.
Participant: We have launched...
P.S. Reddy: Spot exchange.
Participant: Spot exchange is launched because GST is a problem.
P.S. Reddy: Because of GST is a problem, nothing happened.
Participant: But if all of them try to kind of lobby for this requirement should not be that MCX is...
P.S. Reddy: No, no. They are trying, but then we have tried for a different model also. We do have a problem. It's not just there. But we have a different problem, GST issues. So we have been approaching the government and requesting them to reconsider the way that it is charged. We are not asking for any concession, not even a single rupee concession. The way it is administered is important.
Participant: And sir, in terms of an index, any index that you're thinking of?
P.S. Reddy: Index products has become a big challenge for us. The reason is, again, the disruption has caused this nickel. Earlier, we were talking about INR300 crores ADT in the metal contracts almost all metal indices or METLDEX. And thanks to nickel, then everything went haywire, and we had to reconstitute the nickel index and -- no, metal index, METLDEX rather. And we removed the nickel from that and then only four metals are now there. And that is to be relaunched. So that is not done as yet. We will do that.

And basically, in the unlike your equity markets, this index is just return index, because already price embedded in the -- this one when derivatives -- I mean, traded price is embedded, what you get is the return from near month to next month and third month, that is the only thing that is reflecting, okay?
Nothing else. So that is the challenge we are facing at this point in time. That is why index products is difficult to get them unless there is an arbitrage opportunity between the index and the underlying contracts.
Participant: We are also looking at having a DMA option, right? We are working on that, right?

P.S. Reddy: DMA, we should be able to do that. That is one thing we are planning to launch. And in fact, it is there in the existing system. We tested and everything is there in place, we will announce to the market.
Participant: But how does it help in deepening the market, because there are some FIIs who are looking at it?
P.S. Reddy: FIIs want to come through via DMA. So that is why we launch them, they will join.
Participant: But any idea how -- what would be the impact of DMA in terms of volume, etcetera? You would have done that study, right?
P.S. Reddy: No. You see DMA is one of the tools that are needed for them to

participate. So, we have built it from day one, because they're in equity markets. Okay. So, we have not done any cost benefit analysis, what is that extra will cost me if I provide the service and then learning of it.
Participant: But FIIs got better commodity exchanges outside India. So, we should not expect much out of it, right?
P.S. Reddy: I don't see that view to be holding good all the time, okay? The reason being is that prices all the time need not move the way that internationally it is moving. There is always an arbitrage opportunity, so point number one, okay? Number two, that your prices are rupee-denominated whereas the international is dollar denominated.
Participant: It would be like dollar-denominated...
P.S. Reddy: No. But then those who are trading in India, they can take advantage of that, okay? Third, there is a calendar spread contracts -- there will be a calendar spread also.

Although, I mean, some of the contracts may be listed in other markets, but the calendar spread may be different here. And they can take advantage of it.
Participant: So, sir, then why AIF CAT III funds that was also allowed a few years back, it did not take off? This all benefits even they would have got it, right? What do you think in your assessment, why that segment did not take off?
P.S. Reddy: No, you're absolutely right. We have been approaching them. There are so many limits on that, okay? Much like mutual fund. Now mutual funds cannot hold other than gold. Even gold also earlier, they had only 30 days, they can hold it, that will be relaxed to 180 days, if I am not mistaken. Now what about other metals, metals is 30 days, your contract itself will take more than 30 days for that metal to go out of your books. And if somebody is holding a calendar spread contract, you will buy it this month, you will sell it only in the far month then he has to hold necessarily for two months, three months, four months whatever it is. So, will that work for them? So, the design of the regulation itself is prohibiting them to participate. That's true for the others also.
Participant: Sir, and just over the serial contract that you're talking about, what is the timeline that you're expecting that can go live?
P.S. Reddy: It will take time, okay? Because one is that, he has to first approve it, regulators have to approve it. And then thereafter, we will work on it. But we have to build that in the system also, we have to make some changes, okay? Actually, we will keep it ready in the next six months' time in the system.
Participant: Take at least one year till...
P.S. Reddy: We can predict, but then I don't want to...
Participant: You already had some kind of experience in the past?
P.S. Reddy: That is the reason.
Participant: Steel re-bar means what will be the -- there also will be some timeline?
P.S. Reddy: Steel re-bars, no. We -- see the day we get a permission, we will take about three months to actually activate that contract, because you need to tie up with the warehouses, you need to do -- make you more...

Participant: There you will require certification also, that will be a footwork you'll be certifying the vendors, right?
P.S. Reddy: No, we will not be doing that. As I said, that's why those, who are empanelled by so and so will be first, they will be permitted. And thereafter, we will start this

empanelment process. To begin with, we'll go by that.
Participant: To begin with, which we will go with the approved vendors of railways and all...
P.S. Reddy: Our railways and MES, Military Engineering Service, and national building construction. They all have some panels.
Participant: Sir, in your assessment, what has led to this increase in crude options volume as your hindsight, what do you think has work

ed?
P.S. Reddy: See, what I'm thinking is, definitely, the margins in that underlying has pushed them to go for this, no doubt about it. The second important thing is that the volatility in the last -- this whatever, one year or two years, it's been higher than what it was in the past, okay? It was in the past. That is the reason why it is...
Participant: Even cash settlement helps?
P.S. Reddy: Of course, it does. For that matter, for any product, cash settlement is an incentive, no doubt about it. Look at this GST, whether I mean, you end up getting a registration means, then you may get delivery in Delhi, delivery in Kolkata, then you need to have registrations at all four places, why at all as a financial player, why at all, you would take all these registrations and then end up filing returns and all that, if you are not interested.
Participant: This rapid rise in these digital brokers, discount brokers that has also made the ecosystem favourable for you. Do you think, that is also helping?
P.S. Reddy: Well, it did help, no doubt about it. But the point is the number of active investors, who are participating not represented by the number that they upload on the exchange, okay? So, when you register with the ABC member, he will say that is for equities, currency, commodity, whatnot, and you may be signing it like them.
And maybe our number may be 1.5 crores or something like that. But then the number is about 6.25 lakhs or something of the time, that is what it is. The number of unique investors, who are trading it. And Mini's will definitely help us more.

Participant: Sorry, what Mini's are you talking about?
P.S. Reddy: Mini contracts will help to bring in more and more investors.
Participant: They're already there?
P.S. Reddy: Only in some, not...
Participant: I thought gold is biggest?
P.S. Reddy: Metals also, we are looking at…
Participant: Historically, the potential that gold has like no other metal can match.
P.S. Reddy: But that is -- I know that. But corresponding with this. I know, that's what it is.
Participant: So, the point is that historically, the potential that gold has, what we saw in '12, '13, no other metal can match with that kind of potential. So, the point is that if gold has not moving up meaningfully, then we expect other metals to contribute, wouldn't that be a little far-fetched?
P.S. Reddy: In fact, I mean, gold for retail participation is fine. But basic distinction that we have to make equity versus this market, this is a hedging, this is primarily for hedging that is for investment, okay? There are so many investors and why are not here. I will have no answer because it's not for us to define or convert this market into a smaller place, and that's smaller lots and then say that everybody should come and trade. No, that's not at all in the interest.
But in the case of metals and other things, I'm looking forward to have more and more SMEs to play a greater role in this. That is what our focus is going to be. If you see in metals, our open interest has increased. I don't know whether you noticed it or not. Open interest is very critical for other players to provide liquidity, okay?
We have been engaging with some of the organizations, which are working with SMEs, so that they need a structure where they can participate without fully knowing the nuances of the hedging. Many may not be knowing it. During the COVID period, many units have been shut down only because of the price for it, okay? That's what the interactions with other industry associations and other things because of this.

So, we are also trying to figure out how do we help them to come through some kind of a structure, which will help them to hedge simultaneously, they in turn hedge on the exchange p

latform on their behalf and not to worry about on a daily margin and all that kind of things.
And when we interacted with one big hedger, in fact they said, I'm not interested in a daily basis, take payout, pay-in deal. I will give you INR100 crores, INR50 crores, whatever it is bank guarantee, the broker manage all my issues, but then that doesn't work here.
So there is a representation also we have made to the government I mean SEBI on this point of view where the investors will be able to big players will be able to give a kind of a, margin in the form of bank guarantee and other thing. And then they should be able to not to worry about on a day-to-day basis, payment of what you call M2M and etcetera. Maybe broker can arrange with the help of some financer or with the bank where that bridge loan or whatever you call it. They will give it and then accommodate them.
Participant: Sir, internally have you done any classification between what percentage are hedgers, speculators or corporates retail any internet?
P.S. Reddy: If it is not in the public domain, I will not be but then we have already done it. We know that. But it varies from product to product. Varies from product-to-product. How many? But this is in the public domain only.
Participant: Yes.
P.S. Reddy: This is different. This is on the website we have to displaying it how many hedgers are participating whether we supposed to be displaying that. But only that information we have it. But then percentage wise we are not bifurcating.
Participant: Sir, what is the single profitability assuming that the margins if you can….
P.S. Reddy: See currently brokers have to physically take out that margin from that exchange and then deposit here. Then only we will give a credit. But there is a, what you call a discussion where the members association, brokers association is asking that they should be able to without be shifting physically the margin from whichever action that it is deposited. If the other exchange requirements are met they should be able to trade on the MCX also or any other exchange for them or vice versa. If the other exchange

confirms yes, I am blocking so much money for this exchange and then they can trade on the other exchange and confirmation.
Participant: How practical is that?
P.S. Reddy: It is practical. But it has to be implemented because after 3:30 (pm) equity markets are closed, and brokers would like to use that surplus that they have in the other exchange. And I think that is something, that idea should work.
Participant: Is regulator receptive about that? Because we are talking about that for a long-time, isn't it?
P.S. Reddy: Industry association is taking up actively with that. It should work.
Participant: Have they been receptive, the regulators?
P.S. Reddy: Of course, they are. They are looking at pros and cons of it. Yes….
Participant: Sir, just continuing on that you mentioned about that INR500 to INR1000 crore kind of a number, when the turnover reaches where you can -- you typically regulators. So, how does that work if you can just elaborate?
P.S. Reddy: Come again.
Participant: When the futures turnover crosses a particular monthly threshold of INR500, INR1000 crore in terms of liquid volumes, right. That's when you launch options, right. So, just wanted to understand that?
P.S. Reddy: INR1000 crores is the requirement for non-agri commodities and add needed the average daily turnover over a year has to be INR1000 crores. It's not a particular day, okay. For agri commodities it is INR100 crores. INR200 agri commodities.
Participant: Okay. Sir, second like you know continuing the question on that crude oil options -- the rise in crude oil options. So, if you are coinciding with a lot of algo trading happening and like bulk participation comes from there. How sustainable do you t

hink
this would be in your opinion?
P.S. Reddy: It is sustainable but some more players are waiting to join because they didn't join

because our technology platform is in transition. Some of the big players have taken membership. Okay. And they are trading through some member or something like that.

And then full-fledged they have not started. They will be starting. It is… interest is growing, not decreasing.
Participant: Ultimately it depends on the volatility, right? I mean volatility…
P.S. Reddy: Of course. That is true for Sensex or Nifty and everything.
Participant: But there is a volatility history in Sensex and Nifty for a long time. When crude it started like two, three years back this kind of volatility. This kind of volatility was not there in crude. So, means ultimately it depends on that?
P.S. Reddy: That's why I said that I acknowledge that volatility is important.
Participant: Just on the cost side that you are cutting down. So, what can be this... you said we'll going to our earlier operating cost?
P.S. Reddy: See there is no link. It is not linked to the turnover.
Participant: Right.
P.S. Reddy: So, as far as the technology cost are concerned that's what the point we have made. And because of this depreciation and other, okay, there will be for the next two, three years, three, four years it will be of the existing order. That's what we've mentioned also. Thereafter it should taper off.
Participant: For the sales, 63 Moons you'll be paying till this quarter right sir?
P.S. Reddy: Come again?
Participant: For 63 Moons you'll be paying till this quarter, right? That is the contractual, right.
P.S. Reddy: Yes.
Participant: March quarter is the first quarter when you will be, on the financially you will be on the new software right?
Satyajeet Bolar: Yes. This quarter also partially, there will be some charge in this quarter because we have gone live from 16th... So, there is some opex should come.
Participant: Opex or means depreciation charges?
Satyajeet Bolar: Opex plus depreciation charges.

Participant: You have actually, in this quarter also, for that one-line-item computer or something there you have taken some expense right.
P.S. Reddy: That is about the laptops and other things.
Participant: Yes.
P.S. Reddy: That is the one time. Anything INR1 lakh and below we write it off the same quarter.
Satyajeet Bolar: Onetime.
Participant: That is the onetime thing, right?
Satyajeet Bolar: For onetime.
Participant: So, in a steady state basis whatever number you have capitalized for the TCS software. So, depreciation on that will be the expense item from FY'25 onwards?
Satyajeet Bolar: From this quarter onwards.
Participant: From this quarter itself, right? because you have now…?
Satyajeet Bolar: Gone live from 16th….
Participant: Okay. So, that will – so in this quarter you will have the depreciation amount on that plus whatever you are going to pay for 63 Moons, both these things will be there?
Satyajeet Bolar: Plus, the operating expenses for the new collection.
Participant: For the new collection? So, in a steady…
Satyajeet Bolar: Next year, October '24 then the AMC to TCS and… one year warranty.
Participant: We are just -- I am just trying to understand in the steady state FY'25 what are the expense items which will be there for the new software. One is depreciation other is the opex for that software, right? In the middle of the year.
Satyajeet Bolar: From October 24…
P.S. Reddy: Second Half.
Satyajeet Bolar: The AMC.

Participant: So, the AMC…. AMC there will be three-line items for the software right which will be -- which will be the cost for MCX. Wh

at is the -- what will be the largest cost option -- cost portion means the opex or the depreciation?
Satyajeet Bolar: Depreciation
Participant: Pardon me.
Satyajeet Bolar: Depreciation will be the largest.
Participant: Depreciation will be the largest. Okay.
P.S. Reddy: Anything else?
Participant: I have one.
P.S. Reddy: Yes.
Participant: What are the operational challenges with like the gold hedging being maximized because I understand it is supposed to happen, but the numbers do not reflect that the hedging is at I mean there is too many entities for that number to not be a higher number. So, what are those hiding, I mean, gold hedging has to be on our exchanges right. So, that number does not reflect the gold tonnage in India. So, like why is that open interest so low for gold?
P.S. Reddy: Okay. Look in a year if you consume 800 metric tons of gold, 800 metric tons will not be reflected. What is in trade is what I mean if it is consumer then it moves out of their books.
Participant: But do you think the number is like genuinely...
P.S. Reddy: So, about 15 metric tons is there and at times we see 30 metric tons on the exchange platform. When everybody does hedging or not, that is a challenge. That is what I am saying 15.97 metric tons, it is as of now that is there on the website also. So, it's 16 metric tons is hedged, and all big players hedge and we have impressed upon the RBI and many others also wrote that the banks should insist whenever they are extending loans on commodities etcetera there, they should insist and that they should hedge their commodity risk otherwise it will backfire on them also when things go wrong. I mean that is something which is very important. We have been engaging with IBA and banks

to enforce this. Because they had given advisory in the case of agricultural commodities, but not for this.
Participant: But sir it's also true that all those 800 metric tons of gold is imported?
P.S. Reddy: No.
Participant: So, do you guys would be basically hedging it on global exchanges?
P.S. Reddy: No, they are not allowed. They are not allowed. What I am saying if it is once it is consumed, as a consumer I buy it out then it will not be there.
Participant: No, that is true. That is true. But anyway, that gold does not trade anywhere?
P.S. Reddy: No, no.
Participant: I am a consumer; I consume 800 tons of gold?
P.S. Reddy: I will tell you… Let us say there is 10 metric tons from Titan, okay. What is there in the inventory in the shops? Now, the moment it is taken out then 10 metric tons will be a constantly. Some of these are coming in something. So, they have to hedge only 10 metric tons. But in a year, they must be selling 100 metric tons. That is the point I am making.
Participant: No, no. I agree… But with 10 metric tons they would not be hedging it on global exchanges?
P.S. Reddy: No, no. None of them are allowed to hedge. All are-- none of them are allowed to hedge. They are doing it. Let me tell you. Repeat major, major players in the country are hedging on MCX. There is no doubt about it.
P.S. Reddy: Done?
Participant: Yes, please.
P.S. Reddy: Okay. Thank you. Thanks to all of you.
Paticipant: Thank you so much.

Call: Nov 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2315 November 23, 2023
The Dy. General Manager
Corporate Relations & Service Dept.
BSE Limited,
P.J. Towers, Dalal Street,
Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX
Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr. No	Investor/Analysts	Date	Time	Annexure
1.	Nippon Mutual Fund	August 16, 2023	04:00 PM	Annexure - A

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl: As above
 Multi Commodity Exchange of India Limited
Meeting with
Nippon India Mutual Fund
November 16, 202 3

Annexure A
Multi Commodity Exchange of India Limited
November 16, 2023

MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – MULTI COMMODITY EXCHANGE OF INDIA LIMITED
MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER – MULTI COMMODITY EXCHANGE OF INDIA LIMITED

Participant: The last couple of years have been challenging for us a little bit due to tech transition and some other regulatory stuff , so now all those things behind, how do you see the outlook? What are the things which you are doing to increase the volume, increase the participation?
P. S. Reddy: I think, as I said in the call also, now that we are focusing more on business growth and some of these contracts which were to be issued earlier, we could not issue for whatever reasons. Now that we will be proposing to launch them, subject to regulatory approvals and we will also look at the penetration into more diverse types of participants, like for example, for FDI category 1, we are permitted, but … 2 is not permitted. We are not done as yet , I think that is one thing , and they are also asking for a DMA facility, which we will be looking at that, and like that, we will be working on it. So, some of the new contracts, w hat to call , shorter tenure d options on the underlying futures , and similarly steel re -bar contract for futures of course , and on the gold contracts, some 10-gram gold, so these are the kind, we can look it. The se are new contracts.
Participant: Which is, I think, this steel bars is something which is very exciting , in China it is very big?
P. S. Reddy: You see, the volume is, with our markets is, most of the spot market s are opaque and the success of the derivatives market or organizing market may not be in their interest . So, there will be challenges , but then we need to overcome those challenges and it will take time to grow , but it will grow. That is what it is.
Participant: Yes, like users f ind value for hedging purposes and…
P. S. Reddy: Absolutely.
Participant: Sir, if you look at overall options volume s… in the future s and like other exchanges, in NSE for example, like the number of times , so in commodities, still options volume seems to be having a lot of room to go up. So, how do you see it?
P. S. Reddy: So, first of all, I don't compare the equity markets and the commodity markets. That is an investment, and this is for hedging. Secondly, the contract sizes are very big in this as compared to the equity markets and so obviously there is a limitation to the ….and the number of people who can participate, etc. , but the volatility in the commodities will continue to remain in the years to come. That is what the report of I MF also says

that. So, keeping that in view, I think there will be a lot of opportunities for the traders as well as for the hedgers to mitigate their risk and traders to actually speculate and provide liquidity in the market. So, I see that way . Will it be as much as equity markets ? May not be…
Participant: Yes, actually you are comparing Apple and Orange s?
P. S. Reddy: Yes, that is right.
Participant: You are a little mindful of that.
P. S. Reddy: That is right.
Participant: But still, from the current level, there is room for it to …

P. S. Reddy: There is room for it , more than a single product, there should be multiple products which we are looking at. So, keeping that in view, I think there is a lot of room. In equities, you have so many distinc t entities . Even if you take top 100 or top 500, that many companies are there for trading. That is not the case with ...
Participant: You need to.
P. S. Reddy: That is right.
Participant: You have multiple duration contracts ?
P. S. Reddy: Multiple duration contracts in options , yes, that is one proposal that we have. That is right.
Participant: Just going back to the options part, when you say quarter duration, they wouldn't be only on the energy side, I think 95 % of your volumes are energy , would you introduce multiple shorter duration contrac

ts or it would be not just energy, but it will be bullion also?
P. S. Reddy: If you s ee, subject to regulatory approvals, we propose to introduce the shorter option contract in other produc ts also, not necessarily energy a nd it will be serial contracts in the sense, one contract because as far as the SEC C regula tion can't be less than 11 days, okay . So, you will issue multiple contracts expiring in every week. So, you will

introduce 25th December to 25th January, maybe 15th December to 15th January. So, in terms of tenure this contract is one month, but the expiry is weekly expiry you will get it, a serial contract is called now, a serial expiry. So, that will give a larger room for play.
Participant: I don't know, whatever I understood that when you say you have weekly expiry , that is what you are talking about, i s it allowed on futures? On futures you wi ll have to launch futures contracts also for …?
P. S. Reddy: No, now the same underlying futures you can launch by multiple options.
Participant: You have two months…I don't know….
P. S. Reddy: You have monthly future s contract , curre ntly you have. Crude expires on 20th or 19th of every month. So, there are four weeks from the time it is launched and from the time it becomes near month, one month is there. So, every week one -one expiry can happen.
Participant: On the option s?
P. S. Reddy: Option expiry in the underlying f utures.
Participant: Why do you need a regulator approval for this?
P. S. Reddy: That is what the rules are like .
Participant: So, for any new contract because ultimately energy is …
P. S. Reddy: Not only new contract , even existing contracts where we do not have a permanent and continuous approval this one , you need to submit a calendar of one year or whatever it is, approval , to get one thing we prove that . Then you keep on issuing it depending on the minimum number of contracts that should be there at any given point in time.
Participant: The other thing I had is, if you just double click on this site and energy , look into the option, is there a hedging element ove r here or most of it is in trading ?
P. S. Reddy: There are a few hedge rs, because if it is only speculators , there will not be open interest. There are open interest s also there, even in contracts. Then the open interest is

somebody who thinks that they have some position in the physical market, then only they will keep the open interest s.
Participant: But the time horizon for s peculator might be 20 days, 30 days, so that would also happen.
P. S. Reddy: Day speculators , they square it off …
Participant: I understand that, but I am saying …
P. S. Reddy: If they happen to be speculators , notwithstanding they have a hedge position, be that so. They may not call themselves hedge rs.
Participant: So, the question was , is there a risk to the nature of trading , in the sense if there is a short on oil , does it mean that we will see drastic business in this volume, whatever we see, sustainable or not, that is my ultimate question to you. I am not getting into speculat ion and all , the question is, is this sustainable or not?
P. S. Reddy: Yes, that is where the sustainability comes, where there is an open interest, sustainability will come , because those people who have an open interest, they have to square it off. Anywhere somebody sells his position , so, somebody has got a buy-

position , that means he also has got a sel l-position open interest , isn't it? And so, they need , I mean, the open interest is the one which makes the people to short in and then short out. Now , if you want to exit and there is no liquidity you will have a problem and because there is an open interest , people tend to give you both.

Participant: Just continuing on this, if you increase in short duration contract s, would it be only on energy platform or…
P. S. Reddy: As I said, depending on the regulator y approval we have ...
Participant: Your intention is to launch multiple commodities ?
P. S. Reddy: Subject to the approval of th e…, yes , that is right , but we need to see traction in one option contract, then we can introduce many .
Participant: So, multiple durations or multiple …?

P. S. Reddy: Multiple durations.
Participant: So, first maybe you will introduce some one-month contract , then see the traction and then go for weekly , that's the… ?
P. S. Reddy: Weekly or fortnightly ...
Participant: When you get into this weekly contracts, so does it like… lot of … so how the GST thing actually … is it the… ?
P. S. Reddy: GST will come in the way only when it is a delivery -based contract . Cash -settled contract there is no problem. And in the case of weekly options contract, option will become on the expiry become f uture, provided they don't close it up. Then the f utures will continue till the end and then only end may , the deliveries will come.
Participant: So, with this way of introducing multiple options like, will it encourage a lot of people who are not participating because one, it makes the duration …?
P. S. Reddy: Because the CT T is smaller and the margin in the future s contracts, margins are high whereas …, of course …, to the existing cost of trading is less .
Participant: So, do you consciously analyze the nature of participa tion and we try to improve the overall quality of participants ? For example, in gold, still lot I think , is happ ening outside India?
P. S. Reddy: In gold, it is not permitted. RBI banned. It is the other way. Maximum pitching happens in the industry.
Participant: The corporates are fully using, there are some other ways where they …?
P. S. Reddy: At least, I mean, whosoever is complaint with the law, they are all doing it here. We are all doing it here. We have a few metric tons of gold open interest on the exchange .
Participant: Looking at the depth of the gold market, you feel like we are attracting …?
P. S. Reddy: Yes, how much is the hedging? You published, no?
MCX support team : Sir, we have given that in the press release.

P. S. Reddy: Not in the press release. Daily, do you put up on the open interest o n the website ?
MCX support team: Yes, we have that .
P. S. Reddy: What is that number? You have it, no? Harmesh Mal ade sends it…
MCX support team: Today's email, sir?
P. S. Reddy: Today's email is yesterday s. Anyway, go ahead.
Participant: How do we increase the participants of foreign portfolio investors , sir?
P. S. Reddy: I just said , they are looking for DMA facility and I think with that they should be able to come. Let us see.
Participant: How soon er that will happen, the F PI participation ?
P. S. Reddy: We are looking at … no FPI is in line. That is already there in our system, we have to activate that.
Participant: Category II and category III of FPI is also ?
P. S. Reddy: Category II is also already available; we just have to activate it.
Participant: But w hat is stopping us from activating, we are just waiting for the new platform to get settled.
P. S. Reddy: That is what we think , that is what .
Participant: Sir, these three -four measures you mentioned about the …
P. S. Reddy: One minute…8 tons, no? What is it, 8 tons? It is an open interest, 15 metric tons of gold, that too , 1 kilo bars. There are others also.
Participant: I don't know, earlier I used to think given gold is a global commodity and India has this CTT, there is cost of trading, right? You have CTT which is very unique to India, wh

ich
is not that globally , are FIIs very keen in participating in this exchange or globally they find other exchanges much more lucrative from a first of trading perspective , how do you think of them ?

P. S. Reddy: Well, that is one way of looking at it. If crude has to be hedged or traded, why not trade in international market s, but there are also , what you call ... by trading , somebody who is trading India, there also , some margin they are earning , isn't it , so they will be earning that also here, that is number one . Number two , there is a calendar spread , in bits are there , and t here may be some in the US , some may be here also calendar spread , ok, and they step in and then they buy near-months and the far-months , vice versa, whatever, they are doing it.
Participant: But that we could do at the international exchanges ?
P. S. Reddy: If the price difference is more here, then they will do it no , and it is in Indian rupees , that is in dollars.
Participant: One question I don't know … earlier whenever I used to look at this, there was this angle of GIFT city… that is what you call GIFT city because of the tax … which are sitting …in the GIFT city ….
P. S. Reddy: Most of the people who are trading here for all these years , leave aside the FPIs who recently permitt ed, they are all domestic. Gift city domestic players are not allowed except for the LES… or whatever.
Participant : So, Gift city you will not be a majo r….
P. S. Reddy: We don't consider them …, as of now there is …
Participant: Would you say, from your exchange ADTO , how much is retail, how much would be pure retail I don’t know that… how much could be…
P. S. Reddy: You have disclosed it?
MCX support team: No, we have not disclosed it.
Participant: Indicator, can you just tell me, I can make predominant is a retail for you? Are you retail oriented or?
P. S. Reddy: Algos are major ... Algo players are there, no? Algo is 52%, non-algos is 42 %... 48%
Participant: But Algos could be both, right? It could be prop rietary well as institutions, isn't it?

P. S. Reddy: Yes, but you see the prop rietary 47 and client is 52 …the other way it is coming to.
Participant: How much pure retail for you ? Very difficult for you to….
P. S. Reddy: I only said client that is all, it could be….
Participant: …I don't know. I mean, obviously, some of them are UHN I, HNI. How many individuals who are trading?
P. S. Reddy: I don’t have the idea …
Participant: So, the reason why I am coming to this is , when we look at certain discount brokers, when we look at their market share, whatever they publish, that seems quite high , the disclose d number is 50 -53% of, or he has a commodity market share of 50 -50%. I am just trying to understand obviously he is only retail; they don’t entertain institutions …
P. S. Reddy : 50-52% of what? What is the universe he is taking ?
Participant : That is what I was trying to get to.
P. S. Reddy : What is the universe he is taking?
Participant : So, there are three, four drivers which you mentioned, right? One is obviously a short - term contract, second is your number of products which you can add, third is the F PI, and we give them the DMA facility.
P. S. Reddy : FPI and other, the AIFs also , and all that.
Participant: Of all these three , which you think would be a major driver of your volumes, I mean, which can trigger really a 3x, 4x, 5x kind of increase in volume s?
P. S. Reddy: So, I would not like to put any number on that.
Participant: Just the trend -wise, which can be potentially the largest ?
P. S. Reddy: No, see, again, we have not done any market survey as to which product will fly and then which product will not. When we look at it, again, we look

at the utility of the
product to the market hedge rs, especially the industry , whether you benefit or not.
Other players like traders and other things, they will anyway come if there is adequate

liquidity, etc. , and so keeping that in view, whenever we introduce a new product, we look at what is beneficial in the market. That is the main thing , not the trader perspective, honestly not the trader perspective. The second is the entry of these new players, category II FPIs and other things, a nd I think it is too early for me to assess the impact of it and the y are big numbers currently operating it. But more important for me is some of these Algo players who have not participated as yet on the exchang e platform, they were waiting for the exchange transition to happen so that they can step in and then also , they don't need to develop twice the platforms , one for the old system and for the new system. So, some of them are looking at now, they have become members, but they have not started, now they will start playing games. So, that is another dimension of the distribution part of it .

Participant: At present, at the broker level, is there a fungibility for margin between equity and commodity very seamless? Do you see that being addressed?

P. S. Reddy: You see, fungibility will not happen because the way that we are looking at is, the suggestio n that we have given and then we are asking is not approved or anything like that. The numbers have , out of 3 :30 (pm), capital left in the other exchange , without physically moving that capital to the MCX , we are looking for some kind of fungibility where the NSE can block or BS E or any exchange , it blocks at an amount , to the extent that you need it. That can be confirmed to us. This member and these a re the clients who have got an excess capital. Then if the member want ed to exercise that, use that, they should be allowed to use that. In the formal sense of f ungibility , that is not what we are looking at , but the recommendation and suggestion of members also and the industry bodies also suggested… let's see.

Participant: Is there a resistance towards this one?

P. S. Reddy: No, resistance may be there from competition, but not from other ...

Participant: So, third, on the contract pricing side, at least on the futures, prices have been very stable for last 6-7 years, around Rs. 20 … do you see any room for increasing the pricing? Usually in the equities they change every 5 -6 years, 6 -7 years . what is our …?

P. S. Reddy: We have not thought of it , but the more important is , every pricing, it also impacts them because the trade will be profitable after meeting the expenses that are being paid in

the form of taxes or cut off. So, to that extent, the debt may come down if you increase the pric ing, liquidity maybe ...

Participant: But it just may be a part of the overall cost, right?

P. S. Reddy: That is what you and I think. I wish that others also think that way so that we will get benefit ed.

Participant: But there is no internal pricing mechanism which we follow, let us say, as a discipline. Let us say every 6 -7 years we take a 20% kind of increase or something like that ?

P. S. Reddy: No, we have not done that ... I don't think 6 years is...

Participant: No, generally any time for that matter ?

P. S. Reddy: We have done it in 21.

Participant: I think the future s prices have been very similar right at 20 odd thousand crores ….

Participant : They have gone Rs. 20, 0000 crores right , in the last 5 -6 years. Only options have done very well , but that has been the biggest. So, there is no set mechanism, it is just we take a decision with the time.

P. S. Reddy : See, I have been asked the question , to impose on options t

he charges for a long time,
unless it touched a minimum critical mass of 7000 -8000 , so they are not imposed and after that, I think we should allow that maturit y to get i n, then we can do that.

Participant: This question only, last 6 years future s…ADT…

P. S. Reddy: ADT no, he is asking charges.

Participant: But that is on ADT only ? You charge on ADT only …

P. S. Reddy: I know, but charges, slab structure is not changing, irrespective of the ...

Participant: Last 5 -6 years, future s ADT has not go ne anywhere ?

P. S. Reddy: No, it went up right up to 33,000. It has come down because of the peak margin that has been introduced. Upfront margining has been introduced …. Then brokers have not

sustained , and it is imposed quarterly , 25% upfront margin, 50% upfront margin, 75%, 100%, with the 100% then they …. and margin being very high , then there is no ...

Participant: I didn't see this , in fact in the equity exchange it is the same right , but in equity exchange we are still seeing futures ADTO move up not, but not to that exten t it should have… ?
P. S. Reddy: But equity markets f utures is not big , options is big and that is index option.
Participant: That is true, but I'm saying, 83, you're saying from 33 , 18, 20, whatever, went down but they are back to th eir level ?
P. S. Reddy: No because people have shifted from the futures to options, that is so, whil e option s is good , you want the f utures also should now remain at this one .
Participant: I think it is almost a year now where the 2 years has been digested. I think it was September 22 where the 100% rule came and it got to 100% if I am not wrong. That is my opinion. It should have gone up but even this quarter, I am just trying to think about what is really happening on the future s side, where you have not seen this kind of traction, the way you have seen on options, and it's been great ?
P. S. Reddy: Because the margins are also very high, no? Crude is 40%, NG is 30%, if this 40% -30% continues quite for some time, upfront margin of 40% -30% is not a small number as against equity market s so, you don't have this kind of margin.
Participant: Did you see lot sizes help or that also you have to go to the regulator ?
P. S. Reddy: We have to go to the regulator, that is how we have introduced mini. Our mini's have picked up.
Participant: And I was just thinking, when you introduced short -term duration contracts, the premium on options as the percentage … will be reduced ?
P. S. Reddy: Will be reduced.
Participant: … which drives volume ?
P. S. Reddy: Volume, the shorter ones. Shorter optio ns contracts…

Participant: Because the …
P. S. Reddy: Premium is small .
Participant: But does that mean f rom revenue per se?
Participant: Do you see today, I think it i s 1.8%, right, on the notion premium, percentage of notion is around 1.8 to 2.4 % whatever that range is now ?
P. S. Reddy: It keeps varying.
Participant: Absolutely. So, when you introduce shorter duration, this 1.8 will go down, right?
P. S. Reddy: But you get ...
Participant: That is okay, but sir, then you will also see volumes of longer duration actually it might not be that revenue accredit ed to you, the same what I am trying to get to and maybe you can correct me, if you are doing 100 of volumes, basically Rs. 100 of volumes over there, where you are making Rs. 2 , on the shorter duration , you will make Re. 1, but the volumes have to be actually 200 or 2x to make the absolute amount.
P. S. Reddy: See the quantum of premium may be less for a week ly. Quantum of premium may be less, but our rate per lakh will remain at Rs. 40 and Rs. 50, two slabs are there , so slabs do not change , but this particular volume what yo

u are talking about will reduce , but then you have four weeks , somebody which is four weeks , currently it is one monthly contract , 4 times, more than 4 times it will be because more greater participation will come in.
Participant: So, you are saying, despite the loss which we face from that 2 months going to 4 weeks , the volume s will increase so much actually that will b e to…
P. S. Reddy: It will not be less than at least 4 weeks; 4 weeks is equal to 1 month. Even if you break it into smaller one, the sum of 4 weeks will be at least 1 month , but my expectation will be much more than the one month only , premium amount , because the better participation, yes.
Participant: Premium amount ?

P. S. Reddy: Premium amount only we are adding.
Participant: At the regulator end, like the process of giving approval for new products, like is it very smooth, does it take time or like it takes time to, for the first time we will see so many innovations kind of , so initially will can it take more time and then?
P. S. Reddy: No, b ecause of the tech migration we have not introduced this one , but now it should be faster , regulatory approval s. There should not be a problem in the rest.
Participant: The tech migration now, absolutely we are like, where we stand ?
P. S. Reddy: Fairly stable, that is all I can say. Fairly stable , there are no problems.

Participant: Our arrangement with F T will parallel ly continue for this financial ?
P. S. Reddy: No, it is only for two quarters, no?
Participant: Remaining two quarters ?
P. S. Reddy: No, till the end of December, c urrent quarter only , nothing else. You want me to pay one more …?
Participant: No, we don't want. No, I know it means now, this is like, in December it will just come to end and is there like any compensation mechanism for the …, finally, can we get damages from the software provider, or any contract , any clause is there ?
P. S. Reddy: As such, it was a one -sided contract when it was entered in 2014. So, obviously, if the re is any clause, it will be in their favor, not in our favor.
Participant: Can you rem ind us , after you migrate to the , you already migrated to the TCS platform, software support charges goes down by how much, fixed fee you pay to them, to AMC ?
Satyajeet Bolar : We pay AMC ...
Participant: How much is that?
P. S. Reddy: We are not disclosing that, AMC charges.
Participant: It's a fixed AMC… Irrespective of what volumes you do …?

P.S. Reddy: Yes. It is based on the contract value rather than ...
Satyajeet Bolar : We have fixed it for 5 years…
P. S. Reddy: Beyond five years also…
Participant: Will it be lower than technology expenses which we have been incurring in the range of Rs. 85 to Rs. 90 crores prior to the…. in FY22 , I think the technology expenses was typically Rs. 85 to Rs. 90 crores ?
Participant: In terms of the way AI and all are picking up, h ave you evaluated how much of the operating expense has caused in terms of getting better product ivity, so how much more efficient can we be over there …
P. S. Reddy: I am not too sure whether we can reduce the expenses on the manpower and other things. In fact, it will keep some , incrementally there will be some rise because the regulatory compliance requirements are increasing day by day and so the bigger, we go, the expectation from MIIs is that you should be able to have complete control over the brokers also, so most of the time, to the extent ...
Participant: You are responsible even if the brokers are not compliant ?
P. S. Reddy: Compliant, so that is where our focus should be. So, you must ensure, and you sit there and kind of monitor or automate the processes and whatever is happening, you should be abl

e to know all activities, that kind of expectations is there from MIIs . So, something of that kind, so obviously we need to increase , while automation is good , but beyond a point automation doesn't help.
Participant: Just on this SGF that we saw in this quarter , what is it really and is it a recurring, or it is linked to the volume s which we do on the exchange?
P. S. Reddy: It is linked to th e stress test and sc enarios that maybe… different scenarios I don't know how many more , maybe 100 or 90 or whatever. So, but also they take 15 year historical high-low prices for each product and then also they consider how two members going first and top 50% of the open interest members have positions going first and if you have to wind up those positions and all of them, what will be the loss, we will bring it

after accounting for the margins that you have collected , that is what is you should be providing for in the form of ...
Participant: But this is the recurring co st OI keeps on increasing ?
P. S. Reddy: If OI keeps on increasing, then this will increase , vis-a-vis w e have to increase the margin s.
Participant: That sets up the requirements to be put ?
P. S. Reddy: That is why we have not reduced crude oil and NG margins from 40 to 30. We are at 30 to 20 because of the SG F requirements. So, it is good to have a problem because as I said open interest is the one which brings more liquidity to the exchange , but this is ….
Participant: This formula is based by the regulator o r …. the formula is already known to you.
P. S. Reddy: Everybody.
Participant: … whenever there is what you call expiry ?
P. S. Reddy: It can average for the whole month; open interest will have as I am speaking of open interest is Rs. 46,000 crores and whenever there is what you call expiry, the crude oil

absorption will expire. Then it gets closed down. Then it will again build up. The future s will expire on the 20th of the month. Then again that will go down. Something else will be ticking in.

Participant: This is something , you can't increase margins, right? You increase margins first …

P. S. Reddy: We increase margins, but then again, then cost of trading will increase. So, the way that we have to look at is, particularly I don't mind you contributing more to the SGF, reduce margins, increase volume. What you earn on your funds is 7% -8%, whatever it is, that is by deploying funds there in the form of by reducing margins more trading volume goes up. The revenue will be much higher. You need to do the trade off all the time.

P. S. Reddy: So, it’s done? Thank you. Thanks to all of you.

Call: Nov 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com
MCX/SEC/2309 November 17, 2023
BSE Limited
Department of Corporate Services
PJ Towers, Dalal Street,
Mumbai - 400 001.
Ref: Scrip code: 534091 Scrip ID: MCX
Subject: Transcript of the “Earnings Conference Call” with investor(s)/analyst(s) on Q2 FY-2024 results.
Dear Sir,
Please find enclosed herewith transcript of the “Earnings Conference Call” with investor(s)/analyst(s) held on Thursday, November 09, 2023 at 16.00 p.m. (IST) on Q2 FY-2024 results.

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,
For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl.: As above

“Multi Commodity Exchange of India Limited
Q2 FY24 Earnings Conference Call ”
November 09, 2023

MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – MULTI COMMODITY EXCHANGE OF INDIA LIMITED
MR. MANOJ JAIN – CHIEF OPERATING OFFICER – MULTI COMMODITY EXCHANGE OF INDIA LIMITED
MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER – MULTI COMMODITY EXCHANGE OF INDIA LIMITED
MR. PRAVEEN D G – CHIEF RISK OFFICER – MULTI COMMODITY EXCHANGE OF INDIA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Multi Commodity Exchange of India Q2 FY24 Earnings Conference Call. Joining us on the call are Mr. P.S. Reddy, Managing Director and Chief Executive Officer, MCX; Mr. Manoj Jain, Chief Operating Officer, MCX; Mr. Satyajeet Bolar, Chief Financial Officer, MCX; and Mr. Praveen D G, Chief Risk Officer, MCX.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressi ng star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. P.S. Reddy, MD and CEO, MCX. Thank you, and over to you, sir.

P.S. Reddy: Thank you, Madam. I welcome all the participants in this analyst call. This quarter, as we, or rather in the current quarter, we have launched the CDP platform. This is what we have been waiting for , for the last two years and eight months. And finally, it has been fructified . And I'm grateful to the regulators, market participants, the clients and the TCS technology partners and other vendors who have helped us in scaling this height . Of course, my Board and… and Udaan committee members, they all stood rock solid and supported the management and the management team in this process of data migration or rather technology migration.

And more important, and I count on it many a times, the well -wishes of the shareholders and the other stakeholders of the MCX , who have been desiring that we should scale greater heights, and they wish ed me on so many occasions . In whichever way they could help, they help ed and I'm grateful to all of them for supporting us.

And also grateful to all the people who have reposed faith in us , that we may fail once, we may fail twice, but not all the time. And that's how it happened. Maybe we were not able to meet the expectations on two other occasions when we plan ned to go live. But this time, we have been successful, and there's hardly any problem in the system that we are running. And we have completed one complete cycle of deliveries, expiries, margin competitions, whatnot. Whatever the complexity that is involved in running an exchange has been done , and successfully . Maybe sporadic events may be there confined to a particular member , and that we have been addressing . And we have , as late as yesterday, we have even address ed the latency issue also. And now it is much faster. And , I think , we are expecting the volumes to be , contract s, as much as we had prior to the launch of the platform , that is from -- in the first half of October, what are the volumes that we have clocked, we expect the full volumes to come ba ck. This is on the CDP , that is , Commodity Derivatives Platform.

Having said this, I'm also seeing , I mean, this quarter, that is the quarter ending September , and the quarter ending December , will have a major impact of the payments that are made to the previous technology vendor, which is already disclosed to the market participants , and its impact is pretty huge. This is one important reason , for which reason the stock has -- I mean the financials have seen a hit.

The second one, of course, it's good to have a problem , in the sense that we had to contribute INR11 crores -odd, we have contributed to SGF. And the SGF contribution is needed because the open interest on the exchange has been increasing. That means people are sticking on to the platform, and they're keeping their positions open -- and they know that this is the platform where they have to hedge their risk, the commodities exposure that they

have.

So obviously, that is the requirement, SGF is a requirement of these regulations. So , we have to comply with it, and we'll continue to comply with that. But it's not something , although , it is an expense, it's not something that we have lost this money in that sense. So , it is just par ked maybe , in another bucket called SGF.

I would not like to take much of your time. Probably , as we go along, I will answer questions. Maybe more details will be furnished. I think I request you to open it for questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: First of all, congratulations on the technology shift that has happened finally. And sir, my first question is, so as we have achieved the transition. So how we are seeing the

pipeline in terms of product launches? Because as we have said earlier that we have a lot of approvals that you have received in terms of launches. So, if you can throw some light on the product launches? And also, I have a follow -up that I will ask later, sir.

P.S. Reddy: Okay. Product launches, yes, we have certain approvals , and we are going back to SEBI to get that renewed, okay? When I say renewed, it's not that it's expired or anything of that kind, but just to revalidate that we are going ahead with this launch. So, we are in the process of doing that. And once we do that, and thereafter, we will launch all the contracts.

The more important at this point is , the steel TMT bar contract. That is something which we propose to launch at the earliest. And let's -- and I will spell out and of course, we will inform the market participants well in advance when we launch other contracts.

Amit Chandra: And sir, we have the Index options approval sti ll we have received at the early part of the year. So , like for the Index options, we will have to renew it again from SEBI? And also, what is the possibility of the weekly options because we are also thinking of reducing the tenure of contracts and also launching some shorter duration contracts because , if you see what is happening on the other exchanges, so the whole volume is shifting to shorter duration contracts. So , what is your view on it? And how the regulators is actually looking at it from the commodity angle? And also on the like mutual funds, PMS and FPI participation, we have seen some traction there, but still , it's very small on a portion of the overall volumes. How do you see that improving? And after the launch of the new platform, can we see some traction there?

P.S. Reddy: Yes. So , the first question is with regard to Index options. Index options regulatory enablement was done. We have never said that we have applied it or got it because you need again, there also , INR1,000 crores of -- there is a -- I mean we have to of course, make an application. Given the kind of volume that we have in this, we have not made an attempt as yet. And so regulatory enablement is what is done. That's the

only thing that has happened. So, we have not as yet applied.
Coming back to the other contracts, as I said, we will be launching them as and when -- I mean, we need to see the ecosystem also. And accordingly, we will launch them.
The smaller contracts, yes, it is required, tenure, and we will -- the smaller means in

terms of tenure of the contract , should be not monthly or bimonthly, it could be smaller. And I think that is something which , we had on e contract, gold options for monthly contracts on a bimonthly contract . That is something which we have to , work on that , and then we'll launch that. And the small , still sma ller ones , will be for

tnightly
or weekly. I think that is yet to be taken up with the regulators for approval . So, this is what it is.
Amit Chandra: Okay. And sir, in terms of the increasing competition, I know we have the dominant market share. But the regulators allowed the other exchanges to launch options and despite they were not fulfilling the criteria for the launch. So how do we see it? Is it a risk for us in the -- like in the medium term? And also , in terms of the SGF contribution based on how SEBI has been approaching this and asked all the exchanges to increase the SGF on the equity side also. So based on that calculation, 5% of the total amount of exposure that is there has to be there in SGF . So based on that, the exposure that we have, the SGF comes to around INR1,100 crores or INR1,200 crores , Sir. So, do you think that SGF will move in that direction?
P.S. Reddy: Well, with regard to the first question, whether the competition is scary , and well, we would like to live in the comforts of monopoly -- but then , competition teaches us, or strengthen s our will power , as our ways of doing business, and that's how we are fortifying ourselves. So , to that extent, yes, we are not worried as much as it is made out to be. But yes, we have to be on guard constantly and then see whether we are slipping anywhere on the business front and then take necessary step s, corrective steps if there are any slippages .
On the requirement of SGF, I'm not too sure where this 5% requirement has been prescribed. There is a formula at this point in time. And currently, the requirement, we have been -- whatever keeping , is about INR560 - INR570 crores of SGF required. That is a minimum required capital. And as such, you add what you call penalties and others, the SGF cover is almost INR744 crores , we have.
So let us see, as we go along, we need to keep on strengthening it. Probably , members also contribute. This will further get strengthened. But that should be made mandatory across the exchanges, then only there will be no regulatory arbitrage . Otherwise, it will be -- it will not be good.

Moderator: Thank you. We have a next question from the line of Devesh Agarwal from IIFL Securities. Please go ahead.
Devesh Agarwal: Firstly, man y congratulations on successfully completing the transition to the new platform. So , my first question is , we have seen some moderation in volume s, post the shift to the new platform. If you can share some details of whether this is on account of some lesser functionalities on the new platform compared to what we had on the older platform. And is there any p ath, still by when you will be able to give the complete functionalities to the market?
P.S. Reddy: I don't attribute this to any functionality, okay? Those functionalities we have seen actually when we have decided -- taken a decision not to release those functionalities . We have taken how many members are trading , how many clients are trading in that , there's hardly any number, okay?
I mean in one of the contracts it was six clients were trading, okay, six members were trading, and that to volume was about INR20 crores, something of that kind. So , it doesn't make any sense for us to launch that contract, actually, such kind of things are coming in the way of a scale -up of the technology, okay? And I will explain maybe a little later as to what is the scale up that is happening. That's one part of it.
Yes, as I said, the period from 1st October to 13th October, if you see , the volumes were , options especially , they were pretty high. If I'm not mistaken, it is 1.3 lakh crores, 1.3 lakh crores around , the first part of it. And yes, after launch, there are some

issues some members face that there are more to do with the some of the latency or
some of them may be related to , what we call , some data p

ackets, order packets, not
the trades, getting delayed response, okay? These are the things that were
experienced. As I said in my introductory remarks, they're all fixed , behind us. I'm sure
we will see good volumes provided there is volatility. That's important. The underlying
fact is that.
Devesh Agarwal: And secondly, sir, I think I missed, what did you say about the monthly gold option
contracts. Is that what something that you have taken up with the regulator already?
And can we see that this will launch over the next two-three months?
P.S. Reddy: Yes. I said that contract is already there, and renewal is what is applied. And we will
get it and as and when we get it, we will be able to introduce.

Devesh Agarwal: Okay. Also , sir, this 16 , October, you would have capitalized the amount for the new
platform to the CDP. And I'm assuming from third quarter, the depreciation and other
related costs will come in , into the P&L. So , can you share what is the total amount
that has been capitalized and over what period would we be amortizing this?
P.S. Reddy: No, I think when we announce the results for the third quarter, we will definitely give
those details. But more importantly, this is amortized over a period of five years to
eight years. That's what has been the policy , depending on the item.
Devesh Agarwal: All right. And finally, sir, on the SGF contribution, which we've seen in the month of
September and again in October, INR14 crores, any -- basically numbers , that you
could share that would this be more of a recurring theme going forward? And should
you build some INR20 - INR30 crores of quarterly kind of a run rate for this?
P.S. Reddy: As I said, this is not something which is an expense. Although , it is accounting
treatment as an expense, it's not going out of our hand or anything like that. And it is
required for the growth of the business , is what is -- what we are looking at it. And so ,
we need to look at it positively, not as a negative. And whether -- is it going to be a
recurring or not , I will not be able to comment, the reason being is, in the last three
years, we did not contribute because the open interest did not g o higher. Now as I'm
speaking, the open interest is almost 40,000 crores , maybe in the last several years,
maybe five years, six years, eight years, maybe it is the highest ever. So maybe prior
to CTT, what was the number , I don't have it readily. But at this point, in time, this is
something -- it is a high -water mark is what we are clocking , I think the other day saw
even 43,000 crores also. So , if the business is grow n, people retain their open interest,
I mean, for trading next day, whatever it is. I think it's good for us. Good for us, more -
and-more traders will be attracted. The open interest is one key criteria, key
parameter. Otherwise, only day traders will be there. So , coming back to the question,
will it be a recurring? Yes. If it keeps on increasing it, open interest, it will be recurring.
But if it stays at this point in time at 40,000 crores or 43,000 crores, whatever it is,
then it will not be recurring.
Devesh Agarwal: Understood . And sir, finally the accounting question and then I'll go back to the queue.
First is the interest income that we earn on this SGF balance , you said we have INR740
crores of SGF balance . Does that flow to the P& L, or it does not? And the expense that

we incur in the quarter, this quarter we incur INR10 crores , INR11 crores , do we get
tax deduction on this?
Satyajeet Bolar: Yes. I just take it. Yes. So , the interest income that we earn on SGF is ploughed back
to SGF. It's not routed through the P&L and the contribution that they made to SGF
would be an allowable deduction

in our income tax return.
Moderator: Thank you. We have our next question from the line of Prayesh Jain from Motilal
Oswal. Please go ahead.
Prayesh Jain: Congratulations on a successful transition of the software. Firstly, on the -- just a data -
keeping question. What was the options revenue in the quarter?
Satyajeet Bolar: Yes. So , during the quarter, we are INR82.8 crores on options.
Prayesh Jain: And for the half year?

Satyajeet Bolar: I don't have the half. Yes, so it's INR82 crores plus INR64 crores.
Prayesh Jain: Okay. Got it. And sir, just continuing on this SGF bit. You mentioned that you had a hit a high of INR43,000 crores of open interest. So , what are the next thresholds levels do you -- would you see before you would have to contribute incrementally to this SGF?
P S Reddy: See, whatever is the high that we have got it. I said INR43,000 crores , it's around. It's not a -- I don't have the exact figure right now. So , the high -water mark will always remain, and if it is below that, then we don't need to contribute. If it crosses in the new -- what the high -water mark is kept, then we have to actually contribute.
Prayesh Jain: Okay. And sir, in this transition -- before this transition, there were certain aspects of the regulator regarding -- one was, obviously, the SGF -- partial withdrawal of SGF. Second was, I think the -- if you have a net position on the equity side, you ar e allowed to give net margins. But on the commodity side, you have to have margins on both the positions. So , you wanted that kind of approval as well.
And thirdly, there was another thing where you were looking for interoperability of margins between BSE, NSE and MCX. So , any of these talks that would have started with the regulator? Or how should we see this kind of evolving over the next two or three quarters?

P S Reddy: I'm sorry, I think you need to repeat …
Prayesh Jain: Sir, before the transition happened, I think we were in discussion with the regulator for two or three aspects. First one being the partial withdrawal from SGF. Second one was the fact that the way we see it on the equity side where you have to have margin s based on your net positions rather than margins on both long and short positions. Here on commodity side, do we have to give margins on both the positions , is what I have been made to understand. So , whether that can be sorted with the regu lators?
P S Reddy: Yes. See, one is that on the SGF withdraw al, I think there's a circular that has been issued. But how much is the minimum -- as far as our requirement at this point in concern, it is going up and up only. So that is why I said it's a , happy to have a problem, but the calculation of it is what we are approaching, the subject matter to SEBI, that methodology has to be changed , is what we have been asking. That has not as yet been addressed, that's been under consideration. This is one part of it.
The second part of it is interoperability of the margins, that is, again, has taken up very actively. I think there is an industry standard s forum has been established. And I think many of the participants from the members also and the members and associations are -- the member associations are also actually involved in that. So , the recommendations are going to SEBI for their consideration. That is what...
Prayesh Jain: Okay. And sir, with regards to FPI's participation, what is the kind of traction we are seeing? And do you see this business to be a meaningful contributor, say, three years down the line? And obviously, one of the hinderances to this was the technology transfer , and now that's behind. What are the things -- what are the enablers that would be needed from your end to kind of scale up this business?
P S Reddy: Yes. One is that the FPIs look for expecting a DMA to be given. I th

ink we are already there , on the DMA. We have to release it to the market. I think the system is getting stabilized. I don't want to disturb it at this point in time. But sometime this quarter or early next quarter, definitely, we will release DMA facility to the FPIs , that is going to happen. So that is what they are looking forward to. That's one part of it.
The second part of it is, there are a lot of HFTs, who have taken the membership on the exchange, and they are on sidelines because they don't want to incur IT development on the old platform and new platform. Now they are all , now actively

looking at it. I'm sure, we should be able to get traction out there as well. And that's another area which we are looking forward to having , as we go along.
Prayesh Jain: But in the medium term?
P S Reddy: But -- I'm sorry?
Prayesh Jain: Sorry, continue Sorry, sir.
P S Reddy: In the medium term, yes, we expect FPI s to contribute substantially for this market.

Prayesh Jain: Are there any specific products that the FPI s would be more attracted towards?
P S Reddy: No. As of now, they are interested in cash or cash settled products only. And algos also they will be playing -- I mean, they will be interested in algos also. But then they will come through via some members only. That's what the DMA is specifically for , but then they will manage themselves. That's the way it is .
Prayesh Jain: The last question on the -- just on the P&L side, you have a higher depreciation in this quarter. Any specific reason or how should we build this going ahead?
P S Reddy: See, while we are what we call implementing the CDP, a lot of assets, which are maybe less than 1 lakh, etcetera, are required , like laptops, etcetera, desktops and other things. So that's what we have provided for , in this one quarter itself , so that it will not be -- I mean that's the policy. We've gone by the policy.
Prayesh Jain: So, this will not be a recurring run rate for... CDP, right?
P S Reddy: It will not be. But anyway, in the current quarter, having implemented the CDP, you will see a bu lge out there.
Prayesh Jain: Yes. Ex cept CDP, this would be the run rate. Over and above that, we will just get a CDP depreciation.
P S Reddy: That's right.
Moderator: Thank you. We have our next question from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Sir, my fundamental question is that, if you intend to launch weekly expiry options, we need to have a weekly future s, right, because our options devolve into future s. So, if you don't have these weekly futures, we can't -- can we launch weekly options? That's my first question.
P S Reddy: Yes. Okay. When I say it's weekly options, it's not weekly expiring it. It is a -- maybe four monthly contracts having different expiry dates , is what the whole concept is, okay? Because you can't have any way under the SCRA, less than 11 days contract, okay? So , it will be a monthly contract expiring every week – one, one contract will be expiring. In any case, the underlying f utures will be there. It's not necessary once it expires, the futures have to necessarily expire in the next two days or three days. That's not the requirement .
Sanketh Godha: Got it, sir. That's perfect. And second thing, sir, now given we are missing contribution towards SGF, is there a probability that now we will reduce the margin requirement in crude so that futures volumes can pick up in crude because one of the reasons wh y we were reluctant to reduce the margins on crude is because the contribution goes to SGF. So , any change in the though t process there -- and what is the current margin requirement for crude?
P S Reddy: Current is 40% -41% for crude,

about 30% -31% is for NG, okay, including the additional margin. But whatever contribution we have made is not to reduce the margins. In fact, the SGF requirement under scenario analysis , the expected loss in the event of all position , or 50% of the market positions are closed out, the expect ed loss arising out of that , is what is assessed. Again … the 40% and 30% margins are also adjusted. Still there is a shortfall. That is the shortfall, we have contributed. Yes, go ahead.
Sanketh Godha: Hypothetically assume tomorrow, your open interest increases from currently, what you alluded to at INR40,000 -odd crores or so, to say, INR60,000 -odd crores. So , which means that the INR11 -12 crores what we have provided , will be provided in the next quarter too, right? Or , if I want to put it in this way, every quarter on an average, every quarter, you have 40,000 open interest -- 40,000 crores open interest, then this INR11 crores or INR12 crores will be recurring …item or if it goes beyond 40,000 only then it will come and hit P&L?
P S Reddy: As I said, the high watermark is what is taken into consideration. The high watermark was around 42,000, 43,000 or 44,000 , I don't exactly have the figure. If it goes beyond

that, okay . And beyond that, it's not just one day, it is the average for the entire month, okay? And for the average entire month is more than that much, the requirement will go. Okay. But so , in one month, say for five days it shoots up, then it again, it goes down, then we will no t, may not -- the average may not be influence d.

But also, we also impose additional margins whenever such kind of activity is taking place. So that will also come as a buffer to this SGF requirements at that point in time. And so, it is -- if in spite of those margins, if the members are trading, the clients want to retain their positions, open interest, it is only then and then if the average goes beyond high watermark, then we are required to contribute.
Sanketh Godha: But sir, this open interest is predominantly increased because of the option s only, right sir, rather than future s, its increased because of options. So , if option volume continues to sustain the current trend and accordingly, the open interest goes up, then it should be assumed to be a continuous phenomenon . That's a fair understanding, sir?
P S Reddy: Well, options is contributing about INR20,000 -21,000 crores of open interest and then future is contributing about INR20,000 -INR22,000 crores to the open interest. Now within that, again, for futures maybe gold and others and then options it is crud e, NG, so, it all depends on that.
Sanketh Godha: Got it, sir. And last one from my side, the data keeping question. Sir, if you can break down your operating revenues into income from float , connectivity charges and so forth, just to understand, how much of transaction income and other income , on the other operating ...? Yes.
Satyajeet Bolar : The transaction charges was INR133 crores out of INR139 crores, INR133 crores came from transaction charges. And then the balance is membership fees, terminal charges, connectivity charges and all the authorized membership fees and all.
Sanketh Godha: How much was float income, sir? Float income …
Satyajeet Bolar: Float income in consolidated , that's around INR27 crores.
Sanketh Godha: I meant to say the float from the margin money, not the entire year?
Satyajeet Bolar: Yes. So sorry, that's not INR27 crores, INR23 crores.

Sanketh Godha: This is only from the margin money, right sir, not from the entire cash on book side?
Satyajeet Bolar: Margins only.
Moderator: We have our next question from the line of Lavanya T from UBS. Please go ahead.
Lavanya T: Hello. Congratul

ations, sir. So just wanted to check on AMC cost that you need to be paying to TCS from the current quarter. So , the current quarter will be having both the cost of TCS as well as cost which we need to pay to 63 Moons , which is INR125 crores. Both will be hitting in the current quarter, right?
P S Reddy: Well, as far as TCS is concerned, for one year, it is under warranty. So , till the next September, I would say, there's no payment.
Lavanya T: Okay. And on the admin cost, this quarter, we had higher cost of around INR32 crores. So, will this be the run rate going ahead or is it one -off in this quarter, given that we were transitioning?
P S Reddy: Admin you're saying INR32 crores?
Lavanya T: Yes. I mean, sorry, it is both , other expenses , other than staff and software, all combined was coming to INR32 crores.
Satyajeet Bolar: It is INR45 crores, if you take computer technology expenses and employee cost, INR27 crores, and then we have legal expenses and CSR and other expenses. So , it adds up to INR45 crores, and then you have another INR6 crores for depreciation which adds up to -- yes, it's INR200 crores. And then the other is all linked to our turnover, what we have paid to 63 Moon s as what we have paid to CME, regulatory fees and contribution to SGF.
Lavanya T: So, the current run rate will be similar next quarter also or there is any one off is what my question was?
Satyajeet Bolar: Next quarter, we'll have a slight bump.
P S Reddy: Next quarter means -- just to clarify the current quarter?
Lavanya T: Yes, current running quarter?

Satyajeet Bolar: So, there would be certain AMC costs that will come in for our new system that has gone live for the operating -- for the licenses and all , that would kick in as well as the depreciation would kick in.
Lavanya T: Okay. There is an AMC, which will kick in, in the current quarter then?

Satyajeet Bolar: Non TCS.
P S Reddy: AMC relates to, let us say, IBM Db2 is our database, Db2 licenses or some Microsoft licenses. These are the ones.
Lavanya T: Okay. So how much will be that amount? Any broad range of that?
P S Reddy: I think only , next quarter only we will be able to give you that amount , or rather , when we give the results … December end.
Lavanya T: Okay. Got it. And on the new products which you mentioned that which we are going for renewal, one is steel TMT and Gold monthly options? Do we have anything else which are there already we have approved and looking for revalidation?
P S Reddy: See, I think it's not -- renewal is not the word, maybe some are under the renewal, but then some are actually say - go ahead, yes, now that you have now stabilized and then you can go ahead , is what we are looking at. And these are the two ones that we have looked at it. And maybe the cotton contract is another one, which we are waiting for some changes that the product advisory company has suggested. And that is one thing we are going to ask for it. And some mini contracts also, we have requested them to -- we have requested them for consideration. And of course, the electricity is another one, which is we have been waiting for -- but we will -- now the focus will be on business. For so many months, we have , what we call -- we couldn't focus on it, but now business, business, business, that's all. Maybe new products, new type of participants and new areas , engaging , and engagemen t with the financial institutions and etcetera.
Lavanya T: Got it. So maybe on this Steel TMT, any reference to the global markets, like how big is the steel market, like crude and natural gas is very big in global markets as well. So , steel any reference that we can see from other global markets , or how do you see the addressable market in India and...

P S Reddy: Various types of contracts are there. There are about iron ore contract s also there , in China and other markets. And steel bars are there, steel ingots are there. So , I think it's fragmented in terms of various products are concerned and value chain is concerned. Probably, I mean, I don't have readily that information. But Steel TMT is something which we are actively pursuing because there's a lot of construction industry and the infrastructure industry is booming. That is something which we are looking forward to.
Lavanya T: Got it. If I can squeeze in one last question. So , on the competition, so do you see if the competition reduces the prices of options or like the transaction fees, would they see more traction or like anything on the transaction fee or pricing that they can play around?
P S Reddy: Well, see the transaction fee as such that we have , is also very marginal. And I don't think that will impact , because liquidity is something which cannot be taken away from one exchange to another exchange by playing with these numbers. And we have seen in the past also, not that they have waived also, many of the transactions in the past , yet nothing happened. That's the way it is.
Lavanya T: Okay. So is the understanding right that even if they reduce option pricing, the liquidity in future s is what is more important?
P S Reddy: No, I'm not saying that the liquidity in options cannot be taken away by reducing the charges of the -- on the premium. That's all I'm saying.
Moderator: We have our next question from the line of Chintan Sheth from Girik Capital.
Chintan Sheth : Congrats for the successful transition to the management. And a couple of questions on the SG F accounting. You mentioned about how it came in for the calculation this quarter , into the P&L. Is that an accounting change wherein we earlier used to directly route it to the balance sheet and this time around, it was to P&L , or this is just -- this has been the case earlier as well, if you can clarify?
Satyajeet Bolar: The last transaction , last transfer that we made – or the last contribution that we made to SG F was sometime in March '20, and it was routed through the P&L.
Chintan Sheth: Routed through P&L. Okay. Great. Okay. And second, on the capex front, if you can spell out now once the thing has been over, what will be the total capex list stand for

the TCS on this new saving in migration? And total capex will be incurring for this full

year - if you can spell out that?
Satyajeet Bolar: As MD mentioned that we'll take this -- it will be disclosed when we close our December results, we'll mention, we'll declare it at that time.
Chintan Sheth: So I'm not asking about the opex part on the , yes, on the capex side because in the earlier call also , in the Q1 call also we have been requesting this ... But if you -- now that the transaction has been over …
P S Reddy: I think earlier also one more analyst has asked for the same thing. I think we would not like to disclose it at this point in time. It is there in the balance sheet of our result...
Chintan Sheth: Correct, there won't be any addition if I can ask , CWIP if there is any increase in the second half?
Satyajeet Bolar: No material addition.
P S Reddy: That's right.
Chintan Sheth: Okay. And lastly, on , in terms of the premium to turnover in the option s side that we have seen a decline over the course of time , how do we see this premium turnover to option turnover ratio? If you can explain what impacts this ratio over there , because of the ADTO keeps on rising, but not the premium ADTO to the equivalent extent of the overall universal ADTO. So , if you can help us understand how should one look at it, obviously, the there is an impact of the low volatility, but anything else yo

u can spell out, or explain t hat?
P S Reddy: See, we have two slabs for the options premium. It is up to INR55 crores o f rupees, INR15 per INR1 lakh is paid by the participants. And thereafter, the incremental premium on turnover above INR5 crores, much like an income tax slab , INR40 is paid. Okay. If you are coming closer to the INR40 means the options volumes are increasing , so the average is being coming down. But it will not go below INR40 because that is anyway the minimum charge. That's what it is. We have only two slabs.
Moderator: We have our next question from the line of Rajesh Kothari from AlfAccurate Advisors.

Rajesh Kothari: My first question is with reference to increasing the participation, whether it is from the distributors, the brokers. Can you just tell us what efforts we are taking to expand the distribution and participation?
P S Reddy: Well, see, on the member side, okay, it is coming down because of the members are consolidating their memberships , under the unified regime , membership regime of SEBI , to reduce their compliance costs, etcetera. So that is not the way that I look at this business. The number of UCCs that are trading , are increasing, whether traded through A, B or C , doesn't matter for us… traded through A and B is also fine with us. So, keeping that in view, we are focusing mostly on the number of UCCs.
While the business development team has the KRAs to increase the number of members, but as far as we are concerned, our focus is mostly on how many on quarter -on-quarter, how many more UCCs have come in. And at the end of the year, how many more UCCs have traded on the exchange. That is one part of it, one important. Second, the people who trade on the exchange, well, they are concerned about the cost. What is the cost of trading , of course, CTT STT we can't do, CTT or stamp duty , we cant do anything , that's given to everybody. So, the next thing is only to mitigate in terms of margins. The margins mean , committing more capital in some of this. So that is where this SGF contribution should come. We have not contributed as yet, except to the requirement that is needed. But if certain dispensations that we have asked will come, then automatically, the participation will increase. That is another area that we are looking at. In terms of fund houses, who are participating and then how do we increase that. There are certain asks from the fund houses, not from us, but the regulatory regime. We ourselves have act ively taken up with the industry , as well as with the regulators, what is their ask and whether the task can be met or not. I think , very actively it is being considered by the regulator, these enablement's. And I'm sure once those enablement's come, more and more fund houses also will participate in it. Then another ask - another front, we are trying very actively is, the GST conundrum because we have various warehouses across the country. They are required to be registering it , because one doesn't move where one gets what you call , delivery. So that is one major, what you call, stumbling block , for participation in other contracts other than cash contracts. That's why if you see the vibrancy and cash contracts is more because of the only limited channels being available for such kind of participants. If the GST issue is also addressed, again, as I

said, we are actively taking up at various forums and doing the needful. So once those
things are done, probably we will be able to address and attract more participation.
Thank you.
Rajesh Kothari: Sir, you mentioned that number of UCC, what you track. Is it possible for you to share
some data that , what are how many UCCs today currently we have?
P S Reddy: Hello, ye s, UCCs I will

definitely give you. Okay. Praveen, you can explain that -- what
is the -- Okay. You have to speak here Okay. One minute . Yes, it is there.
Moderator: Sir, we are unable to hear you.
P S Reddy: I'm not speaking. So that's it. Okay. In the financial year, year -to-date, last year, that
is 2023, we had 3,74,000 UCCs participated, okay? That is from April 1, '22 to
September '22. And the corresponding period now , in the current year, 5,84,400 odd
are participated. So that's a big jump.
Moderator: Sir sorry, his line got disconnected. I'll take the next question from the line of
Kamalesh Kasi from Pinpoint Asset Management. Please go ahead.
Kamalesh Kasi: Congrats on the platform transfer. Just a quick question from me. Over the past few
months, have you seen any defaults on counterparties? Thank you.
P S Reddy: Absolutely, none. Maybe it's not just -- not just few years because for several years,
we are not seeing any counterparties defaults on the exchange. Thank you.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand
over the call to Mr. P.S. Reddy for closing comments. Over to you, sir.
P S Reddy: Again, as I expressed my gratitude to all of you , as well wishers or otherwise
shareholders on the exchange platform , on MCX , and continue to support us. We will
continue to work towards betterment of these financial results as well as the business
that we are in. And we work towards fulfilling the promises that we make. Thanks for
all of you once again. Thank you so much.
Moderator: Thank you, sir. On behalf of Multi Commodity Exchange of India Limited, that
concludes this conference. Thank you for joining us, and you may now disconnect your
lines.

Call: Dec 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91 -22-6731 8888, FAX: +91 -22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.comMCX/SEC /2322 December 01 , 2023
The Dy. General Manager
Corporate Relations & Service Dept.
BSE Limited,
P.J. Towers, Dalal Street,
Mumbai - 400001
Scrip code: 534091, Scrip ID: MCX
Subject: Transcript of calls with Investor/Analysts
Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed the following transcript of the call with investor /analysts:
Sr.
No Investor /Analysts Date Time Annexure
1. Group Investor Call hosted by
HDFC Securities with HSBC MF
and Sundaram Alternates November 23 , 2023 12:00 PM Annexure - A
The said transcript is also uploaded on the website of the Company at
https://www.mcxindia.com/investor -relations/ir -meetings
Further, we hereby confirm that no unpublished price sensitive information was s hared/discussed
during the said meeting .
Kindly take the same on record and acknowledge receipt.
Thanking you,
Yours faithfully,
For Multi Commodity Exchange of India Limited
Manisha Thakur
Company Secretary
Encl: As above
 Multi Commodity Exchange of India Limited
Group Investor Meeting facilitated by HDFC Securities.
November 23, 2023
Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material erro rs, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward -looking statements" – that is, state ments related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates, "intends", "plans", "believes", "seeks", "shou ld" or "will". Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different that those expressed in our forward -looking statements. We do n ot undertake to update our forward -looking statements.
Annexure - A
Multi Commodity Exchange of India Limited
November 23, 2023

MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – MULTI COMMODITY EXCHANGE OF INDIA LIMITED
MR. PRAVEEN D G – CHIEF RISK OFFICER – MULTI COMMODITY EXCHANGE OF INDIA LIMITED
MR. NARESH BHUTA – DEPUTY CHIEF FINANCIAL OFFICER – MULTI COMMODITY EXCHANGE OF INDIA LIMITED

P.S. Reddy: Welcome to this Analyst Call gentlemen. I think you are all from Sundaram Altern atives and HSBC Mutual Fund. And of course, HDFC Securities has organized this meeting. And I think each one of you go ahead and fire th e question.
Analyst: We have lot of questions but let's start with the most recent event of the new platform. How has been the overall experiences? Initially we saw little bit dip in the volume but now the volumes have normalized and started growing. So how has been the overall experience so far?
P.S. Reddy: Well, I think the migration is by and large considering that it is a big bang approach. It is to the satisfaction of the management. Yes, maybe first two days there were some hiccups. And as we went along and some not market wise but sporadic or member specific issues have been supported. And the ecosystem is pampered with various alternatives for meeting the same purpose. You get one feed via something else, another feed something else .
But then somebody tries to use one type of feed for meeting one request. And then somebody else uses two types for two different things. Although one can do the same thing. And as a result, different nuances have been seen for each one of them. I think they are all fixed. The latency has been improved also and we are also publishing on our website.
Those numbers are far better than what it was earlier in the system. In terms of latency numbers. And it is getting towards severity. I can't say that it is 100% stable. Still, we keep getting hearing from somebody as some file they missed it, or they have not got. Maybe 99 members have received one number.
You regenerate and then deliver to them. This kind of things are there but yes by and large it is a smooth transition. The second set of problems or the things that we have to still to put in place is the timelines. Many members expect the files to be given by 4 o'clock, 5 o'clock. Maybe we are taking at time 6 o'clock or 6.30. But anyway, usually the system is ready and then members login is done by 7, 7.30 in the morning. So, I think some more tweaking or fine tuning of various processes are required.
That center is always there. T CS team is also still here. They have been doing it. And we should be able to attain that kind of stability in the next month or so. We have

already completed one complete cycle of expiry of options, futures, deliveries. Because deliveries also takes place on this platform.
Now the second set is already started. We are already into-- I think crude is already expired. And from 25th, you will have – 26th, other metal contracts will start going for deliveries. Some expiries will also come .
Analyst: So, you mentioned some minor glitches from file perspective is there which is a continuous improvement in terms of file sending or expectation of timing. From trading perspective there are no glitches.
P.S. Reddy: Trading perspective, no. They are behind us.
Analyst: And the feedback loop that we had in terms of informing SEBI and receiving their feedback. Now that is entirely closed. Now SEBI is not …
P.S. Reddy: We keep sending it to SEBI. Someday , somebody will say something. For example, the other day , somewhere some hardware was slow. And writing to storage was slow.

And with regard to one partition. As a result, it has put back pressure.
And as per the business rule if it is slow , all new orders will not be accepted. Old orders will be cancelled. They are called non -persistent. Persistent orders will continue to be in the system. Once that slowness is fixed.
Then those orders will be picked up. So, it happened for 10 minutes, 15 minutes or something like that. Now some members. Since it is an API based thing. Some members d

id not handle it. Other vendors rather. This particular concept. And so, some members said that the orders have been cancelled but still trades are taking place. But then they are persistent orders.
Persistent orders. Then we cut out all the notice. Whatever we have issued to the members. This is the way you have to handle it. We have already upfront informed you. This is the way it is. Similarly on the same day it happened in the night. Some gold price shot up to 61,900. No, no , something is wrong with the system. Nothing is wrong. Everything went on well. It is a genuine trade. Maybe a mistake by somebody. Instead of placing a limit order he placed a market order. So, the order book has been swept. And so again it has regained. And the lot of trades also have taken place. 61,600 and odd rupees also. Lot of trades. That is not a mistake. It is genuinely taken. 900 and 600 and odd. 300 little less. Then it has come down to 61,200, 300 whatever it is.

So, this one is also attributed to something is wrong with the system. So we have been informing SEBI. I mean very transparently what happened and all that. And so what I wanted to say is this kind of things. I mean the other day you must have seen it on the TV channels. So , this kind of thing somebody will say no, no something is wrong with MCX. It is not wrong with MCX. It is wrong with you. You have not done a proper handling. So, these are the instances. Once in a while it happens. And I think there is still room for improving the latency also. Now the problem for us is it is a live system. So, if there are any changes have to be done. We have to do it on a Saturday , or Sunday . Not otherwise. And on a Saturday and Sunday although we know the issues what is to be fixed, we test them. But we cannot put all of them on one day and then release it. Because if there is a problem, we will not be able to figure out. So, we need so many Saturdays to bring the system to stability. That is why we are you know maybe stability is taking more time than what is expected. But whenever there is a holiday, whenever there is a Saturday, Sunday. We don't lose that opportunity. We simply do the fixes.
Analyst: Let me step back a little bit here and try to understand like the TCS contract. Because you are still doing some changes to the system and all that. So, what happened? It took a long period to be implemented right? So, was it still not complete when we migrated to TCS?
P.S. Reddy: No….
Analyst: Like the glitches that you are talking about.
P.S. Reddy: Come again.
Analyst: Like the glitches that you are talking a bout that could have been fixed?
P.S. Reddy: No, no. These are all what you call new system we launched. There will be some teething troubles. Because all scenarios may not have been thought through when the system was put to mock. And unfortunately, some of the members did not participate also during the moc k with as much volume they ought to have. And the highest volume in the mock they have done is about 2 lakh trades or something like that. What is 2 lakhs and what is the kind of volume that we are having it? They should have pumped at that time. It's a different matter. We have used a trade generator and then pumped it. But all of a sudden, the trade generator is with all its attributes is a one-unit system. But you are 10 of the members. If you have pumped in 10 times, I mean whatever is the volume, you take the response, and we will know what are the nuances and what

are the kind of differences that the system is behaving. But nobody did that. But anyway, it will happen in any system like this. So, there are some functionalities which you have kept post -go live . So that we will be releasing it one by one.
Analyst

: But that' s not hampering the day to day?
P.S. Reddy: Of course, it is not.
Analyst: And once the system is fully finalized or fine -tuned, the volume growth which we expect, there will not be any issue from the IT side in terms of handling those volumes?
P.S. Reddy: There should not be even now also. There is no problem for the system to handle it. So, the system is not coming in the way of handling the volumes. Our volumes are not being lost today even now as we speak because of this system. That's behind us.
Analyst: Even scaling the system will not be an issue?
P.S. Reddy: Not at all.
Analyst: Just on this point itself, because of this new system and all, I am sure you will be educating the members and all, but are there any things like from a user -friendliness perspective, there are any glitches in that part which needs to be kind of ironed out ? You just spoke about the timing issues or the latency issues. But generally, from a user experience perspective in terms of some additional elements which are required which were not there before, are those things also kind of pretty much addres sed over here?
P.S. Reddy: See, if you ask me, it is too late in the day for people to get educated on the new platform. We have given almost a six-month mock session s, we have done . And everybody has been, I mean, education also is done and on -boarded, they use the system, installations have taken place. So , they know how each feature works or does not work or what are the limitations. So , it is nothing to do with those features, nothing to do with these features.
Analyst: The platform does give us operating leverage, but also, I am trying to understand whether in terms of volume or other functionalities, is it equipped enough to handle all those new products we could launch in the future? Or like let's say if there is a doubling of volumes, I am just hypothetically bringing up the question, like the system can handle that, like this latency issue should not be…

P.S. Reddy: Yes, it can. It is the other way. Latency is much, I mean, in the sense of latency is very low. So, it is 380 microseconds or something like that at 80 percentile of the order as against 540 or 80 in the old system. So, the orders go so much faster and then get the response so much faster. And that is from gateway to gateway. That is before I get it , before your order comes into our system and then when it goes out.
Analyst: Sir, on the topic of owning the software and launch of the new features that you mentioned, now is it being done by the MCX IT team or is it still being done by the TCS team?
P.S. Reddy: IPR is with the TCS.
Analyst: And source code also with them?
P.S. Reddy: Obviously, IPR is there. We have a license to use it. Okay. We have the license. License, you pay AMC, as long as you pay AMC, that license is there for you. Now, even the AMC charges are also fixed forever.
Analyst: Forever?
P.S. Reddy: Forever, okay. Not only for next 5 years, okay, but also afterwards also the growth rate has been fixed.
Analyst: So, is that public information? Have you disclosed what is that?
P.S. Reddy: No, we have said that ?
Praveen DG: AMC number, we have not…
P.S. Reddy: But it is fixed. So, I will not land in the kind of trouble that I landed in.
Analyst: Exactly, that is what I am trying to understand actually.
P.S. Reddy: Come again?
Analyst: That is what I am trying to understand, what is the learning from the previous team. But in terms of…
P.S. Reddy: And also, if you want to develop a new platform, now that you have so much time, you can parallelly also develop one more platform. You don't need to, there is no restriction on the part of TCS.

Analyst: Can we buy? Do we have an op

tion to buy their platform from TCS? From TCS, can we buy their platform? Is there an option?
P.S. Reddy: No, no. We have asked in the beginning itself.

Analyst: They said no.
P.S. Reddy: T7 is the proprietary of Deutsche B ourse . And so, they have not sold. License they are giving.
Analyst: But anybody can go and take that license. Yes, they can.
Analyst: Sir, there was a recent announcement two days ago, TCS got some approval or license to work with Australian Stock Exchange.
P.S. Reddy: Clearing and settlement system of Australian Stock Exchange. They got a contract.
Analyst: Is there similarity with ours?
P.S. Reddy: They have only sourcing for a clearing and settlement with the TCS Bancs . It is already their product. Okay.
Analyst: Recently, NSE launched multiple futures and options contracts. Like in commodities. I know we have a significant market share. In the past few years, we have actually gained the market share in commodities. I can clearly understand. What we have seen in the global markets is, commodities are usually part of broader commodities business, like part of equities, fixed income, and commodities would be just part of the entire exchange business.
That's what we have seen. What I am trying to understand is, from a customer perspective, from a trader's perspective, they can use the same margin they have with NSE or BSE, trade in commodities also. I am just trying to understand, these advantages are t here, can it become a threat to us in terms of volumes?
P.S. Reddy: Okay. A -- the exchange volumes, I mean, margins have to be kept separately for each of the segments. Okay. But if there is an excess margin in one segment, you can transfer it to another segment. Maybe that is one selling point they were using to tell members. But s imultaneously, we have also approached the SEBI, and then members also have insisted on what we call industry standards forum.

There they said, after 3.30 markets are shut, there is a lot of excess capital lying there, and they should be allowed to transfer it to the fungible. Transfer in the sense, it is only a lien gets created. If the broker says that, please give this margin t o MCX, they should be able to say, I am marking lien in favor of MCX, then we will give the exposure based on that. So, that is as good as interoperability of the margins. So, we have asked them for that. I am sure that should be able to be facilitated.
Now, having said that, is there any turnover? These are the statistics that I have. Every day we get it. We are keeping a watch on it. WTI, yesterday, turnover in NSE was INR3 crores. This is futures. And open interest is 37 contracts. And NSE cash, future s natural gas, turnover is INR3.7 crores, and open interest is 87 contracts. Then options, NSE WTI crude, turnover was INR49 crores, premium to turnover is INR1 crore, and open interest is 124 contracts. And NSE options, and natural gas, zero. Nothing else . This is what the statistics.
Analyst: Let us step back over here. I am understanding slightly the larger picture over here. We are talking about a lot of new products that are getting introduced. We also run the options market as well. And probably that helps us a lot in terms of increasing th e participation in the market. Typically we are talking about the institutional business and we are probably breaking down the retail business as well.
When we look at institutions, there is a lot of opportunity that the Indian guys have to typically trade in the LME markets for maybe hedging purposes and all. A lot of them do it because they get the benefit of either the currency as well. When you look at that opportunity, how do you assess that part? To our understanding, what we believe is that even institutions are a large opportunity. How do you capture that? When we ta lk to a lot of Ind

ian corporates, many of them do say that we do trade in MCX as we ll.
Or we do probably hedge in MCX. When it comes to making full use of the opportunity, how can MCX fit in over here? Because many of them always end up saying that there is a volume challenge and there is a volume level of -- how do we address those issues? If you could probably speak a little bit on that larger opportunity. Both - on the institutional side, the same on the retail side, if you could also make us understand the extent of options that you have put up, also newer contracts over there.
How do you get to do that? Because when I compare it with the global indices, we are at about 1% compared to probably what 10% happens globally in terms of commodity derivatives. I don't think there is anything wrong in terms of any data statistics, but th is

is what we have understood . How do we increase that participation? If you cou ld just speak a little bit more?
P.S. Reddy: Sure. One thing is, I have been telling in the call also and then otherwise, with the occasions I have said, let's not have a tendency to compare equity versus commodities. Because that is an investment market. This is a risk management. Risk management means by and large, exposure to the underlying commodities is supposed to be making them. I mean risk management.
Now, having said this, the speculation is needed for any market. The liquidity is provided by them, whether it is retail or otherwise. And unfortunately, in this market, the lot sizes are equivalent to the delivery units as much as the delivery units. So, it happens to be a very big contract. The margin itself is substantially high. Like you take a crude oil, it's about 6 to 7 lakh contracts and about 2,50,000, 40%, so 2,50,000 is the margin.
So obviously, when only few can afford to come into this market, not everybody. Having said that, the issue that you have said is that liquidity is less or maybe you are not able to hedge the foreign exchange risk also. That's what institutional market. So how will they be, I mean, what is there for them to come into this market? You are absolutely right. But at the same time, if you look at the spectrum of the consumers or producers of various commodities, you have small, medium, large, etcetera, etceter a. Not everybody has a foreign exchange exposure. So, some of them are only operating in India. For them, what matters is the rupee trade.
Now, they are also not able to hedge in the international market. I think our approach is to build the market from the bottom, pick up these smaller guys, MSMEs, and show them the way forward using the exchange platform and risk manage ment . We go to these big ones. They say, no, we are doing it on LME. I mean, they give 101 reasons why they cannot do it on MCX. I know that. And we have been doing it.
And that is true even in equity markets when we approach them. I mean, this is my experience because I was in BSE also for almost 18 years. When we used to approach the big brokers or a big clients , boss, there is no liquidity. How can I do it? Liquidity doesn't come. I can't create liquidity. So, the best thing is to pick up the smaller ones, make them work.

For them, the liquidity is enough , adequate. So, like that, from the bottom up approach is adopted, the liquidity pool will keep on increasing. Then automatically the bigger players will come into the markets. That is the perfectly approach we are adopting here. We want MSMEs to come and start taking the exposure here. And that's hap pening. Thanks to gold, in the case of RBI or whatever it is. And whatever exposure that we have, almost 75% of the open interest is by the domestic hedgers. Now, that's a great number.
Now, we have seen that kind of participation in othe

r contracts also. But having said this, the mindset and the mentality also has to change. What is risk management? What is hedging? It is not making profit on the commodity exchange. It is just, if you ta ke a physical book or a financial book, there is no loss, no gain. If one loses, the other one gains, or vice versa . But they don't look at that, some of them. That narrow -mindedness - oh, we have lost on MCX, so we stop the trading on MCX. But the physica l market has gained. The contra position they have to take, the open interest, the inventory that they have, or the order that they have. But instead of doing that, they say that, no, I have lost my, something. So that education is something which has become very fundamental here.
Analyst: Is there any market in terms of size you track over here, that these are the corporates who are there, who probably are in the MSME space, who are probably doing this, who probably want to do hedging, and what is the market you want to track?
P.S. Reddy: Of course, we have been, no, we have been going, no, we don't have that numbers, I said, but we have been engaging with the industry associations many a times. Some of the banks have got their customers, we are engaging with those customers, okay, where they extend their loans. And the listed universe also, we scan it, and in fact, listing agreements we have seen, as for the listing agreement, annual report they should say, whether they are hedging, not hedging, etcetera.

So, we pick up those, those companies also, write to them, engage them actively. And, yes, it's not a one -day effort. Maybe we should constantly at them, so that one fine morning they will decide to do it, then they will start doing it.
Analyst: Do we segregate the v olume with, how much is institutional, how much is retail , do we do that way?

P.S. Reddy: How much by the hedged value chain participant, how much by the almost, how much is by the… Okay, that's something we can share. That's right.
Analyst: Alluding to the same point, I mean, like, getting the new products, you do talk about, steel TMT contracts, like, so that is going to be used by builders and other supply chain participants in the real estate and other infrastructure, that is my first ques tion. And what kind of market you can see there?
And what other products, like cotton futures or options or like a, or any other materials which are in a huge market, like let's say , nickel, could be the…
P.S. Reddy: See, we have applied for the, what we call, aluminum alloy, that again, …. base many of the companies, the automobile industry uses aluminum alloy. So, that's one we have been waiting for approval. And that's also at a different level of discussion. And that is one part of it.
The second one is, of course, steel TMT bars. We should be able to launch at the earliest because their approval has come, but then because of this migration, I think we held it back, and I think when again we have written to SEBI, look, we would like to launch it. I think once that comes, we will go ahead. And the third is electricity derivatives is another one.
Again, it's a regulatory issue. Although I have been talking about electricity futures, I am not able to, we are not able to launch because of the regulatory, approvals have not come. I think this has to be decided by the CERC and SEBI together on this pro duct. I think at this point in time, we are looking at this. There may be some more, but I think we are not as yet announced or informed you. We will get…
Analyst: But any market, I say, especially for steel TMT, because that is something we could launch in the next few months or what else. Who are the participants actually looking for this contract, your point of view?
P.S. Reddy: We have already engaged actively for this contract with the industry. As I said,

the
construction industry is one which is major. And there is a lot of participation from the consumer side. The other side is, the producer side is the mini steel plants, okay. Integrated steel plants are only a few. Whether we will be, they will be interested or not, we do not know.

But if they are able to join and then di spose of their metal, it's fine. But here again, we have seen some kind of resistance from some of the people who build a brand around their products and the n command p remiums . And that will be shaken up in that sense. Because for me, whether you call it whatever by name, ABC or 123, as long as the material meets the quality, whatever specifications that we have given it, then it's okay. And the customer also is fine. And that is something which some of the big players may not be happy with.
Analyst: In crude and natural gas, if your premium comes down in future s, is there a direct correlation with options volume coming down though that will be insulated?
P.S. Reddy: See, premium depends on two, three factors. One is that, whether it is in the money or at the money or far away, given the volatility. But if volatility is also adding to this kind of thing, then even the far away contracts also may have a higher premium a nd will get attracted. So…
Analyst: And what about margin requirement in crude and natural gas in futures if that is reduced?
P.S. Reddy: If I reduce it, then again, we have to contribute to the SG F. That's what we have been facing this challenge. That's why there is some other level of the risk management, the regulatory dispensation is needed. As I said, the s tress test results is what determines the contribution. And that is where the issues are coming up. And in addition to these margins, there is also pre -expiry margins in cash settled contracts.

So, when the contract is about to enter an expiry period, that is four days, five days, then additional 5% is imposed. In addition to these high margins, I mean, it is double whammy . That's what the problem is. That's why the contracts are not doing well in terms of futures.
Analyst: And in options, what led to almost 80% of your options is right now driven by crude. The rest is largely natural gas. As per that…
P.S. Reddy: What are these natural gas…
Analyst: Options?
P.S. Reddy: Crude oil.

Analyst: Crude is the major and then whatever is the balance, the last part of that is natural gas?
P.S. Reddy: Natural gas, yes. Some of them are now it is seen in the -- gold is picking up.
Analyst: Correct. So, initially, why the other products did not fire for you and now it is doing well?
P.S. Reddy: See, one is that there is a push factor in the case of crude and natural gas because of the high margins in the underlying futures . And maybe having got used to dabbling in those options contracts, well, maybe they are trying their hand in the other gold and other contracts.
That's why the volumes are picking up. But I don't see there is so much of a, so much of a high margin in other contracts, in other futures. Gold, we have 2% extra.
Analyst: Just on the same point, I am not sure if you are able to kind of capture that or not, but typically when you see option participation increasing significantly and like you said, if you are basically trying to push it because it is a far lower margin compared to probably the underlying or the future s. Are you able to kind of track that newer people entering into this play as well, newer customers or probably members seeing more amount of…
P.S. Reddy: …. the new investors.
Because what I am asking that is, when you see in terms of equity participation, I know they are not comparable. We do see that whenever we saw the same thing happen in BSE as we

ll. When the options were introduced, we saw a sudden surge over there.
Similarly, in case of NSE also when it happened, we saw a sudden surge as soon as options were open. So, just trying to understand over here that, what will be the percentage of newer guys coming in it? Is ther e any way to kind of track that?
P.S. Reddy: We do track, but that is not the…
Praveen DG: We do track it but what we have given in the report only like compared to the last year like FY ‘21 -‘22, the number for options was 1.72 lakh. That increased to 4.03 lakhs in FY ‘22 -‘23. That itself you can be able to guess that I think most of them should be new partici pants who have started participating.
Analyst: But at the same time, your futures would have also come down?

Praveen DG: Overall, I am telling if you look at even together like futures and options, that number also I will give it to you. FY ‘21 -‘22, it was 4.7 lakhs compared to 6.21 lakhs in FY ‘22-‘23. So, that is significant increase. Primarily, it was contributed by optio ns, but definitely I can say that many of them happen with the new participants...
Analyst: But how many are only futures?
Praveen DG: Only, we have that one also. It was around 3.89 lakhs futures.
Analyst: Okay. And the rest?
Praveen DG: 3.6 lakhs. This is the annual average.
Analyst: Okay.
Analyst: So, do you track the new accounts opened in the last few years? How exactly because there is intermediary broker also within the end user and yourself?
P.S. Reddy: This is all by UCC based. This is a PAN based.
Analyst: Okay, PAN based. Unique PAN based.
P.S. Reddy: It is a unique PAN. It is a PAN based.
Analyst: So, on the related thing actually, sir, you mentioned somewhere in the beginning actually that about 75% to 80% is for hedging purpose, this kind of contracts?
P.S. Reddy: It is in there, in the gold.

Analyst: Only in the gold. But for others, it is less?
P.S. Reddy: It is less. Others it is less. And we have seen good amount of participation, hedge rs in crude palm oil. But then unfortunately it is banned. Okay. Good amount of participation.
Analyst: But bulk of the contract is actually in the oil segment, crude segment. So, are those more speculative in nature?
P.S. Reddy: In terms of degree, yes, maybe more. I would not say speculative. Where is the could be financial players also. That is a calendar spread, is what they take advantage. If there is a difference between the two, then they step in and then take advantage. But yes, there is a speculation element also.

Analyst: You also mentioned a number of large players do want to trade on the bigger exchanges like others. Is there any arbitrage opportunity available and do people do some arbitrage between two exchanges?
P.S. Reddy: I am not too sure about those people doing arbitrage opportunity, whether they do it or not. Because it is not easy and there is a currency also involved in it. So, they have to hedge currency as well as, the underlying price when they come to India. But w ithin the exchange also there are arbitrage opportunities. As I said, calendar spread arbitrage opportunities are there. Similarly, the spot and the f utures, there also they get arbitrage opportunity.
We have seen sometimes the MCX metal contracts are offering a better rate than the spot. Then people, I mean some of these big players, they simply dump the material on the exchange platform. They just sell it.
Analyst: I am just trying to think of ways and means like how the volume can increase. So, apart from the example that you already gave, are there other ways or other products that you are looking at to increase in volume?
P.S. Reddy: No, products we are looking at, as I told you, I have already explained the

products that
we are looking at it. But some of the players, big algo players who were earlier not playing, they are waiting for the migration to complete so that they can dovetail the system with the new platform. So, they will also start trading on the exchange platform.
Analyst: You say algo players or you are referring to international players?
P.S. Reddy: Yes, they all are international. They have domestic offices; they are already participating in equity. So, just they held back participation in this.
Analyst: What kind of fund size it would be like demand?
P.S. Reddy: They are algo players or proprietary basically. They are big internationally across the world they participate. For example, Citadel. They are there on NSE , BSE. And they have become recently our members. So, we expect them to participate.
Analyst: Just on the point of when you said that increase volumes in the market, if you look at it today, a lot of the volumes are driven by options because options are introduced. Obviously, we are pushing more now. That's the paradigm to make that more increasing retail participation. Because the point of when you said that you are probably trying to

help the smaller corporates, the smaller MSMEs and all that, they would ideally do future contracts. That's the paradigm to make. But for them also, the value or the margin seems to be too high for them.
P.S. Reddy: So, margin seems to be too high for them.
Analyst: So, you are saying that even the smaller MSMEs would prefer the option route rather than going through the future?
P.S. Reddy: See, as long as their purpose is served, how does it matter whether they do it.
Analyst: I just want to understand that because they are relatively larger, I understand the margin part is there. But I am presuming that in future, your liquidity would be better as compared to options based on stand?
P.S. Reddy: I understand. But even if they participate in options, if they have to take delivery or give delivery at the end of the option because they tender it devolves into the underlying, maybe the cost can be saved by holding it only for five days in futures but the rest of the period in options. In options, the margin requirements are less. The moment it is devolved into futures, the margin requirement increases. Then, as a -- that

margin requirement, they have to give it only for four days, five days .
Analyst: So, the last part of the growth project you talked about, the volume project you talked about, you see only options improving. Would you say that it is retail participation plus MSME participation as well?
P.S. Reddy: The options are primarily in this, what you call, in crude and…
Analyst: In crude, exactly.
P.S. Reddy: So, there, I do not say that they are the major dominator. But in other contracts is what we are promoting or what we are trying to deepen the market.
Analyst: Which you are referring to the mini contracts.
P.S. Reddy: And mini contracts in the smaller players coming in and taking deliveries, etcetera.
Analyst: The discount brokers and new age brokers have started enabling commodity derivatives for users in their platform. So, is there any like a new like push from our side to increase the retail participation side, like either with the new age platforms or like …?

P.S. Reddy: They are already offering. In fact, if you see the number of investors registered as almost INR1.5 crores.
Analyst: Okay.
P.S. Reddy: On the exchange front. But that is not the material thing. Only when they become active, then it matters.
Analyst: I understand that, but I am trying to understand if we are having any conscious support to increase that kind of participation?
P.S. Reddy: That's what I am saying it. There -- whom

ever they are onboarding in equities, so by the same stroke they are onboarding them on the exchange also. But it is up to them to engage a focused team within the brokerages. So, that is another dimension that we have been pursuing with the members. They must dedicate team to engage -- with their clients to trade on, to trade in the sense, give them the guidance how to trade on commodities as well.
Analyst: As you mentioned, open interest in gold is actually really good. A lot of participation is there, like in actual hedging. A lot of participation is there in actual hedging. What kind of participants are actually doing the hedging? What are the supply chain participants that to be come and do that?
P.S. Reddy: All big jewel lery participants, big jewelers are participating. And in addition to that, the refiners have already admitted four, five refiners, domestic refiners to deliver gold on the exchange platform. Even they are participating in delivering gold on the exchange platform. Almost like a ton plus they have delivered on the exchange.
Analyst: So, there is a lot more to exploit on the opportunity there?
P.S. Reddy: There is an opportunity, no doubt. There is on the -- currently, we have how much? 15 metric tons of open interest in the gold as of now, as I am speaking. So, that's all 15 metric tons is not a small sum.
Analyst: Since we are running a little short on time, I have a few questions on financials. Firstly, on TCS contract. Now, post -December, once the payment or the penalty charges or the annual charges, sorry, for the 63 Moons goes off, how will our software support charges as a steady state quarter -on-quarter look like? Earlier, it used to be INR12, INR14, INR15 CR.

P.S. Reddy: See, there is no, what to call, revenue linked to that. But then, as we have said, you will also see from this quarter, current quarter, you will have two effects. One is the capitalization of the, whatever capital work in progress has been now, start depr eciating in this quarter only. And then you will have INR124 CR by impact also will be there. But next quarter onwards, only you will have the depreciation impact, because for next one year, this is under warranty. So, there is no AMC. Then the next AMC will kick in from October onwards, next year October.
Analyst: So, will the software support charges line item like really come down in single digit then? Because there will be very nominal cost for you to run the platform for one year?
P.S. Reddy: Should be.
Analyst: And depreciation will go high?
P.S. Reddy: Will be high.

Analyst: How much will be the depreciation?
P.S. Reddy: As we have said already, maybe -- it may not much deviate from what we have currently in terms of, whatever we are paying to 63 Moons also. In that range only, both will be. Not only the depreciation plus this ...
Analyst: Yes, it will be similar to what?
P.S. Reddy: It will be similar to what we have been saying it. That's what it is. While volumes may go up, that thing is not impacted.
Analyst: And from a premium turnover perspective on options right now. So, premium as a percentage of turnover has been going down. We have seen that with cash exchanges also.
P.S. Reddy: It varies, because I was told that this month, and it is almost for 2.4% to the n otional turnover …
Praveen DG : It's options for premium?
P.S. Reddy: And last month it is almost 1.8% or something like that. I was told. It's varying.
Analyst: Understood. So, we will have to keep on tracking every month -on-month. Anyway, we get it on a monthly basis so we can have that idea. But if I remove the cost that we are

paying to 63 Moons , on a normalized level, now the company is more or less making a INR100 crores of profit. That wi

ll sustain and continue plus the growth, whatever we will be seeing options going forward. Is it the right way?
P.S. Reddy: I don't know want to comment on it because it is not proper to speak on, give some kind of...
Analyst: No, not the guidance part. We are currently at an INR100 crores profit. That is true, right?
P.S. Reddy: See, if you remove the impact of the 63 Moon s, then you will see how we have done. Or if you may -- if you have – have you had the INR50 crores, INR60 crores as IT expense, then you can see how would have been the bottom line.
Analyst: Only the difference in that is understanding the tax implication. So, that is where I am a little bit confused. Because when's you are paying a little bit higher, we also saw tax, absolute tax amount and the tax rate also very volatile since last few quart ers. So, once everything is removed, how will that look like? Then only I can get to a normalized PAT.
P.S. Reddy: You can answer anything on that?
Naresh Bhuta: So usually, if you will see, the tax is an effective tax rate ...
P.S. Reddy: This is our deputy CFO, wh o joined recently.
Naresh Bhuta : So, it is an effective tax rate. So, the average tax rate will be the tax rate for the quarter, will be on par with the annual tax impact. So, that…
P.S. Reddy: It is over 24% or something.
Naresh Bhuta: Yes. 25.17% is there. So, that will be a tentative, maybe because of past current few ups and downs, because of deferred tax and provision for tax. Otherwise, total tax for the company will be 25.17
Analyst: 25.17.
Analyst : Just justification on this so, when you said that your new cost, which you will be paying will be software plus depreciation, will be equal to the software cost which you are paying earlier. And when you also said that there will be no AMC for the next one year -- next quarter, you will obviously get the impact of the 63 Moons .

P.S. Reddy: Not next quarter, this quarter.
Analyst : When I mean next quarter, sorry. My mistake. And then after that, you will not have any other cost of…
P.S. Reddy : Should not.
Analyst : And you will also not have any other cost for next three quarters of TCS as well, because…
Analyst: Sir, like how, in equities we see like index are options and f utures actually make a big volume . Do we see like similar products, that could come up? Like is there any big traction what that?
P.S. Reddy: Index options is some… A new product that we can look at introducing. But first, we

would like index f utures themselves to be vibrant. We had METLDEX doing well. Almost all 200 , in the course , ADT. Thanks to nickel debacle and that has gone now we are reconstructing. We will now launch a new contract after reconstruction. It is already done reconstruction.
Now, METLDEX will have only four, four this one. And we also applied to SEBI for mini contracts of copper as well as nickel. So, if nickel mini also comes, that is also good enough for us. At least one contract will be there to deal with it. So, first index, the underlying being even for any of these options or any of the underlying being the features, that we need to bring up to certain reasonable degree. So, then only we would like to launch.
Analyst: We are looking for some regulatory enablement's for, like a big fund house to trade in commodities. What kind of regulatory enablement's have that has to happen to fund houses to enter? Like what kind of participant are not able to do?
P.S. Reddy: Are fund houses interested in trading in commodities? That is the big question. The reason why I am asking is, I am honest in telling you this. I have been breaking my head with so many fund houses, including with the association. And there seems to be very l ittle interest in it except for two or three funds who are interested in doing it. They are anyway doing i

t. Nippon is one who does it. So, it is the Tata Mutual Fund. But rest seems to be okay. They are in their cozy shell. And they don't w ant to do anything about it.

Analyst: Sir, you already made one very important statement and that resonated with me. You mentioned that equity is for investment purpose. This is predominantly for the hedging purpose. So, we have taken steps to create this mindset among people that come to the equities for investment. Now, one has to go and then redefine oneself for hedging. So, that is a different segment altogether. I know why actually…
P.S. Reddy: I understand. But then you can launch ETFs also, no?
Analyst: Yes.
P.S. Reddy: But that is also not being done.
Analyst: So, we are actually planning something like multi -asset production sequence, right?
P.S. Reddy: Yes. That's right.
Analyst: So, in those multi -assets, there would be ETFs and there would be some elements also.
P.S. Reddy: We have written so many letters to SEBI telling them, look, you have given even 180 days they allowed for gold. But for other metals and other things, only 30 days you can hold the metal. Tell me, my contract itself takes a duration of 30 days. That means you buy it and then you dispose of it immediately. How can it happen? If there is a calendar aspect benefit, you want to take it. You buy it in this contract, hold it for the next two to three months, then you have to hold that metal in the war ehouse for that many months. But then regulations do not permit. So, you will not look at that. Similarly, you have fixation for LBMA gold, but not any other gold. Now, that may be prescribed in the rules for whatever it is. But domestic gold is not permit ted to be taken.
Analyst: Just one question, I mean, this is, I think, a very good asking. Equity participation, obviously, you see a lot of equity participation happening. But at the same point, regulators are being very strict as well. So, they are okay with equity participation driving, so they promote, but they are also strict. Same thing, you have probably kind of seen this over here. And I also want to ask, if you want to kind of check any particular market globally, where the adoption happened in terms of, let's say, taking the risk measure as an important measure for the country. Are there any p articular exchanges which we can probably look at, with existing products ?
P.S. Reddy: Well, you see, the number of equity exchanges that you find across the world are far many as against the commodity part of it. So, obviously, only few can become leaders

in these commodities. Now, you have China and you have LBMA and LME and then ICEX then CME. There's nobody else except.
Analyst: Chicago. Chicago is one of them.
P.S. Reddy: That's for Agri-commodities. Yes, that's right. Chicago Board of Trade. And so, what I wanted to say is there are not too many in this specializing. So, we can be really in

the regional hub in this region. We can be a very good leader providing hedging for many of the countries in this r egion. I mean, Singapore is also not good. Even WTI is traded on two or three other exchanges also. But we are the largest. Nowhere else this kind of volume is there. Neither in Singapore nor in Moscow nor in Dub ai. Is about WTI contract is seated there also. We are the largest. Now, NSE has also taken license.
Analyst: But for that, you have to offer the contract in dollar terms.
P.S. Reddy: Yes.
Analyst: To attract the regional partners, regional countries, you have to offer the contract in dollar terms?
P.S. Reddy: No, understand …
Analyst: Can we do that?
P.S. Reddy: No, we are not. We are not. The point I wanted to say is, we are allowing our people to go on and trade in dollars elsewhere. But then

we don't allow others to come and trade in dollars in India.
Analyst: Just on this part, because you said gold was one part which at least…
Analyst: It's happened leasing and all those things sometimes it's happened to now, let's say even the largest of the players, I mean, we do hear about Titan also talking about we do hedge in MCX and all. What would their volumes have shifted over the last, let's say, I am not asking how much they hedge, we are just trying to understand if it was X, how much it has kind of become over a period of time. Because I think natural growth as well is h appening?
P.S. Reddy: I mean, all of them are doing, I mean, those who are prudential financial management, they hedge maybe 95% to 100%.

Analyst: That is right. What I am asking is, in your exchange, when it started to today, how many people…
P.S. Reddy: I have not seen.
Analyst: You have not seen.
P.S. Reddy: I have not done the analysis of that.
Analyst: Sir, in the interest of time, my last question from me. There have been some key managerial exits in the recent past. Also, sir, your tenure is also up to next year.
P.S. Reddy: Who is the key managerial person?
Analyst: CTO, I guess ?
P.S. Reddy: Who is the CTO? It's been happening anyway. Managing the project is a big challenge.
Analyst: That is also an important…
P.S. Reddy: For which reason they may have left. Why don't you see that?
Analyst: That is there. That is true.
Analyst: But from outside this perspective, what is the succession planning and what's the planning for that?
P.S. Reddy: Well, you see, as far as the SEBI is concerned, the rules are very clear. Five years. An MD in an exchange in an M II, can spend only 10 years' time. Whether you break it into three years, three years, three contracts, five years, two contracts, whichever way it is, maximum 10 years. I will be completing in the next May, five years. So, I think the process will be on. I am sure, look at, we have launched this process six months before. And the NRC sees of this matter. They are working on it.
Analyst: What is NRC?
P.S. Reddy: NRC, Nomination and Remuneration Committee of the Exchange. Because it is their role to fill the gap. That’s what it is.
Analyst: So, you think five years you will be completing next year?
P.S. Reddy: In this company.

Analyst: You will be applying, means applying for an extension actually.
P.S. Reddy: There is nothing called extension. Actually, if I apply, then I will be, along with the others, I have to compete. And they decide and then send two, three names to SEBI. And then SEBI will pick up one and then give.
Analyst: Same like bank, what we see.
P.S. Reddy: Same like banks. Everywhere.

Analyst: That is all. Excellent. That is all from me, sir. Thank you very much. Thank you so much.
P.S. Reddy: Welcome. Thank you. Thanks to all of you.

Call: Dec 2023

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91 -22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.comMCX/SEC /2323 December 01, 2023
The Dy. General Manager
Corporate Relations & Service Dept.
BSE Limited,
P.J. Towers, Dalal Street,
Mumbai - 400001
Scrip code: 534091, Scrip ID: MCX
Subject: Transcript of calls with Investor/Analysts
Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the following transcript of the call with investor /analysts:
Sr.
No Investor /Analysts Date Time Annexure
1. Group Investor Call hosted by UBS Securities with 360 ONE Asset Management Limited, Ashmore Group Plc, Avendus Capital Private Limited, Balyasny Asset Management, BNP Paribas Asset Management, Citadel International Equities, DSP Investment Managers Pvt Ltd., HDFC Asset Mgt Co., Invesco Limited, Max Life Insurance Co Ltd., Mirae Asset Global Investments, Optimas Capital, Polymer Capital Management, Sumitomo Mitsui DS Asset Management, Sundaram Asset Management Company Limited, White Oak Capital Partners Pte Ltd. November 23, 2023 04:00 PM Annexure - A
The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor -relations/ir -meetings
Further, we hereby confirm that no unpublished price sensitive information was s hared/discussed during the said meeting .
Kindly take the same on record and acknowledge receipt.
Thanking you,
Yours faithfully,
For Multi Commodity Exchange of India Limited
Manisha Thakur
Company Secretary
Encl: As above
Page 1 of 15 “Multi Commodity Exchange of India Limited
Group Investor meeting facilitated by UBS Securities. ”
November 23, 2023
Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company’s event and while efforts are made to provide an accurate transcription, there may be mater ial errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain “forward -looking statements” – that i s, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as “expects”, “anticipates, “intends”, “plans”, “believes”, “seeks ”, “should” or “will”. Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different that those expressed in our forward -looking statements. We do not undertake to update our forward -looking statements.
Annexure - A
Multi Commodity Exchange of India Limited
Novem ber 23, 202 3

MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – MULTI COMMODITY EXCHANGE OF INDIA LIMITED
MR. PRAVEEN D G – CHIEF RISK OFFICER – MULTI COMMODITY EXCHANGE OF INDIA LIMITED

Lavanya To ttala: …Questions, anyone, if they have questions, please use raise hand option or given that it's a small group, maybe you can unmute and introduce yourselves and go ahead with your question. So, maybe in the meantime, the first question from my side, so, on the new products, you have mentioned in earlier calls also that if weekly is not possible, you can introduce multiple monthly contracts with expiry in each month. So, for this, what kind of approvals we would need and is it still in product stage or how do you think about that?
P.S. Reddy: Well, in fact, weekly contracts, as such , are not permitted because a week is less than 11 days. So, under the SECC regulations, it is not a derivative product, okay, anything less than 11 days is spot. So, even when, also when we were talking about a weekly contract, it is an overlapping month ly contract which will expire every week.
So, it's a serial contract is what we were talking about. So, that's something which we will take up with the regulator and we'll see if they can give the dispensation to us.
Lavanya Tottala: Okay. So, will this have any impact on the pricing like option premium, so that will impact our transaction fees, like how will this impact the option premium?
P.S. Reddy: See, this question was also somebody else's asked, you know, what will happen to the premium? Probably premium will be reduced because that tenor is reduced, but then you have four times expiries in a month. So, to that extent, it will not be worse off.
The only upside is the volume increasing because of this weekly contract. So, the sum of it is definitely more than what we are, I mean, that's what is expected, what we are getting in a monthly contract. That's the way it is.
Lavanya Tottala: Okay. Any timeline that we are looking for this, sir, like how we are going to launch these?
P.S. Reddy: No, no. I don't talk about launch. I think from our side, the regulatory approvals, whatever applications are required to be done, we will do it in the next maybe two months or so. But thereafter … that's the way it is. We will do our best to make an application.

Lavanya Tottala: Okay. So, given that we are talking about regulations, one more question there. So, anything meaningful which could be positive or negative in pipeline or anything which is related because we have seen multiple regulations impacting our volume s over the past decade. So, anything in pipeline which could impact either positively or negatively or anything meaningful that you see?
P.S. Reddy: Well, I don't see anything negatively because whatever the current regulatory framework is there, that is a pretty tight regulatory framework in my own assessment, especially from the risk management point of view. So, certain dispensations is what we have sought with regard to the risk management framework. If they come through, then it can only be a positive thing but not negative.
Lavanya Tottala: Okay. So, anything specific that we are looking forward to in terms of regulations which could positively impact?
P.S. Reddy: Well, as I have already said in the past calls also, in terms of contribution to SGF, it is based on the stress test, what you call scenarios. And so, certain concessions that we have asked them, because it is 40% margins in crude oil, 30% plus in NG, is too --way high from what is happening internationally. Probably in the normal course, if we were to impose the margins on crude oil, it could have been around 16 plus percentage.
And maybe in NG also around that much only. Couldn't have been more. But because the contribution to SGF will go up, if we have to lower the margins, then we have to keep those margins very high. And that is where the business is

coming.
Lavanya Tottala: Yes. I request participants to unmute themselves and ask a question if they have any. Yes. Patrick, please go ahead.
Patrick Goodell: Thanks.
Lavanya Tottala: Please introduce yourself before going at the question.
Patrick Cadell : Sure. So, it is Patrick Cadell from Ashmore here. I wanted to ask about the new products you are launching in the BULLION segments. What are the key new products and when will these come online? And what stops options volumes in BULLION being as high as what they are in oil and energy in the future?

P.S. Reddy: Well, in fact, it is more a push factor in the case of energy where the volumes have moved to the options because high margins in the underlying products in futures. And so, in the case of gold, I think traction is being built. I think one is that the prem iums are high in the case of gold, one -month gold, because underlying is a bimonthly contract.
The tenor of the contract itself is. The second one is the contract size itself is large because one kilo bar is almost costing INR60 lakhs, INR61 lakhs. And so, to that extent, the premium will also be high. So, both are restricting participation . And I think the 100 -gram gold on which options have been introduced mini, gold mini bars, and that is seeing a good traction. I think we have seen the other day INR850 crores of variety in the mini options. Just see how much it is.
Patrick Cadell : Got it. So, are those gold mini options already launched? And are they moving to kind of multiple monthly contracts as well?
Praveen DG : I could not get you. Can you come again?
Patrick Cadell : When did you launch the mini gold options?
Praveen DG : I think it is in FY22 -23 we have launched.
Patrick Goodell: Okay.
Praveen DG : So, it is almost a year. It is more than a year, I think, we have launched it.
Patrick Cadell : Got it. And so, what are the new options in gold that you are looking to launch?
P.S. Reddy: I do not think we are immediately looking for any new option contracts in gold. And at this point in time, I think we are looking at monthly options on the bi - monthly gold contract. I think that is something which we are looking at launching. So that at le ast the tenor of...
Patrick Cadell : Okay. And what percentage of your trading volume currently comes from retail by discount brokers?
P.S. Reddy: See, we have what you call Algo and non -Algo. But we have not so much into retail and non -retail. Okay. And again, the Algo is about 50, I mean, non -Algo

is also, you know, 49 -50 percentage. Yes. Please give that…

Praveen DG : So, the Algo and non -Algo, I will give you the numbers. Whether you take the futures or option, both are about 52% and 53% if you take the last quarter, that means last quarter FY23 -24. Okay. That is one breakup that we have given. And we also have provide d the data on client trading percentage. So, again, within the client … some of them could be doing the Algo as well. But the client trading percentage is about, again, 52% in futures and 46% or 47% in options.
P.S. Reddy: But not necessarily all of them are retail in that sense.
Praveen DG : Yes. Not necessarily.
Patrick Cadell : Okay. And then, could you give an update on the outlook for electricity futures, power futures being introduced and what regulatory requirements are needed before that comes in?
P.S. Reddy: We have made an application almost more than two years ago, I would say. And the regulators, CERC and SEBI has to bless it. And we have not received, although we have been very actively pursuing with regulators. And, of course, no exchange has received it as yet. So, that is the status at this point in time.
Patrick Cadell : Got it. And so, what other new products do you think

could be drivers of
volume over the next year?
Praveen DG : So, there are new products already, like what we have said, like steel TMT boards as well as M -Alloys. That is the two products we are looking at besides electricity.
P.S. Reddy: Mini contracts in copper and nickel.
Praveen DG : Mini and...
P.S. Reddy: Subject to approv als, once again.
Praveen DG : That is mini and minis in nickel and copper. That is what we are looking at, but all subjected to the regulatory approvals. Besides that, anyway, we are also looking for, like already we have intimated, we are looking for shorter duration option contracts .
Patrick Cadell : And that is in oil predominantly on the option side?

Praveen DG : You are talking about options, shorter duration options? Yes. That is one. And we can also look for index options also, because SEBI has already allowed index options. It is now we will have to, now we have been waiting for the migration to happen. Now th e migration is now completed, so we can look for introducing the index options also.
Patrick Cadell : Got it. And on the index option side, could you go to weekly or even daily options there? Because it is still going to be a derivative product, because it is not an underlying.
Praveen DG : It is going to be a cash settled product, because even the futures itself is a cash settled product, and options may not be option on futures, because the product can be independent to that of the futures contract, and it can be settled based on the under lying index itself. So going by that logic, it is like, yes, we can think of shorter duration contract, like what we have been seeing in the equity markets.
Patrick Cadell : Okay. Because, yes, I think in equity markets, it is the one day or single day futures options, which seem to have the most volume. Do you think the same dynamic could exist in commodities?
Praveen DG : So, one day … but at least we will have to first think of some, maybe a week's contract or a fortnightly contract. Subsequently, if the market demand, if there is a demand for it, definitely we can consider that one. But at this point of time, I do not think, definitel y we are not looking for a one-day kind of, and again, irrespective of that, like MD has said, it is like, at least it should have a duration of more than 11 days.
So, there will be too many one-day contracts if I am launching one month ahead. So that may not be appropriate to have that many contracts. We can think of a weekly duration contract.

Patrick Cadell : Got it. Okay.
Lavanya Tottala: Thank you. I request participants to go ahead with questions if there is any from your side. You can unmute and go ahead. So, in the meantime, maybe one of the participants earlier we were talking about institutional participation as well. So now that the transition has happened, so are you seeing any work towards improving institutional participation in commodity market?

P.S. Reddy: Well, it is just a little over one month, the transition has happened. I think, you know, translating to a greater degree of participation by institutional investors. But again, institutional investor participation is not so much on account of technology migration. It is more to do with some framework related issues. For example, for mutual funds, there are certain co nstraints which we have taken up with the regulators. And GST is a constant, you know, is a sore point. The administration of GST, not anything else, not the percentage of GST as such, but the administration of it is a constant sore point for many , because they have to register at multiple locations, etcetera, etcetera. And I think those are the issues that are required to be addressed. So not so much of the technology. But apart from t

hat, from the FPI point of view, we propose to release a permit Category II FPIs as well as DMA facility also, we want to introduce it shortly. And I think the testing are going on. So once that is done, then we will release it to the market. That is something which I can expect to happen.
Lavanya Tottala: Okay. Got it. And on the base metals, earlier we have seen that nickel has seen significant impact because of the commodity price volatility. So how are we seeing or thinking to revamp base metal contribution or anything from our side that we could do to s upport volumes?
P.S. Reddy: As I said that we have applied to the regulator for a smaller contract in nickel. And that will also reduce the contract size as well as give greater degree of leeway for that is to participate. So that is...But then there, the trading unit and delivery un it will be different as the trading unit will be smaller, delivery unit continues to be as I has it used to be earlier. So that is not yet approved. So, if that comes through, probably we will see some traction in that. And on the METLDEX, I think we have removed nickel in that. And now it constitutes of only four metal contracts, metal products. And we are yet to launch it. Otherwise, it was almost giving about INR200 to INR300 crores ADT METLDEX, index of which is contract. So that is another thing we will propose to introduce. We will do that.
Lavanya Tottala: Got it. I request participants to raise your hand in case you have any questions, or you can unmute yourself and go ahead with the question. Yes, Rohit, please go ahead with the question.

Rohit: Hi, sir. Continuing on this index options. So, in terms of the launch of index options, how far are we? How much time will it take? And what are the steps for that?
P.S. Reddy: See, currently we have only BULLDEX is doing well. And of course, the underlying ADT is about INR80 crores to INR100 crores on a day -to-day basis.
Praveen DG : It is about...
P.S. Reddy: How much?
Praveen DG : INR20 crores to INR30 crores.
P.S. Reddy: Now it has come down.
Praveen DG : Right. Now it has come down.
P.S. Reddy: So that is... So we have to apply to SEBI and regulator has to approve it. Then only we can launch. Launch doesn't take much time. But regulatory approvals may take time.
Rohit: Sir, in your experience, the regulatory approvals take about something like three to six months period or even longer than that?
P.S. Reddy: Well, earlier, it depends on the product to product. Maybe a calendar approval,

that is existing product launches. We apply to the calendar approvals and that
comes through early, maybe in a month's time. But new products take a little
more longer time.
Praveen DG : Sir, here the guidelines are there, but this is going to be the first product to be
approved. So that is where it is very difficult to say that what kind of aspects
the regulator would be looking at . So once the precedence is set, then I think
generally it wouldn't be taking much time in getting approvals. So this is going
to set some precedence. So of course, since guidelines are there, we are positive
about it.
Rohit: Thanks, sir. In terms of your term, your term is coming up for renewal. Are
you going to seek a renewal of your term, or will we see a change at the top?
P.S. Reddy: I think it's a personal choice of it. I would not want to talk anything about that.
But for me, the process is the same. I think as an exchange, we have to

advertise, which will happen in maybe the coming week or so. And that
advertisement, anybody can apply. And as for the regulations, a MD is eligible
to apply – MD should not be more than 65 years of age. And number two, no
MD can continue for more than 10 years in an MII. So, keepi

ng that in view,
these two conditions, of course, I am eligible. And advertisement will come
we'll see what it is. My term is coming May, sometime 9th May or so next year.
Yes.
Rohit: Yes.
Lavanya Tottala: Any other questions from you, Rohit?
Rohit: No, that's all. Thank s Lavanya .
Lavanya Tottala: Yes. Thank you .
Kapil: Can I ask a question?
Lavanya Tottala: Yes, sir. Please go ahead.
Kapil: Kapil here from UBS. So, my question is, do you track the nature of the
transactions that are happening on your platform? So, two or three cuts on this.
Firstly, how much of the business that you transacted, let's say in the last three
months, came from repeat customers and how much came from new
customers?
P.S. Reddy: See, last year we had 4,25,000 customers for their last year. And this year, one
minute, this 4,70,000 customers and this year, 2022 -23, we had 6,21,000
customers. So, the incrementally is completely new customers that we have.
Kapil: And so I'm just curious to understand, like, the new customers, are they equally
active as the old customers or they take time to kind of ramp up?
P.S. Reddy: When we talk about the new customers, only those ones who have traded only
we count. Those who have registered, that turns into a few lakhs. So that's not
material. We don't take that into consideration.
Kapil: Right. And is there a ballpark number, sir, which we can kind of leverage off
that, this much of the business come from new customers for you, like 20%,
25% roughly?

P.S. Reddy: You speak ... Go ahead.
Praveen DG : So roughly you can say, while how much they contribute, we may not be
knowing, but roughly out of the total trading -- traded clients, they would be
about 40%, roughly I'm saying.
Kapil: Understood. The second question I wanted to ask you was, do you do channel
checks with your customers? How much of the volume that they are transacting
is for hedging purposes and how much of it is speculative?
P.S. Reddy: Well, see, anybody who is doing hedging has to disclose it to the exchange and
that is anyway disclosed on the exchange website also. The value chain
participants, that's how it comes basically. So that's already available on the
website. So, some of them may be hedging, yet they don't disclose it. They may
not be doing it for whatever reasons best known to them. But it's voluntary.
There's no other way that we can come to know.

Praveen DG : It is always very difficult to say that. A hedger can be speculating, okay. Or a speculator can be really, indeed, he may be having a position in the underlying commodity, and he may be hedging. So as long as he is going to make a right disclosure and he is going to tell us, then I think it is going to get captured in the report what we have been publishing to the market. Like what is their contribution to the overall open interest.
Kapil: Got it. Third question. So , energy sector dominates your business. Do you have a strategy to take this lower over the years? How much would you eventually want this to be as a part of your overall business?
P.S. Reddy: Our strategy is to ramp up other products such that the dominance is what you call, modulated. And I think various product launches that we are proposing to do should help us. But again, there's no reason why we should bring down if some product is contributing more. Maybe it all depends on the volatility in a particular product. And som etimes it is crude , energy, sometimes it's gold, sometimes silver. Be that so, it doesn't matter to us. So that's a -- and these two happen to be cash settled contracts, that's why the participation also happens to be much larger as compared to others.
And that is the intrinsic characteristic of that product. That we can't change it. So, while we increase the volumes in other products, try to bring in a greater

degree of diversity. I don't see anything wrong in this product contributing a larger pie to the total overall business.
Kapil : Understood. And last one from me. So, your new platform, what's been the learnings from this in the last month or so? Essentially, is this playing out exactly as you had thought or along the way you are kind of making changes or adjustments to this?
P.S. Reddy: Well, while the functionality that we have asked has been rolled out, and it is functioning. But stability is still being achieved. As we go along, it's getting more and more stable. And the sporadic observations that we are getting from some random member s are also getting addressed. And maybe it is due to the setup issue at their end, or maybe it is not meeting certain expectations of the member. Maybe sometimes clarifications are needed.
And sometimes it is the files getting generated are also getting late sometimes. And all that is falling in place as we go along. We should be able to improve further upon. But having said this, we have not had any, in the last one and a half months, we ha ve not had any, what to call, failure of the system , mishap. And trading is starting on at dot 9 o'clock and ending whatever is the time, 12.30, 12 o'clock or 11.30. So, that's the way it is.
Kapil : Very good, perfect, sir, all the best and hope for the volumes continue to surge. Thank you.
Lavanya Tottala: Thank you. So, we have last five minutes to 10 minutes. If participants have any questions, I request to unmute and go ahead with the question. Yes. All right so, I think I'll just take this opportunity and I'll take up the last question, sir. So, Salil, go ahead.
Salil : Sir, any change in behavior customer mix on launch of new platform in terms of algo and non -algo? In any sense?
P.S. Reddy: No, absolutely nothing.
Salil : Okay. Could you have seen any…
P.S. Reddy: In fact, if you see the latency numbers, latency has improved in the new system. We are also displaying on the website the latency numbers as against the old

system. Now, you get about at 80 percentile, you get about 350, 360 or something of that kind in that range, as against 500 and odd, 540, 580 kind of range on the previous system. So, I think latency numbers did improve, no doubt about it.
Salil : Got it, sir. Great. That's great, sir. Sir, it's a repetitive question, but if I can ask you to little summarize on what are the products you have approval and you'll

be able to launch. I assume that if the product which you have approval would not requir e a lot of time, so maybe two months, three months, if correct me if I'm wrong, and the products where you will be seeking the approval in next, let's say, three months, six months, you intend to seek approval. Can you summarize that, sir?
P.S. Reddy: Yes. We have steel long bars contract. We have TMT bars; approval is already in place. And we have a gold monthly options contract also. We had, but we have applied for renewal. And these are the two things that we have. But then there are other contracts where we have already applied. So, there's, again, no issue. What we will apply is the serial contract, which we said weekly, that we will apply for it. And that's the one we have to apply. Otherwise, all other contracts we have already applied.
Salil: Okay.
P.S. Reddy: Like electrics, aluminum alloy, and, copper -mini, nickel -mini, all that has been applied.
Salil : Right. So, sir, in this, when you apply, is there a two -and-fro of the exchange -
- From the SEBI, or is it just like you just need to wait for the approval? Or is it they need certain more information requirement? Is there a communication continues or just the approval comes? How does it work?
P.S. Reddy: If they need any, if

they have any doubt, or if there is any additional information needed, they ask us.
Praveen DG : While applying, we have to apply in a prescribed format and giving all the details. Because SEBI has already provided a format in which we have to apply. Okay. And, we have to go through certain procedures, like internally we have ROC. First, we have to ta ke it to our product advisory committee. Subsequently, to ROC, then we can able to submit to the regulator. So, those

are there. But after that, it is, that kind of discussion will get initiated, and it will go till they get satisfied. Then only they will be giving us approval on that product.
Salil : Got it, sir. We have also applied for electricity derivatives , right?
Praveen DG : Long time back, we have applied. Almost two years back we have applied.
Salil : All right, sir. Understood. Yes, that is it from my side. Thank you so much.
Lavanya Tottala: Thank you. Sir, maybe if I can ask one last question, sir. So, if we do not track retail participation, but if retail participation continues to increase with the launch of options or shorter duration options, do you see any regulatory intervention because of higher retail participation, anything like that?
P.S. Reddy: See, as I have been telling and, the equity markets are investment markets and these are, risk management markets, commodity markets. The platform is meant for that. Now, retail participation, yes, is welcome. Retail or otherwise, some degree of speculatio n is needed. Otherwise, liquidity will not be provided and only hedge rs were to meet, then they will not be able to get at the right time, right price without liquidity. That is why we need retail participation. Now, the retail participation or otherwise, the concern flows from the, what you call, the security of the market or the risk management at the market. I think now we are doing risk management right from the client level to the trading member and at various levels, then, what you call, the collaterals are monitored. Allocation of collaterals takes place throughout the day, back and forth, depending on the requirement.
And I don't think we see any problem. But the only expectation is when the client is getting onboarded, members should necessarily, before onboarding, educate the investor as to the risks involved in this derivatives market and whether he has a risk -bearin g capacity or not. If he is risk -averse, probably they should tell them to look at some other safer investments or safer markets. So, that is something which we expect the members to do, that kind of due diligence. But otherwise, they should not, they are anyway doing it in equities.
Lavanya Tottala: Got it. Thank you. Thank you so much, sir. Thanks for your time.

Kapil : Just one last clarification I wanted to, if you can squeeze this one in. Is there any expectation of any compensation for the delay in the launch of the new platform?
P.S. Reddy: Compensation from whom?
Kapil : From the vendor who basically took so much time?
P.S. Reddy: So, there are clauses in the agreement and, subject to that, we can invoke. But then, you will get only so much. Obviously, not INR250 crores that we have paid to the vendor. That is, obviously, it will not be.
Kapil : Sure. Thank you.
Lavanya Tottala: Thank you. Thank you, everyone. And thank you, sir, for your time. Thanks a lot for giving us this opportunity.
P.S. Reddy: Thank you.
Lavanya Tottala: Thank you.

Call: Feb 2024

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com
MCX/SEC/2344 February 19, 2024
BSE Limited
Department of Corporate Services
PJ Towers, Dalal Street,
Mumbai - 400 001.
Ref: Scrip code: 534091 Scrip ID: MCX
Subject: Transcript of the “Earnings Conference Call” with investor(s)/analyst(s) on Q3 FY-2024 results.
Dear Sir,
Please find enclosed herewith transcript of the “Earnings Conference Call” with investor(s)/analyst(s) held on Monday, February 12, 2024 at 16.00 p.m. (IST) on Q3 FY-2024 results.

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,
For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl.: As above

“Multi Commodity Exchange of India Limited
Q3 FY'24 Earnings Conference Call ”
February 12, 202 4

MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER -- MULTI COMMODITY EXCHANGE OF
INDIA LIMITED
MR. MANOJ JAIN -- CHIEF OPERATING OFFICER -- MULTI
COMMODITY EXCHANGE OF INDIA LIMITED
MR. SATYAJEET BOLAR -- CHIEF FINANCIAL OFFICER --
MULTI COMMODITY EXCHANGE OF INDIA LIMITED
MR. PRAVEEN DG -- CHIEF RISK OFFICER -- MULTI
COMMODITY EXCHANGE OF INDIA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Multi Commodity Exchange of India Q3 FY '24 Earnings Conference Call. Joining us on the call are Mr. P.S. Reddy, Managing Director and Chief Executive Officer, MCX; Mr. Manoj Jain, Chief Operating Officer, MCX; Mr. Satyajeet Bolar, Chief Financial Officer, MCX; Praveen DG, Chief Risk Officer, MCX.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. P.S. Reddy, MD and CEO, MCX. Thank you. And over to you, sir.

P S Reddy: Thank you. Good evening, all of you. Welcome to the Q3 investor call. And the quarter has been done , I mean , has concluded as we expected. I think as you all know, we have announced also last time itself , the two quarters that is , the September ending , as well as the December ending has completely consumed by the technology costs. I think now this current quarter is free of any such backlogs or any kind of such heavy items.

And instantly, as I see, I think in this year itself, we have absorbed, thanks to the markets which have helped us , the entire technology exceptional item that has taken place , of the incident that has taken place on account of the technology, what are payment that we have made to the vendor. I think now going forward, we surely will be looking at more stable costs and as I have already explained in the past also, the costs are going to be by-and-large, not linked to the -- technology costs will not be linked to the turnover. It will be more or less on the lines that we have anticipated. I will not take much time and I think I will let the room be open for questions. Thank you.

Moderator: The first question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Yes, hi. Good evening everyone. Sir, firstly, if you could now spell out or give some indications on what could be the technology cost , say, you had mentioned earlier that it will be -- you wouldn't have AMC cost in the first year. But what would be the AMC cost roughly approximately from year two and when does it start kicking in into our P&L? And secondly, are we getting anything from TCS in terms of any recovery of delayed delivery ? That will be my first question.

P S Reddy: Okay. I think although we have commissioned it, but we should not be disclosing because of the contractual obligations. So I may not be able to tell you exactly what the AMC is. But yes, it kicks in from October 16 onwards next -- this 24th of this year from October onwards. So that's one part of it.
And on the TCS , yes, that they are still included, the post go -live activities are also there, some functionalities we kept pending. And I think a call will be taken appropriately. But that will not be a huge amount … that we will be able to recover a substantial part of it for what we paid to 63 Moons, our previous vendor from this.
Prayesh Jain: Sir, can you give us the amount capitalized for the software cost now it would have been there in your balance sheet, right?
P S Reddy: Right. That's right.
Prayesh Jain: So, could you give that amount, at least, the capitalized amount?
P S Reddy: CFO will be able to …
Satyajeet Bolar: I think last time when we discussed this in the call, so we had said it would be in the range of INR225 crores. So it's actually around INR237 crores that we have capitalized. This includes the software , as well as the ecosystem that is the servers, networking equip

ment and also operating and application software …
Prayesh Jain: Got that. Sir, secondly, on the FPI direct market access that we have started, could you spell out as to whether we started for both institutions , as well as the individual FPIs?
And secondly, for institutional FPIs, what really do we offer or what advantages do they really have to kind of do volumes in India as compared to globally, where they would be doing much higher volumes? And what according to you is the potential if they do -- if the volumes really scale up in India? That would be my last question.
P S Reddy: Okay. See, this FPI Category I is what is currently permitted and that's where the DMA facility has also been enabled. FPI II will also be in the pipeline. I think testing is happening. And once FPI II is permitted, then they will also be eligible to trade on the -- I mean, using the DMA facility. And anyway, DMA has been introduced just a few days ago, maybe a week or 10, not long ago. I think that is done.
Then why FPIs participate here? And as I have also said in the past that the price movement need not be the uniform across the globe, there could be differences.

Similarly, our contracts are what we call rupee denominated as against the other contracts wherever it is getting traded. And third, which is important -- equally important is, there's a far month calendar spread may be different in different markets. So that will also incentivize the market participants to trade and that is not only for them and it's for other players also. So, I think there are opportunities . That's the way it is.
Prayesh Jain: Just to this clarification of FPI II, you're saying SEBI has not permitted yet?
P S Reddy: No, no. It is permitted, we are under testing. We are testing.
Prayesh Jain: But when do you think you would be able to launch the FPI II?
P S Reddy: We should be able to do it in this quarter definitely .
Prayesh Jain: Okay. And what is the potential that you think for FPIs?
P S Reddy: Well, that I will not be able to comment on it, that I will not be able to comment on it.
Prayesh Jain: Okay. Just last data keeping question on what would be the breakup of revenues between options and futures, firstly, transaction and non -transaction and then in the transaction segment, futures and options?
P S Reddy: Yes. One minute.
Satyajeet Bolar: The total transaction charges that we earned during the quarter was INR156 crores, INR55 crores is from futures and INR101 crores from optio ns.
Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.
Sanketh Godha : Thank you for the opportunity. This is Sanketh Godha. Sir, on TCS costs which you have capitalized, what is the likely amortization period, you will take i n to your numbers? I just wanted to understand the yearly amortization coming to -- come from INR237 crores ?
Satyajeet Bolar: Yes. So, part -- there are different components to it. So, the hardware would be -- the servers would be amortized over a period of five years. networking equipment over a period of 5 years and the hard core the platform, we are capital amortizing it over a period of 10 years. So, there are different components accordingly, as per – so there

will be different -- time periods would be different for each category.

Sanketh Godha : Then out of the INR237 crores, can you break up that cost into platform and others?
Satyajeet Bolar: It would be a bit difficult because as MD said, that then we'll be mentioning that amount that of the TCS amount, so I won't be able to announce it.
Sanketh Godha : Got it. Okay, sir. Not a problem. And the second question is on SGF contribution. See, last quarter, you contributed around INR11 crores, now it is INR13 crores, is it a

capture or the open interest has increased materially and that is leading to increase in the SGF contribution? And how do we see this trend going ahead , because last quarter, you mentioned that our peak open interest was somewhere around INR42,000 crores , so now I just wanted to understand what was the number in the current quarter? And this incrementally largely because of the open interest or is the catch up basically, sorry?
P S Reddy: Well, there are 2, I would say, the variables , when I say up to 2 factors that gets ... One is, of course, open interest. That is the ultimate thing. Now how -- based on the open interest, there are some stress test calculations that take place. Now those calculations may undergo change depending on our representation being approved by the regulator, the very assessment of the stress test results.
The second thing is that apart from the contribution by the exchange and others, the members also are supposed to contribute as per the SEBI circular, now supposed to be in the sense the exchanges have -- it has been left to the exchanges to seek or not t o seek. Because it's a competitive regime, nobody else is collecting. So obviously, we couldn't have collected.
So, if this is made mandatory by the speculator to have it collected from members also, then 25% of it whatever is determine based out of these stress test results will be contributed by them. So, at this point in time, these are the 2 uncertainties. Now having said this, yes, we have touched our highest what you call , the open interest in this quarter also.
Sanketh Godha: What was that number, sir, compared to last quarter, INR42,000 , INR43,000 crores you mentioned?
P S Reddy: About INR50,000 crores because that's already open -- published on the exchanges.
Sanketh Godha: And the reason I'm asking is that these INR13 crores...

P S Reddy: INR50,000 crores plus.
Sanketh Godha: Okay. And the reason I'm asking, sir, is that the INR13 crores is largely because members did not contribute, and then you made on their behalf a contribution, that's the way I need to understand it, right, sir? Not from...
P S Reddy: Not like that. See, if there's a INR100 crores contribution is required, exchanges to necessarily contribute INR25 crores. CC has to clearly and externally contribute INR50 crores. And if we have been collecting from the members, INR25 crores would have come from members. Since members are not contributing, the CC is contributing 75%. So that is the formula all the time.
Sanketh Godha: The reason I'm asking is, sir, that is this INR13 crores kind of a run rate will continue going ahead also or it's done now?
P S Reddy: Not necessarily, not necessarily, because as I said, there will be -- the SEBI also has permitted the exchanges to consider whether the spot prices or I mean, take the spot prices or future prices. And future prices are more, what should I say, transparent ly determine d in a platform, whereas spot prices are polled spot prices. So, this is the difference. So, if that is also undergoes a change, then probably whichever is -- I mean, which are not whichever reason, once you decide to choose one stream, then you will follow that whatever are the prices that are determined in the future that will be considered.
Maybe that may be another way that may reduce the, what we call, the requirement , obligations on the exchange. But not a substantial difference it's going to make, but unnees bees ka farak toh padega, that’s all.
Sanketh Godha: Okay. So, then we can consider safely that this is a recurring cost, which will be there in your P&L going ahead also? Maybe amount will change, but it will be a recurring

cost in your P&L?
P S Reddy: If -- It's good to have a problem, that's the way I really look at it because there's open interest increasin

g means more and more people are looking at this platform, depth is going to increase, and stickiness is increasing. That's the way to look at it.
Sanketh Godha: Got it, sir. And lastly, on new product launches, we launched Steel. And any update on weekly expiry -- sorry, monthly expir y, gold options? Any pipeline, if you can

highlight , electricity derivatives, any highlight -- anything you want to highlight on new product launches?
P S Reddy: Well, the option on mini natural gas and crude oil futures , I think we have got the approvals and probably we will be launching them shortly. And again, each time we launch, we are testing it to make sure that everything is in order. So once that is done, that will be launched. That is option on mini contracts of crude and LNG.
The second thing is on the gold , that we are not immediately considering. While the testing is going on, but we would like to give some time more for that. And on the other one, the electricity f utures , we had to get an approval for that.
Sanketh Godha: Okay, sir. And lastly, on your role, whether you are reapplying for the MD's role, sir? Or how is it -- I just wanted to understand that part.
P S Reddy: Well, while it is individual choice, probably this is not the right time to answer. That's the way I would like to put it. As of now, my term ends on 9th of May.
Sanketh Godha: Yes, it's just 2 months away. So that's why I'm thinking whether you have made up the mind to apply again or -- okay sir, if you do not want to answer, that's fine. That's it for my side.
Moderator: The next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.
Amit Chandra: Sir, to continue on the launches in terms of the products that you have mentioned, so specifically, so last time, you said that weekly -- not exactly weekly, but mostly a series contract is possible, and we are going to apply with the regulator for that.
And also on the index side, we can launch the index options. So, where we are exactly in terms of the application with the regulator and in terms of timelines for the launch of weekly and the index options?
P S Reddy: Well, that is still work in progress on the index options and other products, serial contracts. As I said, we need to bite as much as you can chew. And at this point in time, these are the 2 products which are very promising. That's what I look at it, whic h we are going to start launching shortly. Once that is done, probably parallel work is going on, on the other products which you have spoken. But these are the two ones which we would like to make them happen , because each product, we have to e ngage actively

with the members and if we simultaneously launch so many products, I think members will also so you tell me what is that I should work on or concentrate on. So, I think that's a challenge which we face also . Ecosystem being the same , we need to focus on, one, make it successful one -by-one or maybe max one two. We are working on this on those lines.
Amit Chandra: No, sir. But in terms of the time line, sir, so maybe if you can throw some light that once you apply with SEBI, then SEBI will approve, then again you will go back to SEBI with the specification of the product, and then it will then get approved in terms of specification of the specific contract and the whole process will at least take 6 months at least to get along or is it a shorter timeline?
P S Reddy: Maybe about 3 months is what I would like to say, 3 to 4 months, ma ximum should be , in the usual course.
Amit Chandra: And sir, secondly, on the SGF thing, you said that it's like difficult to predict the SGF amount. The SGF has been growing and the regulators also told most of the exchanges to at least do

uble the SGF contribution that they have. But based on what understa nding we have is that SGF is not determined in terms of volume, but in terms of the concentration of the single client concentration, the volatility and the maximum laws

that can happen at the single member level , so based on that, the SGF is decided. So, in our case, is it safe to assume that SGF can somewhere be around 5% of the revenues, that is what we see in terms of the contribution, or it can be higher? And , I don't know if you can also share the concentration number in terms of what is the top 10 contribution in terms of members, especially in options?
P S Reddy: Okay … So the -- what I was telling is SGF competition is based on the top two member's exposure or 50% of the total market member's exposure. So our exposure or stress test results are based on the 50% not by the top two members that is -- so we are looking at t hat kind of scenario, where if 50% of the member's exposure has to be liquidated in what we call in a graded manner and how much time it will take, and what would be the extreme losses that can happen is what we have been looking at and accordingly providing for, this year.
So, it's not that our SGF is any less. In fact, ours is stringent as against the equity exchanges that also we have pointed out to the regulators how it is being calculated. Having said that, the -- you're saying that the top 10 members make the difference. B ut

here, it's not the top 10 traders. Traders, they don't keep the open interest as much as the others keep it. And we have top 10 members who keep the open interest are not the same as the top 10 players who happen to be algo players. So that's what it is.
Amit Chandra: Okay. And some clarification on the cost side. So, on the software support services. So, in this quarter, INR146 crores, excluding the INR125 crores that we paid, it's around INR21 crores, that is the additional amount that is there, which was around INR9.5 crores last quarter. So, is it fair to assume that this INR21 crores would be the steady state or there is some one -offs in this in terms of related to the rollout of the platform? And also -- and for the depreciation amount, the depreciation that we have reported this quarter, will it be similar -- like will it be in a similar range, or we can see the depreciation to be higher because it got implemented 16 October, so it is from 16th October, we have taken?
Satyajeet Bolar: Amit, the line includes software charges plus a license fee. So, this amount also includes the amount that we pay to CME, right? So please keep that in mind, right? And also on the depreciation part, as you rightly said that we have gone live from 16th of October. So, we'll have to make slight variation for the full quarter going forward.
Amit Chandra: Yes. But the license fees that we pay is around INR5 crores a quarter, sir?
Satyajeet Bolar: No, no, it's not INR5 crores a quarter. We have gone substantially on – see…
P S Reddy: There's a fixed component. And irrespective of the turnover you have to pay a fixed component. And if the turnover goes beyond that percentage -- threshold limit, then obviously, you end up paying turnover linked fee to CME. So that's how our turnovers have gone up substantially. That's how the -- we end up paying more to CME.
Amit Chandra: Okay. So, what would be the percentage that we pay to CME in terms of that's linked to the turnover roughly?
Satyajeet Bolar: That is -- there's a fixed component plus 10% of what we earn.
P S Reddy: Not a plus what okay …up to let some x percentage of volume, then the INR10 crores, INR10 crores or INR14 crores or USD2 million is consumed. And beyond that, only the ad valorem will kick in.
Moderator: The next question is from the line of Chintan Sheth from Grik Capital. Please go ahead.

Chintan Sheth: Sir, on new product launches, you mentioned a couple of them. But anything related to index launch, which we were planning to do multiple monthly contracts, which will look like a weekly expiries that we are planning that we were planning, what can we expe ct from here on?
P S Reddy: So that's what I explained in the previous question also it's called a serial contracts. So, we are not as yet has yet launched or anything of this kind at this point in time. And we are -- that's work in progress as of now. But what we have done , wherever we are getting approvals from SEBI and one -by-one we are launching. And because we can't wait also or keep it in cold storage for long, otherwise, they will also expire. So that at this point in time, we have crude, NG and the natural gas, crud e and NG options on mini contracts we have. That's what we are planning to launch. And these two, we will

be immediately taking up at this point in time.
Chintan Sheth: Okay. But if you look at futures mini contracts, they have not had enough debt or enough ADTOs, does it make sense for option mini to -- on debt future contract, can -
- does it make sense for us?
P S Reddy: It does, because if you see now also c rude mini and then c rude mini options there's a huge gap between the two. But I think that's how it happens.
Chintan Sheth: Right. Okay. Got it. And SGF, if we look at the total outstanding, the quarterly data, which we provide, which is around INR759 crores as of December quarter. The incremental increase in -- sequential increase in the SGF is higher . I'm trying to still understand how should we look at , because earlier, the quarterly total core SGF fund, which we were holding in our balance sheet, the incremental increase was INR16 or INR15 crores quarterly, which has sharply increased to … crores to last couple of quarters. That is largely driven by the options? Or how should we look at it? If you can explain this aspect?
P S Reddy: One is options and other is the silver also, where each product also their open interest are increasing. They may not contribute so much to ADT, but then the -- if open interest increases in that product, then automatically more SGF requirement triggers in . So, options is one , but then in the case of silver and gold, options are also picking up and open interest is increasing it.
Having said that, if the requirements are increasing in the last 2 quarters , you are talking about , yes, it's on account of options in crude. Crude and NG. And we should not be

counting the INR190 crores, which is penalties in the SGF contribution because whenever we calculate minimum required corpus, we keep it outside that requirement and the SGF contribution gets triggered in , based on the remaining amount.
So, for example, in the month of December, it's INR562 crores, that was the requirement. And so, as a result of which, we had to contribute INR13 crores. And additionally, maybe I know 3x more is being contributed by the clearing corporation.
And together, it is contributed about INR5 62 crores has been contributed by all of us.
Chintan Sheth: Of which our part is INR13 crores for the quarter?
P S Reddy: Yes, yes. But actually, requirement is for INR5 62 crores only. So, although we had INR759 crores, that's not the INR192 crores representation.
Chintan Sheth: Right. Got it. It also includes element of penalties and interest, core is INR562 crores that you are saying?
P S Reddy: Yes.
Chintan Sheth: Okay. Got it. And lastly, on the other opex, if we look at absolute basis also it's increasing. If you can indicate, because it was a few quarters back, it was in the run rate of INR20 -odd crores, INR15 -20-odd crores, and right now, that is tracking slightly higher. If you ca

n also help us understand that part?
So earlier, it was INR8 -12 crores. I'm including this computer and technology INR7 -odd crores, INR8 crores cost that I'm including in the other opex to combine it. So earlier, it was around INR20 -odd crores, now it is INR30 crores. So how should we look at it?
Satyajeet Bolar: If you added. But during the quarter, what happened is, as you know, one is our -- this also includes our CSR expenses. So, our new subsidy, they -- generally, what we do is that we booked the CSR expenses on a quarterly basis. It is divided over the year and proportionately over each quarter. But whatever wholly own subsidy does is that they account for it when they make the payment.
So, during the quarter, they have released a payment to the Prime Minister's National Relief Fund. So that's why it has been accounted. And there are no material changes, only thing is that we had during this a lot of traveling -- there were some traveling expenses that we incurred because of Investor Awareness Program. That is the only

additional expense that has come in. Others have been more or less flat if you compare it with September.
Chintan Sheth: Right. Okay. And we have not so far seen OI increasing beyond December level or third quarter level for which we need to incur additional SGF as of now?

P S Reddy: No, I think, as I said, in this current quarter, the OI has gone up across INR50,000 crores. So, we don't know where it will go. But as I said, it's good to have a problem. And again, we are toying with the idea of contributing more to SGF and forego our interest and then reduce the margin s, then probably the trading will increase and then that we compensate as more than the revenue loss on account of interest. So, these are all the issues that we are discussing. Let's see what happens.
Moderator: The next question is from the line of Parth Agarwal from Bastion Research. Please go ahead.
Parth Agarwal: I have one data keeping question.
Moderator: Sorry to interrupt, sir. May I request you to use your handset, sir? Your audio quality is not clear, sir.
Parth Agarwal: Okay. Can you help me just reconcile one difference in your presentation that is on Page number 6 -- 5 and 6 in the ADT O data. So , as per page number 5, your ADT O in future is around INR20,796 crores, whereas in the Page number 6, where you actually shared the breakup, that number is INR20,471. I'm not able to reconcile the difference.
Praveen DG : Which chart you're referring to, can you come again ? On the 5th page ?
Parth Agarwal: On the 5th Page, if you refer to average daily turnover of futures, which is INR20,796 crores for quarter 3 FY'24. Correct?
Praveen DG: FY'24, it is showing INR23,021. Is that the one you're referring to?
Parth Agarwal: No, Quarter 3 FY'24, INR20,796 crores.
Praveen DG: Okay. 27 for the quarter, okay.
Parth Agarwal: And if I refer to Slide number 6, quarter 3 FY'23 -'24, if I look at the total, the second table basically , for the futures one, it is INR20,471 crores.

Praveen DG: Okay. That is, I think, probably because of inclusion and exclusion of Muhurat trading days as part of the calculations.
Parth Agarwal: So, the slide 6, does it include Muhurat trading, or it excludes Muhurat trading?
Praveen DG: The one which is -- the higher side is excluding the Muhurat trading day.
Parth Agarwal: Higher one encludes Muhurat trading day.
Praveen DG: Yes.
Parth Agarwal: Okay. Got it. So, another question is, so I understand that you -- as per your contract don't want to reveal the maintenance costs. But can you help us with the range projects between INR5 crores to INR10 crores per quarter? Or is it less than INR5 crores per quarter? Anyt hing on that?
P S Reddy: I don't t

hink that's correct, no? I mean that also gives -- we will be doing injustice to the contract, especially the confidentiality that we have to maintain as per the contract. That's not correct. I think it will be unfolding it as we go along. It will be unfolding as we go along. It's only a matter of 2, 3 more quarters. Once we come through October, you will come to know of it.
Parth Agarwal: Okay. Got it. And also, sir on the INR237 crores of software costs that you've capitalized, can you just help me with that -- for that INR237 crores, I understand that depreciation would be for 5 to 10 years, depending on the different breakup. I don't want to know the breakup. I just want to know how much would be the additional depreciation cost because of this capitalization.
Satyajeet Bolar: It would be in the range of around INR30 crores to INR35 crores.
Parth Agarwal: Annually, right?
Satyajeet Bolar: Yes.
Moderator: The next question is from the line of Shreyash Jain from Electrum PMS. Please go ahead.
Shreyash Jain: Most of my questions have been answered. I have a few questions, like , can you just give the breakup of the float income and the other income as well for this quarter?

Satyajeet Bolar: So, during the quarter, our Clearing Corporation has earned around INR26 crores. Basically, as on 31st December, we had a Clearing Corporation at a float of around INR873 crores based on which they were INR26 crores. So that is part of our operating income. A nd our own treasury income is around INR16 crores for the quarter. Because we have invested in all … and we've locked in long term in state development

loan papers as well as in target maturity plans. So, it's around INR16 crores. We don't have any -- hardly any loose cash, just a liquid, what we collect on a CTT and transaction charges. This is all long term.
P S Reddy: We had also locked in the perpetual bonds.
Shreyash Jain: So, there was no other income for this like that membership fees or other charges?
Satyajeet Bolar: That would always be there. Last time, we also had one more separate line of the consultancy fees from CSE, Chittagong Stock Exchange. This time, we didn't have that.
Shreyash Jain: Okay. Thank you. And what can we do to add volumes to the bullion options? Like is there anything you can do to increase those volumes? Because , 90% of ADTO is coming from energy and 96% of premium entity comes from the energy segment. So, like there is a gap between the bullion futures and options. How can we close that gap?
P S Reddy: Well, as I said, the -- while we have been actively engaging with the market participants, the premium being very high in these bullion contracts, there is some kind of, what we call, resistance or I should say, not appreciation of the kind of opportunitie s that are available in this market. Obviously, you need a lot of retail participation. It will come in the smaller contracts than these bigger contracts. So, it's more kind of in education, etcetera.
Secondly, the underlying margins in the futures is also lower in the case of gold as compared to the , both NG and then crude oil. And that's why there's a huge shifting towards the option contract. That's what we understand. But that doesn't mean that we should increase the margins in the gold. I think a gradual shift has to happen, and it may happen also . That's the wa y I would look at it.
Moderator: The next question is from the line of Lavanya Tottala from UBS. Please go ahead.
Lavanya Tottala: So just continuing to the earlier question. So, what are our margins on gold futures compared to the crude futures as of now?

P S Reddy: Well, gold, it is about 8%, plus 8% and 1.2% maybe the extreme loss margin. I'll come back on that … It's about 8%. Okay

. Crude oil about 34% and natural gas is 20% around that.
Lavanya Tottala: Okay. But even in options now, if we look at our option premium to ADV ratio of gold is much, much lower compared to the crude but even then, because of lower margin in gold futures, it will be more suitable for traders. Is it the right way to look at it?
P S Reddy: Yes. But see, what we looked at why the shift has come substantially towards Crude options is that , because the underlying features have become more expensive. And less cost-effective in terms of -- or it's more cost effect to the options that why there's a shift. Maybe that is that may not be true in the case of gold options.
Lavanya Tottala: Okay. Got it. And this time option premium to ADV ratio has been higher. Is it just because of the higher proportion of energy contracts or anything else?
P S Reddy: It all depends on whether they are trading at the money or far away from the money. And I think the volatility was high as a result of this, this particular thing has been taking place. And I think when the people want to get out of it, I mean, maybe they may have entered a t the time of contract near the money, but when they are to get out of it, when the market is moving adversely, then they have to pay whatever is the premium and then get out of it. So that may be the reason why the options premium is higher than what it u sed to be. But in a stable market, it may not be so much like this.
Lavanya Pottla: Okay. Volatility had a play in this quarter then.
P S Reddy: Absolutely.
Lavanya Tottala: Okay. So just wanted to check your opinion on options of -- in terms of competition because options of WTI crude , similar product which is available on NSE now. How do you see competition in this space happening over the last few months?
P S Reddy: Well, ever since the y launch ed, especially, I would say that after -- sometime in October, they launched, and they are increasing, but it is not something it's alarming. -
- as I speak, maybe it is about , one minute I'll tell you right now, bear with me. Options about INR3,000 crores ADT they are clocking. And in the month of February , yes, INR2,800 crores average turnover they clocked , in the options turnover, notional turnover premium is INR2 crores or INR3 crores, INR4 crores , something of that kind,

okay. Is it worrisome? I mean I take everything is worrisome, and we shouldn't rest unless we see a complete -- what we call, blank at all these places, data points. And so, we are working towards it, let's see.
Lavanya Tottala: Okay. Thank you. Thank you, so much sir.
Moderator: Thank you. The next question is from the line of D evesh Agarwal from IIFL Securities. Please go ahead.
Devesh Agarwal: Thank you for the opportunity, sir. Most of the questions have been answered. And just one thing I wanted to understand, this recently, RBI allowed resident entities to hedge gold prices in IFSC, how does that impact us over a longer period? Yes, that is my question .
P S Reddy: Sir, in the Gift City, there is hardly any, I mean activity that is happening as of now. And I think it's only in the silver contract, there is some kind of activity. And that too in the spot market, but not in the derivatives contracts, there's hardly any activity. So, it's too early for me to predict anything on that. And -- but we don't see that, that will be a threat for our existence or sustenance. I don't think so, because they are all dollar -denominated contracts and we have primarily the, what we call a rupee -denominated. And most of the people who are trading, they are all domestic traders, not the foreign. And our contract also has got a custom duty hedge incorporated or embedded rate and which changes once in 15 days or so. So, I think this is a perfect place t o hedge.
Devesh Agarwal: Right. And sir, i

f you could give any sense in terms of like , earlier before RBI banned hedging in the international market , some of the large dealers like Titan, they used to do it internationally. Can they again go back to Gift City also are comfortable also hedging currency contracts separately. So, what would be the quantum in our open interest from these large players versus small players?
P S Reddy: Well, you see the open interest comes big , from the big players, no doubt about it. But there's no reason why they look at the other markets having got used to it. Maybe before there was adequate depth in the domestic market , they were trading there. Incidentally, the RBI bank, they were hedging in overseas markets that's why they all have come over here. now that liquidity has also developed and its catering to their requirements, there's no -- I don't see any reason why anybod y will go over the re.
Devesh Agarwal: Understood sir. Thank you.

Moderator: Thank you. The next question is from the line of Arvind R from Sundaram Alternates. Please go ahead.
Arvind R: Hi, sir. Thank you so much for the opportunity. So recently, like, we got a regulatory approval to -- for foreign investors to pay using direct market active terminals. I'm just trying to understand how it will help us. I know like that is one thing. And I guess, sorry if this question has already been answered. This quarter, the premium turnover to volume turnover has increased. Is it something like a structural thing that is happening in terms of more hedging or anythi ng happening?
P S Reddy: Yes. What I can say is the -- as I said that this quarter, the volatility is more and for which reason, I see that the ratio has improved in terms of our revenue potential. But that's not a structural shift. I don't say that it is structural shift. It's to o early to make any such comments. So, I think we have to wait and watch if it is happening quarter -after-quarter repeatedly, probably we can look at its reasons for such a change.
Having said this, FP Is are keen to use the direct market access DMA facility. So that they don't need to even now and then are discussed with the member brokers whom they are trading. Probably, it will be a seamless activity. And they will have a proper control on what they ar e doing it. And that is the reason why many of the FP I prefer a DMA facility.
And they should -- they -- I don't know if there's no time lag. The moment they feel that, yes, there's a good time to step in and then execute the contract, they immediately enter as if they themselves are the member brokers. So that's what the advantage of having a DMA.
Arvind R: But they can obviously trade at a much lower cost in global commodity broker list like an FCI is it only because of arbitrage -- arbitrage opportunities that is available in the domestic market versus...
P S Reddy: That's right. It is the arbitrage opportunities. And within the -- I mean across the contracts within the domestic market or since our contracts are what we call rupee -denominated, again, there could be another -- that play also can take place. And apart from it, the FP I concept has come because of those who are operating in different

markets they are able to consolidate their books into one book. And that's another reason why they are doing it.

Arvind R: Okay. And just one last question, sir. Like how is the traction in steel TMT contracts? And who are the players who can possibly enter into this either for hedging or for trading?

P S Reddy: Well, not encouraging as yet, but I don't rule out it being picking up because just -- it's a first month of the Steel contract, and it will take some time to mature, okay. And the liquidity is the key to it. Obviously, we have no , what ,

liquidity enhancement program
or anything of that kind. So, we are looking at a market participant to join this. Let's see, we are working towards making it a successful contract. It should be self - sustaining in the next few years.

Arvind R: Okay. Thank you.

Moderator: Thank you. The last question for today is from the line of Marshal Liu from Investore . So, the line for the participant is on hold. May I request we take another participant.

P S Reddy: Yes, please go ahead.

Moderator: Yes sir. The last question for today is from the line of Sanjay Kumar from ithought PMS .

Sanjay Kumar: Hi sir, thanks for the opportunity. Every quarter, there are questions on the breakup of transaction income and other operating income. It would be great if you could include these data points in the presentation. First question on coal exchange. Apparentl y, IEX has submitted a presentation to the Ministry and that the media articles saying that we set up in 1 year. Any comments on this? And where are we in this coal exchange thing?

P S Reddy: Well, as you know, of course, it's an old news that we signed an MoU with Metal Junction, Mjunction for precisely setting up a coal exchange. We are actively engaged with the ministry and various consultations that are taking place. We have also placed what you call , asked the regulators to give us what to call , in-principal approval to venture into it. So that is in process. So, we are also keen to get into that. Yes.

Sanjay Kumar: So, we'll be competing with IEX for the spot or for both spot and futures?

P S Reddy: No. This is going to be a spot exchange only. For futures, you don't need to compete with anybody. One spot comes, then probably we can start the contract in MCX itself. So, we don't need to start separately.

Sanjay Kumar: And this timeline of 1 year, sir, is it possible or?

P S Reddy: See, the ministry is yet to come out with the guidelines and then the actual valuation takes place, whether they would like to have only 1 spot exchange or multiple spot exchanges, we do not know. So, all that is still not determined. So, it will take some time, okay. The regulatory framework itself is not in place. We will be regulating the coal product exchange; nothing is clear as of now.

Sanjay Kumar: Got it. And second, on electricity derivatives, now that there is a stand on market coupling, and we'll have one price across exchanges. Will it accelerate the finalization of derivatives? Or do you think that is also in a go on until that time?

P S Reddy: See, the electricity derivatives has nothing to do with the market coupling concept that is essentially to arrive at the, what we call a spot price . And we will be settling our contract at the end of the contract period , all outstanding contracts will be settled on that one single price. So, on a day -to-day basis season event may not be relevant, but we will continue to use the prices also. It doesn't impact the future prices do not depend on the market coupling concept as such.

Sanjay Kumar: Okay. And finally, on futures, both ADTO and the UCC had a significant growth in Q3 versus declines in the previous months and quarters. Was it a one -off that we had this growth in this particular quarter? Or what is driving this?

P S Reddy: Well, we expect UCCs to continue to grow the active UCCs. But ADT in f uture s, maybe a correction, I would say, you can't -- we cannot compare quarter -to-quarter. Otherwise, it's supposed to be at INR24,000 crores usually. It had come down in the previous quarter maybe. And I think we expect it to come back. And -- but more and more growth we would like to see in the futures contract, and it is going down.

Sanjay Kumar: Okay. Thank you and all the best.

P S Reddy: Thank you.
Moderator: Thank you. Ladies and gentlemen, that brings us to the end of the qu

estion -and-answer
session. I would now like to hand the conference over to Mr. P.S. Reddy, MD and CEO, MCX , for closing comments.
P S Reddy: Okay. I think once again, thank all of you for your un flinched faith, trust in the company. And we will continue to work towards meeting your expectations. And I

think, going forward, the legacy problems are all put to rest with this -- the last leg of the payment that we have made to the vendor. I think -- I mean, I expect the future to be bright. That's the only thing looking forward , nothing more -- thank you. Thanks to all of you for joining.
Moderator: Thank you. On behalf of Multi Commodity Exchange of India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2024

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com
MCX/SEC/2371 April 29, 2024
BSE Limited
Department of Corporate Services
PJ Towers, Dalal Street,
Mumbai - 400 001.
Ref: Scrip code: 534091 Scrip ID: MCX
Subject: Transcript of the “Earnings Conference Call” with investor(s)/analyst(s) on Q4 FY-2024 results.
Dear Sir,
Please find enclosed herewith transcript of the “Earnings Conference Call” with investor(s)/analyst(s) held on Wednesday, April 24, 2024 at 16.00 p.m. (IST) on Q4 FY-2024 results.

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,
For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl.: As above

“Multi Commodity Exchange of India Limited
Q4 FY'24 Earnings Conference Call ”
April 24 , 202 4

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company’s event and while efforts are made to provide an accurate transcription, there may be material erro rs, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain “forward -looking statements” – that is, state ments related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as “expects”, “anticipates, “intends”, “plans”, “believes”, “seeks”, “shou ld” or “will”. Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different that those expressed in our forward -looking statements. We do n ot undertake to update our forward -looking statements.

MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER , MCX
MR. MANOJ JAIN – CHIEF OPERATING OFFICER , MCX
MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER , MCX
MR. CHANDRESH SHAH – CHIEF FINANCIAL OFFICER ,
(DESIGNATE), MCX
MR. PRAVEEN D G – CHIEF RISK OFFICER , MCX

Moderator: Ladies and gentlemen, good day, and welcome to the Multi Commodity Exchange of India Q4 FY'24 Earnings Conference Call.

Joining us on the call are Mr. P.S. Reddy, Managing Director, and Chief Executive Officer, MCX; Mr. Manoj Jain, Chief Operating Officer, MCX; Mr. Satyajeet Bolar, Chief Financial Officer, MCX; Mr. Chandresh Shah, Chief Financial Officer, Designate; and Mr. Praveen D G, Chief Risk Officer, MCX.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then ze ro on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. P.S. Reddy, MD, and CEO, MCX. Thank you, and over to you, sir.

P.S. Reddy : Good evening all of you. Welcome to the analyst call. I'm very happy that the MCX has concluded the year positively, having a payout to the IT vendor. We have closed this year also on a profitable note. While it may not have surpassed your expectations or met your expectations, but the company has done very well if you see in terms of the income, the highest ever income that we have achieved since inception. That's one big highlight of this. That is something which we all should acknowledge.

And secondly, even the turnovers also have also clocked the highest ever and a similar happy ending for this company for this year. And, of course, other facts are before you.

As we have been saying in the past also, we said that while the IT costs will co me down, and they did come down in terms of operating expenses, but there's no, what you call, a substantial reduction because the depreciation costs will go up. So, on the whole, the IT cost may remain on the similar lines as we had with the previous ven dor prior to September '22.

So that being the case, what makes the difference for us is that there is no volume linked payments to an IT vendor. So that will come to a pause at some place. And I don't think we expect any rise in these IT expenses. There could be a marginal rise, but it will be in the same range as it used to be earlier. And the only thing is that we have to drive up our volumes and once they start contributing, they all will go into the bottom line. There won't be any expense linked to the rise in v olumes, is our expectation.

I would not like to take much of your time. I think I will leave it open for questions.
Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. T he first question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain: Sir, firstly, could you explain the reason for the drop in revenue sequentially in spite of the surge in volumes? And the second question is on the fact that you mentioned that the run rate would be similar to September quarter. And if I look at the numbers in September quarter, the run rate of software cost was around INR20 crores quarterly. And if you look at depreciation in that quarter, was about -- in Q2 FY '22 , was about INR6 crores. So totally around INR30 crores was the cost. Would you say that this would be the run rate that would be maintained? And lastly, on the product launches, when do we expect the gold serial contracts to be launched? Those were my thre e questions.
P.S. Reddy : Yes. The second question I will answer immediately. When I said the September stuff will be maintained mean that is, at that point in time, yearly, we were paying around INR60 crores to the vendor. So that INR60 crores is in the current dispensation, maybe a lower, what we call, cost in terms of operating expenses, but higher deprecia

tion will be there.
But together, it adds up to around that kind of INR60 crores is the expectation that we had. And there won't be any, what you call, transaction -linked expenses. That is the reason we said that we will continue to have around that rate we will maintain. So, it's not that '22s depreciation plus the quarter cost is what we were looking at it, the yearly cost of arm technology is what we are looking at.
Prayesh Jain: So, this also includes the AMC fee that we'll pay to the TCS, right? This INR60 crores which you're referring?
P.S. Reddy : It should be. That's right. And coming back to why the revenue -- cost realization -- you can explai n…
Satyajeet Bolar: Good afternoon. There are two main reasons why the revenue has dipped is one turnover in future has dropped. So last quarter, it was INR21,102 crores and this quarter, it was INR17,336 crores, so 18% dip that has contributed substantially to the dip. Also, the treasury income that we earn on margin funds has also dipped by around

INR5 crores. These two factors have led to a drop of INR10 crores in our revenue.
INR191 crores to INR180 crores?
P.S. Reddy : With respect to the new product launches, you're looking at the serial contracts. I think that is still work in progress and it will take some more time. But whatever we can launch immediately, there are some more contracts which we have, we will be -- testing is going on. Being a new system, we want to be careful and then keep testing every time in the new product is launch, a rigorous test. That's why it is taking some time.
Thank you.
Prayesh Jain: I got that. Thank you.
Moderator: The next question is from Amit Chandra from HDFC Securities. Please go ahead.
Amit Chandra: Yes, sir. Thanks for the opportunity. Sir, you mentioned that the reason for drop in revenues is obviously futures and all the lower treasury income. But also, if I see the options revenue, if I see the increase in the notional, the actual growth in the premium is much lower than what the notional increase is. So that is because of the lower premium conversion. So, what has happened in terms of -- in this quarter, which led to the lower premium conversion?
And how the mix has changed, which has actually led to this? And how do you see this, the premium to notional ratio going ahead? Because in other exchanges, as we move to more shorter duration contracts or weekly kind of a contracts, we can see further dip in this ratio. So, this is one thing. And secondly, in the cost part, you said that mostly -- like most of the cost is fixed.
But still, we have some part of the cost, which is linked to the crude oil or the crude contract volume. So, if you can break out in terms of the software support charges, how

much would be the fixed and how much would be variable?
P.S. Reddy: Coming to the first question with respect to the -- absolute premium. See, the higher the volatility, people tend to trade in a relatively f ar month contracts, so far month contracts mean the lower premium. And as a result, our realization will also be slightly lower. But this is something which the market participants decide. In some -- at times we get a higher premium. And we will not be able to pinpoint the reason why in this particular quarter, the premium realization is low and then in othe r quarters, it is high.

Having said that, I think the weekly contracts, our serial contract. I think that's not immediately -- not looking at it. I mean, not looking, in the sense, we do not have any approval. We are designing this contract, and then we will go to the regulator for approval. And definitely, it is a weekly option expiry. The volume will increase, the premium will come down. And to that extent, they have to offset, and the vo

lume
increase should more than offset the fall in the premium, then only it will make a commercial sense. So that's the way it is. And we are hopeful that such a thing will happen.
Satyajeet Bolar: As for the agreement with any -- we pay 10% of what we earn on energy products to CME. So, for this quarter, we have made a provision of INR10.38 crores payable to CME as compared to INR11.98 crores in the previous quarter. That's forming part of the line in software support charges and product license fees. INR10.38 crores payable to CME.
Amit Chandra: Okay. And also, I know recently, we got the approval for the FPI participation, and we launched in crude oil like mini contracts and the natural gas mini contracts. So obviously, these mini contracts will be beneficial for the volumes to rise. But in terms of FPI participation, how are you seeing this in terms of increasing the volum es? Maybe you can just elaborate more in terms of what impact it can have in terms of volumes.
P.S. Reddy: We expect the FPI participation to increase. Now we have category II also submitted and many members have been asking for FPI II category also. And with us from Monday, we are permitted. I'm sure it will pick up maybe in the coming one or two quarters, you will be able to see its full impact.
Amit Chandra: And sir, one last question from my side. So, you said that like most of the new product launches are in the pipeline. But if you can just provide some more color in terms of how much time it takes for a new contract to a device? And I know it need to be tested in the market and to be cleared from th e regulator. So, any timelines that you can give in terms of, for a totally new contract, how much time it takes? And because why I'm asking this is because Index options, we have the approval since last like 1.5, two years, I think. But still, we have not been able to do anything on that. So, what is stopping us from launching Index options?
P.S. Reddy: No, no, I don't think we have any approval for index options as yet. Index options were permitted by SEBI by way of a circular saying that index options will be permitted in commodities. So now that regulatory enablement has been made, we have to now make

an application to SEBI and then get the approval. The whole process may take, I mean, from the time we get approval to launch maybe four months or four to five months -- four to six months if we can take it. Then we will get our approval, usually SEBI has been very quick, and they may take about two months' time to approval. All in all, five to eight months is what the range I will look at it.
Amit Chandra: Okay, sir. Thank you and all the best, sir.
P.S. Reddy: Thank you so much.
Moderator: Thank you. The next question is from the line of Chintan Sheth from Girik Capital. Please go ahead.
Chintan Sheth: Thank you for the opportunity. So, if you can break up the options and futures transaction revenue, that would be helpful for me? That's one. Second is on, if you provide some more color on the product launches, you gave out certain names. But if you can just -- what are in the pipeline, w hat are the -- what we can expect this year and what we can next year in terms of product launches, that would be helpful? That's the second question. Thank you very much.

Satyajeet Bolar: In the quarter, we earned INR149 crores as transaction charges. INR46 crores that is around 31% came from future and the balance was from options.
Chintan Sheth: Okay.
P.S. Reddy: With respect to product launches, we have got some Agri-commodities also. The cotton wash oil we have got as well as the sunflower wash oil also we got it. And I mean, these are Agri-commodities, of course. We are testing it again. And index options is another one which we will apply for. And then shorter duration another one, we are looking at

it, as we said. But any kind of indications and that guidance is not a good approach, is my view. That's why we are not giving any guidance when we can d o all this. But this is on the top of our mind and then pursuing also. That's the way I can say.
Chintan Sheth: Okay. And FPI II, you said category have been permitted. So, have we started on boarding to our DMA line, direct access?
P.S. Reddy: That's what I said, we have already permitted with us from Monday. Already issued a circular also last Friday or Saturday. For numbers to keep on applying for it and then

categories we will be improving. That's why I said you will see the full impact of it in the next one or two quarters.
Chintan Sheth: Okay
P.S. Reddy: Thank you.
Chintan Sheth: That's all from me. Thank you.
Moderator: Thank you. The next question is from the line of Lavanya Tottala from UBS. Please go ahead.
Lavanya Tottala: Thank you for the opportunity and congrats on good set of numbers, sir. So just on the new products again. So, on these which we have already applied or in the process of application and wherever we are in the process of getting approval for different products. Can you help us a bit more on this, maybe specifically on weekly contracts?
P.S. Reddy: As I said, weekly contracts, it is a work in progress. We have not applied as yet, but that is something which we are -- we have to make the system ready, then only we can make that attempt to apply. But these two are parallel processes, we will be doing t hat. But more important is, there are new products we have identified, but it's not good to, as I say, disclose at this point in time.
But whatever we have applied, we have already said, some of the mini contracts in metals is what we have asked for some more. Those are still under the consideration. And the other cities, the electricity f utures, that is evading us all the time. And we have been -- it's a very unusual target, that's the way it is. And we have been chasing it quite for some time. And I don't know when we will be able to meet that.
Lavanya Tottala: Okay. And the products which we already have approval are?
P.S. Reddy: We have a gold -- 10-gram gold contract we have it. That's something which we will...
Lavanya Tottala: It's the monthly one or the usual 10 -gram?
P.S. Reddy: It's monthly.
Lavanya Tottala: Monthly. Okay. So that we have approval, and now it's in our hands to launch.
P.S. Reddy: Yes, that's right. We are testing it, so over time.

Lavanya Tottala: Okay. So, any timeline that you see to apply for weekly options for approval?
P.S. Reddy: No, as I said, madam, applying is the easiest thing to do it. But the point is we need to get the system in place. And I don't want the gap between getting approval and then launch. So, we wanted to bridge it and then the moment we get an approval maybe within a month's time we should be able to launch. So that's what we are currently focusing on. And so let the system be ready and then we will be able to do that. The moment we get a cue that, yes, we are about to -- I mean, we are there almost all then we will be able to do that.
Lavanya Tottala: Okay. Got it. So, this is like once we can launch our monthly the product approval will be similar for fortnightly, weekly and everything or will it be separate contracts which you need approval?
P.S. Reddy: No, no, it's -- I mean we will be issuing monthly contracts which are expiring every week that is the way it is. So, there will be multiple contracts in a month.
Lavanya Tottala: So, this will be each commodity wise you will need to take approval again, right? So

crude and natural gas each commodity will need approval separately for each of these?
P.S. Reddy: Absolutely. Development is

only one.
Lavanya Tottala: System will be ready for all of them. Got it. Thank you so much, sir.
Moderator: Thank you. The next question is from the line of Deepak Singh from ICICI Securities. Please go ahead.
Deepak Singh: Congratulations for the good set of top numbers. My simple question would be from the product line. Sir, if you look at your performance of index derivatives or index futures. So apart from BULLDEX there's much of traction as of now.
So are we looking at launching some composite index like mix of bullion energy and metals so that we can have some traction in the index because if you look at the other exchanges. So, the major volume generator is the index derivatives. So, are we looking at as a composite index for MCX as of now?
P.S. Reddy: Well, we have a composite index, but we are not looking at it because volatility drives any product. And many a times with these cancel out each other, some of the products are in the opposite buckets. So, they cancel out and there won't be any volatility.

But we are keen to revive the metal index and the other one is the energy index and then on which we would like to launch options. So that is where I was telling some time ago options is what we are looking at applying for.
Deepak Singh: So, on the similar line, sir, if I'm not wrong please correct me we have got approval for the electricity future long time back, I think more than a year back. So, are we moving ahead towards launching any product in the electricity futures?
P.S. Reddy: We have not got any approval as yet. No exchange has got that approval.
Deepak Singh: Something was on those lines?
P.S. Reddy: We have applied only. We have applied two years ago and watching.
Deepak Singh: Okay. Thank you.
Moderator: Thank you. The next question is from the line of Dhaval Parekh from IIFL Securities. Please go ahead.
Dhaval Parekh: I hope I'm audible, sir. Sir, in this quarter we have added around nearly – hello…
P.S. Reddy: Yes, we are able to hear you. Please go ahead.
Dhaval Parekh: Yes. So, in this quarter we have added nearly 8.5 million to 9 million UCCs. So, it's a sharp jump. If you see on a year -on-year basis we have more than doubled. So, can you just highlight the reasons for such increase?
And my second question is, although our UCC count has sharply increased in this quarter, our traded UCC data that you provide in the presentation highlights that the traded UCCs have declined on a Q -on-Q basis. So, the reason for such anomaly sir if you can provide?
P.S. Reddy: Actually, the traded UCCs in options have gone up. Earlier it was 3.5 and it is 4 now quarter -on-quarter. In fact, it's been increasing. If you see the -- for the entire year if you see futures last year , '22-'23 it is 3.7 lakhs. Now it is 4 lakhs , this financial year '24 and options in '22 -'23 is 4 lakhs , now it is 7.3 lakhs. So, it's gone up.
And even options also if you see Q4 of '22 -'23 is 2.3 lakh now it is 4 lakhs and in previous quarter the sequential quarter is 3.5 lakh it's gone up.
Dhaval Parekh: And sir increasing this UCC, sir, in this year in this quarter specifically?

P.S. Reddy: This quarter it is -- the total UCCs traded are 5.3 in this quarter that is Q4.
Dhaval Parekh: Sir, not that. I'm talking about the 23 million UCCs that we have currently. The last...
P.S. Reddy: That will -- In fact, I have been what you call what should you say cautioning the members or cautioning the people, don't go by that number because we are a unified exchange. Members are also unified members. When they are uploading it, they are uploading it to all exchanges, all maybe depositories wherever they are members.
They're simply uploading it because we don't know when the client will want to tra

de
in commodities and when in NSE or BSE.
So, this number is not the representative of what is happening on the exchange. So, my suggestion is to go by what we are publishing with respect to the trade d UCCs and that

is where it's more relevant rather than this number.
Dhaval Parekh: Okay sir got it. Thank you.
Moderator: Thank you. The next question is from the line of Arpit Shah from Stallion Asset Management. Please go ahead.
Arpit Shah: Am I audible?
Moderator: Yes, you are.
Arpit Shah: I just wanted to understand the cost structure. If you look at the cost in terms of employee cost and other expenses for FY '25. Can we assume to building a INR30 crores , INR35 odd crores run rate for employee expenses and about INR15 crores, INR17 crores run rate for other expenses moving ahead.
And I also wanted to understand the INR60 crores software cost I think so you mentioned earlier in the call, how should we look at it on an annualized basis? The depreciation plus software support charges and product licenses fees how can we look at it?
P.S. Reddy: I mean, as I said, the software costs I mean be that maintenance or AMC, all inclusive plus the depreciation together will be in that range. And this is not this last quarter I said this is maybe two, three, four quarters before also I have said that. So t hat is what we are going to maintain it. I mean expected to maintain.

But other than that, what you are asking is whether you can give a forward -looking statement, whether the employee cost for the current year will remain the same. I will not be able to say anything on that.
We are keeping a tight control on it and probably the cost structure will also more or less stabilize in the next one or two quarters because post -implementation of the CDP we had taken certain premium services, et cetera, of some of the vendors. Vendors means not the TCS. So, we are talking about we call Db2 or Linux or I don't know what are all the software's that are there. So premium services are needed to attend to us like 24/7 online kind of thing. So, I think we need to wait for this cost structure to settle down for another maybe a quarter or two.
Arpit Shah: So, we should -- there'll be big inflation kind of jump in expenses that you are trying to guide? There has not been any significant change as we would see in employee expense and other expenses.
P.S. Reddy: I mean, at least, I don't foresee huge recruitment drive on the exchange.
Arpit Shah: And the software charges will be around INR60crores a year annualized?
P.S. Reddy: That's what we expect.
Arpit Shah: And the new product launches, are we seeing any kind of...
P.S. Reddy: We have already explained the new product launches.
Arpit Shah: Are we seeing any kind of delay because we have -- you [inaudible 29:32] from 6 to 3 months to 3 years almost now 5, 6 months back. So, are you seeing any delay in terms of product launches, or the approvals are getting delayed?
P.S. Reddy: See, as I said, some of them have to be applied whatever we have applied and whatever approvals are received they are being tested. Two of the important products are already launched from yesterday. That is crude NG and natural gas NG mini options.
And the other one, which I said that the gold 10 grams monthly contract is under testing and also the cotton candy, which is going to be launched maybe from the new season, and that is also being tested. While products are also being tested, some of the functionalities are also, we are releasing it. So, we have to be cautious about it. In our urge or desire to launch everything, we can't put the system to danger. That's why we are conscious in process in our approach.

Arpit Shah: Got it. Just one request for the management, i

f you can publish the premium numbers as you have been publishing the turnover numbers on an everyday basis, that would be easier for everyone to track.
P.S. Reddy: We will try to do that. We'll try to do that. I will try to address. Thank you.
Arpit Shah: Thank you so much.
Moderator: Thank you. The next question is from the line of Shreyans Jain from Electrum PMS. Please go ahead.

Shreyans Jain: Yes. So, most of my questions have been answered. I just have two questions. Can you provide the breakup for the total income for the whole year and transaction fees, crude income and other income like membership and others? And second, any update on the interoper ability?
P.S. Reddy: I will answer the second question first. See, the interoperability in the sense that is implemented BSE and NSE, at least that is not on table or not on cards, at least, we have not thought of it. But we are looking at the fungibility of the collateral in the sense of the term that the trading in one of the exchanges stock -- maybe or I'll put it this way. Let the collateral be there wherever they are and whenever the member wants to transfer his collateral to the other exchange, like MCX, the other exchange will just mark a lien on that amount in favour of the MCX Clearing Corporation. And MCX Clearing Corp oration in turn will distribute that.
And this is the proposal that was submitted and the industry of forum, standard forum of members and others have recommended SEBI. I think that is a work in progress, and we are hopeful that it will be done at the earliest. Thank you.
Satyajeet Bolar: On the total revenue for the year from operations, it was 684 and out of that 560 was from transaction charges and around INR84 crores, we earned through the interest income on the margin funds cycles fees with the Clearing Corporation.
Shreyans Jain: Okay. And the remaining INR40 crores is the other income of the membership fees and...
Satyajeet Bolar: Volume charges, membership, data feed.
Shreyans Jain: Okay. Thank you so much.

Satyajeet Bolar: Thank you.
Moderator: Thank you. The next question is from the line of Parth Agarwal from Bastion Research. Please go ahead.
Parth Agarwal: Thank you for the opportunity. I just have one question, and I need a clarity on the software support charges. So out of this INR23 crores, I understand INR10 crores , INR11 crores is payable to CME. But what is the rest of the amount that we have paid during the quarter?
P.S. Reddy: See, the TCS software comes with a one-year warranty. So firstly, we don't pay anything. And there could be other license fees, etcetera, etcetera.
Parth Agarwal: So, every quarter we will be paying around INR10 crores, INR11 crores.
P.S. Reddy: That why I'm saying, you have to wait for one or two quarters more for most of the tariff structure or charge structure to settle down.
Satyajeet Bolar: Stabilize.
Parth Agarwal: Got it. And so, post October 2024, we would be paying AMC charges. Any clarity on how much we will be paying to TCS for that?
P.S. Reddy: That's what I said in the past also, it's single digit.
Parth Agarwal: Okay. Got it. Thank you so much.
Moderator: Thank you. The next question is from the line of Bhavya Sanghvi from Fortress Investment Group. Please go ahead.
Bhavya Sanghvi: Sir, I just missed the revenue on some of the option segment for the fourth quarter. So please forgive me, so rest of the questions have been answered.
Satyajeet Bolar: Yes. So, from the options, it was INR103 crores for the quarter.
Bhavya Sanghvi: And treasury income for the quarter?
Satyajeet Bolar: Treasury, I'm assuming that you're saying from the Clearing Corporation. The Clearing Corporation that was around INR21 crores.
Bhavya Sanghvi: Thank you.

Moderator: Thank you. The next question is from Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain: Sir, just this INR560 crores that you mentioned on the transaction would be split into options and futures?
Satyajeet Bolar: Yes, for the year. Just give me a minute. So, for the future, it was INR208 crores, and options is INR351 crores.
Prayesh Jain: Yes. INR351 crores. Thanks. Just on this serial contract, I need just certain explanation.

So, you currently have multiple contracts of gold, which of them will come on serial contract?
P.S. Reddy: Well, we are looking at primarily into the crude and NG to begin with because they are cash settle d contracts. Thereafter we will look at other contracts.
Prayesh Jain: Okay. And with respect to gold, we had bimonthly futures. Now we have approval for monthly future. Is that the right understanding?
P.S. Reddy: Monthly futures for 10 grams, but whereas bimonthly is 1 kg.
Prayesh Jain: Okay. And you can -- and do you have the approval to launch options on monthly futures of this 10 mg or you'll have to apply for that?
P.S. Reddy: No, no. We have not launched the f uture. So, the question of getting approval for options does arise.
Prayesh Jain: Okay. Got that. Thank you so much, sir. And just one more clarification. This quarter, depreciation rate -- depreciation is just gone up from INR11.3 crores to INR13.8 crores.
Is that only 15 days possibly was where you didn't have the CDP. So, is this the ratio that we can take for depreciation charge? Or is there anything else needs to be looked at?
P.S. Reddy: The 15 days is in the last quarter, but not this quarter.
Prayesh Jain: Yes, this is the run rate. This is the run rate, INR14 crores. Okay. Thank you.
Moderator: Thank you. The next question is from Chintan Sheth from Girik Capital. Please go ahead.

Chintan Sheth: Thank you for the opportunity. Just a couple of clarification. One, you already mentioned that gold 10 mg will be monthly future contracts you are currently testing, right? That would be one, right? It was on monthly future s contract. Gold 10 mg currently in testing is the monthly future s?
P.S. Reddy: Yes, that's right.
Chintan Sheth: Okay. And cotton candy, which we are talking about is also a futures contract? We were not currently having this contract. Is it so?
P.S. Reddy: We currently have this contract. And there is a change in the contract specifications and the new contract will be launched from the next quarter. Next season, I'm sorry.
Chintan Sheth: Next season once the supply starts.
P.S. Reddy: So that is actually September or October onwards.
Chintan Sheth: Right. Okay. And lastly, on the CME charges, that is the recurring fee on the revenue, on the NG and the energy basket which we generated, both on futures and options put together.
P.S. Reddy: That's right. That will be great. Thank you.
Moderator: Thank you. The next question is from Rahul Agarwal, who is an individual investor. Please go ahead.
Rahul Agarwal: Good evening. Thanks for the opportunity. My question is regarding the average realization that you provided on Slide number three. Is it pertaining to the future segment only, INR 2 lakh?
Satyajeet Bolar: Yes, it's on the futures.
Rahul Agarwal: So, what is the average realization in the option segment? If you could quantify them?
Satyajeet Bolar: INR 40.83 presently per lakh for the quarter .
Rahul Agarwal: INR 40.83. All right. Thank you.
Moderator: The next question is from the line of Shreyansh from Arthya. Please go ahead.
Shreyansh: Yes, thank you. Thank you for the opportunity. Actually, I missed the question before. What is the reason of option premium ratio to turnover drop?

P.S. Reddy: See, t

he contracts traded are at the money or in the money then the premium paid is higher for which reason you will get a higher transaction charges. If the contracts traded are far away from the in the money or at the money, then obviously, less premium will be paid. That's what the reason is.
Shreyansh: Okay, so that is the main reason for that, right? Thank you.
Moderator: Thank you very much. That was the last question in queue. I would now like to hand the conference back to Mr. P.S. Reddy, MD, and CEO, MCX, for closing comments.
P.S. Reddy: Thanks to all of you, once again, and continue to support MCX and we will do our best.

The team will do their best to ensure that the exchange will surpass everybody's expectations in the years to come. And the technical issue is behind us. And I'm sure you all know that that has taken a lot of time and the entire energy of the management in bringing up the new -- putting up the new platform.

Since that is behind us, the management can concentrate on business development. And going forward, that is the only thing that we will do and see to that the company meets the expectations of all stakeholders. Once again, thank you, and I wish you all th e best. Thank you. Thanks to all of you.

Moderator: Thank you very much. On behalf of Multi Commodity Exchange of India Limited, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: Apr 2024

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.comMCX/SEC/2374 May 07, 2024

The Dy. General Manager
Corporate Relations & Service Dept.
BSE Limited,
P.J. Towers, Dalal Street,
Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX

Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr. No	Investor/Analysts	Date	Time	Annexure
1.	Ward Ferry (WF Asian Smaller Companies Fund Ltd)	April 29, 2024	03:30 PM	Annexure - A

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl: As above

 Multi Commodity Exchange of India Limited

Meeting with
Ward Ferry (WF Asian Smaller Companies Fund Ltd.)
April 29, 2024

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates, "intends", "plans", "believes", "seeks", "should" or "will". Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different that those expressed in our forward-looking statements. We do not undertake to update our forward-looking statements.

Annexure -A
Multi Commodity Exchange of India Limited
April 29, 2024

MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – MCX
M R. CHANDRESH SHAH – CHIEF FINANCIAL OFFICER – MCX
M R. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER – MCX (OUTGOING)
M R. PRAVEEN D G – CHIEF RISK OFFICER – MCX
M R. NARESH BHUTA -- DEPUTY CHIEF FINANCIAL OFFICER – MCX

P.S. Reddy: Welcome, Mr. Aman and Nicholas, go ahead. You know the business well. You know what the company is doing or going to do or what it did. And all is in public, and information is available, even as late as what happened day before yesterday, and that's also in the public domain. And go ahead, fire your questions.
Aman: Thanks for making time, Mr. Reddy, Mr. Bolar, Mr. Praveen. I really appreciate you guys being on this, very kind with your time.
P.S. Reddy: Sorry to interrupt you. We have a new CFO joined, Mr. Chandresh Shah, he was with NSDL earlier. He joined us. And of course, Mr. Naresh has been there as the Deputy CFO, you know him, and these two gentlemen will hold the fort. We are handing over the baton to them.
Aman: Very good to meet both of you. I think we'll be in touch as time for business, thank you so much for being part of the journey at MCX. I think first question that we had Mr. Reddy was on just the recurring charges, I think you gave us some clarity on that in the quarterly call recently. It seems that the recurring charges that we had on software side that we -- what we had a quarterly charge in the last quarter seems to be higher than the guide that you have for a full year number starting FY '25, '26.
I'm just wondering, to the extent you can talk about it, are there one-offs in the current quarter numbers, quarter 4 numbers, or is it something that will start playing out more in the couple of quarters as you have mentioned in the call?
P.S. Reddy: Yes, see, because we have just started or rather say, replaced the engine of a flight while flying at 30,000 feet, we have to ensure that there's no glitch at any point in time. So out of abundant caution and care, we have taken a lot of premium services of a lot of vendors. Now call it DB2 or IBM or Red Hat or Confiant or Dell, etcetera, etcetera, etcetera. Those premium services are substantially expensive. I mean higher than what it is. Now do we need it for all quarters. No, not required.

That is the reason why I said the cost structure will be stable, maybe post -- I mean you give us two more quarters, then you will know how it is going to be panning out. And so, this is not a, maybe a true picture of it. Maybe if you allow some more quarters to go by, then you will get some fair idea.
Aman: Okay. That's great. I think just in terms of – again…..you can talk about on depreciation. I think is it safe to assume now the current depreciation number is right and recurring in nature or is there also potentially one-offs on the depreciation side. I know the total numbers you've given as potentially 60 crores annually, including depreciation. But Mr. Bolar, do you think the depreciation currently, for current quarter is broadly run rate?
Satyajeet Bolar: Broadly, it is at 9, I mean we have fully capitalized the CDP project. So, all the

depreciation has come in, amortization has come in from 16th October itself.
So, this quarter figures going forward, it would be -- unless I mean, there
would be some CapEx that would keep coming in.
P.S. Reddy: So, we're planning to do some more CapEx depending on the requirements,
some kind of a separation was needed. So, some more CapEx will come, but
that will not be as big as this number... There is some amount of CapEx.
Aman: Ok. Got it. And I think one question, which probably is a minor point on TCS
side, do you think anything -- do we still are having discussions on any kind of
reimbursements that we could have or do you think that chapter is more or
less closed with the current arrangement itself, for the stocks where delay,
that happened...
P.S. Reddy: I'm sorry, just a very urgent call, I just took it. I'm sorry, please repeat. Don't
mind.
Aman: Mr. Reddy, I was saying that on TCS, is the discussion -

- is there any still
ongoing discussion on any reimbursement or is that a chapter that discussion
is closed already, on the potential reimbursement, because of the debate? I
know they are ongoing vendors, that's not something that you want to affect
the relationship but is there economic outcome that can happen from there?

P.S. Reddy: We have not closed it officially, but the discussions are like -- you just started
the journey, would you start with a discordant note, or would you allow the
project to be run for another decade on cordial note? That's what the
question is. But we have not officially...
Aman: Got it. And sir, in terms of software, is it perfectly working fine. Now we can -
- I think you mentioned in the call a few times for new products, you have to
make sure that the software is working, it's stable. Is it completely still or do
you guys still going through some teething issues in the software that you
would want to rectify before launching new products as we go around?
P.S. Reddy: See, there are some teething issues. But then those are not impacting the
production as such, okay? So, whenever we introduce a new product, we
want to doubly make sure that the system recognizes all kind of scenarios of
that new product as well. So that is the reason we are thoroughly testing it.
Maybe some kind of flexibility is taken away when the coding was done with
respect to the current products, which are there in the masters may not have
been accounted for a new product. So, when a new product is introduced,
maybe that particular functionality is not working as expected. That's why we
are ensuring that is freed up. So, coming back to the question, are there any
problems? I think on a day-to-day basis, we have been doing fine. And we are
also handing over the reports filed, et cetera, by 4:00 in the morning, early
morning. So, we have enough window for us to start the next day activity. And
that was a concern in the beginning for about almost for 2, 3 months. Back-
office files were going late, so some members were concerned about it. Now
that's all behind us. So, stability of the system in that sense, yes, is achieved.
And -- but yes, some more functionalities require wherever, from manually
done, off-market reports kind of thing, not online reports, but offline reports,
they are also getting automated. Those activities, we have -- we are doing it.
There are some post go-live activities also. Post go-live activities means we
have kept certain portion of the functionalities to develop post go-live
because that's not very urgent in that sense. So, one important feature is like

negative pricing. So, in the case of crude oil. So, we have -- that is now getting
implemented. So, some of them are like that.
Aman: Got it. Very helpful. Mr. Reddy, 2 questions from the revenue side, just
broadly. First question is on competition, of course, another exchange trying
to do a lot more work on option side in the last -- especially since October, I
guess, they got permission to start, of September, October. From a customer
perspective, are you seeing any aggression from a competitive exchange,

either their premium ratio is pretty low, is what we observed so far. But how
do you see just broadly competition in the space? Are you seeing anything
which is noteworthy -- I mean, there will always be competition in an
attractive market. But how are you seeing it play out for you guys?
P.S. Reddy: Well, word competition itself keeps us on our toes. So that is good for us and
for our teams to that extent. But then is it getting any traction? Maybe at this
point, my answer is no. And we are also equally making an effort to ensure
that our customer base remains intact, and they continue to support our
system. So, if you see their volumes, it's a

bout INR 5,000 to INR 6,000 crores
ADT as of now, I don't think that will change, is my understanding of it.
Aman: Got it. And Mr. Reddy, I think in our customer base, how much is -- I think you
guys used to provide the information earlier that maybe 55%, 60% of
revenues from arbitrage funds or maybe the top 10 customers, 55%, 60% of
revenue in mostly arbitrage, does that number still hold true? Like is arbitrage
or...
P.S. Reddy: Algo players is what we were talking about. They are the ones who are....
Praveen DG: We have been giving algo and non-algo separate, in the prop and client.
Aman: How much is the algo?
Praveen DG: Last year, it was 52%, around 52.4% algo.
P.S. Reddy: That is 23-24.

Aman: Got it. And has the ratio been -- Mr. Praveen, similar across quarters or
increasing?
Praveen DG: I think in the previous year, it was about 53%.
Aman: Ok. On that note, do you see Mr. Reddy, foreign institutions, the people who
have taken up our terminals, are these typically institutions who are again
algo players or there are also players who are trying to hedge the real
commodity exposure. Like, how does the FPI terminal work in your -- as it
evolves at MCX.
P.S. Reddy: Well, they go to a member broker and then take the terminal. And I don't
think there are hedgers as such, they are definitely one of the kind of algo
players.
Aman: How much will FPI be today? Is it a very small portion of business, Mr. Reddy?
P.S. Reddy: It's about INR 3,000 crores approximately.
Praveen DG: Turnover, total.
P.S. Reddy: ADT, yes, that's right.
Aman: Including options, which is both put together, right?
P.S. Reddy: Yes. Mostly options.
Nicholas: Mr. Reddy, are we seeing -- you launched this Category II, have we seen any
notable uplift in volumes?
P.S. Reddy: We've just launched a week ago, and I think they have to register also, the
registration process is on. And I'm sure you will see in the next 1-month, the
impact of it. That's what my expectation is.
Nicholas: Right. So, the demand is strong.
P.S. Reddy: That's for FPI Category II.

Aman: There is also Category III, right, in that we are launching for FPI?
P.S. Reddy: I mean the requests have come for FPI I and II Category.
Aman: In this FPI Category, Mr. Reddy, where this DMA terminal, this was -- this is
the same one, right? Or is this a different facility?
P.S. Reddy: DMA is given to FPI I, and the FPI II also is being given. It is the direct market
access and where they're -- I mean, they don't need to go -- they will go
through the member broker, but then this is a seamless integration with
members.
Aman: Got it. Okay. That's very helpful. Nicholas, anything else on the revenue side
or like volumes that you want to check.
Nicholas: Maybe just a quick understanding for me is on the FPI Category II, do we

expect like a different type of -- is there like different characteristics, with these new type of institutions or foreign...
P.S. Reddy: FPI Category II are essentially the individual high net worth individual, corporates, maybe family offices, et cetera, they are covered, and many member brokers have been looking forward to that category to be introduced and which we did it just last week, last Monday. And I think it will take some time, as I said, it would take some time.
Aman: All right. Very helpful, last question on just this new development on the regulatory fee that we have been asked to pay. I know the number is probably not as large, but what has been the reason that this clarification came now, and do you think that in the – like, how does that impact our recurring earnings stream so far?
P.S. Reddy: So, as you have seen, like you pay 10% to CME. So, you pay some fraction of it to SEBI on the notional turnover. I think that's the way it is. And in order not

to let people to imagine what that impact will be on exchange; we have given very clear numbers in our press -- or rather upload and the BSE. So, I think -- I mean, it's very clear, there's nothing much we can do about it. But, the

company, we are placing this before the Board at its meeting, next is scheduled soon. And maybe then they will take a call on it what to do, how do we approach on this. That's why we have said that it is being considered by the exchange.
Aman: Okay. That's very helpful. Mr. Reddy, I think and Mr. Bolar, now software transition is done, how do you think about dividends, any kind of view on that, the fact that it is largely fixed fee in terms of software expenses now. And there's no major CapEx probably going to come. Is there any view on like tight increase in dividend as a dividend payout ratio and so on that you guys are thinking about? Or the Board will take a call?
P.S. Reddy: See, currently, it is 75%. And every time we are fully giving out. I mean, there's nothing is kept with us, which is the policy and going forward, also, my personal view is that I'm sure Board will adhere to the policy, whatever that be, where the 75% will become 90% or 20% is a different matter. But I don't see that is going to be changed going forward, 75% going to be there. That's what my understanding is.
Aman: So, this is very helpful. I guess, Nicholas, is there any other thing that you want to check with the team?
Nicholas: Maybe just quickly on this CME contracts. We pay them 10% of transaction revenues, right? And I was just wondering if there's a possibility that this would change in the future? Like what determines this rate and is there potential that it will change?
P.S. Reddy: It's about CME, -- you're talking about CME rate, isn't it? I don't think that will change. It will remain like that. Its volume driven. That's it.
Aman: And it's also only on crude or natural gas, right?
P.S. Reddy: On energy products, let us say, going forward, some other product which is traded on CME is considered, that also get add and indices are also added.
Praveen DG: It is only for the energy…

P.S. Reddy: Energy. Only for the energy obviously.
Aman: Got it. This is super helpful, Mr. Reddy. I think, Nicholas anything else that you want to check on? Net worth income or net worth balance that you want to check -- or do you have those numbers? How much is net worth cash right now?
Naresh Bhuta: So, it is 1,550 crores...
Aman: Net worth cash. And the remaining cash, like total cash?
Satyajeet Bolar: And if we include the margin funds, that would be another 1,000 crores as on 31st March. So that would be another 1,000 crores. That's a part of CCL.
Aman: Okay. I think one last question I had on the numbers. How do we think about SGF, Mr. Bolar. I think I know for 2 quarters, we had SGF contribution because

the open interest went up. Now I think if you look at it in last quarter, despite great growth in option volume, and I'm not able to understand how do I find open interest, but it seems like at least in last quarter, we didn't have any SGF contribution. How do we think about in the future? On a broad basis, do you think as we grow revenue, especially option volumes will keep increasing? And in some quarters, we may have it, in some quarters we may not have it? How should we think about the recurringness of SGF contribution and the rate at which you have to move these contributions?
P.S. Reddy: See, yes, it's all flowing out of these stress tests results for the MRC that is a minimum required capital contribution, that is the SGF. Now there is some tweaking has been done as provided by SEBI in terms of whether future prices to be considered or spot prices to be considered for these calculations. So obvious, futures is mo

re relevant. So that has been considered. So, some kind of headroom we have got it. And that's how we have reduced the margins. If you look at the -- some actual margins imposed in crude, NG, and other things, they have been removed.

As a result of which the margins in the open interest may increase and which is increasing, it's almost 65,000 crores, it was recently. Now with the increase in open interest, obviously, SGF requirements increase. But here, what I want to say is, if you contribute to SGF and the income earned on SGF is anyway, it is tax free. But at the same time, we will be able to reduce the margins so that we can get more volume. So, these 2 may help us or reinforce each other in terms of bringing additional volume to the exchange. At the same time, the interest income will remain in SGF.
Aman: Sir, on the -- you said you will be able to reduce margins. Can you reduce margins further? Like is that an ongoing thing that we'll keep doing...
P.S. Reddy: If we have more headroom or more SGF money, then we can reduce margin. It is coming in the way of this particular reduction in margins.
Aman: Okay. So, this is very helpful. Sir, anything else in terms of either interoperability of exchanges or common margin across the exchange that you think is going to happen sometime in the future.
P.S. Reddy: Interoperability in a limited sense of margins being kept wherever they are, but then transferring to the other exchange is something which we are pursuing it. There is the industry standard forum also is pursuing it. And so, after the equity exchange is shut, maybe I don't need a physical receipt of fixed deposits or bank guarantees and other things, but a lien on the balance amount which is lying out there can be created in CCL, so we can trade commodities, okay? And the next day morning, we can release it if there is any balance. So, this can always happen on a daily basis. That is something which you are looking at.
Aman: Got it. This is very helpful. I think I don't have any other questions. Nicholas, anything last that you want to check.
Nicholas: Maybe just a quick one on -- if you look globally, we see some -- many exchanges have a more diversified revenue base coming from the likes of data and indexing and other technology solutions. So, I was wondering now that

the software -- or new software has been implemented? Are we thinking about maybe going that route of introducing more of those type of income streams?
P.S. Reddy: Well, while the data feed vending is one stream of income, but that's not going to be very big in the case of MCX because we have only that many commodities, maybe 15, 20 commodities, unlike equity markets, they may be getting a good amount of money from data feed of vending also. So, we may not get so much like that.
But having said that, introduction of more and more new products is the only way forward for us to diversify our business. And so, diversification in that

sense, can happen by product wise, but not outside the exchange trading platform. The way that we are maybe looking at is outside the exchange trading platform, but that may not happen. Limited chances are there.
Aman: This is very helpful. Thank you so much, Mr. Reddy for making time. Thank you, Mr. Bolar. Thank you, Mr. Praveen. We look forward to staying in touch with the team and thank you so much for all that you guys have done for the business. Really, really appreciate it. Thank you so much for making time.
P.S. Reddy: All the best, hope to see you some time. Thank you.
Aman: Thank you.

Call: May 2024

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2377 May 09, 2024
The Dy. General Manager
Corporate Relations & Service Dept.
BSE Limited,
P.J. Towers, Dalal Street,
Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX
Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.
No Investor/Analysts Date Time Annexure
1. Group Investor Call hosted by
IIFL Securities including
following participants:
1. Sundaram MF
2. Bandhan AMC
3. Ashmore
4. DSP MF
5. White Oak
6. Motilal AMC
7. ICICI Pru Life
8. IIFL AMC
9. ASK Investment
10. Nippon AMC
11. Canara Robeco MF May 02, 2024 05:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com
Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl: As above
 Multi Commodity Exchange of India Limited
Meeting with
Group Investor Call hosted by IIFL Securities
May 02, 202 4

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material erro rs, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward -looking statements" – that is, state ments related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates, "intends", "plans", "believes", "seeks", "shou ld" or "will". Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual results to be materially different that those expressed in our forward -looking statements. We do n ot undertake to update our forward -looking statements.

Annexure - A

MANAGEMENT : MR. P.S. REDDY - MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER - MCX
MR. CHANDRESH SHAH - CHIEF FINANCIAL OFFICER – MCX
MR. PRAVEEN D G – CHIEF RISK OFFICER – MCX
MR. NARESH BHUTA - DEPUTY CHIEF FINANCIAL OFFICER – MCX

Analyst: Please raise hand icon if you have a question and once your name is announced to unmute your line and ask the question. So, introducing the management, we have with us Mr. P S Reddy, the MD and CEO of the company, Mr. Satyaj eet Bolar, the CFO and Mr…

P.S. Reddy: So, Mr. Devesh , Mr. Bolar has left yesterday and Mr. Chandresh Shah has taken over. I think we have already made the announcement and Mr. Chandresh Shah is with me along with Mr. Naresh, he is a Deputy CFO and of course Mr. DG Praveen , who coordinates Investor Relations at Exchange .

Analyst: So perfect sir, I think we will start, may I request the participants to use the raise hand icon so that we can start the question and Q&A. In the meanwhile, sir, as the queue kind of assembles, I had a couple of questions. Maybe I can start with those.

The first thing sir, there was a sharp decline in the premium ratios in the month of March. So, two questions around that, you did mention on the earnings call that this was partly because of more trading happening in a long-dated options. My sense would have been sir, that the longer the duration, more the premium should be. So is it that in long dated options, the trading generally happens in out of money contracts and that is the reason the premium is…

P.S. Reddy: Not long dated, it is a far end, far end, away from, far away from the money, not in the money or at the money, that is what I am saying. So that means, you know, the premium will be lower.

Analyst: You mean to say out of the money, basically, trading happens more in out of the money.

P.S. Reddy: Not in the money, it is away from the, it depends on how far it is away from the, this one, you know, the …. price , near, what you call the, at the money, rather.

Analyst: So, was it like more, sir, more like a one off or is it like a trend that we should expect it or any trend that you can, or any number that you can share for the month of April?

P.S. Reddy: I don't think we can share it because again, as and when it is published, I think monthly we are publishing the premium and so we will, we will do that. When are you doing this, April month you must have published it?

Management: Yes. And anyway, on a daily basis, it is very much available on your … statistics, but apart from that one, if you want all the data together monthly, anyway, we are uploading.

P.S. Reddy: So how much is it and you have readily available?

Management: Readily, it is not there. Okay.

P.S. Reddy: 1.9. You can tell.

Management: Yes, it is a current April month is better as compared to the March month, it is 1.9.

Analyst: It's 1.9% okay, understood. So, then it was more like a one off in the month of March, because of which it declined to 1.55.

P.S. Reddy: We don't want to draw any inferences, you have to draw, that's it. I don't know if it is one off or otherwise.

Analyst: Okay. Makes sense. Makes sense. Perfect. So again, everyone, if anyone has any question, please use raise your hand icon so that we can call your name and you can ask your questions. Sir, I also wanted to know, hello, sir, we have the first question from t he line of Ajox, you can unmute and please go ahead.

From whom? Ajox.

Analyst: Hi, sir. This is Ajox from Sundaram Mutual. Sir, my question is on the expense. So steady state expense, how should I rate that software support charges?

P.S. Reddy: As I said, steady state, you have to wait for about another two quarters and then see the IT expenses will stabilize more or less. Why I'm saying so is we have taken certain premium services from some of the important vendors. So that's also a bit expensiv e. Similarly, some additional resources are currently working on various activities. They all may be relieved by them.

So, then you will get to know what will be the steady state expense.

Analyst: Understood, sir. And, sir, in the call, you mentioned that it will be similar to what we had earlier plus depreciation. So that still remains, right? Or it will be higher than that base case which you mentioned in the call?

P.S. Reddy: A few percentage points higher or lower around that it should be. That's what our expectation is. And that's how we have modelled also earlier. And that's what I have said that. And unless there are some additional expenses, regulatory requirements are there for which reason we have to invest additionally on infrastructure. Obviously, that will be more. But otherwise, it's

not.
Analyst: But that won't be meaningful, right, to your sense at this point in time?
P.S. Reddy: You see, for example, on the cybersecurity -related, the expenses are – I mean, we have invested a good amount of money in the last two years on cybersecurity. And so many types of setups have been put in place, SOC, SIEM, or some air gap solution they are talking about, whatever that may mean. And, you know, and whatnot. There is a red teaming exercise that's going on. And tabletop exercises, they say, or playbooks for preparation. I'm just reading out some of these things because they all have some expenditure, additional manpower requirements and all that.
That's already there in the current, what you call, quarter, you know, results what we have declared. So, what I'm saying is these expenditures are all regulatory requirements. And we must stay protected. Obviously, nowadays, the cybersecurity is a major threat that we are facing. So that's why these investments have been made.
Analyst: Understood, sir. That's it for me, perhaps.
Analyst: Next question is from Nippon AIF . Aashray, you can unmute your line and go ahead.

Analyst: Hello. Hello, sir. This is Aashray from Nippon AIF . So, sir, on the earnings call you mentioned regarding the launch cycle of the new products five to eight months is something for the index, weekly contracts, etcetera. Any update on that in terms of, I know you do a lot of testing and, you know, the systems should be ready before the launch. But any timeline on those products? That is the first question. And second question is regarding, obviously, the CEO appointment. Any update on that? And is that kind of, you know, the hangover in terms of if it's leading to a delay in the launch of new products? Yes, thanks.
P.S. Reddy: On the first question, I think five to eight months is what I have said that I think that will hold good, my view. And the teams are there in place and they should be – I have not drawn out any detailed red map, so -and-so product will be so -and-so date, et cetera. But the – parallelly, the groundwork is going on. The moment we get some kind of, what you call, a hint from the market players, I think this is a good time to go ahead and launch it. The teams will launch it. So that's how it happens. So that is one part of it. The second part – and also see what – because two of the contracts are agri -contracts. So, we have to see the season, when it is a fresh crop is coming, and whether what are the kind of volatility in the product, etcetera, etcetera.
And accordingly, they will decide. The other part of it is CEO appointment is going on. I think yesterday or day before yesterday, an advertisement has been taken out. And Conferry is the agency which has been appointed to do the job. They will do it at t heir list. And that should not impact, again, the functioning of the exchange, because the teams are in place.
Each one knows what they should do and when they should do, how they should do. And I don't think there's any vacuum is getting created. In fact, I

would say the best way a CEO can say that he is a leader only when he trained up everybody and then leaves or in an autopilot mode. And I think that's the way it is. Thank you.
Analyst: Okay. And just adding on that, so basically there are no hiccups. Everything is going as per plan in terms of launching of new products, right?

P.S. Reddy: I don't foresee that’s all I am s aying.
Analyst: Okay. And what would be the traction or the growth that would come in terms of volumes and other drivers after launching these products?
P. S. Reddy: I will not be able to give any guidance on it. For any contract to mature and then really do meaningful contribution , about 2 years it will take. So that's the way we always work on. And still some work is going on the one contract

which are already launched behind the scenes, and we should be able to revive
those contracts also. Just launching is one part of it, but then making sure that
it works is another one and that's what we are interested in.
Analyst: All right. So again, anyone who has a question please press on hand icon and
we will give you an opportunity to ask the question. In the meanwhile, while
we are on this topic of new product launches, can you help us understand are
there any limitations in terms of launching new products in terms of the tech
platform or in terms of market absorption of launching multiple new products
at the same time? Is there any strategy why you want to go in a very staggered
manner?
P. S. Reddy: Sorry, your voice is not clear. I'm not able to get you, a little closer to the m ike
…can speak into it.
Analyst: Is it better, sir?
P. S. Reddy: Okay.
Analyst: I just wanted to know in terms of launching new products, are there any
limitations on the tech platform or in terms of market absorption of new
products and that's the reason consciously we want to go in a more staggered
manner in terms of launching new products?
P. S. Reddy: See, the – while the physical market may not have any limitation because each
one is a different segment, but when it comes to the member brokers who
provide liquidity who gives out research reports or pricing patterns or technical
analysis etc they educa te their investors, they reach out to the investors and
they definitely have a – ask not to launch too many products at the same time.
Otherwise, they will not be able to absorb it. They will not be able to study it

properly. So I think that's very important feedback that we must take into
consideration before we launch new products. So that's what the issue is.
Analyst: And sir, in terms of the new products that you have already launched, be it your
mini contracts on crude oil and natural gas or your monthly gold options which
of these products are you hopeful of driving volumes in the near term?
P. S. Reddy: All of them should be able to because currently, I mean, crude oil mini just is
almost a week old if I am not mistaken. The previous Monday we have
launched it on Tuesday, and they are clocking maybe INR1 crores, INR2
crores, INR3 crores turnover and it's gradually picking up. There is also an
arbitrage opportunities between the main contract and the smaller contract.
That is also happening. So, the member brokers actually study it and once they
get it a critical mass, then the other players , algo players will also join. So, yes,
it is taking time, but all three really have a great potential.
Analyst: Sir, what are other new products which are there in the pipeline which we
expect to launch over the next 3 months to 6 months?
P. S. Reddy: I have already said that the two of the contracts, agri contracts we are also
launching a new from cotton season, new contract, cotton contract from the
new cotton season. Similarly, we have a 1

0-gram gold coin contract. We also
are looking at studying it and we will apply to SEBI also regarding the index
options. I think these are the ones which we are looking at it. While weekly
options and other things will take some time because we need to build th e, I
mean, we have to test thoroughly the I T systems before we introduce that
product because we never had in the past such a product, that is what it is.
Analyst: Right, sir. Sir, there is one peculiar this thing. We have seen that in volatility
although crude oil volumes and natural gas volumes will grow very heavily in
the options segment, but the same does not hold true for gold and silver. So,
when gold and silver we see volatility, I think we see the traction more in the
future segment versus in the option segment. Why is this difference, sir?
P. S. Reddy: The margins in the futures contract are very high in the case of crude and NG
as against the options. Of course, option writer ends up paying the same thing,
but the option buyers pay just a small premium and that is something which is

really worrying us and that is one part of it. Another expectation that I had is that even option writers have to secure themselves by entering into taking a position in underlying futures, but there are synthetic products have come. Again, using options only they are hedging it. So, they do not need to necessarily what you call hedge in the underlying futures, but the primary reason is the margins that is the margin that is a showstopper and thanks to increase in our SGF cover and then change in methodology. We have already waived off 7% margins in crude as well as NG, additional margins. So, that is where we have seen some traction and with the increase in the SGF cover probably we may be ab le to do some more.

Analyst: Sir, we have next question from Ritika, you can go ahead …

Analyst: Thank you very much. Sir, actually I will start with a very basic question and sir we have always whenever we have met you in the past, we always ask you that why is the business so concentrated in two products?

So, obviously, the next question which I ask you is actually going to be going back on what we actually expect you to do. But still, sir, how do we actually now that you have launched so many products or rather also looking to launch so many products, how does one as an outsider gain confidence that there will be uptake in all of the products without cannibalizing one.

While we always ask you that you should launch more so that the volume should increase. That is why, sir, I am saying that a very basic question that with so many products launched, how does one understand that they all will have an uptake and rather not really cannibalize or eat into the volumes of the existing products?

P. S. Reddy: Okay. If you look at gold itself profile you have gold 2 kg, 1 kg contract you have 100 grams, you have 8-gram , 1 gram and now 10 gram. So, each one is meeting maybe a specific requirement of it, but that is when it comes to gold. Gold is a different product altogether.

But there could be some products which may cannibalize if you introduce a similar product because the purpose of those products may be only hedging

nothing but hedging. So, that may happen, but in the case of gold that is not the case. Some people may be taking it for consumption also.

They may be taking delivery. Gold happens almost all 125 or 130 metric tons of gold since the platform was launched has taken delivery. Almost 4,000 odd metric tons of silver has been delivered on the exchange platform.

So, all these things are happening because they are suited for a different type of what you call meets different objectives. Now, having said that, the volatility in a particular commodity plays that r

ole.

So, if tomorrow the gold picks up or silver picks up or still some other agri - commodity picks up and then their share increases, it is not necessary that it will remain at that level all the time. So, there are forces which are impacting the physical market players for which reason they are also taking cover in the derivatives market. So, hedger's participation has to increase for any of these products to really sustain that contribution.

And secondly, the volatility is another piece which will keep what you call keep the people to flock to the derivatives platforms to hedge their risk.

Analyst: So, secondly continuing with this actually just to maybe understand that firstly, sir, we are obviously now well into the new platform doing well, volumes are great. Just one more you also alluded that you are obviously engaging with the brokers and that is how you are trying to stagger the product pipeline. That is also an initiative.

Just similarly, on the initiative line, sir, looking at you have obviously had a very decent growth in your active traders also. So, just maybe trying to understand what in your opinion has actually led to this. Is it like , the investor education is now helping and that is how we can see that the number of traders which are actually active on your base should keep on increasing.

Secondly from when I had last met you, sir, whenever an account gets opened even then and I think I shared this example with you previously also I had opened a Zerodha account. I mean, when it came to commodity obviously there were these certain further re quirements on maybe if you want to open a

commodity account. I mean, this could be just a Zerodha. I am not sure if this is with every broker or not.
And that was - not that I was looking to open a commodity account back then, but that was a deterrent because if it was the same KYC or the same documents all opened together. So, just want to hear your thoughts on certain more, on these aspects on firstly what in your opinion has led to this activity?
And is it like the introduction of smaller mini contracts that have led to more of this activity. And secondly, on the second aspect that I said that onboarding of the retail customer?
P. S. Reddy: Okay. See, yes, investor education is really -- is a paramount and the most what you call potent tool to bring the people to the commodities. While that tool is not fully exploited or fully used and that is, I mean, how much ever you do it that is conside red to be a drop in the ocean. That is the way it is investor education.
But having said that, having done so much of investor education, alone itself would not have made brought so many people to the platform. I think the participants when I visit some of the member brokers and then even in far away in Gujarat and maybe down S outh or up North what they tell me is the opportunities what you call the margins in the commodities space have increased substantially as against equities.
So, they are spreading to their customers. Look, here is an opportunity and here is so much return you can earn in this commodity markets. So, they have been constantly researching and informing their client base that here is an opportunity in this commodi ty, in this commodity is not there, like that and that's how they are educating their investors. So, that is what is driving the investors to turn towards commodities and try their hand at this. That is one.
I think the single KYC across the MIIs did help in opening too many accounts with the exchange and honestly if you ask me somebody who doesn't trade, we don't want it because that is only increasing the load in the system for me. And you need to scale up the storages etc, maybe the memory sizes have to be

increased. But

they are really trading that's good enough. I think we have 9 lakh plus active investors.
I think we should have much higher ambition than what we have achieved this year. So, coming back to that there is money in it. That is why the investors are coming. If there is no money, nobody would have come. That's the way it is.
Analyst: Devesh , can I continue if nobody else are doing?
Analyst: Yes, sure.
Analyst: Thanks. So, just thirdly sir on the currency futures if you could share that what are we seeing? If I am not wrong, we saw a considerable spike in the month of April. So, could you just help us understand that how sustainable is this growth? If I am not wrong this is also led by some regulatory changes from the RBI's front. So, if you could just maybe from a very basic way just help us understand that how has this changed and what is the growth outlook there look like now?
P. S. Reddy: Madam we don't have a currency futures on our exchange. We are not there in the currency segment at all.
Analyst: Okay. I think I looked up a wrong number. Sir, finally, on the capacity front while you have actually guided on the call regarding like the expenses etc., but just generally with the way the volumes are actually increasing from maybe further because we ob viously know that the TCS transition takes care of the fact that now that your opex will actually move more on the -- will be more on a fixed nature going forward, but other than that any other larger or maybe even a smaller to mid -size capex that will be required to meet this volume from your end?
P. S. Reddy: As I said, if you go by the average volume, I think we are far ahead of whatever

is currently there in terms of system requirement, but what the regulatory framework or the framework that is – the guiding framework that we have is the peak expected volume. So, the peak is something which is maybe a spike, it may be for a fraction of a second or few seconds, but you need to build a

system based on those peaks. So, that is something which is being looked at, but we have not reached that stage as yet.
We don't need to worry on that as yet. But again, we should not take the tech expense as an absolute number. That is also not correct. We need to look at it in terms of revenue, …. how much percentage is tech expense, is it growing faster or is much slower than the top line growth is what we need to look at it. I think that kind of understanding is important for you to appreciate what we are doing on the exchange.
Analyst: I am sorry for this that I don't have the number in front, but did the gold futures numbers at least went up very materially in the month of April?
Management: Yes.
P. S. Reddy: Options ADT, yes, bullion is INR20,000 crores bullion.
Analyst: So, on a month -on-month basis it went up sharply?
P. S. Reddy: Yes, that's right.
Analyst: So, sorry sir actually I shouldn't have said currency futures. Actually, I was about to say gold futures, but did the gold futures actually move up very sharply because of the way how RBI has now actually changed the regulation around the currencies hedging and everything. So, was this an impact of this or if you want to make a view on that?
P. S. Reddy: Whatever may be the reason I have got more turnover and then more money back.
Analyst: No, absolutely, sir. No, why I am asking is that maybe because then maybe we can build the number a little more sustainably. So, I am just trying to understand, did you see more of the people who actually are looking to maybe hedge some on board in the mo nth of April and versus maybe in the previous month or previous months?
P. S. Reddy: No, I see, I don't think that is substantially a reason for it, but the way that I look at is we have introduced the mini -contracts in options and crude and NG

only with an intention that the smaller players in the currency futures who may have to move out will find alternative investment opportunities or in alternative trading opportunities in these two smaller contracts and that is what we are expecting and tha t should pick up in that in line with our thinking.
Analyst: Okay. I am good, sir. Thank you so much.
Analyst: Thank you. Anyone , if you want to ask a question please raise your hand. Sir, in the meanwhile I just wanted to do an update in terms of institutional participation. Last time you spoke that you have started giving me facilities for FPI. Have you seen any…
P. S. Reddy: Your voice Devesh it lacks clarity . Why don't you speak directly, or you can -- maybe you are using headphones, maybe if you disconnect and speak into the mic it may be better. I don't know.
Analyst: Let me try that. I will do that. I will go ahead with the question. Hello, sir. Can you hear me? Yes. Yes. It is very clear. Very good. Yes. Sir, just wanted to ask you, regarding the institutional participation, now that we have enabled the DMA facilities for FPIs and also your recent circulars on Category 2 participation, so how is the traction going over t here, sir?
P.S. Reddy: Just since one week old and then they started applying for all the approvals and permissions. But the CAT -1 has done a very good number of approvals and then participation also. And this is increasing. As I said, so far about INR2,800 crores, INR2,900 crores or INR3,000 crores is the FPI participation has come. And I think it will continue.
Praveen DG : No, sir. FPI participation…

P.S. Reddy: Average.
Praveen DG: Average is about INR3,000 crores. You can take it.
P.S. Reddy: That's what I'm saying. Yes. Options.
Analyst: So, it is average. ADT , that is what you are talking ? INR3,000 crores, sir …

P.S. Reddy: Yes, that's right. But that's very small. We are expecting it to pick up fast. And CAT -2 is something which we expect, more time to add.
Analyst: Okay. And you mentioned that in the CAT -1, are there more participation expected or, I mean, more investors expected in these categories to join?
P.S. Reddy: See, whatever INR3,000 crores has come, that is from CAT -1 only. CAT -2 was permitted just recently. So, once they also start participating, probably you have to wait for a quarter. Then you will see their impact.
Analyst: Understood. Okay.
Lady Speaker: Dhaval, you can go ahead and ask your question.
Analyst: Okay. Just one more, sir. Sir, in the call that you mentioned, you were in the process for applying for the options on index contracts. So, what is the general time duration that it will take for the formation and entire process to be completed?
P.S. Reddy: As I said, about 5 to 8 months is what we said, and we should be able to do it. That's what it is.
Analyst: Okay, sir. That's it, sir.
Analyst: Sir, is my voice any better this time? D evesh here?
P.S. Reddy: Yes, go ahead.
Analyst: Yes, sir. Just coming to our tech cost, now that we have two quarters of numbers, I just wanted to better understand this INR10 crores of AMC that we are paying outside of the TCS. Can you give some more details around that? What are these AMC costs that we are incurring? And is there a trajectory that we can expect that this would decline over a period of time, or this would increase?
P.S. Reddy: Why Devesh ? Just now I explained it. People have to wait. First of all, till the end of September, there is no AMC cost to TCS. You all know that. One -year warranty period. Thereafter, AMC will start.

Analyst: I was asking in addition to the TCS. I am not asking TCS related AMC costs. The costs, which are other tha

n TCS, which has started to incur from the third quarter itself.
P.S. Reddy: That's what I am saying. We need to wait for it. I do not want to, as I said that some of the premium services have been engaged. They are on a quarterly basis. We are engaging them. If we don't need them, then we will drop them off. So that will also redu ce a good amount of cost of the premium services for various DB2 or Linux or Red Hat or Dell, etcetera. So that's what we are talking about. We will let you know. Maybe in the next two quarters, it should be stabilized.
Analyst: Understood, sir. Sir, in terms of capex, given that you are planning to launch your multiple products, any guidance you can give in terms of what is the capex requirement that you will be having going forward to ensure that our systems are robust enough to even handle something like a series contract?
P.S. Reddy: As I said, the current utilization is very low at this point in time in terms of percentage of memory or CPU or whatever it is that utilization. So, I don't think immediately there is any need to enhance the capacity. So , we will see maybe at a later date.
Analyst: Okay. So, you're saying as of now, INR30 crores -INR40 crores of cost will be more than enough annual capex?
P.S. Reddy: I'm not saying anything. What I have incurred, that is there. That's in the books.
Analyst: Right, sir. Okay, sir. We have our next question from Sachit from Motilal. Sachit, you can go ahead.
Analyst: Yes. Hi, sir. Hello. Am I audible? Hello. Am I audible?

P.S. Reddy: Yes, you are audible.
Analyst: Yes. Sir, I want to give just a follow -up on Devesh's question on FPI institutional participation. Sir, you mentioned CAT I itself is giving you a INR3,000 crores ADT. Can you help us understand in terms of opportunity how big this could be? And you know, FPI II traction like Devesh was asking,

you haven't seen anything, but in how much time we can see those coming up in the numbers?
P.S. Reddy: Well, the opportunity for the FPI category is pretty high because there are many – I mean, although the same products are available elsewhere, but the kind of what you call the divergence is there in terms of – in terms of near -month contracts and then far-month contracts are the kind of arbitrage opportunities that are available or something which they are interested in, they want to exploit.
The second thing is the – in the next six months' time, my personal view is that the entire community will be on -boarded and if this commodity risk continues in the markets at the macro level, I am sure all the players will come in because volatility will continue to play its role and bring everybody to commodity markets.
Analyst: Understood. But any number that as a percentage of your ADT, how much that could become? Like a realistic assumption would be?
P.S. Reddy: Again, that kind of guidance we are not giving to anybody, please.
Analyst: Okay. Thank you, sir.
Analyst: If anyone has any questions, please raise your hand. This will be the final reminder. We'll just wait for a couple of minutes and if there are no further questions, then we conclude the call. I think, sir, there are no more questions. I would just want to add, basically want to get some sense in terms of CEO appointment. Although you did mention about it, but your term is ending on 9th May. So, any clarity as in where the process is and how it would be? Would there be an interim extension for you t o continue till the time of CEO appointed?
P.S. Reddy: Well, once my contract ends, then it ends. That's all. I have not offered myself to continue beyond 9th May. And parallel with the process to recruit a CEO started, you have seen yesterday, day before yesterday, another ad has come out and they will do exp editiously so that somebody in place will be in place. And in t

he interim, I think a Board constituting a committee of senior

executives within the company and that has been a practice elsewhere also. We have seen it.
And that they will ensure the exchange day -to-day operations are done as expected. So, I thank all of you for staying invested, grateful. And it's a great company, I must reassure you. It's a good company and I'm sure it will only do better in the times to come. That's what my personal confidence is. And I think you are all benefited thanks to the resounding success.
That the CDP platform has brought into all shareholders. And I think we have scratched only in the surface of the commodity markets. And the growth is, the room for development and growth is very high. I think all of you should stay invested. Thank you.
Analyst: Thank you, sir. Thank you so much. And I must say that the CDP transition has been one of the biggest thing for the company which we have overseen. Thank you so much, sir.
P.S. Reddy: Thank you. Thanks all of you.
Management: Thank you, D evesh.
Lady Speaker: Thank you, sir.

Call: May 2024

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com MCX/SEC/2376 May 08, 2024
The Dy. General Manager
Corporate Relations & Service Dept.
BSE Limited,
P.J. Towers, Dalal Street,
Mumbai - 400001

Scrip code: 534091, Scrip ID: MCX
Subject: Transcript of calls with Investor/Analysts

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:

Sr.
No Investor/Analysts Date Time Annexure
1. Group Investor Call hosted by
HDFC Securities including
following participants:
1. Mirae MF
2. HSBC MF
3. ICICI Pru MF
4. HDFC MF April 30, 2024 04:00 PM Annexure - A

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,

For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl: As above
 Multi Commodity Exchange of India Limited
Meeting with
Group Investor Call hosted by HDFC Securities
April 30 , 202 4

Annexure - A
Multi Commodity Exchange of India Limited
April 30 , 202 4

PRAVEEN DG: MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – MCX
MR. CHANDRESH SHAH – CHIEF FINANCIAL OFFICER –
MCX
MR. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER –
MCX (OUTGOING)
MR. PRAVEEN D G – CHIEF RISK OFFICER – MCX
MR. NARESH BHUTA -- DEPUTY CHIEF FINANCIAL OFFICER
– MCX

P.S. Reddy: Good evening to all of you. I think we have today five mutual funds, HSBC, ICICI Pru, HDFC, SBI and Mira e. Welcome to all of you for this Analyst Meet . And since you know the company, you have been staying invested in this company for long, I do not think I need to introduce anything about the company. I think you can straight away fire questions, whatever you have. Yes, HSBC, please.
Analyst: Maybe if we can start off with the transition that is happening on the software side to TCS. Now, what are the things that are pending and where have we reached?
P.S. Reddy: See, by and large, the piece, what is needed for trading for day -to-day operations is in place. So, it is going on, you know, more or less smoothly. We do not find any issues. The only thing that we kept for post -go-live, which is a regulatory piece, is the negative pricing. And negative pricing, you know, it is a black swan event and once in a blue moon it may happen. But nonetheless, we would like to implement it, you know, as early as possible. Certain schedules or the guidelines have been, or the dates have been submitted to SEBI. We would like to strictly go by that. And that is what we are urging TCS also to complete this as even as committed to SEBI. This is one part of it.
The second part of it is some operational ease of doing business, you know, in terms of technology. That is what is being done. So those like, for example, auto INSC approval. That means , when institutional trades are done, the custodian may be giving 50 crores limit, 100 crores limit. So those trades need not go to the custodian every time for acceptance, etc.
So, if a limit is given, up to that limit, it should be automatically approved and beyond that maybe it has to go to him. So that is some functionality. It is almost all tested and everything is in place. We should be able to introduce it shortly. Similarly, the API - based allocation , de-allocation. So, these are all operational issues, you know, where brokers understand what is the utility of it. And so, they are all in the process of getting released. But did it stop us doing business? My answer is no.
So, this is one part of it. But all the same, a new system is a new system, and we have, you know, replaced the engine of an aircraft , while we are flying at 30,000 feet. Any more further experimentation that we want to do it, we have to thoroughly test it. Even

if it is a new contract, on the same pattern as we have currently, still we would like to test it thoroughly. So that is what is happening.
Some of the contract approvals we have received, like cotton seed , wash oil and we have got sunflower wash oil again, the gold 10-gram contract monthly. These are all the things we want to do. Similar contracts are there in the system, yet we wanted to introduce it in our UAT system, and then test it thoroughly, including for load, and then do it.
And I must acknowledge and happily share with you, post -migration, our volumes have almost doubled. You all must have noticed it. And the system has taken it in its stride. And hardly any capacity utilization is , hardly anything, despite such doubling of volumes. So , in that sense, we are really in a good, safe zone. And there's no need to, you know, embark on any expansion or any kind of capacity.
But there are guidelines when we should trigger what you call expansion. It's supposed to be 1.5 times of the peak expected load, is what the regulations say. And so , they're all looking into it, our IT, all that, those kinds of regulations . But yes, we are at this point in time, in a very safe zone.
Analyst: So, in the month of November, you mentioned that latency is around 380 microseconds for 80% of the trade, and around 540 to 580 for all

the trades. How has that number
been now?
P.S. Reddy: See, once in a while it is getting disturbed. Okay. Especially when, you know, when -- we have increased, when the volumes are, there's what is called a microburst. So, in a split of a second, a huge spike comes, then some packets are missing -- data packets, and maybe even some data feed vendors also complain. So , we increased the bandwidth for this tick -by-ticks, this one, to 300 Mbps.
Now, so we didn't find that , those hosts have adopted for that kind of thing. And so , whenever that happens, then this one will increase. Similarly, we have noticed when some security tools were deployed in databases, we were told that , that is also increased because it keeps scanning for some, what you call, hash values or IOCs, whatever they call it in technical terms. Don't expect me to know. I'm using it like a parrot, but then the meanings of it, I do not know. But essentially it checks for those chara cteristics of

a malware. So , for which they keep polling it. So that will again eat up the resources consumed , so some of these activities we're doing it. So , they're moderating it. They are, what you call, optimizing it.
So, I think it's there. We are currently there at that 90 %ile. But if it is beyond 90 %ile, there is some increase in the latency.
Analyst: So, what is top 80 % rate latency now if we exclude the burst? Has it reduced or has it remained the same or has it increased?
P.S. Reddy: It is around 300 and odd, 350. It remained there by and large. Volume has increased, no?
Analyst: Correct, correct. That's the reason.
P.S. Reddy: That's right.
Analyst: And then secondly is...
P.S. Reddy: And it will further come down because some more investments we are doing it in the segregation of storages. We are doing it , that is expected to further reduce the latency.
Analyst: And the second question is, what we are doing now to make sure that a Feb 13 -like event doesn't happen again, where there was a delay in opening of the exchange?
P.S. Reddy: That has happened for a variety of reasons. To begin with, it was – there were some operational manual error. Some process was run before some other process got ended. And so, it has its own consequent impact. Then we need to restore it, etc., etc. Having said this, we also learned that we were generating two types of files. One is the XML; other one is the CSV files. 99% of the members are using CSV files. But XML files take some more time. On that day, when that system generated, CSV files were generated almost all by 9.30 to 10. But the other ones took time. Then it's again with hindsight we are talking.
And then we've done a survey of it with all the member brokers . Oddly half a dozen or 10 people are using it. We told them, migrate it to CSV. And so that we are

discontinuing it from 1st May. We already issued a circular. So , no XML files will be generated, only CSV. We already issued a circular to the member brokers .
So, what I wanted to say is , we wanted to reduce the time. Unlike equity exchanges, where they are shut by 3.30, we are there till 12 midnight. Again, you have to be ready up for 9 o'clock , so that is what the challenge is. And the window is very small.
Analyst: Just on the TCS charges also, one clarification. So , where we are on the charges side, do you see these charges now being the way they are now in the coming quarters as well? Or would there be any significant change?
P.S. Reddy: When it comes to charges, I don't know whether there's any separation that is given in the charge structure . But as we have said, for 6 years it is locked in. There's no problem about it.
Analyst: Not even inflation or…?
P.S. Reddy: No, no inflation. We have provided for

an 'x' rate of a single digit percent age growth
is what we have provided. And first year is free and there's a warranty period and then whatever has to kick in, that will kick in post -October.
Analyst: Okay, single digit growth rate. Growth ?
P.S. Reddy: Okay. Isn't it? Yes, that's what inflation is.
Analyst: Sure. Okay. Also, sir, in connection to what you were asking, so last quarter we had a cost of say, 24 crores in cost of support charges. That comes to around 100 crores. But at the call we said it was to be in the range of around 60 crores including depreciation. So, was it, are we taking the cost higher? So, this is higher or are we seeing this to come down?
P.S. Reddy: See, currently we are using a lot of premium services. Okay. Which I also said in the call, the Red Hat, DB2 , IBM that is, and Dell, Adobe because we want everybody to be around. When there's a problem, they will fix it. Now that stability issues are there still, but then that may come in the night. So, we want them to be here. Once those premium services are brought down to the standard services, costs will also go down. That's point number one.

Number two, some of these costs which you are saying, maybe some manpower costs are also we are hiring from external sources, vendors. So , it will come down , when I say that 60, it is not exactly the 60, the upper limit or anything like that. But yes, you should take it as, you know, 10%, 15% up or down kind of thing. But I want more than anything else, irrespective of what number we say, you must give maybe another two quarters for the cost structure to become stable. Then they can, thereafter you can look at what it will be.
Analyst: 60 crores number is after the first-year warranty expires ?
P.S. Reddy: Again, I'm saying, don't go by the 60 number. You wait for the cost structure to be stable and then by that time, you know, the warranty period also will come to an end.
Analyst: Sir, one rather simplistic question. You mentioned that you allow for a single digit percent age increase in the business.
P.S. Reddy: Linked to CPI.
Analyst: Got it. So , sir, when you do your annual budgeting exercises, etc , when you build in a certain revenue growth or a certain business growth, what kind of thought process, you know, how should we think of growth in futures and options going ahead? What is your thought process when you do your own budgeting exercises for the year?
P.S. Reddy: Well, we can explain. The polynomial distribution is what is taken into consideration as a curve. He has prepared it and presented to the board. This is how we will grow in options. This is how we will grow in future s. This is the way that he has presented it. And the targets are high, steep for us, but that is for us to deliver and that's what it is. That's what we look at. But it's not a linear curve.
Analyst: It's based on some probability distribution.
P.S. Reddy: He doesn't want to disclose it, but I think it's not fair.
Analyst: No, I just want to know the thought process.
P.S. Reddy: It is well established in that sense.

Analyst: So, what about the new contracts that we could introduce on the gold and silver side, non-delivery based?
P.S. Reddy: Non-delivery means cash -settled contracts. But there is no cash -settled contracts in this.
Analyst: So, are we planning to introduce?
P.S. Reddy: We won't get any permission on non -delivery. Because these are all from day one, they are all delivery -based contracts. Why do you need cash -settled contracts if these contracts are doing well , is the question that they will ask. We will have no answer. So , you can expect in index products, some new products to be brought out , like currently we have a BULLDEX doing well, ca

sh settled product on that we can look at options.
But again, we will design it and then send it to SEBI, and then we'll tak e the approval.
Analyst: So, in the past one, two years where we've seen this kind of growth, can you talk about three, four initiatives from your side which would have helped? So , some would have definitely been in the market coming up, but what would have been your successful initiatives which have helped the volume grow?
P.S. Reddy: One is this, a lot of Algo players have joined this, you know, HFT and other things. The number is increasing. That is something which has substantially picked up. And yes, options contract is another one. While we have introduced it and then left it, but then subsequently we have given a lot of fillip to these option contracts. The other one is the mini contracts, which has also helped us to add more volume to this. And the retail participation has started increasing substantially. Earlier that was not there. Now it has gone up.
I think this year we had got almost 9 lakh and odd. UCC is actively traded, as against 6 lakh. So that's a big number, big jump. Well, having said this, I caution you and I temper your expectations vis -a-vis the equity exchanges, because we are not like you can enter into a market with a INR10 or a INR100 investment or INR1000 investment. The contract value itself is maybe INR3 lakhs, INR5 lakhs, INR10 lakhs, whatever it is. So, so much of investment is needed as an upfront margin . So, so many small invest ors will not come. That's where you have to be careful.
Analyst: Which is good in a way.

P.S. Reddy: I don't know good or not, but then if it is good for it, then it should be good for the other exchange also. Why is it not so?
Analyst: Any kind of concern that you have heard from the regulator's side in terms of this good increase in volumes? Have they sounded anything which they have?
P.S. Reddy: It's the other way. They have not expressed any concern or anything, so far. They expect us to make sure that the markets are clean, run, and adequate supervision, surveillance is there, and everybody is doing their bid and making, I mean, playing a fair play is being seen.
But having said that, the concern should be, if at all there should be, that why your markets are not growing as much as it has to be. That is the way it is. Because at this point in time, our market is not big. It's very small as compared to many internat ional markets. And as compared to the size of the equity markets, it's very small. Now when I'm saying small, it's not the number of participants. It is the number of the physical market that is there in this country. How much of the physical market is int egrated into the commodity markets? Hardly anything.
So that is what the area that we must focus on. That's something which we are not able to do it while we keep making attempts. And that is something which there is a lot of scope for. Physical market plays are not fully onto our platform. And there is a hu ge scope for it.
Analyst : Sir, on that backdrop, have we done any analysis ever as to what is the color of these traders in terms of, say, city -wise presence, Tier 1, Tier 2, Tier 3, or how many make profit, how many make loss? The way it was disclosed in equity some time back, some 90% apparently make.
P.S. Reddy: That is, SEBI has conducted some, or organized some study to be conducted.
Analyst : For commodities also?
P.S. Reddy: No, for equity markets that was. But that may hold good here as well. May hold good. But the point I am making is, see, it is the speculators who take your risk. It is the

hedgers who hedge their risk. So , there is somebody who is needed to take that risk.

So, not that everybody will not make money.

Now in the case of the commodities, the
point we are making is, the hedgers think this is also a market which they can play using their physical resources. Or if they make loss here, they think it is really a loss without realizing that the physi cal book they have made profit.
Hedge rs, obviously, one side they sell it, then the other side they buy, position will be there. It will have a countervailing effect , isn't it? So, net -net there is a zero loss, zero profit kind of thing. But they don't consider that. If they lose money here, they really think that they have lost money.
Analyst : Just to continue on hedging, we have seen a very sharp crash in currency derivatives market . Suppose that, how do you see that hedging for the commodity will shape up? Especially from foreign participants ?
P.S. Reddy: I don't know when currency market, any foreign participants are there or why they are there. Okay. But we are introducing, we have introduced others, mini options, contracts. One of the intentions is to address the alternative avenues for the people who are participating in the currency markets. That is point number one.
Number two, that if currency markets have to function only purely for hedging purpose, I don't think anywhere in the world any market will work only purely for hedging purpose. Because both sides will not have the same requirement at the same time. So, obviously, the number of participants will be far and few in between. So, I mean, you need speculators, you need financers.
Analyst : Sir, when you think about new products, like you mentioned some of the agri products are in pipeline and one of the gold contracts is also in pipeline. What is the thought process behind introducing new products? How do you kind of prioritize and select which sort of new products?
P.S. Reddy: I'm sorry, I missed it. Something else was crossing my mind. Yes.
Analyst : No worries. What I'm saying is that when you introduce new products, what is the thought process behind selecting those new products and then prioritizing which products you want to introduce faster to the market?

P.S. Reddy: How do we select we look at both buy side and sell side. There should be adequate number of participants. If it is kind of oligopolist or monopolist kinds of thing then things will not work. So, both sides you need adequate. And whether there are imports, exports are there in this market -- in that product also we look at it.
So, we also look at the regions where it is grown or where it is consumed, et cetera , because that is where we need to set up the delivery centers. That's important for us.
For example, here aluminium we made the Raipur as the main center. Earlier, we had Thane , we made Raipur because most of the industry factories are located in the Eastern region and later on it picked up like anything Raipur because whosoever wants to consume, they all go to that side and then bring it.
So, if you have Raipur as the delivery center it helped for many people who are in this industry. The other thing is we look at the volatility also whether there is any price controls or whether there is a free market is there, whether adequate volatility is there.
If there is no volatility, then there will be no trading hardly any trading. So, these are the factors which I can think of. Anything you would like to add one or two additionally you can add.
Praveen DG: We look at the physical market and if at all there are any reference products that are traded globally.
P.S. Reddy: Yes, that’s important.
Praveen DG: More importantly, what kind of how much the spot market is there, spot prices are very important because whatever your price s are dependent on spot prices , as it is a derivative product . The more efficient the market we can able to get it. So, one is availability of the price, second i

s how volatile it is , because if at all it is not volatile
there is no need of anything.

Analyst: So, what is currently top 5 or top 10 brokers share to your overall options volume?
P.S. Reddy: It's about 55% or 60% was the order.
Praveen DG: There is no significant change.
P.S. Reddy: What is the number?

Praveen DG: Top 10 is 63%.
P.S. Reddy: 63
Analyst: This is in options only or total.
Praveen DG: This is total ...
Analyst: Out of these, how many are high frequency?
Praveen DG: You can look at the algo numbers. It is 52%.
P.S. Reddy: Not 52% of 63, it is total.
Analyst: And sir, you mentioned that right now there is a huge disconnect between the physical and the exchange market. Wouldn't this also be a hindrance to, let's say, having a larger FPI participation in future, because that is something that has been talked about. But we don't know how liquidity or depth will be built for them to participate meaningfully.
P.S. Reddy: Look, currently F PIs are allowed only in cash -settle d. So, it requires some more journey before they are allowed into the other products. Okay. Before F PIs are allowed, we want mutual funds to be allowed at least in the metals, which are non -perishable commodity. Even there it is not allowed because, allowed in the sense, the holding period is 30 days. In 30 days, how will anybody be able to trade?
And unlike in gold where they have increased it to 180 days. But it is worth 30 days. We have been representing it. And good that I am speaking to the industry only. We have also recently met the … CEO s of industry. We have given three, four letters to SEBI requesting them. These are the one, two, three things that we want the industry to pursue it. And it is not that MCX ask, it should be the industry's ask. But unfortunately, industry itself is not showing so much of interest. That is what we got it. So, we have requested them to pursue that. We have given that. For example, you are supposed to hold only LBMA gold. Why LBMA? On the one hand, you say the, in India, good deliveries should be permitted. But the SEBI regulation of the circular says LBMA go ld. So, obviously, when I'm giving delivery on the exchange platform, we

can't guarantee that you will only get LBMA bar. You may get some other domestic bar also.
Analyst: Any exchange has been integrated to the broker how long with the separate?
P.S. Reddy: I didn't understand.
Analyst: Exchange has to participate with the trading.
P.S. Reddy: Exchange has to participate with the trading ?
Analyst: It has to be live on a trading…
P.S. Reddy: But if any trading member has to be onboarded ? It is just plug and play. You have CTCL vendors. You keep your system steady and then test it. You have a testing environment is available. You test it. MAT is the one, member, not admin … It's a testing bed. You test it. And then if you are okay, then next day you connect it. And before that, if you want to do small volumes, then you can use the internet, not even leased line. If leased line may take some time. Feasibility etc. has to be c hecked. Using the internet, you can trade.
Analyst: On premium to notional, basically, that trajectory is declining. And that is how it should be. As notional volume picks up, the premium to notional ratio should fall also. But in March month, it was like fairly steep … it at came at only 1.5% around. So that is expected to continue, or you expect there was some one -off in it or something. Because the notional volume has continued to go up. If we see April MTD also, it is fairly high.
P.S. Reddy: See, while historically what is happening elsewhere, that is what is to be replicated here. You're right. It's supposed to come down. But this capricious behaviour of t

his
relationship, we have not as yet got a full handle on it, why it is behaving this way. But you're right. Even when the volumes were right, it was 2% also sometime , in one of the months …it has come down to 1.6%. So, we are still doing our own…
Analyst : I believe it's 1.8% now.

Management : No. April number is not out yet.

Analyst: Some understanding on how you projected revenue, that would be really helpful, sir, whatever exercise you did, if you can, whatever in your limited...?
P.S. Reddy: We will do it on a conservative basis only, we do that. Okay, so much I can say. What is that number or how do we project it, we will not be able to.
Analyst : Not the number exactly but follow up to his question on how to think about future option, what all parameters, probability, will be helpful.
P.S. Reddy: But as we have said in the past also, I think it's how much 1 is to 3 ratio or something we have given it, isn't it? If we have future equivalent, so they should go by that, because there is an underlying number. Okay, underlying number is 1.5 or 6.
Praveen DG : But what I'm saying to that ratio is there – your premium turnover depends like on volatility – and also what is the duration of that existing turnover, okay such happen to be very near to that – then automatically the ratio can come down, because automatically near, very near to the expiry and people also prefer to trade in out of the money – so automatically the ratio – but if you still have lot of days to expire – volatility also needed…
There are several factors ….to look at it – and it is very difficult to really get some idea as to what could be that ratio – if the volumes have grown more and more – slowly the numbers will come down. Because automatically overall the growth is extremely match with the amount of growth would have taken place that means – the overall pie is itself would have gone up – so ratio will slowly… That is a different – altogether it is a different game, because …
Analyst: This number will further come down …
Praveen DG: … Weekl y definitely because of duration of the contract is going to be automatically …
Praveen DG: But that should be adequately compensated by the volume, otherwise you will have a problem.
Analyst: Sir, what are the contingent liabilities on your exchange, like yours?

P.S. Reddy: Contingent liability, the income tax , what you have been giving? But we have been givin g also. Please explain what is that you...?
Satyajeet Bolar : We have a few cases basically which pertains to -- there was a special audit done by PWC, prior management, prior to 2011, which the income tax department in 2017 picked up for reassessment. That we challenged in the High Court and even in the Supreme Court, the department had gone, but we won at the Supreme Court. So over that, we have sho wn a contingent liability for 140 crores.
Analyst: Thank you. But my question, if we have won the case, wouldn't that be released?
Satyajeet Bolar: I mean, the department has gone and appealed.
P.S. Reddy: In the High Court, we won. Then they went to Supreme Court asking for a special audit once again. Supreme Court said nothing doing, it's enough of it. So, they have to now satisfy themselves with whatever data they have.
Satyajeet Bolar: No special audit, nothing.
Analyst: My question was a little different actually with respect to the operations. In case a fraud is detected, will there be any liability on the exchange, that's one? Or if there are outages actually beyond the reasonable limit, are there liabilities arising ou t of these circumstances?
P.S. Reddy: We have -- yes, do you have anything …? We don't have any such instance where we have to do a contingent liability at this point in time. And there is

no fraud detected so far… there is no fraud. Let me be clarified. And you have an insurance cover for cyber - attacks etc.
Satyajeet Bolar: So, we have adequate insurance policy.
Analyst: For outages also? Let's say there was one recent incident.
P.S. Reddy : You have?
Analyst: There are liabilities on account of those things also.

Satyajeet Bolar: It depends on whom the liability is on, isn't it? So, there is a carve -out from the DNO policy also. The CTO and all is covered under that. And the company is also covered under that. There is a carve -out from the DNO policy for that.
Analyst: So, I do not understand fully. So, is it unlimited?
Satyajeet Bolar: No, it won't be unlimited.
P.S. Reddy: But even that also is not unlimited. It won't be unlimited.
Analyst: Ideally, whenever there is an outage beyond a specific point of time, we get penalized by the regulator. This time we did not get any penalty from the regulator because of this. We were beyond 45 minutes.
P.S. Reddy: No, it's beyond 45 minutes. But then here, our submission is that trading is not started at all. Okay. If your trading is started, there will be an open interest created and then people will have they could not exit, all that kind of thing. Whatever open i nterest is there, that is the previous day's open interest anyway. So much is the risk is anyway you have taken. If there is a holiday also, you will take the risk. But there is no, you know, intraday risk that has been, anybody has been expose d to… trading is not started.
Analyst: With that exercise which you mentioned that was done for the board where you projected volumes, etc. Just your thought process in understanding the underlying parameters which will lead to the growth.
P.S. Reddy: I don't know whether I will be able to give you those numbers or those parameters. Because, again, I may, I will land in trouble with the regulators or somebody else, which I don't want to get into it as a listed company. But I think you are all good at doing that modelling. So, I think you should be able to project it. In fact, if three of you do it and then publish it, probably we will be able to learn what is that best suited model.
Analyst: Another thing is the way regulators have been saying, not directly, but now there is a duopoly, the way equity derivatives have grown. Do you think there can be a duopoly if you continue to grow like this in options which you have? There will be you can sa y in a way, forced duopoly from the other commodity exchange also?
P.S. Reddy: Where is duopoly? I just want to know.

Analyst: No, right now, you have the highest market share.
P.S. Reddy: That is monopoly, at this point.
Analyst: I am talking about referencing it to equity derivatives. Equity derivatives, now it has started from an exchange which was 0% to now 17% market sharing …
P.S. Reddy: My view is that is also monopoly because what is traded on NSE is not traded on BSE. Nifty is nifty and Sensex is Sensex. So, from that point of view, it is a monopolistic situation they are in. But ACC is traded at both the places, ACC is traded, then that is duopoly in that sense.
Analyst: In terms of operating leverage, I wanted to understand, if our volumes grow, what is the kind of employee expenses or other expenses, growth that we can expect?
P.S. Reddy: As I said, you give us two more quarters, I am sure all this will be settled. As I said, there will be some excess, you may have taken some consultants, for a specific cost. The job is done, you have been given a one-month contract, a one quarter contract, contract is over, now it is done. So, you will not see that.
Analyst: So, that is settling part. I am asking more about after it settles, what kind of growth is needed t

o maintain the, if there are incremental volumes, say X, do we need to increase?
P.S. Reddy: My personal view is, over the last five years, the manpower cost did not go up because the volumes are increasing. There is no need. Maybe the regulatory front, the requirements may be increasing it.
You need to have a greater supervision of the member brokers or whatever that is happening in the marketplace, you need to regulate. Or on the cyber security point of view, additional requirements may come. For which reason, we have invested a good amount of money in the last two years on cyber security. Several measures have been taken. So, we need to see that, that kind of expenses may come, but not otherwise.
Maybe at the consolidated level, you should not find an SGF can be an issue at all. Why I am saying is, if a contribution is gone to SGF, interest will continue to earn in SGF and SGF is something which is helpful for the, for this growth of the business . Why? Because the margins are kept very high, because the SGF fund is low.

If the more, more fund is, I mean, more is, money is put in SGF, then your margins can be brought down. And we did that. Recently, we have removed 7% additional margin in crude oil and in, in, in natural gas and maybe 1.5% or 2% in gold, silver. We brough t it down, no? Silver, silver. Brought it down, silver. So, as a result of it, the open interest increases, then SGF requirement increases. In fact, we would like to contribute more and more to SGF, okay, so that these volumes will increase, while money is not lost anywhere, because, say, we have also come out with another regulation. Whenever the SGF requirement goes down, you can withdraw also from SGF, okay?
So, in a, in a sense, it is, you can take it back, okay? So, we have never resorted to it, that's a different matter. So, you can reduce the margins and then increase the, earn extra revenue. Even if the, increase in, even if the volumes go up, to the ext ent that the margin is reduced, so that without brokers putting additional margin, only the same margin is put in the same business, okay, whatever it is doing, you will see good amount of growth.
Analyst: Sir, there is a…
P.S. Reddy: That was, that was earlier, but it is about six months or so, there is a circular also, SEBI .
Yes. Done? Anything else? Tell me ….
Why are you anxious to have interoperability ? That may harm, harm exchange interest, you know? It happened in the case of BSE, NSE. Why I am saying is, what we are asking for at this point in time, and that is almost all we ask, unanimous ask of the member brokers also, is that as far as collateral is concerned, you don't give me collateral. If something is lying with NSE, be that so, but at the end of 3 :30, if member says that so much lien be imposed in favor of, kept for, for MCX or CCL, then so much they will communicate to the MCXCCL, then we will allot that, use it here, member brokers will use it. Then, again, next day morning, whatever is left out or there is some unutilized amount, again give it back to them. So, that itself is good enough interoperability, though, more than enough.
We will be able to utilize optimally the resources without taking, you know, keeping one set of money here, another set there, third set in somewhere else. That is good

enough. That is what my expectation and, and the, it improves the efficiency of capital that is deployed in the capital market. So, the brokers are all for it.
Analyst: Just one question is, practically, under what scenario will MCX think to change the pricing of the contracts, both in futures and options?
P.S. Reddy: Under what scenarios you would like us to change it? See, the regulator always expects us to be making profits, not profiteering. Tha

t is what the way they say. So, if you are really under stress, you can understand. So, frequent changes are not expected ... If we introduce one more slab to increase volumes, a lower slab, maybe that may be encouraged, but definitely not increase d in the ... So, keeping that in view, we have discussed it in our member advisory committee meeting, the tariff structur e also, and where the members are part of that. So, a small group will be constituted, and who will actually discuss the tariff structure.
And we did place before them, do not expect lowering it. We will not raise it. But it is important to keep in mind that we need to expand, we need to, what you call, we do not know when the co-lo requirement will come, and we do not know when the new projects like coal spot exchange will, you know, we have been thinking, we have been talking, but then nothing happened on this front, because we need to get regulatory permissions that have not been received.
So, all these things, they require more funds, probably we need to have it. And recently we have spent, okay, recently we spent money, I mean, on this new technology platform also. So, there is no room for reduction is what we have communicated. And so, t hey will look into it, the revised tariff structure.
P.S. Reddy: Great. Thank you. Thanks to all of you. Thank you. I enjoyed the interactions with you over the last many years …

Call: May 2024

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.comMCX/SEC/2374 May 07, 2024
The Dy. General Manager
Corporate Relations & Service Dept.
BSE Limited,
P.J. Towers, Dalal Street,
Mumbai - 400001
Scrip code: 534091, Scrip ID: MCX
Subject: Transcript of calls with Investor/Analysts
Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed herewith the following transcript of the call with investor/analysts:
Sr.
No Investor/Analysts Date Time Annexure
1. Ward Ferry (WF Asian Smaller
Companies Fund Ltd) April 29, 2024 03:30 PM Annexure - A
The said transcript is also uploaded on the website of the Company at
https://www.mcxindia.com/investor-relations/ir-meetings
Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said meeting.
Kindly take the same on record and acknowledge receipt.
Thanking you,
Yours faithfully,
For Multi Commodity Exchange of India Limited
Manisha Thakur
Company Secretary
Encl: As above
 Multi Commodity Exchange of India Limited
Meeting with
Ward Ferry (WF Asian Smaller Companies Fund Ltd.)
April 29, 2024

Annexure -A
Multi Commodity Exchange of India Limited
April 29, 2024

MANAGEMENT : MR. P.S. REDDY – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – MCX
M R. CHANDRESH SHAH – CHIEF FINANCIAL OFFICER
– MCX
M R. SATYAJEET BOLAR – CHIEF FINANCIAL OFFICER
– MCX (OUTGOING)
M R. PRAVEEN D G – CHIEF RISK OFFICER – MCX
M R. NARESH BHUTA -- DEPUTY CHIEF FINANCIAL
OFFICER – MCX

P.S. Reddy: Welcome, Mr. Aman and Nicholas, go ahead. You know the business well. You know what the company is doing or going to do or what it did. And all is in public, and information is available, even as late as what happened day before yesterday, and that's also in the public domain. And go ahead, fire your questions.
Aman: Thanks for making time, Mr. Reddy, Mr. Bolar, Mr. Praveen. I really appreciate you guys being on this, very kind with your time.
P.S. Reddy: Sorry to interrupt you. We have a new CFO joined, Mr. Chandresh Shah, he was with NSDL earlier. He joined us. And of course, Mr. Naresh has been there as the Deputy CFO, you know him, and these two gentlemen will hold the fort. We are handing over the baton to them.
Aman: Very good to meet both of you. I think we'll be in touch as time for business, thank you so much for being part of the journey at MCX. I think first question that we had Mr. Reddy was on just the recurring charges, I think you gave us some clarity on that in the quarterly call recently. It seems that the recurring charges that we had on software side that we -- what we had a quarterly charge in the last quarter seems to be higher than the guide that you have for a full year number starting FY '25, '26.
I'm just wondering, to the extent you can talk about it, are there one-offs in the current quarter numbers, quarter 4 numbers, or is it something that will start playing out more in the couple of quarters as you have mentioned in the call?
P.S. Reddy: Yes, see, because we have just started or rather say, replaced the engine of a flight while flying at 30,000 feet, we have to ensure that there's no glitch at any point in time. So out of abundant caution and care, we have taken a lot of premium services of a lot of vendors. Now call it DB2 or IBM or Red Hat or Confiant or Dell, etcetera, etcetera, etcetera. Those premium services are substantially expensive. I mean higher than what it is. Now do we need it for all quarters. No, not required.

That is the reason why I said the cost structure will be stable, maybe post -- I mean you give us two more quarters, then you will know how it is going to be panning out. And so, this is not a, maybe a true picture of it. Maybe if you allow some more quarters to go by, then you will get some fair idea.
Aman: Okay. That's great. I think just in terms of – again…..you can talk about on depreciation. I think is it safe to assume now the current depreciation number is right and recurring in nature or is there also potentially one-offs on the depreciation side. I know the total numbers you've given as potentially 60 crores annually, including depreciation. But Mr. Bolar, do you think the depreciation currently, for current quarter is broadly run rate?
Satyajeet Bolar: Broadly, it is at 9, I mean we have fully capitalized the CDP project. So, all the

depreciation has come in, amortization has come in from 16th October itself.
So, this quarter figures going forward, it would be -- unless I mean, there would be some CapEx that would keep coming in.

P.S. Reddy: So, we're planning to do some more CapEx depending on the requirements, some kind of a separation was needed. So, some more CapEx will come, but that will not be as big as this number... There is some amount of CapEx.

Aman: Ok. Got it. And I think one question, which probably is a minor point on TCS side, do you think anything -- do we still are having discussions on any kind of reimbursements that we could have or do you think that chapter is more or less closed with the current arrangement itself, for the stocks where delay, that happened...

P.S. Reddy: I'm sorry, just a very urgent call, I just took it. I'm sorry, please repeat. Don't mind.

Aman: Mr. Reddy, I was saying that on TCS, is the discussion -

- is there any still ongoing discussion on any reimbursement or is that a chapter that discussion is closed already, on the potential reimbursement, because of the debate? I know they are ongoing vendors, that's not something that you want to affect the relationship but is there economic outcome that can happen from there?

P.S. Reddy: We have not closed it officially, but the discussions are like -- you just started the journey, would you start with a discordant note, or would you allow the project to be run for another decade on cordial note? That's what the question is. But we have not officially...

Aman: Got it. And sir, in terms of software, is it perfectly working fine. Now we can -
- I think you mentioned in the call a few times for new products, you have to make sure that the software is working, it's stable. Is it completely still or do you guys still going through some teething issues in the software that you would want to rectify before launching new products as we go around?

P.S. Reddy: See, there are some teething issues. But then those are not impacting the production as such, okay? So, whenever we introduce a new product, we want to doubly make sure that the system recognizes all kind of scenarios of that new product as well. So that is the reason we are thoroughly testing it. Maybe some kind of flexibility is taken away when the coding was done with respect to the current products, which are there in the masters may not have been accounted for a new product. So, when a new product is introduced, maybe that particular functionality is not working as expected. That's why we are ensuring that is freed up. So, coming back to the question, are there any problems? I think on a day-to-day basis, we have been doing fine. And we are also handing over the reports filed, et cetera, by 4:00 in the morning, early morning. So, we have enough window for us to start the next day activity. And that was a concern in the beginning for about almost for 2, 3 months. Back-office files were going late, so some members were concerned about it. Now that's all behind us. So, stability of the system in that sense, yes, is achieved. And -- but yes, some more functionalities require wherever, from manually done, off-market reports kind of thing, not online reports, but offline reports, they are also getting automated. Those activities, we have -- we are doing it. There are some post go-live activities also. Post go-live activities means we have kept certain portion of the functionalities to develop post go-live because that's not very urgent in that sense. So, one important feature is like

negative pricing. So, in the case of crude oil. So, we have -- that is now getting implemented. So, some of them are like that.

Aman: Got it. Very helpful. Mr. Reddy, 2 questions from the revenue side, just broadly. First question is on competition, of course, another exchange trying to do a lot more work on option side in the last -- especially since October, I guess, they got permission to start, of September, October. From a customer perspective, are you seeing any aggression from a competitive exchange,

either their premium ratio is pretty low, is what we observed so far. But how
do you see just broadly competition in the space? Are you seeing anything
which is noteworthy -- I mean, there will always be competition in an
attractive market. But how are you seeing it play out for you guys?
P.S. Reddy: Well, word competition itself keeps us on our toes. So that is good for us and
for our teams to that extent. But then is it getting any traction? Maybe at this
point, my answer is no. And we are also equally making an effort to ensure
that our customer base remains intact, and they continue to support our
system. So, if you see their volumes, it's a

bout INR 5,000 to INR 6,000 crores
ADT as of now, I don't think that will change, is my understanding of it.
Aman: Got it. And Mr. Reddy, I think in our customer base, how much is -- I think you
guys used to provide the information earlier that maybe 55%, 60% of
revenues from arbitrage funds or maybe the top 10 customers, 55%, 60% of
revenue in mostly arbitrage, does that number still hold true? Like is arbitrage
or...
P.S. Reddy: Algo players is what we were talking about. They are the ones who are....
Praveen DG: We have been giving algo and non-algo separate, in the prop and client.
Aman: How much is the algo?
Praveen DG: Last year, it was 52%, around 52.4% algo.
P.S. Reddy: That is 23-24.

Aman: Got it. And has the ratio been -- Mr. Praveen, similar across quarters or
increasing?
Praveen DG: I think in the previous year, it was about 53%.
Aman: Ok. On that note, do you see Mr. Reddy, foreign institutions, the people who
have taken up our terminals, are these typically institutions who are again
algo players or there are also players who are trying to hedge the real
commodity exposure. Like, how does the FPI terminal work in your -- as it
evolves at MCX.
P.S. Reddy: Well, they go to a member broker and then take the terminal. And I don't
think there are hedgers as such, they are definitely one of the kind of algo
players.
Aman: How much will FPI be today? Is it a very small portion of business, Mr. Reddy?
P.S. Reddy: It's about INR 3,000 crores approximately.
Praveen DG: Turnover, total.
P.S. Reddy: ADT, yes, that's right.
Aman: Including options, which is both put together, right?
P.S. Reddy: Yes. Mostly options.
Nicholas: Mr. Reddy, are we seeing -- you launched this Category II, have we seen any
notable uplift in volumes?
P.S. Reddy: We've just launched a week ago, and I think they have to register also, the
registration process is on. And I'm sure you will see in the next 1-month, the
impact of it. That's what my expectation is.
Nicholas: Right. So, the demand is strong.
P.S. Reddy: That's for FPI Category II.

Aman: There is also Category III, right, in that we are launching for FPI?
P.S. Reddy: I mean the requests have come for FPI I and II Category.
Aman: In this FPI Category, Mr. Reddy, where this DMA terminal, this was -- this is
the same one, right? Or is this a different facility?
P.S. Reddy: DMA is given to FPI I, and the FPI II also is being given. It is the direct market
access and where they're -- I mean, they don't need to go -- they will go
through the member broker, but then this is a seamless integration with
members.
Aman: Got it. Okay. That's very helpful. Nicholas, anything else on the revenue side
or like volumes that you want to check.
Nicholas: Maybe just a quick understanding for me is on the FPI Category II, do we

expect like a different type of -- is there like different characteristics, with
these new type of institutions or foreign...
P.S. Reddy: FPI Category II are essentially the individual high net worth individual, corporates, maybe family offices, et cetera, they are covered, and many member brokers have been looking forward to that category to be introduced and which we did it just last week, last Monday. And I think it will take some time, as I said, it would take some time.
Aman: All right. Very helpful, last question on just this new development on the regulatory fee that we have been asked to pay. I know the number is probably not as large, but what has been the reason that this clarification came now, and do you think that in the – like, how does that impact our recurring earnings stream so far?
P.S. Reddy: So, as you have seen, like you pay 10% to CME. So, you pay some fraction of it to SEBI on the notional turnover. I think that's the way it is. And in order not

to let people to imagine what that impact will be on exchange; we have given very clear numbers in our press -- or rather upload and the BSE. So, I think -- I mean, it's very clear, there's nothing much we can do about it. But, the

company, we are placing this before the Board at its meeting, next is scheduled soon. And maybe then they will take a call on it what to do, how do we approach on this. That's why we have said that it is being considered by the exchange.
Aman: Okay. That's very helpful. Mr. Reddy, I think and Mr. Bolar, now software transition is done, how do you think about dividends, any kind of view on that, the fact that it is largely fixed fee in terms of software expenses now. And there's no major CapEx probably going to come. Is there any view on like tight increase in dividend as a dividend payout ratio and so on that you guys are thinking about? Or the Board will take a call?
P.S. Reddy: See, currently, it is 75%. And every time we are fully giving out. I mean, there's nothing is kept with us, which is the policy and going forward, also, my personal view is that I'm sure Board will adhere to the policy, whatever that be, where the 75% will become 90% or 20% is a different matter. But I don't see that is going to be changed going forward, 75% going to be there. That's what my understanding is.
Aman: So, this is very helpful. I guess, Nicholas, is there any other thing that you want to check with the team?
Nicholas: Maybe just quickly on this CME contracts. We pay them 10% of transaction revenues, right? And I was just wondering if there's a possibility that this would change in the future? Like what determines this rate and is there potential that it will change?
P.S. Reddy: It's about CME, -- you're talking about CME rate, isn't it? I don't think that will change. It will remain like that. Its volume driven. That's it.
Aman: And it's also only on crude or natural gas, right?
P.S. Reddy: On energy products, let us say, going forward, some other product which is traded on CME is considered, that also get add and indices are also added.
Praveen DG: It is only for the energy…

P.S. Reddy: Energy. Only for the energy obviously.
Aman: Got it. This is super helpful, Mr. Reddy. I think, Nicholas anything else that you want to check on? Net worth income or net worth balance that you want to check -- or do you have those numbers? How much is net worth cash right now?
Naresh Bhuta: So, it is 1,550 crores...
Aman: Net worth cash. And the remaining cash, like total cash?
Satyajeet Bolar: And if we include the margin funds, that would be another 1,000 crores as on 31st March. So that would be another 1,000 crores. That's a part of CCL.
Aman: Okay. I think one last question I had on the numbers. How do we think about SGF, Mr. Bolar. I think I know for 2 quarters, we had SGF contribution because

the open interest went up. Now I think if you look at it in last quarter, despite great growth in option volume, and I'm not able to understand how do I find open interest, but it seems like at least in last quarter, we didn't have any SGF contribution. How do we think about in the future? On a broad basis, do you think as we grow revenue, especially option volumes will keep increasing? And in some quarters, we may have it, in some quarters we may not have it? How should we think about the recurringness of SGF contribution and the rate at which you have to move these contributions?
P.S. Reddy: See, yes, it's all flowing out of these stress tests results for the MRC that is a minimum required capital contribution, that is the SGF. Now there is some tweaking has been done as provided by SEBI in terms of whether future prices to be considered or spot prices to be considered for these calculations. So obvious, futures is mo

re relevant. So that has been considered. So, some kind of headroom we have got it. And that's how we have reduced the margins. If you look at the -- some actual margins imposed in crude, NG, and other things, they have been removed.

As a result of which the margins in the open interest may increase and which is increasing, it's almost 65,000 crores, it was recently. Now with the increase in open interest, obviously, SGF requirements increase. But here, what I want to say is, if you contribute to SGF and the income earned on SGF is anyway, it is tax free. But at the same time, we will be able to reduce the margins so that we can get more volume. So, these 2 may help us or reinforce each other in terms of bringing additional volume to the exchange. At the same time, the interest income will remain in SGF.
Aman: Sir, on the -- you said you will be able to reduce margins. Can you reduce margins further? Like is that an ongoing thing that we'll keep doing...
P.S. Reddy: If we have more headroom or more SGF money, then we can reduce margin. It is coming in the way of this particular reduction in margins.
Aman: Okay. So, this is very helpful. Sir, anything else in terms of either interoperability of exchanges or common margin across the exchange that you think is going to happen sometime in the future.
P.S. Reddy: Interoperability in a limited sense of margins being kept wherever they are, but then transferring to the other exchange is something which we are pursuing it. There is the industry standard forum also is pursuing it. And so, after the equity exchange is shut, maybe I don't need a physical receipt of fixed deposits or bank guarantees and other things, but a lien on the balance amount which is lying out there can be created in CCL, so we can trade commodities, okay? And the next day morning, we can release it if there is any balance. So, this can always happen on a daily basis. That is something which you are looking at.
Aman: Got it. This is very helpful. I think I don't have any other questions. Nicholas, anything last that you want to check.
Nicholas: Maybe just a quick one on -- if you look globally, we see some -- many exchanges have a more diversified revenue base coming from the likes of data and indexing and other technology solutions. So, I was wondering now that

the software -- or new software has been implemented? Are we thinking about maybe going that route of introducing more of those type of income streams?
P.S. Reddy: Well, while the data feed vending is one stream of income, but that's not going to be very big in the case of MCX because we have only that many commodities, maybe 15, 20 commodities, unlike equity markets, they may be getting a good amount of money from data feed of vending also. So, we may not get so much like that.
But having said that, introduction of more and more new products is the only way forward for us to diversify our business. And so, diversification in that

sense, can happen by product wise, but not outside the exchange trading platform. The way that we are maybe looking at is outside the exchange trading platform, but that may not happen. Limited chances are there.
Aman: This is very helpful. Thank you so much, Mr. Reddy for making time. Thank you, Mr. Bolar. Thank you, Mr. Praveen. We look forward to staying in touch with the team and thank you so much for all that you guys have done for the business. Really, really appreciate it. Thank you so much for making time.
P.S. Reddy: All the best, hope to see you some time. Thank you.
Aman: Thank you.

Call: Aug 2024

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com

MCX/SEC/2404 August 02, 2024
BSE Limited
Department of Corporate Services
PJ Towers, Dalal Street,
Mumbai - 400 001.
Ref: Scrip code: 534091 Scrip ID: MCX
Subject: Transcript of the "Earnings Conference Call" with investor(s)/analyst(s) on Q1 FY-2025 results.
Dear Sir,
Please find enclosed herewith transcript of the "Earnings Conference Call" with investor(s)/analyst(s) held on Monday, July 29, 2024 at 16.00 p.m. (IST) on Q1 FY-2025 results.

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,
For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl.: As above

"Multi Commodity Exchange of India Limited
Q1 FY'24 -'25 Earnings Conference Call "
July 2 9, 202 4

PUBLIC

MANAGEMENT : MR. MANOJ JAIN - CHIEF OPERATING OFFICER
MR. CHANDRESH SHAH - CHIEF FINANCIAL OFFICER
MR. PRAVEEN D G - CHIEF RISK OFFICER
MR. RISHI NATHANY - CHIEF BUSINESS OFFICER

 Moderator: Ladies and gentlemen, good day and welcome to the Multi Commodity Exchange of India Limited Q1 FY'24 -'25 Earnings Conference Call. Joining us on the call are Mr. Manoj Jain, Chief Operating Officer, MCX; Mr. Chandresh Shah, Chief Financial Officer, MCX; Mr. Praveen DG, Chief Risk Officer, MCX; and Mr. Rishi Nathany, Chief Business Officer, MCX.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Jain, Chief Operating Officer, MCX. Thank you, and over to you, sir.

Manoj Jain : Thank you, Dorw in. Good evening to all of you. Welcome to the Earnings and Analyst Call of Q1 FY'25 of MCX. I'm happy to state that MCX has concluded this quarter on a highly positive note. MCX conso

lidated income increased by 27% to INR253 crores from INR199 crores over the sequential quarter ended March 31, 2024 , while the operating income increased by 29% to INR234 crores from INR181 crores in the sequential quarter Q4 of last year.

Similarly, we had a great show on the volumes front also. Our Average Daily Turnover , the ADT of commodities futures , increased by 48% during this quarter to INR25,985 crores from INR17,558 crores in the sequential quarter Q4 of last year. MCX is proud to state that it has consolidated its market share in commodity futures during Q1 FY '25, and it stands at approximately 98% by the quarter end.

On the other hand, exchange also witnessed a significant increase in the notional ADT of options during this quarter increasing by almost 29% to INR1.47 lakh crores from INR1.14 lakh crores in Q4 sequentially. During Q1, FY '25, the combined ADT turnover of futures and options together increased by approx 32%, reaching a combined total of INR1.73 lakh crores. Comparing to the turnover in the previous quarte r, it is up by approximate 32%.

Another milestone, MCX clocked its highest single day turnover of INR3.77 lakh crores on 15th May 2024. The total traded clients in F&O on the Exchange also saw a significant growth. On a quarter -on-quarter basis, 6.4% increase the current total is around 5.67 lakhs as on Q1 ending. Last year, for Q1, the total clients traded were

recorded at 3.9 lakhs, almost a 40% increase, if you see year -on-year.
During April 2024, the exchange issued notification permitting subject to applicable regulations , FPI's, falling under the category of individuals, family offices and corporate to participate in the eligible commodity derivative contracts and indices.
Similar to expansion of product lines, the enhancement of participation in the commodity derivatives market will also help to deepen the market and boost its attractiveness as a venue for risk managemen t for all its stakeholders.
To provide wider choice to investors in additional products for risk management to potential hedge rs, MCX introduced two new options contract in April 2024. Crude Oil mini options, which has Crude Oil mini futures of 10 -barrel as underlying and Natural Gas mini options, which has Natural Gas mini futures of 250 MMBtu as underlying.
We hope the new contracts are able to meet the risk management needs of the small stakeholders in India's Energy sector, we're particularly vulnerable to the persistent high vola tility in energy prices.
In May 2024 to its credit, MCX, along with its technology partner, TCS , were awarded 'Best Financial Market Technology Implementation of the Year award ' at the Asian Banker Financial Technology Innovation Awards 2024 in Hong Kong. The award was in recognition for implementation of an integrated commodity derivatives market platform encompassing trading, risk management, clearing and settlement end -to-end.
Recent changes in regulatory guidelines and commodity derivatives are likely to support MCX s endeavour at achieving expansion and enhanced participation. SEBI has revised the minimum duration of staggered delivery period of commodity derivative contracts to three working days from five working days. We are hopeful to bring this change in near future for al l our participants.
RBI in its latest biannual financial stability report, which was released on 27th June 2024, again highlighted, commodity price risk as one of the five high sources of risks out of total of 25 such risks. And this was amongst the only global risk that continues to remain high from the previous November '23 report on systemic risk survey, which was under taken by the Central Bank .

 This calls for a dedicated attention and action on ri

sk management by all our
stakeholders who are exposed to commodity price risks by actively hedging on commodity derivatives exchanges. In another development, SEBI, vide circular dated July 1, 2024, directed MI Is to redesign the existing charge structure such that it should be uniform and equal for all its members instead of a slab -wise structure, which was dependent on volume or activity of the members. The circular will be effective in October 2024 and Exchange would be coming out with further direction in this regard.
Coming to the recent union budget presentation. As we all know, there was a sharp reduction in customs duty on Gold, this led to a record turnover of INR71,524 crores in Gold 1 kg options on that day, 23rd July 2024. This stands testimony for stakeholder's confidence in the Exchange 's robust mechanism for effective price risk management.
With this, I conclude the opening remarks and look forward to discussing more details during the Q&A session. Once again, I thank all the shareholders for their continuous support and faith in the exchange, and we are confident that together, we should continue to enhance our company's value. Thank you, and over to you D orwin, for initiating the Q&A.
Moderator: The first question is from the line of Amit Chandra from HDFC Securities.
Amit Chandra : My first question was you mentioned that we are going with the , slab-wise structure is going away in October. So how are we planning to charge, I remember because the range is from -- in the future s from like INR160 to INR280 per crore . So, the larger members if we switch to the blended pricing , then the larger numbers still have higher pricing, and it will benefit the smaller ones. So how we are looking at it in terms of the pricing if you're going for a single pricing.
And also, in terms of the clearing corporation also, there was a regulation to pass on the benefits of the interest to the members. So, what portion of the Clearing Corporation is from the funds that we have to pass on the benefit to the member s, if you can clarify that? And also based on the SEBI regulations, you're saying that they're talking about increasing the lo t size. So, if you can provide some more color in terms of what proportion of the future s volumes come from , order sizes, which are less than INR10

 lakhs, I'm saying that in the options …what proportion of the volume comes from like order size, if it is less than INR8 lakhs to INR10 lakhs.
Manoj Jain : Yes, Amit. Our CBO, Rishi would be taking up the queries and we'll support. So, I'll hand over to Rishi.
Rishi Nathany : Yes, Amit, Rishi Nathany here. To answer your first part of your question is that , right now, the slab is between INR175 and INR260, not INR160 and INR280 and SEBI has mandated that it should be true to label and uniform across the board. We are still studying this, and we will come out at the appropriate time with the charge structure. But what we feel is this equitable charge structure will be fair to all market participants. In terms of the revenue for the Clearing Corporation when passing on the interest, I think that's still under discussion. However, you asked a pertinent question as to what is the percentage of revenue? I would request if Chandresh , our CFO, has those numbers. In case he has th em, he will share them with you.
Chandresh Shah : Hi Amit, see at this moment, we don't have the exact number because the income includes a lot of income accruing from own funds and other funds . Based on what clarification SEBI comes out with in the final paper or letter, we'll be able t o compute the impact.
Manoj Jain : Just to supplement to Chandresh , at this stage, it will be speculative to come out with any numbers and its implications because regulatory contours and directives will vary unless we see the

final outcome. It will depend on underlying processes and what really is to be shared or not share d. But yes, I mean, overall, it would be an important area to handle for both Exchange and Clearing Corporation, not only us, all Exchanges and Clearing Corporations.
Rishi Nathany : In regard s, the third part of your question regarding the increasing lot sizes, et cetera. We are still -- it's still again under discussion , so we don't have any clarity, so we do not want to speculate on that. As and when things come out, we will definitely let you know, because we don't know what is the size which is prescribed and whether it is for futures or for index futures or for individu al commodity futures or stock futures. So as and when the norms come, we will definitely let the m arket know.
 Amit Chandra : And sir, in terms of the product pipeline … it has been pending , in terms the markets series contract and the index options contract launc hes. So, if you can provide some light in terms of what pipelines we are seeing , because in the last call it was mentioned that we are ready with the Crude like monthly series contract to be launched. So, any clarity on that.
Rishi Nathany : So, we have certain approvals in place, and we are in the process of testing and launching from time to time, we keep seeking approvals. As and when we get it, we'll definitely issue the circular and let the market know when we are ready to launch which product.
Manoj Jain : Yes. Again, Amit, just to supplement , this is the previous info. So , Cotton Candy we did mention in our last quarter's call also that we are going to amend the contract. So that has been amended and the new season contract of November has been launched with the new contract specs , where one very key change was reducing the trading and delivery unit from 100 to 25 bales. So that has been launched already. I think the Crude and NG, m ini options , that also it is rightly made known in the media about the launch and both are successful contracts.
Two other contracts in agri which were discussed earlier, Cotton seed wash Oil futures and Crude Sunflower Oil futures , and third was Gold 10 gram, which we have been continuously discussing in the call. So, all these three are to be launched, and we reiterate that testing was the reason, system testing , why they were delayed slightly. We are hopeful that you will get to know about their launch very soon.
Amit Chandra : Okay. And just like one last question from my side. In terms of the costing, obviously, we have given the product license costs around , separately this time. But in terms of the IT costs that we have reported. So , I mean, last call, you mentioned that the first year of the launch of the platform, there are some charges which are like premium charges and that premium charges or like premium services like those premium services will go away after one year of launch. So, if you can quantify out o f this,

around INR23 crores which is IT cost and what proportion of that will be likely
premium cost.
Manoj Jain : So, Amit, again, see, last quarter also, it was made clear that we may not be able to disclose such breakups of services. And see these are not permanent services. PUBLIC

PUBLIC Obviously, it was critical for us , post go -live to ensure a strong support to the IT system. So, it's not that we don't want these premium services, yes, as long as those are required, we will definitely continue. Our quantification of such things would be difficult to predict or present here.
Moderator: The next question comes from the line of Devesh Agarwal from IIFL Securities.
Devesh Agarwal : Sir, first question is basically again on that interest income on cash collateral , although you said it's difficu

lt to quantify at this point in time. Could you just help us? What would have been the average cash collateral for whole of FY '24?
Chandresh Shah : Devesh , we will get back to you on that. The treasury income is something which includes this amount. We'll come back to you with the detailed breakup. For FY '24, you want, right?
Devesh Agarwal : For FY '24, the margin money, which was in the form of cash with the clearing corporations , not the income.
Chandresh Shah : Okay.
Devesh Agarwal : Sure, sir. And secondly, sir, if we see our notes to accounts, on the cost side, you have said that there is a INR10 crores voluntary SGF contribution that we have made. Any reason why we are making voluntary contribution to SGF?
Manoj Jain : So, Devesh, SGF is a critical component in our Exchange and Clearing ecosystem because it strength ens the overall risk management process. And the stronger our SGF , definitely, it will give us a good cushion and headroom to manage our margins across all our products. So overall, I think that was the underlying idea that as our volumes are growing, our open interest across deliverable commodities is increasing, so definitely, we need to pad up the SGF to handle such contingencies in future becaus e Clearing Corporation is contributing and overall MCX last year also, if you have been tracking, there were one -time contributions in two specific quarters. So, management decided to pad up the SGF since we feel that it needs to be strengthened looking at our growth statistics.
Devesh Agarwal : So just to get it right , sir, there was no regulatory requirement based on that core SGF formula. This is more done to cushion for your margin requirements in your projects. PUBLIC

PUBLIC Manoj Jain : So, see underlying -- Devesh, the underlying formula is always there. Those are at like to quantify the mandatory requirements. If there is a mandatory requirement and shortfall, then yes, Exchange and CCs would chip in and top it up . However, i n this particular instance, even if there is no additional requirement, we'll be cushioning it up on a quarterly basis for the time being, that is the idea.
Devesh Agarwal : Understood. And should we expect, sir, some voluntary contribution going forward on a quarterly basis? Will it be a more regular phenomenon ?
Manoj Jain : Yes. As of now, that is the plan. It would be a regular phenomenon.
Devesh Agarwal : So INR10 crores per quarter is a number to work with, sir?
Manoj Jain : Yes, that's the voluntary contribution as on date.
Devesh Agarwal : And sir, you have also provided for these regulatory fees because of that change from premium to notional INR4.5 crores in the quarter. Would we be contesting this, or this is the charge that we have taken now , so we will not be contesting this.
Manoj Jain : So, Devesh, as of now, I won't be able to give you any concrete answer on the contesting part. But yes, the provisions have been made, and the same was made public also by actual costs and the interest on top of that.
Devesh Agarwal : Right, sir. And sir, in terms of your new product pipeline, you have … contract and some of the other , Gold, Silver, index options. Any progress that you can share or any timelines by when are we looking to launch these products?
Manoj Jain : So, Devesh just to repeat , we are kind of looking forward to launch some of our existing accrued contracts, that is gold 10 -gram futures, which will be a monthly cycle. And yes, the two agri contracts on Crude Sunflower and Cotton wash seed oil and Cotton

Candy, we have already amended. The other, which is the monthly rolling, those are
all future planned products, including the index option, I think that is what you have
been asking. No immediate timeline available to provide on the launch of those
contracts. And another one was Electricity Futures, which agai

n has been a topic of
continued discussion. We are hopeful to make progress on that. We are actively in
touch with the Ministry and Regulators for progress on that. So that's the current status. PUBLIC

 Devesh Agarwal : And sir, one last question from my side. We've been seeing that within the options segment, the premium ratios have been continuously declining , I think for the month of July, it has come down to almost 1.4%. So, could you just give us some reasons as to what is leading to this decline in the premium ratios?

Manoj Jain : So, Devesh, if you are tracking other Exchanges also, I think it is a well -known fact that as volumes creep up in options the ARR, the realization rate gradually falls. And I think MCX is also witnessing almost a similar phenomenon. I'll request Praveen to supplement this.

Praveen DG : Yes, Devesh. There are multiple factors that will influence your ratio-- what kind of ratio you get versus the premium to the turnover, notional turnover. Like generally, the volatility is one factor . But like what Manoj has said, if the volumes are going to be increased, one reason could be like the de pth and the volumes is going to be increase d in the far month or it could be in the deep out -of-the-money kind of contracts. So automatically, that can lead to some kind of reduction in the overall ratio.

It also depends on the tendency of the people, whether they will be trading when the contracts are very far to their expir y or near to their expir y. So, there are many multiple factors what is going to determine your particular ratio.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha : Sir, can you give the transaction income breakup into futures and options, which you typically do every quarter?

Chandresh Shah : Sure. So, future s income is INR71 crores and options is INR127 crores.

Sanketh Godha : INR127 crores, okay. And sir, as you said in future s, the slab pricing INR175 to INR260 per crore . Can you tell the similar number for options? You know the average realization... ?

Manoj Jain : No. Slab rate.

Chandresh Shah : The slab rate...

Praveen DG : Slab rate f or options is INR40 to INR50, like INR40 per lakh of premium to INR50 per lakh of premium . It is in that range. PUBLIC

 Sanketh Godha : This is per -- INR40 per premium.

Praveen DG : Per lakh of premium turnover.

Sanketh Godha : Per lakh of premium turnover . Perfect. Perfect. Just wondering if slab -based pricing, if you stop at the -- means if you can give an indication because your average realization is in future s is around INR207 per crore , which is somewhere between INR175, INR260. So, if you want to make it revenue -neutral, is it fair to assume that when a single price will be decided that will be closer to that our realization , or it could from a regulation point of view, it could be even below that number? I know you said that you are still discussing. But if you can give a broader color where it will stop , will be very useful.

Rishi Nathany : So Sanketh, the SEBI circular clearly mentions that to begin with it should be around what is being charged. So that should -- that speaks for itself.

Sanketh Godha : No, my worry was that whether it would be at the lower end of the slab rather than being somewhere in middle. So that's the reason I was asking.

Praveen DG : So, we won’t be able to make a comment on that one right now . As per the circular, it is definitely, we have to look at what is the current realization , basis that we have to examine internally and accordingly, we’ll take it up with our Board. And once it is decided, we will be announcing it to the market.

Sanketh Godha : Perfect, sir. And lastly, just one more thing. Your SGF

cost, which is -- I mean as you
said INR10 crores is voluntary. But if you can give me, means , if I do, as a percentage of your transaction cost, it comes to closer to 7 percentage, what you provided for SGF in the current quarter. Just, whether this number will grow as a percentage of variable or is INR10 crores what you said per quarter , because I believe that open interest will keep on increasing as exchange will grow, which means that your SGF contribution will also grow in line with the open interest, right? And therefore, is it safe assume that 7 percentage of your transaction income will be the SGF cost every quarter, which is in the current contract.

Rishi Nathany : So, Sanketh, there is nothing written in stone. The point being that as we envisage the business growth, as Manoj earlier also said , that the volume OI growth , as we envisage that we want to bolster our SGF and make sure that we don't have to make any ad hoc

 or sudden contributions to SGF. That is why we are trying to pre -plan and make sure as business grows, we stay up to speed.

Sanketh Godha : Got it. Okay, sir. Fine. And lastly, I think we have last year’s numbers with us. The interest income earned on margin money last year, if I'm not wrong, it was somewhere between INR85 crores to INR86 crores. So that INR85 crores to INR86 crores, probably one will be naturally the upstrea med money, which was over and above collected by the brokers or members and second will be the natural margin money. So as per the regulation, what I understand is that the extra upstreamed money is what we need to return it back. I just wanted to -- if you can give the color of the INR85 crores, INR86 crores what you made last year, how much was largely because of the upstreamed money and the regular interest income that you would have earned on margin?

Chandresh Shah : So Sanketh, see that breakup currently we do not have because the money that was invested is including everything, all the surplus that we have. So that breakup cannot be calculated so easily because it varies per day, how much the money was invested, whether it was withdrawn next day, of which day. So, it's a very detailed and lengthy calculation. But just to answer to the question which Devesh had asked, the margin money which was available with CCL on 31st March 2024 was around INR917 crores.

Sanketh Godha : Okay. This is outstanding figure, right, not the expected one?

Manoj Jain : Yes, this was as on 31st March.

Moderator: The next question is from the line of Shreyansh Jain from Electrum Capital.

Shreyansh Jain: Most of my questions have been answered. Can you just provide the breakup of float income and the other income from the remaining income? And are there any plans to increase prices in the option s segment?

Rishi Nathany : I'll answer your second question first, and then you can give the breakups. So pricing is something which normally aren't revised frequently. However, as we earlier said that this current SEBI circular on uniform pricing mandates , to revisit that. And when we revisit it, we will take a steady decision and tell the market what is the pricing going to be.

 Shreyansh Jain: But sir, I have a follow -up on this. So according to SEBI, you have to keep the price somewhere work around your current realization. So, can you increase the prices in tandem with that? Or would it be a separate exercise after that has happened?

Rishi Nathany : I mean as I said, the SEBI circular is very clear that the -- to begin with the pricing should be around what is being charged, right? So, I don't think there's much scope for interpretation there.

Shreyansh Jain: Got it.

Chandresh Shah : Yes, breakups. So, see that float or other income is around

INR20 crores for this
quarter.

Shreyansh Jain: Okay. And what was the yield on that? Can you -- do you have a ready figure.

Chandresh Shah : No, that figure is not available right now.

Moderator: The next question is from the line of Chintan S heth from Girik Capital .

Chintan Sheth : So, I was just observing the client member's numbers and which we quarterly publish, if I look at the numbers, we have been seeing the member number count has been declining to 544 now. It has been consistently or tracking a little down every quarter ,

then authorized person data point also , if we look at a couple of years back, it used to be 50,000 is now at 35,000 odd. So, if you can help us understand what is happening there? And secondly, on the F PIs, Cat II, Cat III, if you can give us -- provide some upda te on how the traction or what are our conversation s with them is happening and as they started hedging or trading with the Exchange.
Rishi Nathany : So, thank you, Chintan. The first point being that the number of members o r the APs you are seeing declining, but that's an industry -wide trend of consolidation. So, if you see as long as our overall participation is increasing, both in terms of clients traded our overall turnover is increasing. So, on all parameters, you're seeing that there is a growth. Now across the industry, across Exchanges, there is a consolidation trend where the smaller brokers due to various factors are finding it d ifficult to continue in many cases. So that is the same situation at MCX also. So, in one way, it is leading to more consolidation, more business growth, and we are seeing that as we are progressing, all PUBLIC

PUBLIC the parameters are pretty healthy. So that's my answer to your first part of your question. And what was your second question?
Chintan Sheth : Second was on the Cat II, Cat III.
Rishi Nathany : So, we have around 100 FPIs actively trading, participating on MCX at present with around 90 Cat I and 10 Cat II - approximate numbers. And quite a lot of interest from FPIs, however, having said that, there are only two commodities in which they're allowed to trade at present, which is Crude Oil and Natural Gas. So as and when the list is enhanced and as and when -- see, it's early days yet because it's just been a few months since FPIs have actively started trading on MCX and this was still when we allowed Cat II. So, we are seeing very healthy traction. And hopefully, as we go ahead, we will see much more participation from all these p articipants .
Chintan Sheth : And the custom duty cut on Gold, does it have any implication on our drive over volumes here? Is there any way, any impact for business?
Rishi Nathany : No, so it's a very neutral impact, whatever happens. It's just a customs duty cut, right? So, it doesn't have much impact on our contracts.
Manoj Jain : So Chintan, exchange is a price discovery platform. So , price goes up, down, duty goes up and down. We are transparent and that's the beauty of the platform to provide a neutral service to all our hedge rs as well as the entire member community.
Chintan Sheth : Correct. Okay. And lastly, on the SGF part, you mentioned that INR10 crores, you want to make it more linear or more frequent in terms of provisioning rather than an ad -hoc, which used to be the case earlier. Are you fixing the quantum of INR10 crores or is there a mechanism or a percentage which should one consider going forward?
Manoj Jain : So Chintan, as of now, you may consider this as a number for medium term. Obviously, it's a voluntary contribution. So, I would not like to commit that this is a permanent arrangement, as I mentioned earlier. So, Management , Board and both the organization s, jointly would continuously watch what is in the best interest of both the companies. PUBLIC

PUBLIC Chintan Sheth : And lastly, on the cash on books, what is the figure as of June. And anything, any -- now the capex part is largely over , the heavy lifting has been done , if you can throw some light on the utilization of this one?
Chandresh Shah : As on June, the available balance for the investment is INR955 crores. And as o n March, it was INR848 crores.
Chintan Sheth : And anything on the distribution or the utilization of the same?
Chandresh Shah : So, Board will take that decision. So anyways, the dividend has been declared for FY '24.
Moderator: The next question is from the line of Amal Nath from Ministry of Finance of Oman.
Amal Nath: Just two set of questions. First of all, in this recent quarter, we can see there is an improvement in the future s as well. Previously, where the options was going high, futures were quite muted. This quarter, we can see the future s volumes are also quite high, INR25,985 crores. What was the reason? Or is this the new trend we can see from -- actually, it is from FY '22 continuous it is going down, average 26 and 23, then last year, it was averaged 19. But this quarter, it came up to INR25,985 crores . What was

the reason? And do you think this is going to continue the trend in this way?
Rishi Nathany : See, so the point being Mr. Amal Nath, is that we continuously keep reaching out to various market participants, including all the hedging community and the industry.
While you saw that initially over last, like you rightly said, for the last couple of yea rs, you've been seeing a secular trend of growth in options, which took away to a certain extent from futures. However, having said that, the options are based on futures and in future s also, there is an increased traction because of more pa rticipation from the entire participant base, including the industry.
And also, because there has been quite a lot of interest in various segments like Bullio n or Energy or Base Metals. We have seen growth in all of them. It's not that it has been confined to any specific sector per se. So, it has been a secular all -around growth in futures, and which is a very healthy sign as we also see. And hopefully, going forward, we would like this to continue also. But end of the day, we are just a platform, and it is up to the market to decide what they want to trade. PUBLIC

 Amal Nath: So, nothing happens special on this quarter, right , because it is -- why I'm saying because , if you look at the trend in the last two, three quarters, it was '19, '21 and even last quarter of '17. And suddenly, in this quarter, there was a jump to '25. That's what I'm trying to understand, is this something one -off happened in this particular qua rter? Or can we take it , this is a growing trend now?
Rishi Nathany : So, there is always a tipping point to everything. So, when something happens and then the trend was down, hopefully, it is early days yet, but hopefully, this will be an arrest to the falling trend of futures. But to answer your question, there's nothing specific which comes to mind as to why this has sudden ly changed. Of course, the efforts always on to ensure that there is widespread in all round participation across product segments as well as across futures and options.
Amal Nath: Okay. And can you give some update with respect to your Gas Exchange kind of part of the business, what's happening there?
Manoj Jain : So, Gas Exchange is not under MCX. Are you referring to IEX's Exchange and their Gas Exchange? MCX doesn't have any subsidiary or associate on Natural Gas, Amal Nath.
Amal Nath: Okay, maybe. Okay. And that , the second part of this now, we are hearing from different calls with respect to this launch of this new product, including the 10-gram gold as well. The last many quarters, we are see

ing and every time we are hearing from the management that it will be launched very soon and I'm hearing the same thing even in this call. Now just trying to understand, why are you getting stuck and why it' s not getting launched, even after it is so many quarters we're discussing about it.
Manoj Jain : Yes, we appreciate your concern, and we too are equally concerned in tracking the launch. Last year, as you know, there was a huge event of our go -live with the new platform. So naturally, there was a delay in new products. And this year, yes, we are really hopeful . Post our go -live and subsequent technology stabilization , we wanted to thoroughly test all our new products because all these are now on the new platform. So, I think in our earlier calls also we did mention about some of the product s, and sequentially, we are progressing in the launch. So, I believe now the next one is obviously gold 10 -gram and the 2 agri contracts, which we discussed a little while ago. So, we should be announcing their launches very soon. PUBLIC

 Amal Nath: And the last part of my question, after this BSE and NSE got that their license for this Commodity Exchange as well. Previously, there was a thought that there would be a lot of volumes in respect to that side as well. Where do you see the trend from the market shares perspective, I can really see the market share with MCX remain s intact, is that the new approval given to them, are they able to catch up the volumes from the MCX?
Rishi Nathany : So, other Exchanges were allowed in 2018 October to come into commodities, and it's been almost 6 years. While we cannot comment about other Exchanges , all we can say is MCX has and hopefully will continue to remain a venue of choice for people to trade Commodities in India.

Amal Nath: And wh ile you are doing so good with respect to Metals and Gold and other parts where you are always having a high market share , what is stopping us in increasing our market share in the agri commodity part, why MCX share is always miniscule in that part of the commodity?
Rishi Nathany : So, you would appreciate that we did not have a very large agri basket and our flagship contract, Crude Palm Oil contract was suspended with other contracts and other Exchanges. So, we were left with very few contracts to trade. And agri is a complicated product segment anyways , so, we have to manage all the stakeholders while trading and we definitely make every effort to trade, which not like there is more focus on any one segment or the other. Sometimes some segment does well and other tim es, other segments do well. So, our focus remains entirely in all our product baskets.
Amal Nath: And all your Management changed themselves or will it take to this Management is changing from top Management. Is this all is done and dusted or still something to be done?
Rishi Nathany : I do not understand what you mean by Management change.
Amal Nath: Say for example, the change in the CFO, change in the CEO, certain other key Management personnel changes, which has happened in the last few quarters and the years. Just trying to understand now the management sets which we have at the moment, is there anything also the key Management personnel changes on the card?

 Rishi Nathany : So, there has been no special top management change in MCX . People coming and going as part of a process in every organization, and it is similar for MCX. Having said that, we are awaiting the appointment of a new MD CEO. And as and when that comes, the market will definitely come to know about it.
Moderator: We have the next question from the line of Sanjaya Satapathy from Ampersand Capital.
Sanjaya Satapathy : This is Sanjay a from Ampersand Capital. Sir, my questio

n is that from participants, I can sense that there is a huge amount of regulatory uncertainties ahead and also the company may see some sort of management change fairly soon and that the company has its plan, but we want to hear kind of a summarized fashion as to how the company will navigate all these regulatory challenges and what all new product and opportunity, et cetera are there, which will help it sustain the kind of growth that we have seen in recent times.
Rishi Nathany : See, as you are seeing regulatory challenges, we live in a highly regulated environment and any sort of regulation is good because that instance stated in the market participants if there was not proper regulation, most people would not come and trade on a ny Exchange. So, regulation should not be seen as an obstruction rather it should be seen an enabler to allow the market to function in an orderly manner.
And whatever changes there are, and we've seen in over history that people might have said that maybe this regulation or that regulation is tough. But eventually, the markets have grown, and they've grown from strength to strength. So, I do not see why there should be headwinds?
And secondly, when you're saying Management change or anything, I mean our MD CEO's term of 5 years ended and we are awaiting a new MD CEO. So that is, again, I would say, a natural process, which was not sudden or anything, everyone knew about it that his term was for 5 years, it has ende d. And once we get a new MD CEO that will be told to the market. So, I do not -- I would not paint that kind of picture that we are seeing a lot of regulatory uncertainty or Management uncertainty.
Sanjaya Satapathy : Fantastic answer, sir. My last question is that you mentioned that you are making this provision of INR10-odd crores in our SGF… in anticipation of your business growth whereas earlier you used to kind of react to kind of expansion. And then on the advice

 of SEBI of something you used to make those provisions as a requirement after it was raised on, whereas now you are taking some kind of a pre-emptive action. And while you are not articulating exact number, but is this something because of the kind of volatility, the exchange has seen in the past, some kind of a change in attitude in terms of risk management. And can one see this as some kind of a nega tive for your overall profitability that can happen in the future, or it is more of an improving the business

quality.
Rishi Nathany : See, while short term you might see it as an impact on the P&L, but please understand this is an enabler. This is an investment into our overall capacity. And as you rightly said that instead of being reactive, we are trying to be proactive. Now it all dep ends on the business requirements and the perception, and this is that the management, the Board will -- and along with our Clearing Corporation, we discuss this and take a call accordingly.
Sanjaya Satapathy : And sir, can I just ask last question that , while you have shared your thoughts on the possibility of option contract side changes , so how do you really see it, I mean, whether it will actuate depending on the market and should Commodity Exchange be seen differently from Equity Market where the fear is of excessive retail usage. Can you just give it from the perspective of how deep the retail participation is in MCX and accordingly what kind of discussions are happening to cur b excessive speculation?
Praveen DG : See the way you have to look at it is basically why the commodities contracts or commodity derivatives have come into existence. Basic major purpose for commodity derivatives is price risk management. So that is the principal objective of that one behind t hat one again you require because while somebody wanted to transfer the risk, we require other peopl

e also to be there. So that is the reason you require a complete ecosystem to be present. But if you look at it is not comparable to that of equ ity market. These are different from each other.
Rishi Nathany : And just to add, see please understand that in equity markets, you have investors, traders, speculators and issuers. In Commodity markets, you have a whole lot of more participants. You have primary producers whether it's the farmer or the primary manufacturer. You have all the intermediaries, you have importers, exporters, end consumers, intermediate industries who use thos e products. So, you have a whole gamut of physical market participants also. So, the commodity markets, in that sense, if you cannot do an apple -to-apple comparison of commodity markets with equity markets. So, in that sense, we have a much wider participant base as compared to equity markets.
Sanjaya Satapathy : Understood. And possibly that will be a major concern, a major factor which will be considered while implementing the new rule.
Rishi Nathany : Yes.
Moderator: The next question is from the line of Shaleen Kumar from UBS.
Shaleen Kumar: So, sir, first one is just a remark, I appreciate the summary. I would see the provision increase is SGF is more of a positive because that implies that you see a lot of growth in the business, right, then I should see it as a negative. Let's say that management is ready to see more and more volume growth com ing in. Is that right? Is that also the right way to think about it?
Rishi Nathany : See, it's -- I'll give you an example. If a manufacturing company does some capacity expansion, what does that signify?
Shaleen Kumar: That's my question.
Moderator: Sorry to interrupt, but there is a disturbance in your line when you're speaking. May I request you to please change your device mode?
Shaleen Kumar: So yes, that's what I wanted to understand from you. So, I think it's a positive thing. Second thing, there is something, there's a INR10 crores provision, which is made subsidiary. Can you please clarify that?
Chandresh Shah : So, it's a voluntary contribution to SGF. Sorry, it's not a subsidiary, it's an associate in GIFT IFSC. You're talking about the investment that we have -- the Board has approved in India International, right.
Shaleen Kumar: No, there is a INR100 million provision. I think this was related to the late start of the exchange.
Chandresh Shah : The SGF contribution ? Shaleen Kumar: There are two things, right? One is your SGF contribution, which is around -- and then there is another comment in your P&L, which was around INR100 million of provision towards which you have made because of, I think, some disruption on the Stock

Exchange in February. So, the provision is made in it.
Chandresh Shah : It's INR10 million, not INR100 million. So that's -- some events which have taken place in February in the subsequent Clearing Corporation.
Shaleen Kumar: Okay. Understood. And yes, the second thing which you're talking about is the investment you have made in the associate that's your Gold Spot Exchange.
Chandresh Shah : That's the approval which we have received from the Board and the investment will be done now.
Shaleen Kumar: So, sir, can we understand like what is the – like, the opportunity size here?
Rishi Nathany : See, already the investment is made in GIFT City in IIBH and which is , we have a 20% stake and which is growing on its own. So IIBH business plan and everything will be there. We are, along with other Exchanges and other M IIs, as an investor in that.
Shaleen Kumar: Sir, what's the size of this right now in terms of the revenue?
Manoj Jain : Last financial year, they were in loss only. So, there is

no net accre tion on the P&L side
so far. Our current quarter and Q4 of last financial year, they have shown promising results, and there has been a positive traction. In the current quarter, we have accretion of INR2 crores plus into our P&L for this quarter from IIBH. Our share, which is 20% of that would be INR42.7 lakh. The INR2.13 crores is the total net for the IIBH. We being 20% shareholder s, that's how our share is INR42 lakh plus.
Shaleen Kumar: And the growth, what kind of growth are you envisaging? I assume pretty high because of the low base.
Manoj Jain : So, see, we are not making any comment or forecast or guidance there, but these are Market Infrastructure Institution and not like a localized or small -time institution. So again, in the past, we have mentioned that they represent our entire economy, and these are like international finance centres . So, support definitely is there, and we would like to look forward to progress in this area. PUBLIC

PUBLIC Shaleen Kumar: Sure, sir. A last bit and I'm sorry for asking you to repeat, can you again just tell us the products which you will be launching in the next three to six months, right? I know you have said that, but just again to summarize.
Manoj Jain : Sure. So, there are two agri contracts, which we are planning to launch in the near future. One is the Cotton seed wash oil, and the other is Crude Sunflower oil. Our Cotton Candy already we have launched with the new season that is in November. So obviously, trading would pick up there closer to the new season. Then the fourth one is the gold 10 -gram monthly future. So, these are immediate deliverables while there are a few more in the pipeline. Electricity, we said it's depending on the regulatory approvals, but we would be keen to launch as soon as we get approvals.
Moderator: Ladies and gentlemen, we will now take the last question from the line of Amit Chandra from HDFC Securities.
Amit Chandra : I just want your thoughts on how do you see index options as a category in terms of the contribution going ahead , because if you see the other Exchanges, index is a very, very large category , in fact and almost all the volumes happen on index. And in MCX, like despite of having index it does not seeing any traction. So not from a short -term point of view, but just your thoughts on whether index can become a big category and how the regulator sees index as a category, especially in commodity.
Praveen DG : Amit, the regulatory guidelines have already come . Exchange can come out with commodity index options. So today, the product that we have is index f uture s. BULLDEX futures is the most active index future s. Coming to the prospects , I won't be able to give you any number to it, and it is not comparable to the equity option s. But…, what you can be able to see that it is going to give another avenue. At the same time, it is expected to be a very good product from our side.
Amit Chandra : So, why I am asking this is because …. options we are seeing good volumes in Crude and Natural Gas, which is a cash -settled contract. But in commodities the bottleneck is the underlying that we -- in terms of the underlying in terms of physical delivery. So that can be offset by having a cash-settled Bullion index options contract. So, is it the right way to think and I'd like your views on that . If it comes down, the gold can pick up in index? PUBLIC

PUBLIC Praveen DG : Yes. Like I said , if you look at it design wise, it is a very good product, but it has certain limitation . We cannot have more , multiple commodities as part of a single index. So that kind of challenges are there. But of course, it does have some advantages like it can be a cash-settled contract . Bullion are delive

ry -based contract. So, it's definitely has certain kind of advantages. But definitely, you'll see that since the regulation is already in place , we're looking to that particular thing. As and when our systems are tested , we will be going ahead with, after getting the regulatory approvals.

Moderator: I would now like to hand the conference over to Mr. Manoj Jain, Chief Operating Officer at MCX for closing comments. Over to you, sir.

Manoj Jain : Thank you, D orwin. Thank you all for joining the analyst call. We really appreciate your participation and continued support. We reiterate that MCX is committed to provide the transparent and efficient platform for all our stakeholders, and we look forward to your contin ued support and faith in us. Thank you.

Moderator: On behalf of Multi Commodity Exchange of India Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines. PUBLIC

Call: Oct 2024

(no extractable text — likely a scanned image PDF)

Call: Jan 2025

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com
MCX/SEC/2473 January 27, 2025
BSE Limited
Department of Corporate Services
PJ Towers, Dalal Street,
Mumbai - 400 001.
Ref: Scrip code: 534091 Scrip ID: MCX
Subject: Transcript of the “Earnings Conference Call” with investor(s)/analyst(s) on Q3 FY-2025 results.
Dear Sir,
Please find enclosed herewith transcript of the “Earnings Conference Call” with investor(s)/analyst(s) held on Tuesday, January 21, 2025 at 16.00 p.m. (IST) on Q3 FY-2025 results.

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,
For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl.: As above

“Multi Commodity Exchange of India Limited
Q3 FY25 Earnings Conference Call”
January 21, 2025

MANAGEMENT : MS. PRAVEENA RAI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. MANOJ JAIN – CHIEF OPERATING OFFICER
MR. CHANDRESH SHAH – CHIEF FINANCIAL OFFICER
MR. RISHI NATHANY – CHIEF BUSINESS OFFICER
MR. PRAVEEN DG – CHIEF RISK OFFICER

Moderator: Ladies and gentlemen, good day and welcome to the Multi-Commodity Exchange of India Limited Q3 FY25 Earnings Conference Call. Joining us on the call are Ms. Praveena Rai, Managing Director and Chief Executive Officer, Mr. Manoj Jain, Chief Operating Officer, Mr. Chandresh Shah, Chief Financial Officer, Mr. Rishi Nathany, Chief Business Officer, and Mr. Praveen DG, Chief Risk Officer. As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touch-tone telephone. Please note that this conference is being recorded. I now hand the conference over to Ms. Praveena Rai, MD and CEO. Please go ahead.

Praveena Rai: Good evening, everybody. Welcome to the call. Wonderful to be talking to all of you. MCX has had another really good quarter. We've just released our results yesterday evening. As you would have seen, we've closed our Q3 consolidated income from operations at INR301 crores. That's 57% growth over the same time last year. For this quarter, the PAT has increased to INR160 crores. Same time last year, we were under the water by INR5.35 crores and last quarter was at INR153 crores.

On the trading front, the numbers have been very healthy. For nine months ending the quarter, our average daily turnover, the ADT of futures and options together, reached INR2,09,000 crores, and I'm giving approximate numbers here. This is 106% year over year. Now, this comprised both options and futures. Options saw an ADT of INR1,82,000 crores with 124% growth, while futures was at INR27,000 crores with a growth of 33%. So, both showing a very healthy trend there, together giving us good business growth and momentum. This really came from an equally healthy growth in traded clients. The growth of 49% hitting for the first time, 11 lakhs during the nine-month period.

MCX also surpassed the last milestone of the all-time daily turnover and touched INR5 lakh crores on the 13th of January 2025. This also had the crude oil options clocking their highest turnover on the same day at INR4.1 lakh crores. Behind all of this has been a healthy growth across our products and including the new products that have been launched in the last few months.

Noteworthy would be to speak about the growth in Gold options, the 1kg option monthly contract. Here, the numbers, cumulative, from year over year, the growth has also been very positive. The Cottonseed wash oil was launched, so was the Crude oil and NG mini in the last few months.
Further, as far as the Base Metals future contracts goes, the tender period has been reduced from 5 days to 3 days. All of this will lead to further simplification in the way the contracts can be managed. The modified Gold option has had a really enthusiastic response, and ADT has grown to more than INR43,500 crores in the month of December 2024. And this is against INR33,000 crores over the previous quarter.
As we move forward, MCX will be continuing to look at launching new commodity derivative contracts, as well as looking at innovations in our existing products and processes, mapping and studying the evolving needs of the industry. The Exchange will look to address the needs of all sections of the commodity economy of India and continue to be the platform for robust price discovery and efficient risk management.
MCX also observed the World Investor Week. This was between the 14th and 20th of October 2024, organized by SEBI and the International Organization of Securities Commissions. This had over 150 a

wareness programs and several other activities that were related to commodities.
MCX is also proud to have won the Digital Transformation and Resilience Award at the Red Hat APAC Innovation Awards 2024. And we also were named the Leading Commodity Exchange by CPAI at their 10th International Convention. The Exchange will also have a live trading session on the 1st of February 2025 from 9 a.m. to 5 p.m. and this should facilitate market participants to take or calibrate their positions associated with any announcement that would be made in the union budget.
I have joined MCX as MD and CEO and I'm looking forward to working on all these opportunities for the growth of MCX, as well as the commodities derivatives market of India. So, I look forward to your continued support and to deliver and drive the potential of MCX in the days and months to come. So, thank you very much, the leadership team of MCX and I are available for any questions and answers following the session.

 Moderator: Ladies and gentlemen, we will now begin the question-and-answer session. The first question comes from the line of Amit Chandra from HDFC Securities. Please go ahead.
Amit Chandra: Yes, thanks for the opportunity. Yes, so my first question is to Praveena ma'am. So, ma'am, it's been three months you have joined as the MD and CEO of MCX. So, what has been the top three priorities in terms of the changes required in the Exchange and what are the areas you want to focus to scale the Exchange volumes and also to improve participation?
And secondly, as you all know that the technology transition is behind us and the focus has shifted to innovation of products and launching new products. So, you have explained where we have been in the journey, but we are very curious to know about where we are in terms of timelines, in terms of launching of the weekly options and the index weekly options contract?
And what are the technological challenges and the regulatory challenges we might encounter in this journey, because from here on to take MCX to the next level, we need some innovative products and as we see in other exchanges, index and weekly are the ones which are the most traded contracts. So, we are curious to know about your plans on this. Thank you.
Praveena Rai: Thank you, Amit. Thanks for the question. So, when I look at the top three priorities, observing and evaluating the priorities for MCX, the first is operational excellence.
And when we say operational excellence, it's really our ability to interact with our members as well as clients in a way that makes trading at the exchange, at the level of performance and best in class that it needs to be.
It continues to involve and engage a high degree of focus on our technology. So operational excellence, including our continuous development going forward on

technology will be a priority. The second is to really keep our hat on the compliance side very strong as a market infrastructure, that's the expectation from the regulator. And it will be a high focus area for MCX. And on the back of these two really gives us the ability and confidence to start the innovation. And there we will be looking at new products. And I spoke about that a little bit in the session. Looking at new products, looking at new contracts to our -- structures to our contracts, commodities that we currently do not have live contracts in. So, all of these are areas that we will be continuing to explore.

Now in terms of regulatory and other challenges, I think we do believe that on the back of a strong focus on one and two, operational excellence and compliance, that we will be able to work through this and really drive this journey on ou

r innovation.

Amit Chandra: Okay. And in terms of launches, any timelines that you want to, like you have in mind, because in the earlier calls, like we were of the view that within a year of the transition of the platform, maybe we are ready in terms of technology for the new products. And as we see that there is a huge concentration of Crude products on the option side, which is Crude and Natural Gas, which are mostly cash-settled contracts. So, we need more cash-settled contracts to diversify and also index and weekly are the ones which will be mostly cash-settled and that can scale the volumes to the next level. And also, in terms of what we're doing to improve the participation institutional and to increase the depth in the options side.

Praveena Rai: So, in terms of where we stand on our internal readiness with respect to new products, we do not have constraints. We are that way ready with our infrastructure. Now, as you rightly said, in addition to what we would look at from the deliverable contracts, would be other contracts around indices, for example. So, we are looking to revive METLDEX, which is our index that has not really had the kind of focus that it can have. So, we believe there is opportunity there. We will also be looking to bring in options on the BULLDEX. So, I think this is really the plan on the index side. And as far as timeline goes, I think you will see all of this in the next few months.

Amit Chandra: Okay, ma'am. Thank you and all the best.

Praveena Rai: Thank you.

Moderator: Thank you. The next question comes from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal: Good afternoon, everyone, and thank you for the opportunity. Many congratulations to the entire team for another good quarter. Ma'am, just first thing, continuing with what Amit was asking, in terms of new products, is there an update on the series contract that we were kind of designing. And can you put a timeline around that, the new series contracts?

Praveena Rai: Yes. Hi, Devesh. Good to speak with you. So yes, we are continuing to explore all options in terms of growth, in terms of the requirement of the industry. At this stage, we really can't comment on a timeline, but this is something that we continue to explore.

Devesh Agarwal: All right. And ma'am, if you see on the equity platforms, co-location is a big opportunity which has been kind of driving volumes on the equity platforms. Now, do you see a similar potential of co-lo’s can play in the commodities as well? Is there any thought process or aspiration out here?

Praveena Rai: Yes, I think that's a very good question. And, as you know that this is not currently under regulatory approved approach as far as co-lo is concerned for commodity derivatives. So, it is something that we will continue to explore.

Devesh Agarwal: Right, ma'am. Sure. And just one on the quarterly results, what I see that the technology cost on a sequential basis has seen a decline despite TCS AMC starting from this

quarter onwards. So, I just wanted to have clarity on two things. What has been the payout to TCS in terms of AMC for this quarter and secondly, despite this, what has led to this QoQ decline and whether that is a sustainable number going forward?
Praveena Rai: I'll request Chandresh, our CFO, to take this.
Chandresh Shah: Hi, Devesh. So, Devesh, the provision for TCS AMC is there in this number. However, due to the contractual terms, we cannot disclose that number. And the slight reduction in cost is due to some efforts which we have taken to reduce some of the premium services which we were availing. So, whether it will be sustainable, we are trying to keep it sustainable, but we'll have to wait and see if there is a requirement to incur that cost, we may have to incur it in the coming

months.
Devesh Agarwal: Sir, would we be able to quantify what was the savings in this premium services cost? Quarter on quarter?
Chandresh Shah: Devesh, it's a very intermingled thing. Multiple services are there. So, to give a number would be difficult.
Praveena Rai: But we do expect that cost to be stable, Devesh.

Devesh Agarwal: Understood Mam. Thank you. Thank you so much.
Moderator: Thank you. The next question comes from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain: Yes. Hi. Congratulations, team. And ma'am I'm just extending that question on the series contracts as to where we are with respect to that product, whether we have tested it completely and our readiness is there. And when can we file it with the regulator? So, any clarity there, because I think that is something which the markets have been anticipating for quite some time, the Crude series contracts. So, anything where, at what stage we are with respect to that product will be very helpful for us?
Praveena Rai: Hi, Prayesh! Nice to connect with you. So, Prayesh, when it comes to the series contract, as you call it, as I mentioned, our internal readiness on whatever products we want to launch is there. So, there will be a small delta of work, but that's more of a procedural item. So, from a readiness standpoint, there is no major bottleneck. However, this is something that we are continuing to explore, continuing to work on. And we can, update at the right time, as and when something comes up.
Prayesh Jain: Got that. Ma'am, secondly, on the Base Metal contracts, rightly that you mentioned that you would want to revive the METALDEX and then bring in the index options on both BULLDEX as well as METALDEX. But, you know, as Base Metals volumes have not kind of picked up the way we would have liked it to be. So, what were the reasons for that and what could be the further driving factors for this, that you could revive these volumes?
Praveena Rai: So, we have had, reasonably good performance in Base Metals, especially when you look at contracts around Copper, and so on. And we believe that some actions might drive this further. So, we are exploring rationalization around warehouses and certain actions that could help us to simplify the actual execution of the contract along with the deliverables, which will then, be a little bit of a fillip to that business. But we do strongly believe in both the BULLDEX and the METALDEX as opportunities.
Prayesh Jain: Ma'am, just a couple of more questions. One will be on the regulations, right, you know, if you look at...

 Praveena Rai: I know, and there's a risk that when we look at our Base Metal numbers from last year, our numbers have practically doubled. So, the growth is there. And of course, we will continue to focus on really driving the absolute volumes as well.
Prayesh Jain: Perfect. Just on this, the regulations, the interoperability of margins, which is not there between, say, Stock Exchanges and Commodity Exchanges. Any thoughts that the regulator might consider this and can provide some fillip? And my last question would

be on the SGF as to how do you see the Settlement Guarantee Fund from here on, the contribution that we will have to make?
Praveena Rai: The regulatory guideline on inter-opt is really only for Equity Exchanges. So, it does not, include Commodity Derivatives at this stage. It's very difficult to comment on that and we are not a part of what works. And your second question was on SGF. Now, the requirement for SGF is not as intense by way of contribution. However, we will need to continue to review this based on need, and if we, and given the growth that we are seein

g and to support the growth on open interest, if we need to strengthen the corpus, then we will do so.
Prayesh Jain: Ma'am, this clarification, is it the way or one of the, like, for example, NSE was given a target to reach a certain number for the derivative segment. Is this something that comes as a direction from the regulator and then we contribute? And whether is there any such thing that, you would voluntarily contribute or some ratio that we can link to the top line that will continue to go into SGF?
Praveena Rai: Those don't apply to the Commodity derivatives exchange. I think it's a very different space and operates on different rules as you will be aware.
Prayesh Jain: Got that, ma'am. Thank you so much and I wish you all the best.
Praveena Rai: Thank you. Thank you, Prayesh.
Moderator: Thank you. The next question comes from the line of Arpit Kapadia from IGE family. Please go ahead.
Arpit Kapadia: All my question has been answered. Thank you for the opportunity.

Moderator: Thank you. The next question comes from the line of Shalini Gupta from East India Securities. Please go ahead.
Shalini Gupta: Could you please say what was the transaction fees during the quarter and if possible, if you could break it up into options and futures?
Chandresh Shah: So, transaction charges for the quarter were around INR300 crores and 72% of that is contributed by options and 28% is by futures.
Shalini Gupta: And, Sir, if you could please give the corresponding figure in the second quarter, second quarter of this year, Q2 FY – financial year '25?
Chandresh Shah: Q2 FY '25?
Shalini Gupta: Yes.
Chandresh Shah: So, the previous quarter, transaction charges were INR245 crores, 70% was contributed by options and 30% by futures. And just one correction, this in Q3, the transaction charges is INR265 crores.
Shalini Gupta: INR265 crores. Okay. Yes. Okay. Yes, sir. Otherwise, my questions were on the new product launches which have been asked amply. So, thank you so much.
Moderator: Thank you. The next question comes from the line of Kunal from Fair Value Capital. Please go ahead.
Kunal: Okay. My first question was, I wanted to ask about if you had any updates on Electricity derivatives and your collaboration with IEX on these?
Praveena Rai: Hi, Kunal. So, Kunal, it's a very good question. So, when we look at our new products, Electricity is one that is top of the radar for us, and we continue to work on it and explore that option. We believe it's a good opportunity. Also, given the maturity of the spot exchange as you rightly mentioned. So, this is something that's on the radar.
Kunal: Any timeline that we can expect, or will you take it up?
Praveena Rai: We are not in a position to share timelines.

Kunal: Okay. Understood. And also, in your PPT, you mentioned that another initiative is Coal exchange. If you can explain that more?

Praveena Rai: Coal exchange, it's something that we have been working on. A lot depends on how the coal spot and so on plays out and a lot will depend on governmental actions. So, maybe it's not a very high priority or it's not an expected item in the short term, but it's something that we are keeping our eyes on and being ready for it.
Kunal: But is it the same thing that the Ministry of Coal was also referring to, when they were referring to setting up a Coal exchange or will it be a different thing?
Praveena Rai: It's the same thing.
Kunal: Okay. And the third question was about Natural Gas. We have a large competitor in this product, IGX. My question was how does one exchange take away volume from another exchange? What sort of things have to go right for that to happen and what do you need to p

rotect against?
Praveena Rai: Kunal, not to comment really on IGX business model or their numbers, but as far as we are aware, IGX is a spot exchange for gas and our focus is only on derivatives, trading of derivatives. So, we are in a completely different space, and we don't see….
Kunal: Thank you. Thank you for answering my questions. Have a good day.
Moderator: Thank you. The next question comes from the line of Akshay Patel from CD Integrated Services. Please go ahead.
Akshay Patel: So, ma'am, my first question is that we have grown very significantly in the first 3 quarters of FY2025. So, my question was on the front of the revenue growth, sustainability of the revenue growth. So, how sustainable is the revenue growth of the MCX and can we expect the same growth rate to continue in the next year and years to come?
Praveena Rai: So, I think the growth of the last few months, has been steady and it has been consistent, and we don't see a reason for the growth to not continue. So, I think the numbers reflect the point that, you know, you're making and that's really our own view to the situation as well.

Akshay Patel: Okay, so, we can expect the same growth rate in FY26 as well. And, ma'am, my second question is regarding the extension plan on the trading volume of the MCX. So, how can we extend our plan in terms of trading volume and increase the market participants and overall revenue for the Exchange?
Praveena Rai: Thanks for that, Akshay. That's a wonderful question. I think we've spoken about the kind of products we are working on and the fact that we are going to continue to explore the kind of contracts we need as well as, new commodity areas that we'd like to enter. But we are also at the same time looking to increase our participation and we did talk about, you know, the full year number of clients who traded, this at about 9 lakhs and we see that number as a focus to increase. And we're also looking at bringing in participants of both FPIs as well as hedgers and commercial participants. So, growing the breadth of participation in the Exchange will also drive this growth. So, both on products as well as participation.
The third angle of course, and I spoke about it earlier, is really the MCX good delivery which we have both on Bullion as well as, on some of our Metals, on Lead and which we plan to expand further. So, that's another third element which really gives Indian refiners an opportunity to participate in the Exchange and we believe that's also an important axis of growth. So, all of these together will really contribute to that growth that you're looking at.
Akshay Patel: Okay, ma'am. And one follow-up question on that would be that our 65% of the revenue comes from just Silver and Gold contracts. So, do we foresee any challenges or risks regarding that two products, the whole 65% of our revenue?
Praveena Rai: I don't think 65% of our revenue is coming from Bullion. But as I said, we will be looking at expanding our range of products and that will certainly lead to a situation where we will have more products coming in with growth numbers in place.
Chandresh, you want to talk about the current concentration?
Chandresh Shah: So, 65% is Bullion contribution only in the futures, whereas in the options, the Natural Gas and Energy products are having higher contribution.

Akshay Patel: Okay. And ma'am one last question, do we have any planning to come into the high-frequency trading or algo trading or something like that?
Praveena Rai: So, Akshay, that's a permitted category and we do have participants who have algo trading with MCX, even as we speak.
Akshay Patel: Okay, ma'am. Thank you so much.
Moderator: Th

ank you. The next question comes from the line of Ajox Frederick from Sundaram Mutual. Please go ahead.
Ajox Frederick: Thanks for the opportunity. My question is on the new client addition. You mentioned in your opening remarks about INR11 lakhs traded clients, which used to be INR9 lakhs. So, what has driven that increase in growth during the year?
Praveena Rai: So, hi Ajox. So, increasing the traded client participation is an important objective for the Exchange. And we have had a number of initiatives, including awareness sessions, working closely with our members to increase the client trading participation and so on. So, that has led to the increase in numbers that you're seeing here. And it's something we track every month, and we see a month-on-month growth in these numbers.
Ajox Frederick: Okay, okay. And going forward also, you feel this traction will continue, right? That's what you're saying. Your steps are indicating that.
Praveena Rai: The interest in commodity derivatives trading, you know, will continue to grow. We continue to stay focused on these initiatives, around creating awareness. So are our members. And I think we should see the results according to that.
Ajox Frederick: Very good, ma'am. Thanks a lot. And all the best.
Praveena Rai: Thanks, Ajox.
Moderator: Thank you. The next question comes from the line of Chintan Sheth from Girik Capital. Please go ahead.
Chintan Sheth: Thank you and congratulations, ma'am, for the role. One question I had on the FPI participation. You mentioned that we are working towards, increasing participation

from both, every strata of the trading community. If you can throw some light on how has been the FPI participation overall transaction in the quarter and how do you see this improving going forward?
Praveena Rai: Yes, I'm just going to request Rishi, our Chief Business Officer, to take this.
Rishi Nathany: Hi, Chintan. So, we are seeing the heightened interest from FPIs in our products. As of now, they're only allowed to trade in cash-settled contracts of Crude oil and Natural Gas. We have around 140 FPIs on the platform and many are participating very actively. And it's heartening to know that they are actually building a lot of OI on the Exchange. So, for example, in Crude oil, you know, we have around 17% OI on the long side and 32% on the short side from FPIs.
So that is something very healthy and also in terms of Natural Gas, it's 17% on both sides. So overall, we've seen that the participation is overall growing month-on-month. And we see this as a very strong segment going forward with more and more FPIs coming on board.
Chintan Sheth: If you look at the Crude contract for the last couple of months, starting from September, it has started to, you know, soften a little bit month-on-month. Any reason, which participations are kind of leading to lower volumes or lower transaction in the Crude contract?
Rishi Nathany: It's not like that. If you look at historically, the quarter three is always a soft quarter for, especially for international reference contracts, given all the festivals, season, etcetera. in both in India and Globally. Having said that, this quarter has been better than the last quarter. So more or less, it has always been that trend that Q3 has been softer than Q2 every year.
Chintan Sheth: Okay. And if you look at SGF contribution, we are now, earlier it was an ad hoc contribution policy, which now we have revised it to, every quarter we will be charging or provisioning the SGF contribution every quarter. Do we see the need for any tweaking in the rates or tweaking in the fees, transaction fees, given the regulatory

burden seems to be heightening in the derivative side, both on equity and commodities?
Praveena Rai: So, at this stage, you know, I think our contribution is bein

g well-managed and under
control. And I think we addressed it earlier that we may need to review this, we will
continue to review it. And if we need to contribute to further to support the kind of
open interest growth that we see, then we will take action accordingly.

Chintan Sheth: Sure. And ma'am, just a bookkeeping question on how much cash we hold under the
books as on date? And any thought process on how to utilize the same?
Chandresh Shah: So as on date, as on 31st December, we have around INR1100 crores surplus cash. And
the utilization will depend on the plans, business plans, and how we want to invest in
technology, new products.
Chintan Sheth: Okay. Sure. Thank you. That's all from me.
Moderator: Thank you. The next question comes from the line of Parikshit Kabra from Pkeday.
Please go ahead.
Parikshit Kabra: Hi, thank you for the opportunity. So, I'm actually struggling a little bit in terms, as an
investor, to figuring out, you know, how to underwrite the growth of the company.
Because yes, on the one hand, you're uniquely positioned to tap into this growing
market. But on the other hand, in terms of any form of operational guidance in terms
of how we are adding more clients, what our target for the clients that we'll be adding
over the year or the instruments, we're left a little bit in the dark. So, number one request
is, can we start at least showing the number of active clients on a quarter-on-quarter
basis in our presentation so that we can at least start tracking that number?
Praveen DG: It is already, if you can look at our presentation, we are already giving the active clients,
both in futures and options separately. And also, we are giving it at the consolidated
level. We are giving quarterly as well as we are giving it on a yearly basis.
Parikshit Kabra: Okay. I apologize then. I seem to have missed it. I thought I had gone through it in
detail, but fair enough. And secondly, in terms of actually adding clients, you
mentioned briefly just now that you're doing awareness campaigns. But is it possible
to understand this more? Like, what were we doing before? What are we doing now?
Are we adding new avenues to increase awareness? Are we adding new features, not
just products, but new features that enable certain type of clients to increase their
trading volumes, so on and so forth?
Praveena Rai: So, I think over the months we have added the kind of products and contracts that are
more amenable to a wider range of clients. So, I think, in fact, last year or earlier this

year, we have launched the mini, the Crude oil and the NG mini. We also have our one-
gram gold leaf. We have the Gold guinea at eight grams. So, there are products which
are specifically suited to this purpose, and this is something we will continue to explore.
Praveen DG: Just to add to it, in fact, we have recently come out with even the monthly contracts,
like gold, so, we are looking for both product variants and also, we are looking for like
another initiative that we have taken in the recent past is the branding, empanelment of
brands. So, we are looking at how we can be able to add the value chains to the market.
That is one side of it.
And also, we are looking at doing, like looking for opportunities in experimenting on
the variants part, like minis. We have come out with monthly contracts and also looking
for the new products. So, there are various series of actions that have been taken up.
One is product enrichment and also looking for the new products and also looking for
new avenues.
Parikshit Kabra: All right. Thank you.
Moderator: Thank you. The next question comes from the line of Deepak Ajmera from ITE India
Family Office. Pl

ease go ahead.
Deepak Ajmera: Yes, thanks for the opportunity. My question is also on the similar line. We are saying that we will be launching lots of new products and we will increase FPI participation, etcetera, but as there is no clear timeline given by the management, but can you highlight what progress already we have made in that part whether it is weekly, option expiry, etcetera means what progress we have made and what is holding launching the same etcetera that will help us in understanding it more?
Praveena Rai: So, we are not in a position to comment on any timelines at this stage. I think we did call out that, we are operationally, have a certain level of readiness that will allow us to move fairly fast. Now a lot of these will be under regulatory purview. And we continue to explore various options that we will need to look to market based on the industry's requirement and at the right time, we'll be able to communicate this back.
Deepak Ajmera: Yes, similarly for Electricity derivative, etcetera. Yes, we agree you will be launching maybe later or sooner, but to understand it more what is holding these things and what progress we have made from the last two, three calls which we have attended?

Praveena Rai: My comments are the same, Deepak, from what I mentioned earlier. Nothing more specific to add for electricity and I think we discussed earlier on that it is high on our agenda. And we believe it's a very significant opportunity. So, we will be working in a very focused manner on that.
Deepak Ajmera: Okay. Thank you, ma'am.
Moderator: Thank you. The next question comes from the line of Ashish Parikh from MK Investment Manager. Please go ahead.
Ashish Parikh: Hi, thank you. I just wanted to have a brief understanding as to how margins differ from say cash settlement versus physical settlement. And just a follow-up in terms of margins which will be the most profitable, say Gold or Bullion or something like that?
Rishi Nathany: Hi, Ashish. So, margin doesn't differ per se from cash settlement or delivery settlement. It's only in the delivery period that you can face higher margins. That is because the chances of being marked for delivery are there. Having said that, each contract has different margins depending on their volatility and, as you know we all have that span margining system. So, this is that. Or if you see heightened volatility, there can be additional margins over and above.
Ashish Parikh: I'm sorry, margins I mean the revenue side for the company. So, in terms of physical settlement which would be the most profitable for a company?
Praveena Rai: Misunderstood the question.
Rishi Nathany: We are sorry, we misunderstood your question. So naturally, Chandresh, if you want to answer.
Chandresh Shah: See margins I think since we have a common system, it is not so easy to compute margins product-wise, but the contribution from maybe Energy and Bullion would be the highest.
Ashish Parikh: Okay. Yes. Thank you.
Moderator: Thank you. The next question comes from the line of Nandini Agarwal from Glove Capital Markets. Please go ahead.

Nandini Agarwal: Hello, everyone. Thank you, Ma'am... I wanted to ask that, we have talked a lot about increasing the participation in the Exchange, but on the lines of retail participation, I wanted to know your view on that. Since we have seen a tremendously increased interest by people in the age group of 20 to 30 and plus, 35 plus, for F&O trading in the equity markets. What is your take apart from awareness sessions and, of course, the products that you have launched to increase participation in the retail segment?
Praveena Rai: So, the 11-lakh number that we ar

e talking about when it comes to unique traded clients really reflects that growing interest from the retail segment. About 25% of our volumes, 24% of really, our turnover, is also coming from mobile trading which can reflect the retail segment as well. Now, obviously, we don't know the age group of the segment or anything of that sort, but we do see this increasing interest and we believe that this participation will continue to grow.

Nandini Agarwal: Okay. Thank you, ma'am.

Praveena Rai: And also, number of our members who are large retail brokers will also contribute to this growth.

Moderator: Thank you. The next question comes from the line of Sanil from ICICI Securities. Please go ahead.

Sanil: Hello. Good evening, ma'am. Congratulations on a good set of numbers. So, my question is more on the same lines of the client participation. So, in your PPT, you give the traded clients data. So, in this quarter if I see on a sequential basis there has not been any increase in these clients, which was increasing on a very exponential scale if I look at the past two quarters?

So, any reason why this quarter there was not much growth and if I may continue on this, if I look as you said, there are 11 lakh unique participants. But now if I look at equities, there is about around 96 lakhs who had participated in F&O in the last year. So how much do you think is the potential of the commodities market in this?

Praveena Rai: So, we are seeing growth in the numbers of participants and traded clients. Now, the numbers for equity will, of course, be much larger. So, the Commodity derivative

numbers will be a subset of those numbers. But we do believe that there is potential for more retail participants to come into our numbers here.

So, for example, I think we are seeing more than 50% kind of a growth, happening if we look at this even quarter-on-quarter. Quarter over last year quarter, we are looking at nearly close to 50% kind of a growth. So, I think that interest, that increased interest, will continue to be there.

Sanil: So just if I may ask that, from let's say 90 lakhs in equity, what is the number you would assume in the next, let's say, 2, 3 years? Or from 11 lakhs, how much do you think that could grow in the next 2, 3 years? Or what would be an internal target if you can share?

Praveena Rai: Yes. So, it will be difficult to sort of put a number in the air there. But I think if we look at our ADT versus equities, I think, that growth will reflect in the kind of retail participation growth as well.

Sanil: Okay, thank you.

Moderator: Thank you. The next question comes from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Yes. Thank you for the opportunity. So, two, three questions. One on the tax rate. So, in the past, we guided that our tax rate will be around 22-odd percentage. And for the 9 months, that number seems to be lower than that. So, is it fair to assume that the tax rate will be closer to the current levels, what you are reporting, or it will be closer to 20-odd percentage?

Chandresh Shah: Sanketh, the tax rate would be around this level.

Sanketh Godha: So around 20%, 21% is the fair number to assume, sir?

Chandresh Shah: 25%.

Sanketh Godha: In the current quarter, the tax rate came at 20.8%. So just wondering…

Chandresh Shah: For tax rate, you check the standalone numbers.

 Sanketh Godha: Okay. Fair point. Perfect. And the second question was, is it fair to tell that your SGF cost will be closer to 7% of transaction income? Because that's the trend what we can

see in last three quarters. So, with the volume growth, your open interest keeps on going up. And maybe, if I link it

to transaction income, broadly at 7%. That's the trend we believe it will continue, Sir, for the SGF cost or you believe this number can taper down as the volumes will kick up in that sense?

Chandresh Shah: So Sanketh, the number, we keep monitoring that as per the requirement. And like Ma'am explained earlier, we would like to keep the corpus healthy, so that it meets the regulatory requirement also. And the volumes, the incremental open interest is all taken care of.
Sanketh Godha: Okay. Fair point. And Sir, last one. So, see, the premium to notional has fallen in November, December, and probably January seems to be on similar trend. So, is it fair to tell that monthly, bimonthly becoming monthly in Gold has contributed to that decline in premium? Or you believe that it is more to do, because with volume increase, people taking positions more in out-of-the-money contracts and that premium to notional number is coming off. And as the volumes pick up, this trend will be downward only going ahead.
Praveen DG: Are you looking at the premium to notional turnover?
Sanketh Godha: Option notional turnover. So that percentage for the quarter was…
Praveen DG: Yes. I'm just looking at that. So, for example, the quarter one, it was around 1.62. Quarter two, it was 1.69. And quarter three, it is 1.74. So, there is no significant change in this one. It is more or less around…
Sanketh Godha: …Sir, I was more referring to November, December, and January, what you disclose in your website. So, October was insanely very good at 2.2, but it fell to 1.6, 1.54, and 1.57 for January till date. So, I was referring from that perspective because you had a very healthy October.
The numbers look optically better at 1.74, but November, December numbers are closer to below 1.6 percentage. So, I was just coming from that perspective, whether this trend will continue downwards or not.

Praveen DG: Typically, multiple factors impact your options to premium turnover ratio. Because one is the volatility factor. And suppose even the markets are in the growth phase, it is very difficult to say that what kind of ratio will continue, because you are still in the growth phase till the stability takes place. That means till markets mature, it is not possible that you will be able to give a particular trend.
But I am saying that at least in the recent times, I think it is more like maybe if you take a particular month, maybe the impact could be because of one or two contracts. But the volatility also could have played an important role.
Rishi Nathany: So Sanketh, if you see October, there was heightened volatility. Because of that, you are seeing that number. And it was an outlier of a month. Otherwise, if you correlate to the months of heightened volatility, you will see this ratio higher. Otherwise, as you all know that December normally is a very stable and placid month. So accordingly, you have seen those numbers. So, I do not see that how could anyone predict these numbers going forward.
Praveena Rai: If I can add…
Sanketh Godha: Yes, ma'am. Sorry.
Praveena Rai: So, I am also just looking at the premium turnover for options. And the premium turnover is increasing because really the ADT is supporting that. And Q2 was about INR3,264 crores. And there has been 11% growth to INR3,600 crores in Q3. So, I think the two have to be seen hand-in-hand to really look at their impact.
Sanketh Godha: Got it, ma'am. My only reason why I ask this question is that if volumes pick up, is a general observation at the Exchange level that out-of-money contracts volumes increase and that naturally leads to a structural decline in the premium to notional. Because we have seen the same thing in equity market. So, is it fair assumption to make that if the growth continues at the current momentum le

vel, out-of-money contracts contribution will increase and that will lead to automatic lower number, premium to notional?
Praveen DG: It could be one of the factors, but we cannot say that is the only factor, because suppose growth is happening, that means if more strikes become more liquid, there is a

Public possibility that out-of-money contracts can become more liquid, and it can get traded.
But we cannot say that that is the only factor.
Rishi Nathany: So, net-net, we cannot use this as a predictable trend to project price.
Sanketh Godha: Got it, sir. And last question. If you can give the float income on margin money in the current quarter, that will be useful as a data keeping point. And maybe if you can tell that number for 9 months and for the quarter?
Chandresh Shah: So that number bifurcation, we cannot provide, Sanketh.
Sanketh Godha: Okay, sir. That's it from my side, sir. Thank you very much.
Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to Ms. Praveena Rai for her closing comments.
Praveena Rai: Thank you very much. I think we had some very, very good questions coming in. I hope clarity of really the results, as well as where MCX stands today, was made available to, both the session, the interactions and the Q&A. Thank you very much for your time here and your very active participation. I also want to thank my colleagues in the room for being here and being available for this conversation. Thank you.
Moderator: Thank you. On behalf of Multi Commodity Exchange of India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com

MCX/SEC/2501 May 16, 2025

BSE Limited
Department of Corporate Services
PJ Towers, Dalal Street,
Mumbai - 400 001.

Ref: Scrip code: 534091 Scrip ID: MCX

Subject: Transcript of the “Earnings Conference Call” with investor(s)/analyst(s) on Q4 FY-2025 results.

Dear Sir,

Please find enclosed herewith transcript of the “Earnings Conference Call” with investor(s)/analyst(s) held on Friday, May 09, 2025, at 16.00 p.m. (IST) on Q4 FY-2025 results.

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,
For Multi Commodity Exchange of India Limited
Manisha Thakur
Company Secretary
Encl.: As above

“Multi Commodity Exchange of India Limited
Q4 FY25 Earnings Conference Call ”
May 09 , 202 5

MANAGEMENT : MS. PRAVEENA RAI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. MANOJ JAIN – CHIEF OPERATING OFFICER
MR. CHANDRESH SHAH – CHIEF FINANCIAL OFFICER
MR. RISHI NATHANY – CHIEF BUSINESS OFFICER
MR. PRAVEEN DG – CHIEF RISK OFFICER

Public Moderator: Ladies and gentlemen, good day, and welcome to the Multi Commodity Exchange of India Limited Q4 FY '25 Earnings Conference Call. Joining us on the call are Ms. Praveena Rai, Managing Director and Chief Executive Officer; Mr. Manoj Jain, Chief Operating Off icer; Mr. Chandresh Shah, Chief Financial Officer; Mr. Praveen DG, Chief Risk Officer; and Mr. Rishi Nathany, Chief Business Officer from Multi Commo dity Exchange of India Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing th e star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Praveena Rai, MD and CEO, MCX. Thank you, and over to you, ma'am.

Praveena Rai: Good evening, everybody. Very happy to be here as part of our Investor Call for the results of FY24 -25. Very happy to announce that we've had a phenomenal year, closing the year at INR1,208 crores of consolidated income, which is 59% year -on-year growth. So it's been a very good year by way of income and by way of growth.

We've also seen this when we look at Q4 of '25 versus Q4 of '24. Again, this indicates similarly a 61% growth. It's further reflected in the EBITDA. EBITDA for the year closed at INR 761.5 crores at 63% and profit after tax is INR 560 crores at a 46% margin. So that's really where we stand in terms of our top line and bottom line numbers.

Further to that, this is really driven by a very healthy growth of our daily throughput with the ADT that is average daily throughput of both futures and options together nearly doubling at 101%, touching INR 2.2 trillion from INR 1 trillion. So that's really more than a doubling. And on the back of this is healthy growth in futures, certainly healthy growth in notional ADT of options and also the premium ADT of options, which have also grown by about 85% so those are really the dri vers, and we've seen these numbers grow across all o ur product lines.

Not just from a derivative trading standpoint, we've also seen this health reflect in the kind of deliveries that we've seen. We've really seen about 7 metric ton of gold, 663 metric ton of silver, and more than -- or close to 70,000 metric ton of base metals delivered through the exchange mechanism.

And of course, these are numbers with the exchange as a delivery of last resort, but it reflects the health of the kind of volumes on the exchange, which are a combination of trading volumes as well as hedging volumes across all our participants. We've als o had record turnover of -- in our commodity futures on the b ack of the tariff announcement.

This, of course, happened on the 4th of April, so just after the close of the year, but at INR 71,500 crores has been a big high and reflects the fact that MCX is really playing its role as we look at managing commodity price risks from global variations that are applicable today. It's with great pride that I can say that MCX in the year 2024 has been announced as the world's larg est commodity options exchange.

Public And this is also on the back of MCX crude oil options, the MCX natural gas options holding the top position in the FIA ranking as well as MCX Gold options and MCX Silver options at second position. So both of this again indicates that India and MCX in India as a venue is really becoming popul ar at the global scale as well.
So when we look at our participants, we have had growth across all categories. We've had a 39% growth year -on-year with -- of traded clients t

ouching 13 lakhs and participation across all categories of commercial participants, retail participants as well a s financial institutions. In fact, we have about 140 FPIs who have been onboarded on MCX who ha ve started to contribute to our agency numbers as well.
So I'm really looking forward to MCX becoming the exchange of choice across the Board when it comes to managing price risk, when it comes to viewing commodity derivatives on an exchange as an asset class and would also really look to working further with our member brokers and the broader capital markets community to educate and bring in mo re participants and holding them through this process as they get exposed to commodity price management.
I'd like to close here, and we can open for comments. MCX, both myself as well as our leadership team is available here to take any questions.
Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of Devesh Agarwal from IIFL Capital.
Devesh Agarwal: Firstly, congratulations on a good set of numbers on an overall year basis. I think the growth has been phenomenal. My question pertains to the cost increase that we have seen in this quarter. So we see that there has been a sharp increase in the operating costs, especially in the employee cost and software support charges. So can you highlight what has led to such sharp increase in these 2 line items? And are there any one -offs in this?
Praveena Rai: Thank you, Devesh. I think it's an important question. When we look at our cost line items, both employee and IT cost is where we've seen an increase this quarter over last quarter. So if I look at the employee expenses, there is an element here, which per tains to performance payouts. We've had a good year, and we're expecting that to get reflected in those numbers.
So if I were to look at the employee expenses, I would cut it at about 75 %-25% in terms of the delta with 75% going into a one -time incremental expense associated with performance and 25% is really the readiness from a capacity building standpoint as we go into next year with all our growth plans in place.
If you look at the IT costs, here, we do have a bit of a timing concentration in some of our warranty and sort of annual contract renewals. So there is a 30% sitting here in the delta amount, so INR30 crores minus INR20 crores, INR30 crores is the number for this quarter versus INR20 crores of last quarter.

Public So 30% of that is a one -time expense. 70% is expense, which comes down to an expense that is getting concentrated in the quarter associated with maintenance renewals and so on. So on an annualized basis, one would expect that to continue, whereas 30% is a one-time.
Devesh Agarwal: Right, ma'am. Just continuing on that, we also see a sharp increase in your depreciation, assuming there will be a significant capex that you're incurring. I'm assuming, again, that will be around the tech cost. So just wanted to understand where are we spending this incremental cost because we have just completed our CDP project?
So where is this incremental capex happening on the technology front? What is the expected spend that we are targeting for the year FY '26? And what run rate should we assume both in case of opex and depreciation in FY '26 for your technology?
Praveena Rai: Yes. We do expect capitalization to sort of depreciation and amortization to continue at these levels because as we are growing significantly, and I think we just discussed that we are looking at -- we have doubled our volumes. And obviously, the tech refr esh is a continuous proce ss that would need to be there.
There is an element of regulatory change as well as expansion of the kind of network capacity that we require as we have more technology -or

iented participants and higher volumes that they are actually performing on the exchange. So all of these are constit uents, regulatory network, tech refresh, and of course, the BAU expenses, which will keep our depreciation at this level.
Devesh Agarwal: Any number that you want to call out in terms of what would be the likely capex for FY26?
Praveena Rai: We won't be able to call out a specific number, but I can tell you, overall, at an expense level, we expect our ratios to stay flat.

Devesh Agarwal: Right. And are we incurring any expenditure in our capex for co -location facilities as well? We recently read a media article suggesting that SEBI is kind of contemplating this. So one, are we already starting to spend money for this facilities -- colocation facilities? And secondly, where does this stand in ter ms of implementation?
Praveena Rai: We will not be able to comment on this at this stage because it's really based on what media is saying. Until we have regulatory clarity, we won't be able to comment on this.
Moderator: The next question is from the line of Amit Chandra from HDFC Securities.
Amit Chandra: My first question is in terms of the product launches. So in the last call also, we have indicated that we are in track to launch the index options and the weekly expiry options. So where actually we are in terms of the journey in terms of launching, if yo u can give some time lines or some clarity on that? And also if you can throw some light on -- in terms of the launch of the electricity futures contract and what could be the incremental volume opportunity that you see from this contract?
Praveena Rai: So yes, Amit, thank you for that, and thanks for joining. So yes, our new products road map is very much in place. As you know, there is a lot of homework that is required along with various approvals
 that we need before we can take this live. So we are -- we have full readiness from our side, and we are waiting for the right green signal to take this to market.
So we believe that between our indices and new products such as electricity, we will really look at significant growth in the coming time. There is reasonable volatility. There is interest from market participants. And there is also a need for this because India is a very large market when it comes to power.
In fact, we're the third largest market globally both from a production and consumption standpoint, the government's energy security policy, which really is looking at more than 500 gigawatts of renewable power getting generated in the country and the kind of grid lines we have and the national grid available for a very healthy supply -demand network to operate are all leading us in the direction of the fact that this is an important area to be addressed.
So I think everyone is on the same page there. It's now just a question of getting it done. We believe it's around the corner. I also want to point out, if I may, that we did have a good launch of our Gold Ten futures, that is actually in this year because it happened on the 1st of April, it was time d to kind of match with Akshaya Tritiya and has given us some very, very good response in the first month itself. The 10 -gram gold coin meeting India good delivery standards has had a very good offtake in the first month.
Amit Chandra: Okay. And ma'am, we have significantly increased our investments in terms of tech enablement. And also can we relate it to our preparedness for the co -location or enabling HF trading on the platform. And also these new launches also require a lot of newer investments that is what is reflecting in terms of our tech cost -- so if you ca n throw more color on that?
And secondly, my next question would be that we have seen the increasing contribution of the bullion contracts in the

options segment, which is now 25% of the notional volume and only 9% in terms of the premium contribution. So any reason you can attribute why the gold premiums or in terms of the premiu m to notional ratio of gold contracts are actually lower than the overall premium to notional ratio of MCX despite gold being a monthly contract. So if you can provide some clarity on that?
Rishi Nathany: Yes. This is Rishi Nathany, CBO. As we grow, naturally, the costs will go up to answer the first part. Second is that in terms of -- your question on the gold premiums. You have to understand that the premiums are a function not only of time but also volat ility. Crude oil and natural gas ha ve higher volatility than gold.
And that is why you would see the kind of premiums you are seeing in gold. That is why despite the notional being higher, the premium value is substantially lower in proportion. And this is a natural function of the volatility within the gold options. Howe ver, I'd like to tell you that ever since we've made the gold options monthly contracts, we've seen a very good uptick in terms of the total notional turnover as well as the premium turnover.
Moderator: The next question is from the line of Astha Jain from Pkeday Advisors .
 Astha Jain: Sir, I had one question related to the participants. So we saw a massive uptick during the Trump tariff. So sir, should we consider that as a one -time thing? Or should we consider that as a base going forward?

Praveena Rai: It is from the macro geopolitical standpoint, that's a very difficult question to answer. And I mean it's really not in our remit to say how the macroeconomic situation is going to turn out. We do see a fair amount of global volatility in the approach acro ss markets not only from the US, but across the world, and this will continue to have its impact with reference to how people want to hedge their price risk.
But having said that, these will always be events. And the baseline, we see both experience with an event goes on to create the exposure and experience needed. Hopefully at the end of an event, there is a higher participation than at the beginning of the e vent. So yes, the baseline goes up.
The events themselves will be spikes. This year appears to be one which will offer a certain level of natural volatility. With or without that, we do see this impacting the baseline in a positive way.
Moderator: The next question is from the line of Chintan Sheth from Girik Capital .
Chintan Sheth : Sorry to have again on the product launch. We have recently from the media learned that SEBI has announced the in-principle approval to NSE for electricity futures . So just trying to understand how -
- what's our strategy even if we get the approval, say, during this year, that's the expectation, then how should we look at the volumes coming through our platform? And what will be our strategy given the NSE is already got the principle approval …is already there?
Praveena Rai: So I would say that we are working very closely on the matter. And it is not in our understanding that there is any approval from the regulator to anybody. And I think I've sort of addressed the broader opportunity space that is there and the fact that we are -- as a commodity exchange, this is not a small business for us.
It's not something that we are trying to enter into. As a commodity exchange highly focused on the energy sector, power is a very natural part of that portfolio. And we are highly engaged to make this a good success, and we are very positive about it.
Chintan Sheth : Right. And coming to the weekly expiry of index ’s, we believe we were trying to understand, create the future volume initially to drive this success. Where are we in terms of improving our indices, strengthening the volumes over there, whic

h can drive business for us? So if you can -- what are we doing actually over there to try to manage, to try to manage that? Before launching the weekly contracts on the indices?
Rishi Nathany: Chintan, t o answer your question, let us understand the structure of index products. Normally options on various other products are options on futures. In indices, there is index futures and there will be options on the index itself. So it is not an option on the in dex futures. It will be the options on index. Therefore, there is hardly any correlation per se between the index futures and the options which will come on the indices. So these will be cash settled products, which will be based o n the index itself.
Chintan Sheth : And where are we in terms of launching and testing those products out?

 Rishi Nathany: We are in pretty advanced stage. And as and when we are ready to go to market, we will let the market know.
Chintan Sheth : Sure. And lastly, on the cost side, you did clarify on the portion of one -time in the employees and tax side. Given the volumes and the business growing on the options , especially, do we anticipate to pre -
empt our investments on tax side to drive and build a more sust ainable platform going forward?
And do we see that impacting our numbers because we are already -- even with this one -time expense this quarter, our margins are pretty healthy and there is scope to reinvest some to strengthen our infrastructure, especially on the IT side and the platform side. Are we considering that to further strengthen our business model?
Praveena Rai: Yes, I think we will be ahead of the curve when it comes to tech investments. We spoke about it even last quarter. So we have developed our agility, which means our speed to market when it comes to new products from a tech standpoint, the kind of connected ness that we are able to provide to the market participants and most importantly, our readiness for growth. So all of this is already very much baked in, into our readiness framework for technology.
Moderator: The next question is from the line of Lavanya from UBS.
Lavanya: Just wanted to check a bit on new products. When you say indices, what are all indices that we are looking at? Is it bullion? Or can you just elaborate what are all indices that we are looking at? And also any effort that we are putting in specifically improving the base metal contracts, which used to be a very good contribution at one point of time?
Rishi Nathany: So we have 2 base metal -- sorry, index contracts running right now. One is the BULLDEX, which is the Bullion Index and one is the base Metal Index called the METLDEX. So these are the 2 contracts which we have and which we are looking to enhance further th rough bringing options on them.
In terms of growth in base metals in the year which we have ended, we've seen almost a doubling of volumes in the base metal contracts as well. And we are working hard to ensure that those contracts also achieve the necessary traction. However, when you sa y compare with the past, earlier, these contracts long back were cash settled.

Now they are deliverable with India pricing and India price discovery. Hence, that time line to -- for the market to adjust to an India pricing and the contracts to again gain traction is going on. And we believe that as we go ahead, these contracts will a gain get more and more volumes and participation.
Lavanya: Got it. Got it. And one more question. Would you be able to get split of participation in terms of maybe retail hedgers or foreign participants, how the trend is now? Any sense on that?
Rishi Nathany: So as far as you're talking about base metals or you're talking about the entire piece.
Lavanya: No, broadly, broadly.
Rishi Nathany: So broadly, all the numbers are alrea

dy there on the website. You can just have a look. We publish those numbers on a regular basis.
 Lavanya: Yes. But it doesn't have specifically for the retail or something. So any broad sense like what kind of retail participation is there in MCX Index?
Praveen DG : Are you looking for the numbers, how many people which have been already provided in the PPT? Is that the one you are looking for, what is the -- or you are looking for any retail in specific?
Lavanya: Retail specifically and hedges. Any broad range is also fin e?
Praveena Rai: So I think the numbers we have shared, we have about 13 lakh of traded clients. And when you look at large numbers, they will typically come from the retail side. Commercial clients will tend to be smaller in number. So they are either very large corporates or in the SME sector.
Moderator: The next question is from the line of Harsh Shah from HSBC Asset Management.
Harsh Shah: Firstly, just one data keeping question. Can you just help us with the futures revenue and options revenue for this quarter?
Chandresh Shah: Yes. So Harsh, option revenue was INR 179 crores. Harsh, this is Chandresh, CFO.
Harsh Shah: Yes, yes.
Chandresh Shah: The option revenue for this quarter is INR 179 crores and futures revenue is INR 75 crores.
Harsh Shah: Okay. Second question is barring the one -time impact or even the time concentration, if you look at from a full year basis, tech cost was somewhere around INR 93 crores. Employee cost for the full year was around INR 144 crores. But from a directional perspective, again, barring quarter -to-quarter movement, can we assume that for FY26, tech cost will be around INR 90 crores, let's say, INR- 100 crores, INR 110 crores and employee cost will be between INR 150 crores to INR 160 crores or direction ally also this is not going to be the case?
Chandresh Shah: Yes. I think, Harsh, this number -- the numbers would be around these levels.
Harsh Shah: Okay. Just last question from my end is with respect to this capacity building, by any chance, are we building capacities to manage the TCS software better? Basically, what I'm trying to understand, and please correct me if I'm wrong, is by any chance regu lator is still a little bit of skeptical about th e software that we are running.
We are still stress testing it for which you want to build capacities, both on hardware, software and personnel? And also, is this the reason why there is some sort of hindrance with respect to new product launches? Again, please feel free to clarify if I' m mistaken anyway. Just wanted to understand why there's cost escalation and why we are not able to launch a new product and where is regulatory in all this?
Praveena Rai: So your comment on not being able to launch a product is a little surprising. How did you arrive at that conclusion?
 Harsh Shah: No. Basically, just trying to understand your gold is doing quite decent, but other products has been taking some time. So again, I'm just trying to understand what is pending from our perspective? Or is it -- we are done from our perspective, it is only f rom the regulator that is pending?
Praveena Rai: Yes. So we have a number of products in the portfolio. We have natural gas and crude oil, gold, silver, copper, aluminum, zinc, lead, and I think we are all having fairly healthy numbers across futures, options, deliveries and all of this information is av ailable in the deck. When it comes to new products, as stated in the past, we are ready from a technical and go -to-market standpoint, and we are waiting for the final set of approvals to come in before we can take it to market.
Moderator: The next question is from the l

ine of Shalini Gupta from East India Securities.
Shalini Gupta: No, my question has been answered. I was asking for the transaction fees, which I think you said

options is INR 179 crores, futures is INR 75 crores. I correct? Yes. Yes. So my question has been answered.
Moderator: The next question is from the line of Arpit from IGE.
Arpit: I wanted to ask a question over the FPI contribution from the FPI participation out of total volume of transaction charges we have got in the quarter.
Praveen DG : Yes, it is roughly around INR 16,500 crores in options, and it is about INR 600 crores in futures. So you can say about 7% of the total turnover.
Moderator: The next question is from the line of Ashish Kumar from Ampersand.
Ashish Kumar: I have 2 questions. First is with respect to this settlement guarantee fund. So the contribution towards that during the quarter was around INR 18 crores, which was similar to last quarter, but it was significantly up on Y -o-Y basis. So I wanted some sense on how we should look at it for this coming year? And the second question is on new products other than electricity futures and whatever we hav e discussed, any other new products that are in the pipeline for FY26?
Praveena Rai: Yes. So SGF is the settlement guarantee fund. So it will be an outcome of the kind of volumes we have and of course, volatility in the market. So I will say that at a high -level calculation, you can keep the ratio. You can assume a sort of similar ratio to continue. Now when it comes to new products, yes, we do have a number of new products in pipeline. Sorry, without sort of getting it to a certain point, we are u nable to talk about it further.
And priority -- top priority for us is the products that we are ready with that -- where we are waiting for the go -to-market green light. That will be our first focus. As soon as we get those over the line, there will be other things to play. Having said that, we also have in the silver category, we are planning to launch the monthly options.
So while our options, we launched the 1 kg options in the month of November, which is doing phenomenally well. We launched on the 1st of April, the 10 -gram gold, which is also very popular with retail. So we are looking at launching in silver, micro option s, the 30 kg, 5 kg and the 1 kg. So these are all in play. And these would also be in the shorter time frame.

Public Moderator: The next question is from the line of Aravind R from Sundaram Alternate .
Aravind R: So basically, I wanted to understand like we observe in the equity markets, FII participation is much higher. I understand the nature of like our commodity options are different. But the introduction of like index options, and basically the cash settled contracts. And like what other things can be done to increase the FII participation like index contracts, can it bring like a bigger step change in like FII participation ? And what other things can help in a more and more FII participation manner?
Rishi Nathany: So the norms for FPI participation came in the second half of '22, and we started participation early in '23. So it's been more or less 2 years. And in those 2 years, you've seen the kind of participation we have. Now we also have to bear in mind that FPIs are only allowed to trad e in crude oil and natural gas.
So as and when more and more products come under the ambit and more and more FPIs come into the market, we will see more participation increasing. So this is early days yet. We are seeing more and more FPIs onboard onto the exchange. So we believe that as we go forward, we will see more healthy participation from FPIs.
Aravind R: Sure, sure. And like do you think like something like co -location, which happens in equity exchanges can help here also? Like I'm not sure like i

f it is available with MCX, but do you think that the thing can happen, like co -location facilities can happen and that can increase not just FPIs, but also other institutional investors and more and more participation there?
Rishi Nathany: Well, it remains to be seen. We cannot talk about something which is not there. As and when it comes within the regulatory approvals, then we will look it up and we can discuss it.
Moderator: The next question is from the line of Aditya Bhatia from Electrom Capital .
Aditya Bhatia: So basically, I think my questions have been answered, but could you give us a mix between what your FPI and DII hedges, etc ., what the mix really looks like right now?
Chandresh Shah: Sorry? FPI and DII mix.
Aditya Bhatia: On your hedges, yes.
Praveena Rai: So to be honest, our DII portfolio is fairly limited at this point, primarily because there are a number of restrictions in -- for mutual funds and so on to participate in commodity derivatives. But there are some changes to that, that we are working with the industry to understand the needs of the industry and really how we need to incorporate this in the multi -asset portfolios in a more dominant way. So that would be an action that we're working on.
Aditya Bhatia: Sure, sure. And is there any push towards more green finance contracts like ESG -linked carbon trading, etc ., that has been spoken about?
Praveena Rai: Carbon trading has 2 parts. One is the compliance part and the other is voluntary. So I think both of

these operate in a very different way in the Indian context, and India tends to be more of a global seller than a buyer. So work is in progress at the bro ader government policy level when it comes to looking
 at how carbon trading can work and should work in an Indian context. So we are following that closely. And at the right time, when it's suitable for derivatives to be a component of that, we'll certainly be there.

Moderator: The next question is from the line of Sanket from Avendus Spark .

Sanket: Ma'am, this is a bit of on regulation. The regulator came out with a consultation paper of segregating clearing corporations from the exchanges. I know it's not a final regulation, but I just want to understand, suppose it gets implemented, then clearing c orporation, I just want to understand how much they earn from the settlement fees, what you pay them and maybe the float income, what clearing corporation earns. So just to understand if the segregation happens, what likely impact could be there on our top line and bottom line in that sense?

Praveena Rai: Yes. I think from whatever is available in public, it is quite clear that as it stands, this implication is there for the equity exchanges. So at this stage, the Commodity Clearing Corporation has a lot more complexity involved and handles warehouses and d eliveries and so on and so forth. So we are not really expecting this any time now.

Sanket: Okay. Got it, ma'am. And the second question, ma'am, is that how do we foresee this settlement guarantee -- core settlement guarantee fund cost? So if we do the numbers for the full year, it comes to around 7 percentage of the total transaction income what you have earned. So is it fair to say that going ahead, given our volumes are increasing, our open interest goes up, then this cost -- 7 percentage of the transaction income kind of will be a recurring cost going ahead?

Chandresh Shah: So Sanket, this is Chandresh. See, this 7% includes 1 - 1% of contribution to ISF and IPF, which is mandated as per SEBI regulation. And the SGF contribution is something which we look at the requirements, and we keep adding to that because that helps us in different ways to maybe manage the margins for the mem bers, which helps in increasing the volumes.

Sanket: Okay. But is it fair to say that 5% of the cost, given the volumes are inching up will remain -- it's a good problem to have, but just wanted to understand that is the way it will work.

Chandresh Shah: Mostly, yes.

Sanket: Okay. Got it, sir. And one more thing, ma'am. See, our gold contribution is going up, and you alluded to the point that gold invariably will have a lower premium realization compared to a crude or a silver. So is it fair to say that if gold contribution pi cks up in our ADTO in options, then your premium to notional will see a gradual decline or a premium realization to the notional turnover will see a gradual decline as gold contribution picks up?

Praveen DG : No. If you purely look at the statistics -wise calculation mathematically, it depends upon whatever the product that is contributing to the maximum market share, that will be the influencing factor. But as long as the volumes are going across the products, I think that is going to be good for the market and good for the exchange.

Sanket: Sir, the reason why I asked this question, sir, is that we see a bit of kind of a cannibalization when the gold is picking up, we see crude is taking -- not showing so much of growth what we saw in the past.
 So maybe from your assessment, speaking to your members or traders, are you getting a feeling that there is a bit of cannibalization, gold is growing at the expense of crude?

Rishi Nathany: So if you see cannibalization would happen if we were constant and gold grew at the cost of crude oil or other things. We are seeing an overall growth. We have seen 100% growth. So how is there a cannibalization? Everything is growing. There are some thing s which are growing, contributing to lesser premium to notional. Some things are contribut ing higher premium to notional.
So overall, you are seeing -- while you may see the overall mix of premium to notional coming down, but as long as the entire premium is going up and the notional is going up and the volumes are going up, it's a good problem to have, isn't it.

Praveen DG : So want to add to what Rishi has said , generally, the market share keeps changing between the products depending upon the market scenario that is how you have to look at it. It's never been the constant scenario.

Sanket: Okay, sir. And maybe last one. So you said that your option indices will be launched whenever you get the approval. So the nature of the option indices, whenever you launch will be weekly expiry or

monthly expiry? What's the thought process?
Rishi Nathany: See, we cannot comment on all that. The idea is that whenever we get approval, we'll launch accordingly, and we'll let the market know. So I would request you to please wait for that. And as and when it comes, we'll let the market.
Moderator: The next question is from the line of Deepak Ajmera from IGE.
Deepak Ajmera: Just one quick clarification because I attended NSE con call also and management clearly said that they have in principle approval to start the futures on the energy. And you clarified that none of the exchange has that approval. So if you can again clarify that point. And second point -- second is the feedback. Normally con call have diamond pass registration. In your case, we have to wait for operator to get in, so you can enable that facility?
Rishi Nathany: Yes. So your point taken about the second part, we look into it. I mean the first part, we've already our MD and CEO has already clarified. So I don't think there's anything else to clarify on that. I mean, whatever they have said, they have said in their own wisdom. We have clarified according to what we know.
Moderator: Shall w e move on to the next question?
Rishi Nathany: Yes, please.
Moderator: It's from the line of Devesh Agarwal from IIFL Capital.
Devesh Agarwal:

Just a couple of clarification questions. The FPI share that you mentioned or the volumes that you mentioned, INR 600 crores in futures and INR 16,500 crores in option. Is this an annual average or more of a fourth quarter average?

Public Praveen DG : I was referring to the recent quarter.
Rishi Nathany: Fourth quarter.
Devesh Agarwal: Fourth quarter. Fine. And secondly, did you mention any time lines to launch the silver monthly option contracts?
Rishi Nathany: No, we haven't mentioned any time, but we are working on it. And as and when.
Praveen DG : It depends upon multiple factors, and we won't be able to give any definite date or period by when we can able to launch. But definitely, we are considering these products.
Devesh Agarwal: Right. Sir, just in case of order, basically, we have multiple products, which are likely to go live. You have silver, you have index options, you have electricity and then weekly. Any order that you think based on your discussion with the regulator, which can come first and how the others will follow, whether we see all of them in this year? Any tentative time lines will also help, sir?
Rishi Nathany: Very difficult to predict. We cannot assign any timelines or any order. All we can say is we are working on these products. And as and when it is found feasible, they will be brought to market.
Moderator: The next question is from the line of Lavanya from UBS.
Lavanya: On the index options. So currently, we have index futures, which are not seeing much traction. So how do you see this differently when options are provided and any approach that in terms of participation that we are currently already working on? Like how do you see index futures different from options?
Praveen DG : Both are independent to each other because unlike other products, index options or index futures we can be -- are considered to be independent because they are going to be settled based on underlying index, okay? So they can operate differently the way it wanted to operate, how the product is going to be designed.
Lavanya: Yes. But why not so much traction there is index futures, any sense there or any efforts from our side to enhance index future options -- future volume?
Rishi Nathany : So Lavanya, we are working on index futures and other products as we work on all products. It is for the market to take up which products they like. Of course, we put in all our efforts. Having said that, Praveen has already clarified that normally all the products we have in options are based on futures, but these products are based on the index itself, so they are discrete from each other.
Moderator: Ladies and gentlemen, that was the last question for today's conference call. I would now like to hand the conference over to Ms. Praveena Rai for closing comments.
Praveena Rai: Thank you so much for your time. It's been a wonderful discussion. Very intriguing questions. It helps us also to explore and see what we need to do next. Your interest in MCX keeps us inspired, honestly, and I look forward to staying connected. We expect to have a good year ahead, and we'll stay in touch.
Moderator: Thank you. On behalf of Multi Commodity Exchange of India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2025

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.c om
CIN: L51909MH2002PLC135594, info@mcxindia.com
Public
MCX/SEC/2544 August 11, 2025
BSE Limited
Department of Corporate Services
PJ Towers, Dalal Street, Mumbai - 400 001.
Ref: Scrip code: 534091 Scrip ID: MCX
Subject: Transcript of the "Earnings Confer ence Call" with investor (s)/analyst(s) on Q1 FY-2026 results.
Dear Sir,
Please find enclosed herewith transcript of the "Earnings Conference Call" with investor(s)/analyst(s) held on Monday, August 04, 2025, at 16.00 p.m. (IST) on Q1 FY-2026 results.
The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on re cord and acknowledge receipt.

Thanking you,
Yours faithfully,
For Multi Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl.: As above

Public

"Multi Commodity Exchange of India Limited
Q1 FY '2 6 Earnings Conference Call "
August 04, 202 5

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, cor rectness of data or transcription error. This document may contain "forward -looking statements" – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as "expects", "anticipates, "intends", "plans", "believes", "seeks", "should" or "will". Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cau se our actual results to be materially different that those expressed in our forward -looking statements. We do not undertake to update our forward -looking statements.

MANAGEMENT :
MS. PRAVEENA RAI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. MANOJ JAIN – CHIEF OPERATING OFFICER
MR. CHANDRESH SHAH – CHIEF FINANCIAL OFFICER
MR. RISHI NATHANY – CHIEF BUSINESS OFFICER
MR. PRAVEEN DG – CHIEF RISK OFFICER

Moderator: Ladies and gentlemen, good day, and welcome to Multi Commodity Exchange of India Q1 FY '26 Earnings Conference Call. Joining us on the call are Ms. Praveena Rai, Managing Director and Chief Executive Officer, MCX; Mr. Manoj Jain, Chief Compliance Officer; MCX; Mr. Chandresh Shah, Chief Financial Officer, MCX; Mr. Praveen DG, Chief Risk Officer; and Mr. Rishi Nathany, Chief Business Officer, MCX.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Praveena Rai, MD and CEO, MCX. Thank you, and over to you, ma'am.

Praveena Rai: Thank you very much, and good afternoon, everybody. Thank you for joining the call today. So, we've announced our results, and I'm very happy to say that MCX has seen a high-performance quarter. We have announced an income at a consolidated level in the first quarter of FY2026 of INR406 crores, which is a growth of 60% on a year -on-year basis. It's the highest ever revenue for MCX. So, I would take this opportunity to thank all our members and participants for this.

Our profit after tax has grown to INR203 crores. And the health of this growth is really reflected in the average daily turnover number for the quarter, which stands at a very healthy INR3,10,000 crores. So INR3 trillion. The financial year has begun very well.

I think we've seen growth, adaptability, a lot of strategic actions coming into execution, along with, of course, a very dynamic and evolving market environment. We've seen increased participation from in stitutions, hedgers, including the MSME secto r along with our financial participants. We've had a huge, continued drive around awareness

as well as product innovation.
Since April, we've launched a series of products. We've launched products in the bullion segment, involving the 10 -gram futures on gold, options on some of our silver products, the much -awaited electricity futures as well as cardamom in the agri sector. So really, products across all the segments , nearly all the segments in which we operate. This really broadens the risk management for our stakeholders across the industries that are represented here.

We continue to work very closely with regulators, our members, member associations so that we can develop this market further into maturity so that the impact that MCX makes for the commodity markets in India is significantly enhanced, with the transparent price discovery and price benchmark mechanism. We remain highly focused on strengthening our technology and risk framework. This is an imperative as it has always been and will be much required in the times to come to support our growth.
We have also had a very momentous decision where the Board approved a stock split of 1:5. The objective was really to make the stock more affordable, giving more access to a broader range of investors on the face value being reduced from INR10 to INR2 per share. This is, of course, subject to all the approvals hereafter.
As we really look at the financial year, the quarter one results with three more quarters to go, I really look at all our entities in the ecosystem who are exposed to commodity price risks to appreciate the impact and the benefit of the hedging mechanism and look at the regulated exchange traded commodity derivatives to better manage this risk. And our member brokers who continue to educate, in fact, man

y of them have also established commodity desks to support the industry in how to really leverage these hedging instruments.
All at MCX express our gratitude to all stakeholders, regulators, member brokers as well as our vendors and investors in this call and outside for their continued support to MCX.
So, thank you very much, and we can open the session to questions.
Moderator: Thank you very much. The first question is from the line of Devesh Agarwal from IIFL Capital. Please go ahead.
Devesh Agarwal: Good afternoon, everyone, and thank you for the opportunity. Firstly, congratulations on a very great set of numbers to the entire team. The two questions, ma'am, that I have. First is basically, there was a delay in commencement of trading on one of the days. So just wanted to understand what exactly the issue was in terms of why the delay. And secondly, has there been any regulatory steps being taken up by SEBI in this particular instance? And are we expecting any penalty from SEBI for thi s?
Praveena Rai: Yes. So, it's a very important question to address. And as mentioned, we continue to be highly focused on our technology excellence. On the day, as mentioned, there was a database anomaly, which led to this delay in overnight clearing system processes,

and hence, the delay in opening of trading. That was immediately corrected. We have worked with experts in the space, the topmost experts available. The core issue was immediately identified and fixed, and we are confident that this will not recur. All processes associated with regular root cause analysis, reporting and working with the regulator are in process. And that is a regular process. That's so mething that we work very closely with the regulator on. So, I would, at this stage, say nothing untoward there.
Devesh Agarwal: Sure. And the second question is on the expenses. So, although the growth in the revenue is very heartening. But the margins we were expecting it to be higher than what we have actually reported. And per se, I see that the employee expense and SGF

expense has been higher than the expectation. So, anything particular one -offs in the quarter? Or do we expect that the expense run rate will likely remain high going forward as well? And also, the EBITDA margin that we have reported in this quarte r around 65 -odd percent, you think this number is sustainable? Or going forward, we may see some decline with the increase in the cost? That would be my last question.
Praveena Rai: Yes. So, thank you. I think that's a very important question. And this is, as always, Q1 over Q4 impact playing out here. In Q4, we did have certain one -off expenses. And as we look at really driving our growth significantly through launch of new products, incre ased number of participants to drive MCX business towards maturity and growth, we will continue to invest as required.
So, I would say that last year, we had -- the efficiency that was delivered last year will continue to sustain. And at this stage, when we are in a growth phase, it will not be prudent to really say that we will be looking at further tightening the belt here. So, the focus is on growth while we do everything that we need to do to sustain the efficiency.
Devesh Agarwal: Just ma'am, if you can put some guidance, this 65% margin that we have, do we think this number is sustainable? Or we see this going downward / upward basis over the next, say, 2, 3, 4 quarters?
Chandresh Shah: Devesh, these margins could be a little under pressure, but we'll try to work on that because the volumes what we have seen in July are also a little weak. So, these margins are a function of revenue and expenses. So, while we can control the expenses, the revenue is depending on the volumes. So it can be under some pressure, but we'll

have
to see as the year progresses.
Devesh Agarwal: Right, sir. Perfect. Thank you so much.

Moderator: Thank you. The next question is from the line of Prayesh Jain from MOSL. Please go ahead.
Prayesh Jain: Hi, thanks for the opportunity. I just extended that question on the previous question. So, if you look at your employee cost, previous quarter in the different -- previous quarter we had highlighted that there were some extraordinary or some one -off bonus provisions that had happened. Now this quarter, again, w e have seen a similar run rate. Do we expect the run rate to continue? Or now just an additional point out there, whether the variable pay for this year will be apportioned over the 4 quarters? Or how is it kind of accounted, so how should we think about the employee cost?
Praveena Rai: Yes. So, there is an apportionment. So, to that extent, the numbers hold that portion. Having said that, I think the numbers reflect a certain level of growth in people as well as annual performance , increment numbers and so on, which have already been accounted for as well as the apportionment.
Prayesh Jain: So, this quarter run rate should sustain for the rest of the year?
Praveena Rai: Yes.
Prayesh Jain: Yes. Okay. Got it. Secondly, on the business front. Anything on the base metals, delivery centres , sorting out or anything on co -location that you can share with us?
Praveena Rai: So, in terms of metals, I think there's been a lot of consultation activity with our stakeholders. There will be some announcements on optimization that we will be making soon. On co -location, as you know, this is completely in regulatory remit, so nothing mu ch for us to say there.
Prayesh Jain: Why is MCX not allowed versus, say, exchanges, other equity exchanges on for co -location?
Praveena Rai: Yes, could you repeat yourself, please?
Prayesh Jain: I'm saying what's the rationale for SEBI to not give us co -location services versus co -location services being provided by equity exchanges.
Praveena Rai: I don't know Prayesh, it's a difficult question to answer here. So, we'll have to leave that with regulatory remit now.
Prayesh Jain: Okay, thank you.

Moderator: Thank you. The next question is from the line of Amit Chandra from HDFC Securities.
Please go ahead.
Amit Chandra: Yes, thanks for the opportunity. So, my first question is on the uptick that we have seen on the bullion options. So, post the launch, it has now become 46% of the notional turnover. But in terms of premium, it is only 18%. So, I understand we have like lower premium notional here. But how do you see this thing evolving in terms of the contribution for going higher in terms of premium as well?
And also, how do you see this in terms of the cannibalization that we can have here to the futures volume as well because futures, there is a significantly large contribution from bullion as well . So, this is the first question?
Rishi Nathany : Yes. So, Amit, point being is that premiums are a function of volatility, and that is why you are seeing a lower premium to notional in bullion as compared to energy products.
Having said that, there is no cannibalization of futures due to increase in options if y ou observe. The futures volumes have also increased while options volumes have increased. So, I think it is the trend , shows that both futures and options grow at the same time and have that potential.
Amit Chandra: Okay. And sir, in the continuation to this, what kind of tweaks are required in terms of the existing products for both gold and silver in terms of margins and in terms of specification so that we get more retail participation? An

d how the participation ha s changed in terms of the newer product that has been launched after the monthly expiry? Is it more retail heavy, or we are seeing a mix of both -- the similar mix that we had for other products in options?
Rishi Nathany: So, we have made certain tweaks. The bimonthly options contracts have been made monthly, and we have seen a healthy participation there after also . If you compare the retail participation from the Q4, it has increased in terms of percentage in Q1 FY '25 - 26. So, from 51.79%, it has increased to 52.37%. So, retail participation has also increased. The gold 10 -gram contract has brought in a lot of retail interest s. I believe we do whatever is necessary to look at all types of participants, whether retail or otherwise.
Amit Chandra: Okay. And the second question is on the costing aspect. So obviously, we have seen some higher costs. But how do you see the tech cost going ahead from here on? What kind of investments we require more on a longer -term perspective in terms of the existing tech cost or we think that we are mostly invested in terms of the technology, which is going to drive for the next 2 years?

Or we need some additional investment in terms of technology? And also, from the SGF perspective, how to see earlier, we were of the view that SGF would be in the range of 6% of the revenue, but it has now gone up to 8%. So, what could be the like normalized SGF that we can assume?
Praveena Rai: So let me take the tech cost question. So, we will continue to invest in technology. We have to continue to invest in technology as we broad base our products and continue to put our foot on the pedal with the kind of growth that we're looking at. So that's a given. Doing it more efficiently is re ally the question, and I think that's what I covered in the early part that we will continue to focus and deliver the kind of efficiency that we looked at on the technology side. So, will we invest, and will it mean another big bump up of cost , we don't expect so , that we will continue to invest, and we will do that in a manner that is done efficiently. With reference to SGF, Chandresh, can you step in on that?
Chandresh Shah: Yes. So, Amit, the SGF contribution this time it is not increased, it is in similar line, but all the regulatory fees, including SEBI regulatory fees, which is paid on turnover is also included in that line.
Amit Chandra: Thank you.
Moderator: Thank you. The next question is from the line of Vikram Raghavan from Moon Capital.
Please go ahead.
Vikram Raghavan: Hello team. Congratulations on your best ever performance. I have two questions. One is, what will be the effective tax rate going forward? The second question is on the other operating income that has stayed flat over the years. I wanted to ask why it is not increasing as a function of volume as it largely comprises income from margin money .

Chandresh Shah: Yes. So, Vikram, effective tax rate for MCX is around 20.72%. The reason being that our subsidiary, MCXCCL, whatever contribution to SGF they make is tax deductible expense, though it is not debited to P&L. So that's why they don't have tax provision and that is bringing the effective tax rate down.
Praveena Rai: There was a question on margin, right? Could you just repeat that question?
Vikram Raghavan: Other operating income. So that has stayed flat over the years. That is a function of margin money, which is a function of volume. So why is it not increasing in line with the volumes?

Chandresh Shah: So, Vikram, other income does not include this income of the margin money, that is part of income from operations.
Vikram Rag

havan: Okay. I am mistaken. I'm sorry for that. So, the effective tax rate would continue to be at 21% in the future also, yes?
Chandresh Shah: Yes, around 21%, 22%.
Vikram Raghavan: Thank you. Thank you, sir. And thank you, ma'am. All the best for your future performance.
Moderator: Thank you. The next question is from the line of Lavanya Tott ala from UBS. Please go ahead.
Lavanya Tottala: Hi. Thank you for this opportunity and c ongratulations on a great set of numbers. So just on the new products and the recent products. So maybe if you can explain us or help us understand how we are working on the recent products or development specifically maybe electricity derivatives and the next new products which are in line for the launch . That's question number one. Second, I just wanted clarity on the cost. So specifically, one is depreciation. So, it has been fluctuating in the last 3 quarters. So where do we see those stable levels here ?
Praveena Rai: Yes, Lavanya, so I think on the product side, we spoke about the launches we've had, both in bullion as well as electricity, cardamom. So, electricity contract was launched in June, and the cardamom contract in July, of course, just a few days back. We are also looking at quite a healthy pipeline of products. So, these were things that we've been -- we worked on few months back and slowly as these approvals keep coming in and we are able to then bring them to market with a certain timeline . We , of course, have to time the market so that we can't do multiple things at the same time, and we will have a calendar of launches playing out. I expect that this will be across categories. So, we have plans in the metal complex as well as in the agri side as we speak now and bullion also. I think your other question was on cost stability. It's something that -- sorry.
Chandresh Shah: Depreciation cost.
Praveena Rai: Depreciation cost. Yes, you want to take that.
Chandresh Shah: Yes. So, Lavanya, depreciation depends on the tech investment that we do. And till the time there is fresh investment happening or assets are fully depreciated, this number is bound to change every period.

Lavanya Tottala: Okay. Okay. So maybe just one question, if I can squeeze in is, more or less our license fees should be broadly stable from here, and the staff cost also, like as you have mentioned in the earlier question, should be stable from here, even in Q4. Is that right understanding?
Chandresh Shah: License fees is linked to the revenue from that product, energy product. So, it is directly linked to that. So, it will vary with the variation in the income from energy products.
Lavanya Tottala: This is a step -up model which we have with CME, right?
Chandresh Shah: Yes.
Lavanya Tottala: Okay. So, staff costs will be stable even in Q4? Is that understanding right or Q4, are we expecting one more jump similar to last year?

Praveena Rai: With growth of the business, there will continue to be some growth in staff cost, yes. So, the business can't grow with flat staff cost at this rate. So that's what I said that whatever efficiency is there in the business, when we look at a full year basis, as of last year, we'll continue to retain that efficiency.
Lavanya Tottala: Yes. Got it. Thank you. Thank you so much.
Moderator: Thank you. The next question is from the line of Chintan Sheth from Girik Capital. Please go ahead.
Chintan Sheth: Hi, this is Chintan from Girik Capital. One question was on SGF contribution. If I see the previous quarter number and full year number, that got revised upward by meaningfully from INR63 -odd crores for the full year '25, now in the Q1 audited really hit INR79 crores if I'm not mistaken. So, I'm trying to understand the reason for further revision to -- okay, it's clubbed

with the regulatory fees, is it sir?
Chandresh Shah: Yes, that's right.
Chintan Sheth: Okay. So INR63 crores plus whatever it is, is the regulatory fee, which has been clubbed. Got it. Second question is on the other operating income. Like somebody was asking about it earlier that it has been flat relative to the volumes we have seen. So, if you can run us through what … what drives that other operating income one more time, it would be great. And the last question was on the breakup of the transaction revenue, if you can provide for the quarter, futures plus options?
Chandresh Shah: Yes. Chintan, the breakup of transaction charges between futures and options is INR109 crores from futures and INR227 crores from options.

Chintan Sheth: Okay. Great. And on the other operating income...
Chandresh Shah: Other operating income is part of income from operations. What you're referring is to other income?
Chintan Sheth: No, no, no. So, if I add INR109 crores and INR227 crores, and deduct it from INR373 crores as income from operations, there is INR30 - INR40 -odd crores of other operating income, which comes from, I think, the Clearing Corporation, I believe, right? That's part of money -- revenue recognized over there. If you can broadly -- that line item has been pretty much stable. So, I'm trying to understand what drives that number or how should one look at it?
Chandresh Shah: You're right. That is the other operating income of our subsidiary, MCX Clearing Corporation. And largely it is stable, you are right. So, it includes income from margin money and warehousing income, etcetera.
Chintan Sheth: But it doesn't grow with the volumes...
Chandresh Shah: So that is not linked with volumes.
Chintan Sheth: So, it's not linked to volumes.
Chandresh Shah: No.
Chintan Sheth: Okay. You expect it to stay stable, right? That is where one has to look at it. Okay, got it. I will join the queue. Thank you.
Moderator: Thank you. The next question is from the line of Jytotirmoy Jhena, an individual investor. Please go ahead.
Jytotirmoy Jhena: Yes. Hi, good afternoon. Congrats on the great quarter. I just had a couple of questions. Have you seen any volumes t rail off because of this ban on Jane Street by SEBI? And are there any plans to introduce much longer -term products so that primary consumers can participate, for example, 2 -year, 3 -year, 5 -year contracts on …
Rishi Nathany: Thanks, Jyotirmoy. So, we keep working on various contracts and whether they are longer term depends on the market acceptance as well. So, we do work on various maturities. And for example, in gold 10 grams, if you see there was liquidity within the fourth month when we launched. So, we are also very happy to see liquidity across months.

Praveena Rai: And we do -- and I just want to say, sorry Rishi I just want to come in here, but we do intend to extend the long -dated contracts as well. So, we are working on that.
Rishi Nathany: And regards to your first question, it was more of an equity side issue. At MCX, we do not see any such issues relating to the matters you brought out.
Jytotirmoy Jhena: That has been the concern for capital markets generally. Thank you very much.
Moderator: Thank you. The next question is from the line of Sanket Godha from Avendus Spark. Please go ahead.
Sanket Godha: Yes, thank you for the opportunity. Sir, can you break down that INR26.8 crores exactly into SGF contribution and the other regulatory costs? So just to want to figure out whether it is 6 or 7 percentage of the total transaction income. That's point number one. And the second question, just wanted to understand your view,

sir, that premium to notional, especially if you see in the month of July has come off meaningfully. Just from your understanding point of view, given the volumes are increasing in MCX, whether the retail participation going up, that leading to more people trading in out -of-the-money contracts and leading to structurally lower premium to notional number. Is it a fair assessment to make so that the growth in the notional might not translate probably in the same proportion to the premium growth. Any color if you can give how the out -of-money contracts are trading to understand that trend, sir?
Chandresh Shah: Yes. So Sanketh, see that broadly I can tell you what all is included in this expense line of INR26.81 crores. So, it is contribution to IPF and ISF, which is 1%, 1% each of TC. It is a provision for contribution to SGF and the regulatory fees that we pay to SEBI. The exact breakup, I don't have it handy, but broadly, you can assume it is around -- it's around INR4 cr ores.
Sanket Godha: So INR4 crores is...
Chandresh Shah: Regulatory...
Sanket Godha: Other regulatory expenses and rest is your SGF cost, that's the way I need to understand, right?
Chandresh Shah: Yes.
Rishi Nathany: To answer your second question regarding premium to notional, premium to notional is a result of various factors. It's just not trading out of the money. It's also about the volatility in the market. If you observe the beginning of the first quarter, there was

heightened volatility because of global geopolitical situations. It has also investor behaviour . So naturally, it will keep changing from time to time. Having said that, we have been able to more or less maintain a consistent premium to notional. Of course, it would differ from product to product. So, it's very difficult to give you a color as to where premium to notional is headed. Having said that, we always try to increase participation on the exchange, and that should result in overall higher volumes.
Praveena Rai: And we are very happy that with the kind of growth that we've seen with bullion, which really starts stacking up in a very significant way in its contribution even more than in the past.
Sanket Godha: Got it, ma'am. Maybe if I can squeeze one more. Ma'am, just on weekly expiry thing, which we have spoken in the past, anything you are hearing from SEBI? And if you intend to launch, then most likely it would be in which product segment, whether it will be in index options or bullion or crude or energy. Just if you can give a bit of how it -- where is it in the status basically?
Praveena Rai: Yes, Sanket, nice question is what I can tell you. And see, we've been talking about the index options, right? So, when I spoke about this pipeline of products that we are going to put into the calendar, we do expect the index options to be a part of that. Now what really will be the kind of monthly, etcetera, is something that we will announce in due course. But I would expect that the general regulatory outlook towards weekly is fairly conservative. So, I think we should sort of bear that perspective in mind in what we can expect.
Sanket Godha: Understood, ma'am. That's useful. Thank you very much. That's it for me.
Moderator: Thank you. The next question is from the line of Sanil Desai from ICICI Securities. Please go ahead.
Sanil Desai: Yes, good evening, ma'am. Congratulations on a good set of numbers. So, my first question is more of a clarification just on the newly launched electricity futures. So, are this being charged on the same transaction fee as we charge on other futures or is

there any wave off which we are offered right now?
Praveena Rai: Same.
Sanil Desai: So, we are charging the same. Okay. And secondly, like we pay the product license fee to LME, is it a

similar kind of arrangement with IEX, which we have here, like same percentage or anything different over here?

Praveena Rai: We do have an agreement with IEX giving us the rights to use their price. So, it's a very simple price that gives us a reference to the contract.
Sanil Desai: So, is it like some percentage of it? What it would be broadly or something? If you can...
Praveena Rai: Yes. So, I don't think we'll be able to share exact details here. But yes, we do have an arrangement. We do have an agreement on this.
Sanil Desai: Yes. Okay. And just one more small question...
Moderator: Sorry to interrupt, sir, but I may request you to rejoin the question queue for follow -up questions.
Sanil Desai: Sure.
Moderator: Thank you. The next question is from the line of Chintan Seth from Girik Capital. Please go ahead.
Chintan Seth: Yes. Thank you for the follow -up. Just wanted to understand how do you look at electricity futures in the broader scheme of things? We are launching new products and everything. But we have been waiting for this for quite some time. So, we are kind of excited if you can just what our internal...
Rishi Nathany: Your voice is muffled. We cannot understand you clearly, please.
Chintan Seth: Yes. So, my question was on the electricity futures. We have been trying to get the approval for quite some time. And now we have got it, what internally we are thinking to scale this up? And how should you -- what will be the benchmarks or goals or targets you ar e setting yourself for to scale this up in the future?
Praveena Rai: Yes. So, I think we are also very excited, Chintan, about this contract because it's a completely new product space, and it's a very large market when it comes to India. There is also very stable spot exchange mechanism that exists. So, on the back of all that, I think we have launched the contract.
We've seen a good pickup in the early days. In fact, the first month is August. The first month of the contract is August. So, the month now has opened, even though we launched in July to sort of warm the contract up. So, from the 1st of July, the sort of mechanisms really start playing out.

So, there's a very nice healthy open interest of about 700 lots that's built up. So, I would say early indications are looking green. The expectation of the contract is positive. I think it will add to our energy segment. And we want to continue to build into that segment so that we build -- cover all energy products in the segment there.
Any new product is going to take time to build out. Everything that we see today and the numbers we see have happened over years. So, what we want to look at here is early milestones to ensure that there is a trading book that is active and available , so that any producer or distributor or corporate is able to manage their price hedging mechanisms.
So, it's been extremely positive, the kind of feedback we've had from corporates. We've had many industrial organizations, in fact, call up proactively wanting to understand more and starting to try how the contract works in any …
Yes. So let me just finish this last line. In any industrial setup, nearly 30% to 40% of their expenses is energy and electricity. So, I think we are finding a lot of commercial corporate participation interest and nearly 50% of our current participation also is from that space.

Chintan Seth: Great. Great, ma'am. All the very best for the future. Thank you. Thank you for answering my question.
Moderator: Thank you. The next question is from the line of Shalini Gupta from East India Securities. Please go ahead.
Shalini Gupta: Good evening. I wanted to ask lik

e , whole market volumes seem to have shot up. What is the reason?
Rishi Nathany: So Shalini, we have been growing consistently over the years. It's not that it has shot up suddenly. And it is a factor of increasing awareness, increasing participation, and that is translating into higher volumes. So, the business is growing, and commodities are taking their place in the sun, so as to say. So, I think that is also the reason why people are preferring commodities as a viable asset class, and more investor interest is there in commodities.
Shalini Gupta: So, you are expecting this to continue...
Praveena Rai: I will also add that one is, of course, the macro aspects of what's happening, but I think there's also been a lot of very focused efforts and initiatives taken to create more energetic engagement, interaction, spreading the knowledge of why commodity

derivatives matter and so on and so forth. I mean these will take time to play out overall. But I think everything sort of adds up into this space.
Shalini Gupta: Okay. And ma'am, my second question, why are options volumes much higher than futures volumes? I've seen this across the years, across the quarters.
Rishi Nathany: So Shalini, if you understand the cost of trading options is quite cheap as compared to cost of trading futures. And that is a function of what the market prefers. We promote all products. We are -- we have equanimity towards all products. We would like al l segments, all products to grow. But end of the day, it is the participants who decide what to trade.
Shalini Gupta: That's fair. But why are options costs lower? Because the brokerage cost will be the same across options in future s.
Rishi Nathany: It's the taxation angle, Shalini.
Shalini Gupta: Okay. So, options are taxed at a lower rate?
Praveen DG : So generally, it is like if you take futures and options, the taxation part is one thing. And apart from that one, even the brokers charge differently for futures and options.
Moderator: Sorry to interrupt, ma'am, but I may request you to rejoin the question queue.
Shalini Gupta: Yes, yes. All right. Thank you.
Moderator: The next question is from the line of Aditya Bhatia from Electrum Capital. Please go ahead.
Aditya Bhatia: Hi, just a bookkeeping question. What is the average realization for the current quarter? And number 2, on a more macro level, with the regulators increasing scrutiny in the derivatives market, are you seeing any near to mid -term regulatory or compliance headwinds?
Rishi Nathany: So, in terms of average realization, now you will understand that it is true to label. So, there is no average realization. What we announced, there's a fixed fee for everyone, and that is the realization. So, there is no variability in the realization. And in terms of commodity markets, we are very small compared to the equity markets, and we continue to grow, and we see continued interest in people to participate here.
See, commodities markets have a varied participants. So, you have a lot of hedge rs, real users, exporters, importers, physical market participants primary producers and

consumers coming into this market. So, you cannot equate it with equity markets where they're just issuers or investors or traders. Here, there are a lot of other participants. So, commodity markets actually serve a larger economic purpose.
Aditya Bhatia: Sure. Thank you.
Moderator: Thank you. The next question is from the line of Aditya Yadav from Transcend

Capital. Please go ahead.
Aditya Yadav: Yes, hi, good evening. My question was an extension to previous participant's question. I understand you've discussed there have been multiple initiatives which have been taken in terms of awareness, distribution, etcetera, which had led to increase in revenue. But still this qu arter gone by, this April to June quarter had a step jump in revenue. I mean -- so I just wanted to probe a bit further on that, and you could give your sense why it has suddenly taken off in the last quarter?
Praveena Rai: Yes. So, I don't think it's suddenly taken off. I think quarter -on-quarter, the last few quarters have been each step, right? So, I think that's probably the way to look at it. So, if you look at every month, every month has had its -- there are some great months and good -- there are some good months.
But overall, quarter -on-quarter, we've seen that broader macro trend of growth is driven by macro parameters as well as all the actions around increasing both products as well as participants. Global actions around bullion, etcetera, have helped the bullio n space. This has also coincided with the launch of the monthly options that we've had on gold and silver, the 10 -gram launch. So, I think all those moving parts have come together, and that's how that sort of synergistic result is something that we are ab le to see today.
Aditya Yadav: Okay. All right. Thank you. That's all from my side.
Moderator: Thank you. The next question is from the line of Prakishit Gupta from Fair Value Capital. Please go ahead.
Prakishit Gupta: Thank you very much for the opportunity and c ongratulations on a great set of results. Most of my questions have been answered. So just one question on the electricity futures, please. While you have already mentioned that the transaction fee charged is the same as other future contracts. However, wo uld you be able to quantify in terms of either volume or maybe value of the business that you expect from this contract, maybe for this entire financial year?

Praveena Rai: Yes. So, sorry, we won't be able to give that because that's something that we are tracking internally. But like I said, I think we're looking at milestones. We're looking at green shoots here. I already shared the data in terms of what our current open interest is looking like. So, the trend is as we've expected.
The focus really is on early actions. The first -- we are just 2 days into the first month actually of the first contract. So, bringing in all the commercial participants and having them to actively participate is one of the primary objectives here.
Prakishit Gupta: Understood. Just one bookkeeping question. You mentioned transaction income split. Please, I just wanted to confirm it. Futures is at INR109 crores and then thereby options would be at INR267 crores, correct?
Chandresh Shah: INR227 crores.
Prakishit Gupta: All right. Thank you very much for answering my questions and good luck for the current quarter.
Moderator: Thank you. Ladies and gentlemen, this will be the last question for today. The next question is from the line of Lavanya Tott ala from UBS. Please go ahead.
Lavanya Tottala: Hi. Thank you for the opportunity again. So just wanted to understand one thing, clarification. So, ma'am, you mentioned that the participation in electricity derivatives, 50% is coming from the corporates. So, the rest is coming from capital market participants or have you see DISCOMs using this for hedging or I mean, increasing participation from DISCOMs one can expect over a period of time . Anything on that?
Praveena Rai: See, 50% plus is coming from clients. Of that, I think we really wouldn't be able to say whether it's coming from what kind of participant, DISCOM and so on. But I think we do expect the public sector to take more time to come on Board. The early participa tion will come from private sector generators, and we are actively engaged with all of them.
T

here is a lot of activity around solar generation and private distribution and so on and so forth. So, we have the open interest of 700 lots.
Lavanya Tottala: Okay. Maybe participation in terms of other contracts, how do you see like in terms of hedging and all? I mean, specifically gold, are we seeing higher share of hedge rs in other contracts coming in, specifically gold? Anything there?

Praveen DG : Can you repeat again , Lavanya ? You are not clear .

Lavanya Tottala: So, I'm just asking how the participation in other segments has evolved, specifically hedgers in maybe gold, like how it has evolved over a period of time? Is it increased or -- hedging part icipation ...

Praveen DG: You are already aware of it. There's a significant contribution because when you look at it, you have to look from open interest when you are looking at hedgers . And when you are looking for other market participants, maybe you can look at the volume. In commodities like gold and other commodities, metals and other things, you could see a lot of participation in the hedgers , in terms of their contribution to the open interest, okay? So, in case of volumes, I think it is going to be distributed across many categor ies of market participants.

Lavanya Tottala: Okay. Perfect. Thank you. Thank you so much, sir.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to Ms. Praveena Rai, MD and CEO, MCX, for closing comments.

Praveena Rai: Yes. Thank you very much to everyone who participated, and very high quality of questions. I hope we were able to address all of them. Thank you for your time and participation. Look forward to staying connected.

Moderator: Thank you. On behalf of Multi Commodity Exchange of India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.c om
CIN: L51909MH2002PLC135594, info@mcxindia.com

MCX/SEC/2589 November 11, 2025

BSE Limited
Department of Corporate Services
PJ Towers, Dalal Street, Mumbai - 400 001.

Ref: Scrip code: 534091 Scrip ID: MCX

Subject: Transcript of the “Earnings Conference Call” with investor (s)/analyst(s) on Q2 FY-2026 results.

Dear Sir,

Please find enclosed herewith transcript of the “Earnings Conference Call” with investor(s)/analyst(s) held on Friday, November 07, 2025, at 16.00 p.m. (IST) on Q2 FY-2026 results.

The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on re cord and acknowledge receipt.

Thanking you,
Yours faithfully,
For Multi Commodity Exchange of India Limited
Manisha Thakur
Company Secretary
Encl.: As above

“Multi Commodity Exchange of India Limited
Q2 FY '2 6 Earnings Conference Call ”
November 07, 202 5

MANAGEMENT :
MS. PRAVEENA RAI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. MANOJ JAIN – CHIEF OPERATING OFFICER
MR. CHANDRESH SHAH – CHIEF FINANCIAL OFFICER
MR. RISHI NATHANY – CHIEF BUSINESS OFFICER
MR. PRAVEEN DG – CHIEF RISK OFFICER

Moderator: Ladies and gentlemen, good day, and welcome to the Multi Commodity Exchange of India Limited Q2 FY '26 Earnings Conference Call. Joining us on the call today are Ms. Praveena Rai, Managing Director and Chief Executive Officer, MCX; Mr. Manoj Jain, Chief Operating Officer, MCX; Mr. Chandresh Shah, Chief Financial Officer, MCX; Mr. Praveen DG, Chief Risk Officer, MCX; and Mr. Rishi Nathany, Chief Business Officer, MCX.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone Please note that this conference is being recorded.

I now hand the conference over to Ms. Praveena Rai, MD and CEO, MCX. Thank you, and over to you, ma'am.

Praveena Rai: Thank you very much. Good evening, everybody. A very warm welcome to our quarterly earnings call. We have released our results as of end of day yesterday and very happy that MCX continues to deliver strong operational and financial results.

During the quarter ending FY26, the second quarter, our consolidated total revenue stood at INR401 crores, which is a growth of 29% over same quarter last year.

Our EBITDA increased to INR270 crores by 32% and profit after tax grew also by 29% to INR197 crores. Now this quarter witnessed good market activity. And overall, our ADT has risen to INR4.11 lakh crores. You will recollect that last year, our ADT was INR2.02 lakh crores. So that's a very healthy growth in the actual market activity that we see, a reflection of continued confidence as well as participation across stakeholders.

On specific business level actions, we have focused on executing on the plans we've discussed before, our product launches, where further variants in the bullion sector were launched. With market feedback, it was identified that the monthly options on silver, the main contract of 30 kg as well as the mini 5 kg contract, both of these were launched. And fresh future contracts were launched in cardamom as well as in Nickel. Nickel was a contract that has been traded on the exchange earlier, but this

was sort of a launch with product nuances that were revised based on market feedback and regulatory approvals and then launched. The MCX BULLDEX has also been launched in the month of October.

We are committed to enhancing our technology infrastructure. We will continue to expand our product suite as well as deepen our market participation. All of this will reinforce MCX position as the commodity derivative exchange for India.

Now as you may be aware, on 28th of October, Tuesday, there was a technical issue at the exchange. We opened trading at 1:25 p.m. after shifting to the disaster recovery site. This primary root cause was a pre -defined parameter limit relating to reference data , like the unique client code, which is configured within the systems. So, this led to certain constraints beyond the threshold. And we have taken all steps to address these constraints and prevent similar issues from happening. The trading systems have not had any issues in the past, and this appears as a one -off, and we will continue to have a strong focus and resolution mechanism around this.

The exchange systems are well -positioned to support the market volumes and the growth that we foresee. We want to extend our gratitude to all stakeholders, member brokers, vendors, partners who have supported us through this incident , as well as across the entire quarter for their unwavering support for MCX as well as the support we

've received from regulators when it comes to driving commodity markets in India.

With this, I'd like to conclude my remarks and look forward to taking any questions and discussing further.

Moderator: First question is from the line of Devesh Agarwal from IIFL Capital. Please go ahead.

Devesh Agarwal: Thank you for the opportunity, everyone, and c ongratulations on a good set of numbers. My first question is continuing on the tech issue. So, could you help us, one, understand better what exactly was the issue that happened and whether it was a platform problem? It was from the TCS side or whether it was an operational challenge that we faced and what exactly have we taken -- steps taken to rectify that? And is the trading now moved back to the main site?

Praveena Rai: Yes. So, I'll first confirm that the trading has moved back to the main site. During the course of that week, we did not want to make a move back to the main site, just given the situation that had happened, but that weekend, the system moved back, and everything is back to normal. Now the root cause, I think we've defined but let me try to explain it a little bit more. So, it is a predefined parameter limit, which was there in the gateway services. And this pertains to certain files, which include the configuration of things like the UCC. This crossed a particular limit that night because of which the threshold started becoming active. And with that threshold active, the gateway services were not able to get fully enabled.

And because this is a predefined parameter, the same parameter continued to hold good in the DR site also, even though the immediate action to move to DR was taken, the same key issue emerged, and there had to be certain steps taken to find

it, resolve it, address it and then run the process to start trading for the day, which tends to be a process with a few steps. And all of this together is what took that time before we opened up for trading.
So, this is what we have. And since we identified the problem that day and after that, we went through a root cause analysis, which we confirmed , the issue, we have also taken steps to make sure this problem is addressed in the system and then this has been brought back into operating from the main site. So, the issue has been resolved on both our main data centre as well as our DR site.
Devesh Agarwal: Right, ma'am. And the fact that this has happened the second time, the technical glitch that on our platform in a gap of 4 months, did you have any discussion with the SEBI and any sense that you can share with us what is the view that SEBI is taking? Are we expecting any penal order from them? Where are the dialogues with SEBI in this regard?
Praveena Rai: Yes. So of course, the first incident was pertaining to the clearing corporation, and this pertains to trading, the clearing systems and the trading systems. So yes, two different systems, though they did impact our market operation. So, there are standard processes followed in the way we need to adhere to updates and analysis working with SEBI and all of that is currently under progress.

Till that process is completed, it will be speculative to make any note or take a view on how this will go. I think we are confident about where we are, and this is the message that we'd like to give forward.
Devesh Agarwal: Sure, ma'am. Sure. And one last one, ma'am. You recently launched the BULLDEX index options on 27th of October. So just, one, wanted to know, in this particular contract, FPIs are allowed to participate, right?
Praveena Rai: I think Rishi will com e in on that.
Rishi Nathany: Yes. So as of now,

FPIs are not allowed to participate in any contract where the underlying is not cash -settled. So, because the underlying of the BULLDEX is gold 1 kg and silver 30 kgs, FPIs are not allowed to participate in BULLDEX options as of now.
Devesh Agarwal: Understood. And any expectation as to how are you seeing the volume build up in this particular contract?
Rishi Nathany: It's very early at present. It's just been 10 days since launch. So, any contract takes time to build up, and we are very confident that the contract will continue to grow.
Praveena Rai: Yes. I think the index options is something we've been awaiting for a long time. I think this launch was eagerly awaited, and it has happened now. So, we are very optimistic about the launch.
Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal.
Prayesh Jain: Just any update on the base metal front with respect to the delivery centre issue or the sorting out of delivery centre and how do you trying to plan to scale this segment, which has been kind of weak for a pretty long period of time? That will be my first question.
Praveena Rai: On base metals -- sorry, your question was not clear. Are you asking what are the steps we are taking on base metals?
Prayesh Jain: Yes. And we were thinking about consolidating the delivery centres , right, the

number of delivery centres on base metal. Is that something which is there on the

cards and where are we with respect to it?
Praveena Rai: Yes. So, we have done that. We have launched, in fact, Nickel only at one warehouse. We've consolidated Copper at only one warehouse now. That becomes active from the December contract. As far as the others are concerned, there has also been further consolidation. There has been in Aluminium , we are at 3 centres . Zinc has also been reviewed. So, it's a continuous process. We've looked at data on where deliveries have taken place. We've looked at and engaged with market participants on where they have a requirement. And based on that, this consolidation is taking place. We also don't want to do sort of -- take all actions in one go. So, it will be sort of a phase -wise action here.
Prayesh Jain: Got that. And interaction last time, I think had suggested that you will be kind of reaching out to the participants for increasing volumes on base metals. Where are we with respect to it? And how much engagement has happened there?
Rishi Nathany: So, this is an ongoing process. But for base metals, we are reaching out to various participants. If you see that Copper from the December contract is becoming a single delivery centre . And as our MD was saying that -- we don't want to do everything at once. So, we are taking one step at a time.
And if you see that there's been a pretty decent uptick in both Copper futures volumes as well as Copper options volumes. So, we are very hopeful that with Copper as a test case and with a single delivery centre , if we can get that traction, then we can look at other contracts as well. So, the process of reaching out to market participants is always on.
Prayesh Jain: Got that. Got that. And the other question is we've launched the BULLDEX, and -- so what are the plans to launch other index options and anywhere with respect to , have we filed the products or where are we? So apart from that, which other products can we expect in the next 1 year or so?
Praveena Rai: So, we have a pipeline. I think the pipeline is -- requires approvals. It requires a certain process at our end before we are in a position to announce it. But I think we spoke about it last time also. We have a healthy pipeline of commodities, which we

believe meets requirements of scale, volatility, need for the Indian market. And this will be something that will start coming into play as our own processes get completed, and then we'll be able to announce timelines for that.
Prayesh Jain: Okay. Just on the BULLDEX contract, these devolve into futures , options and eventually, the customer has to buy the physical delivery of hi s open positions?
Rishi Nathany: No. BULLDEX options do not devolve. BULLDEX options are cash -settled. They will be settled at the price of the option on the last trading day. There is no devolvement of BULLDEX options into BULLDEX futures or the underlying gold and silver futures.
Prayesh Jain: So, then FPIs can participate in BULLDEX options?
Rishi Nathany: No, they cannot at present because the guidelines do not permit them.
Moderator: The next question is from the line of Amit Chandra from HDFC Securities.
Amit Chandra: My first question is on the rise that we have seen in the Bullion options. This rise has come particularly after the change in the expiry from bimonthly to monthly and also a lot of volatility in the underlying prices. So how do I attribute this to -- is it because of -- only because of the price volatility? Or is it because of the change in expiry? And also, what is the sustainability of this? Plus, in terms of the normalized premium to notional, how do we see the premium to notional for the gold and silver contracts? Plus, in terms of the participation, how has the participation in these new contracts been different from the earlier like crude and natural gas contracts that we have?
Rishi Nathany: So, if you see, you've asked 3 questions. One is that while we have seen increasing participation in volumes in the gold and silver contracts, you cannot attribute it to any one specific reason. It is always a combination of various factors which propel contracts to do better. And of course, there's been volatility. There's been heightened interest in these contracts, we made them monthly. So, it's a combination of all these factors.
Now when you talk about notional -- premium to notional, ideally, if one makes a bimonthly contract into a monthly contract, the premium should halve , if you take it

theoretically. But our overall premiums have risen after making this move. So, it has been a beneficial move in that sense.
What was your last question?
Amit Chandra: In terms of the participation, how it has been different because it's more retail driven or it's more prop or who are participating in these option contracts? Is it very different from what we have in the past?
Rishi Nathany: It's not very different because we have a very wonderful mix of physical market participants, hedgers, investors, retail participants, HNIs, ultra HNIs, corporates, and of course, the entire jewellery community. So, it has just increased that -- due to this launch, and that is why we are seeing this kind of participation. Of course, volatility and price movements, of course, also have a large role to play.
Amit Chandra: Okay. And the second question is on the launch of the bullion like index options. So, in that, you obviously said that FPIs are not allowed, but being a cash -settled contract, but it was supposed to attract a lot of interest because of the nature of being cash -settled. Do we also need to do any market making in this contract to scale it to a certain level? Or is it going to rise based on the natural growth or the participation that we're expecting on that?
Rishi Nathany: Yes. So, before any contract when you launch, I mean it would not start exploding from day one. We expect that since we have

not brought in market making, it will be organic growth. And this organic growth will be visible as we go ahead.
Amit Chandra: Okay. And my last question would be on the technical issue that we had. Obviously, you have explained the reason for that. But in terms of the medium to long -term implications of the issues that we are having, it's more on a frequent basis. Do we need to strengthen further our investments in the technology? And can we see some more steep increase in the technology cost and also in terms of capex ?
Praveena Rai: We have already planned investments in technology because at the growth rate that we have and what we have seen and what we are forecasting, we do expect that technology is not going to be a sort of a static platform. It will require continuous upgrades, doing this in a manner efficiently and making sure that capacity is up to

mark with forecasted volumes and requirements is something that has already been work in progress and will continue to be. So yes, we will track to that plan of ours. We are not expecting anything very significant over and above that because this is already accounted for.
As I pointed out, the trading issue, the trading platform has been a stable one, this constraint notwithstanding, which we are addressing. The other upgrades and requirements that are there as part of the growth of volume will continue to take place.
Moderator: Next question is from the line of Niranjan Kumar from Avendus Spark.
Niranjan Kumar: So, during October '25, the margin requirements for the gold and silver F&O contracts were increased in 2 phases, right? So, can we expect this to go to previous level once the prices in these commodities cool off? That's question number one.
And another question is like you have clearly explained why there was a technical glitch. But can this have any impact on the future new product launch approvals from the regulator?
Praveena Rai: Yes. So, when it comes to margins, I think the situation on bullion and specifically on silver was something that we watched and tracked very closely while it was playing out, especially in the pre -Diwali festive season. On the back of what we saw in

market, some unexpected backwardation where Indian markets also reflected the global markets. We took some urgent actions.
We also made sure that our actions, I wouldn't say made sure, but we also reflected on actions that we saw in the global space in terms of how price movements were playing out as well as margin movements and so on in the global exchanges.
And I think our actions have helped and the situation has remained well under control. And of course, overall macro environment is also stabilizing now. So, we will keep a track on this. We are watching all our -- not just volatility, open positions and so on and so forth. And we'll rationalize at the suitable time.
Niranjan Kumar: Ma'am, also the impact on the -- like the technical glitch, will it have any impact for...

Praveena Rai: Yes. No … So we have whatever product approvals we require are in place. And new products are as per what is approved under the commodity list of SEBI. So, at this stage, I think processes are being followed as always.
Niranjan Kumar: Okay, ma'am. And like equity markets, are there any plans to launch weekly expiry option contracts as well? And also in equity markets, like a significant growth in index options was driven by retail investors. So, can we expect the same on the MCX platform, too? That's it from my side, ma'am.
Praveena Rai: In terms of MCX entering new segments, I don't think we can really comment on that. When it comes to weekly options,

of course, we are also watching the space.
And as we see the sort of perspective on weekly options, what will be the implication for both equity and commodities, I think , will be something that we'll all see as we move forward. But it is something that is on the radar for us.
Moderator: The next question is from the line of Lavanya T.
Lavanya T: Ma'am, thanks for the update on tech issue and I think we prefer not to speculate on the regulatory impact. But I just wanted to understand if there is any existing regulation or guideline which can give us a sense on what could be the maximum potential impact or penalty , if in case MCX had to face?
Praveena Rai: No, the circulars are all in public domain. I think there's also been a lot of intense media coverage on them. So those speculative details are well aware, but it will be inappropriate to term where the situation stands in the broader scheme of things with respect to those various rules and guidelines. So, I think we'll have to let the process play out to get to the bottom of this before we can actually see where th is situation will end.
Lavanya T: Got it. Got it. Also, just on -- earlier some time back, regulator spoke about potential improvement in participation on the commodity exchange, specific -- I mean, if you could help us understand a bit more in detail what can be done in domestic institutional participation side. So , which kind of regulations or what can be done to improve domestic institutional participation on MCX?

Praveena Rai: Yes. So , I think we are looking at improved participation across various parameters. I'm just going to request Rishi to take that, then I'll add on.
Rishi Nathany: Sure. So, we are seeing heightened interest and participation from domestic mutual funds. There's also participation from AIFs. PMS is an area where we would like to see more participation. So overall, we are seeing growing domestic participation.
And in terms of membership also, if you see this year, we've already added 17 new members. So, in that sense, there's a very healthy -- and we have a healthy pipeline of more members coming in. So, there is a lot of interest for people to be

participating in commodities.
Praveena Rai: So, I think you will also notice that a number of mutual funds have now opened themselves up to the multi -asset fund schemes. So , that really is a very focused effort from our side because then it opens up the ability for commodities to be part of the fund. And we expect many -- I think we are aware of some in pipeline, and you will see those launches happen in market in the coming months.
Moderator: The next question is from the line of Raj Goenka from VJ Capital.
Raj Goenka: Ma'am, just one question I had is, how do I look into this? Because last quarter, if you see the commodity prices, especially the bullion prices were very volatile. But if you see sequentially, we don't have any kind of much growth. So how should I -- is there a lack of participation? Or what is it, please? Just this one question.
Praveena Rai: So, I think we are -- we had a good push -- growth that we saw in the first quarter of the year. We grew nearly by 33% over the previous quarter. This was driven by certainly some macro indicators along with whatever that , we were driving from a business standpoint. This month, we have seen this number to be flat. And I think it's a broader reflection of where the 2 quarters need to be seen hand -in-hand, even though the underlying drivers, the participation, the members, the ADT and so on has been increasing.
And certainly, we've seen growth in bullion. Bullion does have a slightly lower premium ratio, which is reflective of the way the product operates. And that is also reflecting in this, a little flat growth that you se

e.

Raj Goenka: And any -- we are making any kind of engagement with probably the brokers or the participant...
Moderator: Sorry to interrupt you, Mr. Goenka. May we request you to please speak a bit louder. We cannot hear you clearly.
Raj Goenka: I just wanted to find out one more ma'am. Anything we are doing to increase this participation?
Praveena Rai: Yes, yes, of course. I think everything we are talking about is what our business teams are doing, right? So, when we look at number of members and FPIs coming on board, domestic institutions coming on board, more commercial participants coming on board. All of these are very strong business actions in market. Our teams are there on the ground working on all of this.
Moderator: The next question is from the line of Bhavya Sanghvi from Alchemy Capital. I'm sorry to interrupt you, Bhavya, we cannot hear you. Your voice is breaking. Can you please check?
Bhavya Sanghvi: Yes. So, ma'am, just one question. Could you give us the breakup of revenue?
Chandresh Shah: You're saying futures and options?
Bhavya Sanghvi: Yes, yes.
Chandresh Shah: So, for Q2, revenue from futures was INR114 crores and options, it was INR223 crores.
Bhavya Sanghvi: Got it. And also, could you help us with transaction charges, membership fees and float income?
Chandresh Shah: So that is all part of the income numbers that we have presented. Beyond this, we will not be able to give breakup.
Moderator: The next question is from the line of Deepak Ajmera from Family Office.
Deepak Ajmera : Congratulation on successful product launches. First question is on the electricity derivative market share. Is there any natural edge that NSE has because of which the

market share is higher despite being an equity exchange? Second question is on the co-location. What is the development?
How regulator and exchange is progressing on the co -location side? And third one is a suggestion on the Diamond Pass, which we last quarter also suggested that my team member took 15 minutes waiting for -- to connect this call. So that can be saved.
Chandresh Shah: Diamond Pass is something we'll have to subscribe. We'll check that.
Praveena Rai: Okay. Okay. So, the last point is, I think, an administrative point. Sorry that you had to wait. We'll see how best we can address that. Your point on electricity contract, the electricity contract is -- has picked up quite well. We are doing about INR34 crores of ADT, average traded lots of about 2,000 lots plus, with a very healthy open interest position buildup of 1,130 lots plus. Now here, we are looking at also distributed participation. We have more than 80 members who participated, a few hundred of UCCs that is participa nts who are actually trading and a very healthy momentum of commercial participants coming on board. It's a new contract, still young, just in the range of about 3 months.
I think we have also seen an extended monsoon. So of course, this parameter impacts some of the volatility and price considerations. Otherwise, we expected to see even recent numbers to be a little higher than this.
When it comes to competition, I think I won't be able to comment what exactly is happening there, but we do see the healthy participation, the number of members, the broader trades that happen over the course of trading time and our contract design, which has been done taking into consideration the needs of the market. All of these are very much what the market needs, and this is something we've gone back to industry and reconfirmed. So, I think we are quite confident where we stand on this.
Deepak Ajmera: Yes. On co -location...

Praveena Rai: Okay, okay. On co -lo, again, we won't be able to comment. As you know, it's not regulatory permitted. So , not something that we'll be able to really say anything on.

Deepak Ajmera : Yes. Is that we should expect not in near future, means maybe long term, is that regulator and exchange is aligned towards allowing the co -location or that is not going to happen in the commodity exchange?
Praveena Rai: Not really to expect. Deepak, I think we should not -- I wouldn't want to either comment on it or speculate on it. But yes, let's leave it at that.
Moderator: The next question is from the line of Devesh Agarwal from IIFL Capital.
Devesh Agarwal: Two questions I wanted to ask. First, with the increased activity that we saw in the bullion segment in the month of October, what would be the expectation on the SGF contribution? Are we -- should we expect a significantly higher SGF contribution for the third quarter?
Chandresh Shah: So, Devesh, there has been some contribution, which we had to do in this quarter, I mean, in the month of October, and that is already there , reflected in the numbers, which are uploaded on the website. You can have a look at that.
Devesh Agarwal: Okay, sure. And lastly, recently, G roww mentioned, G roww MF , that they very recently had started the commodity trading on their platform. So -- and they are one of the largest retail brokers. So, what I wanted to know is, are there more brokers who aren't currently offering commodity trading on their platform? If you can identify those, the relevant ones? And if there are, what are we doing to engage with them to enable the commodity trading on their platform?
Rishi Nathany: So, Devesh, as I told, we've got 17 new members this year, and there are many more in the pipeline. Of course, there are a lot of members who are there on the equity segments, but maybe not on the commodity segments. And we are constantly reaching out to them, and that is how we have a healthy pipeline and conversions of new members into the system. So, we believe that this would , going forward also , continue to grow, and we should add more members as we go forward.
Devesh Agarwal: Sir, would you be able to call out of the top 10 brokers by active clients, which NSE reports, how many would also be participating on MCX?
Rishi Nathany: I cannot name any specific member by name. So, I don't know...

Devesh Agarwal: Like 3, 4, 7, 8, not the names, just the number. All 10 are participating.
Rishi Nathany: More or less, it would be similar.
Moderator: The next question is from the line of Manoj Bhargav, an individual investor.
Manoj Bhargav: Yes. Well, I'm actually a long -term investor. We are a family office, and I'm not interested in quarter -on-quarter or year -on-year. What I am interested in knowing is, I know very well that MCX is at a very nascent stage. It's just sort of taking off. As I see the commodity exchanges around the world are very vibrant as compared to the equity exchanges, should we expect with MCX going forward, let's say, a vision of 4 to 5 years in a similar sort of trajectory?
Rishi Nathany: So, Manoj, just to answer your question, commodity markets globally are -- maybe the leading ones , are more than a century old. In India, commodity markets have just started in the early 2000s. So, we are just roughly 22 years old, whereas equity markets in India, again, are more than a century old. So, we are playing catch up. And looking at the speed of growth, which we are seeing and it's visible to you as well, I'm sure we'll get there. When? I cannot tell you because it depends on the market as to how fast we grow.

Manoj Bhargav: Yes. But the trajectory definitely looks positive, looks optimistic. I mean, what I hear, what I've heard all your comments, I mean, it definitely sounds promising. Is that how you see it?
Rishi Nathany: We are all for delivering growth, and it's up to you to see whether we are doing that or not.
Praveena Rai: No, no. Yes, I think you're right. I think, we are positive. We are optimistic. A lot of business actions on the ground, product suite enhancements. We've spoken about all of that. So, I think we are moving across various axis here.
Moderator: The next question is from the line of Aditya Makharia from HDFC.
Aditya Makharia: Yes. I just had one long -term question again. You see globally, what is the ratio of commodity volumes vis -à-vis equity. So, let's say, if equity does a daily volume of,

let's say, $1 million, will a commodity exchange in the U.S. or anywhere else be maybe half of that or 2x of that or 4x? Just want to know what is the global benchmark.
Praveena Rai: Yes. So, I think we don't want to talk about what happens in other exchanges. What we know from global benchmarks is that commodity markets tend to be a multiple of the equity markets. So yes, that upside and headroom is available here at a high level.
Aditya Makharia: Okay. Got that. And just second thing, of course, we have gold, silver, crude and natural gas, which is multiple -- which is bulk of the volume. Globally, it would be these or there would be other commodities which are sizable?
Praveen DG : Different exchanges have different commodities, like -- but of course, the crude oil and energy products happen to be one of the leading commodities . Besides energy, you have bullion commodities after that on metals and everything. But every exchange has a different specialization. But of course, we are glad that we have a diversified group of commodities on the exchange.
Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal.
Prayesh Jain: First question is on the bullion part again, BULLDEX. So far, the participation -wise, who are the -- whether it's retail, whether it's prop desk, whether it's hedgers, who have been kind of participating in this name? And do you think that this product can attract more retail base versus the other products that we have?

Rishi Nathany: So, to answer your question, Prayesh, participation is all rounded, and we would always like to see all rounded participation from all market participant types. So, whether we will see retail or hedger s or institutional, I cannot comment because end of the day, we are a platform and we reach out to all participants, and it is our desire that all such participants come and participate on the platform and on every contract. So ideally, what we look forward to is the contract doing better and better.
Prayesh Jain: Extension to that would be, do you expect some cannibalization between the existing -- the main base of commodity option contracts and the index contracts?

Rishi Nathany: I don't think there will be any cannibalization. We have launched so many variants in gold and silver, all of them are doing well. When we launched the gold 10 grams, people said it was very close to the 8 grams. So that has also done well. Everything finds a niche for itself.
Similarly, this contract will also find a niche for itself, and all these contracts are proven to be complementary to each other rather than cannibalizing.
Prayesh Jain: Got that. And the last question is on the number of clients that would have traded on futures and options. As per your presentation, it was about 6.4 lakh in options in the Q

2 and 2.7 lakh in futures. What would this number be in, say, October month?
Praveena Rai: We can't comment on October month in this call. Of course, whatever data is in public domain on our website, etcetera, you can also have access to it. It is -- given macro environment and everything that happened around bullion, of course, numbers have been healthy overall.
Prayesh Jain: Okay. Just a feedback - we get a lot of data in terms of NSE and BSE, they kind of give a lot of data out and there , one of the publishing position documents is NSE Pulse. If we can also start disclosing more data on a monthly basis, it will be great. We can track the company better, just a feedback.
Praveena Rai: Sure. Thank you for that.
Moderator: The next question is from the line of Tejkumar Jain from TK Jain & Company.
Tejkumar Jain : I just want to ask on the fixing of record for splitting of shares. Normally, it speaks after -- immediately after the shareholders' approval meeting. Any reasons behind this for delay?
Chandresh Shah : I think it is -- there are some steps which we have to take -- special steps which we have to take for being an MII. I think it is in the final stages. The date will be announced shortly.
Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Ms. Praveena Rai, MD and CEO, MCX, for her closing comments.

Praveena Rai: Thank you very much to everybody for participating, spending your valuable time with us. The questions, interactions, discussions were very valuable. They also help us take back some thoughts, suggestions on the MCX pulse and so on were very good and well taken. Somebody also pointed out some administrative delay in joining. We'll try to address that also in future. Thank you very much for joining in.
Moderator: Thank you. Ladies and gentlemen, on behalf of Multi Commodity Exchange of India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91-22-6731 8888, FAX: +91-22-66494151, www.mcxindia.c om
CIN: L51909MH2002PLC135594, info@mcxindia.com
MCX/SEC/2633 February 03, 2026
BSE Limited
Department of Corporate Services
PJ Towers, Dalal Street, Mumbai - 400 001.
Ref: Scrip code: 534091 Scrip ID: MCX
Subject: Transcript of the “Earnings Conference Call” with investor (s)/analyst(s) on Q3 FY-2026 results.
Dear Sir,
Please find enclosed herewith transcript of the “Earnings Conference Call” with investor(s)/analyst(s) held on Tuesday, January 27, 2026, at 16.00 p.m. (IST) on Q3 FY-2026 results.
The said transcript is also uploaded on the website of the Company at https://www.mcxindia.com/investor-relations/ir-meetings
Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.
Kindly take the same on re cord and acknowledge receipt.
Thanking you,
Yours faithfully,
For Multi Commodity Exchange of India Limited
Manisha Thakur
C
ompany Secretary
Encl.: As above

“Multi Commodity Exchange of India Limited
Q3 FY '26 Earnings Conference Call ”
January 27, 202 6

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company’s event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, cor rectness of data or transcription error. This document may contain “forward -looking statements” – that is, statements related to future, not past, events. In this context, forward looking statements often address our expected future business and financial performance, often contain words such as “expects”, “anticipates, “intends”, “plans”, “believes”, “seeks”, “should” or “will”. Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cau se our actual results to be materially different that those expressed in our forward -looking statements. We do not undertake to update our forward -looking statements.

MANAGEMENT :
MS. PRAVEENA RAI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. CHANDRESH SHAH – CHIEF FINANCIAL OFFICER
MR. RISHI NATHANY – CHIEF BUSINESS OFFICER
MR. MANOJ JAIN – CHIEF COMPLIANCE OFFICER
MR. PRAVEEN DG – CHIEF RISK OFFICER

Moderator: Ladies and gentlemen, good day, and welcome to the Multi Commodity Exchange of India Limited Q3 FY '26 Earnings Conference Call. Joining us on this call are Ms. Praveena Rai, Managing Director and Chief Executive Officer; Mr. Rishi Nathany, Chief Business Officer; Mr. Chandresh Shah, Chief Financial Officer; Mr. Manoj Jain, Chief Compliance Officer; and Mr. Praveen DG, Chief Risk Officer.

As a reminder, all participant lines will remain in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by press ing star, then zero on your touchtone telephone. Please note that this conference is being recorded.

I will now hand the conference over to Ms. Praveena Rai, MD and CEO, MCX, for opening remarks. Thank you, and over to you, ma'am.

Praveena Rai: Thank you very much. Good day everyone, and a warm welcome for joining us today for the quarterly earnings call. We are delighted to share that the third quarter of FY '26 has been a strong and defining quarter for MCX, reflects the momentum we have built for our business, products an d market participation in the context of broader macroeconomic environment.

Our performance during the quarter underscores the resilience of our platform, the strength of our operating model , and the importan ce and growing relevance of commodity derivatives in India' s evolving financial ecosystem.

For the quarter ended December 31, 2025, our consolidated revenue from operations grew by 121% year -on-year to INR 666 crores, while EBITDA grew by 144% to INR 527 crores. Profit after tax grew by 151% to INR 401 crores. This robust performance was supported by an increase in macroeconomic activity, both at the global and country level, along with supported efforts around products, participation and delivery to scale both in the opera ting and risk management level.

 Our average daily turnover in futures and options rose to INR 7.5 lakh crores.

You'd recollect that in the first half of the year, we clocked INR 4 lakh crores, while we closed the previous year at about INR 2 lakh crores. So, this is a year -on-year growth of about 220%.
On a 9 -month basis, we see healthy growth trends too, with revenue from operations up by 72% to INR 1,413 crores and PAT increasing by 89% to INR 802 crores. Operationally, the quarter was marked by deepening participation across segments, particularly in bullion, but well supported by other commodities.
And with bullion now contributing 69% of the average daily turnover, and including in its portfolio, many successful product launches for Gold Mini, Gold Ten Futures, silver monthly options expiry and smaller denomination contracts, and monthly options on the MCX iCOMDEX Bullion Index.
These initiatives reflect our continued focus on expanding product breadth while enhancing liquidity and risk management efficiency for all participants.
New participants by way of new members, FPI 's as well as domestic financial institutions also contributed to the healthy uptick in ou r volumes.
Throughout this phase, we remain firmly guided by higher standards of governance, compliance and market integrity. Our priority continues to be delivering a robust, transparent and resilient marketplace that creates long -term value for hedgers, investors, members and all our stakeholders.
As we look ahead, we are confident in our strategic direction and operational readiness to support this excellent phase of growth in India's commodity derivatives market. We are committed to innovation, prudent risk management and sustainable value creation. We extend our sincere gratitude to all stakehold

ers, regulators, member brokers, vendors and partners and associates for their continued and unwavering support towards MCX.
With this, I conclude the opening remarks and look forward to an interesting discussion in the following Q&A session.

Public Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. We take the first question from the line of Devesh Agarwal from IIFL Capital.
Devesh Agarwal: Firstly, heartiest congratulations to the entire team for a great set of results and numbers, very good numbers, ma'am. My first question, ma'am, is basically on this -- we see that the number of traded UCCs have seen a significant jump in this quarter on a sequential basis. Could you help us understand what is driving this growth? And do you expect these numbers to grow even in the upcoming quarters?
Praveena Rai: Thank you, Devesh, for the appreciation, we'll certainly pass it on to the entire MCX team. We have at the heart of this growth in UCCs, 2 contributing factors. One is really an exercise in exploring and aligning the user experience across members for commodity derivatives trading.
So we did identify early on that experiences like a common ledger, front screen experience for a retail member, a retail participant, their important criteria and in real ity viewing experiences end -to-end, there is a fair amount of activity that our teams have taken, but more importantly, members have looked at the opportunity that they seek for commodity derivatives market, what their users are looking for and aligned the e xperience to be a common experience, be it equity investing or commodity derivative s investing.
So, we believe that's one of the drivers of the uptick. Alongside that is also the fact of new members who have come into our fold that has contributed to new UCCs comi ng in along with those members.
So, both of these are driving factors. I think at least for rest of the year, we do expect to see a certain momentum continuing. And when I say rest of the year, let's say, for some time now, we expect this momentum to continue because there is headroom from where we stand today to what is the potential.
Devesh Agarwal: Ma'am, in the new members that you mentioned, when you speak about the headroom, are you talking about more headroom within the new members

Public who have joined, which can grow further? Or there are also other members who may be big or active on equity and haven't started offering commodities, even on that account, we have potential?
Praveena Rai: Yes. I think headroom is both. Headroom comes from both at a larger business level. But certainly, when it comes to UCCs and you see participation at India level, we see headroom there.
Devesh Agarwal: Sure, sure. My next question would be, ma'am, we've seen that this quarter, particularly, the gold and silver delivery has increased on our platform. So, one, I wanted to understand, does these additional deliveries lead to some additional cost for the company? And other is basically in an event, if there's a short delivery that happens, what will be the liability on the exchange?
Praveena Rai: So -- no, there is no additional cost to the company because these are managed as part of warehouse negotiations and what participants pay for the services. And we are quite happy to see this sort of healthy delivery happen despite global conditions at a p oint in time. It was a very active manage ment from the exchange as well.
The second question on what could be a potential impact of short delivery, there are guidelines and rules that manage that circumstance, by way of penalties and so on and so forth. So, these are well-established processes, and they have happened in the past, and the

y happen on an as-and-when basis depending on market conditions, and we are well equipped to handle that.
Devesh Agarwal: Ma'am, so far, are there any instances in the last 3, 4 months where there has been short deliveries?
Praveena Rai: No, nothing abnormal.
Devesh Agarwal: Right. And with this increased activity, both in futures and options turnover, what kind of technological enhancement would you be required to do? And what is the capex that you intend to spend to build up more capacity?

Public Praveena Rai: Yes. So Devesh, I think this is an ongoing exercise. This is a question, I think, probably in the last 2 quarters also, we've discussed. So, with growth and more importantly, with the expectation of growth is the continuous need to keep our technology up to date, ready for high resilience, high availability, high scalability, fully functional to manage all the volatility as well as growth that the environment offers. So, we will continue to be in investment mode as we have been in the past. An d we see that as necessary, but also a positive part of where we stand in the business.
Devesh Agarwal: Any particular metric that it's tracked ma'am , in terms of the order that the system can handle? And what has been the build -out that has happened over the last, say, 12 months or probably the peak orders that we have seen this quarter versus that , what is the capacity that we have at this point in time?
Praveena Rai: Yes, we've seen significant increase in our order volumes this quarter. I don't have the numbers handy right in front of me, but we have seen them significant, and we have held strong, thanks to investments of the past, and we continue to have very strong oversight over w hat is required for the future.
And these are very BAU activities, let me put it that way. So, we are not in a phase where we are looking at growth as a one-time measure. It's every quarter activity. So, it will continue to persist. Yes, continue to persist in an efficient manner.
Moderator: We take the next question from the line of Amit Chandra from HDFC Securities.
Amit Chandra: Very strong numbers, ma'am and congratulations to the whole team for this. My first question is on the volume uptick that we have seen. So obviously, every month, we are seeing a new high. And obviously, in terms of the mix also, it has been fairly distrib uted wherein both the energy contracts, and the bullion contracts are contributing.
But from here on, we also mentioned that we're also focusing on the metals

contract as well because as we see some decline in the volatility, we want the
 portfolio to be more diversified. Obviously, it has been, but the strategy in terms of increasing volumes on the metals contract. So, what's the update there?

And also, in terms of the indices and the index options, we have launched, but we are seeing very, very minimal traction there. Obviously, we had some challenges there in terms of participation. But any update there where we are in terms of the index option side?

Praveena Rai: Thanks Amit. Rishi will just take your questions on this.

Rishi Nathany: Yes, Amit. To answer your first question on base metals, it's not just base metals, we have 4 segments, as you know, agri, metals, bullion and energy, and we are trying to focus on all of them. In base metals, we've already seen traction in the copper futu res and options. We are seeing a lot of traction on the zinc options and futures as well.

Nickel, which we launched this year only, now we are seeing good volumes and a healthy buildup of OI. So, in terms of base metals also, I'm sure we are getting there as we speak. On the index, while we did launch index options, we haven't seen the kind of traction we were expect

ing, however, on index futures, we have seen good traction building up, and we hope that once the futures get good momentum, options will follow.

Amit Chandra: Okay. And ma'am, on the question of the participation in terms of the credit UCCs that we have seen a very sharp increase. Obviously, this is because of onboarding of new members. But in this quarter, we have seen the full 3 - month impact of the new member, which has been added. And also, in terms of the overall TAM because if you see on the other exchanges, equity exchanges, this number is almost 5x higher in terms of the people who are trading on options. So how do we see this?

And also, in terms of the newer people who are coming and trading on MCX, these are mostly retail HNIs. Any like profiling if you can share? Because in terms of the mix, we are not seeing the FPI or the institutional participation increasing, only the client and th e others. So, the mix has been fairly stable.

 So, is it only because of the volatility these people have come in and traded? And how do you see the stickiness of these people in the longer term?

Praveena Rai: Yes, Amit. So, Amit, I think the UCC number, of course, is a number that subsumes many of the other F PI’s and sort of other participants because this number is in lakhs and those numbers are in double digits. So over here, I will say that there is headroom to the extent that there are more investors in the market and ther e is interest in the investors.

At the same time, we don't believe commodities is something that's going to be for one and all, and the entire market that today trades is an addressable audience. So, to that extent, at some point, once we have reached a certain level of maturity with UCCs, this will start flattening out. but we still see headroom for growth there. With reference to other members, I think you can't look at UCC numbers to gauge that imp act. We do see impact from other categories as well coming in.

Amit Chandra: And just a follow -up on this, ma'am. Is it also because obviously, the volatility is so high in the market in terms of the bullion and the other contracts as well. Plus, there is an advantage in terms of , that the cost of trading for commodities have become lower versus equities in terms of the t axation, STT is like 2x of CTT.

And also, in terms of the size of the contracts for the commodities, especially the mini contracts are much lower than what it is there in equity. So, this is also structurally helping us in getting and attracting more retail customers. So, any views on this?

Praveena Rai: No, what you said is just factual statements and has been there for a while.

So, we really don't have a view on what this is doing specifically now.
Moderator: We take the next question from the line of Prayesh Jain from Motilal Oswal Financial Services Limited.
Prayesh Jain: Firstly, congratulations on a great set of numbers. Ma'am, the first question is an extension to the previous one. Base metals, we've seen a jump, and we

earlier had alluded to the challenge in base metals with respect to the multiple numbers of delivery centers. Have we, in any form modified that and consolidated the number of delivery centers? What has really caused the sudden increase in base metal volum es? Yes, that will be my first question.
Praveena Rai: Yes. So, we have seen increase in base metals volumes. There is a quarter -on-quarter growth of 156% with a year -on-year of 77%. This upswing, of course, in the context of volatility, there are a couple of actions that we took explicitly.
Number one was consolidati ng warehouses. We've done that for copper.
Copper h as moved to a single warehouse.
This was based on the study of numbers of deliveries th

at happened across warehouses and also the market feedback that we had from the members that they were looking for this kind of modus operandi to simplify the contract transparency for them. So that ha s helped.
We've also had a lot of market engagement with reference to GST sort of queries, if I may call it that. So, some lack of awareness amongst participants on how to handle GST as part of deliveries and so on and so forth was also another important initiative that we have been taking and sp ecifically in the last quarter.
In addition to this, of course, this is the broader outreach engagement, number of members have set up commodity desks, they are very active. So, I think we are also in the midst of a bit of capacity building around commodities, the broader ecosystem. So, all these 3 put together, along with the environment around volatility of metals and of course, the demand for base metals in the industrial space have all contributed to this.
Prayesh Jain: And do you plan to extend this -- the change that you've done for copper to other base metals as well about the single delivery center?
Praveena Rai: So, we are reviewing and we are consolidating. Nickel, for example, is operating in one center only as a relaunched new contract, which also had that other element of differential trading unit and delivery unit that was also an action taken specific to Nickel . That started to give us good results on

Nickel . On some of the other contracts also, we have started consolidating the primary warehouse and reviewing the other warehouses and some that are not very effective are also being rationalized.
Prayesh Jain: Got that. Ma'am, and...
Moderator: Prayesh, I would request you to please rejoin the question queue. We take the next question from the line of Chintan Sheth from Girik Capital.
Chintan Sheth: Congrats to the team for the great set of numbers, even the January numbers looks really -- the momentum continues to be pretty strong. So, in that context, ma'am, if you could elaborate on product launches you alluded to in the past, if you can further give us an update, which are the contracts which -- or new launches, which one can expect from here on? That's one.
And second, on the SGF, given the volumes rising, we have seen this consistency as a percentage of revenue that is what one should expect going forward? That's another -- that's the second one. And lastly, the bookkeeping one. If you can split the revenue between the futures opti ons would be helpful? Yes, those are the 3, and I will join the queue.
Praveena Rai: Yes. So Chintan, the question you had on futures and options, Chandresh, could you just provide those numbers?
Chandresh Shah: Yes. Chintan, the revenue from futures was INR 227 crores for this quarter and options INR 380 crores.

Praveena Rai: And with reference to expense numbers, Chintan, we do believe that our
expenses are lagging our growth in terms of what we really need, both from
a technology and operating standpoint as we work towards the business
opportunity -- sustained business opport unity as well as what the economic
environment requires, what our market requires.
So, we will be looking to normalize this over time, not necessarily from the
standpoint of exactly where we stand. And I can tell you that operating
 expenses on a quarter basis is very difficult to comment on. So, I think we'll
wait for the year -end to play out there.
But we are in the midst of planning for our next year, looking at sustain ing the
momentum of growth. And what will we need to do, what is the demands and
requirements of the market for us to really use this opportunity to shape the
market from an Indian commodity derivatives situation. This is an oppo

rtunity
for us to take a lot o f proactive steps, and we will be doing that in a manner
that is efficient and contributing to our bottom line.
Chintan Sheth: And lastly, on the launches, if you can update us on...
Praveena Rai: Launches to come is a little difficult to comment on, Chintan. We are focused
on stabilizing the launches that we have made, and we do have a healthy
pipeline, but we will look to time it on the back of our internal process as well
as our gauge of the righ t timing for the particular product and market.
Moderator: We take the next question from the line of Ansuman Deb from ICICI Securities.
Ansuman Deb: Congrats on great set of numbers. I have 2 questions. One is on the -- again,
on the SGF side. So, any quantification of the kind of SGF we would require
because the volumes have increased significantly or any policy towards that?
That is one.
And second is in terms of the ability to handle these volumes, you said that
expenses is BAU as usual and you keep on investing. But on the current state
of affairs, can we -- is it -- can we have any numbers in the sense, for example,
if the options goes to INR 1.5 trillion or INR 2 trillion plus futures -- sorry,
futures goes to INR 1.5 trillion or INR 2 trillion per day or the future -- the
premium goes to maybe INR 15,000 crores ADT or INR 20,000 crores. So, any
volume levels till which we are comfortably placed? So, these are the 2
questions.
Chandresh Shah: So Ansuman, on the SGF, so -- see, SGF is a requirement prescribed by SEBI.
So, for SGF contribution, we keep looking at the requirements and we keep
 strengthening it as it helps in providing safety net to ensure that the
transactions are complete and there are no participant defaults. Even if the
participant defaults, we can conclude the transaction. So, in a different way,
strong SGF also gives us some flexibility to manage margin requirements from
members.
Ansuman Deb: But any quantification on the requirement, or no?
Chandresh Shah: No, no.
Ansuman Deb: And on the volume levels at which we can think like it's comfortably placed as
of now?
Praveena Rai: Yes. So, we are well placed for a certain multiple of the volume that we have
faced right now. And I'm saying faced because it's been a big multiple over
the previous quarter and that quarter over the previous quarter and so on. So
if you look at this kind of a mo mentum, we are well placed for at least 3 x to
4x kind of a volume.
But our intention and objective is to really be ready for more. In fact, market
is telling us to be ready for a 10x volume. We've spoken about it also. So that's
the kind of readiness that over time in an efficient manner that we will build
up.
Moderator: We take the next question from the line of Akhilesh Bhatter from Ampersand
Capital.

Akhilesh Bhatter: I had a question regarding the margin requirement. So, given the increase in volatility in gold prices, silver prices, precious metals, so do you anticipate any increase in margin requirement required by the regulator? I just want to understand how does that function?
Praveen DG : The margins are actually dependent on -- I think you know that one of the primary factor is volatility. That is what decides your initial margin. And apart from that one, we also have additional margins and ELM. So, there is -- fixed formula is there, it is more driven and it is -- that means we look at what is
 the price movement in each of the commodity and the basis that on VAR based margins are going to be levied.
Praveena Rai: It's part of standard process. Every day, there is a margin calculation that happens based on current volatility price and so on and so forth. And immediately, that is then applied to market. So, it's not

a one -off activity,
though if we see the need and the requirement, there is an additional margin over and above that also -- that gets levied. It's an ongoing activity.
Akhilesh Bhatter: Got it. So essentially, the risk that you are exposed to in terms of a participant honoring their transaction is very low because of the margin requirement systems that you have in place?
Praveen DG : Yes. And we also do that M2M anyway, like because it happens on a daily basis. That why it is like the risk is limited to only not more than a day -- single day, and that is well covered using the initial margin, which is the basis of our margins.
Praveena Rai: The regulatory framework, which defines the margin calculation and India is a conservative market in that sense. So our margins are the highest in the world and tend to go up quite steeply as volatility steps in. While this does lead to some sort of a cons traint in the industry with members having to cough up larger sums for margin, it keeps us well managed from a risk standpoint. And of course, in addition to that is the SGF framework. So, both working hand -in-hand keeps us both MCX and MCXCC L very well protected as an exchange and clearing house.
Moderator: We take the next question from the line of Ankur M. from Old Rice Investment.
Ankur M.: Yes. So, when we are launching derivative on aluminum, Nickel , if you can guide there? And second, electricity derivative market share is low for MCX compared to NSE. So, are we planning to launch options there in order to gain some market share? Thank you.
Rishi Nathany : Ankur, what was your first question?
 Praveena Rai: When will we launch in aluminum, et c.?
Rishi Nathany : Options, okay. Okay. So, Ankur, for all products, there is a threshold of non - agri for INR 1,000 crores ADT in a complete 1 -year cycle, post which only we can apply. So, whether it's aluminum or electricity, whichever contracts will we cross that INR 1,000 crore s ADT threshold on futures, then only we can apply for options. So, we are ceased of that matter. And as and when we cross that threshold and we see that there is appetite in the market, we will definitely work towards that.
Praveena Rai: The electricity...
Rishi Nathany : Yes. And in terms of electricity, while the volumes, whatever they are showing are participation from clients is very high as compared to our other contracts available in the market. And we do look forward to adding more and more value chain participants t o our contract. So, we are sure that we will definitely see more traction in terms of growth.
Moderator: We take the next question from the line of Sanketh Godha from Avendus Spark.
Sanketh Godha: Sir, my first question is more on product license fees. See, we saw a significant growth in the revenue on a quarter -on-quarter basis, but our product license

fees hardly grew. And if I do it as a percentage of the transaction income, it comes around 4.1% for the quarter and while it has been in the range of 6 to 7 percentage for previous 5, 6 quarters.

So, I just wanted to understand how this exactly works, whether the license fees, what we pay grows in line with the revenue or it has a fixed slab and then incremental percentage what you pay for the licenses grows at a meaningful very low rate. Just if you can give a color on how it works, it will be useful. That's my first question.

And second question is out of this INR 665 crores, I think INR 601 crores is transaction income. How much is coming from core float income, investment

 -- float income that is from the margin money, not the other income? So, if you can answer these 2 questions, it will be useful.

Praveena Rai: Yes. So, in terms of product license fee is -- you can rea

d it off from the numbers on energy because we settle off international prices working with CME. So that's the part that contributes to product license fees, r ight? So, when bullion grows, et c., that doesn't lead to any direct cost to us because we settle on our own prices. Float income, Chandresh...

Chandresh Shah: It is around INR 45 crores.

Sanketh Godha: Okay. It's around INR 45 crores. Fine. And lastly, ma'am, if I can squeeze one. From September to December and to January, I know that silver has seen a margin increase in the month of -- in third quarter. But any other product which has seen margin requirement going other than silver in third quarter and even January till date?

Praveena Rai: Yes, yes, number of products. In fact, wherever volatility has been higher, it's gone up in gold, it's gone up in copper...

Rishi Nathany : Copper and even other metals gain -- natural gas.

Praveena Rai: In natural gas, sorry, I don't have a list in front of us, but it's gone up in a number of commodities.

Sanketh Godha: And it has been increased by a percentage or so on a broader basis? I just wanted to check that.

Praveena Rai: It's a percentage or more...

Sanketh Godha: 7% initial margin has gone to 8%, 9%, delta change, I mean to ask how much it can...

Praveen DG : Silver if you take it is around 25%, then you have an additional margin. So gold is around I think around 10%, it is. So, it purely depends upon the volatility in that commodity.

 Sanketh Godha: And, reversal of it, for example, if tomorrow volatility cools off, is it easy to reverse this or it stays for a longer time?

Praveen DG : Yes. No, no, it is actually volatile based margin that basis that one automatically calculates what is the volatility in that margin because we use EWMA model. So, basis that one, it will estimate what could be the probable volatility and accordingly, the margins will be levied. So, the moment if there is a downtrend in the volatility, automatically, the margins would come down.

Moderator: We take the next question from the line of Parikshit Gupta from Fair Value Capital.

Parikshit Gupta: Congratulations on a great set of results. Most of my questions have been answered. But just one on the risk to our monopolistic position, especially in bullion. We all know what is happening with IEX, although we are governed by a different regulatory bod y. But do you anticipate any similar risks of maybe sharing the price discovery for MCX, if that -- if you could please articulate on that, please?

Praveena Rai: Parikshit, competition risk does exist because other exchanges are also vying for share in this space. So we are cognizant of it, and we respect the environment in which we are operating. We do believe as long as we stay focused on our growth and innovativ e in our approach to products that meet

the needs of the market, continue to grow participation, deliver to both
technology, operational and risk management needs, we are well positioned
to act as the commodity derivative exchange for India.
Parikshit Gupta: I understand. Just a quick follow -up on this, please. Has there been any
activity from SEBI or any intimation which I shared with you about splitting
the overall pie of the market as you may put it?
Praveena Rai: We don't have any information like that, Parikshit.
Moderator: We take the next question from the line of Anand Dhaskaran from Ksema
Wealth.
 Anand Dhaskaran : Good evening, can you hear me?
Chandresh Shah: Yes, we can hear you.
Anand Dhaskaran: Yes, congrats on the good set of numbers. I have 2 questions. One is a follow -
up to the previous one. Can you just repeat the breakup for the futures and
options revenue please just once again for Q3 FY '26?
Ch

andresh Shah: So Q3 futures revenue is INR 227 crores and options revenue is INR 380
crores.
Anand Dhaskaran: INR 380 crores?
Chandresh Shah: Yes.
Anand Dhaskaran: Okay. That was one thing. And second is regarding the new index options have
been launched in this quarter, the AD TV has come for this quarter. What do
you see the AD TV can be, let's say, in the next 3, 4 years or so on an average
basis?
Rishi Nathany : Anand, we won't be able to comment on the estimated ADT. But what we
have seen in this quarter is, yes, there is a good performance in terms of
futures turnover in case of a BULLDEX.
Anand Dhaskaran: So, you're saying the future delivery -- like say in -- for options, the AD TV will
be kind of mirroring for the futures?
Rishi Nathany : So, Anand, the options, frankly, hasn't taken off to that extent as yet. It takes
time for contracts to build and develop. For example, when we launched
Nickel , it took time. Now we are seeing the results after many months.
Similarly, we have to give everything time. But what is heartening to see is
that the futures have seen traction. And hopefully, we will see traction in
options as well as we go forward.
Moderator: We take the next question from the line of Prayesh Jain from Motilal Oswal
Financial Services Limited.
 Prayesh Jain: The first question here is on the regulators talking about more participation
of banks and other financial institutions on the commodities front. Any
conversations that you've been having with the regulators to kind of what are
the things needed for new pa rticipants to kind of come into this bandwagon
and whether is MCX equipped to kind of give that? Yes, that would be my first
question.
Praveena Rai: Yes, Prayesh, these are ongoing conversations we have had and are having,
but they are, of course, under regulatory consideration. We won't have
anything more to share on this.
Prayesh Jain: Got that. And secondly, again, I think I've been asking this question on almost
every call. Anything on the co -location facilities, which currently are not being
allowed for us. Is there any conversation with the regulator on this and
whether this can be e xtended to us?
Praveena Rai: Same question, same answer, yes. It is under regulatory purview, yes. So
there's really not much for us.
Prayesh Jain: Presentations made about allowing that. And I think that is one of the key
elements for you to grow the FPI as a segment. Is that the understand ing?
Praveena Rai: So FPI 's are onboarding and FPI 's volume is also growing. We are seeing
renewed interest in FPI, maybe after the Ja ne Street situation when a little bit
of a lull was there, we are seeing that renewed interest coming. So again,

conversation per se is an ongoing one. We wouldn't be able to comment on
that.
Moderator: We take the next question from the line of Vedant Sarda from Nirmal Bang Securities Private Limited.
Vedant Sarda: Congratulations on a great set of numbers. My question is based on the previous participant's query only. Though we are well positioned in the overall ecosystem. And we have not received any kind of intimation from any regulatory authority on different mar ket participants entering into the segment. But how do we see this risk?
 Praveena Rai: No, the risk is real. I think we appreciate it and we respect it. We need to be prepared for it. And we are doing that by sort of enhanced activity, both on our product and the participation end. We have also increased a lot of market outreach with awarene ss programs, knowledge sharing programs with our members, continued innovation on the technology road map. So, I think the way to really hold forth is to be very positive and forward -looking in our approach and actions, and

make sure we are e xecuting to our plans.
Moderator: We take the next question from the line of Aditi Parmar from i Wealth Fund.
Aditi Parmar: Ma'am, congratulations on a good set of numbers. Just wanted to verify that the revenue for our futures and options was INR 227 crores and INR 380 crores, respectively. So, if you take the balancing figure, that comes to nearly about INR 58 crores. And historically, like if you see a quarterly trend that has always been INR 30 crores, INR 37 crores. So, what is the reason for the increase for the same?
Praveena Rai: Thanks, Aditi. Chandresh?
Chandresh Shah: Yes. So, Aditi, that includes the float income and some other income, warehousing income from our subsidiary.
Aditi Parmar: And sir, like if -- for the other cost, if I remove the software and technical expenses, product licenses and the contribution to SGF, then the other cost, which comes down to is near about INR 23 crores. So, could you explain the reason for the increase in this other cost?
Chandresh Shah: So, Aditi, other expenses largely relate to administrative and office costs, CSR spend, legal professional fees, travel, business promotion activities. So, the increase is towards those activities only to increase the volume of business.
Moderator: We take the next question from the line of Aditya Yadav from Transient Capital.
Aditya Yadav: Congratulations to the management team. It's been a great execution in the past few quarters and plus the market conditions have also been providing a
 sort of tailwind. So yes, great quarter. My question was mainly on the dividend front. Any, I mean, plans or discussions to probably increase the dividend payout ratio as a percentage of net profits because I suppose now as the volumes have taken off and everything.
So, we have a lot of free cash flow generation and probably taking in the technology investments also, which we've spoken about will be required. But again, beyond that also, we have a lot of free cash. So, I mean, what are the thoughts around that?
Praveena Rai: Yes. So, Aditya, I think it's -- this is a decision we'll take after the end of the year. We are in growth mode. We will take various requirements for capital into account as we look at what's the right thing to do from a dividend standpoint. So please hold until that point.
Aditya Yadav: And my second question is on the margin front. Do we see further operating leverage in the business as our volumes, they continue to scale up. And as you've mentioned, that at least in the near term, you see the momentum on the volumes and the client codes going up to continue? Do we see more operating leverage?
Praveena Rai: So, we see good business momentum. We will also be looking to make sure

that our spends do catch up with the growth, be it in the operating side as
well as the technology side. It's very important for us to do this to be -- to
deliver to the kind of volumes t hat come in. So, there will be efficiency, and I
think a lot of efficiency is already there on the table. But we will have expenses
and spends commensurate with revenues as well as more importantly, with
what are -- what is needed for the execution of our plans.
Moderator: We take the next question from the line of Shrenik Mehta from IndoAlps
Wealth.
Shrenik Mehta: Just wanted to check a little bit of an understanding of how this will work
when the prices for, especially the gold and silver , may possibly come down.
Do you see a co -relationship between the past growth of gold and silver prices
with this increased activity in your company?

Public Praveena Rai: So, the global factors around price volatility will play a role in addition to other
contributing factors of participation, products and so

on. So, whether it is
price up or price down, volatility will bring in factors where the derivative
exchange has a role to play. Having said that, if the extent of volatility were
to sort of completely normalize, we will see the momentum of growth steady,
though we do believe we will have new baseline over which the growth will
be happening.
Now having said that, I think this is where we draw comfort from the various
segments in which we are operating. So, there have been periods of time
where energy has been volatile, and the exchange has played a role there. In
recent times, we have seen bullion being far mo re volatile and exchange
there.
So, I think these macro factors will play a role. The macro factors also have a
perspective of sort of various segments playing out in the global and domestic
markets and the sort of level up baseline that we believe that we will have.
So, all of these will play a role.
Shrenik Mehta: So, I mean just hypothetically thinking of a situation where, say, for next few
quarters, the price for bullion, both gold and silver doesn't increase, remains
flat or comes down. In that scenario also, do you see that what you have in
terms of volumes curren tly are the baseline and you would only grow from
here? Or do you see a possibility for a decline in the volumes as well, more
specifically?
Praveena Rai: See, we can't give any forward -looking forecast on either price or the sort of
scenario you're drawing out. It's a difficult one to say. As I said, volatility is the
broader environment in which the exchange plays a role. Will volatility
become 0 globally is not a prediction that we can make, and it hasn't
happened so far.
Moderator: Ladies and gentlemen, we take the last question from the line of Abhishek
Jain from Shikherjee Advisors .

Public Abhishek Jain: So very good numbers from your side. No, I have -- most of the questions are
just answered. So, no questions from my side.
Praveena Rai: Thank you, Abhishek.
Moderator: Thank you. Ladies and gentlemen, with that, we conclude the question -and-
answer session. I now hand the conference over to Ms. Praveena Rai for her
closing comments.
Praveena Rai: Thank you very much to everybody for participating. These interactions are
very valuable. I think it also helps us to reflect with your questions as much as
we have to offer in the kind of commentary you ask of us. I hope the
interactions have been useful in helping you understand both our business as
well as the various drivers that are implied and impacting the results that you
have seen. So, look forward to staying connected until next time.
Moderator: Thank you. On behalf of Multi Commodity Exchange of India Limited, that
concludes this conference call. Thank you for joining us, and you may now

disconnect your lines.

Call: May 2026

MULTI COMMODITY EXCHANGE OF INDIA LTD.
EXCHANGE SQUARE, SUREN ROAD, ANDHERI (EAST), MUMBAI 400 093, INDIA. TEL: +91 -22-6731 8888, FAX: +91 -22-66494151, www.mcxindia.com
CIN: L51909MH2002PLC135594, info@mcxindia.com
Public
MCX/SEC/ 2685 May 18, 202 6
Listing Department
BSE Limited,
P.J. Towers, Dalal Street,
Mumbai - 400001 .
Ref: Scrip code: 534091 Scrip ID: MCX
Subject: Transcript of the “Earnings Conference Call ” with investor (s)/analyst (s) on Q4 FY-2026 results .
Dear Sir,
Please find enclosed herewith transcript of the “Earnings Conference Call” with investor (s)/analyst (s) held on Monday , May 11, 2026, at 16.00 p.m. (IST) on Q4 FY-2026 results .
The said transcript is also uploaded o n the website of the Company at https://www.mcxindia.com/investor -relations/ir -meetings

Further, we hereby confirm that no unpublished price sensitive information was shared/discussed during the said earnings call.

Kindly take the same on record and acknowledge receipt.

Thanking you,
Yours faithfully,
For Mul ti Commodity Exchange of India Limited

Manisha Thakur
Company Secretary

Encl.: As above

“Multi Commodity Exchange of India Limited
Q4 FY 26 Earnings Conference Call ”
May 11, 202 6

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction w ith the
accompanying materials published by the company. The information contained in the transcript is a textual representation of the company’s
event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuraci es in the reporting
of the substance of the event. The transcript has been edited wherever required for clarity, cor rectness of data or transcription error. This
document may contain “forward -looking statements” – that is, statements related to future, not past, events. In this context, forward looking
statements often address our expected future business and financial performance, often contain words such as “expects”,

"anticipates,
"intends", "plans", "believes", "seeks", "should" or "will". Forward -looking statements by their nature address matters that are, to different
degrees, uncertain. These uncertainties may cau se our actual results to be materially different that those expressed in our forward -looking
statements. We do not undertake to update our forward -looking statements.

MANAGEMENT :
MS. PRAVEENA RAI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , MCX
MR. RISHI NATHANY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , MCX CCL
MR. MANOJ JAIN – CHIEF COMPLIANCE OFFICER , MCX
MR. CHANDRESH SHAH – CHIEF FINANCIAL OFFICER – MCX

Moderator: Ladies and gentlemen, good day and welcome to the Multi Commodity Exchange of India Limited Q4 FY 26 Earnings Conference Call. Joining us on the call are Ms. Praveena Rai, Managing Director and Chief Executive Officer, MCX; Mr. Rishi Nathany, Managing Director and Chief Executive Officer, Multi Commodity Exchange Clearing Corporation Limited; Mr. Chandresh Shah, Chief Financial Officer, MCX; and Mr. Manoj Jain, Chief Compliance Officer, MCX.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Praveena Rai, MD and CEO, MCX. Thank you, and over to you, ma'am.

Praveena Rai: Thank you, very much and good evening , everybody. It's wonderful to be here. Warm welcome to all the participants joining us for the call. It's been a good year with good results, and I'm very pleased to report this , very exceptional year, building strong momentum that we have seen in earlier quarters, and we've had a robust close with the last quarter as well.

This performance reflects strength across our volumes, the product innovation as well as market participation. And it reinforces the relevance of commodity derivatives in India's

financial ecosystem. Now for this quarter, we have delivered a strong perfor mance. There is growth across all key financial parameters. There is improvement in trading activity as well as participation across all our segments.
During the year, we navigated periods of high volatility and challenging market conditions across multiple commodities, including potential delivery risks, which were all very strongly, rigorously and effectively managed with minimum disruption to market f unctioning. In fact, I would say, I call it one of our highlights of last year that the market integrity was maintained at the highest level despite a lot of broader economic risks that came our way.
For the full year FY '26, the consolidated revenue from operations more than doubled to INR2,302 crores, and this was supported by nearly 2.5 times increase in the average daily turnover across both futures and options. The profit after tax crossed INR1,300 crores and EBITDA at INR1,774 crores , reflected both the scale benefits and the continued cost discipline.

Public To strengthen the commodity derivatives ecosystem, we've initiated a focus ed drive 'Price in India : Hedge in India' . This promotes and deepens hedging participation within India for SME as well as corporate hedge rs. Institutional and retail investors have also increasingly embraced the commodity asset class, leading to broader and deeper market participation.
Our product development efforts focused on contract innovation and enhanced expiry frameworks contributed to deeper liquidity as well as wider market access. Importantly, the growth we are witnessing is structural, along with taking advantage of cyclical t ailwinds. Increasing participation from a dive rse set of market participants , improving awareness, acceptance of commodity derivatives, introducing more participants to both the hedging instrument as well as the asset class , positions us well for sustained expansion. Looking forward, we are confident in our strategy, positioned to capitalize on the next phase of growth in India's commodity derivative market.
As we scale, we are focused on the highest standards of governance, risk management and market integrity, strengthening infrastr

ucture, continuing to invest in our technology and delivering a seamless trading experience will be top priorities. Our emphasis will be on innovation, liquidity enhancement and long -term value creation for all our stakeholders.
We thank our regulators, member brokers, participants, our partners and all stakeholders, including our shareholders, for their continued trust and support in MCX. I now conclude my opening remarks and happy to take questions. We have our management team h ere with us as well.
Moderator: Our first question comes from the line of Shrenik Mehta from Indo Alps Wealth.
Shrenik Mehta: I just wanted to check regarding the statement that you made about a large part of this growth being structural. And what are the factors that you're seeing, which is helping you to say that …
We see clearly bullions really driving most of the volumes and the bullion volatility is also driving a lot of this picture. If you could throw some light, it will be fantastic .
Praveena Rai: Yes. So, our two big drivers of volume are energy and bullion. We've seen growth across both of these. While of course, bullion has had a much higher growth, and we are very happy about that. It has grown more than 4 times , the energy growth has also been good and strong over a very high base. So, this really makes both of them strong constituents for MCX.

Public Now globally and in India, we see there are certain points in time when the requirement around bullion will be stronger, and there will be times when the requirements around energy will be stronger and perhaps times when both are equally important. So, we do see that they both create that sort of balancing with and alongside each other.
And this, along with the kind of opportunity in the Indian space, the kind of commodity markets needed to support the growth in the country, the sort of early growth stage in which the overall market is, of which MCX is a large participant, all create that structural foundation.
There's still a lot more opportunity when it comes to what can be done r egulatory -wise, policy -

wise, etcetera. And we believe over the years, that will also play out. So yes, there is a cyclical component, but there is a deep struct ural component also.
Shrenik Mehta: Okay. So, you believe really the momentum is continuing the way you see the trend in the last few months?
Praveena Rai: So, we believe the coming year will be a strong year. Exactly how each quarter will play out, of course, we'll wait and see how the numbers are. But we believe the year will be a strong year.
Moderator: Our next question comes from the line of Devesh Agarwal from IIFL Capital.
Devesh Agarwal: Firstly, congratulations to the entire team for a great set of numbers. Ma'am, my first question would be there was a consultation paper, which talked about allowing FPIs into gold and silver contracts. So one, if there is any update you can give us? And secondly, what is the contribution that we have from FPIs in the energy products, that is , crude oil and natural gas?
Praveena Rai: Thank you very much for the wishes. So having FPIs to participate broadly in the commodity space going beyond the cash -settled segment is certainly critical on the agenda. It's something that there has been a fair amount of debate and consultation. As you know, there's also the consultation paper that is out there. We are also contributing strongly in it. So, we will, of course, wait for the results of this paper to come out. And then we will take it forward from there.
Now the FPI contribution, as you know, is primarily in the energy segment because it's the cash -settled segment. Our onboarding of FPIs has been strong. The pipeline is also strong. The contribution currently stands at about 2% to 3% of ADT. And within the Energy segment, t

hey
are a significant contributor.

Public I would say that they are in the double -digit contribution of energy, while at the broader MCX level, they will be at about 2% to 3%. And we see this number growing.
Devesh Agarwal: All right, ma'am. And secondly, ma'am, if hypothetically, if we were to say that regulator allows colocation in commodities, in what time we'll be able to roll out these services to the traders? What is the preparedness that we have to introduce colocatio n services?
Praveena Rai: If this were to get permitted by the regulator, we'll be able to take this to market fairly soon within the kind of market requirements required. So, we don't think we will have -- we will not be on the back foot there.
Devesh Agarwal: Understood. The only reason to ask this was because the competition already offers colocation services in equities. So, they are already at it. And do we also have prepared to kind of introduce within a month or so?
Praveena Rai: Yes, Devesh. We do have our plans in place, and we'll be able to activate them at short notice.
Moderator: Your next question comes from the line of Amit Chandra from HDFC Securities.
Amit Chandra: My first question is on the increase in the UCC that we have seen. So, for the full year, it's up by 64% and very heartening to see this. But obviously, it is because of onboarding of some of the discount brokers, non -discount brokers. So, is it fair to assume that the increase in the UCC is in the base o r we can see furthermore participation in term s of more retail clients coming and trading on to the commodities because in terms of number of people trading, we are at 35% of what it is there in equities. So… and what is driving such a steep expansion in terms of the people who are trading on the commodities? Is it only the volatility or you see some active participation across -- or it is more like broad -based?
Praveena Rai: So, Amit, we would want to see a sort of democratic increase in participation without being overly aggressive in any one space. I think I'm quite happy with where we stand on the retail side. We don't believe that everyone who is an equity investor will end u p becoming a commodity investor.
So, we are seeing the numbe rs ramp up steadily and evenly and we will continue to retain our efforts in that growth. A lot of actions that have been taken that we have worked with the market as well, as you said, with digital members, digital brokers, looking at things like the consolidated ledger, looking at use r experience of MCX trading vis -a-vis the equity markets.

Public I think a lot of work went into that last year, and we are seeing the benefits of that. We think there is more user experience opportunity to streamline, and we continue to see interest in the retail segment. Having said that, as we look at the numbers fro m the AMCs, the mutual funds and many other segments like wealth and so on , so, we do believe that retail will also find these channels to start participating in the commodity market. So not all of this will be very straight. And there has been regulatory action where there is a lot more flexibility and opportunity that mutual funds will see in the coming months , when it comes to increasing the kind of commodity exposure in their portfolios. So, we think retail will participate in all these ways. And overall, we'd like to see that broader multi -segment participation to grow.
Amit Chandra: Okay. And ma'am, my second question is in terms of the product pipeline. Obviously, you have mentioned last time also that we are -- we will be launching some of the metal contracts. So, where we are in terms of the launch of some new products, which c

an further diversify our
volume contribution ?
Plus, in terms of the index options scaling up, is it only the FPIs not being allowed into non - cash settled commoditi es-- is the only bottleneck there o r is there some other things which is stopping the index options to scale up? And secondly, there was an article in the newspapers, which talked about some weekly contracts also being considered in the index side. Like , wanted your views on that ?
Praveena Rai: Yes. So, I think I'll first comment on this newspaper article, and we've, in fact, put out our own response on X , that misleading media information is really getting published. So, I will not really comment on that. But the question that you asked on -- what was the core question? …
Yes. On product pipeline, we do have a strong pipeline. We had a certain number of products that we wanted to look at last year, and we launched according to what we thought the market would be appropriate in takin g. We are prepared with our next lot of products. And we -- again, we will look at the suitable requirements in energy, in metals , as well as other segments.
Now amongst the indices, interestingly, while we did talk a lot about the BULLDEX options, we found that this created a lot of interest in the future segment. And we are taking the feedback from the market in focusing our attention on futures on indices a s well along with options.
We will also be looking at moving further on METALDEX this year. So, there will be more work on the indices side as we both deepen and expand that portfolio.

Public Moderator: Your next question comes from the line of Mitesh from Axis Capital.
Mitesh : Most of the questions have been answered. Just on the participation side, how have been the trends in the participation in the month of April and May so far?
Praveena Rai: Mitesh, I don't think we are commenting on this quarter. I think we'll have to take your question in the next call. But there's no dramatic cause for concern.
Moderator: Your next question comes from Akhilesh Bhatter from Ampersand.
Akhilesh Bhatter: Congratulations on a good set of results. I had 2 questions. So first one was regarding your competitor launching multiple bullion products and energy products in the last quarter and -- maybe from last year onwards. So, what are we doing to sort of protect market share here?
Praveena Rai: So Akhilesh, yes, we are watching the space very closely. It is a large competitor. And yes, they have made their intention felt in the market with a lot of focus that they are placing on commodity segment. From whatever we see, our bullion numbers remain untouched when it comes to market share over the last 2 years.
Some recent activity on changing expiry dates and so on , in the energy segment is leading to some kind of shallow , 1-day-in-a-month activity. So, I think it's also quite misaligned with the sort of global structuring on which our contracts are based and that is required for the integrity of the contract.
So, at this stage, I think we don't want to be reacting and making any moves, which are not cognizant with the way commodity products should operate. Being highly focused on the space, we understand the structuring of these products and what the market needs. So, we will stay focused on continuing to drive participation in the existing portfolio and looking at what the market needs by way of new products. So, creating that awareness, bringing in new participants, creating more hedge rs, all of those core act ions are in play. And I think they're keeping us in good stead.

Akhilesh Bhatter: One more question regarding RBI launching new lending norms for prop traders. So, I just wanted to understand if you have done any sort of analysis on the sort of volumes that will be hit or maybe what sort of vo

lumes are coming in from small prop traders versus big prop traders, if we have any numbers around that?

 Praveena Rai: So, the RBI lending norms, the way we see it could have a potential impact. RBI, of course, has given further extension allowing the market to plan their mitigating factors, and we are also in touch and working with our members on the same. So, there will be a certain segment of members , across all segments of the trading markets who will have some of their credit lines impacted from this.

Moderator: Your next question comes from the line of Makarand Bhosekar from Proinvest Nirmiti.

Makarand Bhosekar: Am I audible?

Praveena Rai: Yes.

Makarand Bhosekar: Congratulations on good set of numbers. As we see a very good sequential growth in numbers of top line, I was expecting a kind of better expansion in margins, but somehow the product license fees and other expenses line items grew faster than the revenue. So, we could not see the expected margin expansion. So, can you tell me if there is any one -off in these line items or we can expect these as a normal base?

Praveena Rai: Makarand, we are in growth phase, and we are looking at actions to keep the market very, very relevant and to look at how we really develop the commodity markets to meet the requirements of the industry as well as the country , as we have to mature and have more sophisticated offerings available across the board.

And we have to keep our technology expense, our expense on our investments on people. All of these elements have to be built out, continue to be built out , to be ready to execute the plans that we have. So, if you are asking whether our focus is going to be on margins in the coming months, our focus will be on efficiency. Our focus will be on ensuring that whatever we do , is done in a manner that is most efficient on cost and smart. But the focus is not going to be on spending less. We have to continue to s pend smart and do the right thing to be prepared for the future.

Makarand Bhosekar: Okay. So, there was no one -off item, right?

Praveena Rai: No.

Makarand Bhosekar: Okay, thank you. My next question is, as you said in the first -- answering the first question , that you are expecting the momentum to be continued. But when we look at the April

 numbers, the volume seems to have dipped down quite a bit. So, do you think that we will be able to continue the sequential momentum?

Praveena Rai: So, we do believe that we will have a strong year. Now will every year -- every quarter be a big jump over the previous quarter, perhaps not. And we do see cyclicity in our business. We have seen that year -on-year where there are some quarters that are better than other quarters. So, there will be macro factors that will play out. There will be cyclicity that plays out. And I think in the broader context, we are in a strong and good place.

Moderator: Your next question comes from Lavanya from UBS.

Lavanya : Congratulations on good set of numbers. Most of my questions are answered. Just wanted to check on some of the cost line items. Software support charges, I mean, it has been quite stable compared to the jump which we have seen last year in Q4. And second is on the SGF spend. So, this time, we have taken a much higher contribution to SGF. So , how should one see this trend going ahead?

Chandresh Shah: Lavanya, this is Chandresh. So, the SGF spend is more to keep our reserve fund in a healthy position. So that it helps us in taking some decisions and mitigate risk. So, we always maintain the SGF at a healthy level, and we'll continue to do that. And it is in line with what we see the business going up and how it is gr

owing. And also, SGF is a requirement of SEBI, and it is
computed based on the formula and calculation methodology given by SEBI. And I think the other question you already answered that it is very much in line, software s upport.
Lavanya : Okay. Software support charges should be stable and incremental from here and most likely, we should see no jump in Q4. Is that something one should build in?
Chandresh Shah: So yes, like ma'am explained in the previous caller's response, so we are into growth phase, and we will keep investing in the business as and when what is required. The only thing is that it will be done very efficiently. So, when the business requirement is there, expenses will be incurred.
Moderator: Your next question comes from Vedant Agarwal from IIFL.
Vedant Agarwal: First of all, congrats on a great set of numbers. So, I wanted to understand 2 book -keeping numbers. So, what has been the interest income on margin money for 4Q FY '26 and for the whole year FY '26? And I also wanted to again touch upon other expenses like we have seen

 a sharp jump in 4Q. So, what has been the key driver behind this? So, these are the two questions ?
Chandresh Shah: Yes. So, this quarter, we have seen some increase in the margin money in terms of cash with the subsidiary, and that has helped in some increase in the income from that - INR59 crores in this quarter as against INR22 crores of previous year.
Vedant Agarwal: Okay. INR59 crores in this quarter versus INR22 crores of last year?
Chandresh Shah: Yes, quarter 4.
Vedant Agarwal: Quarter 4, okay. And also, if you could justify the increase in other expenses for this quarter?
Chandresh Shah: I think ma'am already answered in one of the previous response s that the expenses are incurred to meet our market development activities and business -related professional charges.
Moderator: Your next question comes from the line of Bharat Shah from BCS Capital Ideas Limited.
Bharat Shah: Hearty congratulations for very distinguished and defining results. I had 2 questions. The first one, in this very -- what prima facie appears to be a win -all kind of scenario where volumes are rising rapidly. We have increased number of market intermediaries. We have increased number of clien ts through those intermediaries?
And our product engine is working well. And all of this is resulting into dramatic growth rates across our product lines and the businesses. In such a very positive scenario, what can go wrong if something has to go wrong? And what can actually unravel or disturb the kind of great velocity that the engine has acquired?
Praveena Rai: So, I think it's a fantastic question. And we, of course, track all risks at every stage. Certainly, operating risk is number 1. And I think we've spoken in the past at length that , while the market offers opportunities, the ability to operate and deliver to that opportunity is really not something one takes for granted. So, whether it is the platform , whether it is our surveillance, whether it is our risk management, the operations of CCL when it comes to margins and collateral, each and ever y element of this gets challenged when there is a high degree of uncertainty in the market. So, this is a risk we are very cognizant of. I would say we spend most of our time on , in addition to all the other levers that you spoke about. I would think this is a hidden lever to add to that list.

 The second is certainly the competition risk. I think this question was asked. So, we are cognizant that we have not had a strong competition really and have been a majority market share player, how to continue to be agile on our toes, continue

to innovate, sort of challenge
ourselves and really be our own competitor is the best way to state that off. So certainly, that risk again holds a lot of our attention.
And of course, I can go with a long list, the regulatory risk, et cetera, being in MII, our entire focus on working within the compliance framework, again, something that takes a lot of our attention with a strong compliance team, our investor services and relations, et cetera, et

cetera. So, I think this will -- if you ask me, probably cover the top ones.
Bharat Shah: Praveena Ji, I did not mean routine or regular threats, whether management competence will be there to match the competition. Obviously, that remains an ongoing issue of vigil, both within MCX as well as by the outside investors. Whether there can be regu latory oversight, which can cur tail the remit of the business , obviously, some -- such issues will always be there in the horizon. I did not really mean things of this kind. I mean, operational routine risk, competitive risk, these are given. I mean they have to be there for any good management to deal with and to fight on.
What I meant was, for example, if you look at IEX, the en ergy Exchange , out of the blue , the market coupling issue has come. And that is very clearly derailed the situation because market price discovery is the key function of an Exchange . And when that gets taken away, then the role of liquidity and management in order to facilitate that efficient discovery becomes commoditized.
And therefore, Exchange becomes commoditized. And we are seeing how IEX is struggling with that issue. If you look at, for example, in the equity market, 3 years back, in the options, the share of BSE was next to nothing. I mean it was just a shade above 0. And today, in about 3, 3.5 years, it has climbed to, on an incremental basis, to almost about 37%, 38%. I mean , that kind of a change is truly a dramatic one. So, issues which are not in the realm of recognition because when things are good and healthy, risks don't look very real, and they appear distant in the horizon , but that's actually where the….
Praveena Rai: Yes, Bharat ji, sorry. In the interest of time, if I may come in. I think I get what you're saying. I think I sort of touched upon those. And I think the examples that you gave are in the realm of

 uncontrollables. So, I think we will be unable to really comment or really react to that question.
Bharat Shah: Okay. T here is nothing that you are...
Moderator: Sorry, to interrupt.
Bharat Shah: No, I'm just finishing my first question. Please allow me to complete. Is there anything in the realm of recognition that you are concerned about or worried about?
Chandresh Shah: No, we are not worried about anything specific.
Bharat Shah: Okay. My second and last question is.
Moderator: Sorry to interrupt. Mr. Shah, may we request you to keep the questions brief. As I believe there are questions -- this is not the first question.
Bharat Shah: This was the first question in the context of which I raised the question. If you can allow me to complete it, it will be faster.
Moderator: Sir, may we request you to join the queue for any follow up questions. Your next question comes from the line of Bhavya Sanghvi from Alchemy Capital.
Bhavya Sanghvi: Congratulations on a great set of numbers. Most of my questions have been answered. Just one book -keeping question. Can you give me the transaction charges for the quarter and split it up between options and futures?
Chandresh Shah: So Bhavya, future s revenue for Q4 is INR242 crores and options revenue is INR569 crores.
Moderator: Your next question c omes from the line of Subramania , an Individual Investor .
Subramania : Congrats on a great set of numbers. My questions have been previously answered.
Moderator: Your next question comes from the line of Dharmil Shah from Dalmus Capital Management.
Dharmil Shah: Firstly, congratulations on the great results. My first question would be on the similar lines like previous participants have inquired about , on the competition. So, like Bharat sir mentioned that equity Exchange s are getting into , not just the largest one, but I mean the other one has also shown some interest , in getting into the commodity side . So, just wanted to check, I mean, what are the key factors or drivers that would change retailer mindset to

 shift from -- retailers or I mean rather any trader shift from MCX to other Exchange ? I mean,

what incremental do these Exchange s have to offer so that they gain some market share?
Praveena Rai: As I said, of course, competition is critical to watch out for, and we should not take the competitive stance lightly. So as equity Exchange s enter into the commodity space, there could be some natural sort of synergies they have there. However, the biggest moat really is the liquidity we have in our contracts. So, while it may be a tad easier, not much.
As I said, we've done a lot of work on user journeys and so on and so forth, and we continue to do so. So, while there could be -- it could be a tad easier, the real benefit for any participant arises from the fact that they are there in a liquid Exchange , they can enter and exit as they require, and they benefit from the overall investing or trading activity.
So, I think these are critical for us. And we think these are the biggest moats that we have. But we'll continue to work in the space without ignoring the fact that we should overcompensate for any experiential simplicity that may be available to users otherwise.
Dharmil Shah: Understood. And -- last question would be, again, there is one article in the newspaper today about some regulations being relaxed for agri commodities. So, do you think that could scale up in coming years? And what could be the size as -- I mean could it be as big as energy or bullion or -- just a rough sense there?
Praveena Rai: Sorry, I don't think there is this article, but I'm not able to comment on the backdrop to it. Of course, we are in discussions and working groups with the industry and the regulator to look at various kind of policies that the industry and market require . And agriculture is one of them.
So, we are participating. And I think whatever opens up in that space will be beneficial. And we will also be looking at how we play a stronger role there. I wouldn't be in a position to share more than this a t this point, please.
Dharmil Shah: Just jumping back to the first question, you mentioned that liquidity is the core thing that MCX has for commodity derivatives. But like in case of equities as well, I mean, BSE had gained within 2 years from -- I mean they had also 0 liquidity in that se nse. So, what -- I mean what could go wrong in MCX as well? I mean just wanted to understand that liquidity -- I mean, there are -- if these Exchange s are coming up with more innovative products, which might seem more attractive to the investors and could the liquidity over time, I mean, build up for them as well?

Public Praveena Rai: I think we gave our comments earlier that these are uncontrollables that we will not really be commenting on. At this stage, the commodity market is at a fairly nascent to high -growth stage. Certain actions might take place in mature markets with different objectives. So -- but having said that, this is not a space that we can really comment on. It's not an actionable in our control.
Moderator: Our next question comes from the line of

Madhukar from JPMorgan.
Madhukar: I have just one question. On SGF, how comfortable are we with the SGF position right now? And what is our sort of continuing policy in terms of what percentage of transaction charges are we contributing? Have we put out that number definitively sort of ? Yes. That's my question ?
Rishi Nathany : Yes. So, on SGF right now, we are in a comfortable position. We have a very good cushion on SGF.
Chandresh Shah: And Madhukar, we have not put out any percentage or anything of transaction charges for SGF.
Madhukar: Got it. So, is there sort of a number in terms of what volume option premium or futures that we would be comfortable with and beyond which we would require? I know some simpl istic measure to just know that?
Rishi Nathany : So, Madhukar, it's just not a function of numbers. It's also a function of volatility and the margin levels. So, it's a combination of everything. So as volatility would increase or volumes would increase simultaneously and OI would increase, then only with the SGF requirement increase. So, it's very difficult to predict all the moving parts altogether. Having said that, we are in a very comfortable position regarding SGF. And as and when we have the requirement, we'll plan for it.
Moderator: May we request you to return to the queue for any follow -up questions, please. The next question comes from the line of Madhu Gupta from Quantum AMC.
Madhu Gupta: Congratulations for a good set of numbers. I just have 2 questions. First is, what is the revenue that you've earned from the electricity derivative contract and the transaction charge, which started in FY '26, the trading of electricity derivatives. That 's the first question. The second

question is you recently won the license to set up a Coal Exchange . What is the road map

 there? What is the addressable market size? And how do you plan to set up the Exchange ? And -- yes, if you could share some plan s regarding that? Those are my two questions?

Praveena Rai: So, electricity contracts are still in early stage at this stage, rather than tracking revenue, we look at the membership, onboarding, trading, throughput, so on and so forth. So, we are happy. We've got about 50 participants from the commercial participant side and a large number of members who contribute and trade, the UCC numbers also are going up month -on-month.

When it comes to coal, the coal Exchange is an independent entity. It will not be part of MCX as a company. It will operate as a subsidiary. Since we are an MII under the regulatory ambit of SEBI, we required the SEBI approval to go forward in this line of business.

The line of business we see is closely associated with what we do as a commodity derivatives Exchange , establishing a spot market in coal where there is a mechanism that exists. However, there is a lot of opportunity for structuring, consolidation, common platform pan -India and so on.

So, I think that's the opportunity we are looking at, and we are in the early stage of establishing that entity and taking it forward. At the right time, of course, the suitable regulator in that space will then form the rules, we'll have to apply and et cetera, et cetera. So, there is -- there are steps left before the actual entity starts getting operational.

Moderator: The next question comes from the line of Deepak Ajmera from IGE India.

Deepak Ajmera: Congratulations on a good set of numbers and excellent leadership. My question is on electricity derivative. Ideally, the potential for this market is significant. And what sort of initiative, whether it is Ministry, Exchange regulator or anything to develop this market that -- on that you are working, if you can highlight, that will be helpful ?

Praveena Rai: Yes. Thank you, Deepak. I think we are very e

xcited about the electricity contract, right, from launch to date, it has been growing month -on-month in its participation and presence in the market. We do work with the regulators, both the SEBI and CERC, but more importantly, a lot of work with the state regulators because a lot of policy really comes from the state. Converting a few DISCOMs is a very important part of the plan. It takes more time, but I think we are at a point where some of that is going to c ome in as well.

 Looking at large traders who operate on the spot market has been important, and those were some of the early steps that have been taken, and we are starting to see some of the members and participants in the power space starting to participate regularly th ere. So, staying engaged with both the production side, be it solar or other producers, the consumer side, large industrial as well as the distribution side , are all actions that we are in the midst of.

Moderator: The next question comes from the line of Amit Chandra from HDFC Securities.

Amit Chandra: I have like 2 follow -up questions. The first is on the competition. You have answered about that in detail. But , just to understand better, is it the interoperability of the clearing corporations, which is not there between equities and commodities? Is that the main reason why we are not seeing the shift of the liquidity from one Exchange to another? And what's your view on the regulator allowing interoperability maybe at a later stage?

And secondly, on the impact of the RBI regulation. So, the -- if you see the clearing corporation funding from FDs and the bank guarantees, the total margin money that the clearing corporation have, MCX has the highest in terms of 55% to 60% of the total funding of the clearing corporation is through BGs vers us 35% for the industry. So, is it a higher risk for us in terms of the impact that we see from RBI?

Rishi Nathany : So, to answer your question on BGs and FDs, frankly, for FDs it wouldn't impact a s it is fully funded . In terms of BGs, I think your numbers are wrong. BGs contribute a much lower percentage than FDs. So, while there may be an impact, but the numbers may not impact as

much as you are saying.
Amit Chandra: So, I'm talking about FDs and BGs combined. We don't have the quantificati on.
Rishi Nathany : Yes. So, you see the large portion -- the largest portion of that is FDs. So, I don't think that would get affected to that extent. Secondly, on your interoperability question. Liquidity does not just go away due to interoperability and what it is . Matter of liquidity we get liquidity. We have sticky liquidity. We have the industry partici pating. We have everyone, all the ingredients, which helped and also, you have to understand secondly that , interoperability is only possible when there is a 100% similar product. For example, in equity, the ISI Number security is the same, that is why interoperability can be possible. In commodities may be different.
Amit Chandra: Okay. So, the interoperability will not happen between equities and commodity, right?

Public Rishi Nathany : We're not saying that. We're just saying that at the end of the day, it's up to the regulator, but it's tougher to have.
Moderator: We will take the last question from the line of Devesh Agarwal from IIFL Capital.
Devesh Agarwal: Just one question. We see that this has been a very strong year for us in terms of profit accretion and cash accretion. But despite that, we have seen that the payouts have kind of gone down. So , just wanted to know your thoughts as to this cash that we are kind of conserving, what are exactly the plans for this? And what is the spend that we a

re expecting
for the next year?
Praveena Rai: Yes, good question, Devesh. I think it's important for us to have the sort of funding chest that is required as we look at our growth. And this is not just from more of the same standpoint, there would be both organic, inorganic opportunities that we will conti nue to be looking at, new product segments, ancillary spaces. So, there are certain strategies that are at very early stage, but we do have strong plans for the capital on hand.
Moderator: Thank you. Ladies and gentlemen, I would now like to hand the conference over to Ms. Praveena Rai, MD and CEO, MCX, for her closing comments.
Praveena Rai: Yes. Thank you. Thank you to all. It is a phenomenal set of questions. As always, we answer some, and you also leave us with a lot of food for thought to take back as we look at execution of our plans for this year and the coming quarter. I really enjoy ed the discussion. All of us did. Have a good day and look forward to connecting next time.
Moderator: Thank you. On behalf of Multi Commodity Exchange of India Limited, that concludes this conference. Thank you, everyone, for joining us, and you may now disconnect your lines.